

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[923 NE2d 567, 896 NYS2d 284]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GEORGE
KONSTANTINIDES, Appellant.

Argued November 17, 2009; decided December 17, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 14, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.) which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree and criminal possession of a weapon in the third degree.

People v Konstantinides, 55 AD3d 752, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

1. The potential conflict of interest that existed when one of defendant's attorneys was accused in court of joining with defendant in attempts to suborn perjury and to bribe a potential witness did not deprive defendant of the effective assistance of counsel. Defendant was fully informed of the potential conflict, and neither defendant nor his other attorney, who did not suffer from any alleged conflict, complained that the potentially conflicted attorney's continued representation of defendant operated on the defense. Further, defendant was simultaneously represented by his conflict-free attorney who was singlemindedly devoted to defendant's best interests. In light of the conflict-free attorney's active participation, defendant failed to establish that the

potential conflict operated on the defense such that he was entitled to a new trial.

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

2. Defendant failed to establish that the potential conflict of interest that existed when one of his attorneys was accused in court of joining with defendant in attempts to suborn perjury and to bribe a potential witness operated on the defense such that defendant was entitled to a new trial. Notwithstanding defendant's argument that the conflicted attorney, who presented the defense case, had to decide which witnesses to call and what questions to ask them, knowing that those decisions could affect his livelihood and liberty, defendant did not point to any evidence elicited by the conflicted attorney that was harmful to him. Defendant's allegations that the conflicted attorney did not present evidence that would have been helpful to his defense were speculative and unsubstantiated. There was no reason to believe that the prosecutor's application to disqualify the conflicted attorney dissuaded the defense from calling a witness who allegedly would have testified that the gun which defendant was charged with possessing belonged to an acquaintance of defendant. Defendant never attempted to show that the witness actually existed, and was willing to provide truthful and beneficial testimony. While the record on appeal was insufficient to establish that the witness might have given relevant and honest testimony, nothing prevented defendant from raising an ineffective assistance claim in a CPL 440.10 motion.

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

3. Defendant's conviction of weapons crimes was not reversed notwithstanding the trial judge's failure to place on the record the follow-up discussions that must have taken place after the prosecutor asked the trial judge to disqualify one of defendant's attorneys due to a potential conflict of interest that existed because of the attorney's alleged attempts to suborn perjury and to bribe a potential witness. Defendant was not relieved of his obligation to demonstrate that the potential conflict of interest actually operated on the defense.

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

4. Although defendant was not required to show that a potential conflict of interest, established when one of defendant's attorneys was accused in court of joining with defendant in attempts to suborn perjury and to bribe a potential witness, affected the trial's outcome, any potential conflict between defendant's and the conflicted attorney's interests, in fact, had no impact on defendant's conviction for weapons crimes. Defendant was acquitted of kidnapping—the only charge where any truthful testimony from the potential witness casting doubt on the credibility of defendant's acquaintance, whom he was with at the time of the charged crimes, would have been relevant—and attempted murder charges were ultimately dismissed after the jury failed to reach a verdict on those counts. Any possible testimony from the potential witness that the gun belonged to or was owned by the acquaintance would not negate evidence which conclusively established that defendant possessed a weapon with the intent to use it, and thus was guilty of the firearms crimes that he was convicted of committing.

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

5. A per se rule mandating reversal in situations where a defense attorney is accused of criminal misconduct directly related to the representation of the

defendant is not necessary to protect a defendant's right to conflict-free representation. A defendant does not have to establish that the conflict affected the outcome of the proceedings; a defendant must only show that the conflict operated on the defense. Here, defendant failed to make this minimum showing.

**Crimes — Sentence — Persistent Violent Felony Offender —
Constitutionality of Prior Conviction — Hearing**

6. Defendant was not improperly denied a hearing to challenge a prior conviction on constitutional grounds in connection with his adjudication as a persistent violent felony offender. Defendant's unsupported allegations that he wanted to call numerous witnesses who, he claimed, would demonstrate that his "guilty pleas were coerced" and that his attorney was "ineffective" were insufficient to entitle defendant to a hearing on the constitutionality of his prior conviction (*see* CPL 400.15). Defendant did not explain how his guilty pleas were coerced or in what way his attorney was ineffective. Nor did defendant indicate what information the named witnesses would provide on these issues.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1125, 1135–1139; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 15–17, 19, 20, 35, 42.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:166, 184:182, 184:183, 184:185–184:188; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:140–203:142, 203:148, 203:191, 203:192.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.9, 26.6.

McKINNEY's, CPL 400.15.

NY JUR 2d, Criminal Law: Procedure §§ 859, 864–870, 877, 884–887, 3274, 3282, 3288.

ANNOTATION REFERENCE

Circumstances giving rise to prejudicial conflict of interests between criminal defendant and defense counsel—state cases. 18 ALR4th 360.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: ineffective /4 counsel /p potential /2 conflict & operat! /4 defense

POINTS OF COUNSEL

Appellate Advocates, New York City (*De Nice Powell* and *Lynn W.L. Fahey* of counsel), for appellant. I. Appellant was denied

the effective assistance of counsel when, without any inquiry, the court permitted a lawyer to continue representing appellant although he was burdened by a powerful incentive to conduct the defense in a way that minimized his own exposure to future criminal prosecution and disbarment. (*Strickland v Washington*, 466 US 668; *Cuyler v Sullivan*, 446 US 335; *People v Benevento*, 91 NY2d 708; *People v Berroa*, 99 NY2d 134; *People v Longtin*, 92 NY2d 640; *Wood v Georgia*, 450 US 261; *People v Gomberg*, 38 NY2d 307; *Holloway v Arkansas*, 435 US 475; *People v Macerola*, 47 NY2d 257; *People v Wandell*, 75 NY2d 951.) II. The sentence must be vacated and the matter remitted for resentencing because the court, which enhanced appellant's sentence based on a prior conviction appellant challenged on constitutional grounds, improperly refused to hold a hearing, as required by statute and fundamental due process. (*Burgett v Texas*, 389 US 109; *People v Harris*, 61 NY2d 9; *People v Love*, 71 NY2d 711; *Landau, P.C. v LaRossa, Mitchell & Ross*, 11 NY3d 8; *Matter of McGrath v Gold*, 36 NY2d 406; *People v Evans*, 94 NY2d 499; *People v Cruz*, 181 AD2d 906; *People v Ordine*, 130 AD2d 518; *People v Wright*, 119 AD2d 973; *People v Outley*, 80 NY2d 702.)

Richard A. Brown, District Attorney, Kew Gardens (Karen Wigle Weiss and John M. Castellano of counsel), for respondent. I. Defendant received effective assistance from conflict-free counsel. (*People v Ortiz*, 76 NY2d 652; *United States v Fulton*, 5 F3d 605; *People v Ennis*, 11 NY3d 403; *People v Longtin*, 92 NY2d 640, 526 US 1114; *People v Lombardo*, 61 NY2d 97; *People v Gomberg*, 38 NY2d 307; *People v Lewis*, 2 NY3d 224; *People v Berroa*, 99 NY2d 134; *People v McDonald*, 68 NY2d 1; *Cuyler v Sullivan*, 446 US 335.) II. Defendant's claim that he was improperly adjudicated a persistent violent felony offender is unpreserved for appellate review because he failed to present it to the sentencing court. In any event, defendant was properly adjudicated a persistent violent felony offender. (*People v Callahan*, 80 NY2d 273; *People v Hawkins*, 11 NY3d 484; *People v Ruz*, 70 NY2d 942; *People v Nieves*, 2 NY3d 310; *People v Hurley*, 75 NY2d 887; *People v Lemon*, 62 NY2d 745; *People v Proctor*, 79 NY2d 992; *People v Goodman*, 69 NY2d 32; *Ashe v Swenson*, 397 US 436; *People v Berkowitz*, 50 NY2d 333.)

OPINION OF THE COURT

READ, J.

Defendant George Konstantinides contends that he is entitled

to a new trial because he was deprived of his right to conflict-free representation. At a minimum, he argues, his sentence should be vacated because Supreme Court did not hold a hearing to determine the constitutionality of one of two prior felony convictions. For the reasons that follow, we reject both claims, and uphold defendant's conviction and sentence.

I.

Defendant violated the conditions of his parole in 2003, which sparked issuance of a warrant for his arrest in June of that year. According to the People's witnesses at trial, in the early morning hours of December 20, 2003, the police learned that defendant was in a bar in Queens. They arrived just in time to see defendant follow another man out of the bar and get into a limousine parked at the curb. Defendant jumped into the passenger side, and the other man, later identified as G.T., got behind the wheel and started up the engine.

Several of the police officers approached the limousine on foot and directed G.T. to stop or shut off the engine. In G.T.'s account of what happened next, defendant retrieved a gun from a bag he was carrying and pointed the barrel at G.T., holding the gun low, near his waist. According to G.T., defendant said, "They're after me. If you don't move this limousine I'm going to kill you where you're sitting." Frightened, G.T. obeyed defendant's order. Traveling at speeds approaching 100 miles per hour, the limousine careened down city streets and eventually entered the Grand Central Parkway, pursued all the way by the police cars, their lights flashing and sirens sounding. During this high-speed chase, defendant fumbled the gun and accidentally fired a bullet into the limousine's dashboard.

Again in G.T.'s telling, defendant repeatedly instructed him to "[j]ust keep going," and that he would "tell [him] when this [was] going to come to an end." Near the 111th Street exit on the Grand Central Parkway, defendant ordered G.T. to pull over. As the car slowed, defendant jumped out, gun in hand. With three police officers in pursuit, he scrambled up an embankment into a wooded area. The officers testified that they saw "muzzle flashes" as defendant turned and shot multiple rounds in their direction; one officer returned fire. No one was injured, and defendant got away.

Detectives found defendant the next day in Manhattan, and arrested him; the gun shot off the night before was tucked in the back of his waistband. The People charged defendant with

attempted murder in the first and second degrees (Penal Law §§ 110.00, 125.27 [1]; §§ 110.00, 125.25 [1]); kidnapping in the first degree (Penal Law § 135.25); and criminal possession of a weapon in the second and third degrees (Penal Law § 265.03 [2];¹ § 265.02 [4]²). On the first day of jury selection at defendant's subsequent trial, an attorney for whom he had worked for a time while on parole (hereafter, attorney number two) joined the defense team to "assist" the attorney who had represented defendant for the eight months preceding trial (hereafter, attorney number one).

After the People had presented the testimony of some police witnesses, the prosecutor informed the court out of the jury's presence that, during his interview of L.T., G.T.'s wife, he had acquired "information which . . . [might] bear on" attorney number two's "remaining at counsel table." He then related that L.T. had told him that defendant and attorney number two called her three times while defendant was incarcerated. L.T. claimed that, during one of these three-party calls, attorney number two asked her if G.T. would be willing to testify that the gun was his instead of defendant's. When L.T. answered that her husband would not say this because it was not true, attorney number two was alleged to have replied that the defense was going to be "that the gun was your husband's and if he doesn't agree with that, then we're just going to go ahead and say that it was his."

According to the prosecutor, L.T. further related that, during a subsequent three-party call, attorney number two threatened that

"the defense was going to pay a woman named Jennifer, who . . . supposedly had some sort of extra-marital affair with [G.T.] during the course of his marriage to [L.T.], to say that [G.T.] was doing drugs with [her], all during the day and that the gun was [G.T.'s] and that they were going to do that so that [L.T.] might want to distance herself from . . . [G.T]."

Finally, L.T. informed the prosecutor that she was offered a

1. Effective December 21, 2005, this provision of the Penal Law was redesignated section 265.03 (1) (b).

2. This provision of the Penal Law was repealed, effective November 1, 2006. Possession of a loaded, operable firearm outside of a person's home or place of business, with certain exceptions, is now criminal possession of a weapon in the second degree, a violation of Penal Law § 265.03 (3).

diamond ring if she left her husband and married defendant because it would “look good for . . . defendant that [L.T.] had left [G.T.] . . . and had now come to be with” him. L.T. was said to have refused this overture, telling attorney number two and defendant “[a]bsolutely not and stop calling.”

The prosecutor explained that, as an officer of the court, he felt obligated to convey this information to the judge. He added that while he did not know the defense’s strategy, attorney number one’s opening statement suggested that defendant intended to attack G.T.’s credibility. The prosecutor continued that if defendant

“claim[ed] through cross-examination or through the potential calling of witnesses that the gun was [G.T.’s] and not the defendant’s, and/or if he . . . interpose[d] some sort of a defense about [G.T.’s] doing drugs during the course of the day, firstly . . . based upon these conversations which [L.T.] . . . allegedly had with [the second attorney], . . . there would be no good-faith basis to proffer that defense; and, secondly, if they were to proffer such a defense, . . . [the prosecution sh]ould be permitted to call [L.T.] to show recent fabrication.”

The prosecutor noted that if this scenario, in fact, developed, the second attorney’s “credibility would certainly become an issue” and “he would become a potential witness in the case.” As a result, the prosecutor asked the trial judge to disqualify attorney number two and “have the defendant proceed with just [attorney number one].”

When the trial judge asked attorney number two if he wanted to respond, attorney number one interjected “[m]ay we have one second, please?” After a pause, the judge then asked attorney number two if he wanted to deal with these matters after the upcoming lunch recess. Attorney number one again jumped in, telling the judge that “I think that will be good . . . just because there are a couple of issues. First, I’d like to find out the factual scenario of any of these phone calls, and secondly, see what possible legal basis there would be to disqualify or preclude a potential line of argument on defense.”

The trial judge then remarked as follows:

“Initially[,] disqualifying an attorney during the course of a trial is [a] very difficult thing to do. I’ve only had representations by counsel, secondhand

representations; I haven't had a hearing on the issue.

"Beyond that, these are serious allegations and if they are pressed could certainly lead to disbarment proceedings, because, [attorney number two], allegations of suborning perjury and bribery are serious.

"I don't know if you should discuss how you want to proceed. [Attorney number one] has done all the work at this point, whether you wish to continue at counsel table and, perhaps, these matters might be injected into the trial at some point.

"Decide, as a question of strategy, first what you want to do."

When the trial resumed, the court apologized to the jury for "these delays," and the prosecutor called G.T. to the witness stand. The second attorney remained at the defense table. The record does not disclose the substance of further discussions that the court must have had with the parties to resolve the prosecution's application to disqualify attorney number two.

Attorney number one cross-examined G.T. He focused on G.T.'s relationship with defendant, and sought to undermine his insistence that he and defendant were mere acquaintances. Attorney number one's cross-examination showed that G.T. shared a lot of information about his personal life with defendant, including his history of drug abuse; that G.T. stayed with defendant in his apartment when estranged from L.T.; and that he told defendant that he had been convicted of illegally possessing a firearm and was on probation. Attorney number one also brought out that, after defendant's arrest in this case, G.T. (and L.T.) twice visited defendant in jail. He questioned G.T. about whether he kept a gun in his limousine to protect himself, and whether he was "high" on December 20, 2003, evoking adamant denials. Attorney number one also elicited testimony to point out to the jury that G.T. knew he would face prison time if found in possession of a gun on December 20, 2003.

Defendant testified in his own behalf; he was examined by attorney number two, whom he addressed familiarly, by his first name. Defendant acknowledged that he was aware on December 20, 2003 that he was wanted by the police, and that he was at the time running an illegal bookmaking business. He operated this business out of an office in the basement of an apartment

in Astoria and G.T.'s limousine, which he called his "moving office." He explained that both G.T. and L.T. worked for him: G.T. drove him around to pick up betting "tickets" at neighborhood bars and strip clubs, and L.T. acted as his "secretary" by answering and placing phone calls while sitting next to her husband in the limousine's front seat. Defendant asserted that G.T. kept guns in his limousine for protection whenever he ferried rap entertainers around, as he was doing on the night of December 19, 2003 before linking up with defendant at about 2:00 A.M. on December 20th.

Defendant maintained that he did not believe the police were after him when they approached the limousine. He claimed that it was G.T.'s idea to flee because G.T. knew he would get in trouble if picked up by the police with a gun in his limousine. According to defendant, he offered to take G.T.'s gun and run from the police on foot, and the gun accidentally discharged when G.T. reached under the front seat to retrieve it and slide it over the seat to him with his right hand, while steering the limousine with his left hand. Defendant explained that, as he headed into the woods, he heard shots, and so fired one round in the air to slow down the police officers chasing after him. Defendant professed that he intended to return the gun to L.T. (he assumed G.T. had been arrested), who did not return the telephone calls he made to her while on the lam, or give it to a lawyer. He acknowledged that he knew the gun was loaded and operable when he fled with it, and that he had the same loaded gun in his waistband when arrested the next day. Defendant also told the jury that when he volunteered to flee the limousine with the gun, he did not appreciate the full consequences of getting caught by the police with a loaded firearm when he had so many prior felony convictions.

The jury convicted defendant of both weapon counts, and acquitted him of kidnapping. After the jury failed to reach a verdict on attempted murder, the court declared a mistrial on those counts, which were later dismissed.

Prior to sentencing, the People filed a persistent violent felony offender statement pursuant to Criminal Procedure Law § 400.16. The statement listed two prior violent felony convictions that, with tolling, fell within 10 years of defendant's commission of the crimes he was convicted of in this case—a 1989 conviction for second-degree attempted murder and a 1996 conviction for second-degree assault. At the sentencing hearing, defendant, represented by attorney number two (attorney

number one was actually engaged at a parole hearing at the time), challenged the constitutionality of these two prior felony convictions on the ground that he was innocent,³ that his guilty pleas had been coerced, and that he had been deprived of effective assistance of counsel. He identified numerous people whom he wished to call as witnesses, including attorney number two. Supreme Court denied defendant's constitutional claims without a hearing; adjudicated him a persistent violent felony offender; and sentenced him to concurrent indeterminate prison terms of 25 and 20 years to life on the second- and third-degree weapon convictions respectively.

On appeal, defendant argued ineffective assistance of counsel because of a conflict of interest with attorney number two, and that he was improperly adjudicated a persistent violent felony offender because he was denied a hearing to challenge the 1996 conviction on constitutional grounds. With respect to the former, the Appellate Division held that defendant did not establish that the alleged "potential conflict of interest . . . affected the conduct of his defense" (*People v Konstantinides*, 55 AD3d 752, 753 [2d Dept 2008]). The court adjudged defendant's claim that he was entitled to a hearing to determine his status as a persistent violent felony offender to be unpreserved and, in any event, meritless. A Judge of this Court granted defendant permission to appeal (12 NY3d 759 [2009]), and we now affirm.

II.

[1] We have held that, where a defendant makes a conflict-based claim of ineffective assistance of counsel, two questions arise. First, the court must determine whether there was a potential conflict of interest (*People v Abar*, 99 NY2d 406, 409 [2003]). Second, a "defendant must show that the conduct of his defense was in fact affected by the operation of the conflict of interest, or that the conflict operated on the representation" (*People v Ortiz*, 76 NY2d 652, 657 [1990] [internal quotation marks omitted]). As we have repeatedly held, "[w]hether a conflict of interest operates on the defense is a mixed question of law and fact and, as a result, our review is limited. We may disturb an Appellate Division determination on this issue only if it lacks any record support" (*Abar*, 99 NY2d at 409, citing *People*

3. This stands in stark contrast to defendant's testimony at trial in this case, where he told the jury that he pleaded guilty to the prior felonies that he was accused of committing "[b]ecause I was guilty of every one of th[ose] crimes."

v Berroa, 99 NY2d 134, 142 [2002], *People v Harris*, 99 NY2d 202, 210 [2002], and *People v Ming Li*, 91 NY2d 913, 917-918 [1998]). Here, the second attorney's continued representation of defendant created a potential conflict of interest; however, there is record support for the Appellate Division's determination that defendant failed to establish that the conflict operated on the defense.

First, defendant was fully informed of the potential conflict. The prosecutor set out the allegations against the second attorney, and he told the court and defendant exactly what steps he might take if the defense "claim[ed] through cross-examination or through the potential calling of witnesses [e.g., Jennifer] that the gun was [G.T.'s] and not the defendant's, and/or . . . interpose[d] some sort of a defense about [G.T.'s] doing drugs during the course of the day": he might call L.T. to describe the three-party conversations. And, of course, according to L.T., defendant himself participated in those conversations.

Neither defendant nor the first attorney, who did not suffer from any alleged conflict, complained that the second attorney's continued representation of defendant operated on the defense. The defense pursued, through its questioning of G.T. and/or defendant, the "claim . . . that the gun was [G.T.'s] and not the defendant's, and . . . [that G.T. was] doing drugs during the course of the day." In other words, the existence of a potential conflict did not, as defendant argues on appeal, cause the second attorney to "relinquish[] this avenue of defense in order to minimize the risk" he faced if the prosecutor called L.T. to refute the claims as recently fabricated lies in which the second attorney was complicit. And the prosecutor, in fact, never called L.T. despite his warning that he might under these circumstances.

Second, defendant was simultaneously represented by conflict-free counsel who was "singlemindedly devoted to [his] client's best interests" (*Harris*, 99 NY2d at 209). The first attorney had represented defendant for the eight months preceding trial, during which he handled all the plea negotiations and pretrial motions. The first attorney conducted voir dire, delivered the opening statement, cross-examined all of the People's witnesses, and gave the closing argument. There is no suggestion that the first attorney's loyalty to defendant was compromised. In light of the first attorney's active participation, defendant has failed to establish that the potential conflict

with the second attorney operated on the defense such that he is entitled to a new trial (see *People v Jacobs*, 6 NY3d 188, 190 [2005]).

[2] Nevertheless, defendant argues that he met his burden because the second attorney, who presented the defense case, had to decide which witnesses to call and what questions to ask them, knowing that those decisions could affect his livelihood and liberty. But defendant does not point to any evidence elicited by the second attorney that was harmful to him. Although he claims that the second attorney did not present evidence that would have been helpful to his defense, his allegations on this score are entirely speculative and unsubstantiated.

Specifically, defendant argues that the second attorney's conflict prevented him from calling Jennifer, who would have testified about her affair with G.T., that the gun belonged to G.T., and that G.T. abused drugs on the day of the incident. But Jennifer was not on the defense's witness list; she was never mentioned as a possible witness during the first attorney's opening statement. In short, there is no reason to believe that the prosecutor's application to disqualify the second attorney dissuaded the defense from calling Jennifer. The defendant has never attempted to show that Jennifer actually exists, and was willing to provide truthful and beneficial testimony. Surely he cannot be heard to complain if an effort to present perjured testimony was thwarted. While the record on appeal is insufficient to establish that Jennifer might have given relevant and honest testimony, nothing prevented defendant from raising an ineffective assistance claim in a Criminal Procedure Law § 440.10 motion. Such a motion could have included an affidavit in which Jennifer explained the substance and significance of her evidence.⁴

4. The dissent chastises the majority for holding defendant to his burden to show that the conflict operated on the defense given that, at the time of trial, defendant was still represented by counsel subject to a potential conflict of interest (dissenting op at 17). But our cases have repeatedly held defendants to this burden (see *People v Longtin*, 92 NY2d 640, 644 [1998] [to prevail on conflicted counsel claim "defendant must demonstrate that 'the conduct of his defense was in fact affected by the operation of the conflict of interest,' or that the conflict 'operated on' counsel's representation" (quoting *People v Alicea*, 61 NY2d 23, 31 [1983])]; see also *People v Smart*, 96 NY2d 793, 795 [2001]; *People v Ortiz*, 76 NY2d at 657; *People v Lombardo*, 61 NY2d 97, 102-103 [1984]). That a defendant might have to pursue such a claim, which relies on information that is not on the record, by means of a Criminal Procedure Law § 440.10 motion, in which he can establish any existing facts to support

(n. cont'd)

[3] Nor does the absence of an on-the-record inquiry require reversal. While it surely would have been better practice for the trial judge to place on the record the follow-up discussions that must have taken place after the prosecutor's application (*see People v Gomberg*, 38 NY2d 307, 312 [1975]), the court's neglect to do so does not relieve defendant of his obligation to demonstrate that the potential conflict actually operated on the defense (*see e.g. People v Smart*, 96 NY2d 793, 795 [2001]; *People v Longtin*, 92 NY2d 640, 644 [1998]; *People v Monroe*, 54 NY2d 35, 39 [1981]).

[4] Next, although defendant does not have to show that the conflict affected the trial's outcome, any potential conflict between defendant's and the second attorney's interests, in fact, had no impact on defendant's conviction for firearms crimes. He was acquitted of kidnapping—the only charge where any truthful testimony from Jennifer casting doubt on G.T.'s credibility would have been relevant—and the attempted murder charges were ultimately dismissed after the jury failed to reach a verdict on those counts. Police officers placed defendant in the limousine's passenger seat; police officers also identified defendant as the individual who fired a gun at them, and defendant was arrested the day after the chase with the same loaded gun in his possession. Any possible testimony from Jennifer that the gun belonged to or was owned by G.T. would not negate this evidence, which conclusively established that defendant possessed a weapon with the intent to use it, and thus was guilty of the firearms crimes that he was convicted of committing. Indeed, defendant himself admitted under oath to having engaged in the conduct underlying these crimes (*see People v Seale*, 47 NY2d 923, 925 [1979]).

Finally, defendant urges us to embrace a per se rule mandating reversal in situations where a defense attorney is accused of criminal misconduct directly related to the representation of the defendant. In support of such a per se rule, defendant points to decisions from the United States Court of Appeals for the Second Circuit (*see United States v Fulton*, 5 F3d 605, 610-611 [2d Cir 1993]; *United States v Cancilla*, 725 F2d 867, 871 [2d Cir 1984]). These cases are not controlling (*see People v Kin Kan*, 78 NY2d 54, 59-60 [1991]) and, in any event, are

his claim, is also nothing new. Indeed, that is precisely what the defendants in *Alicea* and *Ortiz* did. Accordingly, to the extent that the record is devoid of facts to support defendant's claim, that is the fault of defendant, whose burden it is to establish that the conflict operated on the representation.

distinguishable. In both *Fulton* and *Cancilla*, the defense attorneys were alleged to have committed crimes related to those for which their clients stood trial. In this case, there is no allegation that the second attorney was involved in defendant's violent encounter with the police, or possession of the gun; defendant was not on trial for witness tampering, or bribery, or suborning of perjury arising from his alleged contacts with L.T.

[5] Moreover, we have repeatedly declined to create a rule of per se error (see e.g. *People v Recupero*, 73 NY2d 877, 880 [1988]; *People v McDonald*, 68 NY2d 1, 11-12 [1986]). Defendant's proposed rule would require automatic reversal upon mere accusations of impropriety, whether true or false and regardless of whether the attorney's loyalties were actually divided. In our view, such a per se rule is not necessary to protect a defendant's right to conflict-free representation. Under our precedent, a defendant does not have to establish that the conflict affected the outcome of the proceedings; a defendant must only show that the conflict operated on the defense. Here, defendant failed to make even this minimal showing.

III.

Criminal Procedure Law § 400.16 (2) states that the method for determining whether a person is a persistent violent felony offender is governed by Criminal Procedure Law § 400.15. This procedure honors the principle that a "conviction obtained in violation of one's constitutional rights may not be used to enhance punishment for another offense" (*People v Harris*, 61 NY2d 9, 16 [1983]). To this end, the defendant must be given a statement informing him of the date and place of his predicate convictions, and an opportunity to controvert any allegations within that statement (CPL 400.15 [3]). A defendant who wishes to controvert the allegations "must specify the particular allegation or allegations he wishes to controvert" or they are deemed admitted (*id.*). And a defendant may "controvert an allegation with respect to" a prior conviction on the ground that it was unconstitutionally obtained "at any time during the course of the hearing hereunder" (see CPL 400.15 [7] [b]).

Where the "uncontroverted allegations . . . are sufficient to support a finding that the defendant has been subjected to a predicate violent felony conviction the court must enter such finding" and sentence defendant accordingly (CPL 400.15 [4]). Where the "uncontroverted allegations . . . are *not* sufficient to support [such] a finding" the court must hold a hearing (CPL

400.15 [5] [emphasis added]). At the hearing, the People are required to prove the defendant's predicate status "beyond a reasonable doubt by evidence admissible under the rules applicable to a trial of the issue of guilt" (CPL 400.15 [7] [a]), but not the prior conviction's constitutionality (*People v Diggins*, 11 NY3d 518, 524 [2008]). Once the fact of the prior conviction has been established, it is the defendant's burden to allege and prove facts to establish his claim that the conviction was unconstitutionally obtained (*Harris*, 61 NY2d at 15).

Defendant argues that, once he asserted that his 1996 conviction was unconstitutionally obtained, these statutory provisions required the court to hold a hearing in which he could call witnesses. But to obtain a hearing, a defendant must do more than make conclusory allegations that his prior conviction was unconstitutionally obtained. He must support his allegations with facts (*People v Gordon*, 251 AD2d 93 [1st Dept 1998]; *People v Greco*, 230 AD2d 23, 31 [4th Dept 1997]).

[6] Here, defendant stated only that he wanted to call numerous witnesses who, he claimed, would demonstrate that his "guilty pleas were coerced" and that his attorney was "ineffective." But defendant did not explain how his guilty pleas were coerced or in what way his attorney was ineffective. Nor did defendant indicate what information the named witnesses would provide on these issues. These unsupported allegations were insufficient to entitle defendant to a hearing on the constitutionality of his prior conviction.

Accordingly, the order of the Appellate Division should be affirmed.

SMITH, J. (dissenting in part). During defendant's trial, one of his lawyers was accused in open court of joining with defendant in attempts to suborn perjury and to bribe a potential witness. Under a number of federal cases, this accusation, true or false, would be enough to create a per se, unwaivable, conflict requiring disqualification of the lawyer or, failing that, reversal of defendant's conviction (see e.g. *United States v Jones*, 381 F3d 114 [2d Cir 2004]; *United States v Fulton*, 5 F3d 605, 609-610 [2d Cir 1993]). I agree with the majority in rejecting this rule. In other words, I would hold that the conflict could be waived, or that, even if not waived, the failure to disqualify the lawyer would not justify reversal if it had no effect on defendant's representation.

But here, the trial court never asked defendant whether he

would waive the conflict, much less conducted the hearing necessary to assure that any waiver was knowing and intelligent (see *People v Gombert*, 38 NY2d 307 [1975]). Nor did the trial court inquire at all, so far as the record shows, into the prosecutor's allegations or their possible impact on the trial. The prosecutor's motion to disqualify was never ruled on, and the conflicted lawyer continued to participate, in a significant way, in defendant's defense. Under the circumstances, I do not see how we can affirm defendant's conviction without at least requiring a post-trial hearing into whether the conflict operated on the representation.

Our recent decision in *People v Ennis* (11 NY3d 403, 410 [2008]) explains the framework we use to decide issues like this:

“A claim that defense counsel's representation was compromised by a conflict of interest requires two inquiries. First, the court must examine the nature of the relationship or circumstances that are alleged to establish a conflict. Second, if a conflict is identified, the court must determine whether the conflict operated on the representation, i.e., whether the relationship or circumstances bore a substantial relation to the conduct of the defense.” (Internal quotation marks and citations omitted.)

When a lawyer is accused (rightly or wrongly) of criminal conduct related to the subject matter of the case against his client, the first *Ennis* test is met—the “relationship or circumstances” establish a conflict. The reasons are explained in the federal cases (see e.g. *United States v Jones*, 381 F3d at 120): Any lawyer, guilty or innocent, in the situation faced by defendant's lawyer here would recognize that his personal interests were very much at stake, and would feel a strong need to protect himself—a goal that might not be consistent with protecting his client. Thus, it cannot be said here, as we said in *Ennis*, that “[m]any (perhaps most) attorneys would not have perceived any conflict” (11 NY3d at 411). There are few, if any, lawyers who could easily disregard the possibility of disbarment or criminal proceedings against them personally, even if their client's interests demanded it.

The second step in the *Ennis* analysis is to determine whether the conflict “operated on the representation.” The trial court here never took this step. As a result of this error, the record before us is silent as to whether there are witnesses who might have been called, questions that might have been asked, or

strategies that might have been pursued if defendant's lawyer's personal interests had not been threatened.

Specifically, we have no way of knowing whether defense counsel ever really considered calling the "woman named Jennifer" (see majority op at 6) as a witness; it may well be that Jennifer, if she existed, could have given no testimony (other than testimony known to be perjured) that would have helped defendant, but nothing in this record proves that. Also, while L.T., the source of the prosecutor's information about defendant's lawyer, did not testify, her name came up both in the direct examination of defendant (conducted by the lawyer accused of wrongdoing) and on the prosecutor's cross-examination. The record does not show whether the lawyer would have handled this subject differently if L.T. had not been his accuser. And there is nothing to show whether an offer to provide information to the People as part of a plea or sentence bargain was a realistic option for defendant. If it was, it would surely have been hard for the lawyer—knowing it at least possible that defendant would provide information about the lawyer himself—to give impartial advice on the subject.

Astonishingly, the majority makes the absence from the record of necessary information—the consequence of the trial court's failure to conduct stage two of the inquiry *Ennis* requires—a basis for *affirming* defendant's conviction. The silence of the record, it says, is "the fault of defendant, whose burden it is to establish that the conflict operated on the representation" (majority op at 12-13 n 4). The flaw in this assertion seems almost too obvious for statement: How was defendant supposed to meet that burden while represented by the very counsel who was subject to the conflict? The majority seems to suggest three possible answers to this question, all completely unsatisfactory.

First, the majority notes (majority op at 11-12) that the conflicted lawyer sat in the second chair at the trial, and that the lead lawyer had no apparent conflict. Thus, the majority implies, the silence of the record is "the fault of defendant" because his lead counsel did not attack his own co-counsel's fitness to continue in the case. But no authority supports, and simple common sense contradicts, the idea that defendant may be blamed for his lawyer's failure to attack his colleague.

Secondly, the majority surmises that there "must have" been an off-the-record conference, in which the concerns raised by

the prosecutor's application to disqualify were resolved (majority op at 8). But even in off-the-record discussions, defendant was represented by the same conflicted counsel—and in any event, can it be doubted that, where the record shows an apparent impairment of a defendant's right to conflict-free representation, the problem must be resolved on the record, not off it?

Thirdly, the majority suggests that defendant's remedy was a post-trial motion under CPL article 440 (presumably to be made after defendant obtained new counsel) (majority op at 12). The majority cites no authority holding that a post-trial motion is necessary to obtain relief for an error apparent on the face of the trial record—no doubt because the law is to the contrary. We held in *People v Crump* (53 NY2d 824, 825 [1981]):

“[I]nasmuch as both the trial court's failure to make any inquiry and the conflict of interest between defendant and Barclay are discernible from the record, the question of whether defendant was deprived of the effective assistance of counsel is appropriate for resolution on defendant's direct appeal from his conviction. While it is true that claims of ineffective assistance of counsel often involve factual questions which can best be addressed in a collateral or post-conviction proceeding brought under CPL 440.10 (see *People v Brown*, 45 NY2d 852, 854), where, as here, the record discloses that reversible error has occurred below, defendant should not be relegated to such collateral proceedings to obtain relief.”

Where a defendant claims that his lawyer was conflicted, but the record contains no evidence of a conflict, that evidence must be supplied in a post-trial motion (see *People v Mora*, 290 AD2d 373 [1st Dept 2002]; *People v Frias*, 250 AD2d 495 [1st Dept 1998]). But here, the record shows both the conflict and an error by the trial court in dealing with it, as the majority essentially concedes (see majority op at 13 [to address the issue on the record “surely would have been better practice”]). For me, the only difficult issue in this case is what remedy for this error defendant is entitled to. I am prepared to hold that he is not entitled to a new trial, but only to a hearing on the issue of how, if at all, the apparent conflict affected his representation. But I find the majority's holding that he is entitled to no remedy at all indefensible.

Judges GRAFFEO, PIGOTT and JONES concur with Judge READ;
Judge SMITH dissents in part in a separate opinion in which
Chief Judge LIPPMAN and Judge CIPARICK concur.

Order affirmed.

[923 NE2d 1095, 896 NYS2d 707]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GEORGE
DAVIS, Appellant.

Argued October 22, 2009; decided November 24, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 9, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Eduardo Padro, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

People v Davis, 54 AD3d 575, affirmed.

HEADNOTE**Crimes — Lesser Included Offense — Criminal Sale of Controlled Substance**

In the prosecution of defendant for selling drugs to an undercover police officer, the trial court, having instructed the jury on the agency defense, did not err in refusing to charge criminal possession of a controlled substance in the seventh degree (Penal Law § 220.03) as a lesser included offense of criminal sale of a controlled substance in the third degree (Penal Law § 220.39). As it is possible to sell drugs without concomitantly, by the same conduct, possessing them, criminal possession is not a lesser included offense of criminal sale of a controlled substance. Although a drug sale requires an ability to proceed with the sale, ability to sell does not require proof of possession of the contraband. A middleman paid a commission by a seller, for example, may be guilty of sale but not possession. A different result is not required where, as here, the agency defense was charged, permitting the jury to find defendant an agent of the buyer, rather than a seller, and treat him accordingly. Nothing about the agency defense requires a defendant to be charged with possession, though he or she may confess to it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Drugs and Controlled Substances §§ 142, 150,
160, 161; AM JUR 2d, Trial §§ 932, 933, 1197–1201.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY'S, Penal Law §§ 220.03, 220.39.

NY JUR 2d, Criminal Law: Procedure §§ 2728–2730, 2775,
2790, 2793; NY JUR 2d, Criminal Law: Substantive
Principles and Offenses §§ 1630, 1631, 1660, 1669.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Instruction to
Jury; Lesser Included Offenses.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sale /3 controlled /2 substance /s charg! instrust! /s
lesser /2 included /s possession

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Sara Gurwitch and Richard M. Greenberg of counsel), for appellant. In a drug sale prosecution where there is a judicially-recognized agency defense, simple drug possession is a lesser included offense of drug sale. (*People v Glover*, 57 NY2d 61; *People v Cogle*, 94 AD2d 158; *People v Harrison*, 136 AD2d 469; *People v Lam Lek Chong*, 45 NY2d 64; *People v Andujas*, 79 NY2d 113; *People v Sierra*, 45 NY2d 56; *People v Alvarez*, 51 AD3d 167, 11 NY3d 785; *People v Carr*, 49 AD2d 656, 41 NY2d 847; *People v Van Buren*, 188 AD2d 887; *People v Mike*, 92 NY2d 996.)

Robert M. Morgenthau, District Attorney, New York City (Vincent Rivelles and Patrick J. Hynes of counsel), for respondent. Drug possession is not a lesser included offense of drug sale, regardless of whether the trial court submits the agency defense. (*People v Glover*, 57 NY2d 61; *People v Sierra*, 45 NY2d 56; *People v Van Buren*, 188 AD2d 887; *People v Leon*, 7 NY3d 109; *People v Barney*, 99 NY2d 367; *People v Martin*, 59 NY2d 704; *People v Van Norstrand*, 85 NY2d 131; *People v Mike*, 92 NY2d 996; *People v Gondolfo*, 94 Misc 2d 696; *People v Yon*, 300 AD2d 1127.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we are asked to determine whether it was error for Supreme Court to refuse to charge criminal possession of a controlled substance in the seventh degree as a lesser included offense of criminal sale of a controlled substance in the third degree when an agency defense was properly submitted to the jury. Applying the test articulated in *People v Glover* (57 NY2d 61, 63 [1982]), because it is possible to sell drugs without concomitantly, by the same conduct, possessing them, we hold that criminal possession is not a lesser included offense of criminal sale of a controlled substance and decline to adopt a different rule for cases where the agency defense is charged.

On March 13, 2005, defendant was arrested for selling drugs to an undercover police officer. He was indicted for criminal sale of a controlled substance in the third degree (Penal Law

§ 220.39). At trial, the officer testified that he had approached defendant outside a building known for drug sales. When defendant asked what he was looking for, the officer requested two bags of crack and gave defendant \$60. Defendant then went inside the building, came back outside, and handed the officer two bags of crack cocaine. In contrast, defendant testified that he was approached by the undercover officer at a donut shop and the officer asked for help purchasing crack. In return, the officer promised to “look out for” defendant. According to defendant, after helping the officer purchase a crack pipe, he led the officer to the building, took \$40 the officer gave him, went inside alone, purchased crack, and gave the crack to the officer, all without receiving payment for his services. The officer and defendant then left in opposite directions and defendant was followed by a second undercover officer until he was apprehended by a nearby field team.

At defendant’s request, Supreme Court instructed the jury on the agency defense, explaining that “a person is not guilty of selling a controlled substance if he was acting as the agent of the buyer.” The prosecution never objected to this instruction, and does not contest its propriety. Supreme Court, however, denied the defense’s request to charge criminal possession of a controlled substance as a lesser included offense of the sale charge. Defendant was convicted, and the Appellate Division affirmed the judgment, holding that criminal possession is not a lesser included offense of the sale charge because “it is not necessary to possess a controlled substance in order to offer or agree to sell it” (*People v Davis*, 54 AD3d 575, 575 [1st Dept 2008], quoting *People v Cogle*, 94 AD2d 158, 159 [3d Dept 1983]). As to defendant’s argument that cases where an agency defense is submitted to the jury should be treated differently, the Appellate Division stated that this “is a matter best left to the Court of Appeals” (*Davis*, 54 AD3d at 577). A Judge of this Court granted leave to appeal (11 NY3d 924 [2009]) and we now affirm.

A criminal defendant may request that the jury consider any “lesser included offense” of a count charged in an indictment that is reasonably supported by the evidence (CPL 300.50 [1], [2]). An offense is “lesser included” if “it is impossible to commit [the charged] crime without concomitantly committing, by the same conduct, another offense of lesser grade or degree” (CPL 1.20 [37]). In *Glover* (57 NY2d at 63), we established a two-pronged test to determine when a defendant is entitled to

have a lesser included offense charged. First, the proposed lesser offense must be “an offense of lesser grade or degree” and it must be “*in all circumstances . . . impossible to commit the greater crime without concomitantly, by the same conduct, committing the lesser offense*” (*id.* [emphasis added]). Second, there must be “a reasonable view of the evidence in the particular case that would support a finding that [defendant] committed the lesser offense but not the greater” (*id.*).

Although prior to *Glover* we asked only whether it was impossible to commit the greater crime without the lesser on the particular facts of the case, *Glover* broadened the inquiry to whether it is possible “in theory” to commit the greater crime without committing the lesser (57 NY2d at 64). Defendant’s reliance on pre-*Glover* cases is therefore misplaced. Indeed, we have recently and repeatedly reaffirmed this aspect of *Glover*’s holding (*People v James*, 11 NY3d 886, 888 [2008] [applying the *Glover* test]; *People v Miller*, 6 NY3d 295, 302-303 [2006] [clearly stating that “we have no intention of departing from *Glover*”]). Although *Glover*’s theoretical approach necessarily means that in many cases the proposed lesser crime was, in fact, committed, this approach has the benefit of ensuring uniformity in charging lesser included offenses. Today we once again affirm that whether it is possible to commit the greater offense without committing the lesser must be determined by “a comparative examination of the statutes defining the two crimes, in the abstract” (*Glover*, 57 NY2d at 64).

Turning to the statutes at issue here, it is possible to commit the sale crime without committing the possession crime. One charged with criminal sale of a controlled substance in the third degree is charged with “knowingly and unlawfully sell[ing] . . . a narcotic drug” (Penal Law § 220.39 [1]); “sell” is defined broadly as “to sell, exchange, give or dispose of to another, or to offer or agree to do the same” (Penal Law § 220.00 [1]). Thus, sale does not necessitate possession in the seventh degree—“knowingly and unlawfully possess[ing] a controlled substance” (Penal Law § 220.03)—since possession requires “physical possession or . . . dominion or control over tangible property” (Penal Law § 10.00 [8]). One need not have dominion or control over a drug in order to offer to sell it to someone else.

This analysis is in no way altered by our holding in *People v Mike* (92 NY2d 996, 998 [1998]) that a drug sale requires an “ability to proceed with the sale.” As we stated in *Mike*, ability to sell does not require “proof of possession of the contraband”

(*id.* at 998-999). For example, a middleman paid a commission by a seller may be guilty of sale but not possession.

Defendant and the dissenting opinion urge us to reach a different result here because the agency defense was charged, permitting the jury to find defendant an agent of the buyer, rather than a seller, and treat him accordingly. Nothing about the agency defense, however, requires a defendant to be charged with possession, though he may confess to it. The agency defense is a well-established “interpretation of the statutory definition of the term ‘sell’ ” (*People v Andujas*, 79 NY2d 113, 117 [1992]). Although “[r]eading the statute literally, any passing of drugs from one person to another would constitute a sale” (*People v Lam Lek Chong*, 45 NY2d 64, 72 [1978]), we have held that “[o]ne who acts solely as the agent of the buyer cannot be convicted of the crime of selling narcotics” (*id.* at 73). This assertion of agency is not a complete defense because it acknowledges defendant’s wrongdoing. A defendant who asserts the agency defense acknowledges that he is guilty of a crime, but it is not necessarily a crime for which he is charged.

Because the agency defense is a defense, not a separate crime under the sale statute, it does not alter our analysis under *Glover*. Thus, as the Appellate Division correctly noted and the dissenting opinion acknowledges, a ruling that drug possession is a lesser included offense of a drug sale count in agency defense cases would require an exception to the *Glover* test. We decline to fashion such an exception. Determining whether to charge a defendant with possession of a controlled substance initially is a standard exercise of prosecutorial discretion. Supreme Court therefore did not err in refusing to submit the charge of criminal possession of a controlled substance in the seventh degree to the jury as a lesser included offense of criminal sale of a controlled substance in the third degree.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Relying on *People v Glover* (57 NY2d 61 [1982]), the majority holds Supreme Court did not err in refusing to charge criminal possession of a controlled substance in the seventh degree as a lesser included offense of criminal sale of a controlled substance in the third degree. I disagree because a trial judge’s failure or refusal to charge seventh degree or simple possession as a lesser included offense in a drug case where the agency defense is properly submitted to the jury may

lead to incongruous and deleterious results. Under the circumstances of this case, therefore, an exception to *Glover* is warranted. Accordingly, I dissent and would reverse the order of the Appellate Division.

The first requirement under *Glover*—“that it is theoretically impossible to commit the greater crime without at the same time committing the lesser” (57 NY2d at 64; see CPL 1.20 [37])—does not consider the realities that typically attend a drug sale prosecution where the agency defense is asserted. Although it is theoretically possible to commit criminal sale in the third degree without concomitantly, by the same conduct, possessing the drugs, the likelihood of that happening is remote. This is why prosecutors in the real world frequently charge defendants in drug sale cases with both criminal sale and possession.

To be sure, the uniformity that arises from consistent application of a legal standard is important. However, blindly fitting the *Glover* standard to this type of case flies in the face of common sense and fundamental fairness.

The very nature of the agency defense supports the view that strict application of *Glover* is inappropriate here. The agency defense is unique in that it requires the defendant to admit he/she criminally possessed drugs as an agent of the buyer. We have stated this defense

“is not a complete defense. The defendant who has been a party to a drug sale is not relieved of all criminal responsibility simply because he was acting for the buyer. The agency concept is essentially a means of determining the extent of the intermediary’s culpability, and thus the nature of his crime, under a statutory scheme which reserves the most severe penalties for [drug sellers]. Evidence that the defendant was acting solely as an agent of the buyer is properly employed to determine whether he is guilty of possession, instead of sale” (*People v Lam Lek Chong*, 45 NY2d 64, 74 [1978] [citations omitted]).

To set forth the facts underlying the admitted wrongdoing the defendant will usually take the stand, bringing his/her credibility into question. The jury, therefore, must determine whether defendant’s testimony should be credited and, ultimately, whether defendant should be held criminally liable as an agent of the buyer (i.e., to the same extent as the buyer).

In a drug sale case such as this, not charging simple possession where the trial court properly submits the agency defense

to the jury undermines the defense. That is, a jury weighing a defendant's testimony that he/she was an agent of a purchaser of drugs, without the lesser charge that the defendant all but admitted, gives less credence to the agency defense. Further, submitting the agency defense without simple possession may have a coercive effect on a jury. Given only one choice, a jury which believes the agency defense may acquit a defendant who admitted to criminal drug possession or, out of a belief that the defendant should be held criminally liable for the offense admitted to, convict the defendant of a greater crime than the one actually committed.

Here, the Appellate Division, after noting that this Court has recognized an exception to the "impossibility" test, stated that "whether another exception . . . should be recognized on account of the agency defense . . . is a matter best left to [this Court]" (*People v Davis*, 54 AD3d 575, 577 [1st Dept 2008]). Based on the foregoing and the fact that in the instant case there was a reasonable view of the evidence from which the jury could have concluded that defendant committed the crime of simple possession (Supreme Court saw fit to submit the agency defense to the jury), this Court should recognize simple possession as such an exception and view it as a lesser included offense of criminal sale of a controlled substance in the third degree. This conclusion is consistent with this Court's prior decisions recognizing exceptions to the statutory definition of "lesser included offense" (see *People v Miller*, 6 NY3d 295 [2006] [held defendants' second degree murder convictions (intentional and standard felony murder) were lesser included under their first degree murder convictions (intentional felony murder) *even though it was theoretically possible to commit intentional felony murder without committing standard felony murder*]; *People v Green*, 56 NY2d 427 [1982]). Moreover, charging simple possession in this sort of case would not amount to reversible error. Nor does such a charge aggrieve the People. If the evidence adduced at trial makes out criminal possession in the seventh, that is what defendant will be convicted of.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge CIPARICK; Judge JONES dissents and votes to reverse in a separate opinion in which Judge PIGOTT concurs.

Order affirmed.

[923 NE2d 1137, 896 NYS2d 749]

In the Matter of CHASM HYDRO, INC., et al., Appellants, v NEW YORK STATE DEPARTMENT OF ENVIRONMENTAL CONSERVATION, Respondent.

Argued January 7, 2010; decided February 16, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 29, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Franklin County (David Demarest, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed a petition to stay administrative proceedings commenced by respondent.

Matter of Chasm Hydro, Inc. v New York State Dept. of Envtl. Conservation, 58 AD3d 1100, affirmed.

HEADNOTE

Proceeding against Body or Officer — Prohibition — When Remedy Available—Administrative Enforcement Proceeding for Violation of State Water Quality Laws Permitted

A CPLR article 78 petition in the nature of prohibition did not lie to prevent respondent Department of Environmental Conservation (DEC) from bringing an administrative enforcement proceeding for the violation of state water quality laws against petitioners, the owners and operators of a hydroelectric dam. DEC is authorized pursuant to Clean Water Act § 401 (d) to enforce violations of New York's water quality standards (33 USC § 1341 [d]). Petitioners failed to establish a clear legal right to relief or that prohibition would provide a more complete and efficacious remedy than the administrative proceeding and resulting judicial review. Nor did they clearly establish that DEC's enforcement action was in excess of its jurisdiction. Whether DEC's causes of action fall within the State's power to determine that construction and operation of the project as planned would be inconsistent with one of the designated uses of the water should be determined, in the first instance, through the administrative process. Further, the administrative proceeding should address whether the dam, as a project exempt from certain Federal Power Act requirements, should be treated the same as a project licensed under the Act for the purpose of preemption analysis.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 248, 365; AM JUR 2d, Pollution Control §§ 736–740; AM JUR 2d, Prohibition §§ 8, 10, 11, 41, 43.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:166–145:172.

NY JUR 2d, Article 78 and Related Proceedings §§ 137–141, 168; NY JUR 2d, Environmental Rights and Remedies §§ 46, 303.

SIEGEL, NY PRAC § 559.

33 USCA § 1341 (d).

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Prohibition Writ; Water Pollution.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prohibition /s admin! /4 enforcement /4 proceeding
& water /2 quality

POINTS OF COUNSEL

Poklemba & Hobbs, LLC, Malta (Gary C. Hobbs of counsel), for appellants. I. The New York State Department of Environmental Conservation's authority over the Chasm Dam, as a federally regulated dam, is preempted by federal law. (*Brownville Power Corp. v Hydro Dev. Group*, 97 AD2d 947; *First Iowa Hydro-Electric Cooperative v FPC*, 328 US 152; *FPC v Oregon*, 349 US 435; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Env'tl. Conservation*, 82 NY2d 191, 511 US 1141; *Fourth Branch Assoc. v Department of Env'tl. Conservation*, 146 Misc 2d 334; *California v FERC*, 495 US 490; *Rivers Elec. Co., Inc. v 4.6 Acres of Land Located in Town of Catskill, County of Greene*, 731 F Supp 83.) II. This Court has previously rejected the New York State Department of Environmental Conservation's claim that it has regulatory authority over appellants' federally approved dam repairs, where the repairs may affect the "cleanliness" of the river water. (*First Iowa Hydro-Electric Cooperative v FPC*, 328 US 152; *FPC v Oregon*, 349 US 435; *California v FERC*, 495 US 490; *Matter of de Rham v Diamond*, 32 NY2d 34; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Env'tl. Conservation*, 187 AD2d 7, 82 NY2d 191, 511 US 1141; *Fourth Branch Assoc. v Department of Env'tl. Conservation*, 146 Misc 2d 334; *Matter of Erie Blvd. Hydropower, L.P. v Stuyvesant Falls Hydro Corp.*, 30 AD3d 641.) III. Exhaustion of administrative remedies is not required where an agency is proceeding in excess of its jurisdiction. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Young Men's Christian Assn. v Rochester Pure Waters Dist.*, 37 NY2d 371; *Matter of Town of Bellmont v New York State Dept. of Env'tl.*

Conservation, 284 AD2d 761; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Envtl. Conservation*, 82 NY2d 191; *State of New York v United States*, 620 F Supp 374; *Atlantic States Legal Found., Inc. v Eastman Kodak Co.*, 12 F3d 353, 513 US 811.)

Andrew M. Cuomo, Attorney General, Albany (Owen Demuth, Barbara D. Underwood, Andrew D. Bing, Lisa M. Burianek and Joseph Koczaja of counsel), for respondent. Section 401 (d) of the Federal Water Pollution Control Act (Clean Water Act) authorizes the New York State Department of Environmental Conservation to enforce violations of New York's water quality standards and the related conditions and limitations that the State of New York imposed to assure compliance with those standards. (*S.D. Warren Co. v Maine Bd. of Environmental Protection*, 547 US 370; *PUD No. 1 of Jefferson Cty. v Washington Dept. of Ecology*, 511 US 700; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Envtl. Conservation*, 82 NY2d 191, 511 US 1141; *Matter of Town of Huntington v New York State Div. of Human Rights*, 82 NY2d 783; *Matter of Schumer v Holtzman*, 60 NY2d 46; *American Rivs., Inc. v Federal Energy Regulatory Commn.*, 129 F3d 99; *City of Tacoma, Wash. v Federal Energy Regulatory Commn.*, 460 F3d 53; *Matter of Eastern Niagara Project Power Alliance v New York State Dept. of Envtl. Conservation*, 42 AD3d 857; *Fletcher v Kidder, Peabody & Co.*, 81 NY2d 623, 510 US 993; *DDB Tech., L.L.C. v MLB Advanced Media, L.P.*, 517 F3d 1284.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we must determine whether a CPLR article 78 petition in the nature of prohibition lies to prevent the New York State Department of Environmental Conservation (DEC) from bringing an administrative enforcement proceeding against Chasm Hydro, Inc. and the other petitioners for the violation of a variety of state water quality laws. Because petitioners have an adequate remedy at law and have not demonstrated that the agency has exceeded its jurisdiction, prohibition does not lie.

Petitioners own and operate the Chasm Hydro Dam on the Chateaugay River in the Town of Chateaugay, Franklin County. Under the Federal Power Act (FPA), the Federal Energy Regulatory Commission (FERC) has licensing authority over the dam and authority to exempt projects from the Act's licensing procedures (16 USC § 791a *et seq.*). Although regulation of

hydroelectric dams is generally vested in FERC, states exercise some control over a dam's impact on water quality. Section 401 of the Federal Water Pollution Control Act, commonly referred to as the Clean Water Act (CWA), requires that any application for a federal license or permit that may result in discharge into navigable waters must first receive state certification that the activities being licensed will not violate the state's water quality standards (33 USC § 1341 [a]).

In 1980, before Chasm Dam began operating, petitioners received a water quality certificate from DEC. It certified that the dam's operation would comply with New York's water quality standards provided that the dam receive DEC approval for any future construction, abide by applicable state law, and conduct any draining and refilling for repairs or maintenance gradually to avoid damage downstream. FERC issued Chasm an exemption from certain FPA requirements in 1981, noting that the exemption "requires compliance with any conditions that . . . State fish and wildlife agencies have determined appropriate to prevent loss of, or damage to, fish and wildlife resources."*

In 2005, petitioners informed FERC and DEC that they wanted to drain the pond in order to repair the dam and penstock, and in June 2006 petitioners submitted an application to DEC for any necessary permits. DEC issued a combined Environmental Conservation Law article 15 stream disturbance permit and revised CWA § 401 water quality certificate that authorized draining of the pond behind the dam. The water quality certificate stated that the proposed sediment removal would not violate water standards under the CWA, "provided that all of the conditions listed herein are met." These conditions included limits on the amount of sediment petitioners could move (200 cubic yards) and the methods used to remove it, as well as a general requirement that petitioners minimize downstream turbidity and sediment accumulation. The permit explicitly noted that it did not authorize dam repairs. In July 2006, FERC authorized repair of the dam, with "the understanding that all work will be done to meet the environmental requirements as stipulated on the NYSDEC permit." In September 2006, petitioners opened the dam's bottom drain gate and allegedly discharged approximately 4,000 cubic yards of sediment into the river.

* FERC grants case-specific exemptions from licensing to small hydroelectric projects of five megawatts or less (18 CFR 4.30).

DEC commenced an enforcement proceeding by notice of hearing and administrative complaint on November 10, 2006, alleging several violations of the ECL. The first two causes of action allege that Chasm violated ECL 17-0501 and 6 NYCRR 703.2 by discharging sediment, sand, and paint into the river. The third cause of action alleges that Chasm violated ECL 15-0501 (1) and its stream disturbance permit by disturbing and removing material from the riverbed. The fourth cause of action alleges that Chasm further violated section 15-0501 (1) by depositing sediment in the river without a stream disturbance permit. The fifth cause of action alleges that Chasm engaged in dam repair without a permit, in violation of ECL 15-0503 (1). Finally, the sixth cause of action alleges that Chasm discharged substances injurious to fish, in violation of ECL 11-0503 (1).

Petitioners commenced this CPLR article 78 proceeding seeking to enjoin DEC's action as extra-jurisdictional, and DEC cross-moved for dismissal of the petition. Supreme Court dismissed the petition, finding the issue "not ripe for review," and noted that petitioners' preemption arguments would be fully addressed in the administrative proceeding and any resulting appeals. The Appellate Division unanimously affirmed, determining that DEC has authority to regulate petitioners' activity in order to protect water quality (58 AD3d 1100 [2009]). We granted leave to appeal (12 NY3d 710 [2009]) and now affirm on different grounds.

Petitioners contend that DEC's authority over a federally regulated dam is preempted by federal law and that DEC is therefore proceeding in excess of its jurisdiction (*see Matter of Niagara Mohawk Power Corp. v New York State Dept. of Envtl. Conservation*, 82 NY2d 191, 193-194 [1993]). In response, DEC argues that, because CWA § 401 (d) authorizes it to enforce violations of New York's water quality standards (33 USC § 1341 [d]), it is acting within its authority by bringing this administrative enforcement proceeding against Chasm. We conclude that petitioners have failed to meet their heavy burden, as they have not established a clear legal right to relief or that prohibition would provide a "more complete and efficacious remedy" than the administrative proceeding and resulting judicial review (*Matter of Town of Huntington v New York State Div. of Human Rights*, 82 NY2d 783, 786 [1993]; accord *Matter of City of Newburgh v Public Empl. Relations Bd. of State of N.Y.*, 63 NY2d 793, 795 [1984] ["prohibition does not lie against an administrative agency if another avenue of judicial review is available, absent a demonstration of irreparable injury to the applicant"]).

Petitioners have not clearly established that DEC's enforcement action is in excess of its jurisdiction. Whether these causes of action fall within the State's power to "determine[] that construction and operation of the project as planned would be inconsistent with one of the designated uses" of the water (*PUD No. 1 of Jefferson Cty. v Washington Dept. of Ecology*, 511 US 700, 714 [1994]) should be determined, in the first instance, through the administrative process. In addition to the issues raised before this Court, the administrative proceeding should address whether the dam, as an exempt project, should be treated the same as a licensed project for the purpose of preemption analysis.

The courts below properly dismissed the article 78 petition. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[923 NE2d 1099, 896 NYS2d 711]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JUWANNA
WROTTEN, Respondent.

Argued November 17, 2009; decided December 15, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 30, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Steven Lloyd Barrett, J., on application for televised testimony; Harold Silverman, J., at witness availability hearing, trial and sentence), which had convicted defendant, upon a jury verdict, of assault in the second degree, and (2) remanded the matter for a new trial.

People v Wrotten, 60 AD3d 165, reversed.

HEADNOTES

Crimes — Right of Confrontation — Live Two-Way Televised Testimony — Authority of Trial Court to Permit Televised Testimony of Adult Witness

1. Supreme Court had the authority to permit the adult complainant to testify at defendant's trial via live, two-way televised testimony following a finding of necessity. Although the Legislature has primary authority to regulate court procedure, the State Constitution permits the courts latitude to adopt procedures consistent with general practice as provided by statute. By enacting Judiciary Law § 2-b (3), the Legislature has explicitly authorized the courts' use of innovative procedures where "necessary to carry into effect the powers and jurisdiction possessed by [the court]." There is no specific statutory authority evincing legislative policy proscribing televised testimony, and, in fact, the CPL requires live video testimony of a child witness in a prosecution of a sex crime after a judicial finding of "vulnerability" (CPL art 65). Because article 65 addresses only a single, discrete circumstance and otherwise leaves courts' preexisting authority unaffected (*see* CPL 65.10 [3]), testimony via two-way televised transmission of a witness found to be elderly, infirm and physically incapable of appearing in court, as complainant was found to be by the trial court here, is presumably left to the trial court's discretion. Nor do the statutes providing for preservation of pretrial testimony implicitly preclude the admission of live video testimony. The CPL does not purport to list all instances where live video testimony is permissible or all possible solutions to the problem of an unavailable witness.

Crimes — Right of Confrontation — Live Two-Way Televised Testimony — Authority of Trial Court to Permit Televised Testimony of Adult Witness — Exercise of Authority Following Finding of Necessity Permissible under Confrontation Clause

2. The exercise of Supreme Court's authority to permit live, two-way televised testimony of the adult complainant following a finding of necessity was

permissible under the Confrontation Clauses of both the Federal and State Constitutions (*see* NY Const, art I, § 6; US Const 6th Amend). Assuming without deciding that two-way video does not always satisfy the Confrontation Clause's face-to-face confrontation requirement, complainant's testimony here would nonetheless be admissible under the federal standard if findings of necessity and reliability were made by Supreme Court. Live two-way video may preserve the essential safeguards of testimonial reliability, and so satisfy the Confrontation Clause's primary concern with ensuring the reliability of the evidence against a criminal defendant by subjecting it to rigorous testing in the context of an adversary proceeding before the trier of fact, provided all of the other elements of the confrontation right are preserved. Those traditional indicia of reliability, which include testimony under oath, the opportunity for contemporaneous cross-examination, and the opportunity for the judge, jury and defendant to view the witness's demeanor as he or she testifies, were all present here. Moreover, if Supreme Court's findings were supported by clear and convincing evidence, the requirement that an important public policy be furthered by the proposed procedure was satisfied. The public policy of justly resolving criminal cases while at the same time protecting the well-being of a witness can require live, two-way video testimony in the rare case where a key witness cannot physically travel to court in New York and where, as here, defendant's confrontation rights have been minimally impaired.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1072–1075, 1080.
CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:74–
195:81, 195:92–195:94.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.3,
24.4.
McKINNEY'S, CPL 65.10 (3); Judiciary Law § 2–b (3); NY
Const, art I, § 6.
NY JUR 2d, Courts and Their Jurisdiction § 2:289; NY JUR
2d, Criminal Law: Procedure §§ 2268–2271, 2283–2286.
US Const 6th Amend.

ANNOTATION REFERENCE

Closed-circuit television witness examination. 61 ALR4th
1155.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: testi! /4 televis! video! /s live /p court /s authori! &
necessity

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Peter D. Coddington and Hannah E.C. Moore of counsel), for appellant. Nisi prius

correctly permitted the complainant to testify via live, two-way television in a criminal trial. (*People v Cintron*, 75 NY2d 249; *Coy v Iowa*, 487 US 1012; *Maryland v Craig*, 497 US 836; *United States v Moses*, 137 F3d 894; *United States v Weekley*, 130 F3d 747; *United States v Turning Bear*, 357 F3d 730; *United States v Rouse*, 111 F3d 561; *United States v Etimani*, 328 F3d 493; *United States v Miguel*, 111 F3d 666; *United States v Quintero*, 21 F3d 885.)

Office of the Appellate Defender, New York City (*Daniel A. Warshawsky*, *Richard M. Greenberg* and *Anastasia B. Heeger* of counsel), for respondent. I. In allowing the complainant to testify against Juwanna Wrotten via two-way television, the trial court exceeded its authority, made a substantive policy determination that only the Legislature could make, and violated the Criminal Procedure Law, and Ms. Wrotten is therefore entitled to a new trial. (*Maryland v Craig*, 497 US 836; *People v Cintron*, 75 NY2d 249; *Bourquin v Cuomo*, 85 NY2d 781; *Cohen v State of New York*, 94 NY2d 1; *Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *People v Ricardo B.*, 73 NY2d 228; *People v Mezon*, 80 NY2d 155; *People v Ayala*, 75 NY2d 422; *Farrington v Pinckney*, 1 NY2d 74; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407.) II. The two-way video testimony of the complainant violated Juwanna Wrotten's right to confrontation under the United States and New York Constitutions and, where no important public policy justified the court's decision to permit the complainant to testify in that manner, Ms. Wrotten's conviction must be reversed. (*Maryland v Craig*, 497 US 836; *People v Cintron*, 75 NY2d 249; *Ohio v Roberts*, 448 US 56; *Crawford v Washington*, 541 US 36; *Coy v Iowa*, 487 US 1012; *Pointer v Texas*, 380 US 400; *United States v Bordeaux*, 400 F3d 548; *United States v Yates*, 438 F3d 1307; *United States v Gigante*, 166 F3d 75; *Gentry v Deuth*, 381 F Supp 2d 614, 456 F3d 687.) III. Where evidence adduced at trial by Juwanna Wrotten tended to establish that she had employed only non-deadly physical force against the complainant, and that she had only employed that force to repel the complainant's attack against her, the court erred in failing to charge the jury with a justification defense under Penal Law § 35.15 (1). (*People v Butts*, 72 NY2d 746; *People v Petty*, 7 NY3d 277; *People v McManus*, 67 NY2d 541; *People v Rivera*, 138 AD2d 169; *People v Padgett*, 60 NY2d 142; *People v Spittler*, 168 AD2d 919; *People v Wesley*, 76 NY2d 555; *People v Ogodor*, 207 AD2d 461; *People v Jones*, 148 AD2d 547.)

Richard D. Willstatter, New York City, and *Murray E. Singer*,

Great Neck, for New York State Association of Criminal Defense Lawyers, amicus curiae. The trial court lacked the authority to permit the complainant to testify from another state by means of a live, two-way television transmission.

OPINION OF THE COURT

CIPARICK, J.

In *People v Cintron* (75 NY2d 249 [1990]), we upheld the use of two-way televised testimony of a vulnerable child witness and concluded that no violation of either the Federal or State Constitution existed. On this appeal, we are asked to determine whether Supreme Court erred in permitting an adult complainant living in another state to testify via real-time, two-way video after finding that because of age and poor health he was unable to travel to New York to attend court. We conclude that Supreme Court did not err, as the court's inherent powers and Judiciary Law § 2-b vest it with the authority to fashion a procedure such as the one employed here. Furthermore, we conclude that defendant's confrontation rights have not been unconstitutionally impaired.

In June 2003, defendant, a home health aide, was with 83-year-old complainant at his home in the Bronx. They were making food to bring to complainant's wife, who was in a nursing home. According to complainant, defendant suddenly hit him from behind with a hammer and demanded money, which he gave her. According to defendant, she hit complainant with "something" only after he grabbed her breast, and she neither asked for nor received money. Complainant suffered five head wounds and two broken fingers. Shortly after the incident, he moved to California to be near his children. Defendant was indicted for assault in the first degree and two counts of robbery in the first degree.

Prior to trial, the People sought and were granted a conditional examination of complainant pursuant to CPL 660.20.¹ This examination proved unfeasible, however, because CPL article 660 requires that the examination be conducted in New York State and complainant was unable to travel. The People then requested that the conditional examination be allowed to proceed via two-way video conferencing, with the witness

1. The People alternatively sought to examine the complaining witness upon commission in California pursuant to CPL 680.20 and 680.30. This relief was denied because the statute provides that such commission is available only upon the application of a defendant (CPL 680.30).

remaining in California and the commissioners conducting the examination in New York. Supreme Court granted the relief sought, but required that complainant's video appearance be live at trial and that the People first demonstrate that the witness would otherwise be unavailable to testify in New York.

After a hearing at which both the People and the defendant presented expert medical testimony, the court, crediting the People's experts, held that complainant—at that time 85 years old, frail, unsteady on his feet, and with a history of coronary disease—could not travel to New York without endangering his health, and was therefore unavailable. At trial, complainant testified live from a courtroom in California via two-way video, appearing “on screen.” He stated that he could see the judge, prosecutor, defense counsel, defendant, and jury. The judge stated that the witness could be seen “very clearly,” including “any expressions on his face.”

Defendant was convicted of second degree assault only. On appeal, a divided Appellate Division reversed and vacated the conviction, holding that, in the absence of any express legislative authorization, Supreme Court lacked authority to permit the admission of televised testimony (*People v Wrotten*, 60 AD3d 165, 167 [1st Dept 2008]). The dissent concluded that Supreme Court retained discretion under its inherent powers and Judiciary Law § 2-b (3) to utilize this new procedure without legislative authorization (*Wrotten*, 60 AD3d at 192). A Justice of that court granted leave to appeal and we now reverse.

Although the Legislature has primary authority to regulate court procedure, “the Constitution permits the courts latitude to adopt procedures consistent with general practice as provided by statute” (*People v Ricardo B.*, 73 NY2d 228, 232 [1989]). By enacting Judiciary Law § 2-b (3), the Legislature has explicitly authorized the courts' use of innovative procedures where “necessary to carry into effect the powers and jurisdiction possessed by [the court].” Thus, as we have acknowledged, courts may fashion necessary procedures consistent with constitutional, statutory, and decisional law (*see Ricardo B.*, 73 NY2d at 232-233 [a trial court has authority to empanel two juries, despite clear statutory references to a single jury and no statutory authorization for multiple juries]).

Unable to find any explicit statutory prohibition regarding two-way televised testimony at trial, defendant argues that extant statutes implicitly preclude its admission. However, there

is no specific statutory authority evincing legislative policy proscribing televised testimony. Indeed, the CPL requires live video testimony of a child witness in a prosecution of a sex crime after a judicial finding of “vulnerability” (CPL 65.00-65.30).² The CPL is silent as to other types of witnesses, like complainant here whom the trial court found to be elderly, infirm, and physically incapable of appearing in court. Because article 65 addresses only a single, discrete circumstance and otherwise leaves courts’ preexisting authority unaffected (CPL 65.10 [3] [“(n)othing herein shall be construed to preclude the court from exercising . . . any authority it otherwise may have to protect the well-being of a witness and the rights of the defendant”]), such witnesses’ testimony via two-way televised transmission is presumably left to the trial court’s discretion.

[1] Neither do the statutes providing for preservation of pre-trial testimony implicitly preclude the admission of live video testimony. CPL article 680 permits testimony taken by “examination on a commission” outside New York on defendant’s application to be received as evidence at trial (CPL 680.10, 680.20). CPL article 660 allows either party to secure testimony—including videotaped testimony—for subsequent use in a case where the witness will be unavailable for trial (CPL 660.10, 660.20). These statutes do not speak to the permissibility of real-time video testimony subject to cross-examination in front of a jury. Nowhere does the CPL purport to list all instances where live video testimony is permissible or all possible solutions to the problem of an unavailable witness. Supreme Court, acting pursuant to its inherent powers as defined in the New York Constitution and Judiciary Law, was therefore not precluded from exercising its authority to utilize necessary, extrastatutory procedures.

[2] Moreover, the exercise of this authority following a finding of necessity is permissible under the Confrontation Clauses of both the Federal and State Constitutions. We held in *Cintron* that CPL article 65’s authorization of two-way closed-circuit testimony in a criminal trial passes constitutional muster (75 NY2d at 253). Soon after, the United States Supreme Court held that live testimony via one-way closed-circuit television is permissible under the Federal Constitution, provided there is an

2. Article 65 mandates that, on the motion of either party, a court must consider evidence of a child witness’s vulnerability and, if the court finds the child to be vulnerable, it must permit video testimony (CPL 65.00-65.30).

individualized determination that denial of “physical, face-to-face confrontation” is “necessary to further an important public policy” and “the reliability of the testimony is otherwise assured” (*Maryland v Craig*, 497 US 836, 850 [1990]). Thus, assuming without deciding that two-way video does not always satisfy the Confrontation Clause’s “face-to-face meeting” requirement (*cf. United States v Gigante*, 166 F3d 75, 81 [2d Cir 1999] [not applying the *Craig* standard because the trial court’s use of two-way video “preserved the face-to-face confrontation”]), complainant’s testimony would nonetheless be admissible under the federal standard if findings of necessity and reliability were made by the trial court.

Live two-way video may preserve the essential safeguards of testimonial reliability, and so satisfy the Confrontation Clause’s primary concern with “ensur[ing] the reliability of the evidence against a criminal defendant by subjecting it to rigorous testing in the context of an adversary proceeding before the trier of fact” (*Craig*, 497 US at 845). Essential to the holding in *Craig* was that “all of the other elements of the confrontation right” were preserved, including testimony under oath, the opportunity for contemporaneous cross-examination, and the opportunity for the judge, jury, and defendant to view the witness’s demeanor as he or she testifies (*id.* at 851). These traditional indicia of reliability were all present in this case.

Additionally, if Supreme Court’s findings were supported by clear and convincing evidence, *Craig*’s public policy requirement is satisfied here. Nowhere does *Craig* suggest that it is limited to child witnesses or that a “public policy” basis for finding necessity must be codified. Indeed, federal courts have permitted live video testimony in a variety of circumstances, including instances where public policy is implicated by a key witness too ill to appear in court (*see e.g. Horn v Quarterman*, 508 F3d 306, 317-318 [5th Cir 2007] [denying habeas relief where state court admitted two-way video testimony of witness too ill to travel]; *United States v Benson*, 79 Fed Appx 813 [6th Cir 2003] [permitting the two-way video testimony of an elderly witness too ill to travel]; *United States v Gigante*, 166 F3d 75, 79 [2d Cir 1999] [permitting two-way video testimony of a key prosecution witness too ill to travel]). Other states have likewise

allowed the admissibility of two-way video testimony.³ We agree that the public policy of justly resolving criminal cases while at the same time protecting the well-being of a witness can require live two-way video testimony in the rare case where a key witness cannot physically travel to court in New York and where, as here, defendant's confrontation rights have been minimally impaired.

Live televised testimony is certainly not the equivalent of in-person testimony, and the decision to excuse a witness's presence in the courtroom should be weighed carefully. Televised testimony requires a case-specific finding of necessity; it is an exceptional procedure to be used only in exceptional circumstances. We do not decide here whether Supreme Court's finding of necessity rested on clear and convincing evidence, as the Appellate Division did not address that question. We only pass on whether Supreme Court had authority to utilize a procedure "necessary to carry into effect the powers and jurisdiction possessed by it" (Judiciary Law § 2-b [3]). As the dissent below correctly noted, "[i]n the absence of direction from the Legislature, Supreme Court retained discretion . . . to determine what steps, if any, could be taken to permit this prosecution to proceed notwithstanding the complaining witness's inability to be physically present in the courtroom" (*Wrotten*, 60 AD3d at 192).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that court for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]) and all other issues raised but not determined on the appeal to that court.

JONES, J. (dissenting). In the absence of *any* express legislative authorization, the trial court here lacked the authority to permit the complainant to testify from California via live two-way television. Accordingly, I dissent and would affirm the order of the Appellate Division.

The Legislature provided for the taking of testimony by live two-way television *only* under the limited circumstances set forth under article 65 of the Criminal Procedure Law (L 1985,

3. *See e.g. Bush v State* (193 P3d 203, 215-216, 2008 WY 108, ¶ 52 [2008] [approving live video testimony of a witness too ill to travel to court in Wyoming]); *State v Sewell* (595 NW2d 207, 210 [Minn Ct App 1999] [approving live video testimony of a witness too ill to travel to court in Minnesota]); *Harrell v State* (709 So 2d 1364, 1368-1371, 23 Fla L Wkly 236 [1998] [approving live video testimony where witnesses could not travel to court in Florida, in part because of one witness's ill health]).

ch 505), which was enacted in response to the widespread recognition that child victims of sex abuse crimes typically suffer from acute anxiety and psychological trauma when giving live testimony (see *People v Cintron*, 75 NY2d 249, 254 [1990] [“The legislative purpose for permitting (certain child witnesses to testify via live two-way closed-circuit television) is the avoidance of the severe mental or emotional harm that may result from requiring a child witness to testify in the public atmosphere of the courtroom concerning the intimate sexual details of the crime”]). In enacting article 65, the Legislature promulgated a comprehensive scheme

“designed to further the aim of insulating child witnesses from the trauma of testifying in open court and also, under certain conditions, from having to testify in the presence of the defendant while, at the same time, fully preserving the defendant’s constitutional rights (see Mem of Dept of Law, Bill Jacket, L 1985, ch 505, at 34-38; Preiser, 1985 Practice Commentary, McKinney’s Cons Laws of NY, Book 11A, CPL 65.00, 1990 Supp Pamph, at 485-486)” (*id.*).

“The Legislature drafted article 65 with full recognition of the necessity of safeguarding a defendant’s confrontation rights and with the explicit aim of providing sufficient limitations and protections to meet the constitutional requirements” (*id.* at 260, citing Mem of Dept of Law and numerous other memoranda in support, Bill Jacket, L 1985, ch 505). Further, the Legislature explicitly detailed that (1) article 65 applies only in prosecutions for incest or sex crimes under article 130 of the Penal Law where the testifying witness is 14 years of age or younger and found to be vulnerable to psychological harm if compelled to testify in the presence of the defendant, (2) in order for a child witness to be declared vulnerable (in such case, trial court must permit the televised testimony), the trial court must “determine[] by clear and convincing evidence that the child witness would suffer serious mental or emotional harm that would substantially impair the child witness’ ability to communicate with the finder of fact without the use of live, two-way closed-circuit television” (CPL 65.20 [2]), and (3) a trial court, in considering a vulnerability application, may consider whether any one or more of 12 enumerated circumstances have been established by clear and convincing evidence (see CPL 65.20 [10]).

In this case the trial court allowed the televised testimony based on its finding that the People established by clear and convincing evidence that complainant was unable to travel to

New York without seriously endangering his health and was thus unavailable to testify. This was error.

From the exhaustive nature of the Legislature's grant of authority permitting courts to receive televised testimony under the specific limited circumstances discussed above, there is a strong inference that the Legislature intended to exclude grants of authority under other circumstances (such as those present here).^{*} In my view, the detail that attends CPL article 65, coupled with the CPL's silence as to other circumstances where a court may admit live two-way televised testimony, sets the parameters of the trial court's discretion. Thus, by allowing the instant complainant's testimony, the trial court exceeded its discretionary authority. Contrary to the majority's suggestion, the trial court did not have "preexisting authority" (majority op at 38) to admit complainant's testimony pursuant to CPL 65.10 (3). That provision, which must be read in the context of the child witnesses covered under article 65, speaks to a court's inherent authority to protect the well-being of such witnesses, not the general (and amorphous) "preexisting authority" the majority speaks of. According to this article's Bill Jacket,

"[s]ection 65.10 . . . clarifies that the power to order the use of closed-circuit television in no way supplants the court's . . . inherent authority to otherwise protect the well-being of the child. The bill leaves undisturbed the court's power to, among other measures, allow for the presence of a person who can provide emotional support to the child witness when he or she testifies or adjust the courtroom setting to make it more comfortable and less threatening to the child witness" (Mem of Dept of Law, Bill Jacket, L 1985, ch 505, at 21).

In light of the fact that the Legislature has with painstaking detail addressed the subject of when certain absent witnesses can testify by means of two-way television, Judiciary Law § 2-b (3) cannot serve as the basis for granting trial courts the authority to receive such testimony. Section 2-b (3) authorizes a court of record to create new procedures "necessary to carry into effect the powers and jurisdiction possessed by [the court]."

^{*} The level of specificity employed by the Legislature in enacting article 65 and addressing when witnesses can testify outside the courtroom (by depositions, conditional examinations [CPL article 660] and examinations on commission [CPL article 680]) implies that similar activities not specifically authorized are forbidden.

However, it does not authorize a court to fashion a procedure that is inconsistent with existing law. Nor does it authorize a court to disregard the critical policy decisions already made by the Legislature. In reversing the Appellate Division, the majority, under the guise of upholding the inherent powers of the courts, has recognized a trial court ruling that is wholly inconsistent with article 65 (the existing law) and accorded no weight to the substantive policy choices made by the Legislature. Under the circumstances of this case, therefore, section 2-b (3) is inapposite.

If the inherent powers of the courts are sufficient to authorize the televised testimony in this case or, as stated by the majority, allow a trial court to make a “finding of necessity” (majority op at 38) regarding such testimony, these powers necessarily represent a broad source of authority that would permit trial courts to use live, two-way, televised testimony in ways not contemplated under article 65. That is, there would have been no need for the Legislature to enact article 65 in the first place. For example, a court, under its inherent powers, could be authorized to use such testimony in cases where it would be medically unsafe for any witness, regardless of age or where the witness resides, to travel to the particular New York court where the criminal matter is pending.

In addition, the majority’s use of the phrase “finding of necessity” is confusing. If the majority is arguing that allowing complainant’s testimony was “necessary to carry into effect the powers and jurisdiction possessed by [the court]” (Judiciary Law § 2-b [3]), that argument fails because the majority has not established, outside the circumstances prescribed in CPL article 65, that trial courts have the authority (discretionary or otherwise) to admit the testimony at issue. If the majority is arguing that allowing such testimony furthers an important public policy, they are necessarily referring to a policy decision the Legislature has not to this point made.

Moreover, the majority’s view of the courts’ inherent powers presents a number of problems. First, there does not appear to be any discernible limitation, within the inherent powers of the courts, on a court’s authority to allow the admission of an absent witness’s televised testimony as long as it is “necessary to carry into effect the powers and jurisdiction possessed by [the court]” (Judiciary Law § 2-b [3]). Second, what happens when individual courts, on similar facts, reach different conclusions as to whether to allow the admission of televised testimony or

some other subject pertaining to the State's public policy? Third, it appears that the majority's ruling effectively circumscribes the Legislature's role by allowing trial courts to (a) determine issues with public policy implications on a case by case basis and (b) create procedural rules for the sole purpose of allowing prosecutions to proceed (in direct contravention to state law).

In sum, because there was no express legislative authorization permitting the complainant to testify from California via live two-way television, the trial court here lacked the authority to admit complainant's testimony.

SMITH, J. (dissenting). I join Judge Jones's dissent, but add my own because I think that the majority's opinion is wrong on the constitutional issue as well as the statutory one.

Article I, § 6 of the New York State Constitution ("In any trial in any court whatever the party accused shall . . . be confronted with the witnesses against him or her") and the Sixth Amendment to the United States Constitution ("In all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him") protect the right of confrontation. (I assume here that the content of the state and federal rights is the same; I know of no authority holding otherwise.) If, as the majority holds, what happened in this case is permissible under the Criminal Procedure Law, the constitutional questions presented are whether defendant was denied her right of confrontation and if so whether there is an adequate excuse for the denial. I answer yes to the first question and no to the second.

The right of confrontation includes—indeed, is, at its core—the right to meet one's accuser face to face (*Coy v Iowa*, 487 US 1012, 1016 [1988]). Neither our Court nor the United States Supreme Court has held, and I would not now hold, that a two-way-television encounter is "face to face" in this sense. The assumption underlying the constitutional right of confrontation is that a witness brought into the presence of the accused will be less likely to swear to a false accusation, or to do so convincingly (*id.* at 1019). The point of confrontation is thus the psychological effect it has on the witness. That effect is, beyond question, substantially diluted when, though the witness and the accused can see each other, the witness knows that the accused is far away. I therefore conclude that defendant in this case was not permitted to "confront" her accuser in the constitutional sense, and I would reject so much of *United States*

v Gigante (166 F3d 75, 80-81 [2d Cir 1999]) as may be read to hold otherwise.

That conclusion does not resolve the case, because we held in *People v Cintron* (75 NY2d 249 [1990]) and the United States Supreme Court held in *Maryland v Craig* (497 US 836 [1990]) that the right of face to face confrontation is not absolute, and may be denied where “an appropriate individualized showing of necessity is made” (*Cintron*, 75 NY2d at 258)—or, as the Supreme Court put it, where “denial of such confrontation is necessary to further an important public policy” (*Craig*, 497 US at 850). But *Cintron* and *Craig* involved child victims in sexual assault cases, and presented a far more compelling case than this one for making an exception to the right of confrontation.

In *Cintron* and *Craig*, the harm to be avoided—emotional trauma to a child—would be caused by the confrontation itself; there was no way to avoid the harm except by dispensing with face to face confrontation. Here, the threatened harm is to the health of an elderly witness from the stress of travel, and there is a way to avoid that harm without depriving defendant of her confrontation right: bring the accused to the witness, instead of bringing the witness to the accused. In other words, the dilemma could be resolved by allowing the deposition or conditional examination of the complainant to be taken in California, with defendant present. It may well be that that solution is not available under New York’s statutes, but this does not affect the constitutional analysis. New York cannot deprive defendant of her constitutional right by its Legislature’s choice not to provide for a way of accommodating both that right and the witness’s legitimate interest.

Thus, while I agree with Judge Jones that the Appellate Division’s reversal of defendant’s conviction on statutory grounds—a result that has the virtue of avoiding the constitutional issue—was correct, I also believe that, if the constitutional issue is reached, we should decide it in defendant’s favor.

Judges GRAFFEO, READ and PIGOTT concur with Judge CIPARICK; Judge JONES dissents and votes to affirm in a separate opinion in which Judge SMITH concurs; Judge SMITH dissents in another dissenting opinion; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[924 NE2d 336, 897 NYS2d 382]

In the Matter of CITY OF NEW YORK et al., Appellants, v PATROLMEN'S BENEVOLENT ASSOCIATION OF THE CITY OF NEW YORK, INC., et al., Defendants, and SERGEANTS' BENEVOLENT ASSOCIATION OF THE CITY OF NEW YORK et al., Respondents.

Argued November 18, 2009; decided December 17, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 16, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Lottie E. Wilkins, J.), entered in a proceeding pursuant to CPLR article 78, which had (a) granted the petition to review the determinations of New York City Board of Collective Bargaining (Board) granting improper practice petitions filed by respondent Detectives Endowment Association of the City of New York, Inc. and respondent Captains Endowment Association of the City of New York, Inc., (b) annulled the determinations, and (c) denied the cross motion by respondents New York City Office of Collective Bargaining and Marlene A. Gold to dismiss the petition; (2) denied the petition; (3) reinstated the Board's determinations; and (4) dismissed the proceeding.

Matter of City of New York v Patrolmen's Benevolent Assn. of City of N.Y., Inc., 56 AD3d 70, reversed.

HEADNOTE

Civil Service — Collective Bargaining — Change in Drug Testing Methodology and Testing Triggers for New York City Police Officers

Petitioner New York City Police Department Commissioner's decision to change the scientific methodology to be used for drug testing of police officers from urine testing to hair testing (radioimmunoassay), and to change the circumstances prompting testing, was within his discretionary authority and was excluded from collective bargaining as a matter of policy. Although there exists a presumption that all terms and conditions of employment are subject to mandatory bargaining, some subjects are excluded from collective bargaining as a matter of policy, even where no statute explicitly says so. New York City Charter § 434 (a) and Administrative Code of the City of New York § 14-115 (a) state the policy favoring management authority over police disciplinary matters in clear terms and express a policy so important that the policy favoring collective bargaining should give way. Petitioner's disciplinary authority under sections 434 (a) and 14-115 (a) is not limited to the formal disciplinary process, and the detection and deterrence of wrongdoing within the New York

City Police Department—particularly crimes, such as illegal drug use—is a crucial component of petitioner's responsibility to maintain discipline within the force. Testing methodology and testing triggers are subjects that are inextricably intertwined with petitioner's authority to conduct drug testing in the first place.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 50, 63, 68; AM JUR 2d, Labor and Labor Relations §§ 2268, 2270.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 449–451; NY JUR 2d, Counties, Towns, and Municipal Corporations § 893.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining; Drugs and Narcotics; Police and Law Enforcement Officers.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: collective /2 bargaining /p drug /2 testing /s method! /p police /2 commissioner

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Julian L. Kalkstein* and *Larry A. Sonnenshein* of counsel), for appellants. The New York City Charter and Administrative Code grant the New York City Police Department Commissioner full disciplinary authority of the department. Therefore the Commissioner has full authority to both institute hair drug testing procedures to uncover individual or systemic corruption and to investigate accusations of malfeasance. The City Board of Collective Bargaining erred when it determined that the Commissioner's disciplinary authority was limited and he was required to engage in collective bargaining before instituting drug testing by hair in order to maintain the discipline and good order of the department. (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 13 AD3d 879, 6 NY3d 563; *People ex rel. Masterson v French*, 110 NY 494; *Matter of De Boer v Looney*, 60 Misc 2d 673; *Matter of Di-Lauria v Police Commrs. of Town of Harrison*, 285 AD2d 464; *Matter of Gamma v City of Newburgh*, 277 AD2d 236; *Kelley v Johnson*, 425 US 238; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273;

Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County, 34 NY2d 222; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674.)

Steven D. DeCosta, General Counsel, Office of Collective Bargaining, New York City (John F. Wirenius of counsel), for New York City Office of Collective Bargaining and another, respondents. I. The City of New York's fatally late and fatally flawed new evidence and new theories of the case are not properly before the Court. (*Matter of Chaplin v New York City Dept. of Educ.*, 48 AD3d 226; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Lichtman v Grossbard*, 73 NY2d 792; *Matter of County of Erie v State of N.Y. Pub. Empl. Relations Bd.*, 12 NY3d 72; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273; *People v Rossi*, 70 AD2d 575; *Livoti v Mallon*, 92 AD2d 532; *W.G. & Assoc., LLC v A. Aleem Constr., Inc.*, 33 AD3d 387; *DeSoignies v Cornasesk House Tenants' Corp.*, 21 AD3d 715.) II. The Appellate Division properly interpreted the Civil Service Law, the New York City Charter and Administrative Code to reach a result consistent with this Court's prior holdings, especially *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.* (6 NY3d 563 [2006]). (*Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Horn v New York Times*, 100 NY2d 85; *Wieder v Skala*, 80 NY2d 628; *People ex rel. Masterson v French*, 110 NY 494; *Matter of Von Essen v New York City Civ. Serv. Commn.*, 4 NY3d 220; *Matter of City of Mount Vernon v Cuevas*, 289 AD2d 674; *Matter of Montella v Bratton*, 93 NY2d 424; *Matter of Lynch v Giuliani*, 301 AD2d 351.)

Certilman Balin Adler & Hyman, LLP, East Meadow (Candace Reid Gladston, Michael C. Axelrod and Donna-Marie Korth of counsel), for Sergeants' Benevolent Association of the City of New York, Inc., and others, respondents. *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.* (6 NY3d 563 [2006]) does not foreclose

bargaining over prophylactic random drug testing procedures. (*Matter of Montella v Bratton*, 93 NY2d 424; *Matter of City of New York v MacDonald*, 201 AD2d 258; *Matter of Scornavacca v Leary*, 38 NY2d 583; *Police Benevolent Assn. of N.Y. State Troopers, Inc. v Division of N.Y. State Police*, 11 NY3d 96; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *People ex rel. Masterson v French*, 110 NY 494; *People ex rel. Hogan v French*, 119 NY 493; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273; *Matter of County of Erie v State of N.Y. Pub. Empl. Relations Bd.*, 12 NY3d 72.)

OPINION OF THE COURT

READ, J.

In January 2005, the New York City Police Department (NYPD) informed representatives of various police unions, including the Detectives Endowment Association (DEA), Patrolmen's Benevolent Association (PBA), Sergeants' Benevolent Association (SBA), and Captains Endowment Association (CEA) (collectively, the unions), that it intended to use a methodology for hair testing known as radioimmunoassay (hereafter, RIAH or hair analysis) for all drug screening of uniformed members, beginning the following summer. The unions protested that this decision was subject to collective bargaining. We disagree: the Police Commissioner's disciplinary authority over the NYPD vests him with discretion to choose the scientific methodology to be used for drug testing, and the circumstances prompting testing; i.e., so-called testing triggers.

I.

At the time this dispute began to take shape, drug testing of uniformed members was governed by several Patrol Guide Procedures (PGP), effective January 1, 2000, two of which called for checking either urine or hair samples. Specifically, PGP No. 205-30 specified testing either the urine or hair of members reasonably suspected of illegal drug use; and PGP No. 205-35, which allowed members subject to unsubstantiated allegations of illegal drug use to request voluntary testing, provided for testing of either hair or urine samples. In addition, all probationary NYPD members received an end-of-probation medical examination, which included drug testing of hair samples. RIAH was the methodology used for hair testing.

PGP No. 205-29 addressed random drug testing, whereby an automated database was used to select uniformed members who

were directed to appear at a specified time and date for testing. While this PGP did not identify urine analysis as the testing methodology, it incorporated a number of steps specific to urine testing. Four other PGPs similarly did not actually identify the method of drug testing, but referred only to the collection of urine samples: PGP No. 205-32 (covering members applying for and assigned to the Organized Crime Control Bureau); PGP Nos. 205-31 and 205-33 (covering members applying for assignment to designated specialized units); and PGP No. 205-34 (covering members applying for discretionary promotions).

Representatives of the City of New York and the unions met several times to discuss the NYPD's plan to phase out urine analysis in favor of RIAH. At the first meeting, held on January 7, 2005 at the New York City Office of Labor Relations, the City explained that there would be no change to existing NYPD policies regarding drug testing triggers, due process protection, and disciplinary consequences; the only modification of existing policies was the switch from urine analysis for most drug testing to RIAH for all drug testing. At a second meeting with the City on February 15, 2005, the unions asked questions and voiced concerns, and the City provided additional information about hair analysis.

By letter to the New York City Commissioner of Labor Relations, dated April 21, 2005, the unions requested an additional meeting "to continue our collective bargaining¹ to discuss our concerns regarding hair follicle testing which the [NYPD] intends to implement over the summer." On April 27, 2005, the Commissioner sent the unions a copy of a planned Finest Message from the NYPD's Chief of Personnel, addressed to all commands. The cover letter identified the Finest Message as "the Police Department's drug testing policy regarding the use of hair analysis," and stated that "[a]s previously discussed, the City is providing you with a copy of this policy in advance of its August 1, 2005 implementation."

The subject of the enclosed Finest Message was "Expanding the Use of Hair Analysis as a Means of Drug Screening Uniformed Members of the Service." It began by explaining that effective August 1, 2005, the NYPD would

"expand the use of hair analysis as a means of
drug screening uniformed members of the service.

1. The City characterized its discussions with the unions as "information sharing," not collective bargaining.

Beginning on that date, the [NYPD] will use hair analysis in lieu of the current practice of using urine analysis to conduct random drug screening as well as for promotional drug screening. Hair analysis drug screening will also be used for uniformed members applying for assignment to designated specialized units.”

The Finest Message set out the protocol for collecting hair samples, and gave an assurance that appropriate chain-of-custody procedures would be followed; asserted that the NYPD had used hair analysis when testing for cause and at the end of probation since May 1995 and February 1996 respectively; and provided the following rationale for the changeover from urine analysis in most cases to RIAH in all cases:

“Hair analysis provides a window of detection of approximately ninety (90) days, compared with a relatively shorter window with urine analysis, and thereby provides a more effective method of detection. In addition, hair analysis cannot be evaded in the same fashion as urine analysis, where drug users can attempt to substitute clean specimens, or merely abstain from drug use for a few days, and pass the screening test. Furthermore, drug residues remain permanently embedded in the hair—they cannot be washed or bleached out.”

Finally, the Finest Message suspended any conflicting provisions of the NYPD’s manual or other directives.

Letters in the record from the Deputy Commissioner of the NYPD to the unions, dated June 6, 2005, indicate that City and union representatives met on June 1, 2005 to discuss further “the NYPD’s planned implementation of Hair Testing for [its] random drug screening program” and, according to the City, to address each of the unions’ outstanding concerns. These letters included as an enclosure a list of laboratories approved by the New York State Department of Health to conduct hair analysis “for reference only and pursuant to discussions at [the June 1st] meeting.” On August 1, 2005, the NYPD issued the same Finest Message supplied to the unions on April 27th.

On August 26, 2005, the DEA filed an improper practice petition on behalf of itself, the PBA and the SBA to commence proceedings before the Board of Collective Bargaining (the Board), a constituent body of the New York City Office of Collective Bargaining (OCB) (*see* New York City Collective

Bargaining Law [NYCCBL] [Administrative Code of City of NY] § 12-306; Rules of NY City Office of Collective Bargaining [61 RCNY] §§ 1-07, 1-12). This petition generally alleged that the NYPD violated NYCCBL § 12-306 (a) (4) by unilaterally changing its policy regarding drug testing.² The CEA filed an improper practice petition on November 7, 2005, which is described in the record as essentially identical to the earlier DEA petition.

The CEA alleged in its petition³ that the “procedures used by the [NYPD] in implementing a decision to conduct drug testing on employees [were] mandatory subjects of bargaining.” The CEA petition does not define what the word “procedures” is meant to encompass, but refers to “ ‘testing methodology, choice of laboratory, collection procedures, chain of custody, sample screening, conditions for retesting, and reporting and recording of test results’ ” (quoting *Matter of District Council 37, AF-SCME, AFL-CIO [New York City Emergency Med. Serv. of N.Y. City Health & Hosps. Corp.]*, 57 OCB 16 [BCB 1996] [Decision No. B-16-96], at 15 [following *Matter of Nassau County Police Benevolent Assn. (County of Nassau)*, 27 PERB ¶ 3054 (1994)]). The singular thrust of the CEA petition is that the NYPD engaged in an improper practice by “using RIAH exclusively in lieu of urine analysis to conduct random drug screening,” and/or “implementing . . . an expansion of RIAH testing”—i.e., by unilaterally changing the methodology for drug testing employees who were not under any suspicion of wrongdoing.⁴

In its answer to the CEA petition, the City responded generally that there had been no change in its long-standing “procedures” for hair testing, and that the “decision to expand hair testing primarily involve[d] a basic goal or mission of the employer.” As was the case with the CEA petition itself, what the City meant by “procedures” is not entirely clear, although the City also seems to have considered this word to embrace testing methodology. In sum, the City contended that it had not unilaterally modified a term or condition of employment because the NYPD already used RIAH for drug testing, and other

2. NYCCBL § 12-306 (a) (4) states that it is an improper practice for a public employer “to refuse to bargain collectively in good faith on matters within the scope of collective bargaining with certified or designated representatives of its public employees.”

3. The record includes a copy of only the CEA petition.

4. The only other unilateral change that the NYPD was ever alleged to have made was its designation in early 2006 of a different laboratory to perform RIAH testing of hair samples. The CEA brought up this issue in its reply to the City’s answer to its petition.

procedures employed for hair testing remained the same after August 1, 2005 as they had been before that date. That is, the City did not dispute that a change in drug testing procedures (however “procedures” might be defined) would give rise to an obligation to bargain with the unions; the City simply argued that there had been no change.

After the record closed in the proceedings before the Board, we issued our decision in *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.* (6 NY3d 563 [2006] [*PBA v PERB*]). In that case, we held that police discipline in New York City “may not be a subject of collective bargaining under the Taylor Law” because New York City Charter § 434 (a) and New York City Administrative Code § 14-115 (a) “expressly commit[] disciplinary authority over [the] police department to local officials” (*id.* at 570). The Board asked the parties to submit written statements to explain their respective positions on the applicability and impact, if any, of our decision.

In response, the unions took the position that *PBA v PERB* did not affect the duty to bargain over drug testing procedures because they “[were] not disciplinary procedures,” and “[did] not form the basis for discipline. Rather, the results of the tests, not the procedures, may form the basis for discipline.” The City countered that *PBA v PERB* foreclosed collective bargaining because “[t]esting procedures, testing triggers and disciplinary consequences [were] inextricably intertwined, at least in this situation, with the Police Commissioner’s disciplinary authority” under New York City Charter § 434 (a) and New York City Administrative Code § 14-115 (a). In short, the City now contended that drug testing procedures generally were disciplinary matters outside the purview of collective bargaining.

On December 4, 2006, the Board granted both petitions because it found that “even if [the] NYPD’s procedures for hair testing [were] the same [before and after August 1, 2005], the expansion of the categories of employees to whom the procedures now [were] applied constitute[d] a unilateral change in drug screening procedures” (*Matter of Detectives Endowment Assn. [City of New York]*, 77 OCB 37 [BCB 2006] [Decision No. B-37-2006], at 16 [emphasis added]).⁵ Similarly, the Board characterized the issue before it as “whether [the] NYPD’s adoption of

5. This opinion generally refers to the Board’s majority opinion in the DEA case only. The Board’s reasoning in the CEA decision was the same as in

(n. cont’d)

RIAH (hair) testing as the prescribed mechanism of drug screening under circumstances in which, prior to August 1, 2005, [the] NYPD tested only urine, constitute[d] a unilateral change in a mandatory subject of bargaining,” and concluded that it did (*id.* at 12). That is, the Board decided that an expansion of categories subject to testing (i.e., the adoption of additional testing triggers) and a change in testing methodology were subject to collective bargaining.

In reaching these conclusions, the Board relied on *County of Nassau* (*supra*), the “leading decision” of the New York State Public Employment Relations Board (PERB) on the topic of drug testing (*id.*). In *County of Nassau*, PERB opined that there was a “clear distinction between an employer’s decision to drug test employees and the procedures used to implement that decision, including the consequences of the testing.” As a result of this “clear distinction,” PERB held that an employer’s choice to conduct drug testing might not be a mandatory subject of bargaining,⁶ but that the procedures to implement that choice most certainly were. Further, PERB classified both the particular scientific methodology to be utilized for drug testing and testing triggers as “procedures.”⁷

Finally, the Board was not persuaded that our decision in *PBA v PERB* called for a different outcome. As the Board put it,

the DEA case. The Board did, however, address an additional question in the CEA case—i.e., “whether a change in testing laboratory [was] encompassed within mandatorily bargainable drug testing procedures” (*Matter of Captains Endowment Assn. [City of New York]*, 77 OCB 38 [BCB 2006] [Decision No. B-38-2006], at 10; *see also* n 4, *supra*). The Board decided that it was. As noted later, the CEA has withdrawn from this litigation (*see* n 9, *infra*).

6. While pointing out the “clear distinction” between the decision to test and procedures to implement such a decision, PERB did not express an opinion in *County of Nassau* about the negotiability of the former because it was not an issue in the case. Thus, PERB *assumed* for purposes of its analysis that a public employer’s decision to test employees for drugs was not mandatorily negotiable. In discussing its own prior decisions in this case, though, OCB seems to accept the proposition that the public employer’s decision to test employees for drugs is not subject to collective bargaining. But, as was the situation in *County of Nassau*, the Police Commissioner’s decision at this level of generality was never an issue in this case.

7. In *County of Nassau*, PERB identified the following as “several separate implementation decisions” or “procedures used to implement” a public employer’s decision to drug test employees: “testing methodology, testing triggers (*e.g.*, definition of reasonable suspicion), choice of laboratory, collection procedures, chain of custody, sample screening, conditions for retesting, reporting and recording of test results, due process protections, and disciplinary consequences” (emphasis added).

“[t]he procedural matters raised by the Unions, specifically, testing methodology, choice of laboratory, collection procedures, chain of custody, sample screening, conditions for re-testing, and reporting and recording of test results, are not implicit parts of the disciplinary process. As the Unions point out, the procedures for drug testing are utilized before any basis for discipline is determined by the Commissioner to exist . . . [T]he decision to conduct drug testing, like the decision to impose discipline, is a management right . . . not subject to bargaining; but . . . , unlike the matter of discipline, there is no statutory or policy basis to remove the procedures by which drug testing is to be conducted from within the scope of mandatory collective bargaining” (77 OCB 37, at 20).

There was a dissent to the Board’s decision on dual grounds:⁸ that the NYPD had not materially changed its drug testing procedures; and that the Board’s decision was “fundamentally irreconcilable” with *PBA v PERB (Matter of Captains Endowment Assn.*, dissenting op at 3). As for the former ground, the dissent noted that all NYPD uniformed members were already subject to hair testing, because that method had been used for end-of-probation, reasonable suspicion and voluntary drug screening. As a result, “[a]ll that ha[d] changed [was] the relative frequency with which the NYPD use[d] hair testing as opposed to urine testing, where the employees were already subject to testing with both procedures and where the procedures themselves were already well-established” (*id.* at 2).

Next, the dissent observed that *County of Nassau* and its progeny, which were cited by the Board to support its decision, all predated *PBA v PERB* and, in the case of the Board’s prior decisions, did not address the Police Commissioner’s responsibility for discipline. As a result, it was

“questionable . . . whether the distinction they purport[ed] to find between a decision to test for drugs (not mandatory) and the procedure to be utilized to test for drugs (mandatory) could now be

8. The Board is made up of two city representatives, two union representatives, and three impartial members. Both city representatives dissented in the CEA case. One of the city representatives recused himself in the DEA matter; the other city member dissented there, too, for the reasons set out in his dissent in the CEA case.

sustained in those jurisdictions such [as] the City of New York which have a special or local law relating to police discipline” (*id.* at 4).

The dissent further pointed out that, with respect to *PBA v PERB*,

“[a]mong the proposals held to be prohibited subjects of bargaining . . . were proposals that concerned the conduct of departmental investigations of possible misconduct. These investigatory procedures [were] necessarily utilized before the Commissioner determine[d] that there [was] any basis for discipline . . . Similarly, the Commissioner’s random drug tests are [to be] conducted for the purpose of investigating the possible misconduct of officer use of an illicit drug . . . The investigatory procedures utilized—whether interrogation procedures or biochemical assays—are an element of the Commissioner’s disciplinary decisions, and as such, under [*PBA v PERB*], are not proper subjects of bargaining” (*id.* at 5).

The dissent concluded by observing that the City had, for years, maintained two drug testing procedures (RIAH and urine analysis), applicable to all of the employees represented by the unions; thus, “[t]he decision to shift from predominant use of one test to predominant use of the other plainly [did] not constitute a material change in terms or conditions of employment, and it [was] clearly an exercise of the Commissioner’s authority over discipline” (*id.* at 6).

In January 2007, the City brought this CPLR article 78 proceeding to annul the Board’s decisions. In its petition, the City emphasized that hair testing is the most effective method for ferreting out illegal drug use, and that its hair testing procedures were “as related to the disciplinary process as were the investigatory interviews the Court of Appeals in [*PBA v PERB*] found to be prohibited collective bargaining subjects.” The City also again contended that it had not changed terms and conditions of employment because the complained-of procedures were identical to those already in effect in numerous contexts.

In a decision dated December 5, 2007, Supreme Court granted the City’s petition, annulled the Board’s decisions, and denied

OCB's cross motion to dismiss the City's petition.⁹ According to the court, the unions, in line with *County of Nassau*, argued that

“while the Police Commissioner's disciplinary authority over the police force included the right to screen officers for drug use, the expanded use of a particular testing method such as RIAH, along with the implementation of different procedures to administer the test, altered the terms and conditions of the represented officers' employment.”

The court disagreed, reasoning that “requiring that drug screening methodologies and practices be submitted to collective bargaining seriously limits the Commissioner's ability to effectively enforce discipline within the New York City Police Department.”

On October 16, 2008, the Appellate Division reversed Supreme Court's judgment on the law; reinstated the Board's decision; denied the City's petition; and dismissed the proceeding.¹⁰ The court reasoned that the expanded use of hair testing “does not implicate the Police Commissioner's discretion to conduct an investigation into an alleged infraction by a member of the force, a prerogative that arises *only after written charges have been preferred*” (*Matter of City of New York v Patrolmen's Benevolent Assn. of City of N.Y., Inc.*, 56 AD3d 70, 76 [1st Dept 2008] [emphasis added]). The Appellate Division concluded that “no persuasive policy reason ha[d] been advanced to require [OCB] to depart from its prior decisions, which . . . consistently found that routine drug screening procedures are a mandatory subject of collective bargaining” (*id.* at 71). We subsequently granted leave to appeal (12 NY3d 707 [2009]), and now reverse.

II.

The Taylor Law requires public employers to collectively bargain over “terms and conditions of employment of the public employees” (Civil Service Law § 204 [2]).¹¹ We have long recognized the “strong and sweeping policy of the State to

9. Prior to Supreme Court's decision, the CEA withdrew its opposition to the City's position in this litigation.

10. The PBA withdrew its appeal prior to the Appellate Division's decision in this case.

11. The Taylor Law allows localities to establish substantially equivalent provisions and procedures, to be administered by a local version of PERB, or a mini-PERB, such as OCB (Civil Service Law § 212). Consistent with the Taylor

(n. cont'd)

support collective bargaining under the Taylor Law” (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 778 [1976]). There exists a “presumption . . . that all terms and conditions of employment are subject to mandatory bargaining” (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 79 [2000]). Nonetheless, “some subjects are excluded from collective bargaining as a matter of policy, even where no statute explicitly says so” (*PBA v PERB*, 6 NY3d at 572). In *PBA v PERB*, we concluded that New York City Charter § 434 (a) and Administrative Code of the City of New York § 14-115 (a),¹² originally enacted as state statutes, “state the policy favoring management authority over police disciplinary matters in clear terms” and “express a policy so important that the policy favoring collective bargaining should give way” (*id.* at 576).¹³

The DEA and the SBA, the two unions remaining in this litigation, essentially ask us to endorse *County of Nassau* and to opine generally that the Police Commissioner’s decision to drug test uniformed officers is a managerial prerogative, but the “procedures” to implement his decision are mandatorily negotiable. There are two problems with this approach. First, the Police Commissioner’s authority under New York City Charter § 434 (a) and Administrative Code § 14-115 (a) was not implicated in *County of Nassau*; second, the only “procedures” that the DEA and SBA challenged or the Board addressed in this case were testing methodology and testing triggers. The record admits no possibility of misunderstanding on this score, as the detailed discussion of it in Part I illustrates. Specifically, the narrow issue decided by the Board, and therefore the only issue properly before us for review, is “whether [the] NYPD’s adoption of RIAH (hair) testing as the prescribed mechanism of drug screening under circumstances in which, prior to August 1, 2005, [the] NYPD tested only urine, constitute[d] a unilateral

Law, the New York City Collective Bargaining Law contains a requirement similar to Civil Service Law § 204 (2) (*see* NYCCBL § 12-307 [a]).

12. Section 434 (a) provides that “[t]he [police] commissioner shall have cognizance and control of the . . . discipline of the department, and of the police force of the department”; section 14-115 (a) specifies that, in cases of police misconduct, “[t]he [police] commissioner shall have power, in his or her discretion, . . . to punish the offending party.”

13. We noted that “where Civil Service Law §§ 75 and 76 apply, police discipline may be the subject of collective bargaining” (*PBA v PERB*, 6 NY3d at 573); however, New York City Charter § 434 (a) and Administrative Code § 14-115 (a) were grandfathered pursuant to Civil Service Law § 76 (4).

change in a mandatory subject of bargaining” (*Matter of Detectives Endowment Assn.*, *supra* at 12). In light of our decision in *PBA v PERB*, we conclude that it does not.

The Police Commissioner’s disciplinary authority under sections 434 (a) and 14-115 (a) is not limited to the formal disciplinary process; i.e., situations where allegations of misconduct have been made or are being adjudicated against identified officers. Our decision in *PBA v PERB* did not say this. Indeed, two of the five subjects covered by the expired collective bargaining agreement at issue in *PBA v PERB*—the length of time a police officer could confer with counsel before being questioned in a departmental investigation and guidelines for interrogation of police officers—preceded the lodging of any charges.

Moreover, the detection and deterrence of wrongdoing within the NYPD—particularly crimes, such as illegal drug use—is a crucial component of the Police Commissioner’s responsibility to maintain discipline within the force. And both the Board and the unions concede that the Commissioner may unilaterally institute drug testing of uniformed officers. They would, however, check his discretion to select the investigatory measures that he deems most effective to discover and deter illegal drug use by requiring collective bargaining over testing methodology and testing triggers. In our view, however, these subjects are inextricably intertwined with the Commissioner’s authority to conduct drug testing in the first place; they are not ancillary or tangential to his disciplinary authority. As Supreme Court put it

“if the Commissioner is not at liberty to use a particular drug test even after determining that [it] would be more effective at exposing drug use among police officers, then his ability to carry out his disciplinary ‘authority’ has been significantly limited. Similarly, decisions about when and where to use such a test—especially in the area of random testing—ha[ve] an obvious bearing [on] how effective efforts to detect drug use will ultimately be.”

Finally, we emphasize that we are answering only the discrete question posed in this case: whether drug testing methodology and testing triggers are encompassed within the Police Commissioner’s disciplinary authority and therefore are excluded from collective bargaining as a matter of policy. We are not saying that every step that the Commissioner takes or every decision

that he makes to implement drug testing is excluded from bargaining. The full extent or the limits of his unilateral disciplinary authority in the context of drug testing are simply not presented on this record.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[923 NE2d 1107, 896 NYS2d 719]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v STEPHEN
PRICE, Respondent.

Argued January 6, 2010; decided February 11, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 10, 2009. The Appellate Division affirmed an order of the Supreme Court, Suffolk County (Robert W. Doyle, J.), which had granted defendant's motion for an order pursuant to CPL 210.20 (1) (g) and 30.30 (1) (a) dismissing the indictment.

People v Price, 61 AD3d 127, affirmed.

HEADNOTE

Crimes — Right to Speedy Trial — Exceptional Circumstances Exclusion

In the prosecution of defendant for attempted disseminating indecent material to minors in the first degree, the period between an Appellate Division decision in an unrelated case which the People believed barred them from proceeding with defendant's prosecution and the Court of Appeals' reversal of that decision was not excludable for speedy trial purposes as an "exceptional circumstance" under CPL 30.30 (4) (g). There is no precise definition of what constitutes an exceptional circumstance under CPL 30.30 (4) (g). However, the range of application of the exclusion is limited by the dominant legislative intent of CPL 30.30 to discourage prosecutorial inaction. Thus, its application has been allowed only when the People for practical reasons beyond their control cannot proceed with a legally viable prosecution. Here, after the Appellate Division's decision, there could have been no legal basis to proceed further against defendant and the criminal complaint could have been withdrawn at that juncture. Subsequently, when the prosecution again became legally viable after the reversal by the Court of Appeals, the People could have attempted to recommence the prosecution. Although the circumstances presented were unusual, they were not exceptional within the meaning of CPL 30.30 (4) (g). The prosecutorial inaction resulting in the prolonged pendency of a criminal complaint against defendant without any judicial intervention and any notification to defendant of the status of the proceeding was the sort of conduct that CPL 30.30 was intended to curb. Legal rulings are routine events in criminal trials. The fact that a particular ruling may be erroneous does not by itself transform that ruling into an exceptional circumstance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 948, 956–958, 965.

CARMODY-WAIT 2d, Timeliness of Prosecution; Speedy Trial
§§ 186:61, 186:103.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–18.3.

McKINNEY’S, CPL 30.30 (1) (a); (4) (g).

NY JUR 2d, Criminal Law: Procedure §§ 1869, 1872, 1898, 1915, 1918.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Speedy Trial.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: speedy /2 trial /s exceptional /2 circumstance /s dismiss! & pending

POINTS OF COUNSEL

Thomas J. Spota, District Attorney, Riverhead (*Thomas C. Costello* of counsel), for appellant. The lower court erred when it dismissed the indictment on speedy trial grounds. (*People v Kozlow*, 31 AD3d 788, 8 NY3d 554; *People v Foley*, 94 NY2d 668, 531 US 875; *People v Smietana*, 98 NY2d 336; *People v Chavis*, 91 NY2d 500; *People v Cortes*, 80 NY2d 201; *People v Correa*, 77 NY2d 930; *People v Warren*, 81 AD2d 872; *People v Clayton*, 39 AD3d 873.)

Reynolds, Caronia, Gianelli, Hagney, La Pinta & Quatela, LLP, Hauppauge (*Christopher B. Abbott* of counsel), for respondent. The indictment was properly dismissed on speedy trial grounds, as there exists no exceptional circumstance pursuant to CPL 30.30 (4) (g). (*People v Smietana*, 98 NY2d 336; *People v Kozlow*, 31 AD3d 788; *People v Cortes*, 80 NY2d 201; *People v Warren*, 81 AD2d 872, 85 AD2d 747.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

At issue is whether the prosecution may rely on the “exceptional circumstances” exclusion contained within CPL 30.30 (4) (g) to avoid dismissal of defendant’s indictment on speedy trial grounds. We hold, as the Appellate Division did below, that the exclusion does not apply under the circumstances presented here.

On February 2, 2006, defendant was arraigned in Suffolk County on a felony complaint charging him with attempted disseminating indecent material to minors in the first degree. Defendant allegedly engaged in explicit, sexually motivated

internet conversations with an undercover police officer posing as a 14-year-old girl. The communication, however, did not involve the transmission of any sexual images.

Nearly six months later, on July 25, 2006, the Second Department held in *People v Kozlow* (31 AD3d 788 [2006], *revd* 8 NY3d 554 [2007]) that a defendant may not be convicted of the above-named crime where the communications upon which the conviction is sought do not include sexual images. In light of the decision in *Kozlow*, the District Attorney's office prosecuting this case—which is located within the Second Department—determined that defendant could not be indicted. The criminal complaint against defendant was, however, left pending.

On April 26, 2007, this Court reversed the Second Department in *Kozlow* and held that a defendant charged with the subject crime may properly be convicted of that crime “even though his communications contained no nude or sexual images” (8 NY3d at 556). Believing that our decision in *Kozlow* removed any barrier to the prosecution of defendant in this case, the People presented their case to the grand jury, which returned an indictment against defendant on May 30, 2007. Defendant was arraigned on that indictment on June 14, 2007, more than 16 months after he was initially arraigned on the felony complaint.

Defendant moved to dismiss the indictment on speedy trial grounds. The People opposed the motion, arguing that the interval between the Second Department's decision in *Kozlow* and this Court's reversal of *Kozlow*—a total of 275 days—should be excluded from the speedy trial calculation pursuant to the “exceptional circumstances” provision of CPL 30.30 (4) (g). Supreme Court granted defendant's motion, and the Appellate Division, in the order now before us by leave of a Judge of this Court, affirmed (61 AD3d 127 [2d Dept 2009], *lv granted* 12 NY3d 919 [2009]).

CPL 30.30 (1) (a) requires the People to be ready for trial within six months of the commencement of a criminal action in which a felony is charged. The failure to declare readiness within the statutory time limit will result in dismissal of the prosecution, unless the People can demonstrate that certain time periods should be excluded. CPL 30.30 (4) sets forth certain “periods [that] must be excluded,” and includes a catchall provision for

“other periods of delay occasioned by exceptional

circumstances, including but not limited to, the period of delay resulting from a continuance granted at the request of a district attorney if (i) the continuance is granted because of the unavailability of evidence material to the people's case, when the district attorney has exercised due diligence to obtain such evidence and there are reasonable grounds to believe that such evidence will become available in a reasonable period; or (ii) the continuance is granted to allow the district attorney additional time to prepare the people's case and additional time is justified by the exceptional circumstances of the case." (CPL 30.30 [4] [g].)

The parties here do not dispute that the People were not ready for trial within the six-month statutory limitation unless the period between the Second Department's decision in *Kozlow* and this Court's reversal in that case is deemed an "exceptional circumstance."

We have observed that "[t]here is no precise definition of what constitutes an exceptional circumstance under CPL 30.30 (4) (g)," since it is impossible to "anticipate every situation that might warrant tolling of the speedy trial time period" (*People v Smietana*, 98 NY2d 336, 341 [2002]). It is clear, however, that the range of the term's application is limited by the dominant legislative intent informing CPL 30.30, namely, to discourage prosecutorial inaction (see *People v Sinistaj*, 67 NY2d 236, 239 [1986]; *People v Worley*, 66 NY2d 523, 527 [1985]). Mindful of this principal underlying purpose, we have allowed application of the exclusion only when the People for practical reasons beyond their control cannot proceed with a legally viable prosecution (see e.g. *People v Washington*, 43 NY2d 772 [1977]; *People v Zirpolo*, 57 NY2d 706, 708 [1982]). Moreover, we note that, although not required, the statute's text contemplates that the prosecutor will seek a continuance from the court where the circumstances make it impossible to proceed. The Legislature thus envisioned an approach by which the prosecutor could secure a prior judicial ruling as to exceptional circumstances rather than ask a court to apply the exclusion after the fact. This would ensure that the defendant is kept abreast of the status of his case and the charges pending against him.

Here, as the People concede, after the Appellate Division's decision in *Kozlow*, there could have been no legal basis to proceed further against defendant. The criminal complaint could have

been withdrawn at that juncture. Subsequently, after this Court's reversal in *Kozlow*, when the prosecution again became legally viable, the People could have attempted to recommence the prosecution.*

Although the circumstances presented here are unusual, they are not exceptional within the meaning of CPL 30.30 (4) (g). What is involved in the final analysis is prosecutorial inaction resulting in the prolonged pendency of a criminal complaint without any judicial intervention and any notification to defendant of the status of the proceeding. This is precisely the sort of conduct the Legislature intended to curb when it enacted CPL 30.30.

Application of the exclusion under these circumstances would permit a scenario in which a criminal complaint could pend for an open-ended and potentially lengthy period on the mere prospect that a change in the law might render it again viable. As we stated in *People v Cortes* (80 NY2d 201 [1992]), “[l]egal rulings are routine events in criminal trials. The fact that a particular ruling may be erroneous does not by itself transform that ruling into an ‘exceptional circumstance’ ” (*id.* at 211-212). Although *Cortes* is factually distinguishable from this case because the People could have resubmitted the case to the grand jury or appealed the order dismissing the indictment, the language of that decision is nonetheless persuasive in this context (*see Smietana*, 98 NY2d at 343 [Kaye, Ch. J., dissenting] [stating that the above-quoted language from *Cortes* “should be given (its) plain meaning”]).

To be sure, the People here were not in control of the ultimate circumstance that prevented them from being able to proceed to trial—the erroneous Appellate Division decision in *Kozlow*. They did, however, have control over defendant’s criminal complaint and, despite binding case law indicating that there was no legal basis to proceed against defendant for commission of the offense

* The People contend that this course of action was impossible based on our decision in *People v Osgood* (52 NY2d 37 [1980]). In *Osgood*, the felony complaint was dismissed for failure to prosecute, but the prosecutor later obtained an indictment for the same offenses charged in the felony complaint. We held that the commencement for speedy trial purposes related back to the filing of the original complaint, even though it had been dismissed. If that rule applied in this case, a subsequent indictment would have been untimely. However, the facts of *Osgood* are distinguishable, and the prosecutor here could have argued that it should not apply to these facts. That issue could then have been litigated through the appellate process. We have no occasion to address the issue here, however, where it is not properly presented.

charged, allowed the charge to stand. The People complain that, if we do not find exceptional circumstances in this case, defendant, and others similarly situated, will enjoy immunity from prosecution based on an erroneous Appellate Division decision. While the result of our holding may in that respect be unfortunate, we have previously acknowledged that, in the context of speedy trial cases, our decisions often “transcend[] the issue of . . . a particular defendant’s guilt or the disposition of a particular case” (*People v Prosser*, 309 NY 353, 361 [1955] [internal quotation marks and brackets omitted]).

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[923 NE2d 1111, 896 NYS2d 723]

EUGENIA BRENNAN HESLIN, as Administrator of the Estate of
EGYPT A. PHILLIPS, Deceased, Appellant, v COUNTY OF
GREENE et al., Respondents, et al., Defendants.

Argued January 5, 2010; decided February 11, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 31, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Greene County (Daniel K. Lalor, J.; op 15 Misc 3d 1102[A], 2007 NY Slip Op 50464[U]), which had granted plaintiff's motion for leave to file a late notice of claim; (2) denied the motion; and (3) dismissed the personal injury causes of action for conscious pain and suffering.

Heslin v County of Greene, 53 AD3d 996, affirmed.

HEADNOTE

Limitation of Actions — Tolling — Infancy — Personal Injury Action on Behalf of Decedent in Which Decedent's Sole Distributees are Infants

The special infancy toll applicable in wrongful death actions involving sole infant distributees under *Hernandez v New York City Health & Hosps. Corp.* (78 NY2d 687 [1991]) did not apply to toll the applicable statute of limitations for a personal injury cause of action asserted by plaintiff administrator under EPTL 11-3.2 (b) on behalf of the decedent, whose sole distributees were infants. The employment of the CPLR 208 infancy toll based on the infancy of the distributee himself or herself, as opposed to the infancy of the person entitled to bring the action, is limited to wrongful death actions authorized by EPTL 5-4.1. The damages recovered in such actions are exclusively for the benefit of the decedent's distributees and not the estate standing in place of the decedent, whereas a personal injury action brought under EPTL 11-3.2 (b) seeks damages for an injury to the decedent and belongs to the estate. The two causes of action are predicated on essentially different theories of loss which accrue to different parties. The rationale underlying *Hernandez*, which is that a court may take into account the infancy of the distributee because the wrongful death claim belongs to and is for the sole benefit of the distributee, did not apply here. Accordingly, as the CPLR 208 infancy toll was not available to toll the one-year-and-90-day statute of limitations applicable to the personal injury cause of action against the County defendants (*see* General Municipal Law § 50-i [1]), the trial court erroneously granted plaintiff leave to file a late notice of claim (*see* General Municipal Law § 50-e [5]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Death §§ 75–77; AM JUR 2d, Limitation of Ac-

tions § 224; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 641, 643.

CARMODY-WAIT 2d, Abatement and Survival of Actions § 11:4; CARMODY-WAIT 2d, Limitation of Actions §§ 13:57, 13:366, 13:367; CARMODY-WAIT 2d, Action for Wrongful Death § 130:83; CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:81, 144:93, 144:94, 144:97, 144:107.

McKINNEY'S, CPLR 208; EPTL 5-4.1, 11-3.2 (b); General Municipal Law § 50-e (5); § 50-i (1).

NY JUR 2d, Death §§ 35, 51, 241; NY JUR 2d, Government Tort Liability §§ 403, 404, 412, 413, 423.

SIEGEL, NY PRAC §§ 32, 35, 44, 54, 185.

ANNOTATION REFERENCE

Minority of surviving children as tolling limitation period in state wrongful death action. 85 ALR3d 162.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: toll! /4 infan! /p wrongful /2 death /s personal /2 injury & estate

POINTS OF COUNSEL

O'Connell and Aronowitz, Albany (*Pamela A. Nichols* of counsel), for appellant. I. The infant, Egypt Phillips, and her infant distributees are entitled to an infancy toll based upon the relevant statutory scheme. (*Campbell v City of New York*, 4 NY3d 200; *Henry v City of New York*, 94 NY2d 275; *Pierson v City of New York*, 56 NY2d 950; *Barnes v County of Onondaga*, 103 AD2d 624; *Gibbons v City of Troy*, 91 AD2d 707; *McDaniel v Clarkstown Cent. School Dist. No. 1*, 110 AD2d 349; *Matter of Covert*, 97 NY2d 68; *Matter of Alexis*, 14 Misc 3d 379; *Matter of Nicpon*, 102 Misc 2d 619; *Matter of Ball*, 24 AD3d 1062.) II. The facts of this case fall squarely within the cases that have applied CPLR 208 under the unique circumstances where there is no person entitled to commence the action other than infant distributees. (*Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *Pulsifer v Olcott*, 63 Misc 2d 524, 41 AD2d 781; *Matter of Cruz v New York City Health & Hosps. Corp.*, 131 Misc 2d 376; *Cruz v Mount Sinai Hosp.*, 61 AD2d 915; *Baez v New York City Health & Hosps. Corp.*, 80 NY2d 571; *Ratka v St. Francis Hosp.*, 44 NY2d 604.) III. The Third Department's decision simply relied on precedents from other Appellate Divisions

erroneously decided. (*Matter of Hidalgo v New York City Health & Hosps. Corp.*, 210 AD2d 481; *Kemp v City of New York*, 208 AD2d 684; *Baker v Bronx Lebanon Hosp. Ctr.*, 53 AD3d 21; *Ratka v St. Francis Hosp.*, 44 NY2d 604; *Holmes v City of New York*, 269 App Div 95; *Matter of Mlodozieniec v Worthington Corp.*, 9 AD2d 21, 8 NY2d 918, 364 US 628; *Matter of Cruz v New York City Health & Hosps. Corp.*, 131 Misc 2d 376; *Cruz v Mount Sinai Hosp.*, 61 AD2d 915; *Boles v Sheehan Mem. Hosp.*, 178 Misc 2d 864; *Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687.) IV. The public policy of this state to protect infants in statute of limitations cases requires that the Court toll plaintiff-appellant's cause of action for conscious pain and suffering under these unique circumstances. (*Matter of Discenza v Dann OO.*, 148 AD2d 196, 75 NY2d 765; *Weed v St. Joseph's Hosp.*, 245 AD2d 713; *Henry v City of New York*, 94 NY2d 275; *Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *Sharro v Inland Lines, Ltd.*, 214 NY 101; *Caffaro v Trayna*, 35 NY2d 245; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Roldan v Allstate Ins. Co.*, 149 AD2d 20.)

Boeggeman, George & Corde, P.C., White Plains (Cynthia Dolan of counsel), for County of Greene, respondent. I. The infant distributees were not the only distributees eligible to be fiduciaries at the time of death. (*Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *People v Rose*, 41 AD3d 742, 9 NY3d 926; *Matter of Alexis*, 14 Misc 3d 379; *Matter of Nicpon*, 102 Misc 2d 619.) II. The infant plaintiff's personal injury causes of action are barred by the statute of limitations. (*Rivera v County of Westchester*, 188 Misc 2d 746; *Matter of Hidalgo v New York City Health & Hosps. Corp.*, 210 AD2d 481; *Kemp v City of New York*, 208 AD2d 684; *Ratka v St. Francis Hosp.*, 44 NY2d 604; *Mack v City of New York*, 265 AD2d 308; *Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *Barrett v State of New York*, 78 NY2d 1111; *Henry v City of New York*, 94 NY2d 275; *Gibbons v City of Troy*, 91 AD2d 707.)

Thorn Gershon Tymann and Bonanni, LLP, Albany (Maureen S. Bonanni and Erin Mead of counsel), for County of Greene Department of Social Services and another, respondents. I. Plaintiff lacks standing to bring a conscious pain and suffering cause of action. (*Brandon v Columbian Mut. Life Ins. Co.*, 264 AD2d 436; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Levi v Myrthil*, 21 AD3d 350; *Central N.Y. Coach Lines, Inc. v Syracuse Herald Co.*, 277 NY 110; *Ratka v*

St. Francis Hosp., 44 NY2d 604; *Lancaster v 46 NYL Partners*, 228 AD2d 133; *Jae Woo Yoo v New York City Health & Hosps. Corp.*, 239 AD2d 267; *People v Knowles*, 88 NY2d 763; *Matter of Swantz v Planning Bd. of Vil. of Cobleskill*, 34 AD3d 1159; *Matter of Allen v Strough*, 301 AD2d 11.) II. Plaintiff's conscious pain and suffering claim against the municipal defendants is barred by the applicable statute of limitations. (*Miller v County of Sullivan*, 36 AD3d 994; *Campbell v City of New York*, 4 NY3d 200; *Barnes v County of Onondaga*, 65 NY2d 664; *Gibbons v City of Troy*, 91 AD2d 707; *Ratka v St. Francis Hosp.*, 44 NY2d 604; *Rivera v County of Westchester*, 188 Misc 2d 746; *Matter of Hidalgo v New York City Health & Hosps. Corp.*, 210 AD2d 481; *Kemp v City of New York*, 208 AD2d 684; *Baker v Bronx Lebanon Hosp. Ctr.*, 53 AD3d 21; *Vasquez v Wood*, 190 Misc 2d 427.) III. Permitting an infancy toll in this case would be contrary to the statutory scheme. (*Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687.) IV. Even applying an infancy toll, the conscious pain and suffering cause of action is time-barred. (*Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *Matter of Boles v Sheehan Mem. Hosp.*, 265 AD2d 910; *Baker v Bronx Lebanon Hosp. Ctr.*, 53 AD3d 21; *Weed v St. Joseph's Hosp.*, 245 AD2d 713; *Tuyet Ngoc Nguyen v 230 Park Invs., LLC*, 19 AD3d 295; *Matter of Rivera v Westchester County Med. Ctr.*, 222 AD2d 680; *Cherry v Mallery*, 280 AD2d 860; *Ritchie v Felix Assoc., LLC*, 60 AD3d 402; *Baez v New York City Health & Hosps. Corp.*, 80 NY2d 571; *Matter of James MM. v June OO.*, 294 AD2d 630.) V. Public policy does not require the application of the infancy toll to the facts of this case. (*Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725; *Brill v City of New York*, 2 NY3d 648; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner* and *Stephen J. McGrath* of counsel), for City of New York and another, amici curiae. The Appellate Division correctly determined that the statute of limitations applicable to decedent's cause of action for personal injuries barred the application for leave to serve a late notice of claim. There is no legal basis for application of any toll or extension of the statute of limitations other than the one-year extension provided in CPLR 210 (a), which, in this case, was not needed. (*Pierson v City of New York*, 56 NY2d 950; *Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256; *Hernandez v New York City Health & Hosps. Corp.*, 78 NY2d 687; *Ratka v St. Francis Hosp.*, 44 NY2d 604; *Matter of Hidalgo v New York City Health & Hosps.*

Corp., 210 AD2d 481; *Kemp v City of New York*, 208 AD2d 684; *Baker v Bronx Lebanon Hosp. Ctr.*, 53 AD3d 21; *Gordon v Gordon*, 110 AD2d 623; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *Liff v Schildkrout*, 49 NY2d 622.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we conclude that the special infancy toll applicable in wrongful death actions involving sole infant distributees under *Hernandez v New York City Health & Hosps. Corp.* (78 NY2d 687 [1991]) is not available for personal injury claims. We therefore affirm the order of the Appellate Division.

Plaintiff Eugenia Brennan Heslin is the administrator of the estate of the decedent, Egypt Phillips. Egypt, born in May 2001, lived with her two young sisters and their mother Tanya Rose. Egypt's biological father, a convicted felon, had abandoned her. In early 2004, Rose's boyfriend, James Smith, moved in with the family. In May and again in August 2004, Egypt was taken to health care facilities for treatment of various injuries, including a broken clavicle and head trauma. According to plaintiff, these instances of suspected abuse were reported to defendants County of Greene, County of Greene Mental Health, County of Greene Department of Social Services and/or County of Greene Child Protective Services (collectively, the County defendants). Following the August incident, Smith was apparently ordered to leave the family home. However, on November 21, 2004, Egypt died tragically as a result of injuries intentionally inflicted upon her by Smith.

About two weeks later, Smith and Rose were each charged in connection with Egypt's death. Rose pleaded guilty to criminally negligent homicide and was subsequently sentenced to a prison term of $1\frac{1}{3}$ to 4 years. Following a jury trial, Smith was convicted of second-degree murder and sentenced to a term of 25 years to life imprisonment.

In December 2004, shortly after Egypt's death, plaintiff was appointed as the attorney for the children, Egypt's sisters, in connection with an abuse and neglect proceeding pending in Family Court against Smith and Rose. In addition to serving as attorney for the children (formerly referred to as a law guardian) in Family Court, Surrogate's Court appointed her as the administrator of Egypt's estate in October 2006.

Until plaintiff's application, no one had petitioned Surrogate's Court to handle the administration of Egypt's estate under

SCPA 1001 and 707. Rose and the biological father were each disqualified because of their felony status (*see* SCPA 707 [1] [d]). Although the task would have ordinarily fallen to Egypt's siblings under the priority of decedent's relatives established in SCPA 1001 (1), they too were ineligible based on their infancy (*see* SCPA 707 [1] [a]). Because no other relative sought to be appointed guardian for the siblings under article 17 of the SCPA, they had no adult representative who could function as the administrator or consent to anyone else assuming that role (*see* SCPA 1001 [2], [6]). Out of concern for the fate of Egypt's siblings, plaintiff pursued appointment as administrator pursuant to the fallback provision of SCPA 1001 (8) (b), allowing any qualified "petitioner" to become an administrator in the court's discretion.

In the course of fulfilling her duties as attorney for the children and administrator of Egypt's estate, plaintiff determined that Egypt's siblings had potential claims against the County defendants and private individuals based on their alleged negligence contributing to Egypt's death at the hands of Smith. On November 16, 2006, plaintiff served a notice of claim on the County defendants in her capacity as administrator of Egypt's estate. Five days later, plaintiff commenced this action against the County defendants alleging causes of action for wrongful death and personal injury.¹ Any damages recovered would ultimately benefit the siblings as Egypt's sole distributees by intestacy.² Plaintiff simultaneously moved pursuant to General Municipal Law § 50-e (5) for leave to file a late notice of claim for the personal injury cause of action.

Supreme Court granted the motion and extended the time to serve the notice of claim to November 16, 2006, the date it was actually filed (15 Misc 3d 1102[A], 2007 NY Slip Op 50464[U]). Initially, the court determined that the wrongful death claim was timely because the notice of claim was filed within 90 days from plaintiff's appointment as administrator and the action was commenced within two years of Egypt's death, as required by statute (*see* General Municipal Law § 50-e [1] [a]; § 50-i [1]).

1. Plaintiff also sued Early Childhood Learning Center of Greene County (Egypt's preschool) and Catalina Alegre, M.D. (Egypt's pediatrician). Those causes of action are not at issue on this appeal.

2. Rose cannot qualify as a distributee because of her culpable conduct contributing to Egypt's death (*see Matter of Covert*, 97 NY2d 68, 74 [2001]). Egypt's biological father is similarly disqualified because he abandoned her (*see* EPTL 4-1.4 [a] [1]).

Turning to the personal injury cause of action, the court found that the notice of claim was untimely because it was not filed within 90 days after the claim arose. Recognizing that it lacked the discretion to extend the time beyond the expiration of the applicable one-year-and-90-day limitations period, the court relied on our decision in *Hernandez v New York City Health & Hosps. Corp.* (78 NY2d 687 [1991]) to conclude that the toll afforded by CPLR 208 applied, based on the infancy of Egypt's siblings, and, as a result, the statute of limitations did not begin to run until plaintiff's appointment as administrator in October 2006. In *Hernandez*, this Court held that the CPLR 208 infancy toll applies when an infant is the sole distributee in a wrongful death action. Relying on the factors in General Municipal Law § 50-e (5), the court granted plaintiff leave to file the late notice of claim.

The Appellate Division reversed and dismissed the personal injury claim, but agreed that the wrongful death claim was timely (53 AD3d 996 [3d Dept 2008]).³ The court held that Supreme Court lacked discretion to enlarge the time to serve the late notice of claim because the personal injury claim was time-barred, reasoning:

“Supreme Court’s reliance on the infancy toll of CPLR 208, on behalf of decedent’s infant distributees, to extend the statute of limitations on the personal injury claim was not proper inasmuch as such a claim is brought on behalf of decedent and is personal to her, not her surviving infant distributees” (*id.* at 998).

We granted plaintiff leave to appeal (12 NY3d 702 [2009]).

EPTL 11-3.2 (b), referred to as the “survival statute,” provides that “[n]o cause of action for injury to person or property is lost because of the death of the person in whose favor the cause of action existed. For any injury an action may be brought or continued by the personal representative of the decedent.”⁴ As a condition precedent to initiating a personal injury action against a municipality, a notice of claim must be

3. The wrongful death cause of action remains pending and is not at issue before us.

4. Before 1935, although a decedent’s claims based in contract and injury to property survived and could be maintained by the estate’s representative, any personal injury cause of action abated upon death (*see Herzog v Stern*, 264 NY 379, 383 [1934], *cert denied* 293 US 597 [1934]; *see also* former Decedent Estate Law §§ 116, 117, 118, 119, 120). Recognizing the inequity in treating

(n. cont’d)

served within 90 days after the claim arises (*see* General Municipal Law § 50-e [1] [a]). The action must also be commenced within the statutorily prescribed one-year-and-90-day limitations period (*see* General Municipal Law § 50-i [1]). Although a court is authorized to extend the filing of a notice of claim beyond the 90-day period, the time for filing may not be extended beyond the expiration of the applicable statute of limitations (*see* General Municipal Law § 50-e [5]).

In this case, Egypt first sustained injuries at some point in early 2004 and died on November 21, 2004. Since a notice of claim was not filed within 90 days of her death, leave to file a late notice was necessary. The personal injury claim accrued no later than the date of her death and, absent the application of a toll, the one-year-and-90-day limitations period expired in February 2006. Because the request for leave to file a late notice was not made within that time frame, as mandated by General Municipal Law § 50-e (5), an extension of time to file such notice is not statutorily authorized unless the limitations period was tolled.

Plaintiff asserts that the statute of limitations for the personal injury cause of action was tolled under CPLR 208 due to the infancy of Egypt's sole distributees—her sisters.⁵ In particular, plaintiff submits that Supreme Court appropriately applied the rationale of *Hernandez*, which held that CPLR 208 tolls the statute of limitations where the sole distributee in a wrongful death action is an infant, to this personal injury claim. While the dissent adopts this position, we cannot agree based on the fundamental distinction between the natures of the two claims.

In *Hernandez*, the decedent died intestate in April 1987 in a facility operated by defendant New York City Health and Hospitals Corporation, leaving her infant son as her sole distributee. Letters of guardianship were issued to the infant's grandmother in December 1987 and an administrator of the

personal injury claims differently, the Legislature amended the relevant statutes in 1935 to provide that such claims also survive a decedent's death (*see* L 1935, ch 795; *see also* former Decedent Estate Law §§ 118, 119, presently codified at EPTL 11-3.2). Consequently, all tort and contract actions that belonged to a decedent may now be maintained by the estate's personal representative (*see* EPTL 11-3.1, 11-3.2).

5. CPLR 208 provides, in relevant part: "If a person entitled to commence an action is under a disability because of infancy . . . at the time the cause of action accrues, and the time otherwise limited for commencing the action . . . is less than three years, the time shall be extended by the period of disability."

estate was appointed with the guardian's consent later that month. In February 1988, the administrator was granted leave to file a late notice of claim. But she did not commence a wrongful death action until December 1988, more than one year and 90 days after decedent's death.⁶ The defendant moved to dismiss the wrongful death action as time-barred. On appeal, a majority of this Court concluded that the action was timely by virtue of the CPLR 208 infancy toll, holding that where the only distributee is an infant, the distributee's infancy serves to toll the limitations period "until the earliest moment there is a personal representative or potential personal representative who can bring the action," which the Court stated would occur upon the "appointment of a guardian or majority of the distributee, whichever occurs first" (78 NY2d at 693).

In reaching this result in *Hernandez*, we were careful to limit our analysis to wrongful death actions authorized by EPTL 5-4.1, emphasizing that such claims belong to a decedent's distributees rather than the estate standing in place of the decedent. For example, we observed that "any damages recovered are exclusively for the benefit of the decedent's distributees" and that "the cause of action is not part of and bears no legal relationship to decedent's estate" (*id.* [internal quotation marks and citations omitted]). Moreover, any damages must be "measured by the effect of the wrongful act on the distributees—the pecuniary loss suffered by the individual distributees as a result of decedent's death" (*id.*). In contrast, we noted that a personal injury action brought under EPTL 11-3.2 (b) seeks damages for an injury to the decedent and belongs to the estate. Finally, we stressed that in a wrongful death case involving a sole infant distributee, it is the "infant child who has suffered any loss recognized by law" (*id.*).

Hence, even though CPLR 208 applies when the "person entitled to commence an action is under a disability because of infancy"—and the person entitled to bring a wrongful death claim under EPTL 5-4.1 is the estate's "personal

6. At the time, a wrongful death claim against the New York City Health and Hospitals Corporation was governed by a one-year-and-90-day statute of limitations. A two-year limitations period now applies to such wrongful death claims (*see McKinney's Uncons Laws of NY* § 7401 [2] [L 1969, ch 1016, sec 1, § 20 (2), as amended by L 1990, ch 804, § 122]).

representative”⁷—in *Hernandez* we employed the CPLR 208 toll based on the infancy of the distributee himself. In that unique context, where no personal representative was otherwise available, it was reasonable to look to the distributee’s infancy status because the wrongful death claim belonged to him and would compensate him for damages that he directly sustained as a result of his mother’s death. As we put it, the distributee was “the only person . . . whose interests are at stake in bringing this [wrongful death] action” (78 NY2d at 693). In effect, we treated the distributee as the plaintiff under the tolling statute because, for all intents and purposes, the claim was his own.

Following *Hernandez*, Appellate Division case law has consistently declined to extend the toll rule fashioned in *Hernandez* outside the wrongful death context (see *Matter of Hidalgo v New York City Health & Hosps. Corp.*, 210 AD2d 481, 482-483 [2d Dept 1994]; *Kemp v City of New York*, 208 AD2d 684, 686 [2d Dept 1994]; see also *Baker v Bronx Lebanon Hosp. Ctr.*, 53 AD3d 21, 23 [1st Dept 2008]).⁸ These courts recognized that, unlike a wrongful death claim that directly compensates a decedent’s distributees for their own damages, a personal injury claim is designed to compensate the decedent for injuries suffered and is personal to the deceased—in other words, it is a claim assumed by the estate.

In the present case, the Appellate Division acted in accord with these precedents (see *Heslin v County of Greene*, 53 AD3d 996, 998 [3d Dept 2008]), and we believe it correctly drew a distinction between the two causes of action in holding that *Hernandez* should be limited to the wrongful death arena. As we explained in *Hernandez* itself, a wrongful death action belongs to the decedent’s distributees and is designed to compensate the distributees themselves for their pecuniary losses as a result of the wrongful act (see EPTL 5-4.3). The proceeds are paid directly to the distributees in the proportions directed by the court, determined by their respective monetary injuries (see EPTL 5-4.4). In comparison, a personal injury

7. “Personal representative” is defined as “a person who has received letters to administer the estate of a decedent” (EPTL 1-2.13). When a decedent dies intestate, the administrator is the estate’s personal representative.

8. We, too, have declined to read *Hernandez* broadly. Notably, we did not see fit to apply the *Hernandez* toll on behalf of infant beneficiaries of a wrongful death claim where the decedent’s will named an executrix who could have timely commenced an action on the infants’ behalf (see *Baez v New York City Health & Hosps. Corp.*, 80 NY2d 571, 576-577 [1992]).

action on behalf of the deceased under EPTL 11-3.2 (b) seeks recovery for the conscious pain and suffering of the deceased and any damages awarded accrue to the estate (*see Ratka v St. Francis Hosp.*, 44 NY2d 604, 609 [1978]). Such a claim is personal to the deceased and belongs to the estate, not the distributees. The types of damages that are recoverable are different and the calculations of damages for the two claims are based on separate factors.

Moreover, because it is the estate that recovers in a personal injury action, any proceeds will first be applied to outstanding liens, debts or expenses (*see* EPTL 4-1.1, 13-1.3; SCPA 1811). Only after the obligations of the estate are fulfilled would any remaining funds be paid to beneficiaries or distributees. This is in stark contrast to the damages recoverable in a wrongful death action, where any proceeds are generally not subject to the claims of the estate's creditors (*see* 9 Warren's Heaton, Surrogate's Court Practice § 122.02 [4] [c], at 122-42 [7th ed]). In short, the two causes of action are "predicated on essentially different theories of loss which accrue to different parties" (*Ratka*, 44 NY2d at 609).⁹

Unlike the infant distributee in *Hernandez*, who was the only party that "suffered any loss recognized by law" as the beneficiary of a wrongful death claim (*Hernandez*, 78 NY2d at 693), the infant distributees here do not seek to recover their own damages through a personal injury claim. Rather, they hope to inherit through intestacy any damages that their sister would have been entitled to had she survived. The rationale underlying *Hernandez*—that a court may take into account the infancy of the distributee because the wrongful death claim belongs to and is for the "sole benefit" of the distributee (*id.* at 694 n 5)—simply does not apply here, despite the sympathetic plight of Egypt's siblings. Put differently, the necessary connection between infant distributees and a personal injury action brought on behalf of the deceased under EPTL 11-3.2 (b) is missing since such a claim redresses a wrong suffered by the deceased, not the distributees.

Plaintiff nevertheless urges that the tolling rule adopted by *Hernandez* should apply with equal force to personal injury

9. The dissent criticizes our reliance on *Ratka* in emphasizing that wrongful death claims are materially different from personal injury actions. But the dissent fails to acknowledge that in *Hernandez* itself the Court focused on the unique qualities of a wrongful death claim and explicitly distinguished it from a personal injury action available pursuant to EPTL 11-3.2 (b).

actions because EPTL 11-3.2 (b), like EPTL 5-4.1, authorizes a “personal representative” to bring the action and, in this case, Egypt’s siblings would be the ultimate beneficiaries of any damages recovered under either claim. Plaintiff points out that no personal representative existed to bring the personal injury action until her appointment as administrator in October 2006, after the statute of limitations had expired. Despite that unfortunate occurrence, we cannot disregard the fundamental legal distinction between the two causes of action, and the argument of the plaintiff and dissent would result in a rule that is unsupported by the key jurisprudential underpinning of *Hernandez*—the unique status of a distributee as the direct beneficiary and source of a wrongful death claim.

In fact, it is notable that EPTL 11-3.1, a catchall provision, similarly enables a “personal representative” to commence all other types of action that survive the decedent’s death. Taken to its logical conclusion, plaintiff’s position would result in the application of the CPLR 208 toll to any cause of action belonging to a decedent—adult and infant alike—who leaves only infant distributees. A decedent’s personal claims could potentially be pursued more than a decade later on the basis that an infant distributee would be entitled to any damages recovered by the estate through intestate succession.¹⁰ The adoption of such a rule, impinging on the settled policies underlying statutes of repose, must be made by the Legislature.

We therefore conclude that Supreme Court improperly relied on the CPLR 208 toll to permit a late notice of claim for the personal injury action based on the infancy of the decedent’s siblings. Because the applicable statute of limitations expired before the filing of a late notice of claim, the Appellate Division correctly denied the motion and dismissed the personal injury claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting). Because I believe that plaintiff,

10. For example, suppose the adult decedent in *Hernandez* possessed a breach of contract claim against XYZ Corporation. Under the rule proposed by plaintiff, an action to recover contract damages could hypothetically be brought approximately 11 years after the decedent’s death based on the distributee’s infancy even though the claim belonged to the decedent, not the distributee. But the distributee’s infancy should be irrelevant under CPLR 208, which provides a toll based on the plaintiff’s infancy, not the infancy of a distributee who inherits through intestacy any damages accruing to the estate.

administrator of the estate of the infant decedent whose sole distributees are her infant sisters, is entitled to the infancy toll pursuant to CPLR 208 in this personal injury action as we applied it in *Hernandez v New York City Health & Hosps. Corp.* (78 NY2d 687 [1991]), I respectfully dissent.

Here, as in *Hernandez*, the decedent died intestate, survived only by infant distributees. However, the majority opines that the rule we announced in *Hernandez* cannot apply to a personal injury cause of action for conscious pain and suffering because of the “fundamental distinction between the natures” of personal injury claims and wrongful death claims (majority op at 74). The majority observes that the two claims are predicated on different theories of loss and are compensable by different measures of damages (*see id.* at 76-77). Specifically, the majority states that a personal injury cause of action for conscious pain and suffering is “personal to the deceased and belongs to the estate, not the distributees” (*id.*). The majority concludes that the adoption of a rule expanding *Hernandez* to claims other than wrongful death must be accomplished by the Legislature (*see id.* at 78). I disagree because I believe the statutory scheme and the rationale of *Hernandez* compel a different result.

The survival statute, EPTL 11-3.2 (b), provides, in relevant part: “No cause of action for injury to person or property is lost because of the death of the person in whose favor the cause of action existed. For any injury an action may be brought or continued by the personal representative of the decedent.” Thus, pursuant to the plain language of the survival statute, a personal injury claim survives the decedent’s death.

CPLR 208 provides in pertinent part:

“If a person *entitled to commence an action* is under a disability because of infancy . . . at the time the cause of action accrues, and the time otherwise limited for commencing the action is three years or more and expires no later than three years after the disability ceases, or the person under the disability dies, the time within which the action must be commenced shall be extended to three years after the disability ceases or the person under the disability dies, whichever event first occurs; if the time otherwise limited is less than three years, the time shall be extended by the period of disability” (emphasis added).

Notably, CPLR 208 does not limit the toll to causes of action

that are “personal” to the infant (majority op at 77). Rather, the person under the disability of infancy must only be “entitled to commence [the] action” (CPLR 208).

In *Hernandez*, we considered the difficult circumstance presented by “[t]he confluence of the pertinent EPTL, SCPA and CPLR provisions” in a wrongful death case where the sole distributee of an estate was an infant (78 NY2d at 693). We eschewed the “unnecessarily harsh result” reached by a “mechanical application of CPLR 208” and instead applied the infancy toll “until the earliest moment there is a personal representative or potential personal representative who can bring the action, whether by appointment of a guardian or majority of the distributee, whichever occurs first” (*id.*). We determined in *Hernandez* that what “[u]ltimately” tipped the balance in favor of extending the CPLR 208 toll to permit the wrongful death claim to proceed was “the infancy of the sole distributee” (*id.* at 694). That same consideration should tip the scale here, where no person was entitled to commence the action other than the infant distributees until the appointment of Heslin as administrator.

The existing statutory scheme supports the conclusion that the personal injury claim be permitted to move forward. EPTL 11-3.2 (b), the survival statute, contemplates the transfer of a cause of action to another—i.e., the decedent’s personal representative (*see also Matter of Meng*, 227 NY 264, 277 [1919] [cause of action “belongs to or is vested in the person or persons who has or have the lawful right to prosecute it”]). The practical consequence of the survival statute is to sever a personal injury claim from the decedent and transfer it to the personal representative. *Ratka v St. Francis Hosp.* (44 NY2d 604, 609 [1978]), a case relied on by the majority, is not to the contrary. *Ratka* drew a distinction between personal injury and wrongful death causes of action for the purpose of determining finality when considering our jurisdiction and concluded that the two causes of action were “materially separate and distinct” and “predicated on essentially different theories of loss which accrue to different parties” (*id.* at 609).* *Ratka* never drew the distinction for purposes of applying an infancy toll, which we

* The finality analysis we employed in *Ratka* is no longer good law (*see Burke v Crosson*, 85 NY2d 10, 16-17, 17 n 3 [1995] [“where a negligence cause of action has been dismissed but there remain other claims for relief based on the same transaction or transactions, the doctrine of implied severance is not available”]).

draw here. Of course, there is no question that the two causes of action are different and are “predicated on . . . different theories” (44 NY2d at 609). The question here is whether, for the purposes of applying the CPLR 208 infancy toll as we did in *Hernandez*, there is any legal or logical basis to treat the causes of action differently. I submit there is not.

Egypt’s infant sisters, who would have priority to serve as personal representatives of the decedent here (*see* EPTL 1-2.13; SCPA 1001)—and who would thus be “entitled to commence [the] action” (CPLR 208)—are unable to serve in that capacity by virtue of their infancy. In *Hernandez*, we remedied that unique legal situation by applying the CPLR 208 infancy toll until the appointment of a guardian or the majority of the distributee. We did that because the only person “whose interests [we]re at stake in bringing th[e] action” was the sole infant survivor of the decedent (78 NY2d at 693). Here, contrary to the majority’s assertions, the only real parties in interest to both the personal injury claim and the wrongful death claim are Egypt’s infant sisters—the only persons who can inherit from her estate and who will benefit from the outcome of both the personal injury and wrongful death claims.

The practical consequences of allowing a personal injury claim to go forward, other than the possibility of a larger damages award to the infant distributees, are minimal. The infant distributees are no differently situated with respect to the personal injury claim than they are with respect to the wrongful death claim. For both causes of action, they will be the sole beneficiaries of any damages. The majority would deny the infant plaintiffs the benefit of the CPLR 208 toll, as we applied it in *Hernandez*, merely because any damages must first pass through the estate. It is interesting to note that the plaintiff in *Hernandez* was also the personal representative of the estate.

The majority draws a line where the statutory structure does not support one, apparently out of concern that applying *Hernandez* to personal injury claims will lead to “the application of the CPLR 208 toll to any cause of action belonging to a decedent—adult and infant alike—who leaves only infant distributees” (majority op at 78). However, certain causes of action already continue after death by reason of legislative act (*see* EPTL 11-3.2 [b]), and there exists a legislative determination that those under the disability of infancy are entitled to a toll of the statute of limitations to protect their interests. No purpose is thus served by denying this very narrow class of

claimants—infants who are the sole distributees of a decedent—the benefits of these legislative determinations. I respectfully dissent and would reverse the order of the Appellate Division and reinstate the order of Supreme Court granting plaintiff's motion, pursuant to General Municipal Law § 50-e (5), for leave to file a late notice of claim.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order affirmed, with costs.

[923 NE2d 1120, 896 NYS2d 732]

HUGH GALLAGHER et al., Appellants, v THE NEW YORK POST et al., Respondents. NYP HOLDINGS, INC., Third-Party Plaintiff-Respondent, v FRANCIS A. LEE CO., Third-Party Defendant-Respondent.

Argued January 6, 2010; decided February 11, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 30, 2008. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Walter B. Tolub, J.; *see* 2007 NY Slip Op 34452[U]) as had adhered, upon reargument, to its prior denial of plaintiffs' motion for summary judgment on the issue of liability on their Labor Law § 240 (1) claim. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Gallagher v New York Post, 55 AD3d 488, reversed.

HEADNOTES

Labor — Safe Place to Work — Fall from Height — Lack of Safety Devices

1. Plaintiff, an ironworker who was injured while removing metal decking from the second floor of defendant's building when the blade on the power saw he was using jammed, propelling him through an opening in the floor, was granted summary judgment on his Labor Law § 240 (1) claim. Through the affidavits of plaintiff's foreman and another ironworker, who both asserted that the ironworkers were not provided with necessary safety devices, thereby corroborating plaintiff's own similar testimony, plaintiff made a prima facie showing that defendant violated Labor Law § 240 (1) by failing to furnish adequate safety devices to plaintiff. Defendant failed to raise a question of fact as to whether plaintiff knew of the availability of the safety devices and unreasonably chose not to use them. There was no evidence in the record that plaintiff knew where to find the safety devices that defendant argued were readily available or that he was expected to use them.

Labor — Safe Place to Work — Fall from Height — Plaintiff's Actions as Sole Proximate Cause of Accident — Weakness in Hand from Prior Injury Not Sole Proximate Cause

2. Plaintiff, an ironworker who was injured while removing metal decking from the second floor of defendant's building when the blade on the power saw he was using jammed, propelling him through an opening in the floor, was granted summary judgment on his Labor Law § 240 (1) claim. Through the affidavits of plaintiff's foreman and another ironworker, who both asserted that the ironworkers were not provided with necessary safety devices, thereby cor-

roborating plaintiff's own similar testimony, plaintiff made a prima facie showing that defendant violated Labor Law § 240 (1) by failing to furnish adequate safety devices to plaintiff. Defendant failed to raise a question of fact as to whether the sole proximate cause of plaintiff's fall was that he prematurely returned to work following a prior accident and related surgeries to his right hand. Even if plaintiff's grip on the saw was not up to full strength as a result of his prior injury, such weakness in his hand would at most have contributed towards his loss of balance, and could not as a matter of law have been the sole proximate cause of his fall.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 267–269; AM JUR 2d, Summary Judgment §§ 8, 37–39, 45–48, 58.
CARMODY-WAIT 2d, Summary Judgment §§ 39:14, 39:153–39:155.
MCKINNEY's, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 286–290, 303, 304, 380, 381; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 9, 10, 16, 17, 22, 76, 79.
NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:217.
PROSSER AND KEETON, TORTS (5th ed) §§ 42, 80.
SIEGEL, NY PRAC § 278.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health; Summary Judgment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: fell /p injur! /p worker & failed /4 safety /2 device
& summary /2 judgment & violation /4 labor

POINTS OF COUNSEL

Sacks and Sacks, LLP, New York City (Scott N. Singer and Kenneth Sacks of counsel), for appellants. I. Upon the undisputed proof that no safety devices were provided, plaintiff should have been awarded summary judgment under Labor Law § 240 (1). (*Koenig v Patrick Constr. Corp.*, 298 NY 313; *Bland v Manocherian*, 66 NY2d 452; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Brant v Republic Steel Corp.*, 91 AD2d 841; *Phillips v Flintkote Co., Glens Falls Portland Cement Div.*, 89 AD2d 724;

Rea v Elia Bldg. Co., 79 AD2d 1102; *Duda v Rouse Constr. Corp.*, 32 NY2d 405; *Joyce v Rumsey Realty Corp.*, 17 NY2d 118.) II. Plaintiff was not the sole proximate cause of his accident. (*S.J. Capelin Assoc. v Globe Mfg. Corp.*, 34 NY2d 338; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35.) III. Defendants' failure to provide lifelines, stanchions or other anchorage points for safety belts provides an additional basis for liability under Labor Law § 240 (1). (*Conway v New York State Teachers' Retirement Sys.*, 141 AD2d 957; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Bland v Manocherian*, 66 NY2d 452; *Goldthwait v State of New York*, 120 AD2d 969; *Desrosiers v Barry, Bette & Led Duke, Inc.*, 189 AD2d 947; *Hayes v Eastman Kodak Co.*, 143 AD2d 510; *Nimirovski v Vornado Realty Trust Co.*, 29 AD3d 762; *Miglionico v Bovis Lend Lease, Inc.*, 47 AD3d 561.)

Jones Hirsch Connors & Bull P.C., New York City (*Richard C. Imbrogno* and *Mark Wellman* of counsel), for respondents and third-party plaintiff-respondent. The Appellate Division correctly affirmed the denial of plaintiffs' motion for summary judgment on their Labor Law § 240 (1) claim because triable issues of fact exist. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Zeitner v Herbmax Sharon Assoc.*, 194 AD2d 414; *Montgomery v Federal Express Corp.*, 4 NY3d 805; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Makaj v Metropolitan Transp. Auth.*, 18 AD3d 625; *Landry v Di Sarro Constr. Co.*, 149 AD2d 859, 74 NY2d 940; *Miller v Long Is. Light. Co.*, 166 AD2d 564; *Quattrocchi v F.J. Sciamme Constr. Corp.*, 44 AD3d 377, 11 NY3d 757; *Miglionico v Bovis Lend Lease, Inc.*, 47 AD3d 561.)

Rafter & Associates, PLLC, New York City (*Howard K. Fishman* of counsel), for third-party defendant-respondent. Plaintiffs' motion for summary judgment was correctly denied because there are questions of fact whether safety devices were available to Hugh Gallagher at the job site. (*Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Montgomery v Federal Express Corp.*, 4 NY3d 805; *Bradley v Ibex Constr. LLC*, 22 AD3d 380.)

OPINION OF THE COURT

PIGOTT, J.

On June 28, 2004, plaintiff Hugh Gallagher, an ironworker, was assigned to remove a section of metal decking from the

second floor of a building in the Bronx owned by defendant NYP Holdings, Inc. (NYP), in preparation for the installation of new flooring. He was partnered with another ironworker, Jim Gaffney; the two men worked under the direction of foreman Joe Nover. Gallagher was cutting the metal with a two-handled, powered saw, enlarging an opening created by other workers. According to Gallagher, he was holding both handles of the saw when its blade jammed, propelling him forward so that he fell through the uncovered opening. Gallagher landed on a temporary floor situated between the first and second levels, sustaining injuries.

Gallagher and his wife commenced this personal injury action against NYP,¹ alleging, among other things, violations of Labor Law §§ 200, 240 (1) and § 241 (6). Relevant to this appeal, plaintiffs allege that NYP failed to provide Gallagher safety devices to prevent a fall from an elevated work site, in violation of Labor Law § 240 (1).

At his deposition, the assistant project manager at the NYP work site, Jonathan Schreck, testified that “safety harnesses with shock-absorbing lanyards” and “retracting lanyards that we refer to as yo-yos” were available for use at the project site on the date of the accident, but he could not say whether any such safety devices were in the area from which Gallagher fell. Schreck also testified that, at the time of the accident, there was a “standing order,” issued by project manager Mark Piazza to the project foremen, that the ironworkers should “have a harness on and be tied off.” However, he could not recall whether these instructions had been given to the ironworkers.

Schreck, who had taken Gallagher to the hospital after the accident, testified that Gallagher had given him the impression that he had been holding the saw with only one hand and that he had fallen as he reached to grab the jammed saw with his other hand. He stated that Gallagher had told him that he had not been cleared by his doctor to return to work, following a 2002 accident and related surgeries to his right hand. Gallagher himself stated at his deposition that he could not complete a grip with his right hand, because the tip of his little finger was missing. But he insisted that he had been cleared to return to work by the date of his accident.

Plaintiffs moved for partial summary judgment on their Labor Law § 240 (1) claim, pointing to an affidavit by Gaffney stating

1. Plaintiffs sued NYP as “The New York Post and NYP Holdings, Inc.”

that “there were no safety lines, lifelines or stanchions in the work area, and [he and Gallagher] were not provided with any safety belts, harnesses or yo-yos in order to tie off.” NYP cross-moved for summary judgment dismissing the complaint in its entirety.² NYP relied in large part on Schreck’s deposition testimony that safety devices were available for use at the project site, and concerning the “standing order.” NYP also argued that Gallagher had not been medically cleared to return to work following his 2002 accident, and that his premature return was the sole proximate cause of his injuries.

In further support of their motion, plaintiffs introduced an affidavit signed by Nover, Gallagher’s foreman, who, according to Schreck, would have been the person responsible for relaying safety instructions to the ironworkers. Nover stated that Gallagher had not been “provided with a safety harness or lifeline, nor were any stanchions or safety cables in the accident area at the time of the accident.”

Supreme Court denied plaintiffs’ summary judgment motion (2007 NY Slip Op 34452[U]).³ Initially it did so on the ground that Schreck’s deposition testimony raised a question of fact as to whether safety devices had been provided to Gallagher. On reargument, Supreme Court acknowledged that it had overlooked Nover’s affidavit and decided that no triable issue of fact existed as to whether Gallagher had been provided with appropriate safety devices. Nevertheless, Supreme Court ruled that the summary judgment motion should be denied—apparently on the basis that Gallagher may have returned to work prematurely, and that the weakness of his grip on the saw may have been the sole proximate cause of his accident.

The Appellate Division agreed with Supreme Court’s initial rationale for denying plaintiffs summary judgment, holding that Schreck’s testimony was sufficient to raise issues of fact as to whether Gallagher had been provided with adequate safety devices and instructed to use them, but had declined to do so (55 AD3d 488 [2008]). Two Justices dissented. The Appellate Division granted plaintiffs leave to appeal, and we now reverse.

2. NYP also commenced a third-party action against Gallagher’s employer, Francis A. Lee Co.; that action is not before this Court.

3. Supreme Court granted NYP’s cross motion to the extent of dismissing the Labor Law § 200 claim but, on reargument, reinstated the claim. The Appellate Division dismissed the section 200 claim. Plaintiffs do not appeal this part of the Appellate Division order.

Through the affidavits of Gaffney and Nover, plaintiffs made a prima facie showing that NYP violated Labor Law § 240 (1) by failing to furnish adequate safety devices to Gallagher. Both men asserted that the ironworkers were not provided with necessary safety devices, corroborating Gallagher's own similar testimony. The burden then shifted to NYP to raise a question of fact as to whether there was a violation of Labor Law § 240 (1). NYP argues that it met this burden through evidence that adequate safety devices were provided to Gallagher or, in the alternative, evidence that the sole proximate cause of Gallagher's fall was that he prematurely returned to work.

NYP relies on our decision in *Montgomery v Federal Express Corp.* (4 NY3d 805 [2005]). In *Montgomery*, we held that a worker who injured himself when he jumped from an elevator motor room to a roof, rather than use a "readily available" ladder, was not entitled to recover under Labor Law § 240 (1). Similarly, in *Robinson v East Med. Ctr., LP* (6 NY3d 550, 553 [2006]), we held that a plumber who lost his balance and injured himself, when he used a six-foot ladder to install pipes at a height of 12 to 13 feet from the floor, could not recover under section 240 (1), because he knew that there were eight-foot ladders on the job site and exactly where they could be found. Both cases stand for the same proposition. Liability under section 240 (1) does not attach when the safety devices that plaintiff alleges were absent were readily available at the work site, albeit not in the immediate vicinity of the accident, and plaintiff knew he was expected to use them but for no good reason chose not to do so, causing an accident. In such cases, plaintiff's own negligence is the sole proximate cause of his injury (see *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35, 39-40 [2004]).

[1] This is not such a case. There is no evidence in the record that Gallagher knew where to find the safety devices that NYP argues were readily available or that he was expected to use them. Although Schreck testified that appropriate safety devices were available at the project site on the date of the accident, nowhere in his testimony did Schreck state that Gallagher had been told to use such safety devices. Schreck referred to a "standing order" issued to the project foremen, directing workers to "have a harness on and be tied off," but could not say whether the order had been conveyed to the workers. Moreover, the affidavit of Gallagher's foreman, Nover, who was not deposed, does not support NYP's claim that Gallagher was told about safety devices. Nover stated that Gallagher had not been

provided with the requisite safety devices, a proposition that is consistent either with Gallagher's ignorance of the availability of safety devices or with his knowledge thereof. Even viewed in the light most favorable to NYP (as it must be when we consider plaintiffs' motion for summary judgment), the evidence does not raise a question of fact that Gallagher knew of the availability of the safety devices and unreasonably chose not to use them.

[2] Finally, even if Gallagher's grip on the saw was not up to full strength as a result of his prior injury, such weakness in his hand would at most have contributed towards his loss of balance, and cannot as a matter of law have been the sole proximate cause of his fall from the second floor to the temporary floor.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, plaintiffs' motion for summary judgment as to liability on their Labor Law § 240 (1) claim granted, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order, insofar as appealed from, reversed, etc.

[923 NE2d 1123, 896 NYS2d 735]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VINCENT FIAMMEGTA, Appellant.

Argued January 12, 2010; decided February 16, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 30, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Neil Jon Firetog, J.), which had convicted defendant, upon his plea of guilty, of burglary in the second degree.

People v Fiammegta, 57 AD3d 1003, reversed.

HEADNOTE

Crimes — Plea Bargaining — Enforcement of Agreement — Drug Treatment Alternative-to-Prison Program — Discharge from Program — Inquiry by Court

When a drug treatment alternative-to-prison program (DTAP) discharges a defendant for misconduct, the court must carry out an inquiry of sufficient depth to satisfy itself that there was a legitimate basis for the program's decision, and must explain, on the record, the nature of its inquiry, its conclusions and the basis for them. Supreme Court has broad discretion when supervising a defendant subject to DTAP, and deciding whether the conditions of a DTAP plea agreement have been met (*see* CPL 216.05 [9] [b]). Sentencing is a critical stage of the criminal proceeding which must comply with due process. Accordingly, where defendant was discharged from a residential drug treatment program due to thefts from vocational counselors, Supreme Court was not required to conduct an evidentiary hearing or to determine by a preponderance of the evidence that defendant was guilty of the thefts of which he was accused before sentencing defendant to a term of imprisonment for failure to comply with the terms of his DTAP plea agreement. However, the judge should have considered defendant's argument that he was kicked out of the program based on thin evidence of wrongdoing after inadequate investigation, and he should have allowed defendant to submit letters and testimony or affidavits from his mother and girlfriend about the money they claimed to have sent him. Notwithstanding the District Attorney's refusal to endorse any further treatment opportunity for defendant, in his supervision of this DTAP plea and as a measure of the due process owed defendant, the judge was obligated to make the requisite inquiry into the merits of defendant's discharge. Although the judge's options would have been limited in the event that he concluded that the program, in fact, did not possess a legitimate basis for expelling defendant, and the District Attorney remained unwilling to approve defendant's participation in another program, Supreme Court could at least offer defendant the opportunity to withdraw his plea before imposing sentence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 657, 658.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:82, 203:90.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.2, 26.6.

McKINNEY's, CPL 216.05 (9) (b).

NY JUR 2d, Criminal Law: Procedure §§ 1507, 1510, 1521, 2919, 3062.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Guilty Plea; Parole, Probation, and Pardon; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: drug /2 treatment /4 program /p discharg! & evidentiary /2 hearing

POINTS OF COUNSEL

Appellate Advocates, New York City (*Lynn W.L. Fahey* of counsel), for appellant. The court denied appellant due process when it refused him a further chance in a treatment program and sentenced him to prison without holding a hearing or otherwise resolving disputed allegations, based on hearsay and conjecture, that he was responsible for thefts within the program. (*People v Selikoff*, 35 NY2d 227; *Matter of Chaipis v State Liq. Auth.*, 44 NY2d 57; *People v McConnell*, 49 NY2d 340; *People v White*, 32 NY2d 393; *Gagnon v Scarpelli*, 411 US 778; *Morrissey v Brewer*, 408 US 471; *Torres v Berbary*, 340 F3d 63; *Gardner v Florida*, 430 US 349; *People v Hansen*, 99 NY2d 339; *People v Outley*, 80 NY2d 702.)

Charles J. Hynes, District Attorney, Brooklyn (*Morgan J. Dennehy* and *Leonard Joblove* of counsel), for respondent. The Supreme Court conducted a sufficient inquiry before determining that defendant had violated the terms of the plea agreement. (*People v Outley*, 80 NY2d 702; *Gardner v Florida*, 430 US 349; *People v Valencia*, 3 NY3d 714; *People v Naranjo*, 89 NY2d 1047; *Torres v Berbary*, 340 F3d 63; *People v Bing*, 76 NY2d 331; *People v Taylor*, 9 NY3d 129; *People v Kin Kan*, 78 NY2d 54; *McMillan v Pennsylvania*, 477 US 79; *United States v Watts*, 519 US 148.)

OPINION OF THE COURT

READ, J.

In January 2006, defendant Vincent Fiammegta was arrested and charged with two counts each of second-degree burglary,

third-degree burglary, second-degree criminal trespass, third-degree criminal trespass, fourth-degree criminal mischief, fifth-degree criminal possession of stolen property, and petit larceny. The charges were based on allegations that he broke into two apartment buildings in Brooklyn and stole items from one of them. According to the presentence report, defendant admitted his guilt and explained that he had been “high on [Xanax], am-bien[] and crack cocaine” at the time.

On May 10, 2006, the judge was informed that the prosecutor had approved defendant to participate in the Kings County District Attorney’s Drug Treatment Alternative-to-Prison Program (DTAP), which offers substance abuse treatment in lieu of prison to nonviolent, drug-addicted felons who face a mandatory prison sentence under New York’s second felony offender law. That same day, defendant was adjudicated a predicate felon, and pleaded guilty to one count of second-degree burglary. In return, the People agreed to dismissal of the indictment once defendant successfully completed an 18-to-24-month residential drug treatment program and aftercare, to be followed by reentry into the community. The judge advised defendant that if he did not satisfactorily finish the program, he would be sentenced to eight years in prison and five years of postrelease supervision.

Defendant entered a residential drug treatment program soon thereafter. By letter dated September 13, 2006, however, the program’s Assistant Director of Clinical Services informed Supreme Court that defendant was at risk of discharge, essentially for violating conduct rules and displaying an uncooperative attitude. Consequently, at defendant’s court appearance the same day the judge warned that “[t]his is not working,” referring to defendant’s participation in DTAP. When defense counsel asked the judge to give her client a second chance, he agreed to consider the request, and adjourned the case until September 27, 2006. At that time, a representative of Treatment Alternatives for Safe Communities (TASC) informed Supreme Court that defendant had been cleared to enter a residential drug treatment program at another facility later that day. TASC, a federally funded statewide agency that operates under the auspices of the Division of Probation and Correctional Alternatives and works in conjunction with DTAP, places defendants in treatment programs, monitors their progress, and

acts as a liaison between the programs and the court. The judge advised defendant that he would “take another chance” on him, and give him this one “last chance.”

On March 15, 2007, the TASC Program Director wrote to the judge to report that defendant had been discharged from the program he entered the previous September on account of “non-compliance, thus violating the terms of his release and plea.” She enclosed a letter dated March 14, 2007 from the program’s Facility Director, who alleged that “[a]s a result of an extensive and thorough investigation,” defendant had been tagged for thefts from vocational counselors at a school that the program used.

The Director’s letter explained that 21 residents were initially under suspicion for these thefts, and that security at the school was very lax. Yet, the evidence “clearly pointed to” defendant as the thief for several reasons. First, another resident claimed to have seen defendant using keys to open doors to the vocational counselors’ offices, and defendant asked this resident not to mention what he had observed. Second, defendant was involved in an unauthorized “scheme to collect money for weights in the gym,” which netted \$90 subsequently stolen from a locker. Third, defendant was found to possess \$167, which he claimed to have saved. According to the Director, defendant “admitted that the evidence point[ed] to him,” but had “not officially taken responsibility for the thefts.”

On March 16, 2007, defendant appeared before the judge, who adjourned the case to “[s]ee if [the program] [would] take [defendant] back.” When defendant next appeared on March 27, 2007, the prosecutor asked the judge to sentence him. Defense counsel countered that defendant had been “very successful” in treatment, and had been “clean” for 14 months. She complained that the March 14th letter was “very circumstantial,” and failed to indicate that any “type of proceeding” had been held to establish her client’s responsibility for the thefts. She requested that another program be found for defendant if the program he had been participating in refused to take him back.

The TASC representative stated that DTAP would have to approve any other treatment opportunity for defendant and was “not inclined” to do so. Further, a DTAP representative said that she was “clear” that DTAP was not about to offer defendant a third program. Supreme Court recessed the case so defense

counsel could speak to a DTAP supervisor, but predicted that this was “not going to work.” When the case was called again later that day, the prosecutor announced that the DTAP supervisor was unwilling to afford defendant another chance in treatment.

Defense counsel requested a hearing because defendant insisted on his innocence of the thefts. Calling the Director’s letter “speculation,” she asserted that the program’s legal department considered the charges too flimsy to investigate. She also stated that defendant’s family and girlfriend had sent him money, and that he received “a stipend for being involved in a substance abuse program.” Defense counsel told the judge that defendant’s mother was present in the courtroom and willing to confirm that she had sent money to her son.

The following colloquy ensued:

“THE COURT: Well, I’m not here to dispute this. In fact, you were supposed to finish your program. You didn’t finish the program. You had an opportunity. You got kicked out of that program. That’s it.

“[DEFENSE COUNSEL]: But it’s based on allegations that . . . [are] unfounded . . .

“THE COURT: Let’s say I agree with you that it was unfounded. They kicked him out of the program. They’re not giving him another chance. What am I going to do?

“[DEFENSE COUNSEL]: . . . [H]e was one week away from outpatient status.

“THE COURT: This is not an illegal program. This is the D.A.’s program. The D.A. is not offering him any more programs.”

When defense counsel suggested that the judge could offer defendant another program, he responded, “My program is eight years in jail. I have no alternative. I can’t do it. To dismiss the case is up to the D.A.”

Defense counsel reiterated her request for a hearing, to which Supreme Court responded, “Assuming I find in your favor at the hearing . . . what do I do then?” Counsel suggested that the information obtained at a hearing might persuade the DTAP supervisor to relent; if it did not, the Legal Aid Society should be allowed to seek out another program for defendant, or the judge might sentence defendant to a reduced prison term.

Supreme Court adjourned the case until April 2, 2007, so defense counsel could “speak to the people at [the program]” and “be comfortable in what they have done.” The judge stated that he did not intend to hold a hearing because “[t]hese are not issues [for which] a hearing is held. If he flunks out of the program for whatever reason, he flunk[s] out of the program.”

On April 2, 2007, defense counsel reported to the judge that the Director now believed that defendant had been “set up,” and was willing to take him back; that the person who claimed to have seen defendant with keys had “a history,” including “several reprimands”; and that theft was a common occurrence at the program. Defense counsel mentioned that defendant’s mother and girlfriend were both present in court, and that she had letters documenting the funds they had sent him.

The prosecutor countered that DTAP was unwilling to give defendant another chance, and that the program was, in any event, not prepared to readmit him. The judge suggested that the DTAP supervisor might call the Director and confirm the program’s stance, but the prosecutor took the position that “[r]egardless whether the program or any program is willing to take the defendant back, the D.A.’s office is not willing” because the case was “very serious.”

Defense counsel continued to ask for a hearing, and Supreme Court reiterated that a hearing would not resolve anything, remarking that “[t]he program kicked him out. The People aren’t willing to give him another program. And we’re stuck with that situation here . . . Let’s say I . . . find that he didn’t violate. What am I going to do? Sue the program? Sue the D.A.’s office?” The judge did, however, adjourn the case so that he could talk to the Director. When defendant appeared in court again on April 4, 2007, Supreme Court described his conversation with the Director as follows:

“I spoke at length with [the Director] from the program. It is clear that they firmly believe [that defendant] was responsible for the theft, and they do not want him back, so I have nothing more to do but to sentence the defendant pursuant to our agreement.”

Defense counsel replied that she had also spoken to the Director, and had asked him “why the change of heart.” She recounted that he was “very vague,” but said “once again [that] he believes that [defendant] was set up due to the conditions of

the . . . program.” She also informed the judge that the Director told defendant’s girlfriend that whether to take defendant back was “not his decision.” Defense counsel asked to be allowed to speak to the person who had actually decided to discharge defendant from the program, and again complained that defendant was the victim of conjecture. She suggested that the judge might consider placing defendant in a different program, or sentencing him to the minimum available prison term of five years. The prosecutor responded that she had spoken with someone from the program, who had reviewed defendant’s file. This individual expressed the “firm” belief that defendant was the thief, and confirmed that he would not be readmitted.

Supreme Court next asked defendant if he wished to say anything, to which he responded, “Your Honor, there’s so much, but I—no.” The judge then sentenced him to eight years in prison and five years of postrelease supervision. Defendant subsequently appealed.

On December 30, 2008, the Appellate Division affirmed, concluding that Supreme Court’s “inquiry regarding the circumstances concerning the defendant’s discharge from a drug treatment program was sufficient to determine that [he] violated the plea agreement” (*People v Fiammegta*, 57 AD3d 1003 [2d Dept 2008]). A Judge of this Court granted defendant permission to appeal (12 NY3d 853 [2009]), and we now reverse.

Supreme Court has broad discretion when supervising a defendant subject to DTAP, and deciding whether the conditions of a DTAP plea agreement have been met (*see People v Jenkins*, 11 NY3d 282, 289 [2008]). And although DTAP is not the same as the judicial diversion program, the Legislature has endorsed judicial flexibility in CPL 216.05 (9) (b), effective October 7, 2009, which provides that “[i]n determining whether a defendant violated a condition of his or her release under the judicial diversion program [for substance abuse or dependence], the court *may* conduct a summary hearing consistent with due process and sufficient to satisfy the court that the defendant has, in fact, violated the condition” (emphasis added).

This provision is consistent with our decision in *People v Outley* (80 NY2d 702, 712 [1993]), where we adverted to the settled rule that “sentencing is a critical stage of the criminal proceeding and that the sentencing process, as well as the trial itself, must satisfy the requirements of the Due Process Clause” (internal quotation marks omitted). And in order “[t]o comply

with due process, . . . the sentencing court must assure itself that the information upon which it bases the sentence is reliable and accurate” (*id.*).

In *Outley*, we considered what process was due when a defendant “breached a no-arrest condition [of a plea bargain] by being arrested before the sentence but denies any complicity in the underlying crime” (*id.*). In each of the three cases consolidated for decision in *Outley*, the defendants maintained that “when a defendant denies the postplea criminal conduct, the court must conduct an evidentiary hearing to satisfy itself by a preponderance of the evidence that the defendant has, in fact, committed the crime for which he was arrested” (*id.*). We rejected that notion because it changed the condition of the plea from not being arrested for a crime to not actually committing a crime.

But we recognized in *Outley* that in order for a court to impose the enhanced sentence, “the mere fact of the arrest, without more, is not enough. A no-arrest condition could certainly not be held to have been breached by arrests which are malicious or merely baseless” (*id.* at 713). We therefore held that

“[w]hen an issue is raised concerning the validity of the postplea charge or there is a denial of any involvement in the underlying crime, the court must conduct an inquiry at which the defendant has an opportunity to show that the arrest is without foundation . . . The nature and extent of the inquiry—whether through a summary hearing pursuant to CPL 400.10 or some other fair means—is within the court’s discretion. The inquiry must be of sufficient depth, however, so that the court can be satisfied—not of defendant’s guilt of the new criminal charge but of the existence of a legitimate basis for the arrest on that charge” (*id.* [citations omitted]).

Defendant asks us to reject *Outley* in favor of *Torres v Barbary* (340 F3d 63, 71 [2d Cir 2003]), and to hold that a defendant who faces termination from a drug treatment program on account of contested allegations of wrongdoing is entitled to a hearing akin to that afforded a defendant subject to probation or parole revocation because “due process in sentencing requires at least a showing by a preponderance of evidence to resolve disputed factual issues” (*but see Janick v Superintendent of Franklin Correctional Facility*, 253 Fed Appx 65, 66 [2d Cir 2007] [acknowledging that the United States Supreme Court

has “not shed much light on the minimum burden of proof that must be met when factual contentions are subject to dispute at sentencing”)). That is, defendant contends that he should have been provided the opportunity to testify and present evidence; to confront and cross-examine adverse witnesses, unless the court found good cause for not allowing this; to have the accusations proven by a preponderance of the evidence; and to a resolution of the relevant facts by the court.

In our view, though, the *Outley* rule is better suited for those circumstances where a defendant is expelled from a drug treatment program for misconduct. As an initial matter, DTAP is a diversion program; a defendant must successfully complete drug treatment in order to escape otherwise mandatory incarceration. This is not the same as the situation where the court changes the defendant’s sentence by revoking a sentence of probation or parole at the request of the government. Moreover, it is not practical to require an evidentiary hearing every time a defendant disputes discharge from a drug treatment program for reasons unrelated to making satisfactory progress in treatment. Faced with a prison term, many—if not most—defendants will challenge their dismissal. Analogizing to *Outley*, the condition of a DTAP plea is that the defendant satisfactorily finish a drug treatment program. Accordingly, when a program discharges a defendant for misconduct, the court must carry out an inquiry of sufficient depth to satisfy itself that there was a legitimate basis for the program’s decision, and must explain, on the record, the nature of its inquiry, its conclusions, and the basis for them.

Accordingly, Supreme Court was not required to conduct an evidentiary hearing in this case, or to determine by a preponderance of the evidence that defendant was guilty of the thefts of which he was accused. But the judge should have considered defendant’s argument that he was kicked out of the program based on thin evidence of wrongdoing after inadequate investigation; and he should have allowed defendant to submit letters and testimony or affidavits from his mother and girlfriend about the money they claimed to have sent him.

Supreme Court understandably felt hamstrung by the District Attorney’s refusal to endorse any further treatment opportunity for defendant. Nonetheless, in his supervision of this DTAP plea and as a measure of the due process owed defendant, the judge was obligated to make the requisite inquiry into the merits of defendant’s discharge. Concededly, the judge’s options would

have been limited in the event that he concluded that the program, in fact, did not possess a legitimate basis for expelling defendant, and the District Attorney remained unwilling to approve defendant's participation in another program. Under those circumstances, however, Supreme Court could at least offer defendant the opportunity to withdraw his plea before imposing sentence.

Accordingly, the order of the Appellate Division should be reversed, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[923 NE2d 1129, 896 NYS2d 741]

In the Matter of the Adoption of JOHN DOE, an Infant. LMB,
Respondent; ERJ, Appellant.

Argued January 13, 2010; decided February 16, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 25, 2008. The Appellate Division affirmed an order of the Surrogate's Court, New York County (Kristin Booth Glen, S.), which had granted petitioner's application for immediate visitation with John Doe and for vacatur of a prior order of that Surrogate's Court granting respondent's application to readopt John Doe. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Surrogate's Court, properly made?"

Matter of Doe, 58 AD3d 186, affirmed.

HEADNOTES

Adoption — Consent — Consent of Parent

1. In an adoption proceeding involving unmarried New York domiciliaries and a Cambodian orphan, Surrogate's Court properly determined that petitioner had validly adopted the child in 2004 under Cambodian law and his parental rights were never effectively relinquished or extinguished. Consequently, respondent could not adopt the child without petitioner's consent (Domestic Relations Law § 111 [1] [b]; [5]) and the New York adoption decree subsequently issued to respondent was correctly vacated.

Adoption — Foreign Adoption

2. In an adoption proceeding involving unmarried New York domiciliaries and a Cambodian orphan, Surrogate's Court properly determined that petitioner had validly adopted the child in 2004 under Cambodian law. A certificate issued by the Cambodian Ministry of Social Affairs, Labor, Vocational Training and Youth Rehabilitation evidenced a permission to adopt as well as a full and final adoption.

Adoption — Foreign Adoption — Comity

3. In an adoption proceeding involving unmarried New York domiciliaries and a Cambodian orphan, a New York court properly extended comity to a certificate issued by the Cambodian Ministry of Social Affairs, Labor, Vocational Training and Youth Rehabilitation effecting petitioner's adoption of the child. The Surrogate's finding that comity should be accorded to the certificate, despite differences between Cambodian law and federal law and state regulations, was convincing. Foreign adoptions should generally be accorded comity unless enforcement would result in the recognition of a transaction which is inherently vicious, wicked or immoral, or shocking to the

prevailing moral sense. In addition, the Surrogate properly held that Cambodia's failure to require approval of this international adoption by the "receiving State" in contravention of the Hague Convention on Protection of Children and Co-operation in Respect of Intercountry Adoption did not preclude comity, since the United States had not ratified the Hague Convention.

Adoption — Surrender of Child — Validity of Letter Relinquishing Permission to Adopt Child

4. In an adoption proceeding involving unmarried New York domiciliaries and a Cambodian orphan, petitioner's 2005 letter sent to the Cambodian Ministry of Social Affairs, Labor, Vocational Training and Youth Rehabilitation stating that he wished to relinquish the permission to adopt the child that the Cambodian government had previously granted him was ineffective under New York law. The 2005 letter did not meet the requirements of Domestic Relations Law § 115-b. Notwithstanding respondent's claim that Cambodian law should govern the question of the validity of the relinquishment, because parental rights had been validly established in New York between an adoptive parent and child who continue to live in New York, New York law was applicable with respect to the parental relationship. New York's interest in a parent-child relationship between two of its residents was plainly greater than the interest of Cambodia in a relationship between an adult who never lived in Cambodia and a child who, with the approval of the Cambodian government, had been adopted by a non-Cambodian and taken to live elsewhere.

Adoption — Foreign Adoption — Act of State

5. In an adoption proceeding involving unmarried New York domiciliaries and a Cambodian orphan, Cambodian documents issued during the course of the litigation in 2006 purporting to terminate petitioner's parental rights over the child and to authorize respondent to adopt him were not "acts of state" done within Cambodia's own territory, nullifying petitioner's parental rights. All three of the people that the supposed governmental acts would have affected—petitioner, respondent and the child—were living in New York in 2006. A fortiori, parents living in New York with their adopted children should not run the risk that those adoptions can be nullified by the decree of a foreign government.

Adoption — Foreign Adoption — Best Interests of Child

6. In an adoption proceeding the child's best interests, although important, do not automatically validate an otherwise illegal adoption.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adoption §§ 36–39, 46, 94, 95, 147; AM JUR 2d, Conflict of Laws §§ 7, 21, 23; AM JUR 2d, International Law §§ 53–55, 57.
CARMODY-WAIT 2d, Adoption Proceedings §§ 111:9, 111:40, 111:130, 111:136, 111:140, 111:148, 111:157.
6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 7:31, 7:57.
MCKINNEY's, Domestic Relations Law §§ 111, 115–b.
NY JUR 2d, Conflict of Laws § 21; NY JUR 2d, Courts and

Judges § 563; NY JUR 2d, Domestic Relations §§ 584–586, 630–633, 670, 678.

ANNOTATION REFERENCE

See ALR Index under Adoption of Children.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: vacat! /4 adoption /2 decree & consent & applicable choice /3 law & best /2 interest

POINTS OF COUNSEL

Newman & Greenberg, New York City (*Richard A. Greenberg* and *Steven Y. Yurowitz* of counsel), for appellant. I. The Act of State Doctrine applies to a foreign adoption granted by the highest levels of a foreign government. (*Banco Nacional de Cuba v Sabbatino*, 376 US 398; *F. & H.R. Farman-Farmaian Consulting Engrs. Firm v Harza Eng'g Co.*, 882 F2d 281; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553; *People v P.J. Video*, 68 NY2d 296; *People v Scott*, 79 NY2d 474; *Occidental of Umm al Qaywayn, Inc. v A Certain Cargo of Petroleum Laden Aboard Tanker Dauntless Colocotronis*, 577 F2d 1196; *Callejo v Bancorner, S.A.*, 764 F2d 1101; *In re Philippine Natl. Bank*, 397 F3d 768; *United States v Merritt*, 962 F2d 917; *Galu v Swissair: Swiss Air Transp. Co., Ltd.*, 873 F2d 650.) II. Cambodian law governs the validity of LMB's written relinquishment, conveyed to and accepted by Cambodia, of his Cambodian-granted adoption of a Cambodian orphan-citizen, and under Cambodian law LMB's relinquishment was valid. (*Matter of Hollinger*, 93 Misc 2d 926; *Matter of Female Infant F.*, 191 AD2d 437; *Mountain View Coach Lines v Storms*, 102 AD2d 663; *People v Shakur*, 215 AD2d 184; *Blackmer v United States*, 284 US 421; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Anh v Levi*, 586 F2d 625; *Babcock v Jackson*, 12 NY2d 473; *Matter of Crichton*, 20 NY2d 124; *Auten v Auten*, 308 NY 155.) III. A best interest analysis is required in a contested adoption between nonbiological parents, and the Surrogate's failure to consider John Doe's best interests before vacating ERJ's adoption was reversible error. (*Matter of Male Infant L.*, 61 NY2d 420; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Friederwitzer v Friederwitzer*, 55 NY2d 89; *Matter of Gale v Gray*, 39 AD3d 903; *Matter of Alfredo S. v Nassau County Dept. of Social Servs.*, 172 AD2d 528; *Matter of Hicks v Bridges*, 2 AD2d 335; *Matter of O'Rourke v Kirby*, 54 NY2d 8; *Matter of Kevin G.*, 227 AD2d 622; *Matter of George L. v Commissioner of*

Fulton County Dept. of Social Servs., 194 AD2d 955; *People ex rel. Turner v Hembrooke*, 12 AD3d 966.)

Cohen Hennessey Bienstock & Rabin P.C., New York City (*Bonnie E. Rabin* and *Timothy W. James* of counsel), for respondent. I. New York law governs the MOSAVY letter's effectiveness as a surrender of parental rights. (*Matter of Female Infant F.*, 191 AD2d 437; *Anh v Levi*, 586 F2d 625; *Babcock v Jackson*, 12 NY2d 473; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238; *Matter of Crichton*, 20 NY2d 124; *Auten v Auten*, 308 NY 155; *Reale v Herco, Inc.*, 183 AD2d 163; *Merrick v Merrick*, 180 AD2d 546; *McKoan v McKoan*, 15 Misc 3d 1115[A], 2007 NY Slip Op 50653[U]; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309.) II. The MOSAVY letter did not meet New York law's requirements for an effective surrender of parental rights. (*Dennis T. v Joseph C.*, 82 AD2d 125.) III. The MOSAVY letter would not be a legally effective surrender of LMB's parental rights under Cambodian law. IV. The Act of State Doctrine does not apply. (*Banco Nacional de Cuba v Sabbatino*, 376 US 398; *W. S. Kirkpatrick & Co. v Environmental Tectonics Corp., Int'l*, 493 US 400; *Riggs Natl. Corp. & Subsidiaries v Commissioner of Internal Revenue Serv.*, 163 F3d 1363; *Alfred Dunhill of London, Inc. v Republic of Cuba*, 425 US 682; *Republic of Philippines v Marcos*, 806 F2d 344; *In re Grand Jury Proceedings Bank of Nova Scotia*, 740 F2d 817; *Timberlane Lbr. Co. v Bank of Am., N.T. & S.A.*, 549 F2d 597; *United States v Evans*, 667 F Supp 974; *Matter of Jarrett*, 230 AD2d 513; *Morrison v Budget Rent A Car Sys.*, 230 AD2d 253.) V. No best interests hearing was required or appropriate. (*Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Male Infant L.*, 61 NY2d 420; *Carpenter v Buffalo Gen. Elec. Co.*, 213 NY 101; *Matter of Upjohn*, 304 NY 366; *Matter of Robert Paul P.*, 63 NY2d 233.)

OPINION OF THE COURT

SMITH, J.

The parties to this proceeding are former lovers who never married but who, while they were romantically involved, brought a Cambodian child to the United States, and planned to adopt him together. The adoption proceedings became complicated; the couple broke up; and now each claims to be the child's only parent.

Before us on this appeal is an order of the Surrogate, affirmed by the Appellate Division, which granted the petition of LMB, who asserts he is the child's father, to vacate an adoption decree

previously granted to ERJ, who claims the status of mother. We agree with the courts below that the adoption decree must be vacated.

I

Many facts in this case are disputed, but few if any of the factual disputes are material to the legal issues. In the following account, we try to confine ourselves to facts that are agreed on or, at least, asserted by one party and not contradicted by the other.

In January 2003, John Doe, apparently about two months old, was found abandoned in a village market in Cambodia and taken to an orphanage. ERJ, a wealthy New York resident who had taken a philanthropic interest in the plight of Cambodian orphans, saw him for the first time on a tour of the orphanage in June 2003.

LMB, ERJ's then boyfriend, also met John Doe in Cambodia, in July 2003. The child suffered from a heart ailment that could not be properly treated in Cambodia, and in late August or early September 2003 he was brought to New York on a six-month visa (later extended for another six months) for the purpose of receiving medical care. John Doe has lived at ERJ's home in New York City since that time. LMB was, until late 2005, at least a frequent visitor to the home, if not an inhabitant of it. Both parties love the child, and have participated in caring for him.

At some point either before or after the child was brought to the United States, ERJ decided she wanted to adopt him. The parties agreed—either at the outset, or at some later time—that LMB would adopt him also. United States law presented an obstacle to the adoption, or so the parties believed; they understood that the United States had put a moratorium on adoption of Cambodian children, in response to reports of trafficking in Cambodian babies. The parties devised a fairly complicated solution to this problem. LMB, though a United States citizen, was born in Trinidad and Tobago. The plan was that he would reestablish Trinidadian citizenship (which he could do without relinquishing United States citizenship); that he would adopt John Doe in Trinidad and Tobago; and that the child—no longer a Cambodian—could then also be adopted by ERJ in New York.

LMB did reclaim his Trinidadian citizenship, and applied to the Cambodian government for permission to adopt John Doe.

On June 23, 2004, the Cambodian Ministry of Social Affairs, Labor, Vocational Training and Youth Rehabilitation (which later changed its name, and is referred to by its current acronym, MOSAVY), issued a document to LMB approving his request. In the translation submitted by LMB, the document is titled “ADOPTION CERTIFICATE” and says that LMB “is allowed to adopt the orphan child [John Doe].”

The parties’ plan to arrange a Trinidadian adoption as a prelude to a New York adoption did not work out. LMB was advised (belatedly, it seems) that single men could not adopt children under Trinidadian law. Meanwhile, in August 2004, the romantic relationship between LMB and ERJ ended, though the two remained, for the time being, on more or less friendly terms.

In the fall of 2004, ERJ was told that it might be possible for her to adopt John Doe in New York after all, even if there was no previous Trinidadian adoption. In an effort to help her accomplish this, on March 14, 2005 LMB signed, at ERJ’s request, a letter to MOSAVY saying: “I wish to relinquish the permission that was granted to me by the Kingdom of Cambodia to adopt the orphan child.” ERJ made her own application to Cambodian authorities, and on October 11, 2005 MOSAVY issued her a certificate identical in form to the one it had issued to LMB in June 2004. In December 2005, the parties quarreled, apparently because each disapproved of the other’s approach to bringing up children, and their relations have been hostile since that time.

On January 12, 2006, ERJ filed a petition with the New York County Surrogate to adopt John Doe. She did not give LMB notice of the adoption proceeding. In her petition, she characterized the relief she sought as “a re-adoption,” a characterization she later said was mistaken. ERJ’s adoption petition also contained another flaw, one she later called “a very stupid error”; she acknowledged that she “was not candid” with the Surrogate, in that she failed to disclose a recent stay at an alcohol treatment facility.

The New York adoption ERJ sought was not opposed, and was granted on April 12, 2006. On August 1, 2006, LMB, having learned of the adoption, began the present proceeding to vacate it. While this proceeding was pending, the Cambodian government issued two documents that ERJ now relies on. The first, a letter dated October 24, 2006 from MOSAVY to ERJ, states in substance that the Cambodian government validly granted ERJ

permission to adopt John Doe. It adds that LMB “also submitted an application” but “failed to attend a handing over ceremony . . . and he also submitted a letter of refusal to adopt.” It authorizes ERJ to “use this letter as you see fit for the best interest of” John Doe.

The second document, dated December 1, 2006, was issued by the Cambodian Council of Ministers and is referred to by the parties as a “Sor Chor Nor”—a phrase translated by ERJ as “governmental edict or clarification of rights.” The Sor Chor Nor refers to and repeats the substance of MOSAVY’s October 24, 2006 letter, and adds that LMB’s “request to adopt this child is considered as null and void.”

After a trial in which experts on Cambodian law testified for both sides, the Surrogate, in a lengthy and carefully reasoned decision, granted LMB’s petition to vacate the adoption decree. The Appellate Division affirmed, with one Justice dissenting (*Matter of Doe*, 58 AD3d 186 [1st Dept 2008]). The Appellate Division granted leave to appeal to this Court, and we now affirm.

II

[1] The substance of LMB’s argument, which the courts below upheld, is that he became John Doe’s father by virtue of the certificate issued to him by MOSAVY on June 23, 2004; that his parental rights have never been effectively relinquished or extinguished; and that therefore ERJ could not adopt John Doe without LMB’s consent (*see* Domestic Relations Law § 111 [1] [b] [requiring the consent of parents to the adoption “of a child conceived or born in wedlock”] and [5] [providing that a child “who has once been lawfully adopted may be readopted directly from such child’s adoptive parents in the same manner as from its birth parents”]). We do not find it necessary to endorse all of LMB’s argument, or all the conclusions reached by the courts below; but we agree with much of their reasoning, and agree that the adoption decree issued to ERJ was correctly vacated.

To explain our conclusion, we discuss five issues: (1) the effect under Cambodian law of the June 23, 2004 certificate; (2) whether comity should be accorded to that certificate under New York law; (3) the effect, if any, of the “relinquishment” letter signed by LMB on March 14, 2005; (4) whether the documents issued by the Cambodian government in 2006 were “acts of state” nullifying LMB’s parental rights; and (5) whether the courts below should have considered the best interests of the child in deciding whether to vacate ERJ’s adoption.

1. The effect of the June 2004 certificate under Cambodian law

[2] Whether, under Cambodian law, LMB validly adopted John Doe in June 2004 was a major issue below, generating a duel between experts at trial and occupying a large part of the Surrogate’s decision. But there is no need for us to examine this question in similar detail here. The Surrogate concluded that, under Cambodian law, the June 2004 certificate evidenced not just “permission to adopt” but a “full and final adoption”; and that neither LMB’s failure to participate in a “giving and receiving ceremony” nor the absence of approval of the adoption from Trinidad and Tobago altered the Cambodian-law effect of the adoption. We find the Surrogate’s reasoning on these issues to be compelling, and ERJ has not challenged the Surrogate’s resolution of the Cambodian law question in this Court. We are satisfied that, under Cambodian law, LMB validly adopted John Doe in June 2004.

2. The comity issue

Whether the Cambodian adoption certificate of June 2004 should be given comity by the New York courts—i.e., whether being John Doe’s father under Cambodian law made LMB his father under New York law also—is a question that received less attention below, but requires more discussion by us here.

[3] It seems from the Surrogate’s opinion that ERJ opposed according comity to LMB’s Cambodian adoption solely on the ground that “New York State and Federal public policy” precluded it. In support of this argument, ERJ pointed out that: (1) Cambodian law, unlike New York law and federal immigration regulations, did not require a pre-adoption “investigation by a disinterested person or by an authorized agency” (Domestic Relations Law § 112 [7]) or “home study” (8 CFR 204.3 [e]); and (2) Cambodia did not require approval of an international adoption by the “receiving State,” as does the Hague Convention on Protection of Children and Co-operation in Respect of Intercountry Adoption (32 ILM 1134 [1993]). The Surrogate had little difficulty in disposing of these arguments. She rejected both of them on the ground that foreign adoptions should generally be accorded comity “unless enforcement would result in the recognition of a transaction which is inherently vicious, wicked or immoral, or shocking to the prevailing moral sense” (quoting *Greschler v Greschler*, 51 NY2d 368, 377 [1980] [internal quotation marks omitted]); and she rejected the second argument on the additional ground that the United States had not ratified the Hague Convention. Again, the reasoning of the

Surrogate on these issues is convincing, and ERJ takes no issue with it on this appeal.

ERJ apparently did not advance, and the Surrogate did not address, a perhaps better reason for denying comity to LMB's Cambodian adoption of John Doe: at the time of that adoption, John Doe and LMB were in New York, not Cambodia. It is true that the child was a Cambodian citizen, and that his presence in New York was theoretically temporary; he was here on a visa, originally granted for six months and extended for another six months, for the purpose of receiving medical treatment. On the other hand, it is a reasonable inference from the record that, as of June 2004, John Doe was highly unlikely ever to return to live in Cambodia. On these facts, it is not self-evident that New York should defer to Cambodia to decide the question of whether John Doe should be adopted, or by whom; arguably, as of June 2004, New York's interest in that subject was not less than Cambodia's (*cf. Barry E. v Ingraham*, 43 NY2d 87 [1977]).

Since ERJ has not made this argument, we need not accept or reject it, and our opinion should not be taken as expressing any view on it. We add, however, that even if the argument had been made and accepted, it might not have altered the outcome of this case. To say that a New York court would not automatically accord comity to the June 2004 Cambodian adoption is not to say that that adoption is necessarily a nullity. ERJ treated it as a nullity when she petitioned the Surrogate for the adoption of John Doe in January 2006. She gave no notice of the proceeding to LMB, and she apparently did not inform the Surrogate that the June 2004 adoption had ever happened. It would be no great stretch to say that Cambodia's determination, in June 2004, of the status of its own citizen was entitled to more respect than this—that ERJ should not have been allowed to adopt John Doe without notice to the person who was John Doe's father under Cambodian law.

3. The March 2005 letter

For the reasons we have explained, the Surrogate and the Appellate Division were correct to hold, for purposes of this proceeding, that LMB became John Doe's father in June 2004, not only under the law of Cambodia but also under the law of New York. Under Domestic Relations Law § 111 (1) (b) and (5), ERJ could not adopt John Doe without the consent of his existing parent. The next question is whether LMB effectively gave that consent in March 2005, by signing a letter saying that he

wished to relinquish the permission to adopt John Doe that the Cambodian government had granted him. We agree with the courts below that no effective consent was given.

Domestic Relations Law § 115-b provides two methods by which a parent may consent to a private-placement adoption (i.e., an adoption other than through an authorized agency) of his or her child. Section 115-b (2) (a) says that such a consent “may be executed or acknowledged before any judge or surrogate in this state having jurisdiction over adoption proceedings.” All consents not given before a judge or surrogate are subject to the formal requirements of section 115-b (4), which requires, among other things, a statement “in conspicuous print of at least eighteen point type” of the name and address of the court in which an adoption proceeding has been or is to be commenced (§ 115-b [4] [a] [i]); an equally conspicuous description of the consenting parent’s right to revoke his or her consent (§ 115-b [4] [a] [ii]); and execution or acknowledgment of the consent before a notary public or another officer (Domestic Relations Law § 115-b [4] [b]). It is undisputed that the March 2005 relinquishment letter does not meet the requirements of Domestic Relations Law § 115-b.

[4] ERJ does not defend the validity of the relinquishment under New York law. Her sole argument on this issue is that Cambodian law should govern the question. She cites no authority supporting this suggestion, and we reject it. It may be debatable, as we explained above, whether parental rights *created* by a Cambodian adoption should, under circumstances like these, be treated as valid in New York. But once parental rights have been validly established under New York law, between an adoptive parent and child who continue to live in New York, the choice of law governing the parental relationship is much less difficult: New York law applies.

Under established conflict of laws principles, the applicable law should be that of “the jurisdiction which, because of its relationship or contact with the occurrence or the parties, has the greatest concern with the specific issue raised in the litigation” (*Babcock v Jackson*, 12 NY2d 473, 481 [1963]). New York’s interest in a parent-child relationship between two of its residents is plainly greater than the interest of Cambodia in a relationship between an adult who never lived in Cambodia and a child who, with the approval of the Cambodian government, has been adopted by a non-Cambodian and taken to live elsewhere. When New York parents have acquired, by virtue of a foreign country

adoption, parental rights that are recognized in New York, those rights can no longer depend upon the vagaries of a foreign country's law. The rule ERJ seeks would create unacceptable uncertainty for every New York parent raising a child he or she has adopted in a foreign country.

4. The Act of State Doctrine

[5] ERJ's main argument on this appeal is that two Cambodian documents issued during the course of the litigation—the MOSAVY letter of October 24, 2006 and the Sor Chor Nor of December 1, 2006—are “acts of state” of the Cambodian government, which must be respected by United States courts and control the outcome of this litigation. This argument lacks merit.

The Act of State Doctrine is that “the courts of one country will not sit in judgment on the acts of the government of another, done within its own territory” (*Banco Nacional de Cuba v Sabbatino*, 376 US 398, 416 [1964]). The inapplicability of this doctrine to the present case seems obvious. Assuming that the MOSAVY letter and the Sor Chor Nor were acts of the Cambodian government, and that they purported to terminate LMB's parental rights over John Doe, and to authorize ERJ to adopt him, they certainly were not acts “done within [Cambodia's] own territory.” All three of the people that these supposed governmental acts would have affected—LMB, ERJ and John Doe—were living in New York in 2006.

ERJ points out that courts have made exceptions to the territoriality limitation on the Act of State Doctrine (*see Callejo v Bancomer, S.A.*, 764 F2d 1101, 1121 n 29 [5th Cir 1985]). But the exceptions are rare. The only examples that have been called to our attention involve international banking transactions of exceptional political sensitivity (*United States v Belmont*, 301 US 324 [1937]; *In re Philippine Natl. Bank*, 397 F3d 768, 773 [9th Cir 2005]). ERJ suggests no persuasive reason why this case should be added to the list of exceptions, and there are excellent reasons why it should not be. In the previous section of this opinion, we held that the continued existence of a parent-child relationship between two New York residents should be governed by New York law, because the contrary rule would subject New York parents to intolerable uncertainty. A fortiori, parents living in New York with their adopted children should not run the risk that those adoptions can be nullified by the decree of a foreign government.

5. The best interests of the child

ERJ's claim that the courts below erred in failing to consider whether it would be in John Doe's best interests for ERJ to adopt him misconceives the grounds for their rulings.

The Surrogate vacated ERJ's adoption of John Doe, and the Appellate Division affirmed the Surrogate's order, because that adoption was gravely flawed as a matter of law. Their decision rested, as does ours, on the failure to give notice to or obtain the consent of LMB, who for purposes of this proceeding must be considered John Doe's father. Other flaws in the adoption might have compelled the same result: ERJ's adoption petition represented that she sought a "re-adoption"—a claim that she later disavowed—and failed to disclose a recent substance abuse problem.

[6] The best interests of a child, important though they are, do not automatically validate an otherwise illegal adoption. In particular, the parental rights of a child's father cannot simply be ignored because a court thinks it would be in the child's best interests to be adopted by someone else. The courts below were clearly correct in declining to hold the best interests of the child to be dispositive in this case.

Of course we do not imply that we are indifferent, or that we believe the lower courts were or should be indifferent, to John Doe's best interests. For all the legal complexities in this case, no one dealing with it can forget that its subject is a child, now seven years old, and that that child has lived for virtually his whole life with ERJ, who he no doubt thinks is his mother.

LMB assured the courts below, and has assured us, that his own first concern is John Doe's best interests, and that he has no intention of removing the child from the only home he has ever known. Indeed, LMB's brief in this Court says that if ERJ accepts his status as father, he is still willing to agree to a second-parent adoption by ERJ. LMB does maintain that, as John Doe's father and only legal parent, he is legally free to prevent the boy's adoption by ERJ, and to remove him from ERJ's home, if he wants to. But since he says he does not want to, neither we nor the courts below have had any occasion to decide whether LMB's rights are as extensive as he claims. That question is academic, and we hope it will remain so.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Opinion by SMITH, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
PIGOTT and JONES concur.

Order affirmed, etc.

[924 NE2d 782, 897 NYS2d 674]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOMER
BROWN, JR., Appellant.

Argued January 14, 2010; decided February 18, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 6, 2009. The Appellate Division affirmed a judgment of the Monroe County Court (Alex R. Renzi, J.), which had convicted defendant, upon his plea of guilty, of robbery in the third degree and grand larceny in the fourth degree.

People v Brown, 59 AD3d 937, reversed.

HEADNOTES

Crimes — Plea of Guilty — Withdrawal of Plea — Necessity of Hearing to Determine Voluntariness of Plea Conditioned on Defendant's Brief Release to See Seriously Ill Son

1. The trial court abused its discretion when it denied defendant's motion to withdraw his guilty plea without a hearing to determine the voluntariness of the plea, which was conditioned on defendant receiving a three-week furlough to see his son who was in the hospital and in a coma. There was no indication on the record that the specific terms of the plea were subject to extended discussion or that defendant had sufficient time to consider the alternatives to taking it. The court never inquired about the impact the promised furlough had on defendant's decision to plead guilty or whether defendant was pleading guilty voluntarily. On the motion to withdraw the plea, defendant provided detailed allegations explaining the duress that he experienced based on his fear that his son might not survive. The court's reliance on the fact that defendant admitted his guilt to the charged crimes during the allocution did not inform the analysis of whether the plea was voluntary. Furthermore, the denial of defendant's previous request to be released from jail to see his son supported his contention that that desire influenced his decision to plead guilty.

Crimes — Plea of Guilty — Withdrawal of Plea — Voluntariness of Plea Conditioned on Grant of Furlough

2. A plea bargain granting a furlough is not per se invalid. Such a plea may require special scrutiny by the court prior to accepting it, but so long as the totality of the circumstances reveals that the plea is voluntarily, knowingly and intelligently made, it will be upheld. No abuse of discretion will be found where the court, recognizing the potentially coercive nature of the plea terms, conducts a thorough inquiry to establish that defendant is pleading guilty willingly after considering other legitimate alternatives. Moreover, where a careful scrutiny of a motion to withdraw a guilty plea reveals that defendant's allegations fail to raise a legitimate question as to the voluntariness of the plea, the court may deny the motion without a hearing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600–603, 609, 687–695, 700–702.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12–182:14, 182:70–182:72, 182:82, 182:96.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3–21.5.

NY JUR 2d, Criminal Law: Procedure §§ 1485, 1494, 1505, 1511–1514, 1517, 1518, 1527, 1528.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea; Plea Bargaining.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: guilty /2 plea /6 duress /p withdraw! & voluntar! /s
release furlough

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Janet C. Somes of counsel), for appellant. The record demonstrates that Mr. Brown's guilty plea was not knowing and voluntary, and County Court abused its discretion in summarily denying Mr. Brown's motion to withdraw his plea. (*Boykin v Alabama*, 395 US 238; *People v Moissett*, 76 NY2d 909; *North Carolina v Alford*, 400 US 25; *People v Ford*, 86 NY2d 397; *People v Grant*, 61 AD3d 177; *People v Hill*, 9 NY3d 189; *People v White*, 32 NY2d 393; *People v Flowers*, 30 NY2d 315; *People v Hawkins*, 271 AD2d 756; *Matter of Bauer*, 3 NY3d 158.)

Michael C. Green, District Attorney, Rochester (Nicole M. Fantigrossi of counsel), for respondent. I. The promise of a furlough between plea and sentence is an appropriate subject of the plea bargaining process. (*People v Selikoff*, 35 NY2d 227, 419 US 1122; *Santobello v New York*, 404 US 257; *Brady v United States*, 397 US 742; *Shelton v United States*, 246 F2d 571; *People v White*, 32 NY2d 393; *People v Montgomery*, 27 NY2d 601; *People v Pena*, 50 NY2d 400, 449 US 1087; *People v Vargas*, 88 NY2d 363; *People v Seaberg*, 74 NY2d 1; *People v Farrar*, 52 NY2d 302.) II. Defendant's plea was not rendered involuntary by duress under the circumstances. The court properly denied defendant's motion to withdraw his guilty plea. (*People v Nixon*,

21 NY2d 338, *cert denied sub nom. Robinson v New York*, 393 US 1067; *People v Fiumefreddo*, 82 NY2d 536; *People v Alexander*, 97 NY2d 482; *People v Taylor*, 65 NY2d 1; *People v Green*, 75 NY2d 902; *People v Frederick*, 45 NY2d 520; *People v Tinsley*, 35 NY2d 926; *People v Baret*, 11 NY3d 31; *North Carolina v Alford*, 400 US 25; *Boykin v Alabama*, 395 US 238.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant, under indictment for one count of robbery in the third degree and one count of grand larceny in the fourth degree, was unable to post the \$10,000 bail and was held in custody while awaiting prosecution. From the time of his arrest on April 11, 2005 until his June 29, 2005 guilty plea, defendant consistently maintained his innocence and so testified at the grand jury. Shortly after his indictment, the parties learned that defendant's son was in the hospital and in a coma as a result of multiple gunshot wounds. At the outset of the next court appearance, the court informed defendant that a proposed plea bargain would require him to plead guilty to both counts of the indictment in exchange for a 2-to-4-year sentence, and then stated, "[y]our attorney told me [that] you were interested in taking the plea if I were to give you a furlough for three weeks to allow you to see your sick child," who was still in the hospital. Defendant responded in the affirmative, and the court agreed to the furlough, warning defendant that if he did not appear on the scheduled date, he would receive an increased sentence.

During the ensuing colloquy, the court informed defendant of the rights he was forfeiting by pleading guilty, and confirmed that no threats or promises, other than the promised three-week furlough, had been made to defendant. The court never inquired whether defendant was pleading guilty voluntarily. After defendant admitted to the facts constituting the crimes charged, the court accepted the guilty plea, released defendant on his own recognizance, and ordered defendant to return after the promised furlough.

After surrendering himself on the scheduled date, and prior to the imposition of sentence, defendant moved to withdraw his plea on the ground that it had not been entered into voluntarily. The motion detailed that, while he had been in custody prior to pleading guilty, defendant requested a visit to the hospital to see his child, but jail officials denied the request on the apparently mistaken belief that his son's condition was not serious.

Defendant contended that he entered the guilty plea “under conditions of duress” and “as a result of emotional and mental distress caused by his fear of his son’s death.” He further claimed that he “never would have entered into a guilty plea if his son had not been shot and lapsed into a coma.” The court denied the motion without a hearing, stating,

“I made it clear to [defendant] when he plead[ed] guilty that he wasn’t going to withdraw his plea

. . .

“I’m not going to allow him to withdraw his plea. He made an allocution before me that he committed this offense . . . That was an adequate allocution to the two charges that he plead[ed] guilty to.”

The court then sentenced defendant to the promised 2-to-4-year prison term.

The Appellate Division affirmed defendant’s conviction, concluding “defendant’s allegations of duress and coercion are belied by the statements of defendant during the plea colloquy, wherein he knowingly and voluntarily admitted that he committed the crimes to which he was pleading guilty” (59 AD3d 937, 937-938 [4th Dept 2009]). A Judge of this Court granted defendant’s application for leave to appeal (12 NY3d 814 [2009]), and we now reverse.

It is well settled that, in order to be valid and enforceable, a guilty plea must be entered voluntarily, knowingly and intelligently (*see People v Hill*, 9 NY3d 189, 191 [2007]). A guilty plea is voluntary only if it represents an informed choice freely made by defendant among other valid alternatives (*see North Carolina v Alford*, 400 US 25, 31 [1970]; *People v Grant*, 61 AD3d 177, 182 [2d Dept 2009]). When a defendant moves to withdraw a guilty plea, the nature and extent of the fact-finding inquiry “rest[s] largely in the discretion of the Judge to whom the motion is made” and a hearing will be granted only in rare instances (*People v Tinsley*, 35 NY2d 926, 927 [1974]). Where, however, the record raises a legitimate question as to the voluntariness of the plea, an evidentiary hearing is required.

We have not previously considered the voluntariness of a plea conditioned on defendant being granted a brief release to see a seriously ill family member. We have, however, addressed a plea allegedly influenced by concerns for a close relative. In *People v Fiumefreddo* (82 NY2d 536 [1993]), defendant moved to withdraw her guilty plea, arguing that it had been coerced

because it was connected to the prosecutor's acceptance of a plea bargain favorable to her codefendant father, who was elderly and ill. Although stating that connected pleas presented a matter "requir[ing] special care," we rejected the defendant's argument that her plea had been involuntary, noting that the plea had been subject to several months of negotiations; that the court engaged in a "lengthy and detailed colloquy"; and that she never denied her guilt (*id.* at 545-546). Moreover, on the motion to withdraw the plea, the defendant provided no information detailing her claim of coercion. Finally, we found doubtful the defendant's claim that she was strongly influenced to accept the plea to secure leniency for her father because there was nothing to indicate her sentence would have been any less if not connected to her father's plea (*id.* at 547). Thus, under the totality of the circumstances, we held that the trial court's limited inquiry was sufficient to deny the motion without a formal hearing.

[1] Unlike *Fiumefreddo*, there is no indication on the record that the specific terms of this plea were subject to extended discussion or that defendant had sufficient time to consider the alternatives to taking it. The court never inquired about the impact the promised furlough had on defendant's decision to plead guilty or indeed whether defendant was pleading guilty voluntarily. The court's statement that defendant was "interested in taking the plea if I were to give [him] a furlough" suggests that the court itself was aware of the central influence the furlough had on defendant's decision to plead guilty. On the motion to withdraw the plea, defendant provided detailed allegations explaining the duress that he experienced based on his fear that his son might not survive. Rather than considering these allegations, the court simply relied on the fact that defendant made "an adequate allocution to the two charges." But whether defendant admitted his guilt to the charged crimes does not inform the analysis of whether the plea was voluntary. Finally, the denial of defendant's previous request to be released from jail to see his son in the hospital lends support to his contention that this desire influenced his decision to plead guilty. Under these particular circumstances, we conclude that County Court abused its discretion in failing to conduct a hearing to explore defendant's allegations in order to make an informed determination.

[2] We do not mean to suggest that a plea bargain granting a furlough is per se invalid. While we acknowledge that such pleas

may require special scrutiny by the court prior to accepting it, we adhere to the general rule that so long as the totality of the circumstances reveals that the plea is voluntarily, knowingly and intelligently made, it will be upheld. Indeed, no abuse of discretion will be found where the court, recognizing the potentially coercive nature of the plea terms, conducts a thorough inquiry to establish that defendant is pleading guilty willingly after considering other legitimate alternatives. Moreover, where a careful scrutiny of the motion to withdraw reveals that defendant's allegations fail to raise a legitimate question as to the voluntariness of the plea, the court may deny the motion without a hearing. Here, however, the circumstances raise a genuine factual issue as to the voluntariness of the plea that could only be resolved after a hearing.

Accordingly, the order of the Appellate Division should be reversed and the matter remitted to County Court for further proceedings consistent with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed and case remitted to County Court, Monroe County, for further proceedings in accordance with the opinion herein.

[924 NE2d 797, 897 NYS2d 689]

In the Matter of NEW YORK CITY TRANSIT AUTHORITY, Respondent, v TRANSPORT WORKERS UNION OF AMERICA, LOCAL 100, et al., Appellants.

Argued January 5, 2010; decided February 18, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 30, 2008. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Kings County (Bruce M. Balter, J.), which had granted the petition to vacate so much of an arbitration award in an employee disciplinary proceeding as reduced the penalty petitioner imposed upon an employee from dismissal to reinstatement without back pay, and reinstated the original penalty.

Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, 60 AD3d 1, reversed.

HEADNOTE

Arbitration — Award in Excess of Arbitrator's Powers — Modification of Disciplinary Penalty Not in Excess of Arbitrator's Powers

The arbitrator did not exceed the power given to him by the parties' collective bargaining agreement (CBA) (*see* CPLR 7511 [b] [1] [iii]) when he modified the penalty imposed by petitioner Transit Authority upon an employee who had assaulted a member of the public from termination to reinstatement without back pay. Under the subject provision of the CBA, after an arbitrator in a case involving assault allegations determines as a matter of fact that an assault did occur, the arbitrator is to affirm the action by the Authority unless credible evidence is presented that the action by the Authority is clearly excessive in light of the employee's record and past precedent in similar cases. It is not the role of the courts to chart a course as to how the arbitrator is to apply "past precedent" or to determine if the arbitrator strayed from the best route in the guise of declaring that he exceeded his power. The arbitrator considered the employee's record and the precedent presented to him by the Transit Authority, and concluded that the employee was worthy of the exception. The CBA was a direction to the arbitrator that reflected the parties' intent that once an assault charge is sustained, the penalty imposed by the Transit Authority must be upheld except in rare cases. It was the arbitrator who was empowered to make the determination as to whether the matter submitted was one of those rare cases.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 143, 178,

189, 226; AM JUR 2d, Labor and Labor Relations § 2524;
AM JUR 2d, Public Officers and Employees § 446.

CARMODY-WAIT 2d, Arbitration § 141:254, 141:255,
141:347.

McKINNEY's, CPLR 7511 (b) (1) (iii).

AM JUR 2d, Arbitration and Award §§ 142, 207, 222; AM
JUR 2d, Civil Servants and Other Public Officers and Em-
ployees §§ 456, 501, 505.

SIEGEL, NY PRAC § 603.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Discipline
and Disciplinary Actions; Public Officers and Employees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: arbitrator /4 exceed! /3 power & collective /2
bargain! & employee /3 assault!

POINTS OF COUNSEL

Gladstein, Reif & Meginniss, LLP, New York City (Beth M. Margolis of counsel), for appellants. I. The court below improperly substituted its judgment for that of the arbitrator. (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Dowleyne v New York City Tr. Auth.*, 3 NY3d 633; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321; *Matter of Local Div. 1179, Amalgamated Tr. Union, AFL-CIO [Green Bus Lines]*, 50 NY2d 1007; *Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Wien & Malkin LLP v Helmsley-Spear, Inc.*, 6 NY3d 471.) II. There is no basis for finding that the decision of the arbitrator was irrational. (*Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Peckerman v D & D Assoc.*, 165 AD2d 289; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of Local 333, United Mar. Div., Intl. Longshoreman's Assn., AFL-CIO v New York City Dept. of Transp.*, 35 AD3d 211; *Matter of Campbell v New York City Tr. Auth.*, 32 AD3d 350.)

Office of the General Counsel, New York City Transit Authority, Brooklyn (Baimusa Kamara and Richard Schoolman of counsel), for respondent. I. The Appellate Division did not substitute its judgment for that of the arbitrator but correctly affirmed vacatur of the arbitration award because the arbitrator had exceeded his power under the agreement between the New York City Transit Authority and Transport Workers Union of America, Local 100. (*Matter of Town of Callicoon [Civil Serv. Empls. Assn., Town of Callicoon Unit]*, 70 NY2d 907; *Matter of Local 345 of Retail Store Empls. Union [Heinrich Motors]*, 63 NY2d 985; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. [Transport Workers Union of Am., AFL-CIO, Local 100]*, 227 AD2d 995; *Matter of New York City Tr. Auth. v Patrolmen's Benevolent Assn. of N.Y. City Tr. Police Dept.*, 129 AD2d 708; *Matter of Board of Educ. of N. Babylon Union Free School Dist. v North Babylon Teachers' Org.*, 104 AD2d 594; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Matter of Local Union 1566, Intl. Bhd. of Elec. Workers, AFL-CIO v Orange & Rockland Util.*, 126 AD2d 547; *Matter of Dowleyne v New York City Tr. Auth.*, 3 NY3d 633; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321.) II. Appellants' confusion about the statutory grounds for which an arbitration award can be vacated does not support reversal. (*Pavilion Cent. School Dist. v Pavilion Faculty Assn.*, 51 AD2d 119; *Rochester City School Dist. v Rochester Teachers Assn.*, 41 NY2d 578; *Matter of Local 342 v Town of Huntington*, 52 AD3d 720.)

James R. Sandner, Latham, *Richard E. Casagrande* and *Marilyn Raskin-Ortiz* for New York State United Teachers, amicus curiae. I. The decision of the court below should be reversed because it contravenes well-settled New York State law and policy that calls for deference toward arbitral decisions. (*Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *Steelworkers v Enterprise Wheel & Car Corp.*, 363 US 593; *Matter of Town of Haverstraw [Rockland County Patrolmen's Benevolent Assn.]*, 65 NY2d 677; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Matter of Henneberry v ING Capital Advisors, LLC*, 10 NY3d 278; *Paperworkers v Misco, Inc.*, 484 US 29; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York State Correctional Officers & Police*

Benevolent Assn. v State of New York, 94 NY2d 321; *Central Sq. Teachers Assn. v Board of Educ. of Cent. Sq. Cent. School Dist.*, 52 NY2d 918; *Rochester City School Dist. v Rochester Teachers Assn.*, 41 NY2d 578.) II. The decision of the court below should be reversed because it undermines the public policy of promoting arbitral resolution of public sector labor disputes.

OPINION OF THE COURT

Chief Judge LIPPMAN.

The New York City Transit Authority (Transit Authority) sought to terminate an employee in connection with allegations that the employee assaulted a member of the public on a subway platform. Pursuant to the grievance procedures of the collective bargaining agreement (CBA) entered into by the Transit Authority and the employee's union, Transport Workers Union of America, Local 100 (TWU), the matter was ultimately referred to an arbitrator. The arbitrator modified the penalty the Transit Authority sought to impose, and we are asked to determine whether the arbitrator's award must be vacated on the ground that the arbitrator exceeded the power given to him by the CBA. We conclude that the arbitrator did not exceed his power.

The Transit Authority employee involved has been employed as a conductor since 1985. On April 14, 2006, the employee had a heated exchange with a member of the public regarding the availability of express train service on a particular subway train line. According to the arbitrator's factual findings, during the course of this dialogue, "not without some provocation from the complainant," the employee "forcefully 'laid hands' on the complainant." The parties on this appeal do not dispute the arbitrator's finding that the employee assaulted a Transit Authority customer.

That an assault was involved in the underlying grievance affects the arbitrator's task under the CBA. Article II, § 2.1 (C) (19) (c) of the CBA provides, in relevant part:

"If there is presented to the [arbitrator] for decision any charge which, if proved in Court, would constitute a felony, or any charge involving assault, . . . the question to be determined by the [arbitrator] shall be with respect to the fact of such conduct. Where such charge is sustained by the [arbitrator], the action by the Authority, based thereon, shall be

affirmed and sustained by the [arbitrator] except if there is presented to the [arbitrator] credible evidence that the action by the Authority is clearly excessive in light of the employee's record and past precedent in similar cases. It is understood by the parties that this exception will be used rarely and only to prevent a clear injustice."

As his written opinion demonstrates, the arbitrator plainly understood that article II, § 2.1 (C) (19) (c) applied given the nature of the allegations against the Transit Authority employee. The arbitrator explained that the Transit Authority presented to him as "past precedent" five prior arbitration awards where other arbitrators had upheld termination decisions, and he discussed each of those matters in his written opinion. The arbitrator also discussed the record of the employee before him whom the Transit Authority sought to terminate. At the close of his five-page opinion, the arbitrator concluded: "I find the substantive differences between this case, and those relied upon by the Authority as 'precedent' render the [employee] worthy of the 'exception', regarding which arbitrators have judgmental discretion under the Agreement provision cited [above]." Based on this finding, the arbitrator modified the employee's penalty from termination to reinstatement without back pay.

The Transit Authority then commenced this CPLR article 75 proceeding seeking to vacate the arbitration award. Supreme Court concluded, *inter alia*, that the arbitrator had exceeded his power in modifying the penalty and granted the Transit Authority's petition. The Appellate Division affirmed, with two Justices dissenting (60 AD3d 1 [2d Dept 2008]). This appeal as of right, pursuant to CPLR 5601 (a), followed.

Of the three "narrow grounds" that may form the basis for vacating an arbitrator's award—that it violates public policy, is irrational, or "clearly exceeds a specifically enumerated limitation on the arbitrator's power" (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 79 [2003], quoting *Matter of Board of Educ. of Arlington Cent. School Dist. v Arlington Teachers Assn.*, 78 NY2d 33, 37 [1991])—only the last is argued on this appeal (*see* CPLR 7511 [b] [1] [iii]). The Transit Authority argues that the arbitrator exceeded his power because the "past precedent" prong of the article II, § 2.1 (C) (19) (c) exception was not met, thus the prerequisites necessary for the arbitrator to exercise discretion under that provision were not

satisfied. The Transit Authority notes that the arbitrator distinguished each of the precedential awards it submitted to him and TWU's submissions did not include any "past precedent"; thus, it posits, there was no "past precedent in similar cases" for the arbitrator to rely on in concluding that termination was a "clearly excessive" action by the Transit Authority warranting a modification pursuant to the exception. The courts below agreed with the Transit Authority. We do not.

The Transit Authority's view overlooks the settled law in New York that it is "not for the courts to interpret the substantive conditions of the contract or to determine the merits of the dispute" (*Matter of United Fedn. of Teachers*, 1 NY3d at 82-83, quoting *Board of Educ., Lakeland Cent. School Dist. of Shrub Oak v Barni*, 51 NY2d 894, 895 [1980]; see CPLR 7501 ["In determining any matter arising under this article, the court shall not consider whether the claim with respect to which arbitration is sought is tenable, or otherwise pass upon the merits of the dispute"]). Under the subject provision of the CBA, after an arbitrator in a case involving assault allegations determines as a matter of fact that an assault did occur, the applicability of the provision's exception is a question uniquely within the arbitrator's power to decide. Of course, the CBA provides that the arbitrator in making that decision is to be guided by "past precedent" and the employee's record, but it is certainly not the role of the courts to chart a course as to how the arbitrator is to apply "past precedent" or to determine if the arbitrator strayed from the best route in the guise of declaring that he exceeded his power (see *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132, 143 [1999] ["While some case records contain enough information for a court to make a penetrating analysis of the scope of the substantive provisions of the CBA, an undertaking of that kind is not the function of the court"]). Under the CBA, the arbitrator had the power to decide if the exception applied. Thus, vacating the arbitrator's award on the ground asserted by the Transit Authority would not involve a determination that he exceeded his power; rather, it would entail the kind of "inapt flirtation with the merits, or . . . inappropriate use of the judicial scalpel to split the hairs that mark the perimeters of the contractual provisions" that "[h]istory, legislation, and experience," not to mention our case law, dictate that we refrain from (*id.*).

Here, article II, § 2.1 (C) (19) (c) of the CBA required the arbitrator to first determine whether an assault occurred. If an

assault did occur, the arbitrator was then to sustain the Transit Authority's action unless an application of the arbitrator's discretion was warranted under the provision's exception. Having found that an assault occurred, whether an application of the exception was warranted was the very question submitted to arbitration under the CBA, and the arbitrator here concluded that the exception applied. Even when such "interpretations and factual findings appear highly debatable"—and we make no comment here on the merits of the arbitrator's decision in this matter—"whether we agree with the arbitrator is beside the point" (*Matter of United Fedn. of Teachers*, 1 NY3d at 83).

The Appellate Division majority was correct in describing the CBA as a "direction to the arbitrator that reflects both the TWU's and the TA's intent that once an assault charge is sustained, the TA-imposed penalty must be upheld except in rare cases" (60 AD3d at 8). But, it was the arbitrator who was empowered to make the determination as to whether the matter submitted was one of those rare cases.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

SMITH, J. (dissenting). As I see it, this case turns on what standard of review applies. When an arbitrator interprets an ordinary term in a contract, a court may overturn his decision only if it is irrational, or contrary to public policy; if this were the standard of review here, I would agree with the majority that the arbitrator's award should be upheld. But the contract clause now in issue is an express limitation on the arbitrator's power. In such a case, under our precedents, the arbitrator's ruling is reviewable for clear error, and I believe he clearly erred.

CPLR 7511 (b) (1) (iii) says that an arbitrator's award "shall be vacated" if the arbitrator "exceeded his power." This means, we have often said, that an award that "clearly exceeds a specifically enumerated limitation on the arbitrator's power" must be set aside (e.g. *Matter of Henneberry v ING Capital Advisors, LLC*, 10 NY3d 278, 284 [2008], quoting *Matter of New York City Tr. Auth. v Transport Workers' Union of Am., Local 100, AFL-CIO*, 6 NY3d 332, 336 [2005]). The clause at issue here is just such a "specifically enumerated limitation." It is part of the section of the agreement dealing with arbitration, and says that, where a "charge involving assault" has been substantiated, the Authority's disciplinary action "shall be affirmed and

sustained by the [arbitrator]" in the absence of "credible evidence that the action by the Authority is clearly excessive in light of the employee's record and past precedent in similar cases." Thus, while as a general matter the parties to an arbitration agreement put themselves very largely at the arbitrator's mercy, the parties here sought not to do that, but to disable the arbitrator from rejecting the penalty imposed by the Authority for an assault, in the absence of the extraordinary circumstances the agreement describes.

The question before us is whether the award the arbitrator rendered "clearly exceeds" the agreement's limitation on his power. I conclude that it does. The "employee's record" shows that he had previously been suspended for "a customer altercation." This was 15 years before the incident now in question, but the Authority could surely find that repeated fights with customers, even once a decade, are unacceptable; most of its employees no doubt avoid such incidents for their whole careers. And no "past precedent in similar cases" imposing a punishment less severe than dismissal was shown to exist. The best the employee could do was to look for distinctions—sometimes rather thin ones—between this case and the many others in which the Authority dismissed employees who assaulted customers. The arbitrator was clearly wrong to find that the Authority's punishment of this employee was "clearly excessive in light of the employee's record and past precedent in similar cases."

Because the arbitrator exceeded a limitation that the parties placed on his power, I would affirm the Appellate Division's order vacating the award.

Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents and votes to affirm in a separate opinion in which Judge READ concurs.

Order reversed, etc.

[924 NE2d 785, 897 NYS2d 677]

GLACIAL AGGREGATES LLC, Appellant, v TOWN OF YORKSHIRE,
Respondent.

Argued January 14, 2010; decided February 18, 2010

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 31, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Cattaraugus County (Larry M. Himelein, J.), entered upon a jury verdict, which had declared that plaintiff's use of land located on the east side of Route 16 in the Town of Yorkshire for mining of sand and gravel constituted a lawful, existing nonconforming use of the property which predated adoption of Town of Yorkshire Zoning Law on June 25, 2001, that defendant did not abandon its use of the property for mining activities prior to August 2004 and that the Town illegally deprived plaintiff of its constitutionally vested right, pursuant to 42 USC § 1983, to mine sand and gravel aggregates on its land, and awarded plaintiff monetary damages from defendant for violation of its vested right to mine, in the total sum of \$191,445; (2) granted defendant's motion for a directed verdict; (3) dismissed the second cause of action; and (4) awarded defendant judgment declaring that the mining of sand and gravel aggregate on the property was not a lawful nonconforming use and that plaintiff did not acquire a vested right to mine the property.

Glacial Aggregates LLC v Town of Yorkshire, 57 AD3d 1362, reversed.

HEADNOTES

Municipal Corporations — Zoning — Nonconforming Use — Vested Rights

1. In an action for a judgment declaring that plaintiff had acquired a vested right to operate a sand and gravel mine on its property notwithstanding the town's enactment of a zoning ordinance limiting mining subsequent to plaintiff's acquisition of the property, the evidence was sufficient for a jury to conclude that plaintiff made substantial changes or substantial improvements to its property in reliance upon the town's permission. A landowner obtains a vested right when, pursuant to a legally issued permit, the landowner demonstrates a commitment to the purpose for which the permit was granted by effecting substantial changes and incurring substantial expenses to further the development. The landowner's actions relying on a valid permit must be so substantial that the municipal action results in serious loss rendering the

improvements essentially valueless. Here, the Town had no zoning laws when plaintiff acquired the property, and plaintiff spent \$500,000 to obtain a Department of Environmental Conservation mining permit in reliance upon local permission, subsequently retracted after the Town enacted the Zoning Law, to mine sand and gravel on its property as of right. Furthermore, after obtaining the permit, plaintiff allowed two sand and gravel companies to remove 400 tons of material for testing, removed timber throughout the property, surveyed and staked out the locations of the mining areas and the haul road, drilled many test holes, designed and obtained steel for a required bridge, and dug and monitored water table wells. The Town's action resulted in serious loss rendering plaintiff's improvements essentially valueless.

Municipal Corporations — Zoning — Nonconforming Use — Vested Rights

2. In an action for a judgment declaring that plaintiff had acquired a vested right to operate a sand and gravel mine on its property notwithstanding the town's enactment of a zoning ordinance limiting mining subsequent to plaintiff's acquisition of the property, the evidence was sufficient for a jury to conclude that the property was used for a nonconforming purpose, as distinguished from a mere contemplated use, at the time the zoning ordinance became effective. Plaintiff spent \$500,000 to obtain a Department of Environmental Conservation mining permit in reliance upon local permission, subsequently retracted after the Town enacted the Zoning Law, to mine sand and gravel on its property as of right. Although mining permits are not a prerequisite to establishing prior nonconforming use rights, they are nevertheless strong evidence of a manifestation of intent to mine a given area. Further, a party advancing a prior nonconforming use exception to a zoning ordinance must establish specific actions constituting an overt manifestation of its intent to utilize the property for the ascribed purpose at the time the zoning ordinance became effective. Here, after obtaining the permit, plaintiff allowed two sand and gravel companies to remove 40 truckloads or 400 tons of material for testing, removed timber throughout the property, surveyed and staked out the locations of the mining areas and the haul road, drilled many test holes, designed and obtained steel for a required bridge, and dug and monitored water table wells.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 282, 285, 287, 555, 556, 559, 568, 571, 572, 576–579.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1434, 145:1478.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 317, 319, 323, 325–332, 406.

NEW YORK REAL PROPERTY SERVICE §§ 48:76–48:84.

ANNOTATION REFERENCE

See ALR Index under Mines and Minerals; Nonconforming Use; Zoning.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: vested /2 right /p mining & non-conforming &
zoning /3 chang! amend!

POINTS OF COUNSEL

Magavern Magavern Grimm LLP, Niagara Falls (*Edward P. Perlman* and *James L. Magavern* of counsel), and *Hopkins & Sorgi, PLLC*, Williamsville (*Peter J. Sorgi* of counsel), for appellant. I. The Town of Yorkshire's actions deprived Glacial Aggregates LLC of a constitutionally vested right to the use of its land for mining, thereby rendering it liable for damages under 42 USC § 1983. (*People v Miller*, 304 NY 105; *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114; *Matter of Temkin v Karagheuzoff*, 34 NY2d 324; *Matter of Bayswater Health Related Facility v Karagheuzoff*, 37 NY2d 408; *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.*, 45 NY2d 560; *Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Preble Aggregate v Town of Preble*, 263 AD2d 849.) II. Glacial Aggregates LLC has a right to mine under the express terms of the Town of Yorkshire's Zoning Law. (*FGL & L Prop. Corp. v City of Rye*, 66 NY2d 111; *Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *People v Miller*, 304 NY 105.)

David J. Seeger, East Aurora, *Anthony DiFilippo III* and *Richard Lam* for respondent. I. Glacial Aggregates LLC failed to establish a nonconforming use to mine the subject property. (*People v Miller*, 304 NY 105; *Matter of Rudolf Steiner Fellowship Found. v De Luccia*, 90 NY2d 453; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Cooper v City of New York*, 81 NY2d 584; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *Matter of Skenesborough Stone v Village of Whitehall*, 272 AD2d 674.) II. Glacial Aggregates LLC failed to establish that it acquired vested rights to mine its property. (*Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Smith v Spiegel & Sons*, 31 AD2d 819; *Matter of Temkin v Karagheuzoff*, 34 NY2d 324; *Matter of Bayswater Health Related Facility v Karagheuzoff*, 37 NY2d 408; *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.*, 45 NY2d 560; *Matter of Pokoik v Silsdorf*, 40 NY2d 769; *Matter of Rudolf Steiner Fellowship Found. v*

DeLuccia, 90 NY2d 453; *People v Bing*, 76 NY2d 331; *Matter of Higby v Mahoney*, 48 NY2d 15; *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114.) III. Glacial Aggregates LLC failed to establish a substantive due process claim under 42 USC § 1983. (*Harlen Assoc. v Incorporated Vil. of Mineola*, 273 F3d 494; *Lisa's Party City, Inc. v Town of Henrietta*, 185 F3d 12; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Cine SK8, Inc. v Town of Henrietta*, 507 F3d 778; *Town of Orangetown v Magee*, 88 NY2d 41; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88; *Natale v Town of Ridgefield*, 170 F3d 258; *Granada Bldgs. v City of Kingston*, 58 NY2d 705; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Ferran v Town of Nassau*, 471 F3d 363.)

Gilberti Stinziano Heintz & Smith, P.C., Syracuse (Kevin G. Roe, Adam J. Schultz and Michael A. Fogel of counsel), for New York Construction Materials Association, Inc., amicus curiae. I. Glacial Aggregates LLC's investment in obtaining the Department of Environmental Conservation permit should be considered in determining whether Glacial acquired a vested right to mine the subject property. (*Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Chrysler Props. v Morris*, 23 NY2d 515; *Town of Somers v Camarco*, 308 NY 537; *People v Miller*, 304 NY 105; *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278.) II. Glacial Aggregates LLC's activities on the subject property after issuance of the Department of Environmental Conservation mining permit constituted mining and established the use prior to the zoning change. (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278.) III. The Court should consider joining the growing number of states that hold that vested rights accrue at the time an application for a permit is made.

OPINION OF THE COURT

READ, J.

Glacial Aggregates LLC (Glacial or the company) was formed in 1996 to conduct sand and gravel mining after John M. Clarey, one of its principals, learned that the Buffalo area needed additional sources of sand and aggregates. At the time, Clarey had 20 years of experience in oil and gas drilling in Western New York.

Glacial scouted out potential mining sites along Route 16 in Cattaraugus County, where receding glaciers had deposited vast

amounts of aggregate materials, and ultimately settled on property within the Town of Yorkshire (the Town). The Town had no zoning law. As a result, a mining permit from the New York State Department of Environmental Conservation (DEC) was the only governmental permission required to mine sand and gravel in the Town. Glacial purchased or acquired options to purchase 375 acres of land (the property) in the Town for \$250,000. Ninety-five acres were to be mined; the remaining land was intended as a buffer to shield the neighbors from the mining operation.

By the fall of 1996, Glacial had begun the time-consuming and costly process of fulfilling the requirements for a DEC mining permit (*see* ECL art 23, tit 27 [Mined Land Reclamation Law]). This entailed preparing a full environmental impact statement to comply with the State Environmental Quality Review Act (SEQRA); undertaking a hydrogeologic study of groundwater flow, a soil testing study, a traffic study, a wetlands analysis, and a human impact analysis to address issues such as noise and visual impacts; and developing a reclamation plan. The company ultimately spent about \$500,000 in engineering and environmental expert fees to conduct these studies and create these plans.

In 1998, the Town Board (the Board) adopted a resolution declaring a moratorium on gravel mining, cell towers and automobile repair shops in the Town. Meanwhile, in September 1999, DEC handed down its SEQRA findings statement, and issued a five-year mining permit to Glacial. Among other things, the permit required the company to build and pave the last 500 feet of a haul road and install a bridge over a creek on the property before starting up commercial mining. On March 13, 2000, Glacial advised the Board of the issuance of the DEC permit. In response, the Board lifted the moratorium on gravel mining that same day.

In May 2000, Glacial excavated 20 truckloads of sand and gravel from the property, and sold this material to a potential purchaser and joint venturer for testing; the company excavated an additional 20 truckloads in October 2000, which was sold to another possible industry customer and business partner. In 2000 and 2001, Glacial dug approximately 40 pits on the property with an excavator, and 30 to 40 holes with a drill rig to figure out where the aggregate deposits were concentrated. Glacial also cut and cleared four acres of trees in preparation for extraction of materials and road construction.

With the exception of completing the bridge and haul road, then, Glacial had readied the property for commercial mining by the end of 2000. Over the next few years, the company continued to clear trees, monitor wells, submit quarterly reports to DEC, and make various required annual payments. Glacial designed and obtained steel for but did not finish either the bridge, estimated to cost \$80,000 to \$100,000, or the haul road, estimated to cost \$10,000.

On June 11, 2001, the Town adopted its first Zoning Law, which generally prohibited gravel mining absent a special use permit. Section 10.1 expressly exempted prior nonconforming uses, though, by providing that “[e]xcept as otherwise provided herein, any lawfully established use of a building or land existing at the time of the enactment of this law, or any amendments thereto, may be continued although such use does not conform to the provisions of this law.” Clarey at first considered the new Zoning Law to be “good for [Glacial] because no new mines could have been established near . . . or next to [it], and further, [the law] didn’t apply to [Glacial which] . . . spent all this money and got the permit and the moratorium was lifted before the zoning was passed.”

In late 2003 or early 2004, Glacial updated the Board about its activities, advising that it had attracted additional investors to supply capital, and that a new limited liability company headed by Clarey would acquire Glacial’s assets (the property and the permit) for \$1,250,000. By June of that year, the company’s principals had invested roughly \$840,000 in the business, and Clarey had secured a \$2.9 million loan commitment from a Buffalo bank to finance full-scale mining operations.

Before closing on the loan, the bank required a letter from the Town confirming that local zoning restrictions did not prevent Glacial from mining the property. Accordingly, the Town Supervisor, at the company’s request, sent Clarey a letter dated July 8, 2004 verifying that

“it is the position of the Town . . . that Glacial has the right to operate the sand and gravel mine in the [Town], provided that actual mining operations are commenced prior to the expiration of the initial 5 year term of the New York State Department of Environmental Conservation Mining Permit.”

The original DEC permit, which was renewable for additional five-year periods, was set to expire in September 2004.

On July 12, 2004, however, the Board passed a motion

“authorizing [the Supervisor] to mail a new letter . . . [revoking] a letter dated July 8, 2004 . . . stating that the [Board] supported [Glacial’s] proposed mining operations in the town, and in the new letter stating that NYS DEC issued Mining Permits that were issued to presently inactive Mining Sites are subject to the 2001 Town of Yorkshire Zoning Laws.”

In a letter dated July 22, 2004, the Supervisor informed Clarey as follows:

“Please be advised that my letter of July 8, 2004 was issued in error.

“After consultation with the Town Attorney, Zoning Officer and members of the Town Board, we have determined that the proposed gravel mining operation in the Town of Yorkshire must comply with the Town Zoning Law, since actual mining operations were not commenced prior to the adoption of the Zoning Law.”

According to Clarey, this letter “absolutely decimated [him] because [he] had to call the bank and the partners and tell them we’re done. It just came as a shock.”

On August 22, 2004, Glacial commenced this action for a judgment declaring that it was entitled to operate a sand and gravel mine at the property pursuant to the DEC mining permit, and any extensions or renewals, without having to obtain a special use permit. The Town accepted a proposed settlement of the lawsuit by a Board resolution adopted on September 21, 2004, which specified that Glacial was allowed to mine; the Board then passed a second resolution, stating that Glacial could commence mining upon stipulations established by the Board. But then, on October 12, 2004 the Board reneged, passing a resolution rescinding the two September resolutions.

Glacial served an amended complaint on March 4, 2005, alleging a prior nonconforming use and deprivation of a vested right in contravention of the Due Process Clause of the Fourteenth Amendment to the United States Constitution, entitling the company to damages pursuant to 42 USC § 1983. A jury trial ensued on May 15, 2007. At the conclusion of Glacial’s case, the Town moved for a directed verdict declaring that the sand and

gravel mining on the property was not a lawful nonconforming use, and that Glacial had not acquired a vested right to mine the property. Supreme Court denied the motion, and the jury subsequently returned a verdict in Glacial's favor. The jury decided that Glacial had a preexisting, nonconforming right and a vested right to mine the property, and awarded the company \$190,000 in damages for the deprivation of its federally secured vested right. The Town appealed.

On December 31, 2008, the Appellate Division reversed Supreme Court's judgment upon the jury verdict; granted the Town's motion for a directed verdict; and granted judgment in favor of the Town "declar[ing] that the mining of sand and gravel aggregate on the property . . . is not a lawful nonconforming use and that [Glacial] did not acquire a vested right to mine the property" (*Glacial Aggregates LLC v Town of Yorkshire*, 57 AD3d 1362, 1363 [4th Dept 2008]). The court concluded that Glacial's proof at trial "did not demonstrate that the property was actually being used for [a] nonconforming purpose at the time the zoning ordinance became effective" in 2001 (*id.* at 1364). This was so because none of the activities that Glacial undertook after issuance of the DEC mining permit constituted actual mining; rather, they were "performed merely in contemplation of mining" (*id.* at 1363).

The Appellate Division further decided that Glacial did not acquire a vested right to mine pursuant to a validly issued permit because it did not effect substantial construction or changes on the property, or incur substantial expenses; specifically, the company did not complete the haul road or the bridge, and its expenditures were principally made to acquire land and obtain the DEC mining permit. According to the court, because the bulk of Glacial's expenditures were incurred "before it obtained the mining permit and were not incurred by plaintiff in reliance on the permit, they do not constitute the type of substantial expenditures that would entitle [the company] to a vested right to mine its property" (*id.* at 1365, citing *Preble Aggregate v Town of Preble*, 263 AD2d 849, 851-852 [3d Dept 1999], *lv denied* 94 NY2d 760 [2000] [landowner did not establish vested right to mine under circumstances where, despite knowledge of town's amendment of zoning law to expand the existing limitation on mining to an outright prohibition, landowner "willingly proceeded with efforts and expenditures to gain (mining) permits from both the DEC and the Town" (*id.* at 851)]). Glacial now appeals as of right on constitutional grounds pursuant to CPLR 5601 (b) (1), and we reverse.

“[N]onconforming uses or structures, in existence when a zoning ordinance is enacted, are, as a general rule, constitutionally protected and will be permitted to continue, notwithstanding the contrary provisions of the ordinance” (*People v Miller*, 304 NY 105, 107 [1952]). Further, the decisions allowing continuation of an existing nonconforming land use after enactment of a zoning ordinance

“are sometimes put on the ground that the owner has secured a ‘vested right’ in the particular use—which is but another way of saying that the property interest affected by the particular ordinance is too substantial to justify its deprivation in light of the objectives to be achieved by enforcement of the provision” (*id.* at 108).

Hence, even the “advantage . . . of more complete and effective zoning” does not justify the “destruction of substantial businesses or structures developed or built prior to the adoption of [the] zoning ordinance” (*id.*; see also *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114, 122 [1990] [“(W)here a more restrictive zoning ordinance is enacted, an owner will be permitted to complete a structure or a development which an amendment (or new zoning ordinance) has rendered nonconforming only where the owner has undertaken substantial construction and made substantial expenditures prior to the effective date of the amendment”]).

In *Town of Orangetown v Magee* (88 NY2d 41 [1996]), we more recently considered whether a property owner possessed a vested right to continue a nonconforming use. There, the Magees, intending to erect a 184,000-square-foot industrial building on their property, acquired a building permit from the Town of Orangetown. After community opposition to the planned building emerged, the Town revoked the permit and amended the zoning code to preclude construction of commercial buildings on the Magees’ property. By the time the Town took these actions, however, the Magees had spent over \$4 million on improvements for the land and building.

In an action brought by the Town to compel removal of a temporary building erected on the land for use during the preliminary stages of construction, the Magees counterclaimed. Contending that they possessed a vested right in the planned construction, the Magees sought reinstatement of the building permit and damages pursuant to 42 USC § 1983. Supreme Court

concluded that the Magees had established a vested property interest, and had shown that the Town rescinded the permit “solely to satisfy political concerns” (*id.* at 47; *see also Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617 [2004] [*Town of Orangetown*’s two-part test for substantive due process violations in the land-use context requires claimants to establish deprivation of a vested property interest and that the challenged governmental action was wholly without legal justification]). Accordingly, the trial court ordered the Town of Orangetown to reinstate the Magees’ building permit, and awarded them damages of \$5,137,126, costs and attorneys’ fees. The Appellate Division affirmed, as did we.

[1] We explained that a property owner obtains a vested right when “pursuant to a legally issued permit, the landowner demonstrates a commitment to the purpose for which the permit was granted by effecting substantial changes and incurring substantial expenses to further the development” (*id.* at 47). We emphasized, though, that “[n]either the issuance of a permit nor the landowner’s substantial improvements and expenditures, standing alone, will establish the right. The landowner’s actions relying on a valid permit must be so substantial that the municipal action results in serious loss rendering the improvements essentially valueless” (*id.* at 47-48 [citations omitted]).

When applying our vested-rights jurisprudence to the facts in this case, there are two significant considerations that must be kept in mind. First, the Town had *no* zoning laws when Glacial acquired the property in 1996—or, for that matter, when Glacial applied for the DEC mining permit in 1996, or even when DEC issued Glacial a mining permit in 1999 (*cf. Preble Aggregate, supra*). Relatedly, mining is a unique land use, which colors our analysis of vested rights and nonconforming use.

In *Town of Orangetown* and *Matter of Ellington*, the property owners spent considerable sums of money in reliance on a building permit and a subdivision approval respectively, which were subsequently revoked. Correspondingly, Glacial spent \$500,000 in reliance upon local permission, subsequently retracted after the Town enacted the Zoning Law, to mine sand and gravel on its property as of right. Put another way, the issue is not whether Glacial gained a vested right by way of its DEC mining permit, but whether Glacial acquired a vested right by way of the unqualified Town permission it once enjoyed to mine its property. And when deciding whether a landowner has made substantial expenditures in reliance upon such local permission,

we see no reason for the factfinder to disregard DEC permitting costs. Indeed, in light of the stringent requirements imposed by the Mined Land Reclamation Law, such costs frequently, if not invariably, run into the hundreds of thousands of dollars or more, and represent a significant portion of the investment necessary for a landowner to devote real property to quarrying.

Further, while substantial construction evidences substantial change or improvements, as was the case in *Town of Orangetown* and *Matter of Ellington*, little needed to be built for mining to take place at the property—i.e., the processing plant would have been a portable unit. The key requirement, of course, was the DEC mining permit. Moreover, any physical alteration of the land related to mining was prohibited until the SEQRA review was complete and the DEC mining permit was in hand (see 6 NYCRR 617.3 [a]; ECL 23-2711 [1] [anyone mining or proposing to mine “more than one thousand tons, or seven hundred fifty cubic yards, whichever is less, of minerals from earth within twelve successive calendar months” must first obtain article 23 permit]). Once that happened, Glacial

“allowed two sand and gravel companies to remove a total of 40 truckloads or 400 tons of material for testing; . . . removed timber throughout the property; . . . surveyed and staked out the locations of the mining areas and the haul road; . . . drilled many test holes, designed and obtained steel for a required bridge, and dug and monitored watertable wells” (*Glacial Aggregates*, 57 AD3d at 1363).

The only improvements to the land remaining to be completed were the haul road and the bridge. In view of this evidence, a rational jury could find that Glacial effected substantial changes or made substantial improvements to the property in reliance upon local permission to mine sand and gravel on its property as of right. Moreover, “the [Town’s] action result[ed] in serious loss rendering [Glacial’s] improvements essentially valueless” (*Town of Orangetown*, 88 NY2d at 48).

[2] Finally, the same evidence is sufficient for a rational jury to conclude that “the property was . . . used for [a] nonconforming purpose, as distinguished from a mere contemplated use, at the time the zoning ordinance became effective” (*Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278, 284-285 [1980]). In our recent decision in *Buffalo Crushed Stone, Inc. v Town of Cheektowaga* (13 NY3d 88 [2009]), we made clear that although mining permits are not “a prerequisite to establishing prior

nonconforming use rights,” they are “[n]evertheless . . . strong evidence of a manifestation of intent to mine a given area” (*id.* at 101-102). And “[a] party advancing a prior nonconforming use exception to a zoning ordinance must establish specific actions constituting an overt manifestation of its intent to utilize the property for the ascribed purpose [e.g., mining] at the time the zoning ordinance became effective” (*id.* at 98).

Actions that we found sufficient to exhibit an “overt manifestation of . . . intent” in *Buffalo Crushed Stone* are no more extensive than the activities pursued by Glacial. For example, we determined that the following undertakings established a preexisting nonconforming use at one parcel: preparation of maps to survey the potential materials to be extracted from the subparcel, putting 6,000 feet of pipe in place, negotiations to relocate a road, correspondence expressing an intent to mine the subparcel, preparations for removal of dirt, and drilling auger holes to identify areas for quarrying (*id.* at 100). We also concluded that two subparcels that had been cleared, grubbed, and stripped of topsoil—and which were the subject of mining permits before the zoning change—enjoyed nonconforming use status (*id.* at 103).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted for consideration of issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[924 NE2d 812, 897 NYS2d 704]

In the Matter of ROBERT T. STEWART, a Candidate for the Public Office of Chautauqua County Legislator, Seventh Legislative District, Respondent, v CHAUTAUQUA COUNTY BOARD OF ELECTIONS et al., Respondents, and LEON H. BEIGHTOL et al., Appellants.

In the Matter of LEON H. BEIGHTOL, a Candidate for the Public Office of Chautauqua County Legislator, Seventh Legislative District, Appellant, v CHAUTAUQUA COUNTY BOARD OF ELECTIONS et al., Respondents, and NORMAN P. GREEN, Appellant.

In the Matter of LEON H. BEIGHTOL, a Candidate for the Public Office of Chautauqua County Legislator, Seventh Legislative District, Appellant, v CHAUTAUQUA COUNTY BOARD OF ELECTIONS et al., Respondents, and NORMAN P. GREEN, Appellant.

Argued February 10, 2010; decided February 23, 2010

SUMMARY

APPEALS from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 12, 2010. The Appellate Division, with two Justices dissenting in part, (1) modified, on the law, an order of the Supreme Court, Chautauqua County (James H. Dillon, J.), which, in consolidated proceedings pursuant to Election Law article 16, had, among other things, directed that the J.K. affidavit ballot be counted, that two absentee ballots be counted and that two unscanned optical scan ballots from the Town of Poland poll site not be counted; (2) dismissed the cross appeal taken by petitioner Leon H. Beightol from the order, insofar as it directed the opening of the two absentee ballots; and (3) directed respondent Chautauqua County Board of Elections not to count the J.K. affidavit ballot and to count the two unread optical scan ballots from the Town of Poland. The modification consisted of vacating the first ordering paragraph and invalidating the J.K. affidavit ballot and vacating the fourth ordering paragraph and validating the two unread optical scan ballots from the Town of Poland. The Appellate Division affirmed the order as modified.

Matter of Stewart v Chautauqua County Bd. of Elections, 69 AD3d 1298, affirmed.

HEADNOTES**Elections — Residence Requirement**

1. The affidavit ballot of a voter was properly invalidated where the record established that the voter did not have dual residences in different counties and, as a matter of law, did not have a residence in the county in which she voted. An individual with legitimate, significant and continuing attachments to two residences may choose either one as a residence for purposes of the Election Law (*see* Election Law § 1-104 [22]). Although the voter had stayed at a house in the county in which she had voted for three consecutive summers and hoped to return for a fourth, she did not own the home, did not pay rent and might not be permitted to return. As a matter of law, the voter's physical presence at her apartment in another county, coupled with her expressed intent to remain there permanently, sufficed to establish that as her residence. Moreover, the voter lacked significant and continuing attachments to the house sufficient to create a bona fide second residence for the purpose of voting.

Elections — Ballots — Optical Scan Ballots Rejected as Unreadable to be Hand-Counted

2. The Board of Elections properly hand-counted two optical scan ballots that had been completed by voters but were rejected as unreadable by the optical scan machine. Pursuant to the express language of the applicable regulations (9 NYCRR 6210.13 [A] [8], [11] [a], [b]), because the ballots were “non-machine processable as submitted” by the voters, the votes were required to be manually counted and added to the canvass. Notwithstanding that one ballot contained check marks inserted within the squares instead of completely filled-in squares and the other contained some marks that overran the squares, the ballots clearly indicated the voters' selections for candidates and were valid (*see* 9 NYCRR 6210.13 [A] [2], [3]).

Appeal — Court of Appeals — Parties Aggrieved

3. In consolidated proceedings pursuant to Election Law article 16 challenging certain ballots, appellant candidate was not aggrieved by Supreme Court's determination directing the opening of two absentee ballot envelopes. In the first proceeding, respondent candidate sought a determination that the two absentee ballot envelopes should not be opened or the ballots counted, and in response, appellant candidate argued that the ballot envelopes should be opened. Inasmuch as Supreme Court ordered the ballot envelopes opened, appellant was not aggrieved by that determination. He was aggrieved, however, by so much of the order as directed that the ballots be counted.

Estoppel — Judicial Estoppel — Validity of Absentee Ballots

4. In consolidated proceedings pursuant to Election Law article 16, appellant candidate was not judicially estopped from adopting the position that certain absentee ballots were invalid. Appellant had initially sought to “open and count” those ballots, but when Supreme Court directed the Board of Elections to open the ballot envelopes to ascertain the contents of the envelopes and appellant learned that the ballots were cast in favor of respondent candidate, appellant commenced a second proceeding, altering the position he took in the first proceeding and seeking to have Supreme Court invalidate the ballots. Respondent, like appellant, adopted a different position once the absentee ballot envelopes were opened, and could hardly assert that he was prejudiced when appellant merely adopted respondent's original position. Further, it was not clear on the record that appellant was successful in

persuading Supreme Court to adopt his initial position. Thus, the doctrine of judicial estoppel was inapplicable.

Elections — Absentee Ballots — Validity

5. The fact that the Board of Elections did not receive completed absentee ballot applications prior to sending absentee ballots to two voters did not require invalidation of the absentee ballots. The Board had received applications for absentee ballots from both voters within the applicable time period before the election. However, the applications did not contain necessary information since they failed to state where the voters would be at the time of the election and the dates of their absence from the district. The Board thereafter mailed absentee ballots to both voters with instructions to return the completed application together “with [the absentee] ballot or [the] ballot will not be counted.” The voters returned their completed absentee ballot applications with the absentee ballots, and the applications were examined separately to ascertain the qualification of each voter to cast an absentee ballot. Thus, the Board had a basis upon which to determine that the two voters were entitled to vote as absentee voters. The slight deviation from prescribed procedure utilized by the Board could be viewed as substantial compliance with statutory directives (*see* Election Law §§ 8-400, 8-402 [1], [2]). The defect in the procedure was not a substantive deficiency implicating voter qualification.

Elections — Absentee Ballots — Validity — Presence of Absentee Ballot Applications in Same Envelope

6. Absentee ballots were not invalidated by the presence of absentee ballot applications in the same envelope because no marks on the ballots themselves identified the voters (*see* Election Law § 9-112 [1]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 165, 167, 315, 316, 319, 320, 331, 335, 336, 338, 340, 341.
CARMODY-WAIT 2d, Proceedings Under Election Laws §§ 137:74, 137:78, 137:79.
McKINNEY'S, Election Law § 1-104 (22); §§ 8-400, 8-402 (1), (2); § 9-112 (1).
9 NYCRR 6210.13 (A) (2), (3), (8), (11).
NY JUR 2d, Elections §§ 129, 133, 259, 574, 577, 579, 584, 596, 602, 604, 607-610.
SIEGEL, NY PRAC § 527.

ANNOTATION REFERENCE

See ALR Index under Absentee Voting; Appeal and Error; Ballots; Elections and Voting.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: affidavit /2 ballot /s invalid! & dual /2 residence

POINTS OF COUNSEL

Fessenden, Laumer & DeAngelo, Jamestown (*Charles S. DeAngelo* of counsel), for Leon H. Beightol, appellant. I. The

two absentee ballots were the product of an improper procedure that culminated in the return of an application that served to unquestionably identify the voter. (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *Matter of Altimari v Meisser*, 15 NY2d 686.) II. The court should not validate unscannable ballots. III. J.K. was qualified to vote from the Town of Ellington residence. (*Matter of Hosley v Curry*, 85 NY2d 447, 1033; *People v O'Hara*, 96 NY2d 378; *Matter of Willkie v Delaware County Bd. of Elections*, 55 AD3d 1088; *Matter of Fingar v Martin*, 68 AD3d 1435; *Friedman v State of New York*, 67 NY2d 271; *Matter of Johnson v Simpson*, 43 AD3d 478; *Matter of Gallagher v Dinkins*, 41 AD2d 946; *Matter of Bressler v Holt-Harris*, 37 AD2d 898, 30 NY2d 529; *Matter of Geller v Lasher*, 196 AD2d 613; *Matter of Umland v Board of Elections of City of N.Y.*, 143 AD2d 240.)

Law Offices of Michael Robert Cerrie, Dunkirk (Michael Robert Cerrie of counsel), for Norman P. Green, appellant. I. The Appellate Division incorrectly determined that the optical scanned ballots in question should be counted. (*Matter of Alessio v Carey*, 49 AD3d 1147, 10 NY3d 803; *Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *Matter of Staber v Fidler*, 65 NY2d 529.) II. The Appellate Division incorrectly determined that J.K. was unable to vote in the district in question. (*Matter of Willkie v Delaware County Bd. of Elections*, 55 AD3d 1088; *Matter of Fingar v Martin*, 68 AD3d 1435; *Matter of Isabella v Hotaling*, 207 AD2d 648, 84 NY2d 801; *Matter of Ferguson v McNab*, 60 NY2d 598; *People v O'Hara*, 96 NY2d 378; *Matter of Gallagher v Dinkins*, 41 AD2d 946, 32 NY2d 839; *Matter of Stavisky v Koo*, 54 AD3d 432; *Matter of Fernandez v Monegro*, 10 AD3d 429; *Matter of Carney v Davignon*, 289 AD2d 1096.) III. The Appellate Division improperly permitted absentee ballots to be counted despite the presence of extraneous identifying material. (*People ex rel. Brown v Keller*, 170 App Div 324, 216 NY 741; *Matter of Alessio v Carey*, 49 AD3d 1147, 10 NY3d 803.)

Goodell & Rankin, Jamestown (Andrew W. Goodell of counsel), for Brian Abram, respondent. I. A party cannot appeal their own victory. (*Roth v Michelson*, 55 NY2d 278; *Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *Matter of Brown v Starkweather*, 197 AD2d 840, 82 NY2d 653; *Matter of Harry Y.*, 62 AD3d 892; *DiMare v O'Rourke*, 35 AD3d 346; *Matter of Martin v C. A. Prods. Co.*, 8 NY2d 226; *Matter of Hartsdale Fire Dist. v Eastland Constr., Inc.*, 65 AD3d 1345; *Maas v*

Cornell Univ., 253 AD2d 1, 94 NY2d 87.) II. A party must raise known objections to a ballot before it is counted. (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *Sheils v Flynn*, 275 NY 446; *Matter of Stevenson v Power*, 27 NY2d 152; *People v Buckley*, 75 NY2d 843; *People v Cook*, 286 AD2d 917, 97 NY2d 680; *People v Klavoon*, 207 AD2d 979, 84 NY2d 908; *People v Thompson*, 59 AD3d 1115; *Matter of City of Utica v Town of Frankfort*, 10 NY3d 128.) III. The inclusion of the application in the same envelope as the ballot does not invalidate the ballot. (*Cahen v Boyland*, 1 NY2d 8; *Matter of Altimari v Meisser*, 22 AD2d 933, 15 NY2d 686, 847, 854; *Matter of Pavlic v Haley*, 40 Misc 2d 975, 20 AD2d 592, 13 NY2d 1111; *People ex rel. Brown v Keller*, 170 App Div 324, 216 NY 741; *People v O'Hara*, 96 NY2d 378; *Matter of Palla v Suffolk County Bd. of Elections*, 31 NY2d 36; *Matter of Graziano v County of Albany*, 3 NY3d 475; *Matter of Ferguson v McNab*, 60 NY2d 598; *Matter of Isabella v Hotaling*, 207 AD2d 648, 84 NY2d 801; *Friedman v State of New York*, 67 NY2d 271.)

Michael J. Sullivan, Fredonia, for Robert T. Stewart, respondent. I. The optical scan ballots left by voters at the optical scan machine should be counted since the voters' intent was clear and the chain of custody of the ballot was preserved. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. The ballot of J.K. was improperly counted, as she was not a resident qualified to vote in the Town of Ellington on November 3, 2009. (*Palla v Suffolk County Bd. of Elections*, 38 AD2d 84, 30 NY2d 481, 31 NY2d 36; *People v O'Hara*, 96 NY2d 378; *Matter of Willkie v Delaware County Bd. of Elections*, 55 AD3d 1088; *Matter of Hosley v Curry*, 85 NY2d 447; *Matter of Markowitz v Gumbs*, 122 AD2d 906; *Matter of Fernandez v Monegro*, 10 AD3d 429; *Matter of Carney v Davignon*, 289 AD2d 1096; *Matter of Altimari v Meisser*, 45 Misc 2d 1008, 23 AD2d 865, 16 NY2d 629.) III. Two absentee ballots cast and canvassed on November 30, 2009 should be counted. (*Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251; *People ex rel. Brown v Keller*, 170 App Div 324, 216 NY 741; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.)

OPINION OF THE COURT

Per Curiam.

I.

These three related proceedings were commenced pursuant to article 16 of the Election Law following the general election for

the position of Chautauqua County Legislator for the Seventh District. Robert T. Stewart, the Republican and Independence Party candidate, commenced the first proceeding challenging, as relevant here, one affidavit ballot on the ground that the voter, J.K., was not a resident of the voting district. Stewart also challenged two absentee ballots, on the ground that the “absentee ballot applications submitted by [the two] voters were rejected by the . . . Board of Elections [and c]orrections were not received prior to sending the ballot or upon the return of the ballot.” At that point, the two absentee ballot envelopes at issue had not yet been opened. Leon H. Beightol, the incumbent Democratic and Working Families Party candidate, answered and asserted counterclaims. As relevant here, Beightol sought to have Supreme Court validate the affidavit ballot of J.K. and “open and count” the two absentee ballots.

At a hearing on the first petition on November 30, 2009, Supreme Court directed the Board of Elections to open the two absentee ballot envelopes to ascertain the contents of the envelopes. Each of the two envelopes contained one completed absentee ballot application and one completed absentee ballot. To the parties’ apparent surprise, both ballots were cast in favor of Stewart. Thereafter, Beightol commenced the second of these three proceedings. Altering the position he took in the first proceeding, Beightol sought to have Supreme Court invalidate the two absentee ballots on the ground that extrinsic material which could identify the voters, i.e., their absentee voter applications, was included along with the voters’ absentee ballots in the ballot envelopes. As relevant here, Beightol also sought the invalidation of two optical scan ballots—manually counted by the Board of Elections on November 18, 2009—that he claimed were “abandoned” at one polling site. In his answer, Stewart, also altering his original position, argued that the two absentee ballots should be counted. Stewart additionally argued that the optical scan ballots were properly counted during the hand count on December 8, 2009.

Shortly thereafter, Beightol commenced the third proceeding, challenging the optical scan ballots on the ground that they were abandoned. He also challenged whether chain of custody controls were properly used with respect to the two optical scan ballots.

After a December 9, 2009 hearing, Supreme Court ordered that J.K.’s affidavit ballot and the two absentee ballots be

counted and that the two optical scan ballots not be counted. As to the affidavit ballot, the court concluded that J.K. “properly . . . cast her ballot in the location where she had significant contacts . . . of a kind and nature which would have allowed her to vote from that district on that date.” Addressing the two absentee ballots, the court first noted that “[a]n absentee ballot should not be mailed out [until] the [absentee ballot] application is complete.” By sending the two absentee ballots, the court concluded that the Board of Elections had “deemed the . . . application to be complete.” The court further concluded that the extrinsic materials included with the ballots in the absentee ballot envelopes were the result of a ministerial error by the Board of Elections. Finally, with respect to the optical scan ballots, the court concluded, without reaching Beightol’s chain of custody arguments, that the voters had abandoned their ballots by leaving the polling place without ensuring their votes had been counted. Supreme Court’s order resulted in a tie vote.

As relevant here, Stewart appealed from so much of Supreme Court’s order as directed the Board of Elections to count J.K.’s affidavit ballot and invalidated the Board of Elections’ hand count of the two optical scan ballots. Beightol cross-appealed from so much of Supreme Court’s order as directed the “opening and counting” of the two absentee ballots.

The Appellate Division, with two Justices dissenting in part, dismissed Beightol’s cross appeal from Supreme Court’s order “insofar as it directed the opening of the two absentee ballots,” modified the order, on the law, by invalidating J.K.’s affidavit ballot and validating the two optical scan ballots, and, as modified, affirmed (*see Matter of Stewart v Chautauqua County Bd. of Elections*, 69 AD3d 1298, 1299 [4th Dept 2010]). The Appellate Division majority agreed with Supreme Court’s factual findings on the issue of J.K.’s residency but held, as a matter of law, that J.K. resided at an address outside the voting district. With respect to the optical scan ballots, the court, relying on 9 NYCRR 6210.13 (A) (11), concluded that the ballots were not “abandoned” within the meaning of that regulation and were properly counted during the Board of Elections’ hand count.

As to the two absentee ballots, the court first characterized Beightol’s cross appeal as “contend[ing] . . . that [Supreme C]ourt erred in ordering that the two absentee ballots . . . be opened” (*id.* at 1302). Because the Appellate Division determined that Beightol had previously sought to have the absentee ballots opened, and Supreme Court had ordered the Board to

open the ballots, the Appellate Division concluded that Beightol was not aggrieved by that part of Supreme Court's order. The court further determined that Beightol was judicially estopped from taking the position in his two proceedings and on appeal that the absentee ballots should not be counted because that position was "contrary to his position in the proceeding commenced by Stewart" (*id.* at 1303). Finally, the court rejected Beightol's argument that extrinsic materials included with the absentee ballots invalidated those ballots. After the Appellate Division decision, Stewart led by three votes.

Beightol appealed as of right, pursuant to CPLR 5601 (a), from the Appellate Division order of modification,¹ and we now affirm.²

II.

A. J.K.'s Affidavit Ballot

Election Law § 1-104 (22) defines "residence" as "that place where a person maintains a fixed, permanent and principal home and to which he [or she], wherever temporarily located, always intends to return." To be a resident of a place within the meaning of the Election Law, we have held that "a person must be physically present with the intent to remain for a time" (*People v O'Hara*, 96 NY2d 378, 384 [2001], citing *Matter of Palla v Suffolk County Bd. of Elections*, 31 NY2d 36, 47 [1972]). While a voter may have more than one "bona fide residence," he or she may not "create an address" merely to "circumvent[] residency requirements" (*id.* at 384, 385 [citations omitted]). In *O'Hara*, we explained:

"[A]n individual having two residences may choose one to which [he or] she has 'legitimate, significant

1. We denied Beightol's motion for leave to appeal as unnecessary and granted his motion for a stay of enforcement of the Appellate Division order (*see* 14 NY3d 740 [2010]).

2. Each of the three proceedings named as respondents, in addition to the opposing candidate, the Board of Elections, Brian Abram, the Republican member of the Board, and Norman Green, the Democratic member of the Board. At Supreme Court and on appeal, the Republican member of the Board asserted arguments identical to Stewart's position; the Democratic member of the Board asserted arguments identical to Beightol's position. Green sought leave to appeal and appealed as of right from the Appellate Division order. Assuming without deciding that Green has standing to appeal without Abram's permission (*see Matter of Graziano v County of Albany*, 3 NY3d 475 [2004]), our holdings with respect to Beightol's arguments apply equally to Green's arguments.

and continuing attachments as [his or] her residence for purposes of the Election Law.’ Generally, where there is no reason to assume that a residence has been asserted merely for the purposes of voting, where no fraud or deception has been practiced and where there is a history of the residence employed, the courts have upheld a fact-finder’s determination of residency” (96 NY2d at 385, quoting *Matter of Ferguson v McNab*, 60 NY2d 598, 600 [1983]; see also *Matter of Gallagher v Dinkins*, 41 AD2d 946, 947 [2d Dept 1973], *affd* 32 NY2d 839 [1973]).

[1] The record here establishes that J.K. did not have dual residences in Chautauqua and Cattaraugus Counties. Although J.K. testified that she stayed at the Chautauqua County house for three consecutive summers and hoped to return for a fourth, she further testified that she did not own the home, did not pay rent, might not be permitted to return because her aunt could decide to sell the property before the next summer, that the electrical supply was shut off as of August 2009, and that the house had no running water or heat source. The record also establishes that J.K. resided in the Cattaraugus County apartment. Notably, when asked how long she intended to reside at the Cattaraugus County apartment, J.K. testified that she hoped to stay there “permanent[ly].” As a matter of law, J.K.’s physical presence at her Cattaraugus County apartment, coupled with her expressed intent to remain there permanently, sufficed to establish that as her residence. Moreover, J.K. lacked “significant and continuing” attachments to the Chautauqua County address sufficient to create a bona fide second residence for the purpose of voting. Accordingly, we conclude, as a matter of law, that J.K. was not a resident of the voting district and the affidavit ballot must be invalidated.

B. Optical Scan Ballots

Chautauqua County was one of several counties statewide that used new optical scan voting machines for the first time in the November 2009 general election in conformance with federal mandates. Under this system, the voter completes a paper ballot in a privacy booth by using a pen or pencil to identify the chosen candidates. The voter then brings the ballot to an optical scan machine and the ballot is fed into the device, which “reads” the document and records the vote. The technology is not foolproof, however, and the machine is sometimes unable to record the votes identified on the ballot for various reasons,

including deviation by the voter from the recommended manner of marking the boxes on the form, causing some ballots to be rejected by the machine as unreadable.

In this case, at the end of the general election day, there were two ballots at a polling place that had been completed by voters but were rejected as unreadable by the optical scan machine. Testimony given by one election inspector from that polling site established that one voter left immediately after feeding his ballot into the machine, before learning of the machine's rejection of the ballot. The voter who filled out the second ballot was aware that his ballot was not scanned by the machine but he declined to fill out a new ballot. The election inspector's testimony nonetheless made clear that the voter did not intend to abandon his vote. For both ballots, a bipartisan team of inspectors attempted to rescan the ballot. When the attempt was unsuccessful, an election inspector then secured the ballot in the emergency slot of the optical scan machine. At the end of the day, the ballots were delivered to the Board of Elections in a specially designated envelope.

[2] We agree with the Appellate Division that the Board of Elections properly hand-counted the two unscanned optical scan ballots. The applicable regulation, which “appl[ies] in determining whether a ballot has been properly voted and whether a vote should be counted,” provides: “If a voter leaves the voting machine or system without casting their ballot, a bipartisan team of election inspectors shall cause the ballot to be cast as the voter left it, without examining the ballot” (9 NYCRR 6210.13 [A] [11] [a]). If the voter leaves a ballot “in a privacy booth” without casting the ballot, the ballot is spoiled (9 NYCRR 6210.13 [A] [11] [b]). But, if a ballot is “non-machine processable as submitted by the voter, [it] shall be manually counted by a bipartisan team of election inspectors and such vote totals shall be added to the canvass” (9 NYCRR 6210.13 [A] [8]).

Here, no party contends that the ballots were left in a “privacy booth.” Rather, the voters left their completed ballots at the machines without ensuring that their ballots had been scanned. Pursuant to the express language of the applicable regulations, because the ballots were “non-machine processable as submitted by the voter[s],” the votes were required to be manually counted and added to the canvass. The process utilized by the election inspectors here, which ultimately culminated in a manual count of the ballots by the Board of Elections, complied with the provisions of the applicable regulations and was, therefore, proper.

Beightol's argument that the optical scan ballots could not be hand-counted because the voters' marks overran the squares for designating a candidate lacks merit. One ballot contained check marks inserted within the squares instead of completely penciled-in squares. The other optical scan ballot contained some marks that overran the squares. However, the applicable regulations specifically provide:

"A vote for any candidate or ballot measure shall not be rejected solely because the voter failed to follow instructions for marking the ballot . . .

"A mark is considered valid when it is clear that it represents the voter's choice and is the technique consistently used by the voter to indicate his or her selections. Such marks may include, but are not limited to, properly filled in voting position targets, cross mark 'X', a checkmark '[Checkmark]', circles, completed open arrow '[Left Pointing Arrow]', or any other clear indication of the voter's choice" (9 NYCRR 6210.13 [A] [2], [3]).

Here, the ballots clearly indicate the voters' selections for candidates and, therefore, should be counted. Accordingly, we conclude that the two optical scan ballots were valid and should be counted.

C. Absentee Ballots

[3] As a preliminary matter, we agree with the Appellate Division that Beightol was not aggrieved by so much of Supreme Court's determination as directed the opening of the absentee ballot envelopes. In the first proceeding, Stewart sought a determination that the two absentee ballot envelopes should not be opened or the ballots counted. In response, Beightol argued that the ballot envelopes should be opened. Given that Supreme Court ordered the ballot envelopes opened, Beightol is not aggrieved by that part of the determination. He is aggrieved, however, by so much of the order as directed that the ballots be counted, and we therefore consider his objections to that ruling.

[4] Beightol was not judicially estopped from adopting the position that the absentee ballots were invalid. We note that Stewart, like Beightol, adopted a different position once the absentee ballot envelopes were opened, in both the first proceeding and in the subsequent proceedings; Stewart can hardly assert that he was prejudiced when Beightol merely adopted Stewart's original position (*see generally Shepardson v Town of Schodack*, 195

AD2d 630, 632 [3d Dept 1993], *affd* 83 NY2d 894 [1994]). Further, it is not clear on this record that Beightol was successful in persuading Supreme Court to adopt his initial position (*see Zedner v United States*, 547 US 489, 504 [2006]). Thus, we conclude that the doctrine of judicial estoppel is inapplicable, and we turn to the merits of Beightol's argument that the two absentee ballots submitted by R.Y. and W.Y. are invalid and should not be counted.

[5] On the merits, Beightol first argues that the absentee ballots should not be counted because the Board did not receive completed absentee ballot applications prior to sending the absentee ballots to these two voters. Relying on *Matter of Gross v Albany County Bd. of Elections* (3 NY3d 251 [2004]), Beightol contends that the Board of Elections' error was not merely technical or ministerial, and its failure to adhere to the provisions of the Election Law requires the invalidation of the two absentee ballots. We disagree.

The Election Law describes in detail the appropriate procedure for the issuance of absentee ballots (*see* Election Law § 8-400; *see also Gross*, 3 NY3d at 256). Before a voter may cast an absentee ballot, he or she must complete an absentee ballot application (*see* Election Law § 8-400 [2]). The application must include certain information; for example, the voter must specify the reason for his or her absence from the voting district, the duration of that absence, and that he or she is qualified and registered to vote in the election district for which the absentee ballot is sought (*see* § 8-400 [3] [b], [c]). Applications for absentee ballots "must be mailed to the board of elections not later than the seventh day before the election for which a ballot is first requested or delivered to such board not later than the day before such election" (§ 8-400 [2] [c]). When a local board of elections receives an application for an absentee ballot, the board determines "upon such inquiry as it deems proper whether the applicant is qualified to vote and to receive an absentee ballot" (§ 8-402 [1], [2]), and, if it is satisfied by its inquiry, the absentee ballot is then forwarded to the voter (*see Gross*, 3 NY3d at 256).

In *Gross*, we emphasized the need for compliance with the framework specified in the absentee ballot provisions (*see id.* at 258). In that case, the Board of Elections, rather than following the particularized requirements of the Election Law, forwarded an absentee ballot for an April 2004 special general election to any voter who had requested one in the November 2003 general

election without requiring an absentee ballot application from each voter (*see id.* at 254). We concluded that the Board's mistake could not be "characterized as technical, ministerial or inconsequential because it was central to the substantive process by which voters are determined to be qualified to cast absentee ballots" (*id.* at 258-259). Specifically, we observed that the Board's error resulted in an uneven application of the Election Law, because some voters were required to comply with the absentee voter application process, while others were not. We were also particularly concerned that the challenged absentee votes were cast by voters who were never made to "articulate[] why they were not able to vote at the polls" (*id.* at 259). Thus, because of the Board of Elections' failure to ascertain whether the voters were duly qualified to cast absentee ballots, we concluded that the Board's mistake warranted the invalidation of the challenged absentee ballots.

The concerns that motivated our holding in *Gross* are not present here. In this case, the record indicates that the Board received applications for absentee ballots from both voters within the applicable time period before the election. However, the applications did not contain necessary information; specifically, the applications failed to state where the voters would be at the time of the election and the dates of their absence from the district. The Board thereafter mailed absentee ballots to both voters with instructions to return the completed application together "with [the absentee] ballot or [the] ballot will not be counted." Both voters did, in fact, return their completed absentee ballot applications with their absentee ballots. The applications were examined separately to ascertain the qualification of each voter to cast an absentee ballot. Thus, the Board here, unlike the Board of Elections in *Gross*, did have a basis upon which to determine that the two voters were entitled to vote as absentee voters.

The Board has conceded that the procedure it utilized here was not the best method of complying with the requirements of the Election Law and that it will not use these procedures again in the future. However, unlike the mistakes committed by the Board of Elections in *Gross*, the slight deviation from the prescribed procedure utilized by the Board "can be viewed as substantial compliance with statutory directives" (*Gross*, 3 NY3d at 259). The defect in the procedure was not a "substantive deficiency implicating voter qualification" (*id.* at 259 n 3).

[6] Finally, Beightol's argument that the absentee ballots were void because the absentee ballot envelopes contained

extrinsic materials identifying the voters lacks merit. We agree with the Appellate Division that the absentee ballots were not invalidated by the presence of the absentee ballot applications, because no marks on the ballots themselves identified the voters (*see* Election Law § 9-112 [1]; *see also* *Matter of Altimari v Meisser*, 15 NY2d 686, 687 [1965], *modfg* 22 AD2d 933 [2d Dept 1964], *rearg denied and remittitur amended* 15 NY2d 847 [1965]).

III.

In sum, we hold that J.K.'s affidavit ballot was invalid, the two optical scan ballots were valid and should be counted, and the two absentee ballots were valid and should be counted. Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order affirmed, without costs.

[924 NE2d 792, 897 NYS2d 684]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TATY-
ANA KISINA, Appellant.

Argued January 14, 2010; decided February 18, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 3, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Arthur J. Cooperman, J.), which had convicted defendant, upon a jury verdict, of insurance fraud in the third degree (two counts) and falsifying business records in the first degree (two counts).

People v Kisina, 60 AD3d 695, affirmed.

HEADNOTES

Crimes — Falsifying Business Records — Fraudulent Medical Documentation Submitted to No-Fault Insurance Company

1. In the prosecution of defendant physician for falsifying business records in the first degree and related charges for her actions in billing a no-fault insurance carrier for unnecessary or unperformed treatments on accident victims, the verification of treatment forms and accompanying consultation reports submitted by defendant to the insurance company, indicating that defendant had conducted certain electrodiagnostic testing on each patient, constituted “business records” within the scope of Penal Law § 175.10. Falsifying business records in the first degree is committed when a “person,” with the requisite intent, makes or causes a false entry in the “business records” of an enterprise (Penal Law § 175.05 [1]; § 175.10). Defendant’s role as an “outsider” or “third party” not employed by, or an agent of, the recipient enterprise did not immunize her from prosecution. The statute prescribes no limitation or preconditions on the types of persons who may fall within the ambit of the crime. Moreover, the records defendant submitted to the insurance company reflected the “condition” or “activity” of that enterprise as required by Penal Law § 175.00 (2), which defines a business record as a writing or article “kept or maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity.” There was sufficient evidence establishing that the insurance company “kept or maintained” the consultation reports along with the claim forms, and that they evidenced or reflected “its condition”—specifically its legal obligation to reimburse medical providers for services.

Crimes — Evidence — Preclusion of Evidence Offered to Negate Intent

2. In the prosecution of defendant physician on charges of engaging in a scheme to defraud, insurance fraud and falsifying business records for her actions in billing a no-fault insurance carrier for unnecessary or unperformed treatments on accident victims, the trial court did not commit reversible error

by precluding evidence that defendant did not administer any unnecessary procedures or submit false claims when an investigator from the Attorney General's Office went to defendant's medical facility posing as a motor vehicle accident victim. Defendant had proffered that evidence at trial to negate fraudulent intent. While the proffered evidence may have been relevant to show a lack of intent to perpetrate the scheme to defraud charge, defendant was acquitted of that charge. The evidence would not have related to the fraudulent submission of claims for unnecessary or unperformed medical treatments regarding the accident victims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 2069, 2070.

McKINNEY's, Penal Law § 175.00 (2); § 175.05 (1); § 175.10.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1172, 1174, 1175, 1177, 1180.

ANNOTATION REFERENCE

See ALR Index under Business Records; Exclusion and Suppression of Evidence; Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: falsifying /2 business /2 record /4 first & medical
/2 report document! /s insur!

POINTS OF COUNSEL

Stillman, Friedman & Shechtman, P.C., New York City (Nathaniel Z. Marmur and Paul Shechtman of counsel), for appellant. I. The convictions on the falsifying business records counts should be set aside because Dr. Kisina's reports are not records of State Farm Mutual Automobile Insurance Company. (*People v Mahboubian*, 74 NY2d 174; *People v Mezon*, 80 NY2d 155; *People v Hawkins*, 11 NY3d 484; *People v Ford*, 11 NY3d 875; *People v Jean-Baptiste*, 11 NY3d 539; *People v Papatonis*, 243 AD2d 898; *People v Argus*, 17 AD3d 1155; *Hall v Brown*, 489 F Supp 2d 166; *People v Smithtown Gen. Hosp.*, 93 Misc 2d 736; *People v Banks*, 150 Misc 2d 14.) II. The trial court erred in excluding testimony that Dr. Kisina had treated the undercover officer properly. (*Crane v Kentucky*, 476 US 683; *People v Alvino*, 71 NY2d 233; *Matter of Brandon*, 55 NY2d 206; *Sattler v City of New York Commn. on Human Rights*, 147 Misc 2d 189; *United States v Shavin*, 287 F2d 647; *United States v Thomas*, 32 F3d 418.)

Andrew M. Cuomo, Attorney General, New York City (Hannah Stith Long, Barbara D. Underwood and Roseann B. MacKechnie of counsel), for respondent. I. A person commits the crime of falsifying business records where she provides an insurance company with false information in support of a fraudulent claim, and the company keeps the information to evidence its legal obligation to pay her. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Mahboubian*, 74 NY2d 174; *Conse-dine v Portville Cent. School Dist.*, 12 NY3d 286; *Matter of Greenberg [Ryder Truck Rental]*, 70 NY2d 573; *People v Brown*, 140 App Div 591; *People ex rel. Isaacson v Fallon*, 202 NY 456; *People v Bloomfield*, 6 NY3d 165; *People v Boothe*, 68 AD3d 402; *People v Myles*, 58 AD3d 889.) II. The trial court properly precluded defendant from presenting evidence that she declined to treat another patient and did not bill for treating him. (*People v Williams*, 6 NY2d 18; *People v Arroyo*, 77 NY2d 947; *United States v Walker*, 191 F3d 326; *Sattler v City of New York Commn. on Human Rights*, 147 Misc 2d 189; *United States v Shavin*, 287 F2d 647; *People v Kuss*, 32 NY2d 436; *People v Van Gaas-beck*, 189 NY 408.)

OPINION OF THE COURT

CIPARICK, J.

The principal question presented in this appeal is whether a physician can be found guilty of falsifying business records in the first degree (Penal Law § 175.10) for submitting fraudulent medical documentation to a no-fault insurance carrier for the purpose of receiving payments for treatments that were unnecessary or unperformed. We hold that the submitted documents are “business records” for the purpose of this statute.

In 2002, defendant, a specialist in physical medicine and rehabilitation, treated accident victims at IK Medical P.C., a clinic in Queens. The facility reportedly provided comprehensive medical care to motor vehicle accident victims eligible for no-fault insurance coverage. In 2003, the Attorney General investigated the clinic for insurance fraud and other related crimes, and subsequently procured an indictment against defendant for engaging in a scheme to defraud in the first degree (Penal Law § 190.65 [1] [b]), two counts of insurance fraud in the third degree (Penal Law § 176.20) and two

counts of falsifying business records in the first degree.* The falsifying business records charges were based upon false consultation reports that defendant submitted to State Farm Mutual Automobile Insurance Company (State Farm), along with verification of treatment forms seeking recompense for procedures she purportedly performed on two motor vehicle accident victims.

Supreme Court denied defendant's pretrial motion to dismiss the falsifying business records counts, stating that "[f]alse records resulting from false information submitted to support a fraudulent claim [are] a sufficient basis for an indictment charging Falsifying Business Records."

At trial, the People introduced as evidence two \$3,823.24 insurance claims for nerve testing purportedly performed on two accident victims. Defendant signed the claim forms—entitled "New York Motor Vehicle No-Fault Insurance Law Verification of Treatment by Attending Physician"—and submitted them to State Farm. Along with these forms, defendant sent the insurance carrier "consultative reports," indicating that defendant had conducted electrodiagnostic testing on 26 nerves and muscles for each patient.

Defendant stipulated as to testimony from a representative from State Farm that, if called, she would testify that the company is a provider of no-fault insurance in New York, and that she was a custodian of records, familiar with its record-keeping practices and obligations. The stipulation agreement explained that the "Verification of Treatment Forms" and accompanying medical reports defendant submitted to State Farm are intended to evidence its "obligation to pay the attending physician or other provider of health service for treatment or healthcare services rendered," and that State Farm relies on the accuracy of such statements. The stipulation agreement further noted that such documents became part of State Farm's permanent business records.

The People presented an expert witness who described the electrodiagnostic tests for which defendant billed, including electromyography (EMG) and nerve conduction velocity (NCV).

* The indictment contained 100 counts, charging the owners of IK Medical, several licensed doctors who reportedly practiced at the clinic, three personal injury lawyers, and a steerer. The charges included engaging in a scheme to defraud in the first degree, attempted grand larceny in the third degree, insurance fraud in the third degree, falsifying business records in the first degree, and other related crimes.

The expert testified that one of the tests involves placing a needle into the muscle and causing pain, and that the “F-wave” test that defendant claimed to have performed on one of the two patients 16 times was not a standard test and is “rarely done.”

The two accident victims that defendant allegedly treated testified for the People. One testified that she had not received any of the EMG tests reportedly performed by defendant and only 2 of the 26 NCV tests billed by defendant; the other stated that he received just 2 of 4 EMG tests and just 6 of 26 NCV tests that defendant billed.

In addition to evidence specifically relating to defendant’s conduct, the People offered evidence of a pattern of fraud by the clinic in which, they claimed, defendant was involved. Two of the owners of IK Medical testified for the prosecution under cooperation agreements that the clinic existed from 2001 to 2003 for the sole purpose of improperly billing no-fault insurance companies for medical treatment reportedly performed on accident victims. The clinic allegedly recruited motor vehicle accident victims by paying “runners” or “steerers” to locate and usher them to the clinic for treatment. Irrespective of a particular patient’s medical needs, the clinic administered treatment from a general practitioner, a neurologist, a psychologist, a physical therapist and other medical professionals, and then billed no-fault insurance carriers. The two owners stated that the clinic sought to exhaust the \$50,000 no-fault coverage allotted to each motor vehicle accident victim for medical treatment, even if the patients did not require such extensive care. The owners further noted that defendant worked at the facility from June 2002 until June 2003, for two to three days per month.

Defendant presented three character witnesses, a private investigator who interviewed one of the two patients, and a medical expert of her own. Defendant then requested that the court permit her to present evidence that the Attorney General’s Office sent an undercover investigator to the clinic and that defendant provided proper medical treatment and did not inflate her bill for such services. Supreme Court precluded the evidence, stating “[t]here is no requirement that the People prove that defendant’s treatment of all of her patients was fraudulent in order to prove this scheme to defraud.”

The jury found defendant guilty of two counts of insurance fraud in the third degree and two counts of falsifying business

records in the first degree. The jury acquitted defendant of scheme to defraud in the first degree. The Appellate Division affirmed (60 AD3d 695, 696 [2d Dept 2009]). A Judge of this Court granted defendant leave to appeal (12 NY3d 917 [2009]), and we now affirm.

[1] Defendant primarily contests her conviction of two counts of falsifying business records in the first degree. She raises two arguments that the false business records submitted to State Farm fall outside of the purview of Penal Law § 175.10. First, she claims that the statute is not violated when an outsider or third party submits false information to a company to induce it to take action in reliance upon that information; second, she argues that the medical reports that she submitted to State Farm are not “business records” because they do not reflect the “condition” or “activity” of the recipient enterprise, but rather falsely evidence her activities and the condition of her patients. We disagree.

We begin by turning to the language of the statute in order to “give effect to the intention of the Legislature” (*Consedine v Portville Cent. School Dist.*, 12 NY3d 286, 290 [2009]). “Where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning” (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]). Falsifying business records in the first degree is committed when a “person,” with the requisite intent, makes or causes a false entry in the “business records” of an enterprise (Penal Law § 175.05 [1]; § 175.10). The “person” must act with an “intent to defraud,” which includes “an intent to commit another crime or to aid or conceal the commission thereof” (Penal Law § 175.10; *see also* Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 175.05, at 65-66). A “business record” is “any writing or article . . . kept or maintained by an enterprise for the purpose of evidencing or reflecting its condition or activity” (Penal Law § 175.00 [2]; *cf.* CPLR 4518 [admissibility of business records at trial as an exception to the hearsay rule]).

Regarding defendant’s first claim, the Penal Law prescribes no limitation or preconditions on the types of persons who may fall within the ambit of this crime. Nowhere does the Penal Law state that “outsiders” or “third parties” not employed by or agents of the recipient enterprise are immune from prosecution under this statute. Indeed, in *People v Bloomfield* (6 NY3d 165, 170-171 [2006]), we rejected the “insider/outsider distinction”

for the purpose of defining a false business record under the current business record statutes. We sustained a lawyer's conviction for falsifying business records of a company of which he was not an employee or agent, notwithstanding that he maintained the records in an outside location (*cf. People v Cratsley*, 86 NY2d 81, 88-91 [1995] [in a rape prosecution, IQ tests performed by an "outsider" were properly admitted as a business record of a social service agency pursuant to CPLR 4518]).

Many other courts have similarly held that a third party's submission of fraudulent records may fall within the scope of the statute (*see e.g. People v Myles*, 58 AD3d 889, 890-892 [3d Dept 2009] [a consumer of electricity could be guilty of falsifying business records for bypassing the electric meter, causing it to falsely record the amount of electricity used]; *People v Johnson*, 39 AD3d 338, 339 [1st Dept 2007] [a codefendant of public assistance applicant could be guilty of falsifying business records of the agency]; *People v Smith*, 300 AD2d 1145, 1146 [4th Dept 2002] [defendant could be convicted for falsifying the records of the public defender's office for erroneously stating his income]). We agree with the interpretation of these courts, and find that the People's position better comports with the plain language of the statute.

The second and most prominent component of defendant's argument is that the records submitted to State Farm do not reflect the "condition" or "activity" of that enterprise as required by Penal Law § 175.00, but rather falsely evidence defendant's own activity and the condition of her patients. Here, the stipulated testimony from the State Farm representative supports the necessary elements of a "business record." The stipulation explains that State Farm was obligated to keep and maintain records submitted by physicians seeking payments for medical services rendered. Further, the stipulation establishes that State Farm's financial condition is affected by these false submissions, as they give rise to liabilities under its policies.

Defendant seeks support from *People v Papatonis* (243 AD2d 898, 900 [3d Dept 1997]) in arguing that the false medical reports she submitted do not reflect the "condition" of the receiving enterprise. In that case, the court held that misrepresentations on an employment application, wherein the defendant falsely denied having been convicted of a crime, did not fall within the ambit of the statute (*see id.* at 900-901). However, the falsifications in the job application did not, as here, relate to any rights or obligations on the part of the recipient agency.

Here, by contrast, there exists sufficient evidence establishing that State Farm “kept or maintained” the consultation reports along with the claim forms, and that they evidence or reflect “its condition”—specifically its legal obligation to reimburse medical providers for services. The falsifying business records conviction was, therefore, sustainable under the circumstances presented.

Finally, defendant asserts that Supreme Court committed reversible error by improperly precluding evidence that an investigator from the Attorney General’s Office went to IK Medical, posing as a motor vehicle accident victim, and that defendant did not administer any unnecessary procedures or submit false claims. At trial, defendant proffered this evidence to negate fraudulent intent. She claims that its preclusion prejudiced her defense.

[2] While this proffered testimony may have been relevant to show a lack of intent to perpetrate the scheme to defraud charge (*see United States v Thomas*, 32 F3d 418, 421 [9th Cir 1994] [a defendant “should be permitted to offer any evidence which bears directly and not too remotely on his intention (to defraud)’”]), no possible prejudice is apparent as a result of Supreme Court’s ruling. Defendant was acquitted of the scheme to defraud charge, and this evidence would not have related to the fraudulent submission of claims for unnecessary or unperformed medical treatments regarding the two accident victims.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order affirmed.

[924 NE2d 801, 897 NYS2d 693]

In the Matter of LIGHTHOUSE POINTE PROPERTY ASSOCIATES
LLC, Appellant, v NEW YORK STATE DEPARTMENT OF ENVI-
RONMENTAL CONSERVATION et al., Respondents.

Argued January 5, 2010; decided February 18, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 6, 2009. The Appellate Division (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, Monroe County (Ann Marie Taddeo, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition and ordered respondent New York State Department of Environmental Conservation to accept petitioner immediately into the New York State Brownfield Cleanup Program; and (2) dismissed the petition. The following question was certified by the Appellate Division: “Was the order of this Court entered February 6, 2009 properly made?”

Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation, 61 AD3d 88, reversed.

HEADNOTE

Environmental Conservation — Hazardous Waste — Brownfield Cleanup Program

Respondent Department of Environmental Conservation (DEC) acted arbitrarily and capriciously and contrary to law when it determined that the properties which petitioner sought to develop did not fall within the statutory definition of a brownfield site (ECL 27-1405 [2]) and denied petitioner’s requests for acceptance of the properties into the Brownfield Cleanup Program (ECL art 27, tit 14 [BCP]). A “brownfield site” is broadly defined as “any real property, the redevelopment or reuse of which may be complicated by the presence or potential presence of a contaminant.” The meaning of the term “brownfield site” presents a question of pure statutory reading. Real property qualifies as a “brownfield site” for purposes of acceptance into the BCP so long as the presence or potential presence of a contaminant within its boundaries makes redevelopment or reuse more complex, involved or difficult in some way. Petitioner’s properties were concededly contaminated with multiple contaminants, often exceeding generally accepted cleanliness levels, and other environmental standards or criteria. One of the properties had for years been included in the DEC’s database of hazardous substance waste disposal sites. Further, petitioner presented undisputed evidence demonstrating that the presence of contaminants at the properties had complicated redevelopment or reuse in several ways. Notwithstanding DEC’s assurance that the overall profile of contamination on the properties did not call for remedial action, without a release of liability under the BCP, neither petitioner nor its prospec-

tive lender could be confident that regulatory views about the necessity for or the adequacy of any self-directed cleanup would not change in the future.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pollution Control §§ 146, 1380.

McKINNEY's, ECL 27-1405 (2).

NY JUR 2d, Environmental Rights and Remedies §§ 208, 213.70, 231.

ANNOTATION REFERENCE

See ALR Index under Environmental Law.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: brownfield /2 clean-up /p statut! /3 defin!

POINTS OF COUNSEL

Knauf Shaw LLP, Rochester (Alan J. Knauf, Linda R. Shaw, Amy Reichhart and Dwight Kanyuck of counsel), for appellant. I. The definition of "brownfield" has a low threshold. (*Parker v Scrap Metal Processors, Inc.*, 386 F3d 993; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *State of New York v Shore Realty Corp.*, 759 F2d 1032; *Matter of East Riv. Realty Co., LLC v New York State Dept. of Env'tl. Conservation*, 22 Misc 3d 404; *Building & Constr. Trades Council of Buffalo, N.Y. & Vicinity v Downtown Dev., Inc.*, 448 F3d 138; *Matter of Destiny USA Dev., LLC v New York State Dept. of Env'tl. Conservation*, 63 AD3d 1568; *Buffalo Dev. Corp. v New York State Dept. of Env'tl. Conservation*, 23 Misc 3d 1129[A], 2009 NY Slip Op 51001[U]; *Matter of HLP Props. LLC v New York State Dept. of Env'tl. Conservation*, 21 Misc 3d 658.) II. The New York State Department of Environmental Conservation misinterprets title 14 of ECL article 27 by equating "may complicate" to "requires remediation." (*Knight v Amelkin*, 68 NY2d 975; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of KMO-361 Realty Assoc. v Davies*, 204 AD2d 547, 84 NY2d 811; *Matter of Nilsson v Department of Env'tl. Protection of City of N.Y.*, 28 AD3d 773, 8 NY3d 398; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Matter of Evans v Tax Appeals Trib. of State of N.Y.*, 199 AD2d 840; *Matter of SIN, Inc. v Department of Fin. of City*

of N.Y., 71 NY2d 616; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382.) III. Respondents can only rely on their actual administrative decision to exclude solid waste, which is contrary to the statute. (*Matter of Aronsky v Board of Educ., Community School Dist. No. 22 of City of N.Y.*, 75 NY2d 997; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Destiny USA Dev., LLC v New York State Dept. of Env'tl. Conservation*, 19 Misc 3d 1144[A], 2008 NY Slip Op 51161[U], 63 AD3d 1568; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Yarbough v Franco*, 95 NY2d 342; *Matter of Millpond Mgt., Inc. v Town of Ulster Zoning Bd. of Appeals*, 42 AD3d 804; *B.F. Goodrich Co. v Murtha*, 958 F2d 1192; *B.F. Goodrich v Betkoski*, 99 F3d 505.) IV. New York State Department of Environmental Conservation has acted contrary to its own prior decision-making. (*Knight v Amelkin*, 68 NY2d 975; *Matter of Callanan Indus. v Rourke*, 187 AD2d 781; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Citizens' Env'tl. Coalition, Inc. v New York State Dept. of Env'tl. Conservation*, 57 AD3d 1279.)

Andrew M. Cuomo, Attorney General, Albany (Denise A. Hartman, Barbara D. Underwood and Andrea Oser of counsel), for respondents. I. The Department of Environmental Conservation's well-reasoned determination denying petitioner's acceptance into the Brownfield Cleanup Program should be confirmed. (377 *Greenwich LLC v New York State Dept. of Env'tl. Conservation*, 14 Misc 3d 417; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Village of Scarsdale v Jorling*, 91 NY2d 507; *Matter of Fineway Supermarkets v State Liq. Auth.*, 48 NY2d 464; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Binghamton-Johnson City Joint Sewage Bd. v New York State Dept. of Env'tl. Conservation*, 159 AD2d 887; *Matter of East Riv. Realty Co., LLC v New York State Dept. of Env'tl. Conservation*, 22 Misc 3d 404; *Matter of HLP Props. LLC v New York State Dept. of Env'tl. Conservation*, 21 Misc 3d 658.) II. The "working definition" that petitioner proposes must be rejected. (*Matter of East Riv. Realty Co., LLC v New York State Dept. of Env'tl. Conservation*, 22 Misc 3d 404.) III. The Department of Environmental Conservation did not base its determination on the fact that petitioner's property is a former solid waste landfill. IV. If the Court holds that the Department

of Environmental Conservation employed an improper construction of the statute, it should remand to the agency for reconsideration in light of the Court's decision. (*Matter of Rhino Assets, LLC v New York City Dept. for the Aging, SCRIE Programs*, 31 AD3d 292; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal*, 187 AD2d 320; *Klostermann v Cuomo*, 61 NY2d 525.)

OPINION OF THE COURT

READ, J.

Petitioner Lighthouse Pointe Property Associates LLC (Lighthouse) commenced this CPLR article 78 proceeding to challenge the decision by the New York State Department of Environmental Conservation (DEC or the Department) to deny its requests for acceptance of certain real property into the Brownfield Cleanup Program (BCP). For the reasons that follow, we conclude that DEC acted arbitrarily and capriciously and contrary to law when it determined that the real property addressed in Lighthouse's requests did not fall within the statutory definition of a brownfield site.

I.

In 2003, the Legislature enacted a new title 14 of article 27 of the New York State Environmental Conservation Law to promote the voluntary cleanup, reuse and redevelopment of brownfields through the BCP, to be administered by DEC (*see* L 2003, ch 1 [eff Oct. 7, 2003]). The Legislature found "that there are thousands of abandoned and likely contaminated properties that threaten the health and vitality of the communities they burden, and that these sites, known as brownfields, are also contributing to sprawl development and loss of open space" (ECL 27-1403). As the Division of the Budget put it when endorsing the legislation,

"[b]rownfields are abandoned, idled, or under-used properties where redevelopment is complicated by real or perceived environmental contamination . . . [and they] often pose not only environmental, but legal and financial, burdens on communities. Left vacant, contaminated sites can diminish the property value of surrounding property and threaten the economic viability of adjoining properties. The impediments to brownfield redevelopment are

complex . . . The existing liability scheme, which holds all owners of contaminated property liable for cleanup costs, regardless of when or how the property was acquired relative to the contamination, contributes to the reluctance of developers to purchase even minimally contaminated sites. So, too, does the potential cost of cleanup, which may not be known at the time of purchase. In addition, lenders are often reluctant to extend credit for the purchase and cleanup of brownfield sites, fearing future liability or diminution of the value of the property held as collateral should the site prove to require more extensive and costly cleanup than initially thought. Consequently, financing such a purchase may be more difficult than financing a purchase of a greenfield site” (Budget Report on Bills, Bill Jacket, L 2003, ch 1, at 38).

The BCP broadly defines the term “brownfield site” as “*any real property, the redevelopment or reuse of which may be complicated by the presence or potential presence of a contaminant*” (ECL 27-1405 [2] [emphases added]). “Contaminant” is defined as “hazardous waste and/or petroleum as such terms are defined in [ECL 27-1405]” (ECL 27-1405 [7-a]); and “hazardous waste,” in turn, includes hazardous waste as defined in ECL 27-1301 (*see* ECL 27-1405 [17], referencing ECL 27-1301; *see also* ECL 27-1301 [1], referencing ECL 27-0903 [“Identification and listing of hazardous waste”] and ECL 37-0103 [“Lists of substances hazardous or acutely hazardous to public health, safety or the environment”])). There are statutory exclusions from the definition of the term “brownfield site,” notably including certain properties listed in the State’s Registry of Inactive Hazardous Waste Disposal Sites (the Registry), a hallmark of the State’s Superfund Program, or properties included on the National Priorities List, comprising designated federal Superfund sites (*see* ECL 27-1405 [2] [a], [b])).

“A person who seeks to participate in [the BCP] shall submit a request to [DEC]” on forms devised by the Department, and shall provide therein information “sufficient to allow [DEC] to determine eligibility and the current, intended and reasonably anticipated future land use of the site” (*see* ECL 27-1407 [1]). There are enumerated restrictions on eligibility (ECL 27-1407 [8], [9]). Among them is the direction that DEC “shall reject” any request that it “determines . . . is for real property which

does not meet the requirements of a brownfield site as defined in . . . title [14]” (ECL 27-1407 [8] [a]).

An applicant¹ must enter into an agreement with DEC to conduct an investigation to assess the nature and extent of contamination at the brownfield site (ECL 27-1409, 27-1411), and must devise and carry out a “remedial program” that DEC judges to be “protective of public health and the environment” (ECL 27-1415 [1], [2]). DEC issues a written certificate of completion to the applicant once the site has been cleaned up in accordance with the applicable remedial requirements (ECL 27-1419 [3]); the certificate is transferrable to an applicant’s successors or assigns (ECL 27-1419 [5]). Further, the certificate qualifies the applicant to receive a liability release and covenant not to sue from the State of New York, which “run[s] with the land” (ECL 27-1421 [1], [3]), as well as financial benefits (Tax Law §§ 21, 22 [b]; § 23 [a]). Public notice and opportunities for citizen participation are integral features of the BCP at every stage, from the request to participate to issuance of the certificate (ECL 27-1417).

The statute directed DEC to develop tables of numeric and contaminant-specific soil cleanup objectives (SCOs) that protect public health and the environment and do not exceed specified risk levels based on three types of land use—unrestricted (residential), commercial, and industrial (ECL 27-1415 [6]; *see also* 6 NYCRR subpart 375-6). Further, the BCP affords applicants the flexibility to employ the tables or site-specific criteria to determine acceptable levels of residual contamination, based on four different cleanup “tracks.”²

As originally enacted, the most significant financial incentive available to an applicant—the brownfield redevelopment tax

1. An “applicant” is “a person whose request to participate in the [BCP] . . . has been accepted by [DEC]” (ECL 27-1405 [1]).

2. A track 1 remedial program generally achieves a cleanup level and the SCOs appropriate for unrestricted residential use (as published in the relevant generic table) without reliance on any institutional (e.g., a deed restriction) or engineering (e.g., a clay cap or a groundwater pump-and-treat system) controls; a track 2 remedial program cleans up soils to meet the SCOs for commercial or industrial use (as published in the relevant generic tables), and may include institutional and/or engineering controls; a track 3 remedial program takes site conditions (such as depth to groundwater) into account to develop site-specific SCOs to be met; and a track 4 remedial program achieves a site-specific cleanup level protective of current, intended or reasonably anticipated residential, commercial, or industrial use with restrictions, and relies on institutional and engineering controls to do this (ECL 27-1415 [4]).

credit—ranged from 10% to 22% of covered costs.³ This tax credit consists of a “site preparation credit component” (costs to get the site ready for cleanup and redevelopment, except for the cost of acquiring the real property) (Tax Law § 21 [a] [2]; [b] [2]); a “tangible property credit component” (the cost of erecting commercial, industrial or recreational buildings) (Tax Law § 21 [a] [3]; [b] [3]); and an “on-site groundwater remediation credit component” (Tax Law § 21 [a] [4]; [b] [4]).

Early on, DEC estimated the value of tax credits—“[a]mong the most powerful incentives established by” the BCP—to be “approximately \$135 million when . . . fully effective” (Desnoyers and Schnapf, *Environmental Remediation Process Is Undergoing Sweeping Changes Mandated by New Brownfields Law*, 76 NY St BJ [No. 8] 10, 20-21). As it turned out, since the tangible property credit component “potentially amount[ed] to as much as 22 percent of the total cost of development of the project,” sites with minimal contamination but high development costs were eligible for “very large tax credits with a relatively small investment” in cleanup costs (Block and Curran, *Construction Law, Brownfields Cleanup: Case Law, Amendments May Modify Program*, NYLJ, Mar. 12, 2008, at 5, col 3).

In June 2008, the State Comptroller estimated that “[t]he outstanding tax credit liability for all projects [then] enrolled in the BCP . . . [was] potentially as high as \$3.1 billion” (Thomas P. DiNapoli, New York State Comptroller, *Overview of the New York State Brownfields Cleanup Program*, at 9 [June 2008] [available at <http://www.osc.state.ny.us/reports/environmental/brownfields08.pdf> (cached at <http://www.nycourts.gov/reporter/webdocs/brownfields08.pdf>)]. Indeed, “[s]everal projects [had] accrued tax credits in excess of \$100 million [causing] the New York State Division of the Budget” to “express[] concern that the [BCP might] pose a significant financial risk to the state” (*id.* at 2).

These financial misgivings caused the Legislature to include a 90-day moratorium on the acceptance of new sites into the BCP as part of the enacted state budget for fiscal year 2008-2009, and subsequently to enact amendments revamping the brown-field redevelopment tax credit for applicants accepted into the BCP after June 23, 2008 (*see* L 2008, ch 390, §§ 1, 2). The

3. Other financial incentives include a tax credit for real property taxes for up to 10 years, calculated according to a formula that takes the number of employees at the site into account (Tax Law § 22 [b]), and a one-time insurance credit (Tax Law § 23 [a], [c]).

amendments restructured the tax credits so as to encourage more thorough cleanups while reducing the State's financial exposure. First, the Legislature tied the percentage of remedial costs (i.e., the site preparation and groundwater remediation credit components) available to the level of cleanliness achieved, ranging from a high of 50% for soil cleanups allowing for unrestricted use to a low of 22% for track 4 soil cleanups for industrial use (ECL 27-1419 [3]). Importantly, the Legislature capped the tangible property credit component, which captures development costs, to the lesser of \$35 million or three times remedial costs; or, for sites used primarily for manufacturing activities, to the lesser of \$45 million or six times remedial costs (Tax Law § 21 [3-a]).

The BCP replaced the Voluntary Cleanup Program (VCP), an administrative initiative inaugurated by DEC in late 1994 to accommodate “developers and landowners with contaminated but otherwise marketable property [who] sought government review and ‘sign-off’ of cleanup plans so that they could access financial backing and be freed from worry over potential legal actions under the State’s pollution and hazardous waste laws” (Testimony of Peter Grannis, Commissioner, New York State Department of Environmental Conservation, before the New York State Senate and Assembly Standing Committees on Environmental Conservation, Aug. 27, 2007). The VCP offered no financial incentives; however, upon completion of a DEC-sanctioned cleanup, a participant in the VCP received a waiver of liability from DEC—i.e., the waiver did not bind other state agencies or the State Attorney General. Despite its perceived shortcomings, the VCP “evolved into a well-recognized way for property owners to obtain official sanction for their cleanups” (Gerrard, *Environmental Law, N.Y. Brownfields Program Buffeted by Legislature, Courts*, NYLJ, July 25, 2008, at 3, col 1), which paved the way for redevelopment and reuse of their property.

II.

Lighthouse plans to redevelop land located along the Genesee River in Monroe County “into a vibrant, pedestrian-friendly and attractive \$250 million mixed-use waterfront development, including condominiums, townhouses, a marina, restaurants,

retail stores and a hotel.”⁴ Most of the land, situated within a 100-year flood zone, encompasses what was historically a marsh area and is largely vacant. The occupied portions are used primarily for boat storage and parking. Lighthouse divided the land into two development parcels (collectively referred to as the properties): the 22-acre Riverfront Site, bordering the east side of the Genesee River in the Town of Irondequoit and the City of Rochester, close to the confluence of the Genesee River and Lake Ontario; and the 25.4-acre Inland Site, near the east side of the Genesee River.

Most of the Inland Site is located within the footprint of a city landfill that operated from the 1930s until at least 1960 and possibly into the 1970s. The landfill served as a depository for residential refuse, ash, slag, construction debris, and sewage sludge from a now demolished wastewater treatment plant operated on a portion of the Inland Site for approximately 60 years. In 1980, DEC listed the landfill in the Registry. DEC delisted the landfill in 1994; however, in 1998, DEC included it in a database of hazardous *substance* waste disposal sites that did not qualify for the Registry simply because hazardous waste, as that term of art was then defined by statute and regulation, was not discarded there.⁵

The Riverfront Site contains industrial waste, construction debris, sewage sludge, and residential refuse as fill material. A marina currently operates on a portion of it. In the early 2000s, the New York State Department of Transportation (DOT) replaced the Stutson Street Bridge across the Genesee River, which is accessed from the Riverfront Site. DOT also built a new road, which runs through the location of the former landfill on the Inland Site. DOT’s project involved substantial excavation, and DEC permitted DOT to redeposit excavated material (an estimated 3,400 tons) within the Riverfront Site, properly covered. Testing of the excavated material for lead revealed that 6 of 93 soil samples failed the Toxicity Characteristic Leaching Procedure test, which is used to determine whether a solid waste is a hazardous waste because it exhibits the toxicity characteristic (*see* 6 NYCRR 371.3 [e]).

4. Lighthouse has entered into contingent agreements or options to purchase the land, except for those portions owned by the Town of Irondequoit and the City of Rochester.

5. Until enactment of the BCP in 2003, the definition of hazardous waste in ECL 27-1301 (1), applicable in the State’s Superfund Program, was limited to listed or characteristic hazardous waste, and so did not encompass DEC’s list of hazardous substances promulgated under article 37 of the ECL.

In 2006, Lighthouse filed two requests for acceptance into the BCP, one for the Riverfront Site and the other for the Inland Site. Those requests were supported by a remedial investigation report prepared by Lighthouse's environmental consultant. For both sites, Lighthouse summarized the consultant's report as follows:

“Exceedances of the draft BCP restricted use residential SCOs were observed across the Site[s] in waste material and soil. Exceedances of NYS Ambient Water Quality Standards and guidance values were observed at all monitoring wells for metals. Additional well development and sampling was recommended. Soil vapor levels are elevated for VOCs [volatile organic compounds] and methane in areas of waste disposal. These levels will need to be addressed prior to residential development.”

The consultant recommended various remedial measures, including site preparation by trained workers; vapor barriers and soil gas venting to prevent exposure to methane and other soil vapors; pavement and landscaping to address direct contact exposures; deed restrictions on groundwater use and soil/fill management; operation, maintenance and monitoring of the soil vapor collection system; preloading where filling occurred so as to reduce differential settlement; and foundation design to ensure future structural stability for all proposed structures. The cost to remedy the properties was estimated to range from \$4 million to \$8 million. By contrast, the total assessed value of the Riverfront Site was \$1.3 million, and the total assessed value of the Inland Site was \$1.2 million.

In June 2007—after Lighthouse submitted a letter demanding that DEC issue its long overdue decision—DEC denied the requests on the general ground that the properties were not brownfield sites within the meaning of ECL 27-1405 (2). DEC explained its decision as follows:

“The Department reviewed the data and materials submitted with the applications . . . While there are some exceedances of the restricted residential [SCOs] contained in 6 NYCRR Subpart 375-6, for the most part, sampling results indicate levels that are well within [them]. There is no indication that contaminants as defined in ECL 27-1405.7 and 6 NYCRR Part 375-1.2 (g) (*i.e.* hazardous waste or

petroleum) are present at levels that would complicate the redevelopment or reuse of this property, nor is there any indication that there is a source of such contaminants. Rather, it is likely that any exceedances of SCO's or other standards are attributable to solid waste disposal. Pursuant to 6 NYCRR 37[5]-3.3 (a) (3) (ii), the Department does not consider material other than contaminants as defined under ECL Article 27, Title 14 in making a determination as to eligibility for the BCP.

“The Department recognizes that large portions of this property were formerly used as solid waste landfills, and that redevelopment of these properties is complicated by such prior use, given that methane gas is present and that odors, leachate seeps and soil stability present engineering concerns. However, these complicating factors are typical of solid waste landfills rather than specific sources of hazardous waste or petroleum contamination. For purposes of the BCP applications, there is no reasonable basis to believe that contamination or the potential presence of contamination, as defined in ECL Article 27, Title 14 and the regulations promulgated thereunder, is complicating the redevelopment or reuse of the property.”

On July 26, 2007, Lighthouse brought this lawsuit against DEC, its Commissioner, and the Director of the Division of Environmental Remediation, asking Supreme Court to annul DEC's determination and order the agency to grant its requests for acceptance into the BCP. The Town of Irondequoit and the City of Rochester, both named as necessary parties, supported Lighthouse, as did Monroe County, which appeared *amicus curiae*.

First, Lighthouse emphasized the expansive statutory definition of the term “brownfield site” (i.e., “*any* real property, the redevelopment or reuse of which *may be complicated* by the *presence or potential presence* of a contaminant” [emphases added]). With respect to the contaminants at the Riverfront Site, Lighthouse pointed out that its consultant's report “show[ed] exceedances of the restricted use residential SCOs . . . for numerous hazardous wastes, including benzo(a)anthracene, benzo(a)pyrene, benzo(b)fluoranthene, lead and mercury.” Further, “[l]ead contamination on the Riverfront Site [was] as high

as seven times the SCO standard”; and “[e]xceedances of ambient water quality standards, guidance values and background levels were observed at all groundwater monitoring wells,” and included elevated levels of 18 metals. As for the Inland Site, testing revealed exceedances of the restricted use residential SCOs for numerous hazardous wastes, as well as exceedances of ambient water quality standards, guidance values and background levels at all groundwater monitoring wells. Moreover, soil vapor probes confirmed the presence of volatile organic compounds in excess of the United States Environmental Protection Agency’s generic screening criteria for health risks for numerous hazardous substances, as well as high concentrations of explosive methane.

Second, Lighthouse stressed that contamination had stymied redevelopment of the properties. When the present owner of the largest portion of the Inland Site sought to develop the area of the former city landfill, DEC and the Monroe County Department of Public Health (MCDPH) objected. And in 2005, the MCDPH took the position that the Inland Site should never have been delisted by DEC, and that while “it may be possible to develop the site in a way that will be protective of human health . . . the only acceptable way to accomplish this is for the developer [i.e., Lighthouse] to participate in [DEC’s] Brownfield Cleanup Program.”

On December 4, 2007, DEC answered, and asked Supreme Court to dismiss Lighthouse’s petition. DEC relied principally on the affidavit of the staff environmental engineer who recommended denying Lighthouse’s requests for acceptance into the BCP. He opined that the “exceedances of soil and groundwater cleanup standards” at the properties were “limited in number compared with the large amount of data available”; and that “[t]he exceedances revealed by both historical and current sampling data were few in number, limited in magnitude, and widely dispersed.” As a result, “[t]aken as a whole, the data [did] not indicate the presence of contamination at the [Riverfront and Inland Sites] in quantities or concentrations sufficient to require remediation.”

Regarding exceedances of groundwater standards for metals, the DEC engineer surmised that turbidity in the samples might have compromised the data’s reliability. Similarly, “[s]ince turbidity levels of all groundwater samples [were] high, there is a potential that the [semi-volatile organic compounds] detected were from sediments in the groundwater sample, and may not

be representative of groundwater quality.” He took the position that the levels of polyaromatic hydrocarbons in soil and waste samples did “not indicate soil contamination that would require remediation . . . [but instead] reflect[] the level[s] . . . that are generally found in urban areas near asphalt pavement and railroads, as products of automobile exhaust, and as incomplete combustion products from coal”; and that the highly contaminated lead sample was an outlier. Finally, he added, the “highest values [of volatile organic compounds] in soil vapor were encountered . . . where there are no current structures. Whether indoor air in a structure later constructed in that area would pose a potential health risk cannot be determined from these exceedances.”

The DEC engineer reasoned that “[b]y far the major factor impeding development of the property is its former use as a municipal solid waste landfill which was sited in a former wetland.” For example, “[p]utrescible wastes in a typical municipal landfill have poor load bearing characteristics and settle at differential rates because of decaying refuse.” He summed up by explaining that he had recommended denial of Lighthouse’s requests for acceptance into the BCP because, based on his analysis of the data,

“the quantities and concentrations of contaminants in soil, groundwater and soil vapor did not indicate the need for remedial action; . . .

“redevelopment of the property is not complicated by the presence of contaminants; and

“what complicates redevelopment of the property is its status as a former solid waste landfill, which is not a qualification for eligibility for the BCP.”

In reply, Lighthouse submitted several affidavits to dispute DEC’s verdict that the presence of contaminants at the properties did not call for remedial action, or complicate redevelopment. For example, its consultant’s engineer claimed that DEC’s engineer’s conclusion that the sampling data indicated minimal contamination, not requiring cleanup, was “completely inconsistent with how [DEC] normally addresses sites with similar contamination,” and gave illustrations.

A veteran real estate attorney and Lighthouse partner acknowledged that extra costs would be incurred “due to unstable ground . . . [because of] the presence of solid waste in the

Landfill, and because the entire port area is a historic marsh area . . . filled over the last two centuries”; and that Lighthouse understood that it would “be necessary to vent off methane gas generated by degeneration of waste in the Landfill.” He maintained, however, that there was “no question that the Project is feasible, would get financed, and could proceed if these were the only issues”; and that what prevented Lighthouse from going forward was the presence of hazardous wastes at the Riverfront and Inland Sites. He noted that “[n]o one will finance [Lighthouse’s project]” absent “[DEC’s] approval of the investigation and remediation of hazardous wastes at the [properties], and a release of liability” because “[o]therwise the risks are too great for lenders, particularly due to the relative low value of property in Upstate New York compared to the rest of the country”; and that “the [MCDPH] continues to insist that [Lighthouse] undertake remediation, but there is no one to sanction it” since DEC “has disavowed jurisdiction” under the BCP.

The owner of the largest portion of the Inland Site recounted his unsuccessful attempt to develop a residential project on his property, which failed primarily because “government regulators, particularly the [MCDPH], which had to approve any subdivision . . . , believed that hazardous substances were present in the landfill, and this presented an unacceptable risk to residents who would purchase houses.” Further, “financing institutions were unwilling to take the risk of placing a mortgage . . . because of the threat that residents would be exposed to toxic chemicals that could cause cancer.”

And finally, the chief executive officer of a national brownfield redevelopment firm, which had secured a \$23 million conditional loan commitment from a California-based financier of brownfield redevelopments to pay for remedial measures and site preparation at the properties, averred that “the paramount issue affecting the Project is the threat of uninsurable, open-ended environmental liability associated with the [properties]”; and that unless DEC “review[ed] and approve[d] the environmental investigations and remedial measures and grant[ed] an appropriate limitation of liability . . . neither brownfield redevelopers such as [his firm] nor brownfield financiers . . . [would] be willing to take on the multitude of other risks inherent in the Project.”

On December 20, 2007, Supreme Court granted the petition and ordered DEC to accept the properties into the BCP,

discerning “no rational basis to conclude that the levels of contamination . . . were ‘minimal.’ ” The court rejected DEC’s argument that “SCO’s should have no bearing whatsoever in determining whether a site is initially admitted into the BCP, yet these same standards should be the ultimate factor in determining whether an applicant receives a liability release after completion” of cleanup. In Supreme Court’s view, the phrases “*may* complicate” and “*potential* presence” signified that the Legislature “intended a low threshold for admission into the BCP.” Further, an investor’s reluctance to invest absent DEC approval “would have to be seen as a possible complication to development,” despite the Department’s insistence to the contrary.

DEC appealed. On February 6, 2009, the Appellate Division, with one Justice dissenting, reversed Supreme Court’s judgment, on the law, and dismissed the petition. The majority concluded that “DEC’s well-reasoned analysis of the BCP applications of [Lighthouse], coupled with the mandate that we must not substitute our judgment for that of the DEC, compels the conclusion that the court erred in granting the petition and directing the DEC to accept petitioner into the BCP” (*Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Env’tl. Conservation*, 61 AD3d 88, 94 [4th Dept 2009]). The dissenting Justice characterized DEC’s interpretation of the term “brownfield site” as “unreasonably narrow,” given the broad statutory language and the Legislature’s declaration of policy and findings of fact, both of which signaled an “intent to encompass a vast range of parcels that may be polluted” (*id.* at 96, 97). The Appellate Division subsequently granted Lighthouse’s request for permission to appeal to us (61 AD3d 1438 [4th Dept 2009]), and we now reverse.

III.

Because the BCP is meant to restore contaminated real property to productive use, DEC argues that the phrase “may be complicated” in the statutory definition of the term “brownfield site” is reasonably interpreted to mean that the property’s redevelopment or reuse may be complicated by the need for a cleanup, an environmental decision of which it is the sole arbiter; and here,

“[f]rom a perspective that only an expert can have,

DEC found the exceedances on [Lighthouse's] property to be relatively small in number and minimal in magnitude. Without the benefit of the agency's expertise or perspective borne of experience, the courts lack any basis to substitute their own judgment for that of DEC."

Further, DEC contends, once it determined that no cleanup was warranted, redevelopment or reuse of the properties was, by force of this circumstance alone, not "complicated" within the meaning of the statutory definition.

Courts "regularly defer to the governmental agency charged with the responsibility for administration of [a] statute" in those cases where interpretation or application "involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom," and the agency's interpretation "is not irrational or unreasonable" (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). But where

"the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight. And, of course, if the regulation runs counter to the clear wording of a statutory provision, it should not be accorded any weight" (*id.*).

The meaning of the term "brownfield site" presents precisely such a "question . . . of pure statutory reading."

There are two constituents to the definition: the presence or potential presence of a contaminant on the real property; and this presence or potential presence must complicate the property's redevelopment or reuse. The term "contaminant" is defined in the statute (*see* ECL 27-1405 [7-a]). The word "present" is not, but in common English usage means "being in one place and not elsewhere: being within reach, sight, or call or within contemplated limits: being in view or at hand: being before, beside, with, or in the same place as someone or something" (Webster's Third New International Dictionary, Unabridged [Merriam-Webster 2002] [<http://unabridged.merriam-webster.com>] (Feb. 7, 2010))). Thus, a contaminant is present or potentially present on real property when it does or may exist or be found within the property's limits;

the statutory definition does not, on its face, mandate the presence of any particular level or degree of contamination. Finally, the word “complicate,” also undefined in the statute, in common English usage means “to make complex, involved, or difficult” (Webster’s Third New International Dictionary, Unabridged [Merriam-Webster, 2002] [<http://unabridged.merriam-webster.com> (Jan. 31, 2010)]). Accordingly, real property qualifies as a “brownfield site” for purposes of acceptance into the BCP so long as the presence or potential presence of a contaminant within its boundaries makes redevelopment or reuse more complex, involved, or difficult in some way.

This low eligibility threshold is consistent with the statute’s legislative history. The BCP legislation essentially addresses the unforeseen consequences of the government’s great success in imposing strict, joint and several liability for costly environmental cleanups on property owners; namely, this caused even marginally polluted property to become virtually unmarketable because of the chance that a cleanup of unknown dimension and expense might someday be required. Since there was great uncertainty about what remedial measures might satisfy environmental regulators, any property owner that unilaterally cleaned up contamination ran the risk that the government might, at a later time, consider the remedy implemented, perhaps at significant cost, to be inadequate. Under these circumstances, lenders were reluctant to finance development on property historically used for industrial or commercial purposes, which was or might be contaminated—as all such property was bound to be to some degree—because the value of their collateral might be threatened. As a result, former industrial and commercial properties languished, while development spread to unspoiled land.

With the BCP, the Legislature sought to alleviate these environmental and economic problems by providing a means for owners to gain DEC’s approval when they cleaned up their property, and to encourage them to do so by offering a release from liability and financial incentives. Notably, the BCP replaced and was intended to improve upon the success of the VCP, which was apparently a program of self-nominated participants. This, too, is consistent with our conclusion that the Legislature intended the definition of the term “brownfield site” to be interpreted as broadly as its words suggest.

In this case, the properties are concededly contaminated with multiple contaminants, often exceeding generally accepted cleanliness levels (the SCOs), and other environmental standards or criteria. And the Inland Site has for years been included in the DEC's database of hazardous substance waste disposal sites. Further, Lighthouse has produced undisputed evidence demonstrating that the presence of contaminants at the properties has complicated redevelopment or reuse in several ways. First, the contamination at the Inland Site prevented the owner of the largest portion of it from developing a residential project; the MCDPH remains unwilling to sign off on any development at the Inland Site unless Lighthouse undertakes DEC-sanctioned remedial measures; and financing for redevelopment of the properties is contingent upon DEC's approval of Lighthouse's proposed investigatory and remedial measures and a release of liability.

We are mindful that DEC assures Lighthouse that the overall profile of contamination on the properties does not call for remedial action. But this does not relieve Lighthouse's plight. The properties are contaminated. Without a release of liability, neither Lighthouse nor its prospective lender can be confident that regulatory views about the necessity for or the adequacy of any self-directed cleanup will not change sometime down the line. Although we might reach a different conclusion about whether redevelopment or reuse has been complicated by the presence of contaminants if DEC backed up its representations to Lighthouse with a release of liability, this is apparently impossible absent Lighthouse's completion of a cleanup under DEC's auspices in the BCP.

Finally, we do not remit this matter to the Department for further consideration in light of our decision, the alternative relief requested by DEC. The record in this case was sufficiently developed for Supreme Court to conclude, as it did, that, as a matter of law, Lighthouse was eligible for acceptance into the BCP (see *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 10 NY3d 846 [2008]; see also *Matter of East Riv. Realty Co., LLC v New York State Dept. of Envtl. Conservation*, 68 AD3d 564 [2009]; *Matter of Destiny USA Dev., LLC v New York State Dept. of Envtl. Conservation*, 63 AD3d 1568 [2009]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated. The certified question should not be answered on the ground that it is unnecessary.

LIGHTHOUSE POINTE v NYS DEPT [14 NY3d 161] 179

Opinion by READ, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH,
PIGOTT and JONES concur.

Order reversed, etc.

[925 NE2d 868, 899 NYS2d 66]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARK OCHOA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL FIGUEROA, Appellant.

Argued January 13, 2010; decided February 16, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 18, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Dominic R. Massaro, J.; see 10 Misc 3d 1060[A], 2005 NY Slip Op 52055[U]), which had convicted defendant, upon a jury verdict, of robbery in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 21, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Dominic R. Massaro, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree (two counts) and criminal possession of a weapon in the fourth degree.

People v Ochoa, 57 AD3d 342, affirmed.

People v Figueroa, 48 AD3d 324, affirmed.

HEADNOTES

Crimes — Witnesses — Prior Consistent Statement

1. In the prosecution of defendants on robbery and related charges, the prosecutor's redirect examination of the victim after defense counsel impeached the victim with false statements he had made in his two appearances before the grand jury did not constitute improper bolstering. The victim, whose trial testimony against defendants was not a model of consistency, did not want the police to know that he had been smoking crack cocaine with defendants and the other prosecution witness in the witness's apartment on the night of the incident. On cross-examination by defense counsel, the victim conceded that he testified before the grand jury that the robbery occurred as he and the other witness walked into the building, that a bat was used during the incident, and that he had never associated with defendants prior to the incident—all of which was untrue. In an attempt to explain the inconsistency between his trial testimony and grand jury testimony, the victim testified that he was "confused" by certain of the questions asked of him before the grand jury. On redirect examination, the prosecutor was properly permitted to ask

the victim whether, at the time of his grand jury testimony, he was “confused” about what item he possessed on the day of the incident, whom he visited that day, how he was injured and who injured him. Those questions on redirect were addressed to matters raised by defense counsel on cross-examination, and did no more than to explain, clarify and fully elicit a question only partially examined by the defense.

Crimes — Witnesses — Prior Consistent Statement

2. In the prosecution of defendants on robbery and related charges, the prosecutor’s redirect examination of a witness who had been confronted on cross-examination by defense counsel with statements to police that she later admitted were untrue did not constitute improper bolstering. The witness, whose trial testimony against defendants was not a model of consistency, did not want the police to know that she had been smoking crack cocaine in her apartment with defendants and the victim on the night of the incident. Defense counsel elicited testimony from the witness that she lied in her written statement to police when she stated that defendants followed her and the victim into the building and mugged them, that one of the defendants took \$50 from the victim, and that one of the defendants pushed her during the encounter. On redirect examination, the prosecutor elicited from the witness that the name on the statement was hers, and that the pedigree information, the apartment address and where the altercation occurred were correct. The witness also testified that, relative to the statement, the names of the defendants and the victim were correct, but that she lied when she stated that \$50 had been taken, when she said that she and the victim were attacked upon entering the building, and when she told police that one of the defendants pushed her. The prosecutor was properly permitted to ask the witness to clarify which parts of her statement she claimed were true, and which were not true, in order to fill in the gaps that defense counsel left during cross-examination after implying that the witness’s entire statement to police was a lie.

Crimes — Right to be Present at Trial — Ex Parte Discussion between Trial Court and Jury Foreperson

3. The trial judge, having received a personal note from the jury foreperson at defendants’ criminal trial that stated, “Your Honor, I do not feel comfortable reading this verdict,” acted within his discretion by seeking clarification of the note’s meaning before notifying defense counsel. When a deliberating jury requests further instruction or information “with respect to the law, with respect to the content or substance of any trial evidence, or with respect to any other matter pertinent to the jury’s consideration of the case,” CPL 310.30 requires the trial court to return the jury to the courtroom and, after notifying the prosecution and defense counsel, give the requested information or instruction in defendant’s presence. Here, the foreperson’s personal note was ambiguous and, given its language, could have been substantive. As such, it might have been more prudent for the judge to follow the procedures specified in *People v O’Rama* (78 NY2d 270 [1991]) before responding to it. Nonetheless, the substance of the note related only to the foreperson’s concern about the manner in which that verdict was to be delivered, and was nothing more than an inquiry of a ministerial nature, unrelated to the substance of the verdict. The trial judge was not required to notify defense counsel or provide them with an opportunity to respond, as neither defense counsel nor defendant could have provided a meaningful contribution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1335, 1340, 1341, 1521; AM JUR 2d, Witnesses §§ 738–741, 897, 907, 910.
CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:134–195:136, 195:173–195:177; CARMODY-WAIT 2d, Jury Conduct and Deliberation §§ 201:17, 201:19, 201:20.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.9.
MCKINNEY'S, CPL 310.30.
NY JUR 2d, Criminal Law: Procedure §§ 2327, 2374–2378, 2822–2825.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Impeachment of Witnesses; Jury Trials.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: re-direct /2 examination /p prior /2 inconsistent & prosecut! /s bolster!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Carol A. Zeldin and Robert S. Dean of counsel), for appellant in the first above-entitled action. I. Appellant was denied due process and a fair trial through the erroneous admission of numerous prior consistent statements of key prosecution witnesses, which improperly bolstered the People's case and concomitantly undermined the defense. (*People v McDaniel*, 81 NY2d 10; *People v McClean*, 69 NY2d 426; *People v Seit*, 86 NY2d 92; *People v Davis*, 44 NY2d 269; *People v Melendez*, 55 NY2d 445; *People v Ciaccio*, 47 NY2d 431; *People v Nicholson*, 168 AD2d 574; *People v Huertas*, 75 NY2d 487; *People v Crimmins*, 36 NY2d 230; *People v Brown*, 98 NY2d 226.) II. The trial court committed reversible error by conducting an ex parte conference with a deliberating juror, in response to the juror's note, in the absence of appellant and his counsel and without providing prior notice of the note to counsel. (*People v Kisoan*, 8 NY3d 129; *People v O'Rama*, 78 NY2d 270; *Rogers v United States*, 422 US 35; *United States v Ronder*, 639 F2d 931; *People v Kadarko*, 56 AD3d 102; *People v Starling*, 85 NY2d 509; *People v Cain*, 76 NY2d 119; *People v Mehmedi*, 69 NY2d 759; *Snyder v Massachusetts*, 291 US 97; *French v Jones*, 332 F3d 430.)

Office of the Appellate Defender, New York City (Rosemary Herbert and Richard M. Greenberg of counsel), for appellant in the second above-entitled action. I. Michael Figueroa's statutory and constitutional rights to presence and the assistance of counsel were violated when the trial court responded to the jury foreman's note expressing discomfort reading "this verdict" in the absence of, and without prior notice to, Mr. Figueroa and his attorney. (*People v O'Rama*, 78 NY2d 270; *People v Ciaccio*, 47 NY2d 431; *Snyder v Massachusetts*, 291 US 97; *People v Mehmedi*, 69 NY2d 759; *United States v Gagnon*, 470 US 522; *United States v Jones*, 381 F3d 114; *People v Mullen*, 44 NY2d 1; *Dallio v Spitzer*, 343 F3d 553; *People v Ramos*, 99 NY2d 27; *French v Jones*, 332 F3d 430.) II. Michael Figueroa was denied due process and a fair trial as a result of the trial court's erroneous admission of numerous prior consistent statements of the prosecution's key witnesses. (*People v Crimmins*, 36 NY2d 230.)

Robert T. Johnson, District Attorney, Bronx (Jason S. Whitehead, Joseph N. Ferdenzi and Karen Swiger of counsel), for respondent in the first and second above-entitled actions. I. Defendants were not deprived of their rights to be present and to the assistance of counsel when the trial court communicated with the jury foreperson in their and their counsel's absence because the court's action was ministerial. (*People v Harris*, 76 NY2d 810; *People v Tarsia*, 50 NY2d 1; *People v O'Rama*, 78 NY2d 270; *People v Patterson*, 39 NY2d 288; *People v Agramonte*, 87 NY2d 765; *People v Bonaparte*, 78 NY2d 26; *People v Ciaccio*, 47 NY2d 431; *People v Hameed*, 88 NY2d 232; *People v Starling*, 85 NY2d 509; *People v Velasquez*, 1 NY3d 44.) II. Defendants' claim that the prosecution improperly elicited prior consistent statements is unpreserved as to Michael Figueroa and altogether meritless. (*People v Romero*, 7 NY3d 911; *People v Tevaha*, 84 NY2d 879; *People v West*, 56 NY2d 662; *People v Love*, 57 NY2d 1023; *People v Buckley*, 75 NY2d 843; *People v Gray*, 86 NY2d 10; *People v Voliton*, 83 NY2d 192; *People v Iannelli*, 69 NY2d 684; *People v McClean*, 69 NY2d 426; *People v McDaniel*, 81 NY2d 10.)

OPINION OF THE COURT

FIGOTT, J.

Following a joint trial, defendant Mark Ochoa was found guilty of one count of robbery in the second degree, and defendant Michael Figueroa was convicted of two counts of robbery in

the second degree and one count of criminal possession of a weapon arising from events that occurred in January of 2003.

Fernando Cruz had taken his video game console to Madeline Ruballo's sixth-floor apartment, meeting up with defendants. According to later testimony, the four of them spent the night smoking crack cocaine. At some point, Cruz decided to take his console and leave. As Cruz approached the door, Figueroa pulled out a box cutter, reached for the console, and demanded that Cruz give it to him. Cruz and Figueroa began struggling and ended up on the sixth-floor landing. Ochoa then allegedly pulled Cruz's jacket over his head, causing his wallet to fall to the floor. Figueroa took the console and fled, with Ochoa following. Cruz claimed over \$200 was taken from his wallet as well.

Following their arrest, defendants were charged, on an "acting in concert" theory, with the crimes of robbery in the first degree, robbery in the second degree (two counts), robbery in the third degree (two counts), criminal possession of a weapon in the fourth degree, and criminal possession of stolen property in the fifth degree.

Cruz and Ruballo testified at trial, and were subjected to vigorous cross-examination by defense counsel, who were able to elicit several inconsistencies in their testimony. Defense counsel impeached Cruz with false statements he had made in his two appearances before the grand jury, and confronted Ruballo with statements to police that she later admitted were untrue. The prosecutor's redirect examination of those witnesses forms the basis of one of the issues raised on this appeal.

The other issue involves the trial judge's handling of a note he received from the foreperson an hour after the jury had reached its verdict.

Prior to the judge's receipt of that note, the jury had sent three other notes either asking for further instruction or advising the court that it was deadlocked. In each of those instances, the court ensured that defendants and counsel were present, read the note aloud, and then addressed its substance before the jury. The day of the verdict, the court received two more notes. The first, which was written at 1:25 P.M., stated, "Have reached a verdict." The second, a personal note from the foreperson, was written at 2:20 P.M. and stated, "Your Honor, I do not feel comfortable reading this verdict."

The judge met with the foreperson without informing defense counsel beforehand. However, immediately afterward, in open court, the judge explained:

“The Court has received two notes, one, they reached a verdict, which you know. You . . . gentlemen saw one personal note from the foreperson that he doesn’t feel comfortable reading the verdict. For the record, the Court asked the foreperson to come down, he sat right here and the foreperson was inquired into why he didn’t feel comfortable. He said, well, he didn’t want to go through and have to say what the verdict was, never telling me [the court] the verdict. I told him the way it works. The clerk asks him and says, Have you reached a verdict. Yes. As to the first count on Mr. Figueroa, guilty or not guilty. As to the first count on Mr. Ochoa, and I explained to him how it goes and all he has to do is answer guilty or not guilty. And then he seemed relieved and he said, ‘Oh, okay, fine.’ ”

After being shown the foreperson’s note, neither defense counsel voiced an objection to the manner in which the court addressed the juror’s concern. Following the verdict, defense counsel requested that the jury be polled, and the foreperson stated that the verdict as to each defendant was his verdict. On appeal, both convictions were affirmed.

In *Ochoa* the Appellate Division rejected defendant’s argument that the prosecutor’s redirect examinations of Cruz and Ruballo constituted improper bolstering and further concluded, as to the foreperson’s note, that counsel’s failure to object or seek other relief from the court relative to the ex parte communication with the foreperson constituted a waiver of that argument (*see People v Ochoa*, 57 AD3d 342, 343-344 [1st Dept 2008]). One justice dissented and subsequently granted defendant leave to appeal to this Court.

In *Figueroa*, the Appellate Division addressed the juror note issue and held, as to the court’s ex parte communication with the foreperson, that its action was ministerial and therefore neither defendant nor defense counsel had a right to be present, and, in any event, counsel “was required to request a further inquiry of the foreperson or otherwise preserve a claim of error” (*People v Figueroa*, 48 AD3d 324, 325-326 [1st Dept 2008]). A Judge of this Court granted leave (12 NY3d 816 [2009]). We now affirm in both appeals.

Improper Bolstering Claim

The trial testimony of the two individuals who were present at the time of the crimes, and who testified against defendants,

was not a model of consistency. Neither Cruz nor Ruballo wanted the police to know that they had been smoking crack cocaine with defendants the night of the incident. On cross-examination by defense counsel, Cruz conceded that he testified before the grand jury that the robbery occurred as he and Ruballo walked into the building, that a bat was used during the incident, and that he had never associated with defendants prior to the incident—all of which was untrue. In an attempt to explain the inconsistency between his trial testimony and grand jury testimony, Cruz testified that he was “confused” by certain of the questions asked of him before the grand jury.

On redirect examination, the prosecutor sought to question Cruz about what he was “confused” about during his grand jury testimony. Counsel for Ochoa objected, stating that the prosecutor could not rehabilitate Cruz with a prior consistent statement. The trial court overruled the objection, and allowed the prosecutor to ask Cruz whether, at the time of his grand jury testimony, he was “confused” about what item he possessed on the day of the incident, whom he visited that day, how he was injured and who injured him.

[1] We conclude that these questions on redirect were addressed to matters raised by defense counsel on cross-examination, and “did no more than to explain, clarify and fully elicit a question only partially examined by the defense” (*People v Regina*, 19 NY2d 65, 78 [1966]; see Prince, Richardson on Evidence § 6-501 [Farrell 11th ed]).

[2] The prosecutor’s redirect examination of Ruballo was also proper. Defense counsel elicited testimony from Ruballo that she lied in her written statement to police when she stated that defendants followed her and Cruz into the building and mugged them, that one of the perpetrators took \$50 from Cruz, and that Figueroa pushed her during the encounter.

On redirect, the prosecutor sought to clarify what was correct and incorrect about the statements. Ochoa’s counsel objected that a prior consistent statement could not be elicited except upon a claim of recent fabrication. Over defense counsel’s objection, the prosecutor elicited from Ruballo that the name on the statement was hers, and that the pedigree information, the apartment address and where the altercation occurred were correct. She also testified that, relative to the statement, the names of the perpetrators and the victim were correct, but that she lied when she stated that \$50 had been taken, when she said

that she and Cruz were attacked upon entering the building, and when she told police that Figueroa pushed her.

The prosecutor's redirect examination did not constitute impermissible bolstering, as she was seeking merely to fill in the gaps that defense counsel left during cross-examination, after defense counsel implied that Ruballo's entire statement to police was a lie. "Where only a part of a statement is drawn out on cross-examination, the other parts may be introduced on redirect examination for the purpose of explaining or clarifying that statement" (*People v Torre*, 42 NY2d 1036, 1037 [1977], citing *Regina*, 19 NY2d at 70). Therefore, the trial court did not abuse its discretion in allowing the prosecutor to ask Ruballo to clarify which parts of her statement she claimed were true, and which were not true.

Juror's Note

Defendants contend that the trial court's failure to apprise defense counsel of the contents of the note prior to speaking with the foreperson, allow counsel an opportunity to be heard as to how to respond to the note, and permit defendants to be present during the court's communication with the foreperson violated CPL 260.20 and 310.30. The former provision requires, with certain exceptions, that "[a] defendant must be personally present during the trial of an indictment." The latter provision provides:

"At any time during its deliberation, the jury may request the court for further instruction or information with respect to the law, with respect to the content or substance of any trial evidence, or with respect to any other matter pertinent to the jury's consideration of the case. Upon such a request, the court must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, and in the presence of the defendant, must give such requested information or instruction as the court deems proper."

The purpose of the "notice" requirement is twofold. First, it ensures counsel's presence when the court responds to the jury's request for instructions or other information and, second, it "ensure[s] that counsel has the opportunity to be heard *before* the response is given" (see *O'Rama*, 78 NY2d at 277 [citations omitted]). Generally, a trial court's failure to disclose the contents of a juror note, which effectively prevents defense

counsel from meaningful participation in the proceedings, constitutes “a significant departure from the organization of the court or the mode of proceedings prescribed by law” (*id.* at 279 [citations and internal quotation marks omitted]).

[3] The foreperson’s personal note was ambiguous and, given its language, could have been substantive. As such, it may have been more prudent for the judge to follow the procedures specified in *O’Rama* before responding to it. Nonetheless, we conclude that the judge acted within his discretion by seeking clarification of the note’s meaning before notifying defense counsel (*see People v Lykes*, 81 NY2d 767, 770 [1993]). The substance of the note related only to the foreperson’s concern about the manner in which that verdict was to be delivered, and thus was nothing more than an inquiry of a ministerial nature (*see generally People v Hameed*, 88 NY2d 232, 240-241 [1996]; *People v Collins*, 99 NY2d 14, 17-18 [2002]), unrelated to the substance of the verdict (*see People v Harris*, 76 NY2d 810, 812 [1990]). As a result, the judge was not required to notify defense counsel nor provide them with an opportunity to respond, as neither defense counsel nor defendant could have provided a meaningful contribution.

Accordingly, the orders of the Appellate Division relative to both appeals should be affirmed.

JONES, J. (dissenting). Because I believe that the trial court committed reversible error with respect to the two issues before this Court, I respectfully dissent. I will first address the improper bolstering issue.

The majority, in describing the testimony of Cruz and Ruballo, states that it was “not a model of consistency” (majority op at 186). That is an understatement. The witnesses’ testimony before the grand jury and at the suppression hearing, statements given to the investigating police officers, and prior written statements were riddled with inconsistencies. As a result, both witnesses were impeached when cross-examined by defense counsel, thereby casting doubt on whether a robbery actually occurred.

Over the objection of the defense, the prosecutor was permitted to introduce the witnesses’ prior consistent statements under the guise of rehabilitation. The prosecutor, in the redirect examination of Cruz, questioned him about his prior statements which conformed to his trial testimony, asking him whether those statements were correct. Even more egregious, the

prosecutor was permitted to go through Ruballo's prior written statement given to the police "to clarify what's incorrect and what is correct." As pointed out in the Appellate Division dissent (*People v Ochoa*, 57 AD3d 342, 347 [1st Dept 2008]), by characterizing some allegations as false, the prosecutor implied that the remaining statements were true.

It is well settled that a witness who has been impeached cannot be rehabilitated by use of a prior consistent statement, unless the opposing party suggests that the witness's account is a recent fabrication (see *People v McDaniel*, 81 NY2d 10 [1993]; *People v McClean*, 69 NY2d 426 [1987]; *People v Davis*, 44 NY2d 269 [1978]). In such a case, a consistent statement made before the motive to fabricate arose may be admissible (see *McDaniel*, 81 NY2d at 16; *McClean*, 69 NY2d at 428; *Davis*, 44 NY2d at 277-278). As stated by one commentator, "[e]ven when the witness' credibility is attacked by proof of inconsistent statements, the witness' credibility may not be supported by proof of consistent statements. . . . The inconsistency is not removed by the fact that the witness has also made consistent statements, and consequently the consistent statements may not be shown" (Prince, Richardson on Evidence § 6-503 [Farrell 11th ed]).

In rejecting defendants' claims that the trial court permitted improper bolstering of the testimony, the majority calls this redirect examination proper rehabilitation. In support of this conclusion, they rely on *People v Regina* (19 NY2d 65, 78 [1966]) and *People v Torre* (42 NY2d 1036, 1037 [1977]), both of which can be distinguished from the instant case. In *Regina*, the prosecution witness was asked one question to clarify an answer given on cross-examination. On cross-examination, a detective was asked whether he made any notes "that night," and he replied "[n]o" (19 NY2d at 77). On redirect by the prosecutor, the detective was asked if he had ever made any notes of the occurrence and he answered that he had done so three days later. In *Torre*, the Court held that where only part of a statement is drawn out on cross-examination, the other parts may be introduced on redirect examination so that the statement may be explained or clarified.

In the instant case, the court permitted improper bolstering. This was not a case of clarifying or explaining a statement only partially examined by opposing counsel. This was an attempt to recast the entire testimony of two witnesses who had given many versions of the crime and surrounding events.

The fact that the court permitted such bolstering by the prosecutor severely prejudiced the defendants and cannot be viewed as harmless error in a case in which the evidence was not overwhelming and depended on the credibility of two witnesses who were admitted drug users and in a place Ruballo described as a “crack house.” This error standing alone is a basis for reversal where preserved.

Next I turn to the issue of the juror note. By conducting an ex parte conference with a deliberating juror, in response to the juror’s note, without providing prior notice of the note to counsel, the trial court erred.

CPL 310.30 sets forth the procedure to be followed by the court when a note is received from a deliberating jury. The instruction is very clear and it would have been very simple for the court to have followed the dictates of this statute. The majority excuses the failure to do so by saying that the judge acted within his discretion and that this was “nothing more than an inquiry of a ministerial nature” (majority op at 188, citing *People v Hameed*, 88 NY2d 232 [1996]). *Hameed* was wholly different from the case at bar. It involved a juror’s inquiry about whether he would be permitted to attend church while the jury was sequestered. It is the only case cited by the majority which is clearly a ministerial inquiry. None of the other cases relied upon by the majority are on point. They are cases in which defendant was not present but defense counsel was present or had an opportunity to have input in the jury instruction. In *People v Lykes* (81 NY2d 767 [1993]), the judge sent a note to the jury seeking clarification of its inquiry. Unlike the instant case, both defendant and defense counsel were given an opportunity to participate before any instruction was given to the jury. In *People v Collins* (99 NY2d 14 [2002]), the defendant was not present during the drafting of the verdict sheet but his counsel was present (see also *People v Harris*, 76 NY2d 810 [1990] [where the judge along with the prosecutor and defense counsel went to the door of the jury room and the judge asked whether the request for the readback of testimony was for the victim]).

Whether a jury note is a ministerial or substantive inquiry can vary depending on the circumstances of the particular case. In this case, where the note came one hour after the jury had announced that it had reached a verdict, following three days of deliberation and two notes declaring a deadlock, this court had every reason to believe that the verdict was a problem to at least one juror.

In addition, the action taken by the court cannot be justified by facts which come to light as a result of the inquiry. The court's response must be driven by inferences which can reasonably be drawn before the inquiry is conducted. Under these circumstances it was error to fail to treat the note as a potentially "important, substantive juror inquiry" and thus apply the safeguards mandated by *People v O'Rama* (78 NY2d 270, 279-280 [1991]).

Accordingly, I would reverse the orders of the Appellate Division and remit to Supreme Court for retrial.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge JONES dissents and votes to reverse and order a new trial in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

In each case: Order affirmed.

[925 NE2d 875, 899 NYS2d 73]

DAVID WADLER, Appellant, v CITY OF NEW YORK et al., Respondents.

Argued January 13, 2010; decided February 18, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 18, 2008. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Eileen A. Rakower, J.; op 2008 NY Slip Op 30572[U]), as had denied plaintiff's motion for partial summary judgment on the issue of liability, granted defendants' cross motion for summary judgment and dismissed the complaint.

Wadler v City of New York, 57 AD3d 333, affirmed.

HEADNOTE

Negligence — Injuries to Police Officers — Scope of Firefighter Rule — Negligent Operation of Security Device in Police Parking Lot

The “firefighter rule,” which bars common-law negligence recovery by firefighters and police officers for injuries that result from risks associated with their employment, barred plaintiff police officer from recovering damages for injuries he sustained when his vehicle was struck by a security gate that had been accidentally raised as he drove over it on his way into the police headquarters parking lot. The rule, applicable only in actions against a “police officer’s or firefighter’s employer or co-employee” (General Obligations Law § 11-106 [1]), bars an officer’s or firefighter’s recovery when the performance of his or her duties increased the risk of the injury happening, and did not merely furnish the occasion for the injury. The cause of the injury to plaintiff here—a high-security device protecting the police headquarters parking lot—was plainly a risk associated with the particular dangers inherent in police work. An act taken in furtherance of a specific police function—entry into a protected parking lot, which only plaintiff’s police credentials allowed him to enter—exposed plaintiff to the risk of this injury. Moreover, whether plaintiff was on duty or not at the time of his injury was not dispositive; police officers often face significant risks even when they are not technically at work.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Highways, Streets, and Bridges § 596; AM JUR 2d, Premises Liability §§ 425, 428, 429.

McKINNEY’s, General Obligations Law § 11-106 (1).

NY JUR 2d, Government Tort Liability §§ 126, 137; NY JUR 2d, Negligence § 134.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI
2:218.

ANNOTATION REFERENCE

See ALR Index under Firemen's Rule; Police and Law Enforcement Officers; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: police /5 injur! /p firefighter /2 rule /s bar! preclu!
& parking /2 lot

POINTS OF COUNSEL

Law Offices of Brad A. Kauffman, PLLC, New York City (*Brad A. Kauffman* of counsel), for appellant. I. Plaintiff's claim for common-law negligence is not barred by the firefighter rule. (*Santangelo v State of New York*, 71 NY2d 393; *Zanghi v Niagara Frontier Transp. Commn.*, 85 NY2d 423; *Cooper v City of New York*, 81 NY2d 584; *Melendez v City of New York*, 271 AD2d 416; *Carter v City of New York*, 272 AD2d 498; *Grogan v City of New York*, 259 AD2d 240; *Byrnes v City of New York*, 249 AD2d 352; *Foley v City of New York*, 43 AD3d 702; *Pascarella v City of New York*, 146 AD2d 61; *Petendree v City of Yonkers*, 270 AD2d 403.) II. The lower courts erred in their decisions. (*Lupinsky v Windham Constr. Corp.*, 293 AD2d 317.) III. Plaintiff's motion to renew and reargue should have been granted. (*People v Russo*, 128 Misc 2d 876; *Pro Brokerage v Home Ins. Co.*, 99 AD2d 971; *Matter of Palmer*, 193 Misc 411; *Rodney v New York Pyrotechnic Prods. Co.*, 112 AD2d 410; *Fitzpatrick v Cook*, 58 AD2d 642; *State of New York ex rel. Spence-Chapin Servs. to Families & Children v Teden*, 101 Misc 2d 485; *Turkel v I. M. I. Warp Knits*, 50 AD2d 543; *Sun Yau Ko v Lincoln Sav. Bank*, 99 AD2d 943; *Cook v Schiff*, 28 AD2d 514; *Andre v Pomeroy*, 35 NY2d 361.)

Michael A. Cardozo, Corporation Counsel, New York City (*Norman Corenthal* and *Kristin M. Helmers* of counsel), for respondents. Plaintiff's common-law negligence cause of action was barred by the firefighter rule. (*Santangelo v State of New York*, 71 NY2d 393; *Cooper v City of New York*, 81 NY2d 584; *Pascarella v City of New York*, 146 AD2d 61, 74 NY2d 610; *Zanghi v Niagara Frontier Transp. Commn.*, 85 NY2d 423; *Williams v City of New York*, 2 NY3d 352; *Smullen v City of New York*, 214 AD2d 508, 86 NY2d 705; *Grogan v City of New York*,

259 AD2d 240; *Jackson v City of New York*, 251 AD2d 457; *Hoey v Kuchler*, 208 AD2d 805, 85 NY2d 803; *Buckley v City of New York*, 176 AD2d 207.)

OPINION OF THE COURT

SMITH, J.

We hold that the “firefighter rule,” which bars common-law negligence recovery by firefighters and police officers for injuries that result from risks associated with their employment, requires dismissal of this case, in which a police officer was injured by the negligent operation of a security device.

The parking lot of the New York City Police Headquarters in Manhattan is protected by an unusual kind of gate, apparently designed to thwart car bombs and similar forms of terrorism. The gate is a concrete barrier that can be retracted into the ground to allow entry to the lot. If it is necessary to stop an entering vehicle, the gate can be raised, automatically and quickly, with enough force to lift a car off the ground.

In this case, the gate apparently worked as it was designed to do. The driver of the car in question, however, was not a terrorist, but plaintiff, the commanding officer of the Police Commissioner’s liaison unit, who was arriving at his place of work. Plaintiff showed his credentials to one of the police officers guarding the lot. The barrier was lowered but then, accidentally, raised again while plaintiff was driving over it. The front of the car was lifted some four feet into the air, and plaintiff was injured.

Plaintiff sued the City and the Police Department for negligence. Supreme Court granted summary judgment to defendants (2008 NY Slip Op 30572[U]), relying on the firefighter rule, and the Appellate Division affirmed (57 AD3d 333 [2008]). We granted leave to appeal (12 NY3d 779 [2009]), and now affirm.

In *Zanghi v Niagara Frontier Transp. Commn.* (85 NY2d 423, 436 [1995]) we stated the firefighter rule: “[P]olice and firefighters may not recover in common-law negligence for line-of-duty injuries resulting from risks associated with the particular dangers inherent in that type of employment.” Since 1996, the rule has been applicable only in actions against a “police officer’s or firefighter’s employer or co-employee” (General Obligations Law § 11-106 [1]).

We decided in *Zanghi* that the rule bars an officer’s or firefighter’s recovery “when the performance of his or her duties

increased the risk of the injury happening, and did not merely furnish the occasion for the injury” (85 NY2d at 436). We explained:

“[W]here some act taken in furtherance of a specific police or firefighting function exposed the officer to a heightened risk of sustaining the particular injury, he or she may not recover damages for common-law negligence. By contrast, a common-law negligence claim may proceed where an officer is injured in the line of duty merely because he or she happened to be present in a given location, but was not engaged in any specific duty that increased the risk of receiving that injury. For example, if a police officer who is simply walking on foot patrol is injured by a flower pot that fortuitously falls from an apartment window, the officer can recover damages because nothing in the acts undertaken in the performance of police duties placed him or her at increased risk for that accident to happen. On the other hand, if an officer is injured by a suspect who struggles to avoid an arrest, the rule precludes recovery in tort because the officer is specially trained and compensated to confront such dangers.” (*Id.* at 439-440.)

Zanghi’s distinction between cases in which the plaintiff’s duties “increased the risk” and those in which they “furnish[ed] the occasion for” the injury has not proved easy to apply. Appellate Division and trial court cases on whether injuries resulted from risks “associated with the particular dangers inherent” in police work or firefighting are many, and hard to reconcile (see e.g. *Tighe v City of Yonkers*, 284 AD2d 325 [2d Dept 2001] [officer tripped over plate in street while walking to patrol car; firefighter rule not applied]; *Carter v City of New York*, 272 AD2d 498 [2d Dept 2000] [officer fell because of sidewalk defect while issuing summons; rule applied]; *Simons v City of New York*, 252 AD2d 451 [1st Dept 1998] [officer escorting complainant tripped over depression in roadbed; rule applied]; *Poveromo v Avis Rent-A-Car Sys.*, 242 AD2d 467 [1st Dept 1997] [officer injured in police car that went over a metal bumper; rule applied]; *Olson v City of New York*, 233 AD2d 488 [2d Dept 1996] [firefighter fell in pothole while dismounting from fire truck; rule not applied]; *Siciliano v City of New York*, 16 Misc 3d 1129[A], 2007 NY Slip Op 51630[U] [Sup Ct, Richmond County 2007] [officer fell in pothole while walking to vehicle; rule not

applied]). But however difficult other cases may be, the application of the rule to this case seems straightforward.

The cause of the injury to plaintiff here—a high-security device protecting the police headquarters parking lot—was plainly a risk “associated with the particular dangers inherent” in police work. Ordinary civilians may encounter such devices, but police officers, whose duties may include working in secure areas that are at risk of a terrorist attack, are far more likely to do so. An act taken in furtherance of a specific police function—entry into a protected parking lot, which only plaintiff’s police credentials allowed him to enter—exposed plaintiff to the risk of this injury.

Plaintiff emphasizes that at the time of his injury he was not “on duty”; his tour of duty was not to begin for another 10 minutes (though this did not prevent him from applying for benefits for a “line of duty” injury). Whether he was on duty or not is not dispositive; police officers often, by the nature of their jobs, face significant risks even when they are not technically at work (see *Levine v Chemical Bank*, 221 AD2d 175 [1st Dept 1995]; *Campbell v Lorenzo’s Pizza Parlor*, 172 AD2d 478 [2d Dept 1991]). What is dispositive is the nature of the risk. Plaintiff’s claim is barred by the firefighter rule.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

JONES, J. (dissenting). I agree with the majority that the facts of this case are straightforward. However, because plaintiff’s recovery is not barred by the “firefighter’s rule,” I respectfully dissent and would reverse the order of the Appellate Division.

Plaintiff’s injuries were completely unrelated to the assumed risks of police duty and there were no actions taken by him that heightened his risk of injury. In *Zanghi v Niagara Frontier Transp. Commn.* (85 NY2d 423 [1995]), we stated:

“[W]here some act taken in furtherance of a specific police or firefighting function expose[s] the officer to a heightened risk of sustaining the particular injury, he or she may not recover damages for common-law negligence. By contrast, a common-law negligence claim may proceed where an officer is injured in the line of duty merely because he or she happened to be present in a given location, but was not engaged in any specific duty *that increased the*

risk of receiving that injury” (85 NY2d at 439-440 [emphasis added]).

The plaintiffs in *Zanghi*—two firefighters injured while fighting a fire in a burning building, a police officer injured while confronting picketers, and two police officers injured as they raced to the assistance of a fellow officer—were clearly engaged in the performance of specific duties/functions that increased their risk of being injured. On the contrary, plaintiff here sustained injuries when another officer inadvertently raised a security barrier while he entered his workplace before his shift started. Simply put, this was not a risk associated with his job.

The majority’s decision in this case is wholly at odds with well-settled authority. For example, in *Olson v City of New York* (233 AD2d 488 [2d Dept 1996]), the firefighter rule did not apply where a firefighter, after responding to a fire alarm, returned to the fire station, stepped down from a fire truck and was injured when he fell into a pothole in the driveway of the firehouse. The court held that nothing in the acts undertaken in the performance of his firefighter duties placed the injured plaintiff at increased risk for this accident to happen. Likewise, the firefighter rule did not apply in *Delio v City of New York* (8 AD3d 325 [2d Dept 2004]). In that case, plaintiff police officer was injured when a fellow officer closed a car door on plaintiff’s hand. The court held that plaintiff was allowed to recover because his injuries were unrelated to the assumed risks of police duties. His duties merely furnished the occasion for his accident but did not heighten the risk of injury.

I disagree with the majority that these cases are hard to reconcile. In all of the cases cited by the majority where the claims were not allowed, the officers were on duty and performing police duties, even if routine, when they were injured. The Appellate Divisions have been applying *Zanghi* for nearly 15 years and their decisions should not be overturned so lightly.

Accordingly, I would reverse the decision of the Appellate Division and remit this case to Supreme Court for trial.

Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge JONES dissents and votes to reverse in a separate opinion; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[925 NE2d 878, 899 NYS2d 76]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DARRELL WILLIAMS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EFRAIN HERNANDEZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CRAIG LEWIS, Appellant.

In the Matter of DANNY ECHEVARRIA, Appellant, v PATRICIA D. MARKS, Monroe County Court Judge, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDWIN RODRIGUEZ, Appellant.

Argued January 7, 2010, decided February 23, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 5, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bruce Allen, J.), resentencing defendant to a term of imprisonment of three years with three years of postrelease supervision.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 5, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J.), resentencing defendant to a term of imprisonment of seven years with five years of postrelease supervision.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 5, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), resentencing defendant to a term of imprisonment of five years with five years of postrelease supervision.

APPEAL, in the fourth above-entitled proceeding, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Fourth Judicial

Department, entered December 31, 2008, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 506 [b] [1]). The Appellate Division dismissed the proceeding seeking to prohibit respondent County Court Judge from resentencing petitioner with respect to Monroe County indictment No. 98-817.

APPEAL, in the fifth above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 10, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.), resentencing defendant to a term of imprisonment of seven years with five years of postrelease supervision.

People v Williams, 59 AD3d 172, reversed.

People v Hernandez, 59 AD3d 180, reversed.

People v Lewis, 60 AD3d 425, reversed.

Matter of Echevarria v Marks, 57 AD3d 1479, affirmed.

People v Rodriguez, 60 AD3d 452, reversed.

HEADNOTES

Crimes — Sentence — Resentence — Postrelease Supervision

1. The resentencing proceedings of defendants, who had completed serving their sentences of imprisonment and had been released from prison but whose original sentences failed to include a mandatory term of postrelease supervision, were not barred by CPL 440.40 even though resentencing occurred more than one year after defendants were initially sentenced. CPL 440.40, which allows the People to move to set aside an invalid sentence within one year of its imposition, does not impose a one-year limitation on a court's authority to rectify an illegal sentence. The statute was designed to restrict the People's ability to move to set aside an illegal sentence and did not place a similar restriction on the court's inherent ability to correct its own errors.

Crimes — Sentence — Resentence — Postrelease Supervision

2. Resentencing courts do not have the option of declining to impose post-release supervision (PRS) regardless of whether the People consent to that disposition. Penal Law § 70.85 specifies that in cases where PRS was required but not explicitly pronounced at sentencing, the matter may be returned for resentencing pursuant to Correction Law § 601-d, and the court may decide to reimpose the original determinate sentence without PRS "only on consent of the district attorney." Hence, a court may decline to impose PRS during resentencing only when the People issue the statutorily required consent under Penal Law § 70.85.

Crimes — Sentence — Resentence — Timeliness

3. CPL 380.30, which requires that sentences must be imposed "without unreasonable delay," did not cause sentencing courts seeking to correct illegal

sentences that had failed to include a mandatory period of postrelease supervision to lose their jurisdiction over defendants who had completed their terms of imprisonment and were released from prison. Even assuming the statute applied, it was not violated because defendants were resentenced within a reasonable time after the Department of Correctional Services notified the courts that defendants were “designated persons” who qualified for resentencing under Correction Law § 601-d.

Crimes — Sentence — Resentence — Postrelease Supervision — Double Jeopardy

4. The Double Jeopardy Clause of the Fifth Amendment barred the imposition of postrelease supervision at the resentencing of defendants, who had completed serving their sentences of imprisonment and had been released from prison but whose original sentences failed to include a mandatory term of postrelease supervision. After defendants were released from prison, a legitimate expectation in the finality of a sentence arose and the Double Jeopardy Clause prevented reformation to attach a postrelease supervision component to the original completed sentence. So long as an illegal sentence is subject to correction, a defendant cannot claim a legitimate expectation that the originally imposed improper sentence is final for all purposes. However, there must be a temporal limitation on a court’s ability to resentence a defendant. Accordingly, once a defendant was released from custody and returned to the community after serving the period of incarceration that was ordered by the sentencing court, and the time to appeal the sentence had expired or the appeal had been finally determined, there was a legitimate expectation that the sentence, although illegal under the Penal Law, was final and the Double Jeopardy Clause prevented a court from modifying the sentence to include a period of postrelease supervision. This expectation was not altered by the fact that some defendants were released from prison after serving less than the entire term of their determinate sentences or that some defendants signed documents pertaining to postrelease supervision before their release.

Crimes — Appeal — Preservation of Issue for Review — Resentencing

5. The resentencing of defendant, who had completed serving his sentence of imprisonment and had been released from prison but whose original sentences failed to include a mandatory term of postrelease supervision (PRS), was reviewable despite his failure to raise any objections to the inclusion of a PRS term at the resentencing. Since the Double Jeopardy Clause of the Fifth Amendment protected defendant from being resentenced to a more severe punishment after serving his sentence of imprisonment and being released into the community, the resentencing court did not retain jurisdiction to modify the original judgment that was entered. Because defendant’s double jeopardy claim implicated a fundamental mode of proceedings, it was reviewable absent preservation.

Proceeding against Body or Officer — Prohibition — When Remedy Available—Resentencing of Criminal Defendant

6. A CPLR article 78 proceeding seeking to prohibit the resentencing of defendant in order to correct an illegal sentence by adding a period of post-release supervision (PRS) was dismissed since the record did not indicate that the resentencing judge had considered whether it was appropriate to impose a term of PRS. The court’s order scheduled the matter “for consideration of whether the inmate should be re-sentenced, and that the Clerk arrange for counsel for both parties to appear” on a specific date. Accordingly, there was

no need to seek prohibition relief before the court determined the lawfulness of the sentence that was imposed or whether it would accept the served sentence without a term of PRS.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 201, 575, 618, 619; AM JUR 2d, Criminal Law §§ 275–278, 296, 739, 858, 859.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:164, 145:167, 145:168; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:73–203:75, 203:210, 203:213; CARMODY-WAIT 2d, Postjudgment Motions §§ 205:46, 205:50.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.7.
MCKINNEY'S, Correction Law § 601–d; CPL 380.30, 440.40; Penal Law § 70.85.
NY JUR 2d, Article 78 and Related Proceedings §§ 137, 164, 166; NY JUR 2d, Criminal Law: Procedure §§ 1931, 2904–2906, 2927, 3178, 3416–3418, 3422, 3474.
SIEGEL, NY PRAC § 559.
US Const 5th Amend.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Prohibition Writ; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: post-release /2 supervision /4 re-sentenc! /p
imprison! /s complet! releas!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant in the first above-entitled action. The court's imposition of a three-year period of postrelease supervision at resentencing—nearly four years after sentencing, and after appellant had served every day of the three-year determinate prison sentence imposed by the court—exceeded the court's inherent power to correct invalid sentences, and violated double jeopardy and due process. (*People v Minaya*, 54 NY2d 360; *People v Hernandez*, 59 AD3d 180; *People v Sparber*, 10 NY3d 457; *Matter of Murray v Goord*, 1 NY3d 29; *People v Boyd*, 12 NY3d 390; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People ex rel. Hirschberg v*

Orange County Ct., 271 NY 151; *People v Wright*, 56 NY2d 613; *People v Bing*, 76 NY2d 331; *People v Bartolomeo*, 53 NY2d 225.)

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant in the second above-entitled action. I. The court exceeded its inherent authority in resentencing appellant to postrelease supervision after the People's time to appeal had expired and appellant had completed his seven-year sentence; nor did (or could) Correction Law § 601-d permit this resentencing. (*People v Sparber*, 10 NY3d 457; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Wright*, 56 NY2d 613; *Ward v Williams*, 240 F3d 1238; *People v Minaya*, 54 NY2d 360; *Stogner v California*, 539 US 607; *Falter v United States*, 23 F2d 420, 277 US 590; *People v Epton*, 19 NY2d 496; *People v Finkelstein*, 9 NY2d 342; *United States v DiFrancesco*, 449 US 117.) II. Double jeopardy and due process barred the court from resentencing appellant to postrelease supervision. (*Benton v Maryland*, 395 US 784; *Heath v Alabama*, 474 US 82; *People v Singer*, 44 NY2d 241; *Jones v Thomas*, 491 US 376; *North Carolina v Pearce*, 395 US 711; *United States v DiFrancesco*, 449 US 117; *Pennsylvania v Goldhammer*, 474 US 28; *People v Williams*, 87 NY2d 1014; *United States v Rosario*, 386 F3d 166; *Stewart v Scully*, 925 F2d 58.)

Center for Appellate Litigation, New York City (*Carl S. Kaplan* and *Robert S. Dean* of counsel), for appellant in the third above-entitled action. The court's resentence, which added a five-year term of postrelease supervision to appellant's five-year determinate sentence, exceeded the court's inherent authority to correct an illegal sentence, and violated double jeopardy and due process, where more than six years had passed since the imposition of the original sentence, which appellant fully served and which had long expired. (*Matter of Kisloff v Covington*, 73 NY2d 445; *People v Wright*, 56 NY2d 613; *People v Minaya*, 54 NY2d 360; *People v Sparber*, 10 NY3d 457; *Ward v Williams*, 240 F3d 1238; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People ex rel. Harty v Fay*, 10 NY2d 374; *Stogner v California*, 539 US 607; *People v Epton*, 19 NY2d 496; *People v Finkelstein*, 9 NY2d 342.)

Timothy P. Donaher, Public Defender, Rochester (*Brian Shiffrin* and *Drew R. DuBrin* of counsel), for appellant in the fourth above-entitled proceeding. I. A CPLR article 78 proceeding in

the nature of prohibition lies when a court is threatening to take actions that would violate the Double Jeopardy Clauses of the United States and New York Constitutions. (*Matter of Corbin v Hillery*, 74 NY2d 279, *affd sub nom. Grady v Corbin*, 495 US 508; *Matter of Davis v Brown*, 87 NY2d 626; *Matter of Echevarria v Marks*, 57 AD3d 1479; *Matter of Plummer v Rothwax*, 63 NY2d 243; *Matter of Wiley v Altman*, 52 NY2d 410; *Hall v Potoker*, 49 NY2d 501; *Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560; *Matter of Randall v Rothwax*, 78 NY2d 494; *Schmidt v Roberts*, 74 NY2d 513; *Matter of Patel v Breslin*, 45 AD3d 1240.) II. The constitutional double jeopardy proscription against multiple punishments for the same offense prohibits a court from imposing an additional penalty of postrelease supervision after defendant has served his entire originally imposed sentence of a determinate term of imprisonment, even though the original sentence was illegal because of its failure to include a period of postrelease supervision. (*Matter of Suarez v Byrne*, 10 NY3d 523; *North Carolina v Pearce*, 395 US 711; *Ex parte Lange*, 18 Wall [85 US] 163; *United States v DiFrancesco*, 449 US 117; *Stewart v Scully*, 925 F2d 58; *United States v Silvers*, 90 F3d 95; *People v Hoppie*, 220 AD2d 528; *United States v Lundien*, 769 F2d 981; *People v Campanella*, 297 AD2d 642; *People v DeValle*, 94 NY2d 870.) III. It is fundamentally unfair, in violation of the constitutional guarantees of due process, for a court to impose an additional penalty of postrelease supervision after defendant has completely served his originally imposed sentence of a determinate term of imprisonment, notwithstanding that the original sentence was illegal because of its failure to include a period of postrelease supervision. (*United States v Lundien*, 769 F2d 981; *DeWitt v Ventetoulo*, 6 F3d 32; *Breest v Helgemoe*, 579 F2d 95; *Matter of Murray v Goord*, 1 NY3d 29; *Earley v Murray*, 451 F3d 71; *People v Drake*, 61 NY2d 359; *People v Campbell*, 97 NY2d 532; *People ex rel. Harty v Fay*, 10 NY2d 374; *Matter of National Equip. Corp. v Ruiz*, 19 AD3d 5; *Matter of Corbin v Hillery*, 74 NY2d 279.)

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant in the fifth above-entitled action. I. The court's resentencing, adding five years' postrelease supervision to appellant's sentence years after the People's time to challenge it had expired, and after appellant had completed it, was illegal as a matter of state law and forbidden by the State and Federal Double Jeopardy and Due Process Clauses, and is reviewable by this Court on each of those

grounds; alternatively, counsel was ineffective for failing to challenge the court's power to resentence on those grounds. (*People v Hernandez*, 59 AD3d 180, 12 NY3d 817; *People v Wright*, 56 NY2d 613; *People v DeValle*, 94 NY2d 870; *Carlisle v United States*, 517 US 416; *United States v Smith*, 331 US 469; *United States v Rico*, 902 F2d 1065; *United States v Cook*, 890 F2d 672; *People ex rel. Harty v Fay*, 10 NY2d 374; *People v Drake*, 61 NY2d 359; *People v Nieves*, 2 NY3d 310.) II. Even assuming that the court had the power to resentence appellant, and that power was not limited by either double jeopardy or due process, it had the discretion to refrain from resentencing him, which it failed to exercise. (*People v Cronin*, 60 NY2d 430; *People v Day*, 73 NY2d 208; *People v Farrar*, 52 NY2d 302; *People v Richardson*, 100 NY2d 847; *People ex rel. Hirschberg v Orange County Ct.*, 271 NY 151; *People v Minaya*, 54 NY2d 360; *People v Young*, 94 NY2d 171; *People v Wright*, 56 NY2d 613; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358.)

Cyrus R. Vance, Jr., District Attorney, New York City (David M. Cohn and Mark Dwyer of counsel), for respondent in the first above-entitled action. The trial court properly corrected its error in failing to pronounce defendant's postrelease supervision term. (*People ex rel. Johnson v Warden, Rikers Is. Correctional Facility*, 4 Misc 3d 535, 16 AD3d 183; *People v Boyce*, 12 AD3d 728; *People v Bell*, 305 AD2d 694; *People v Crump*, 302 AD2d 901; *People v Sparber*, 10 NY3d 457; *People v Sturgis*, 69 NY2d 816; *People v Stroman*, 36 NY2d 939; *People v McClain*, 35 NY2d 483; *People v Fuller*, 57 NY2d 152; *People v Wright*, 56 NY2d 613.)

Cyrus R. Vance, Jr., District Attorney, New York City (Martin J. Foncello and David M. Cohn of counsel), for respondent in the second and third above-entitled actions. The trial court properly corrected its error in the pronouncement of defendant's postrelease supervision term. (*People v Sparber*, 10 NY3d 457; *People ex rel. Johnson v Warden, Rikers Is. Correctional Facility*, 4 Misc 3d 535, 16 AD3d 183; *People v Boyce*, 12 AD3d 728; *People v Bell*, 305 AD2d 694; *People v Crump*, 302 AD2d 901; *Earley v Murray*, 451 F3d 71; *People v Martinez*, 40 AD3d 1012; *People v Sturgis*, 69 NY2d 816; *People v Dodson*, 48 NY2d 36; *People v DeValle*, 94 NY2d 870.)

Andrew M. Cuomo, Attorney General, Albany (Rajit S. Dosanjh, Barbara D. Underwood and Nancy A. Spiegel of

counsel), for respondent in the fourth above-entitled proceeding. Prohibition was correctly denied because petitioner had an adequate remedy at law. (*Matter of State of New York v King*, 36 NY2d 59; *Matter of Oglesby v McKinney*, 7 NY3d 561; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Holtzman v Goldman*, 71 NY2d 564; *La Rocca v Lane*, 37 NY2d 575; *People v Sparber*, 10 NY3d 457; *Matter of Corbin v Hillery*, 74 NY2d 279, *affd sub nom. Grady v Corbin*, 495 US 508; *United States v Dixon*, 509 US 688; *Matter of Plummer v Rothwax*, 63 NY2d 243; *Matter of Wiley v Altman*, 52 NY2d 410.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Martin J. Foncello* and *David M. Cohn* of counsel), for respondent in the fifth above-entitled action. The trial court properly corrected its error in the pronouncement of defendant's postrelease supervision term. His claims to the contrary are unpreserved and meritless. (*People v Sparber*, 10 NY3d 457; *United States v DiFrancesco*, 449 US 117; *People v Michael*, 48 NY2d 1; *People v Hansen*, 99 NY2d 339; *People v Gonzalez*, 99 NY2d 76; *People v Ruz*, 70 NY2d 942; *People v Ingram*, 67 NY2d 897; *People v Marshall*, 228 AD2d 15; *People v Campbell*, 97 NY2d 532; *People v Fuller*, 57 NY2d 152.)

Legal Aid Society, Criminal Appeals Bureau, New York City (*Kerry Elgarten* of counsel), amicus curiae pro se in the fourth above-entitled proceeding. I. The court cannot, consistent with constitutional protections, resentence appellant to an enhanced sentence after the originally imposed sentence has been fully served; such action is effectively a new sentence; it would violate due process and double jeopardy, and would be outside the court's jurisdiction. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *People v DeValle*, 94 NY2d 870; *People v Williams*, 87 NY2d 1014; *North Carolina v Pearce*, 395 US 711; *United States v DiFrancesco*, 449 US 117; *United States v Triestman*, 178 F3d 624; *United States v Gelb*, 944 F2d 52; *United States v Rico*, 902 F2d 1065; *United States v Sacco*, 367 F2d 368.) II. Because the court failed to mention postrelease supervision at the plea and did not impose it at sentencing, appellant is in a "no-return position," having detrimentally relied on the plea promise by serving all five years of his originally imposed sentence; specific performance of the original five-year promise is mandated by due process. (*People v Catu*, 4 NY3d 242; *People v Selikoff*, 35 NY2d 227; *People v McConnell*, 49 NY2d 340; *People v Grimaldi*, 200

AD2d 687; *People v Jones*, 99 AD2d 1; *People v Griffith*, 43 AD2d 20; *Matter of Chaipis v State Liq. Auth.*, 44 NY2d 57; *Santobello v New York*, 404 US 257; *People v DeValle*, 94 NY2d 870; *People v Spector*, 85 AD2d 535.)

OPINION OF THE COURT

GRAFFEO, J.

In 1998, as part of Jenna’s Law, the Legislature adopted Penal Law § 70.45, which directs that postrelease supervision is a mandatory component of all determinate prison sentences. We subsequently held that a sentencing court’s failure to pronounce postrelease supervision during sentencing proceedings results in an illegal sentence that cannot be administratively corrected by the Department of Correctional Services (*see Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358, 360 [2008]). The Legislature responded in 2008 by enacting Correction Law § 601-d to provide a mechanism for courts to consider resentencing defendants serving determinate sentences without court-ordered postrelease supervision terms. In these appeals, we consider whether there are statutory or constitutional impediments to imposing postrelease supervision at resentencing on defendants who have completed their terms of imprisonment and been released into the community.

I. The History of Postrelease Supervision

The intent of the Legislature in adopting Jenna’s Law was to abolish parole and institute determinate terms of imprisonment for certain felony offenses (*see* L 1998, ch 1). A major component of this statutory scheme required that every determinate sentence must also provide for postrelease supervision (PRS) (*see* Penal Law § 70.45 [1]). The implementation of mandatory PRS spurred a series of cases in this Court, beginning with *People v Catu* (4 NY3d 242 [2005]), in which we held that where PRS is a “direct consequence” of a conviction, a defendant seeking to plead guilty must be informed that a period of PRS constitutes part of his sentence if the plea is to be valid under the knowing, voluntary and intelligent standard (*see id.* at 244-245). Thus, a defendant who was not advised about a term of PRS prior to pleading guilty may seek vacatur of the plea.

Shortly after *Catu*, the United States Court of Appeals for the Second Circuit declared in *Earley v Murray* (451 F3d 71 [2006], *cert denied sub nom. Burhlre v Earley*, 551 US 1159 [2007]) that a defendant is entitled to habeas corpus relief in federal court if

correction officials administratively imposed PRS that was not ordered by a court. A few weeks later, our decision in *People v Van Deusen* (7 NY3d 744 [2006]) dealt with a defendant who requested the withdrawal of her plea prior to sentencing because she had not been told about PRS as part of her negotiated plea bargain. The sentencing court had attempted to correct this oversight by combining the five-year mandatory term of PRS with a reduced prison sentence so that the total prison term would be less than the maximum 15-year sentence that the defendant had been promised. We rejected this corrective action, determining that a *Catu* error could not be rectified in this manner because, when the defendant pleaded guilty, “she did not possess all the information necessary for an informed choice among different possible courses of action” and, therefore, her plea was involuntary (*id.* at 746).

Then, in *People v Louree* (8 NY3d 541 [2007]), we recognized that a *Catu* error may be raised on direct appeal even if a defendant did not preserve the issue by moving to withdraw a plea prior to sentencing (as Van Deusen had done) or seeking vacatur of the conviction after sentencing (*see id.* at 545-546). And in *People v Hill* (9 NY3d 189 [2007], *cert denied* 553 US 1048 [2008]), we reiterated that a *Catu* error requires vacatur of a defective guilty plea since the error affects the defendant’s due process rights (*see id.* at 193).

In April 2008, we issued the decisions in *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]) and *People v Sparber* (10 NY3d 457 [2008]). These cases dealt with the legality of the administrative imposition of PRS by the Department of Correctional Services (DOCS) in situations where the sentencing courts had not pronounced PRS as part of the sentences. In *Garner*, we ruled that DOCS did not have the authority to add PRS to an inmate’s sentence because “CPL 380.20 and 380.40 collectively provide that only a judge may impose a PRS sentence” (10 NY3d at 360). And in *Sparber*, we held that imprisoned defendants who raised the pronouncement issue on direct appeal, but did not seek vacatur of their pleas, were not entitled to have PRS expunged from their sentences as this would result in non-PRS sentences that contravened the statutory mandate for determinate sentences (*see* Penal Law § 70.45 [1]). Consequently, we concluded that the appropriate remedy for defendants like Sparber was a resentencing proceeding that could provide for the proper inclusion of PRS (*see* 10 NY3d at 471-472).

In the aftermath of these cases, the Legislature sought to deal with the significant number of incarcerated individuals whose status had been affected by the *Catu* and *Garner/Sparber* decisions. Section 70.85 was enacted (L 2008, ch 141, § 2) to address “cases in which a determinate sentence was imposed . . . and was required by law to include a term of post-release supervision, but the court did not explicitly state such a term when pronouncing sentence.” The statute allows a resentencing court to reimpose the originally pronounced determinate prison sentence without PRS if the District Attorney so consents. The purpose of this statute was to “avoid the need for pleas to be vacated when the District Attorney consents to re-sentencing without a term of PRS” (Governor’s Approval Mem, at 2, Bill Jacket, L 2008, ch 141, reprinted in 2008 McKinney’s Session Laws of NY, at 1653). In addition, section 601-d of the Correction Law was added to permit DOCS to notify sentencing courts that PRS had not been properly imposed in certain cases (these defendants are referred to as “designated persons”) and to have these defendants returned to the original sentencing courts for modification of their sentences to include PRS.

Most recently, in May 2009, we decided another case where the defendant pleaded guilty but was not adequately informed about PRS. In *People v Boyd* (12 NY3d 390 [2009]), the People mentioned PRS at the plea proceeding but the court stated that it did not have to order it because PRS was a mandatory part of the sentence. The court then asked the defendant if he understood that PRS was mandatory and the defendant responded in the affirmative. However, the defendant was not advised of the specific duration of his PRS term at the time of his plea, nor did the court formally impose a term of PRS as part of the sentence. We determined that these deficiencies rendered the plea involuntary and that defendant did not need to preserve this issue by a postallocution motion to withdraw his plea (*see id.* at 393). Although the People requested that the defendant be resentenced without PRS under the procedure adopted in Penal Law § 70.85 in order to avoid vacatur of the guilty plea, we declined to approve this remedy in *Boyd*, finding it premature. We explained:

“This corrective action should not be entertained at this time because the constitutionality of this new provision and its applicability to this case have not been sufficiently developed for our review. . . . [T]he

issue of whether the deficiency in the plea allocution can be rectified by granting defendant specific performance of the plea agreement—a determinate sentence without imposing a term of PRS—should be determined by Supreme Court in the first instance. We therefore remit this case to Supreme Court to give the People the opportunity to litigate their argument regarding the applicability of Penal Law § 70.85 and for defendant to assert any constitutional challenges to the operation of the statute” (*id.* at 394).

Unlike the defendant in *Boyd* who requested vacatur of his plea, we now have before us five defendants who are not challenging the validity of their convictions but instead raise a variety of statutory and constitutional issues regarding resentencing under Correction Law § 601-d. In each of these cases, defendants received determinate sentences that did not include a term of PRS. Following our decisions in *Garner* and *Sparber*, DOCS initiated resentencing proceedings under Correction Law § 601-d so that PRS could be formally pronounced in each case. The defendants here do not seek reversal of their convictions because they have completed their originally-imposed prison sentences and have been released from custody by DOCS. Before addressing their contentions, we review the pertinent facts of each case.

II. The Defendants

People v Darrell Williams

In 2004, defendant Darrell Williams agreed to enter a guilty plea to assault in the second degree in exchange for a promised prison sentence of three years, to be followed by three years of PRS. The plea was accepted by Supreme Court but the court did not formally pronounce the term of PRS during the sentencing proceeding. DOCS nevertheless conditionally released Williams to PRS in September 2006.

In May 2007, Williams was reincarcerated for violating PRS. Following our decision in *Garner*, DOCS notified the sentencing court of its failure to properly impose PRS. Williams claimed that resentencing exceeded the court’s jurisdiction and would violate his double jeopardy and due process protections. Supreme Court concluded that it had the inherent authority to correct the original sentence because it was illegal in the absence of a period of PRS. The court did, however, order that Williams

be immediately released from custody on the rationale that he could not have violated PRS before it was a proper component of his sentence. The Appellate Division affirmed (59 AD3d 172 [1st Dept 2009]) and a Judge of this Court granted Williams leave to appeal (12 NY3d 823 [2009]).

People v Efrain Hernandez

Defendant Efrain Hernandez pleaded guilty to burglary in the second degree and was sentenced to seven years' imprisonment. PRS was not discussed during the plea proceeding or at sentencing. DOCS administratively imposed five years of PRS and Hernandez was conditionally released from prison in December 2005.

Hernandez violated PRS and was sent back to prison. After the enactment of Correction Law § 601-d, DOCS notified the sentencing court that Hernandez was a designated person for the purpose of resentencing. Hernandez opposed resentencing on statutory and constitutional grounds.

Supreme Court determined that there were no legal impediments to the resentencing procedure under Correction Law § 601-d because the original sentence was illegal without a term of PRS and Hernandez could not have had a reasonable expectation of finality in that sentence once DOCS informed him that PRS was required. At resentencing, in lieu of PRS, the court offered Hernandez the option to withdraw his guilty plea and proceed to trial, but he declined this offer and was resentenced to the original prison term plus five years of PRS.

The Appellate Division affirmed (59 AD3d 180 [1st Dept 2009]), holding that a sentencing court has the inherent power to correct an illegal sentence even if the correction occurs more than one year after conviction. The court also determined that a defendant cannot have a legitimate expectation of finality in an illegal sentence and that the imposition of PRS was not fundamentally unfair. A Judge of this Court granted Hernandez leave to appeal (12 NY3d 817 [2009]).

People v Craig Lewis

Defendant Craig Lewis was indicted for burglary, assault and criminal contempt after he assaulted his ex-girlfriend and subsequently entered her home without permission in violation of an order of protection. Unlike the other defendants in these appeals, Lewis declined to plead guilty and exercised his right to a jury trial. Although the jury acquitted Lewis of assault, he was convicted of burglary and two counts of criminal contempt.

The sentencing court ordered an aggregate prison sentence of five years but did not impose PRS.

DOCS administratively added PRS and, after Lewis was released from confinement, the sentencing court was notified that Lewis was a designated person qualifying for resentencing pursuant to Correction Law § 601-d. Lewis interposed various objections to resentencing, which were rejected by the court that resentence defendant to five years of PRS. The Appellate Division affirmed (60 AD3d 425 [1st Dept 2009]) and a Judge of this Court granted Lewis leave to appeal (12 NY3d 818 [2009]).

Matter of Echevarria v Marks

Petitioner Danny Echevarria pleaded guilty to first-degree rape and other offenses in return for an aggregate prison sentence of five years. PRS was not discussed during the plea proceeding and it was not made part of the sentence, although defense counsel referenced PRS during the sentencing proceeding. Before Echevarria was released from prison, he signed a DOCS certificate acknowledging a term of PRS. Thereafter, he violated the terms of PRS on several occasions and was returned to prison. Since *People v Sparber* (10 NY3d 457 [2008]) was decided while Echevarria was in custody for a PRS violation, DOCS notified the sentencing court that Echevarria should be resentenced.

Petitioner commenced a CPLR article 78 proceeding against the sentencing judge (respondent Marks), seeking relief in the nature of prohibition to preclude resentencing on jurisdictional and constitutional grounds. In dismissing the petition, the Appellate Division reasoned that, even if resentencing was beyond the court's jurisdiction, Echevarria could not pursue discretionary prohibition relief because he had an adequate remedy at law—a direct appeal from his resentencing (57 AD3d 1479 [4th Dept 2008]). We granted leave to appeal (12 NY3d 828 [2009]).

People v Edwin Rodriguez

Defendant Edwin Rodriguez pleaded guilty to second-degree burglary in exchange for seven years' imprisonment. PRS was not discussed during his plea allocution or at sentencing. DOCS later informed Rodriguez that he was required to serve five years of PRS and he was conditionally released from prison in early 2007. Later that year, Rodriguez was arrested for violating PRS.

DOCS identified Rodriguez as a designated person and initiated the resentencing process. Rodriguez rejected the court's

offer to withdraw his guilty plea, raised no objection to the imposition of PRS and was resentenced to the original prison term, with a five-year term of PRS. The Appellate Division affirmed (60 AD3d 452 [1st Dept 2009]) and a Judge of this Court granted leave to appeal (12 NY3d 928 [2009]).

III. Statutory Challenges to the Imposition of PRS at Resentencing

In these appeals, defendants¹—who have completed serving their sentences of imprisonment and have been released from prison—assert several statutory challenges to the imposition of PRS in a resentencing proceeding. Although they recognize that courts have the “inherent power” to correct illegal sentences, defendants contend that this authority cannot be exercised more than one year after the declaration of the original sentence under CPL 440.40. Defendants claim that such resentencings are further subject to the prohibition in CPL 380.30 against unreasonable delays. They also argue, in the alternative, that Correction Law § 601-d allows a resentencing court the option to decline to resentence a defendant, even if the People do not so consent, and that the failure of a sentencing court to consider this option constitutes an abuse of discretion requiring the nullification of PRS.

As a general principle, a sentence cannot be changed once a defendant begins to serve it; however, this applies only if the “sentence is in accordance with law” (CPL 430.10). Our precedent has long recognized that courts have the inherent authority to correct illegal sentences (*see e.g. People v Richardson*, 100 NY2d 847, 852-853 [2003]; *People v Minaya*, 54 NY2d 360, 364 [1981], *cert denied* 455 US 1024 [1982], citing *Bohlen v Metropolitan El. Ry. Co.*, 121 NY 546, 550-551 [1890]). Because PRS is a mandatory component of a sentence for a crime punishable by a determinate prison term (*see* Penal Law § 70.45 [1]), there is no dispute that defendants’ original sentences that omitted the imposition of terms of PRS were illegal.

[1] Contrary to defendants’ assertions, CPL 440.40—which allows the People to move to set aside an invalid sentence within one year of its imposition—does not impose a one-year limitation on a court’s authority to rectify an illegal sentence. As we stated in *People v Wright* (56 NY2d 613, 615 [1982]), CPL 440.40

1. We use this term to refer to all of the appellants in these cases, including petitioner Echevarria.

“is designed to restrict the People’s ability to move to set aside an illegal sentence” and the text of this statute does not “place a similar restriction on the court’s inherent ability to correct its own errors.” Defendants object to this precedent but the cases on which they rely—*Carlisle v United States* (517 US 416 [1996]) and *United States v Smith* (331 US 469 [1947])—address specific time limits contained in the Federal Rules of Criminal Procedure that do not pertain to the inherent ability of New York courts to modify illegal sentences. In any event, we recently reaffirmed *Wright* in *People v Sparber* (10 NY3d at 471 n 6). Consequently, these resentencing proceedings were not barred by virtue of the fact that they occurred more than one year after defendants were initially sentenced.

[2] We also reject the claim that resentencing courts have the option of declining to impose PRS regardless of whether the People consent to that disposition. Penal Law § 70.85 specifies that in cases where PRS was required but not explicitly pronounced at sentencing, the matter may be returned for resentencing pursuant to Correction Law § 601-d, and the court may decide to reimpose the original determinate sentence without PRS “only on consent of the district attorney” (Penal Law § 70.85). Hence, a court may decline to impose PRS during resentencing only when the People issue the statutorily required consent under Penal Law § 70.85.

[3] Finally, defendants submit that the sentencing courts in these cases lost jurisdiction to resentence them under CPL 380.30 due to the length of the delays between the original sentencings and the resentencing proceedings. Certainly, the statute requires that sentences must be imposed “without unreasonable delay” (CPL 380.30 [1]), and in furtherance of that statutory directive, we have held that an unexplained delay of several years between conviction and sentencing results in the loss of jurisdiction over a defendant (*see People v Drake*, 61 NY2d 359, 366 [1984]; *People ex rel. Harty v Fay*, 10 NY2d 374, 379 [1961]). Here, even assuming that CPL 380.30 applies, there was no violation of the statute because defendants were resentenced within a reasonable time after DOCS notified the courts that these defendants were “designated persons” under Correction Law § 601-d.

Accordingly, defendants have identified no statutory barriers to the correction of the illegal sentences that were originally imposed.

IV. Constitutional Claims

Defendants next challenge the imposition of PRS as a violation of the Double Jeopardy Clause of the Federal Constitution because the resentencing proceedings occurred after they were released from prison after completing their terms of imprisonment. According to defendants, once they were freed from confinement, they were entitled to a “legitimate expectation of finality” in the sentences that had been originally issued by the sentencing courts. And if a legitimate expectation of finality attached, further governmental supervision in the form of PRS amounted to the imposition of multiple punishments, which is prohibited by the Fifth Amendment.

The Double Jeopardy Clause of the Fifth Amendment states that no person shall “be subject for the same offence to be twice put in jeopardy of life or limb.” The United States Supreme Court has construed this language to cover three distinct protections: (1) the right to be free from a second trial following an acquittal for the same crime; (2) the right to be free from a second trial following a conviction for the same offense; and (3) the right not to be punished more than once for the same crime (see e.g. *United States v DiFrancesco*, 449 US 117, 129 [1980]; see also *People v Biggs*, 1 NY3d 225, 228-229 [2003]). The third category—referred to as the “multiple punishments” doctrine—is relevant in these cases.

One of the first cases regarding the protection against multiple punishments was *Ex parte Lange* (18 Wall [85 US] 163 [1873]). Defendant Lange had been sentenced to a year in jail and a \$200 fine despite the fact that the crime was punishable by either imprisonment up to one year or a fine between \$10 and \$200. Once the defendant paid the fine, he sought a writ of habeas corpus but the sentencing court resentenced him instead to one year in jail without any fine. The U.S. Supreme Court ruled that the imposition of the second sentence violated the Double Jeopardy Clause because, after paying the fine specified in the original sentence, no other penalty could be legally imposed on the defendant. The Court reasoned that requiring him to continue serving jail time resulted in more than one punishment for the same offense (*id.* at 176).

Following *Ex parte Lange*, it was unclear whether double jeopardy prevented a sentence from being increased after a defendant began a prison term (see generally *De Maggio v Coxe*, 70 F2d 840 [2d Cir 1934]). *Bozza v United States* (330 US 160, 167

[1947]) clarified that the commencement of an illegal sentence did not prevent a court from correcting the illegality by increasing the total sentence. In *Bozza*, the sentencing error was promptly corrected the same day the original sentence was declared.

The U.S. Supreme Court subsequently extended this rule beyond same-day corrections in *United States v DiFrancesco* (449 US 117 [1980]). There, the Court held that the protection against multiple punishments prevents a sentence from being increased once the defendant has a legitimate expectation in the finality of the sentence (*see id.* at 135-136). Because federal law allowed the government to request that the sentence be set aside on appeal, the Supreme Court concluded that the defendant's legitimate expectation of finality did not attach "until the [government's] appeal is concluded or the time to appeal has expired" (*id.* at 136). Until then, the defendant is on notice that the sentence may be increased at any time before those events occur (*see id.*).

In the cases before us, the correction of the illegal sentences did not occur until well after the expiration of the People's time to seek a statutory remedy (*see* CPL 440.40 [1]; 460.10 [1] [a], [c]). Although the U.S. Supreme Court has yet to weigh the legitimate expectation of finality principle in a situation akin to the matters presented in these appeals, the federal Courts of Appeals have considered similar issues in a context analogous to PRS. In *United States v Rourke* (984 F2d 1063 [10th Cir 1992]) and *United States v Warner* (690 F2d 545, 555 [6th Cir 1982]), for example, the defendants were required to serve a period of "special parole" after release from prison. The failure to impose special parole at sentencing resulted in illegal sentences. Once these errors were corrected via resentencing, the defendants raised double jeopardy challenges to the imposition of the more severe sentences on the ground that they had a legitimate expectation of finality in the original sentences. The federal courts rejected this argument by defendants who had not completed their sentences when the resentencing proceedings were brought, reasoning that these individuals "cannot acquire a legitimate expectation of finality in a sentence which is illegal, because such a sentence remains subject to modification" (*United States v Rourke*, 984 F2d at 1066; *see also United States v Warner*, 690 F2d at 555 [collecting cases]).

But a different rationale has been applied by the federal courts where defendants have completed their original

sentences of imprisonment. Some courts have held that a reasonable expectation of finality arises upon completion of the imposed sentence, resulting in the attachment of jeopardy precluding resentencing (*see e.g. United States v Silvers*, 90 F3d 95, 101 [4th Cir 1996] [“once a defendant fully serves a sentence for a particular crime, the Double Jeopardy Clause’s bar on multiple punishments prevents any attempt to increase thereafter a sentence for that crime”]; *United States v Daddino*, 5 F3d 262, 265 [7th Cir 1993] [completion of incarceration portion of sentence precluded any increase of it]; *United States v Arrellano-Rios*, 799 F2d 520, 524-525 [9th Cir 1986]; *Oksanen v United States*, 362 F2d 74, 80 [8th Cir 1966] [applying the rule to a completed term of probation]; *see also Hernandez v Quarterman*, 340 Fed Appx 210, 215 [5th Cir 2009]), unless the government’s time to seek correction of the sentence remains pending at the time of release (*see United States v Rico*, 902 F2d 1065, 1068-1069 [2d Cir 1990], *cert denied sub nom. Baron v United States*, 498 US 943 [1990]; *see also United States v Cook*, 890 F2d 672, 675 [4th Cir 1989]). Other federal courts have suggested that the resentencing of a defendant who has been released from confinement would be unconstitutional (*see e.g. DeWitt v Ventetoulo*, 6 F3d 32, 35-36 [1st Cir 1993], *cert denied* 511 US 1032 [1994]; *United States v Lundien*, 769 F2d 981, 986-987 [4th Cir 1985], *cert denied* 474 US 1064 [1986]; *Breest v Helgemoe*, 579 F2d 95, 101 [1st Cir 1978], *cert denied* 439 US 933 [1978]).²

2. Some state courts have indicated that the Double Jeopardy Clause applies in similar situations (*see State v Hardesty*, 129 Wash 2d 303, 314-315, 915 P2d 1080, 1086 [1996]; *March v State*, 109 NM 110, 112, 782 P2d 82, 84 [1989]; *State ex rel. Hill v Parsons*, 194 W Va 688, 692, 461 SE2d 194, 198 [1995]; *Maybin v State*, 884 So 2d 1174, 1175 [Fla Ct App 2004]; *cf. State v Pascal*, 108 Wash 2d 125, 135, 736 P2d 1065, 1071 [1987] [no expectation of finality in completed sentence because the state appealed the below guidelines, 90-day jail sentence]). In addition, the Ohio Supreme Court—in a situation somewhat comparable to PRS—has held that the failure to impose a mandatory term of “postrelease control” may be corrected through resentencing if the error is discovered before the original sentence has been completed (*see State ex rel. Cruzado v Zaleski*, 111 Ohio St 3d 353, 358, 856 NE2d 263, 268 [2006]; *State v Bloomer*, 122 Ohio St 3d 200, 206, 909 NE2d 1254, 1261 [2009] [resentencing prior to completion of original illegal sentence does not violate double jeopardy or due process]), but cannot be rectified after a defendant has finished serving the sentence originally imposed by the court (*see Hernandez v Kelly*, 108 Ohio St 3d 395, 401, 844 NE2d 301, 306 [2006]; *see also State v Bezak*, 114 Ohio St 3d 94, 97, 868 NE2d 961, 964 [2007]; *State v Simpkins*, 117 Ohio St 3d 420, 429, 884 NE2d 568, 578 [2008] [reserving judgment on

(n. cont’d)

[4] We find this federal precedent persuasive and conclude that, after release from prison, a legitimate expectation in the finality of a sentence arises and the Double Jeopardy Clause prevents reformation to attach a PRS component to the original completed sentence. As we have noted, New York courts have the inherent authority to correct illegal sentences and this power extends beyond the one-year period for the People to seek resentencing in the court of original jurisdiction (*see* section III, *supra*). Moreover, the People are allowed to move to set aside or appeal a sentence on the ground that it is not authorized by law, which may delay final consideration of a case well beyond the one-year term specified in CPL 440.40. Since criminal defendants are charged with knowledge of the relevant laws that apply to them (*see e.g. United States v DiFrancesco*, 449 US at 136), they are presumed to be aware that a determinate prison sentence without a term of PRS is illegal and, thus, may be corrected by the sentencing court at some point in the future (*see generally People v Sparber*, 10 NY3d at 471 [remedy for an imprisoned defendant upon whom PRS was not imposed is resentencing for pronouncement of a legal sentence]). So long as an illegal sentence is subject to correction, a defendant cannot claim a legitimate expectation that the originally-imposed, improper sentence is final for all purposes (*see United States v Fogel*, 829 F2d 77, 87 [DC Cir 1987]).

Yet, there must be a temporal limitation on a court's ability to resentence a defendant (*see generally DeWitt v Ventetoulo*, 6 F3d at 34-35) since criminal courts do not have perpetual jurisdiction over all persons who were once sentenced for criminal acts. Even where a defendant's sentence is illegal, there is a legitimate expectation of finality once the initial sentence has been served and the direct appeal has been completed (or the time to appeal has expired). In these situations, the sentences are beyond the court's authority and an additional term of PRS may not be imposed. With the caveats we have identified, in a case where PRS was not formally pronounced by the sentencing court pursuant to CPL 380.20, we hold that the Double Jeopardy Clause prohibits a court from resentencing the defendant to the mandatory term of PRS after the defendant has served the determinate term of imprisonment and has been released from confinement by DOCS.

applicability of the Double Jeopardy Clause to completed sentences], *cert denied* 555 US —, 129 S Ct 463 [2008]).

The People argue that this principle should not apply in these cases because defendants were released from custody after serving only six sevenths of their terms of imprisonment (as contemplated by the statutory scheme of PRS, which withholds credit for the unserved portion of a prison term until PRS is successfully completed) (*see* Penal Law § 70.45 [5] [a]). They further contend that, before defendants were released from prison, defendants were aware that they had to serve PRS—as evidenced by written acknowledgments executed regarding PRS requirements (*see* Penal Law § 70.45 [3]; Executive Law § 259-g [2]; 9 NYCRR 8003.1 [c])—so any expectations defendants may have had regarding the finality of the originally-imposed illegal sentences were neither legitimate nor reasonable. The People also note that defendant Williams agreed at the time he pleaded guilty that he would have to serve three years of PRS, further undermining his expectation of finality.

It is true that defendants were released from prison after serving less than the entire term of their determinate sentences and the records in these cases reveal that some of the defendants did sign documents pertaining to PRS before their release. Nevertheless, these facts do not alter our analysis. *Garner* (10 NY3d 358 [2008]) and *Sparber* (10 NY3d 457 [2008]) were both premised on the fundamental notion that “sentencing is a uniquely judicial responsibility” (*id.* at 470). Thus, the administrative imposition by DOCS of any additional penalty other than that issued by the sentencing court is a nullity (*see Garner*, 10 NY3d at 362) and cannot negate a defendant’s reasonable expectation that, once completed, the imposed sentence will not be increased. State law permitted defendants’ release after having served substantial portions of their determinate prison terms. At that point, they could not have been reincarcerated for a potential violation of PRS because PRS had not been validly required by a court in the first instance (*see e.g. People ex rel. Lewis v Warden, Otis Baum Correctional Ctr.*, 51 AD3d 512, 513 [1st Dept 2008]; *People ex rel. Gerard v Kralik*, 51 AD3d 1045, 1046 [2d Dept 2008]; *Matter of State of New York v Randy M.*, 57 AD3d 1157, 1159 [3d Dept 2008], *lv denied* 11 NY3d 921 [2009]; *People ex rel. Foote v Piscotti*, 51 AD3d 1407, 1408 [4th Dept 2008]).³ This is equally true for defendant Williams, notwithstanding his acknowledgment of PRS during

3. This analysis has no application to a person who, for example, is erroneously released early by DOCS.

his plea proceeding, because the court did not include PRS in its pronounced sentence. Here, defendants' release from incarceration erected a Double Jeopardy Clause barrier to any subsequent upward modifications of their original sentences.

Our dissenting colleague, Judge Smith, believes that *DiFrancesco* virtually "eliminate[d] the applicability of the [Double Jeopardy C]lause to sentencing proceedings" (Smith, J., dissenting op at 223). As we have demonstrated, however, this position has been rejected by most courts that have considered *DiFrancesco* (see *supra* at 215-216). In addition, Judge Pigott's dissent relies on *Bozza* (330 US 160 [1947]) for the proposition that a defendant can never have a legitimate expectation of finality in an illegal sentence. To the contrary, the defendant in *Bozza* was resentenced on the same day the illegal sentence had been imposed, not years later after having served the originally-imposed sentence, as defendants in these cases have done. Judge Pigott's reliance on *Thompson v United States* (495 F2d 1304 [1st Cir 1974]), *Caille v United States* (487 F2d 614 [5th Cir 1973]) and *United States v Rourke* (984 F2d 1063 [10th Cir 1992]), as well as *People v Minaya* (54 NY2d 360 [1981]) (see Pigott, J., dissenting op at 226 and n), is similarly misplaced since none of those defendants had served their sentences and been released from confinement. Simply put, none of the precedent cited in this dissent involves persons who were released from incarceration after having served their sentences and were later hauled back into court to face an increase in sentence, not as a result of anything they did, but because of errors committed by the sentencing courts years earlier.⁴

To summarize, once a defendant is released from custody and returns to the community after serving the period of incarceration that was ordered by the sentencing court, and the time to appeal the sentence has expired or the appeal has been finally determined, there is a legitimate expectation that the sentence, although illegal under the Penal Law, is final and the Double

4. It is also inaccurate for this dissent to characterize the legitimate expectation of finality as accruing as soon as the one-year period for the People to move to set aside the sentence expires (see Pigott, J., dissenting op at 227), especially since we have previously rejected such a time restriction on two occasions (see *People v Sparber*, 10 NY3d at 471 n 6; *People v Wright*, 56 NY2d at 615).

Jeopardy Clause prevents a court from modifying the sentence to include a period of postrelease supervision.⁵

V. Remaining Issues

There remain a few additional points to address. Defendant Rodriguez failed to raise any objections at his resentencing. As a result, his double jeopardy argument is not preserved for review. He nevertheless believes that the issue may be considered by us because a resentencing proceeding that contravenes the Double Jeopardy Clause results in a mode of proceedings error or the imposition of an illegal sentence, both of which are exempt from the preservation requirement. Rodriguez alternatively maintains that defense counsel's failure to challenge the court's authority to conduct the resentencing proceeding resulted in a deprivation of his right to the effective assistance of counsel.

We have recognized a narrow exception to preservation where a mode of proceedings error affects a court's jurisdiction and power over a defendant (*see e.g. People v Gray*, 86 NY2d 10, 21 [1995]). Constitutional double jeopardy violations generally constitute mode of proceedings errors (*see e.g. People v Biggs*, 1 NY3d at 231) but that rule is most often applied where the People attempt to initiate a second prosecution following an acquittal or conviction.

The People urge that preservation is necessary under *People v Gonzalez* (99 NY2d 76 [2002]), where we concluded that an argument premised on the multiple punishments doctrine must be preserved. The issue in *Gonzalez* was whether the defendant could be convicted and receive concurrent sentences for more than one offense based on a single act. Our determination rested solely on an examination of the relevant Penal Law statutes to assess whether the Legislature intended to authorize cumulative punishments in that situation. Because there were no fundamental jurisdictional overtones to this inquiry, we determined that the claimed deficiency was not a mode of proceedings error (*see id.* at 82; *see also People v Biggs*, 1 NY3d at 231 [recognizing that a statutory double jeopardy claim is not exempt from preservation]).

5. Because defendants have asserted a meritorious double jeopardy claim, it is unnecessary for us to address their arguments premised on the Due Process and Ex Post Facto Clauses, or the State Constitution. In addition, we note that the constitutional issue identified in *People v Boyd* (12 NY3d at 394) is not at issue in these appeals.

[5] In light of the fact that we are deciding in these appeals that the Double Jeopardy Clause protects a defendant from being resentenced to a more severe punishment after serving the sentence of imprisonment and being released into the community, it necessarily follows that the resentencing courts did not retain jurisdiction to modify the original judgments that were entered in these cases. Because Rodriguez’s double jeopardy claim implicates a fundamental mode of proceedings, it is reviewable absent preservation.⁶

Petitioner Echevarria, unlike the other defendants, sought to prevent resentencing by commencing an article 78 proceeding seeking prohibition relief. DOCS requested that the court schedule a hearing in order to provide the parties an opportunity to be heard on the issue prior to the court considering whether it would be appropriate to resentence Echevarria.

Prohibition may be used to preclude a government officer from acting in excess of the officer’s jurisdiction (*see e.g. Matter of Rush v Mordue*, 68 NY2d 348, 354 [1986]) and it is an “extraordinary remedy” that is ordinarily unavailable if a “grievance can be redressed by ordinary proceedings at law or in equity or merely to prevent error which may be readily corrected on appeal” (*Matter of Lee v County Ct. of Erie County*, 27 NY2d 432, 437 [1971] [internal quotation marks omitted], *cert denied* 404 US 823 [1971]; *see also Garner*, 10 NY3d at 362). It is also generally inapplicable if the petition raises nonjurisdictional issues, even if they are otherwise unreviewable (*see Matter of Pirro v Angiolillo*, 89 NY2d 351, 355 [1996]).

[6] Although Echevarria raises a double jeopardy claim to resentencing premised on the sentencing court acting in excess of its jurisdiction, the record in this case does not indicate that the judge had considered whether it was appropriate to impose a term of PRS. Here, the court’s order scheduled this matter “for consideration of whether the inmate should be resentenced, and that the Clerk arrange for counsel for both parties to appear” on a specific date. Based on these facts, there was no need to seek prohibition relief before the court determined “the lawfulness of the sentence that was imposed” or whether it would accept the served sentence without a term of PRS. Echevarria’s article 78 petition should therefore be dismissed.

6. In light of this conclusion, it is unnecessary for us to consider his alternative argument that he was deprived of his right to the effective assistance of counsel at the resentencing proceeding.

In conclusion, in *People v Williams*, *People v Hernandez*, *People v Lewis* and *People v Rodriguez*, the Double Jeopardy Clause afforded defendants protection against more severe sentences after they had satisfied the original judgments of the respective sentencing courts and been released from incarceration at the termination of their sentences of imprisonment. The imposition of PRS at resentencing was impermissible and they are entitled to be discharged from PRS. In *Matter of Echevarria v Marks*, the courts below properly dismissed the article 78 petition.

Accordingly, in *Williams*, *Hernandez*, *Lewis* and *Rodriguez*, the orders of the Appellate Division should be reversed, the resentences vacated and the original sentences reinstated. In *Matter of Echevarria v Marks*, the judgment of the Appellate Division should be affirmed, without costs.

SMITH, J. (dissenting in *Williams*, *Hernandez*, *Lewis* and *Rodriguez* and concurring in *Echevarria*). I agree with Judge Pigott that the addition of postrelease supervision (PRS) terms to defendants' sentences did not violate either the State or Federal Double Jeopardy Clause (NY Const, art I, § 6 ["No person shall be subject to be twice put in jeopardy for the same offense"]; US Const Amend V ["nor shall any person be subject for the same offence to be twice put in jeopardy of life or limb"]). I disagree with both Judge Pigott and the majority in that I do not think the decisive question is whether defendants had a "legitimate expectation of finality" in the sentences they originally received. That, to me, is a circular question: the prisoners' expectations were legitimate if protected by the Double Jeopardy Clauses, and not otherwise. I find more useful guidance in the Supreme Court's leading decision on the application of double jeopardy principles to sentencing, *United States v DiFrancesco* (449 US 117 [1980]), which convinces me that the Double Jeopardy Clauses have no application to the sort of case now before us.

My colleagues take the *DiFrancesco* decision as creating a "legitimate expectation of finality" test for double jeopardy upon resentencing (majority op at 215; Pigott, J., dissenting op at 227). (They evidently assume, and I join them in assuming, that we should follow *DiFrancesco* in interpreting both the State and Federal Double Jeopardy Clauses.) I think they read something into the case that is not there. In fact, *DiFrancesco* never uses the precise phrase "legitimate expectation of finality." It does say that a sentenced prisoner has no "expectation of finality"

when his sentence is, by statute, subject to a prosecutor's appeal (449 US at 136, 139), and that his "legitimate expectations are not defeated" when such an appeal results in an increased sentence (*id.* at 137); but these are observations about the situation the Court faced in *DiFrancesco*, not formulations of a general rule. *DiFrancesco* never says or implies that "legitimate expectation of finality" is the test for deciding when a resentencing violates double jeopardy.

Much more important to the *DiFrancesco* decision than any catchphrase is the Court's explanation of the very limited effect that the Double Jeopardy Clause has on the power of courts to increase sentences. The essence of the Court's holding is that sentences and acquittals are different for double jeopardy purposes; the Double Jeopardy Clause does not render a sentence final and unreviewable, as it does an acquittal. "[A] sentence does not have the qualities of constitutional finality that attend an acquittal" (*id.* at 134). The Double Jeopardy Clause as interpreted in *DiFrancesco* "does not provide the defendant with the right to know at *any* specific moment in time what the exact limit of his punishment will turn out to be" (*id.* at 137 [emphasis added]).

The *DiFrancesco* Court identified only one double-jeopardy limitation on sentences: "a defendant may not receive a greater sentence than the legislature has authorized" (*id.* at 139). The Court found this principle to be established by *Ex parte Lange* (18 Wall [85 US] 163 [1873]). In *Lange*, the petitioner was granted relief because he had been sentenced to both a fine and imprisonment, though the applicable statute permitted only one or the other. The *DiFrancesco* Court said the *Lange* holding is "not susceptible of general application" (449 US at 139).

Nothing in *DiFrancesco* suggests that the Double Jeopardy Clause itself has "general application" to sentencing outside of the rare *Lange*-type situation. Justice Brennan, dissenting in *DiFrancesco*, seemingly read that case, as I do, nearly to eliminate the applicability of the clause to sentencing proceedings. Indeed, Justice Brennan found implicit in the *DiFrancesco* majority's holding a rejection of the idea that completion of a defendant's originally-imposed sentence is critical for double jeopardy purposes—an idea espoused by the majority here. "Under the Court's view, there is no double jeopardy bar to imposition of additional punishment by an appellant [*sic*] court *after* the defendant has completed service of the sentence imposed by the trial court" (*id.* at 152 n 15 [Brennan, J., dissenting]).

In short, my colleagues and I read *DiFrancesco* very differently. There is (nonbinding) precedent for both readings. Some courts have, like today's majority and Judge Pigott, found a "legitimate expectation of finality" test in *DiFrancesco* (*United States v Silvers*, 90 F3d 95, 101 [4th Cir 1996]; *United States v Arrellano-Rios*, 799 F2d 520, 523-524 [9th Cir 1986]); others have read *DiFrancesco* as largely eliminating double jeopardy issues in resentencing cases (*DeWitt v Ventetoulo*, 6 F3d 32, 34 [1st Cir 1993]; *United States v Lundien*, 769 F2d 981, 986 [4th Cir 1985]). I think the latter cases read *DiFrancesco* correctly.

In concluding that the Double Jeopardy Clauses are largely irrelevant to a situation like the present one, I do not imply that either the State or Federal Constitution gives courts carte blanche to increase defendants' sentences whenever they choose, up to the maximum permitted by statute. Rather, I follow the *DeWitt* and *Lundien* courts in concluding that due process, not double jeopardy, sets limits—though not narrow or rigid ones—on courts' resentencing power. The flexible approach that courts customarily use in interpreting Due Process Clauses—avoiding arbitrary cutoffs, but addressing "the familiar due process problem of deciding how much is too much" (*DeWitt*, 6 F3d at 36)—is better suited than double jeopardy analysis to identifying and correcting the few cases in which a belated sentencing enhancement is inconsistent with fundamental fairness. Such a case will be "the very rare exception to the general rule that courts can, after sentence, revise sentences upward to correct errors" (*id.*).

If the issue is understood as one of fundamental fairness, the cases now before us are easy ones. There is nothing fundamentally unfair about what happened to these defendants. Their sentences were enhanced, not by increasing their prison terms, but by adding terms of PRS required by state statute—components of their sentences inadvertently omitted when the sentences were pronounced. Those who did not know before they were originally sentenced that they were supposed to be subject to PRS soon found out, or at least had ample opportunity to do so. As Judge Pigott demonstrates, "[a]ll the evidence suggests that from the moment they entered the prison system, if not before, defendants expected to serve postrelease supervision" (Pigott, J., dissenting op at 228). None of them, so far as the record shows, complained or expressed surprise when they were (illegally) subjected to PRS on their release. None of these defendants is remotely comparable to the petitioner whose due

process claim was upheld in *DeWitt*. DeWitt had been granted a suspension of his life imprisonment sentence, had been released on parole, and had established a business and personal relationships in the community, only to be given the completely unexpected news that the suspension was a mistake and he was subject to a life sentence after all.

Since the resentencings of defendants in *People v Williams*, *People v Hernandez*, *People v Lewis* and *People v Rodriguez* violated neither their double jeopardy nor their due process rights, I would affirm the orders from which they appeal. In *Matter of Echevarria v Marks*, I concur in the result.

PIGOTT, J. (dissenting in *Williams*, *Hernandez*, *Lewis* and *Rodriguez* and concurring in *Echevarria*). According to the majority, a defendant who knows that the sentence he received is illegal, because it contravenes Penal Law § 70.45, nevertheless acquires a legitimate expectation in the finality of his sentence simply by virtue of being released from prison. Because that holding conflicts with United States Supreme Court jurisprudence, I dissent.

To begin with, I agree with the majority that there was no statutory impediment to the imposition of postrelease supervision on the defendants in these cases, after they had completed their terms of imprisonment (*see* majority op at 213). But I cannot accept the majority's conclusion that imposing postrelease supervision on defendants in Correction Law § 601-d resentencing proceedings violates their rights under the Double Jeopardy Clause of the United States Constitution.

The majority concedes that “[s]ince criminal defendants are charged with knowledge of the relevant laws that apply to them, they are presumed to be aware that a determinate prison sentence without a term of [postrelease supervision] is illegal and, thus, may be corrected by the sentencing court at some point in the future” (majority op at 217 [citation omitted]). But the majority fails to follow these propositions to their logical conclusion. A defendant who *knows* that the sentence he was given is illegal and is subject to correction cannot claim to have a legitimate expectation that the sentence will remain uncorrected. There can be no reasonable expectation of finality in a sentence that is less severe than required by the law.

The Supreme Court expressly held in *Bozza v United States* (330 US 160 [1947]) that a defendant has no legitimate expectation of finality in an unlawful sentence. In *Bozza*, the Court

ruled that a court does not violate a defendant's double jeopardy protections when it merely "set[s] aside what it had no authority to do and substitute[s] directions required by the law" (330 US at 167). *Bozza* was convicted of operating an illegal still, a crime carrying a mandatory sentence of a \$100 fine and a term in prison. The trial court originally sentenced the defendant only to the term of imprisonment. When the court realized its mistake, it resentenced defendant, imposing the \$100 fine as well as the prison term. The Supreme Court charged the defendant with knowledge that the court lacked the authority to impose only imprisonment, and held that he had no legitimate expectation of finality in the original, illegal sentence (*id.*). "The Constitution does not require that sentencing should be a game in which a wrong move by the judge means immunity for the prisoner" (330 US at 166-167; *see also Jones v Thomas*, 491 US 376, 387 [1989]).*

Applying *Bozza*, it follows that the defendants in the cases before us cannot claim a legitimate expectation of finality in their sentences. All are, as the majority concedes, presumed to be aware that their determinate prison sentences lacking post-release supervision are illegal and, thus, subject to correction (*see* majority op at 217). Therefore, none may claim objectively good reason to believe that his sentence would not be corrected. And defendant Williams can have had no expectation of finality for another reason; he acknowledges that he agreed in his plea agreement to serve postrelease supervision. A defendant who was "mistakenly sentenced to a lesser term than he agreed to" does not "acquire a vested interest in the error so that it would be unfair, under the double jeopardy clause, to correct the error and make the defendant serve out the term of his own sentencing agreement" (*People v Minaya*, 54 NY2d 360, 366 [1981]; *see also People v Williams*, 87 NY2d 1014, 1015 [1996]).

In *United States v DiFrancesco* (449 US 117 [1980]), the Supreme Court held that a defendant was charged with

* Although the majority suggests that *Bozza* should be limited to situations in which the error is "promptly" corrected (majority op at 215; *see also* majority op at 219), federal courts have given *Bozza* a much wider interpretation. "The full import of *Bozza* is that a trial court not only can alter a statutorily-invalid sentence in a way which might increase its severity, but must do so when the statute so provides" (*Thompson v United States*, 495 F2d 1304, 1306 [1st Cir 1974] [omission of statutorily mandated special parole term from sentence raised during appeal process]; *see also e.g. Caille v United States*, 487 F2d 614, 615 [5th Cir 1973] [same]; *United States v Rourke*, 984 F2d 1063, 1066 [10th Cir 1992] [same]).

knowledge that his sentence was subject to appeal by the government—under a federal statute permitting sentence enhancement of “dangerous special offenders”—and therefore could not have a legitimate expectation of finality (*DiFrancesco*, 449 US at 136, 139). *DiFrancesco* did not involve correction of an illegal sentence, but its rationale applies here, where the defendants are charged with knowledge that their sentences, if illegally imposed, are subject to correction (*see generally United States v Crawford*, 769 F2d 253, 257 [5th Cir 1985]).

Given the Supreme Court’s holdings in *Bozza* and *DiFrancesco*, it is clear that a defendant has a legitimate expectation in the finality of his sentence—that is, a reasonable expectation that the sentence he received will not be modified so as to become more severe—only when he has *objective reason* to believe that it will not be changed or corrected. The majority’s holding that “there is a legitimate expectation of finality once the initial sentence has been served and the direct appeal has been completed (or the time to appeal has expired)” (majority op at 217) fundamentally misunderstands the concept of an expectation of finality in double jeopardy jurisprudence. A defendant cannot acquire a legitimate expectation of finality from the mere fact that he has been released from prison. Factual or legal circumstances may exist that would undermine a reasonable person’s expectation in the finality of the sentence imposed, even *after* release.

Moreover, the majority’s requirement of two conditions for the attachment of a legitimate expectation of finality—the completion of “the initial sentence” and the completion of the direct appeal or time to appeal (majority op at 217)—implies that an incarcerated defendant cannot acquire a legitimate expectation of finality *until* his prison sentence is complete. This is also incorrect. Where circumstances do not undermine the expectation, a defendant will acquire a legitimate expectation of finality in his sentence as soon as the appeal process is complete and the one-year period has expired during which the People may move to set aside his sentence as invalid under CPL 440.40 (*compare DiFrancesco*, 449 US at 136 [expectation of finality attaches when time for government appeal has expired]). That period may expire before he is released.

The practical aspects of the litigation before us support the view that the defendants had no expectations of finality in their sentences. It is noteworthy that not one defendant has alleged that he was not informed of the postrelease supervision

component of his sentence upon commencement of his imprisonment (*see* Correction Law § 803 [6]), and not one denies that he was informed of the postrelease supervision before being conditionally released (*see* Penal Law § 70.45 [3]; Executive Law § 259-g [2]). Yet, defendants did not seek to challenge their post-release supervision when their prison sentences started or even when they were released. All the evidence suggests that from the moment they entered the prison system, if not before, defendants expected to serve postrelease supervision.

The majority insists that “there must be a temporal limitation on a court’s ability to resentence a defendant” (majority op at 217, citing *DeWitt v Ventetoulo*, 6 F3d 32, 34-35 [1st Cir 1993]). But *DeWitt* did not involve double jeopardy protections at all. That case held that a tardy, procedurally unique reinstatement of a life sentence, six years after it was suspended, violated a defendant’s *due process* rights, and the First Circuit went out of its way to note that although

“notions of fundamental fairness do place some temporal limit on later increases in sentence . . . [o]nly in the *extreme* case can a court properly say that the later upward revision of a sentence, made to correct an earlier mistake, is so unfair that it must be deemed inconsistent with fundamental notions of fairness embodied in the Due Process Clause” (6 F3d at 35 [emphasis added]).

The majority does not reach defendants’ due process arguments, and I will not address them here, except to say that if the majority believes that notions of fundamental fairness embodied in the Due Process Clause mandate that an expectation of finality originates as soon as a defendant’s initial sentence has been served, it should say so.

In any case, the statement that “there must be a temporal limitation on a court’s ability to resentence a defendant” (majority op at 217) again misconstrues the notion of legitimate expectation of finality, which is constrained not by time, but by whether or not it would be reasonable for defendant to believe that his sentence will not be modified. If, in a particular case, a defendant cannot be hauled back to prison 10 years after he has been released, on the ground of an error in his sentence, that may be because defendant cannot reasonably be charged with having known that his sentence was in any way defective. Or, more likely, it may be because of fundamental fairness considerations embodied in due process rights. It is never merely because of a temporal limitation on resentencing that emerges from double jeopardy protections.

Selecting a defendant's conditional release date to be the time when an expectation of finality attaches is simply arbitrary.

“The Double Jeopardy Clause does not provide the defendant with the right to know at any specific moment in time what the exact limit of his punishment will turn out to be. Congress has established many types of criminal sanctions under which the defendant is unaware of the precise extent of his punishment for significant periods of time, or even for life, yet these sanctions have not been considered to be violative of the Clause.” (*DiFrancesco*, 449 US at 137.)

Finally, the Supreme Court has often had occasion to repeat that “a sentence does not have the qualities of constitutional finality that attend an acquittal” (*DiFrancesco*, 449 US at 134, citing *Chaffin v Stynchcombe*, 412 US 17 [1973]; *North Carolina v Pearce*, 395 US 711 [1969]; *Bozza*; and *Stroud v United States*, 251 US 15 [1919]; see also *Caspari v Bohlen*, 510 US 383, 391-392 [1994]). Resentencing “does not involve a retrial or approximate the ordeal of a trial on the basic issue of guilt or innocence” (*DiFrancesco*, 449 US at 136). We should be more cautious before we deviate from the Supreme Court's “traditional refusal to extend the Double Jeopardy Clause to sentencing” (*Caspari*, 510 US at 392).

For these reasons, I dissent in *People v Williams*, *People v Hernandez*, *People v Lewis*, and *People v Rodriguez*, and I concur in result in *Matter of Echevarria v Marks*.

Chief Judge LIPPMAN and Judges CIPARICK, READ and JONES concur with Judge GRAFFEO; Judge SMITH dissents and votes to affirm in a separate opinion; Judge PIGOTT dissents in another opinion.

In *People v Williams*, *People v Hernandez*, *People v Lewis* and *People v Rodriguez*: Order reversed, etc.

Chief Judge LIPPMAN and Judges CIPARICK, READ and JONES concur with Judge GRAFFEO; Judge SMITH concurs in result in a separate opinion; Judge PIGOTT concurs in result in another opinion.

In *Matter of Echevarria v Marks*: Judgment affirmed, without costs.

[925 NE2d 899, 899 NYS2d 97]

In the Matter of EDWARD A. MARON et al., Appellants, v SHELDON SILVER, as Speaker of the State Assembly, et al., Respondents, et al., Respondent.

SUSAN LARABEE et al., Respondents-Appellants, v GOVERNOR OF THE STATE OF NEW YORK, Respondent, and NEW YORK STATE SENATE et al., Appellants-Respondents.

CHIEF JUDGE OF THE STATE OF NEW YORK et al., Appellants-Respondents, v GOVERNOR OF THE STATE OF NEW YORK et al., Respondents-Appellants.

Argued January 12, 2010; decided February 23, 2010

SUMMARY

APPEAL, in the first above-entitled proceeding and action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 13, 2008. The Appellate Division modified, on the law, a judgment of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, which had (1) ruled that the allegations of the amended petition, insofar as they alleged a constitutional violation against the Assembly and Senate, would be read as alleging a claim against the State of New York; (2) granted respondents' motion to dismiss the first and second causes of action for failure to state a cause of action; (3) vacated so much of an order of the Supreme Court, Nassau County (Thomas Feinman, J.), as had restrained respondents from returning the \$69,500,000 designated for judicial pay raises in the New York State budget for the 2006-2007 fiscal year to the general fund and had directed that the funds remain segregated and designated for judicial pay raises; (4) granted respondents' motion to dismiss the proceeding as against respondents Sheldon Silver, Joseph Bruno and Eliot Spitzer; (5) declared that judicial salaries as set forth in Judiciary Law §§ 221 through 221-i are not unconstitutional as a direct or discriminatory attack on judicial independence; (6) ruled that a determination could not be made, based on the submissions of the parties, regarding whether the failure to amend Judiciary Law §§ 221 through 221-i so as to increase judicial compensation is unconstitutional as having impinged on the independence of the judicial branch; and (7) declared that judicial salaries as set

forth in Judiciary Law §§ 221 to 221-i, and the failure to amend Judiciary Law §§ 221 through 221-i so as to increase judicial compensation, do not violate the Equal Protection Clause of the State Constitution. The modification consisted of reversing so much of the judgment as had partially denied respondents' motion to dismiss the petition, granting respondents' motion to dismiss in its entirety, and dismissing the petition. The Appellate Division affirmed the judgment as modified.

CROSS APPEALS, in the second above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 2, 2009. The Appellate Division affirmed (1) an order of the Supreme Court, New York County (Edward H. Lehner, J.; op 19 Misc 3d 226), which had granted the motion of defendant Eliot Spitzer to dismiss the action as against him, granted the motion of the remaining defendants to dismiss the action to the extent of dismissing the first cause of action, and denied defendants' motion to dismiss as to the second cause of action, and (2) an order of that court (op 20 Misc 3d 866), which had granted plaintiffs' motion for summary judgment on the second cause of action to the extent of declaring that defendants, through the practice of linkage, have unconstitutionally abused their power by depriving the Judiciary of any increase in compensation for almost a decade, and directing that defendants, within 90 days, remedy such abuse by proceeding in good faith to adjust the compensation payable to members of the Judiciary to reflect the increase in the cost of living since such pay was last adjusted in 1998, with an appropriate provision for retroactivity.

APPEALS, in the third above-entitled action, on constitutional grounds, from a judgment (denominated decision and order) of the Supreme Court, New York County (Edward H. Lehner, J.), entered June 16, 2009, and from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 15, 2009. The Supreme Court judgment granted defendants' motion to dismiss the first and second causes of action and, upon searching the record at plaintiffs' request, granted plaintiffs summary judgment on their third cause of action, declaring that through the practice of linkage defendants have unconstitutionally abused their power by depriving the Judiciary of any increase in compensation since 1998, and directing that defendants, within 56 days, remedy such abuse by proceeding in good faith to adjust such compensation to reflect the increase in the cost of living since 1998, with

an appropriate provision for retroactivity. The Appellate Division order affirmed so much of the judgment of the Supreme Court as had granted plaintiffs summary judgment on their third cause of action.

Matter of Maron v Silver, 58 AD3d 102, modified.

Larabee v Governor of State of N.Y., 65 AD3d 74, modified.

Chief Judge of State of N.Y. v Governor of State of N.Y., 65 AD3d 898, modified.

Chief Judge of State of N.Y. v Governor of State of N.Y., 25 Misc 3d 268, modified.

HEADNOTES

Judges — Disqualification — Rule of Necessity

1. The Court of Appeals was required, pursuant to the Rule of Necessity, to hear and dispose of the constitutional issues raised in a hybrid CPLR article 78 proceeding/declaratory judgment action and two related declaratory judgment actions challenging the failure to adjust judicial compensation since 1998. Although members of the Court of Appeals are paid via the salary schedule delineated in Judiciary Law § 221 and therefore will be affected by the outcome of the appeals, no other judicial body with jurisdiction exists to hear the constitutional issues raised therein.

Proceeding against Body or Officer — Mandamus — Disbursement of State Funds Appropriated for Judicial Pay Raises

2. In a hybrid CPLR article 78 proceeding/declaratory judgment action challenging the failure to adjust judicial compensation since 1998, mandamus did not lie to compel respondent State Comptroller to disburse all retroactive sums and pay the budgeted raises allocated in the 2006-2007 state budget for judicial salary reform. Chapter 51 of the Laws of 2006, addressing “JUDICIAL COMPENSATION REFORM,” contained a \$69.5 million budget item to adjust judicial compensation “pursuant to a chapter of the laws of 2006.” No subsequent chapter law, however, was enacted either amending the Judiciary Law salary schedules or directing the disbursement of the funds. Because judicial compensation was constitutionally required to be “established by law” (NY Const, art VI, § 25 [a]) and no subsequent chapter law was ever enacted, mandamus did not lie.

Judges — Judicial Salaries — Legislature’s Failure to Increase Judicial Compensation — Equal Protection

3. In a hybrid CPLR article 78 proceeding/declaratory judgment action challenging the failure to adjust judicial compensation since 1998, Supreme Court properly dismissed petitioners’ cause of action alleging that the Judiciary constituted a “suspect class” that had been denied equal protection under the law because judicial pay raises have been historically contingent on or “tied to” salary increases for legislators.

Judges — Judicial Salaries — Legislature’s Failure to Increase Judicial Compensation — Compensation Clause — Failure to Address Effects of Inflation Not Per Se Violation

4. In a hybrid CPLR article 78 proceeding/declaratory judgment action and related declaratory judgment action challenging the failure to adjust judicial

compensation since 1998, the failure to address the effects of inflation did not equate to a per se violation of the Compensation Clause (NY Const, art VI, § 25 [a]). Although the Compensation Clause plainly prohibits the diminution of judicial compensation by legislative act during a judge's term of office, there was no evidence in the history of the Clause's enactment or subsequent amendments that supported a broad interpretation embracing indirect diminishment by neglect, and therefore no evidence that the "no diminishment" rule was intended to affirmatively require that judicial salaries be adjusted to keep pace with the cost of living. The diminution in value of judicial compensation by inflation was a concern when the clause was enacted and amended, but the drafters decided that the best way to combat the effects of inflation was to count on the Legislature to assure the fair and appropriate compensation of the Judiciary.

Judges — Judicial Salaries — Legislature's Failure to Increase Judicial Compensation — Compensation Clause — No Discrimination against Judiciary in Violation of Compensation Clause

5. In a declaratory judgment action challenging the failure to adjust judicial compensation since 1998, Supreme Court properly dismissed plaintiffs' cause of action alleging that defendants discriminated against the Judiciary in violation of the Compensation Clause (NY Const, art VI, § 25 [a]) by freezing judicial salaries while repeatedly increasing the salaries of almost all of the remaining state employees to keep pace with the cost of living. Relief was not warranted under *United States v Hatter* (532 US 557 [2001]), which involved a Social Security tax law that discriminated against federal judges by reducing the compensation of judges only. The situation here did not involve any legislative enactment that directly or indirectly diminished judicial compensation. Moreover, although other state employees had received adjustments to account for inflation, judges were not the only state employees whose salaries have not been adjusted since judicial salaries were last increased.

Legislature — Immunity from Prosecution — Immunity under Speech or Debate Clause Not Available in Action Challenging Legislature's Failure to Increase Judicial Compensation

6. In a hybrid CPLR article 78 proceeding/declaratory judgment action and two related declaratory judgment actions challenging the failure to adjust judicial compensation since 1998, the Assembly, Senate and the State were not immune under the Speech or Debate Clause from plaintiffs' violation of separation of powers claims. The Speech or Debate Clause protects against inquiry into acts that occur in the regular course of the legislative process and into the motivation for those acts, and applies to only "members" and to "any speech or debate in either house" (NY Const, art III, § 11). Such immunity does not apply to either house of the Legislature as a whole. Moreover, no inquiry into acts that occurred in the regular course of the legislative process or the Legislature's motives for such acts was necessary here, as all of the parties acknowledged that the Judiciary was entitled to an increase in compensation, and the State defendants had made proclamations outside of the legislative and executive chambers as to why such an increase had not occurred.

Judges — Judicial Salaries — Legislature's Failure to Increase Judicial Compensation — Separation of Powers Doctrine

7. In a hybrid CPLR article 78 proceeding/declaratory judgment action challenging the failure to adjust judicial compensation since 1998, petitioners sufficiently stated a cause of action for violation of the Separation of Powers Doctrine. Petitioners alleged that by tying judicial compensation to unrelated

legislative objectives and policy initiatives, as opposed to conducting an independent assessment of judicial compensation, the Legislature had disregarded the separation of powers doctrine and threatened the independence of the Judiciary. The compensation provisions in the State Constitution for each branch of government are separately addressed in the article for each respective branch, and not in the article where the powers of the legislative branch are articulated. Although a function of the Legislature is to approve the compensation of each of the three branches, the compensation to be paid to members of each particular branch must be determined separately and distinctly from the others. Whether the Judiciary is entitled to a compensation increase must be based upon an objective assessment of the Judiciary's needs if it is to retain its functional and structural independence. By failing to consider judicial compensation increases on the merits, and instead holding them hostage to other legislative objectives, the Legislature weakens the Judiciary by making it unduly dependent on the Legislature.

**Judges — Judicial Salaries — Legislature's Failure to Increase
Judicial Compensation — Separation of Powers Doctrine**

8. In two related declaratory judgment actions challenging the failure to adjust judicial compensation since 1998, plaintiffs were entitled to a declaration that, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violated the Separation of Powers Doctrine. The compensation provisions in the State Constitution for each branch of government are separately addressed in the article for each respective branch, and not in the article where the powers of the legislative branch are articulated. Although a function of the Legislature is to approve the compensation of each of the three branches, the compensation to be paid to members of each particular branch must be determined separately and distinctly from the others. Whether the Judiciary is entitled to a compensation increase must be based upon an objective assessment of the Judiciary's needs if it is to retain its functional and structural independence. By failing to consider judicial compensation increases on the merits, and instead holding them hostage to other legislative objectives, the Legislature weakened the Judiciary by making it unduly dependent on the Legislature.

**Judges — Judicial Salaries — Legislature's Failure to Increase
Judicial Compensation — Separation of Powers Doctrine —
Remedy for Violation of Separation of Powers Doctrine**

9. In two related declaratory judgment actions challenging the failure to adjust judicial compensation since 1998 resulting in a declaration that, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violated the Separation of Powers Doctrine, it was not necessary to order specific injunctive relief. Deference to the Legislature regarding whether judicial compensation should be adjusted, and by how much, was necessary because it is in a far better position than the Judiciary to determine funding needs throughout the State and priorities for the allocation of the State's resources. Appropriate and expeditious legislative consideration of judicial compensation is, however, expected, and when addressed in present and future budget deliberations it cannot depend on unrelated policy initiatives or legislative compensation adjustments.

**Judges — Judicial Salaries — Legislature's Failure to Increase
Judicial Compensation — Separation of Powers Doctrine —
Constitutional Inadequacy of Compensation**

10. The Legislature has a constitutional duty and obligation to provide the Judiciary with compensation adequate in amount and commensurate with the

duties and responsibilities of the judges involved. Moreover, adequate judicial compensation is necessary to ensure that the public will have its matters heard by competent judges and that judges will be free to issue decisions in accordance with the law without fear of retribution by the other two branches of government. The Compensation Clause's language that compensation "shall not be diminished" (NY Const, art VI, § 25 [a]) is not the opposite of an "adequate compensation" guarantee. The argument that the current salaries are inadequate when compared to other legal positions in the public and private sectors, as raised by plaintiffs in a declaratory judgment action challenging the Legislature's failure to adjust judicial compensation since 1998, is, however, one that is best addressed in the first instance by the Legislature.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 260–264, 267–269, 274, 275, 278, 279, 292, 304, 484, 865–868; AM JUR 2d, Declaratory Judgments §§ 14, 15, 26, 92, 246, 255; AM JUR 2d, Judges §§ 50–53, 57, 84; AM JUR 2d, Mandamus §§ 90, 91, 151–155.

CARMODY-WAIT 2d, Officers of Court §§ 3:33, 3:38, 3:83; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:136, 145:144, 145:145, 145:151; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:3, 147:7, 147:18–147:20, 147:38, 147:41, 147:178, 147:182.

McKINNEY's, Judiciary Law §§ 221–221–i; NY Const, art III, § 11; art VI, § 25.

NY JUR 2d, Article 78 and Related Proceedings §§ 8, 31, 81, 82, 85, 93, 95, 19, 341, 343; NY JUR 2d, Constitutional Law §§ 159, 161, 172, 173, 175, 351–353, 374; NY JUR 2d, Courts and Judges §§ 302, 305, 308, 397, 398; NY JUR 2d, Declaratory Judgments and Agreed Case §§ 4–10, 18, 23, 29; NY JUR 2d, State of New York §§ 129, 130.

SIEGEL, NY PRAC §§ 436, 437, 440, 558.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Equal Protection; Judges; Mandamus; Recusal; Separation of Powers; Speech or Debate Provisions.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: judicial /2 compensation /s separation /3 power & rule /3 necessity /p court /3 appeal

POINTS OF COUNSEL

Steven Cohn, P.C., Carle Place (*Steven Cohn, Richard Lieb and Paula Schwartz Frome* of counsel), for appellants in the

first above-entitled proceeding and action. I. New York's judges have a right under the Constitution to a salary adjustment under the circumstances of this case. (*People ex rel. Burby v Howland*, 155 NY 270; *Larabee v Governor of State of N.Y.*, 65 AD3d 74; *United States v Brewster*, 408 US 501; *Hutchinson v Proxmire*, 443 US 111; *United States v Johnson*, 383 US 169; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Matter of County of Oneida v Berle*, 49 NY2d 515; *O'Donoghue v United States*, 289 US 516; *Golden v Clark*, 76 NY2d 618.) II. Appellants are entitled to mandamus because they have a clear legal right to the increased compensation granted by chapter 51 of the Laws of 2006 (2006 Act), which was complete, immediately effective, and could not lawfully be made contingent on the enactment of further legislation; they are also entitled to declaratory relief declaring their right to increased compensation under the 2006 Act. (*Ortiz v Fibreboard Corp.*, 527 US 815; *Klostermann v Cuomo*, 61 NY2d 525; *Matter of County of Oneida v Berle*, 49 NY2d 515; *People v Tremaine*, 252 NY 27; *Pataki v New York State Assembly*, 4 NY3d 75; *People ex rel. Westchester Fire Ins. Co. v Davenport Trustees*, 91 NY 574; *Larabee v Governor of State of N.Y.*, 65 AD3d 74; *Public Serv. Commn., Second Dist. v New York Cent. R.R. Co.*, 193 App Div 615, 230 NY 149; *Woollcott v Shubert*, 217 NY 212; *United States v Trans-Missouri Freight Assn.*, 166 US 290.)

Schlam Stone & Dolan LLP, New York City (*Richard H. Dolan*, *David J. Katz* and *Erik S. Groothuis* of counsel), for respondents in the first above-entitled proceeding and action. I. The statutes setting judicial salaries are entitled to a presumption of constitutionality. (*Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489; *INS v Chadha*, 462 US 919; *McGowan v Burstein*, 71 NY2d 729; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Cohen v State of New York*, 94 NY2d 1.) II. "Linkage" is a core legislative function protected by the Speech or Debate Clause. (*Matter of Rivera v Espada*, 98 NY2d 422; *People v Ohrenstein*, 77 NY2d 38; *Matter of Straniere v Silver*, 218 AD2d 80, 89 NY2d 825; *Gravel v United States*, 408 US 606; *Matter of Urbach v Farrell*, 229 AD2d 275; *Campaign for Fiscal Equity v State of New York*, 179 Misc 2d 907, 265 AD2d 277; *Bogan v Scott-Harris*, 523 US 44; *State Empls. Bargaining Agent Coalition v Rowland*, 494 F3d 71; *Campaign for Fiscal Equity v State of New York*, 271 AD2d 379; *Urban Justice Ctr. v Pataki*, 10 Misc 3d 939, 38 AD3d 20, *appeal dismissed sub nom. Urban Justice Ctr. v Spitzer*, 8 NY3d 958.) III. New York's Constitution

does not prohibit “linkage,” and the practice does not violate the Separation of Powers Doctrine. (*Larabee v Governor of State of N.Y.*, 65 AD3d 74; *Urban Justice Ctr. v Pataki*, 38 AD3d 20, appeal dismissed sub nom. *Urban Justice Ctr. v Spitzer*, 8 NY3d 958; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *United States v Hatter*, 532 US 557; *Cohen v State of New York*, 94 NY2d 1; *INS v Chadha*, 462 US 919; *Matter of Prospect v Cohalan*, 65 NY2d 867; *Pataki v New York State Assembly*, 4 NY3d 75; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344.) IV. Appellants’ equal protection claim was properly dismissed. (*Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Affronti v Crosson*, 95 NY2d 713; *Washington v Glucksberg*, 521 US 702; *People v Isaacson*, 44 NY2d 511; *Kimel v Florida Bd. of Regents*, 528 US 62; *Heller v Doe*, 509 US 312; *Minnesota v Clover Leaf Creamery Co.*, 449 US 456; *Dalton v Pataki*, 5 NY3d 243; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284.) V. Respondents have not violated the Compensation Clause of the State Constitution. (*Clark v State of New York*, 142 NY 101; *People v Tremaine*, 252 NY 27; *People v Ohrenstein*, 77 NY2d 38; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *United States v Will*, 449 US 200; *Williams v United States*, 240 F3d 1019; *Atkins v United States*, 556 F2d 1028; *Larabee v Governor of State of N.Y.*, 65 AD3d 74; *Matter of Catanise v Town of Fayette*, 148 AD2d 210; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110.) VI. Mandamus does not lie to compel the Comptroller to disburse the funds appropriated in chapter 51 of the Laws of 2006. (*Klostermann v Cuomo*, 61 NY2d 525; *Matter of Kupersmith v Public Health Council of State of N.Y.*, 101 AD2d 918, 63 NY2d 904; *Matter of United Methodist Retirement Community Dev. Corp. v Axelrod*, 110 AD2d 292; *Matter of Rodriguez v Goord*, 260 AD2d 736, 93 NY2d 818; *Matter of Malik v Berlinland*, 158 AD2d 836, 76 NY2d 704; *People v Tremaine*, 252 NY 27; *Matter of Blyn v Bartlett*, 39 NY2d 349; *Cohen v State of New York*, 94 NY2d 1.)

Schlam Stone & Dolan LLP, New York City (*Richard H. Dolan*, *David J. Katz* and *Erik S. Groothuis* of counsel), for respondent and appellants-respondents in the second above-entitled action. I. The statutory provisions establishing the levels of judicial compensation are entitled to a presumption of constitutionality. (*Elmwood-Utica Houses v Buffalo Sewer Auth.*,

65 NY2d 489; *INS v Chadha*, 462 US 919; *McGowan v Burstein*, 71 NY2d 729; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Cohen v State of New York*, 94 NY2d 1.) II. “Linkage” is a core legislative function protected by the Speech or Debate Clause. (*Matter of Rivera v Espada*, 98 NY2d 422; *People v Ohrenstein*, 77 NY2d 38; *Matter of Straniere v Silver*, 218 AD2d 80, 89 NY2d 825; *Gravel v United States*, 408 US 606; *Matter of Urbach v Farrell*, 229 AD2d 275; *Campaign for Fiscal Equity v State of New York*, 179 Misc 2d 907, 265 AD2d 277; *Bogan v Scott-Harris*, 523 US 44; *State Empls. Bargaining Agent Coalition v Rowland*, 494 F3d 71; *Campaign for Fiscal Equity v State of New York*, 271 AD2d 379; *Urban Justice Ctr. v Pataki*, 10 Misc 3d 939, 38 AD3d 20, *appeal dismissed sub nom. Urban Justice Ctr. v Spitzer*, 8 NY3d 958.) III. New York’s Constitution does not prohibit “linkage,” and the practice does not violate the Separation of Powers Doctrine. (*Matter of Maron v Silver*, 58 AD3d 102; *Urban Justice Ctr. v Silver*, 66 AD3d 567; *Pataki v New York State Assembly*, 4 NY3d 75; *Urban Justice Ctr. v Pataki*, 38 AD3d 20, *appeal dismissed sub nom. Urban Justice Ctr. v Spitzer*, 8 NY3d 958; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *INS v Chadha*, 462 US 919; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *United States v Hatter*, 532 US 557; *Cohen v State of New York*, 94 NY2d 1.) IV. The Senate should have been dismissed because it did not engage in “linkage.” V. The lower court erred in affirming summary judgment on this record. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Smalls v AJI Indus., Inc.*, 10 NY3d 733.) VI. The relief granted does not conform to the constitutional infirmity found. (*Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14.)

Cohen & Gressler LLP, New York City (*Thomas E. Bezanson*, *Alexandra Wald* and *Matthew V. Povolny* of counsel), and *Chadbourne & Parke LLP* (*George Bundy Smith* and *J. Carson Puley* of counsel), for respondents-appellants in the second above-entitled action. I. Defendants’ appeal should be dismissed. II. Defendants’ Speech or Debate Clause argument would eviscerate the Separation of Powers Doctrine. (*Blue Grass Partners v Bruns, Nordeman, Rea & Co.*, 75 AD2d 791; *People v Padua*, 297 AD2d 536; *Campaign for Fiscal Equity v State of New York*, 179 Misc 2d 907, 265 AD2d 277; *Matter of Straniere v Silver*, 218 AD2d 80; *Bogan v Scott-Harris*, 523 US 44; *Urban Justice Ctr. v Silver*, 66 AD3d 567; *Samuels v New York State Dept. of*

Health, 29 AD3d 9; *Pataki v New York State Assembly*, 4 NY3d 75; *Pollicina v Misericordia Hosp. Med. Ctr.*, 82 NY2d 332; *Matter of Malloy*, 278 NY 429.) III. Linkage violates the separation of powers. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Urban Justice Ctr. v Pataki*, 38 AD3d 20, appeal dismissed sub nom. *Urban Justice Ctr. v Spitzer*, 8 NY3d 958; *People ex rel. Burby v Howland*, 155 NY 270; *Duplantier v United States*, 606 F2d 654; *O'Donoghue v United States*, 289 US 516; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Klostermann v Cuomo*, 61 NY2d 525; *Dickinson v Crosson*, 219 AD2d 50; *Nicolai v Crosson*, 214 AD2d 714.) IV. The Senate engaged in linkage and should be held accountable. V. The Appellate Division correctly affirmed the IAS court's order granting summary judgment on the undisputed record before it and the relief it granted was proper. (*Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *Matter of Catanise v Town of Fayette*, 148 AD2d 210; *United States v Hatter*, 532 US 557; *O'Donoghue v United States*, 289 US 516; *Briggs v 2244 Morris L.P.*, 30 AD3d 216; *Russell v Town of Pittsford*, 94 AD2d 410; *Rotuba Extruders v Ceppos*, 46 NY2d 223; *Johnson v Danna Oil Co.*, 28 Misc 2d 651; *Yesuvida v Pennsylvania R.R. Co.*, 200 Misc 815; *Evans v Gore*, 253 US 245.) VI. The relief granted was proper. VII. The Appellate Division erred by affirming the order of the IAS court, dismissing plaintiffs' first cause of action for unconstitutional diminishment of judicial compensation. (*Evans v Gore*, 253 US 245; *Miles v Graham*, 268 US 501; *O'Malley v Woodrough*, 307 US 277; *Atkins v United States*, 556 F2d 1028; *United States v Will*, 449 US 200; *United States v Hatter*, 532 US 557; *Matter of Carey v Morton*, 297 NY 361; *Black v Graves*, 257 App Div 176, 281 NY 792; *Matter of Legum v Goldin*, 55 NY2d 104.) VIII. The Appellate Division erred in declining to grant the reasonable and appropriate monetary relief that plaintiffs seek. (*United States v Will*, 449 US 200; *Atkins v United States*, 556 F2d 1028; *Matter of Gresser v O'Brien*, 146 Misc 909, 263 NY 622; *Williams v United States*, 240 F3d 1019, 535 US 911; *O'Donoghue v United States*, 289 US 516; *People ex rel. Burby v Howland*, 155 NY 270; *Boehner v Anderson*, 809 F Supp 138, 30 F3d 156; *Schultz v Harrison Radiator Div. Gen. Motors Corp.*, 90 NY2d 311; *Nicolai v Crosson*, 214 AD2d 714; *Deutsch v Crosson*, 171 AD2d 837.)

Suhana S. Han, New York City, *Adam R. Brebner* and *Matthew A. Parham* for New York County Lawyers' Association, amicus curiae in the second above-entitled action. I. The 30%

decrease in judicial salaries since 1999 is an unconstitutional diminution of judicial compensation. (*United States v Will*, 449 US 200; *People ex rel. Burby v Howland*, 155 NY 270; *United States v Hatter*, 532 US 557; *Evans v Gore*, 253 US 245; *Miles v Graham*, 268 US 501; *O'Malley v Woodrough*, 307 US 277; *Matter of Carey v Morton*, 297 NY 361; *Randall v Sorrell*, 548 US 230; *Marbury v Madison*, 1 Cranch [5 US] 137; *Black v Graves*, 257 App Div 176.) II. Defendants have violated the Separation of Powers Doctrine. (*People ex rel. Burby v Howland*, 155 NY 270; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *O'Malley v Woodrough*, 307 US 277; *United States v Hatter*, 532 US 557; *Tenney v Brandhove*, 341 US 367; *Powell v McCormack*, 395 US 486; *Marbury v Madison*, 1 Cranch [5 US] 137; *New York County Lawyers' Assn. v State of New York*, 294 AD2d 69; *Silver v Pataki*, 96 NY2d 532.)

Briscoe R. Smith, Larchmont, and *Martin S. Kaufman* for Atlantic Legal Foundation and another, amici curiae in the second above-entitled action. I. Inadequate judicial compensation in New York is detrimental to business and the economy. (*Matter of Maron v Silver*, 58 AD3d 102.) II. The New York Legislature has failed to respond to inadequate judicial compensation.

Dorsey & Whitney LLP, New York City (*Zachary W. Carter* of counsel), and *Eric B. Epstein* for Zachary W. Carter, amicus curiae in the second above-entitled action. I. Linkage and the resulting diminishment of judicial compensation violate the Separation of Powers Doctrine. (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of County of Oneida v Berle*, 49 NY2d 515; *O'Donoghue v United States*, 289 US 516; *Loving v United States*, 517 US 748; *People ex rel. Burby v Howland*, 155 NY 270; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *Matter of Catanise v Town of Fayette*, 148 AD2d 210; *Roe v Board of Trustees of Vil. of Bellport*, 65 AD3d 1211; *New York County Lawyers' Assn. v State of New York*, 196 Misc 2d 761; *People v Allen*, 301 NY 287.) II. Linkage and the resulting diminishment of judicial compensation violate the Compensation Clause. (*United States v Will*, 449 US 200; *People ex rel. Burby v Howland*, 155 NY 270; *Black v Graves*, 257 App Div 176, 281 NY 792; *Atkins v United States*, 556 F2d 1028; *United States v Hatter*, 532 US 557; *Walz v Tax Comm'n of City of New York*, 397 US 664.)

Wollmuth Maher & Deutsch LLP, New York City (*Vincent T.*

Chang of counsel), for Asian American Bar Association of New York and others, amici curiae in the second above-entitled action. I. Inadequate judicial compensation disproportionately reduces the pool of minority group members who are willing and able to serve as judges. (*United States v Hatter*, 532 US 557.) II. Threats to judicial independence disproportionately affect minority group members. (*People ex rel. Burby v Howland*, 155 NY 270; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *United States v Will*, 449 US 200; *Loving v United States*, 517 US 748.)

Wachtell, Lipton, Rosen & Katz, New York City (*Bernard W. Nussbaum*, *George T. Conway III*, *Graham W. Meli* and *Kevin S. Schwartz* of counsel), and *Michael Colodner* for appellants-respondents in the third above-entitled action. I. If the Judiciary is to continue to function as an independent, coequal branch of government, judicial compensation must be adequate. Defendants have breached their constitutional duty to provide adequate compensation. (*Larabee v Spitzer*, 19 Misc 3d 226, *affd sub nom. Larabee v Governor of State of N.Y.*, 65 AD3d 74; *Matter of Maron v Silver*, 58 AD3d 102; *Matter of County of Oneida v Berle*, 49 NY2d 515; *Matter of LaGuardia v Smith*, 288 NY 1; *People ex rel. Burby v Howland*, 155 NY 270; *Printz v United States*, 521 US 898; *O'Donoghue v United States*, 289 US 516; *United States v Will*, 449 US 200; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *Matter of Catanise v Town of Fayette*, 148 AD2d 210.) II. Defendants have violated the Compensation Clause by discriminating against judges. (*United States v Hatter*, 532 US 557; *O'Malley v Woodrough*, 307 US 277; *Evans v Gore*, 253 US 245; *United States v Will*, 449 US 200; *Williams v United States*, 535 US 911; *Matter of Maron v Silver*, 58 AD3d 102; *Atkins v United States*, 556 F2d 1028.) III. Neither the Speech or Debate Clause nor the Separation of Powers Doctrine bars relief. This Court has the power to set the amount of judicial compensation that the Executive and the Legislature have conceded is appropriate. (*Larabee v Spitzer*, 19 Misc 3d 226; *Powell v McCormack*, 395 US 486; *Marbury v Madison*, 1 Cranch [5 US] 137; *Bogan v Scott-Harris*, 523 US 44; *People v Ohrenstein*, 77 NY2d 38; *Kilbourn v Thompson*, 103 US 168; *Dombrowski v Eastland*, 387 US 82; *Matter of Straniere v Silver*, 218 AD2d 80, 89 NY2d 825; *Cass v State of New York*, 58 NY2d 460; *Tenney v Brandhove*, 341 US 367.)

Schlam Stone & Dolan LLP, New York City (*Richard H. Dolan*, *David J. Katz* and *Erik S. Groothuis* of counsel), for

respondents-appellants in the third above-entitled action. I. The statutory provisions establishing the levels of judicial compensation are entitled to a presumption of constitutionality. (*Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489; *INS v Chadha*, 462 US 919; *McGowan v Burstein*, 71 NY2d 729; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Cohen v State of New York*, 94 NY2d 1.) II. The First Department's order finding that "linkage" violates the Constitution should be reversed. (*Matter of Rivera v Espada*, 98 NY2d 422; *People v Ohrenstein*, 77 NY2d 38; *Matter of Straniere v Silver*, 218 AD2d 80, 89 NY2d 825; *Gravel v United States*, 408 US 606; *Matter of Urbach v Farrell*, 229 AD2d 275; *Campaign for Fiscal Equity v State of New York*, 179 Misc 2d 907, 265 AD2d 277; *Bogan v Scott-Harris*, 523 US 44; *State Empls. Bargaining Agent Coalition v Rowland*, 494 F3d 71; *Campaign for Fiscal Equity v State of New York*, 271 AD2d 379; *Urban Justice Ctr. v Pataki*, 10 Misc 3d 939, 38 AD3d 20, *appeal dismissed sub nom. Urban Justice Ctr. v Spitzer*, 8 NY3d 958.) III. The Senate should have been dismissed because it did not engage in "linkage." (*Larabee v Governor of State of N.Y.*, 65 AD3d 74.) IV. The lower court erred in affirming summary judgment on this record. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Smalls v AJI Indus., Inc.*, 10 NY3d 733.) V. The relief granted does not conform to the constitutional infirmity found. (*Larabee v Spitzer*, 19 Misc 3d 226; *Larabee v Governor of State of N.Y.*, 20 Misc 3d 866, 65 AD3d 74; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14.) VI. Supreme Court's order holding that compensation paid to judges was not constitutionally inadequate should be affirmed. (*United States v Will*, 449 US 200; *Williams v United States*, 535 US 911; *Matter of Catanise v Town of Fayette*, 148 AD2d 210; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *Roe v Board of Trustees of Vil. of Bellport*, 65 AD3d 1211; *Haggerty v City of New York*, 267 NY 252.) VII. Supreme Court's order dismissing plaintiffs' discrimination claim should be affirmed. (*United States v Hatter*, 532 US 557; *O'Malley v Woodrough*, 307 US 277; *Larabee v Spitzer*, 19 Misc 3d 226, *affd sub nom. Larabee v Governor of State of N.Y.*, 65 AD3d 74; *United States v Will*, 449 US 200; *Williams v United States*, 240 F3d 1019.)

Stroock & Stroock & Lavan LLP, New York City (*Joseph L. Forstadt*, *Ernst H. Rosenberger*, *Burton N. Lipshie*, *Jerry H. Goldfeder*, *Sandra J. Rampersaud* and *Linda M. Melendres* of counsel), for Association of Justices of the Supreme Court of the State of New York and others, amici curiae in the first above-entitled proceeding and action and the second and third

above-entitled actions. I. By making legislative salary increases and other unrelated issues a condition to approving judicial salary increases, defendants have abused their power and threaten the independence of the Judiciary. (*Evans v Gore*, 253 US 245, *overruled on other grounds sub nom. United States v Hatter*, 532 US 557; *O'Donoghue v United States*, 289 US 516; *Williams v United States*, 535 US 911; *Matter of County of Oneida v Berle*, 49 NY2d 515; *People ex rel. Burby v Howland*, 155 NY 270; *Matter of Kelch v Town Bd. of Town of Davenport*, 36 AD3d 1110; *Matter of Catanise v Town of Fayette*, 148 AD2d 210; *Larabee v Governor of State of N.Y.*, 20 Misc 3d 866, 65 AD3d 74; *Matter of Straniere v Silver*, 218 AD2d 80, 89 NY2d 825; *Gravel v United States*, 408 US 606.) II. Judicial salaries, currently stalled at 1999 rates, have diminished in value by almost 30%, and that lost purchasing power is an unconstitutional diminution that violates the Compensation Clause. (*United States v Hatter*, 532 US 557; *Miles v Graham*, 268 US 501; *Edelstein v Crosson*, 187 AD2d 694; *Buckley v Crosson*, 202 AD2d 972; *Barth v Crosson*, 199 AD2d 1050; *Schultz v Harrison Radiator Div. Gen. Motors Corp.*, 90 NY2d 311; *Harrison v Schaffner*, 312 US 579; *Buckley v Valeo*, 424 US 1; *Randall v Sorrell*, 548 US 230; *Pennsylvania Coal Co. v Mahon*, 260 US 393.) III. By failing to provide adequate judicial compensation, by singling out judges for especially unfavorable treatment, and by linking judicial salaries to legislative salaries and unrelated matters, defendants have violated article VI, § 25 of the New York State Constitution.

Weil, Gotshal & Manges LLP, New York City (Caitlin J. Halligan, Gregory Silbert and David Yolkut of counsel), for Fund for Modern Courts, amicus curiae in the third above-entitled action. I. Defendants have failed to fulfill their constitutional duty of providing adequate judicial compensation. (*Larabee v Governor of State of N.Y.*, 65 AD3d 74; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *People ex rel. Burby v Howland*, 155 NY 270; *Matter of Maron v Silver*, 58 AD3d 102; *Plaut v Spendthrift Farm, Inc.*, 514 US 211; *New York County Lawyers' Assn. v State of New York*, 294 AD2d 69; *Matter of People v Little*, 89 Misc 2d 742, 60 AD2d 797; *Saxton v Carey*, 44 NY2d 545; *Silver v Pataki*, 96 NY2d 532; *Bogan v Scott-Harris*, 523 US 44.) II. Defendants' continued failure to raise judicial salaries threatens the integrity and excellence of New York's Judiciary. (*Larabee v Governor of State of N.Y.*, 65 AD3d 74; *O'Donoghue v United States*, 289 US 516.)

OPINION OF THE COURT

PIGOTT, J.

The constitutional arguments raised in these judicial compensation appeals are premised upon, among other things, alleged violations of the New York State Constitution's Compensation Clause and the Separation of Powers Doctrine. Because the Separation of Powers Doctrine is aimed at preventing one branch of government from dominating or interfering with the functioning of another coequal branch, we conclude that the independence of the Judiciary is improperly jeopardized by the current judicial pay crisis and this constitutes a violation of the Separation of Powers Doctrine.

I. Factual Background

The compensation of justices and judges of the Unified Court System, with certain exceptions not applicable here, is governed by article 7-B of the Judiciary Law (*see* Judiciary Law §§ 221—221-i). Article VI, § 25 (a) of the New York Constitution, also known as the “Compensation Clause,” directs that the compensation of justices and judges “shall be established by law and shall not be diminished during the term of office for which he or she was elected or appointed.”

The last time the Legislature adjusted judicial compensation was in 1998, through the amendment of Judiciary Law article 7-B (*see* L 1998, ch 630, § 1 [eff Jan. 1, 1999]). That adjustment increased the annual salaries of this State's Judiciary to make them commensurate with the salaries paid their federal counterparts.¹ Now, however, New York State ranks nearly last of the 50 states in its level of judicial compensation, adjusting for the cost of living. It is estimated that, over the last 11 years, the real value of judicial salaries has declined by approximately 25% to 33%.

At the time the roughly 1,300 judges and justices who comprise the so-called “Article VI judges” (i.e. judges covered by article VI of the New York State Constitution) received the pay raise that was enacted in 1998, they presided over 3.5 million cases. Ten years later, in 2008, the judges presided over a staggering 4.5 million cases, 38% of which were criminal (approximately 1.71 million cases), 42% civil (approximately 1.89

1. For reference, according to the Federal Judicial Center, more than 90% of the cases filed annually are in state courts, less than 10% are filed in the federal system.

million cases), 17% Family Court (approximately 765,000 cases) and 3% Surrogates' Court (approximately 135,000 cases) (*see* New York State Unified Court System 1998 and 2008 Annual Reports).

In 2006, the Judiciary submitted to Governor Pataki, as part of its proposed annual budget, a request for \$69.5 million to fund salary adjustments for the approximately 1,300 article VI judges, retroactive to April 1, 2005. The intention was to restore pay parity with federal judicial salaries. Although made part of the state budget (*see* L 2006, ch 51, § 2), the Legislature failed to authorize disbursement of the appropriation, because the Legislature and the Governor could not agree on a pay increase for the legislators themselves.

The following year, Governor Spitzer included in his executive budget more than \$111 million for judicial pay raises, retroactive to April 1, 2005, which, if implemented, would have placed salaries of State Supreme Court justices at an amount roughly on a par with federal judicial compensation. The Legislature removed that provision from the budget two months later.

In April 2007, the Senate passed a bill (2007 NY Senate Bill S5313) increasing judicial compensation, this time retroactive to January 1, 2007, and calling for the creation of a commission to review future salary increases for both judges *and* legislators. Governor Spitzer refused to support this legislation, however, unless the Legislature enacted campaign finance and ethics reform measures. Two months later, the Governor expressed support for a “judges only” pay bill.

Shortly thereafter, the Senate passed another bill (2007 NY Senate Bill S6550) providing for an increase in judicial salaries, this time without any corresponding increase for legislators. It also called for the establishment of a commission to examine future increases in judicial salaries taking into account the needs of the Judiciary and the State's ability to pay. The Assembly refused to act on that bill because it did not provide for an increase in legislative pay.

The following year, Governor Paterson and the Legislature approved a budget for 2008-2009 that included \$48 million for judicial salary increases. Like the 2006-2007 appropriation, this was a so-called “dry appropriation” requiring further legislation before the salaries could be paid—legislation that was never enacted.

All parties to this litigation agree that article VI justices and judges have earned and deserve a salary increase. That is what

makes this litigation unique. Although the parties have been in accord regarding the need to adjust judicial compensation, the failure of the Legislature and the Executive to come to an agreement on legislation effecting a pay increase has led to the continuing inertia underlying this dispute.

II. Procedural History

Maron v Silver et al.

The *Maron* petitioners—current and former State Supreme Court Justices and District Court Judges—commenced this hybrid CPLR article 78 proceeding/declaratory judgment action against respondents Sheldon Silver, as Speaker of the Assembly, Joseph Bruno, then Temporary President of the Senate, Eliot Spitzer, then Governor of New York, Thomas DiNapoli in his capacity as State Comptroller, the Assembly and Senate and the Office of Court Administration (OCA).² The article 78 proceeding seeks mandamus relief compelling the Comptroller to disburse all retroactive sums and pay the budgeted raises allocated in the 2006-2007 state budget for judicial salary reform. The petition also asserts violations of the Separation of Powers Doctrine, equal protection and the State Compensation Clause.

Supreme Court, Albany County, partially granted defendants' motion to dismiss the petition for failure to state a cause of action, leaving intact the separation of powers claim. The court further held that Silver, Bruno and Spitzer were immune from suit because setting judicial salaries is a legislative act, and concluded that to the extent the petition alleged a constitutional violation against the Assembly and Senate, those allegations constituted claims against the State.³

In a 4-1 decision, the Appellate Division dismissed the petition, holding, among other things, that the *Maron* petitioners' failure "to allege a discriminatory attack on the judicial branch that has impaired or imminently threatened the Judiciary's independence and ability to function" was fatal to their separation of powers claim (*Matter of Maron v Silver*, 58 AD3d 102, 123 [3d Dept 2008]).

The *Maron* petitioners appealed to this Court as of right on the constitutional questions presented. This Court retained

2. The sole claim asserted against the OCA involved judicial health benefits. That claim has been severed from this action by stipulation and is not at issue on this appeal.

3. For ease of reference, all defendants to these litigations are collectively referred to as "State defendants."

jurisdiction over the appeal and denied leave to appeal as unnecessary (*see Matter of Maron v Silver*, 12 NY3d 909 [2009]).

Larabee v Governor et al.

The *Larabee* plaintiffs—members of the New York State Judiciary—commenced this declaratory judgment action against Eliot Spitzer, in his capacity as Governor, the New York State Assembly and Senate, and the State, alleging violations of the State Compensation Clause and the Separation of Powers Doctrine.

Supreme Court, New York County, granted the State defendants' motion to dismiss the Compensation Clause cause of action but, similar to the Supreme Court in *Maron*, concluded that the *Larabee* plaintiffs had sufficiently pleaded a separation of powers claim (*see Larabee v Spitzer*, 19 Misc 3d 226, 231-237 [Sup Ct, NY County 2008]). Supreme Court dismissed the complaint in its entirety as against Governor Spitzer, noting that the *Larabee* plaintiffs conceded that he was not an “essential party” to the action, all parties having agreed that the Assembly, Senate and State were proper parties (*see id.* at 237-239).

Supreme Court subsequently granted the *Larabee* plaintiffs summary judgment on the separation of powers cause of action (*see Larabee v Governor of State of N.Y.*, 20 Misc 3d 866, 877 [Sup Ct, NY County 2008]). The State defendants appealed from that order and the *Larabee* plaintiffs cross-appealed from Supreme Court's order dismissing their Compensation Clause claim.

The Appellate Division affirmed both orders (*Larabee v Governor of State of N.Y.*, 65 AD3d 74 [1st Dept 2009]). The *Larabee* plaintiffs and State defendants appealed as of right and we retained jurisdiction.

Chief Judge v Governor et al.

The *Chief Judge* plaintiffs—former Chief Judge Judith S. Kaye⁴ and the New York State Unified Court System—commenced this declaratory judgment action asserting three causes of action against David Paterson, Sheldon Silver and Joseph Bruno, all in their respective official capacities, and the Assembly, Senate and State.

4. The parties have since stipulated to substitute Chief Judge Jonathan Lippman for former Chief Judge Kaye.

The complaint asserts one cause of action premised on a violation of the State Compensation Clause under a different theory than that posed by the *Maron* and *Larabee* plaintiffs; namely, that the diminution in judicial salaries has had a discriminatory effect on the Judiciary, rendering unconstitutional the salaries codified in Judiciary Law §§ 221—221-i. The two remaining claims are grounded on the Separation of Powers Doctrine. One of the claims is similar to those raised in the *Maron* and *Larabee* litigation; the other is premised on the theory that the Judiciary cannot function as a coequal branch if it is not assured of receiving “adequate compensation,” and that the judicial salaries codified in Judiciary Law §§ 221—221-i are constitutionally insufficient.

The State defendants moved to dismiss the complaint for failure to state a cause of action. Supreme Court, New York County, searched the record and granted the *Chief Judge* plaintiffs summary judgment on the separation of powers claim that was similar to the one raised in *Larabee*, but dismissed the remaining causes of action attacking the constitutionality of Judiciary Law §§ 221—221-i (see *Chief Judge of State of N.Y. v Governor of State of N.Y.*, 25 Misc 3d 268, 271-273 [Sup Ct, NY County 2009]). As in *Larabee*, Supreme Court dismissed the complaint in its entirety as against the Governor (see *id.* at 271-272). The State defendants appealed to the Appellate Division, which affirmed for the reasons stated in *Larabee* (see *Chief Judge of State of N.Y. v Governor of State of N.Y.*, 65 AD3d 898, 899 [1st Dept 2009]).

The *Chief Judge* plaintiffs appealed Supreme Court’s order directly to this Court pursuant to CPLR 5601 (b) (2) and we retained jurisdiction over the appeal. Because the *Chief Judge* plaintiffs challenged the constitutionality of the judicial salaries set forth in Judiciary Law §§ 221—221-i, the direct appeal from the order of Supreme Court was proper.⁵ The State defendants appealed as of right from the Appellate Division’s affirmance of Supreme Court’s order granting the *Chief Judge* plaintiffs summary judgment on the separation of powers claim.

III. Rule of Necessity

[1] Members of the Court of Appeals are paid via the salary schedule delineated in Judiciary Law § 221 and therefore will be

5. Based on these conclusions, the State defendants’ contention that the *Chief Judge* plaintiffs’ appeal from Supreme Court should be dismissed for lack of jurisdiction is without merit.

affected by the outcome of these appeals. Ordinarily, when a judge has an interest in litigation, recusal is warranted. But this case falls within a narrow exception to that rule. Because no other judicial body with jurisdiction exists to hear the constitutional issues raised herein, this Court must hear and dispose of these issues pursuant to the Rule of Necessity (*see Maresca v Cuomo*, 64 NY2d 242, 247 n 1 [1984], *appeal dismissed* 474 US 802 [1985] [addressing a challenge to the State Constitution's mandatory retirement age requirements for certain state judges], citing *Matter of Morgenthau v Cooke*, 56 NY2d 24, 29 n 3 [1982]).

IV. Nonconstitutional Statutory Claim (*Maron* Petitioners Only)

The *Maron* petitioners assert that the constitutional issues raised on these appeals can be avoided should this Court find that they are entitled to relief in the nature of mandamus compelling the Comptroller to pay the \$69.5 million appropriated in the 2006-2007 state budget. As support for this argument, petitioners focus on section 2 of chapter 51 of the Laws of 2006 addressing “JUDICIAL COMPENSATION REFORM.” That provision contained a \$69.5 million budget item “[f]or expenses necessary to fund adjustments in the compensation of state-paid judges and justices of the unified court system *pursuant to a chapter of the laws of 2006*” (emphasis supplied). Petitioners claim that the Comptroller improperly impounded these funds and should be ordered to release them to provide for judicial salary increases.

[2] A CPLR article 78 proceeding seeking mandamus to compel the performance of a specific duty applies only to acts that are ministerial in nature and not those that involve the exercise of discretion (*see Matter of Gimprich v Board of Educ. of City of N.Y.*, 306 NY 401, 406 [1954]; *see also* Siegel, NY Prac § 558, at 958 [4th ed]). Because of the constitutional requirement that judicial compensation be “established by law” (NY Const, art VI, § 25 [a]), mandamus does not lie in this instance because no subsequent chapter law was enacted either amending the Judiciary Law salary schedules or directing the disbursement of the funds.

The \$69.5 million referenced in the judicial budget was explicitly made contingent upon the adoption of additional legislation, i.e. a chapter of the Laws of 2006. Had the Legislature intended that the judicial compensation appropriation be self-executing, as petitioners claim, there would have been no

need for the qualifying language. Moreover, a mere provision calling for a lump-sum payment of \$69.5 million without repeal or revision of the Judiciary Law article 7-B judicial salary schedules is further evidence that additional legislation was required before the funds could be disbursed. We, therefore, conclude that the Appellate Division properly dismissed petitioners' cause of action seeking mandamus against the Comptroller.

V. Constitutional Claims (All Litigants)

A. Equal Protection

The Judiciary as a "Suspect Class" (*Maron* Petitioners)

[3] The *Maron* petitioners are the only litigants in these appeals who have alleged that the Judiciary constitutes a "suspect class" that has been denied equal protection under the law because judicial pay raises have been historically contingent on or "tied to" salary increases for legislators. They also assert that the State defendants' rationale for refusing to increase judicial salaries fails to pass the "strict scrutiny" test or the less stringent rational basis test. For the reasons set forth in the Appellate Division order, we conclude that Supreme Court properly dismissed that cause of action (*see Maron*, 58 AD3d at 123-124).

B. Compensation Clause

The *Maron* petitioners and the *Larabee* plaintiffs assert Compensation Clause causes of action that are premised on their claims that judicial salaries have been unconstitutionally diminished because of inflation. The *Chief Judge* plaintiffs posit an additional argument, asserting that the Legislature's act of freezing judicial salaries while increasing the salaries of 195,000 other state employees amounted to discrimination against the Judiciary.

Diminution by "Pure Inflation" (*Maron* and *Larabee*)

The State Compensation Clause provides, in relevant part, that the compensation of members of the Judiciary "shall be established by law and shall not be diminished during the term of office for which he or she was elected or appointed" (NY Const, art VI, § 25 [a]). The purpose of this "Compensation Clause" is the same as its federal counterpart: to promote judicial independence and ensure that the pay of prospective judges, who choose to leave their practices or other legal positions for the bench, will not diminish (*see United States v Will*, 449 US 200, 221 [1980]).

The *Maron* petitioners and *Larabee* plaintiffs base their Compensation Clause arguments on an identical theory: By failing to increase judicial compensation, the Legislature has allowed inflation to considerably diminish the “real value” of judicial salaries, violating the State Compensation Clause’s prohibition against diminution. They further claim that the State Compensation Clause’s prohibition against diminishment should include the diminishment of compensation by any cause, including inflation.

Since the inception of our State Constitution, this State has grappled with the issue of how best to establish the parameters of judicial compensation. In 1846, the Constitutional Convention adopted the phrase “shall not be increased or diminished” (1846 NY Const, art VI, § 7); an 1869 amendment (1846 Const, art VI, § 14, as amended), however, deleted the words, “increased or,” allowing for the increase of compensation, but not a decrease (*see* Carter, New York State Constitution: Sources of Legislative Intent, at 85 [1988]). Article VI, § 12 of the 1894 Constitution restored the 1846 “shall not be increased or diminished” language, which was thereafter deleted in its entirety in 1909 and adopted a specific constitutional provision fixing salaries for certain judges at \$10,000 per year (*see Matter of Gresser v O’Brien*, 146 Misc 909, 917-918 [Sup Ct, NY County 1933], *aff’d* 263 NY 622 [1934]). In 1921, a Judiciary Constitutional Convention was held to consider, among other things, amendments to the State Constitution concerning judicial compensation (*see* Judiciary Constitutional Convention of 1921: Report to Legislature, at 3 [Jan. 4, 1922]). The Convention criticized the 1909 Compensation Clause amendment’s inclusion of a salary schedule in the Constitution, stating that judicial compensation “‘should, in the judgment of the present convention, be left entirely to the Legislature, which after all, is the body always directly in touch with and responsible to the people’ ” (*Problems Relating to Judicial Administration and Organization*, 1938 Rep of NY Constitutional Convention Comm, vol 9, at 341, quoting Judiciary Constitutional Convention of 1921: Report to Legislature, at 29).

[4] In recommending removal of the salary schedule, the Convention considered the deleterious effects of inflation on judicial compensation and how it could negatively impact the independence and effectiveness of the Judiciary, ultimately concluding that the Legislature was in the best position to address that issue (*see* Judiciary Constitutional Convention of

1921: Report to Legislature, at 29). In 1925, the State Compensation Clause's "shall not be diminished" language was reinstated (1894 NY Const, art VI, § 19, as amended) and remains unchanged (*see* Carter, at 85). It is evident from the events predating the 1925 amendment that the concept of diminution of compensation was of paramount concern, and the final outcome was to authorize the Legislature to remedy any deficiencies; notably, the Legislature was precluded from diminishing salaries in recognition of the risk that salary manipulation might be used as a tool to retaliate for unpopular judicial decisions. Although the State Compensation Clause plainly prohibits the diminution of judicial compensation by legislative act during a judge's term of office, there is no evidence in the history of the Clause's enactment or subsequent amendments that supports a broad interpretation embracing indirect diminishment by neglect. Thus, there is no evidence that the State Compensation Clause's "no diminishment" rule was intended to affirmatively require that judicial salaries be adjusted to keep pace with the cost of living.⁶

In this regard, the state provision is comparable to the Federal Compensation Clause (US Const, art III, § 1) which also contains the same "shall not be diminished" language. Like the drafters of the State Compensation Clause, the Framers of the Federal Constitution were cognizant of the effects of inflation on judicial compensation, but nonetheless left that determination to the discretion of the legislature.

At least two proposals concerning inflation were offered at the federal Constitutional Convention. One suggestion was that the fluctuations in the value of judicial compensation could be accounted for "by taking for a standard wheat or some other thing of permanent value" (2 M. Farrand, *The Records of the Federal Convention of 1787*, at 45 [1911]). The other suggestion left judicial compensation to the discretion of the legislature, which was in a better position to address inflationary concerns (*see Will*, 449 US at 219-220; *see also* Hamilton, *Federalist* No. 79 ["It (is) therefore necessary to leave it to the discretion of

6. That being said, as indicated later in this opinion, we do not rule out the possibility that a total neglect by the Legislature to consider or address judicial salaries could never, depending on the passage of time and changes in the value of money, cause salaries to dip so low that they fall below a constitutionally permissible floor. To choose an extreme example, if the Legislature had not raised salaries since 1909 when certain judges earned an annual salary of \$10,000, a very different case would be presented.

the legislature to vary (compensation) in conformity to the variations in circumstances, yet under such restrictions as to put it out of the power of that body to change the condition of the individual for the worse”]). The latter approach carried the day, with the Convention adopting a motion to allow an increase of judicial compensation by Congress and, as a result, “accepting a limited risk of external influence in order to accommodate the need to raise judges’ salaries when times changed” (*Will*, 449 US at 220).

Contrary to the contention of the *Maron* petitioners and *Larabee* plaintiffs, federal jurisprudence does not support their assertion that the State and Federal Compensation Clauses prohibit “indirect” diminution of compensation due to inflation. Although the cases cited support the general proposition that judicial compensation may not be either “directly” or “indirectly” reduced, none of them stands for the proposition that the Legislature’s failure to adjust compensation to account for inflation constitutes an indirect attack on judicial compensation.

In *Evans v Gore*, a federal judge challenged, on Federal Compensation Clause grounds, Congress’s authority to include sitting federal judges within the scope of a federal income tax law that the Sixteenth Amendment had authorized years earlier, claiming that the imposition of such a tax constituted a diminishment in salary (see 253 US 245, 247 [1920], overruled by *United States v Hatter*, 532 US 557 [2001]). In finding the tax violative of the Federal Compensation Clause, the *Evans* court noted that

“diminution may be effected in more ways than one. Some may be direct and others indirect, or even evasive . . . But all which by their necessary operation and effect withhold or take from the judge a part of that which has been promised by law for his services must be regarded as within the prohibition” (*id.* at 254).

In *Miles v Graham*, the United States Supreme Court extended the *Evans* holding to those judges who assumed office after the tax had become law (268 US 501, 508-509 [1925], overruled in part by *O’Malley v Woodrough*, 307 US 277 [1939]). The *O’Malley* court overruled *Miles*, but left the core holding of *Evans* intact (see *O’Malley*, 307 US at 282-283). However, the Supreme Court in *United States v Hatter* overruled *Evans*

“insofar as it holds that the Compensation Clause forbids Congress to apply a generally applicable, nondiscriminatory tax to the salaries of federal judges, whether or not they were appointed before enactment of the tax” (*Hatter*, 532 US at 567). The *Hatter* court agreed with *Evans*, however,

“insofar as it holds that the Compensation Clause offers protections that extend beyond a legislative effort directly to diminish a judge’s pay, say, by ordering a lower salary . . . Otherwise a legislature could circumvent even the most basic Compensation Clause protection by enacting a discriminatory tax law, for example, that precisely but *indirectly* achieved the forbidden effect” (*id.* at 569 [emphasis supplied]).

The evolution of Supreme Court jurisprudence from *Evans* to *Hatter* establishes that a nondiscriminatory tax that treats judges the same as other citizens is permissible, but direct diminution of compensation or the discriminatory taxation of judges is not. In either case, it is the diminishment of salary by Congress, be it direct or indirect, that is prohibited.

Here, the Legislature has not enacted legislation that has directly diminished judicial compensation in violation of the State Compensation Clause, nor has it enacted discriminatory legislation that has indirectly resulted in the diminution of judicial compensation. The claim is that inflation has had this effect. However, at least as far as the Federal Compensation Clause is concerned, the intention of the Framers was that Congress would serve as the fail-safe that prevents inflation from eating away at the real value of judicial salaries (*see Atkins v United States*, 556 F2d 1028, 1048 [US Ct Cl 1977], *cert denied* 434 US 1009 [1978] [addressing inflation]).

There is no reason for this Court to depart from that rationale, because it is evident from the history surrounding the enactment of our State Compensation Clause that, although the diminution in value of judicial compensation by inflation was a concern, the drafters decided that the best way to combat the effects of inflation was to count on the Legislature—the body directly accountable to the public—to assure the fair and appropriate compensation of the Judiciary. We therefore determine that the Legislature’s failure to address the effects of inflation in this case does not equate to a per se violation of the Compensation Clause.

Compensation Clause—Discrimination (*Chief Judge*)

The *Chief Judge* plaintiffs' Compensation Clause argument is distinctly different from the claims raised by the other litigants. Rather than contending that inflation resulted in the unconstitutional diminution of judicial salaries, they assert that by freezing judicial salaries while repeatedly increasing the salaries of almost all of the remaining 195,000 state employees to keep pace with the cost of living, the State defendants discriminated against the Judiciary in violation of the State Compensation Clause.

This argument is premised exclusively on the Supreme Court's holding in *Hatter* (532 US 557 [2001], *supra*), which involved a Social Security tax law that, at the time of its enactment, mandated that all newly-hired federal employees participate in the Social Security program. The law also offered almost all of the then-currently employed federal employees (96%) the option to participate without any additional financial obligation. But it created an exception for the remaining four percent of currently employed federal employees, however, which required members of that class—who contributed to a "covered" retirement program—to participate in the system *without* any further additional financial obligation. The legislation left those who did not participate in a "covered" program (i.e., a group consisting "almost exclusively" of federal judges) without a choice; their financial obligations and payroll deductions would increase as a result of the imposition of the new tax (*id.* at 562-564).

In finding the law violative of the Federal Compensation Clause as discriminatory against judges, the *Hatter* court noted that the Social Security legislation was

"special—in its manner of singling out judges for disadvantageous treatment, in its justification as necessary to offset advantages related to constitutionally protected features of the judicial office, and in the degree of permissible legislative discretion that would have to underlie any determination that the legislation has 'equalized' rather than gone too far" (*id.* at 576).

It was these elements that made the Social Security tax distinctly different from a nondiscriminatory tax (*id.*).

According to the *Chief Judge* plaintiffs, just as the Social Security tax law in *Hatter* imposed a discriminatory tax on the

Judiciary, inflation has the same impact on judicial compensation as a tax and, although the failure to remedy it in and of itself may not violate the State Compensation Clause, in this case the Judiciary has been singled out because nearly all of the other 195,000 state employees have received salary increases to compensate in part for inflation.

[5] We are unpersuaded that relief is warranted under the *Hatter* analysis. First, *Hatter* involved a legislative enactment that discriminated against federal judges by reducing the compensation of judges only; the situation here does not involve any legislative enactment that directly or indirectly diminishes judicial compensation. Second, although other state employees have received adjustments to account for inflation, judges are not the only state employees whose salaries have not been adjusted; the Governor, Lieutenant Governor, members of the Legislature and other constitutional officers have also not received salary increases since 1999. We therefore cannot say that judges have been disadvantaged in a manner comparable to the discriminatory treatment in *Hatter*. Therefore, Supreme Court properly dismissed this cause of action.

C. Separation of Powers

Speech or Debate Clause Defense (State Defendants)

Before we address plaintiffs' separation of powers arguments, we consider the legislative defendants' primary defense that both houses of the Legislature and their leaders are immune from any such claim under the Speech or Debate Clause. The State Speech or Debate Clause provides that "[f]or any speech or debate in either house of the legislature, the members shall not be questioned in any other place" (NY Const, art III, § 11). The scope of immunity this provision bestows upon members of the Legislature provides "as much protection as the immunity granted by the comparable provision of the Federal Constitution" (*People v Ohrenstein*, 77 NY2d 38, 53 [1990] [citation omitted]), and "protects against inquiry into acts that occur in the regular course of the legislative process and into the motivation for those acts" (*United States v Brewster*, 408 US 501, 525 [1972]).

The Appellate Division in *Maron* dismissed the separation of powers cause of action because, to the extent the Legislature failed to either increase judicial compensation due to inaction or because it tied such increases to "political wrangling over unrelated issues," such failure constitutes a legislative function

protected by article III, § 11 (*Maron*, 58 AD3d at 121-123). The courts in *Larabee* and *Chief Judge*, however, concluded that the Speech or Debate Clause did not bar review.

[6] The Speech or Debate Clause applies to only “members” and to “any speech or debate in either house.” Nowhere does the Clause state that such immunity applies to either house of the Legislature as a whole, and therefore, it does not apply to the Assembly or the Senate. For the same reason, the State may not assert this defense.

In any event, all of the parties acknowledge that the Judiciary is entitled to an increase in compensation, and the State defendants have made proclamations outside of the legislative and executive chambers as to why such an increase has not occurred (see e.g. *Ohrenstein*, 77 NY2d at 54 [issuance of press releases and newsletters deemed not protected legislative acts]; see also *Matter of Rivera v Espada*, 98 NY2d 422, 428 [2002] [same]; *Hutchinson v Proxmire*, 443 US 111 [1979]). As a result, this Court need not inquire “into acts that occur in the regular course of the legislative process” or the Legislature’s motives for such acts (see *Brewster*, 408 US at 525), eliminating the danger of the Judiciary intruding upon the independence of the legislative branch.

We therefore address the merits of the separation of powers arguments.

Failure by Legislature to Independently
and Objectively Consider Compensation Increases
(*Maron*, *Larabee* and *Chief Judge*)

The *Maron* petitioners and the *Larabee* and *Chief Judge* plaintiffs all make the same separation of powers argument: By tying judicial compensation to unrelated legislative objectives and policy initiatives, as opposed to conducting an independent assessment of judicial compensation, the Legislature has disregarded the Separation of Powers Doctrine and threatened the independence of the Judiciary.

The State defendants counter that there is nothing in the constitutional text or framework prohibiting the Legislature from considering judicial compensation along with other prerogatives. Furthermore, any declaration condemning that practice as unconstitutional would itself constitute a separation of powers violation by the Judiciary through intrusion into budgetary and appropriations processes.

In *Maron*, the Appellate Division dismissed petitioners' claim on the ground that their failure "to allege a discriminatory attack on the judicial branch that has impaired or imminently threatened the Judiciary's independence and ability to function" was fatal to the claim (*Maron*, 58 AD3d at 123). This claim met with greater success in *Larabee* and *Chief Judge*, where the Appellate Divisions in each of those cases upheld the Supreme Court's award of summary judgment to those plaintiffs (see *Chief Judge*, 65 AD3d 898, 899 [2009]; *Larabee*, 65 AD3d at 74).

The concept of the separation of powers is the bedrock of the system of government adopted by this State in establishing three coordinate and coequal branches of government, each charged with performing particular functions (see generally *Under 21*, *Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 355-356 [1985]; *Matter of County of Oneida v Berle*, 49 NY2d 515, 522 [1980]). The Constitution's aim "is to regulate, define and limit the powers of government by assigning to the executive, legislative and judicial branches distinct and independent powers," thereby ensuring "an even balance of power [among] the three" (*People ex rel. Burby v Howland*, 155 NY 270, 282 [1898]). The separation of the three branches is necessary " 'for the preservation of liberty itself,' " and " '[i]t is a fundamental principle of the organic law that each department should be free from interference, in the discharge of its peculiar duties, by either of the others' " (*Berle*, 49 NY2d at 522, quoting *Burby*, 155 NY at 282). To accomplish this important goal, articles III, IV and VI of the State Constitution address the respective powers conferred upon, and respective compensation of, the Legislature, Executive and Judiciary.

Article III states that "[t]he legislative power of this state shall be vested in the senate and the assembly" (NY Const, art III, § 1), and that "[e]ach member of the legislature shall receive for his or her services a like annual salary, to be fixed by law . . . [but] the salary of any member . . . may [not] be increased or diminished during, and with respect to, the term for which he or she shall have been elected" (NY Const, art III, § 6).

Article IV states that "[t]he executive power shall be vested in the governor, who shall hold office for four years" (NY Const, art IV, § 1), and who "shall receive for his or her services an annual salary to be fixed by joint resolution of the senate and assembly" (NY Const, art IV, § 3).

Article VI states that “[t]here shall be a unified court system for the state” (NY Const, art VI, § 1 [a]) and that the compensation of judges and justices within that system “shall be established by law and shall not be diminished during the term of office for which he or she was elected or appointed” (NY Const, art VI, § 25 [a]).

We find it significant that the compensation provisions for each branch of government are not contained in article III where the powers of the legislative branch are articulated, but rather are separately addressed in the article for each respective branch. Although a function of the Legislature is to approve the compensation of each of the three branches, this fact underscores only the checks and balances of the system; it does not rebut the fact that the compensation to be paid to members of each particular branch must be determined separately and distinctly from the others. Indeed, whether the Judiciary is entitled to a compensation increase must be based upon an objective assessment of the Judiciary’s needs if it is to retain its functional and structural independence. Simply put, by failing to consider judicial compensation increases on the merits, and instead holding them hostage to other legislative objectives, the Legislature “[w]eaken[s the Judiciary] by making it unduly dependent” on the Legislature (*Burby*, 155 NY at 282).

Separate budgets, separate articles in the Constitution, and separate provisions concerning compensation are all testament to the fact that each branch is independent of the other. This, of course, does not mean that the branches operate without concern for the other. Both the Legislature and the Governor rely on the good faith of the other and of the Judiciary for the good of the State. As members of the two “political” branches, the Governor and Legislature understandably have the power to bargain with each other over all sorts of matters including their own compensation. Judges and justices, on the other hand, are not afforded that opportunity. They have no seat at the bargaining table and, in fact, are precluded from participating in politics. The judicial branch therefore depends on the good faith of the other two branches to provide sufficient funding to fulfill its constitutional responsibilities. Given its unique place in the constitutional scheme, it is imperative that the legitimate needs of the judicial branch receive the appropriate respect and attention. This cannot occur if the Judiciary is used as a pawn or bargaining chip in order to achieve ends that are entirely unrelated to the judicial mission.

For instance, the Constitution prohibits legislators from increasing *or* decreasing their own salaries during their two-year term of office, but there is no such prohibition against the Legislature addressing judicial compensation at any time. Moreover, state legislators are part time and may supplement their income through committee assignments, leadership positions and other outside employment. Judges are constitutionally forbidden from engaging in any employment that would interfere with their judicial responsibilities (*see* NY Const, art VI, § 20 [b] [4]). But by failing to consider judicial compensation independently of legislative compensation, the State defendants have imposed upon the Judiciary the same restrictions that have been imposed on the Legislature, and have blurred the line between the compensation of the two branches, thereby threatening the structural independence of the Judiciary.

The State defendants assert that it is within their legislative rights to consider judicial compensation not on the merits but relative to unrelated policy initiatives. But they overlook the fact that they are treating judicial compensation—which falls within the scope of their constitutional duties—as if it were merely another government program appropriation as opposed to compensation for members of a coequal branch.

We do not attribute the State defendants' failure to increase judicial compensation to any nefarious purpose. Indeed, it is not necessary to consider, or find, the existence of any improper motive. All parties agree that a salary increase is justified and, yet, those who have the constitutional duty to act have done nothing to further that objective due to disputes unrelated to the merits of any proposed increase. This inaction not only impairs the structural independence of the Judiciary, but also deleteriously affects the public at large, which is entitled to a well-qualified, functioning Judiciary (*see O'Donoghue v United States*, 289 US 516, 533 [1933] [prohibition against diminution is to attract competent people to the bench, promote independence of the Judiciary, and for the public interest]).

It must be remembered that the Separation of Powers Doctrine

“is a *structural safeguard* rather than a remedy to be applied only when specific harm, or risk of specific harm, can be identified. In its major features . . . it is a prophylactic device, establishing high walls and clear distinctions because low walls and

vague distinctions will not be judicially defensible in the heat of interbranch conflict” (*Plaut v Spendthrift Farm, Inc.*, 514 US 211, 239 [1995]).

[7, 8] Here, the allegations by the *Maron* petitioners are sufficient to state a separation of powers claim. As that case is here before us on a CPLR 3211 motion to dismiss, our corrective action is limited to a reinstatement of that cause of action. In *Larabee* and *Chief Judge*, the procedural posture of the cases is not so limiting and we may now issue a declaration. We hold that under these circumstances, as a matter of law, the State defendants’ failure to consider judicial compensation on the merits violates the Separation of Powers Doctrine.

[9] However, when “fashioning specific remedies for constitutional violations, we must avoid intrusion on the primary domain of another branch of government” (*Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14, 28 [2006]). Indeed, deference to the Legislature—which possesses the constitutional authority to budget and appropriate—is necessary because it is “in a far better position than the Judiciary to determine funding needs throughout the state and priorities for the allocation of the State’s resources” (*id.* at 29). The Judiciary may intervene in the state budget “only in the narrowest of instances” (*Wein v Carey*, 41 NY2d 498, 505 [1977]), and we do not believe that it is necessary here to order specific injunctive relief. When this Court articulates the constitutional standards governing state action, we presume that the State will act accordingly.

Failure to Provide Adequate Compensation (*Chief Judge*)

The *Chief Judge* plaintiffs make a separation of powers claim not raised by the *Maron* petitioners or *Larabee* plaintiffs: the Separation of Powers Doctrine requires that the State defendants provide the Judiciary with “adequate judicial compensation” and, because judicial salaries are constitutionally inadequate, the State defendants have breached their constitutional duty. The constitutional inadequacy of judicial salaries, the *Chief Judge* plaintiffs posit, threatens to impair the Judiciary’s ability to function as a coequal branch.

[10] The Compensation Clause was enacted to preserve judicial independence, and we agree with the conclusion of high courts in other jurisdictions that this is dependent, in part, on judges receiving adequate compensation (*see Glancey v Casey*, 447 Pa 77, 86, 288 A2d 812, 816 [1972] [“it is the constitutional

duty and the obligation of the legislature, in order to insure the independence of the judicial . . . branch of government, to provide compensation adequate in amount and commensurate with the duties and responsibilities of the judges involved”]). Moreover, adequate judicial compensation is necessary to ensure that the public will have its matters heard by competent judges (*see* Judiciary Constitutional Convention of 1921: Report of the Legislature, at 29, *supra*) and that judges will be free to issue decisions in accordance with the law without fear of retribution by the other two branches of government. Therefore, we reject the State defendants’ claim that the Compensation Clause’s language that compensation “shall not be diminished” is the opposite of an “adequate compensation” guarantee. Even counsel for the State defendants in *Larabee* concede that judicial compensation “could be so low that it could be constitutionally objected to.”

The *Chief Judge* plaintiffs posit that the current salaries of Judiciary Law article 7-B judges and justices are inadequate when compared to other legal positions in the public and private sectors. This argument is one that is best addressed in the first instance by the Legislature. All of the State defendants have conceded, at one point or another, that judicial compensation must be increased. We anticipate that our holding today will permit them to consider, in good faith, judicial salary increases on the merits.

The Legislature might find the record compiled in the *Chief Judge* case to be helpful. There, plaintiffs demonstrate—without rebuttal from the State—that, in real value, New York judges’ salaries now rank below judicial salaries in other states and the Federal Judiciary, despite the complexity of legal issues presented in New York—a world economic center—and the burgeoning case load faced by New York judges.

The argument for a cost-of-living increase is not that, in some objective sense, New York judges do not earn a living wage. Judges made no such argument when this litigation commenced in much better economic times and certainly do not press such a contention now. The claim is that, due to the lack of a cost-of-living increase for more than 11 years, judges no longer earn salaries that are appropriate given the significance of their position in our tripartite form of government and the role they play in ensuring the rights of all members of society. That role has increased substantially since the last compensation adjustment. For instance, the Judiciary’s workload has increased by 10%

over the past four years alone. Since 2005, Family Court's workload has increased 16%, civil filings in Supreme Court have increased more than 14%, and the caseloads in the New York City Civil Courts and those city courts outside of New York City have risen by 13% and 17%, respectively. Moreover, state courts handle over 90% of the filings as compared to the less than 10% handled by our federal courts.

Judicial salaries need not be exorbitant, but they must be sufficient to attract well-qualified individuals to serve. Otherwise, only those with means will be financially able to assume a judicial post, negatively impacting the diversity of the Judiciary and discriminating against those who are well qualified and interested in serving, but nonetheless unable to aspire to a career in the Judiciary because of the financial hardship that results from stagnant compensation over the years.

VI. Conclusion

[9] It is unfortunate that this Court has been called upon to adjudicate constitutional issues relative to an underlying matter upon which all have agreed; namely, that the Judiciary is entitled to a compensation adjustment. By ensuring that any judicial salary increases will be premised on their merits, this holding aims to strike the appropriate balance between preserving the independence of the Judiciary and avoiding encroachment on the budget-making authority of the Legislature. Therefore, judicial compensation, when addressed by the Legislature in present and future budget deliberations, cannot depend on unrelated policy initiatives or legislative compensation adjustments. Of course, whether judicial compensation should be adjusted, and by how much, is within the province of the Legislature. It should keep in mind, however, that whether the Legislature has met its constitutional obligations in that regard is within the province of this Court (*see Marbury v Madison*, 1 Cranch [5 US] 137, 177 [1803]). We therefore expect appropriate and expeditious legislative consideration.

Accordingly,

In *Maron*, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and as so modified, affirmed.

In *Larabee*, the order of Appellate Division should be modified, and in *Chief Judge*, the judgment of Supreme Court and

the order of the Appellate Division should be modified, without costs, by granting judgment declaring that under the circumstances of these cases, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violates the Separation of Powers Doctrine, and by allowing for the remedy discussed in this opinion, and, as modified, affirmed.

SMITH, J. (dissenting). I share my colleagues' dismay at the Legislature's behavior in dealing with, or rather failing to deal with, judges' salaries, but I cannot agree that any of its actions or inactions are unconstitutional.

The majority holds that the Legislature has violated the separation of powers by its failure to consider judicial salaries "based upon an objective assessment of the Judiciary's needs" (majority op at 259) or to give "appropriate respect and attention" to the needs of the judicial branch (majority op at 259). Undoubtedly, all branches of government should evaluate each other's needs objectively and treat each other with respect, but I know no warrant for thinking that objectivity and respect are commanded by the Constitution. These qualities are so amorphous and subjective that they can provide no workable standard for constitutional decision-making.

As the Appellate Division in *Maron* put it, "nothing in the NY Constitution forbids the political branches from engaging in politics when carrying out their political functions" (*Matter of Maron v Silver*, 58 AD3d 102, 122 [3d Dept 2008]). Separation of powers is violated not when one of the three branches acts irresponsibly—that happens all the time—but when one threatens the place of another in the constitutional scheme. Thus I might well agree that separation of powers was violated if the actual or imminent effect of the Legislature's conduct were to make the recruitment of competent judges impossible, or to render judges subservient to the other branches of government. I need not expand on this point; it is well explained both in the Appellate Division's *Maron* opinion (58 AD3d at 116-123) and in *Atkins v United States* (556 F2d 1028, 1054-1057 [Ct Cl 1977], *cert denied* 434 US 1009 [1978]), a federal case involving facts much like those before us now.

Bad as the present situation is, neither of the disastrous conditions I have mentioned—a bench that cannot be filled with competent people, or one whose financial dependence makes it the slave of the Legislature—exists or is close to existing. It is a depressing truth that some of our finest judges have left, or are

thinking of leaving, their jobs because of the Legislature's failure to deal with the salary issue; but it is also true that there are still plenty of able judges, and plenty of able people who would willingly become judges, even at today's pay levels. And I have seen no evidence of judicial subservience to the Legislature; the problem, if there is one, is to restrain judges' understandable displeasure with that branch of our government.

I would affirm the Appellate Division order in *Maron*, and would modify the orders in *Larabee* and *Chief Judge* to dismiss all claims in the complaints.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents and votes to affirm in a separate opinion; Chief Judge LIPPMAN taking no part.

In *Matter of Maron v Silver*: Order modified, without costs, by remitting to Supreme Court, Albany County, for further proceedings in accordance with the opinion herein.

In *Larabee v Governor of the State of N.Y.*: Order modified, without costs, by granting judgment declaring that, under the circumstances of this case, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violates the Separation of Powers Doctrine, and by allowing for the remedy discussed in the opinion herein, and, as so modified, affirmed.

In *Chief Judge of the State of N.Y. v Governor of the State of N.Y.*: On plaintiffs' appeal and defendants' cross appeal, judgment of Supreme Court and order of the Appellate Division modified, without costs, by granting judgment declaring that, under the circumstances of this case, as a matter of law, the State defendants' failure to consider judicial compensation on the merits violates the Separation of Powers Doctrine, and by allowing for the remedy discussed in the opinion herein, and, as so modified, affirmed.

[926 NE2d 240, 899 NYS2d 733]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AVERY
V. BAKER, JR., Appellant.

Argued February 17, 2010; decided March 25, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 29, 2009. The Appellate Division affirmed a judgment of the Chemung County Court (Peter C. Buckley, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, manslaughter in the first degree, manslaughter in the second degree, endangering the welfare of a child and reckless endangerment in the second degree.

People v Baker, 58 AD3d 1069, affirmed.

HEADNOTES**Crimes — Right to Counsel — Effective Representation — Failure to Request Submission of Homicide Counts in Alternative Not Ineffective Assistance**

1. In the prosecution of defendant arising from the death of a 20-month-old child, defense counsel's failure to ask the trial court to instruct the jury that it should consider the counts of depraved indifference murder of a child, first-degree manslaughter and second-degree manslaughter in the alternative did not constitute ineffective assistance of counsel. Because the counts of depraved indifference murder of a child and first-degree manslaughter as charged in the indictment were not inconsistent, it was proper to allow the jury to consider both offenses simultaneously rather than in the alternative. Depraved indifference murder of a child under Penal Law § 125.25 (4) requires that the defendant recklessly create a grave risk of serious physical injury or death under circumstances evincing a depraved indifference to human life. In contrast, first-degree manslaughter under Penal Law § 125.20 (4) involves an intent to cause physical injury. A defendant can intend one result while recklessly creating a grave risk of a different, more serious result. Further, because two of the four Appellate Divisions have ruled that second-degree manslaughter is not a lesser included offense of depraved indifference murder of a child, it was not unreasonable for defendant's trial attorney to believe that the jury could consider both depraved indifference murder of a child and manslaughter in the second degree, and that those counts did not have to be charged in the alternative. In any event, defendant did not show that there was no legitimate tactical reason for trial counsel's decision to accept the charge regarding second-degree manslaughter.

Crimes — Argument and Conduct of Counsel — Use of Slides Displaying Legal Definitions in Homicide Prosecution

2. In the prosecution of defendant for depraved indifference murder of a child, manslaughter in the first degree and manslaughter in the second degree

arising from the death of a 20-month-old child, the trial court did not abuse its discretion as a matter of law by allowing the People's use of a projector to display the legal definitions of depraved indifference and recklessness to the jury during summation, since the use of the slides did not prejudice defendant or undermine his right to a fair trial. The use of the slides could have assisted the jury in differentiating between ordinary recklessness for manslaughter and the extreme recklessness and heightened mental state that is needed to establish depraved indifference. Furthermore, the judge's instructions were sufficient to dispel any possibility that the jury would give precedence to or place undue emphasis on the prosecutor's use of the slides.

Crimes — Right to Public Trial

3. No violation of defendant's right to a public trial occurred when the trial court granted the prosecutor's request to exclude the mother of defendant's children from the trial because she was a potential witness. Courts have the discretion to exclude potential witnesses from the courtroom without contravening the Sixth Amendment right to a public trial. It was not unreasonable for the court to find that the woman might be called as a rebuttal witness for the People, notwithstanding the fact that defense counsel indicated that he would not call her to the stand because her Family Court attorney prohibited her from being interviewed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 967, 971, 1135–1139; AM JUR 2d, Homicide §§ 471, 474, 490; AM JUR 2d, Trial §§ 139, 176, 541, 544, 922.
CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:166, 184:169, 184:174, 184:175, 184:274; CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:67–190:69; CARMODY-WAIT 2d, Summation §§ 199:11, 199:12; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:2, 200:11, 200:13.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 24.1, 24.7, 24.8.
MCKINNEY'S, Penal Law § 125.20 (4); § 125.25 (4).
NY JUR 2d, Criminal Law: Procedure §§ 864–868, 878, 879, 919, 2472, 2653, 2673, 2724, 2728; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 512, 544.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Attorneys; Homicide; Instructions to Jury; Manslaughter; Trial.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: ineffective /4 counsel /4 assistance & fail! /3 object & consider! /s simultaneous!

POINTS OF COUNSEL

Mitch Kessler, Cohoes, for appellant. I. County Court violated appellant's constitutional right to a public trial by excluding his children's mother from the trial, since defense counsel announced that although her name appeared on the list of potential defense witnesses, he would not call her as a witness, and the People moved to exclude her based only on a vague suggestion that they might call her as a rebuttal witness. (*People v Nieves*, 90 NY2d 426; *Waller v Georgia*, 467 US 39; *People v Matteo*, 73 NY2d 928; *Rodriguez v Miller*, 439 F3d 68; *People v Sbarbaro*, 244 AD2d 581; *People v Warren O.*, 86 AD2d 895.) II. County Court denied appellant a fair trial by permitting the prosecution to display to the jury during summation a verbatim recitation of statutory language defining the mental states of depraved indifference to human life and recklessness. (*People v Owens*, 69 NY2d 585; *People v Vincenty*, 68 NY2d 899; *People v Spivey*, 81 NY2d 356.) III. Defense counsel rendered ineffective assistance by failing to object to County Court's instructions that the jury return a verdict on all three homicide counts of the indictment, each of which required a mental state distinct from the others, and to the court's acceptance of the verdict finding appellant guilty on all three counts, since the instructions relieved the jury of its responsibility of deciding with which mental state appellant acted and resulted in a triple conviction for a single homicidal act. (*People v Feingold*, 7 NY3d 288; *People v Trappier*, 87 NY2d 55; *Matter of Suarez v Byrne*, 10 NY3d 523; *People v Gallagher*, 69 NY2d 525; *People v Caban*, 5 NY3d 143; *Strickland v Washington*, 466 US 668; *People v Brown*, 45 NY2d 852; *People v Zaborski*, 59 NY2d 863; *Henry v Poole*, 409 F3d 48; *DeLuca v Lord*, 77 F3d 578.)

Weeden A. Wetmore, District Attorney, Elmira (*Damian M. Sonsire* of counsel), for respondent. I. Defendant's constitutional right to a public trial was not violated. (*People v Hinton*, 31 NY2d 71; *Charles v United States*, 215 F2d 825; *People v Felder*, 39 AD2d 373; *People v Cooke*, 292 NY 185; *People v Gifford*, 2 AD2d 634; *People v Warren O.*, 86 AD2d 895; *People v Crimmins*, 36 NY2d 230; *People v Lloyde*, 106 AD2d 405, 64 NY2d 890.) II. The prosecutor's summation was in all respects proper. (*People v Owens*, 69 NY2d 585; *People v Tucker*, 77 NY2d 861; *People v Williams*, 8 AD3d 963, 3 NY3d 683; *People v Laracunte*, 21 AD3d 1389, 6 NY3d 777; *People v Nash*, 273 AD2d 696; *People v Bryan*, 46 AD3d 1219, 10 NY3d 809.) III. The court properly charged the jury with regard to the homicide counts.

(*People v Carter*, 7 NY3d 875; *People v Gray*, 86 NY2d 10; *People v Alfaro*, 66 NY2d 985; *People v Satloff*, 56 NY2d 745; *People v Hawkins*, 11 NY3d 484; *People v Castellano*, 11 NY3d 850; *People v Griffin*, 48 AD3d 1233, 10 NY3d 840; *People v Soule*, 251 AD2d 1056, 92 NY2d 951; *People v Sweet*, 234 AD2d 957, 89 NY2d 1101; *People v Young*, 296 AD2d 588, 99 NY2d 541.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in this case is whether defendant's trial lawyer was ineffective because he did not ask the court to instruct the jury that it should consider the three homicide counts in the alternative. We conclude that defendant has not demonstrated that his attorney failed to provide meaningful representation and therefore affirm the order of the Appellate Division.

Defendant Avery V. Baker, Jr., lived with his then-girlfriend and her 20-month-old son, Jordan, in the City of Elmira, Chemung County. On the evening of September 12, 2006, defendant grabbed Jordan by one arm, carried him to his room and slammed the child into his crib. Shortly thereafter, Jordan began making choking sounds and his mother found that he was turning blue in his face, his body was seizing and he appeared to be unconscious. The child was brought to a hospital and was released the next day.

Three days later, defendant got upset when he discovered crayon drawings on a television. Another child in the household claimed that Jordan was responsible for the markings, so defendant ordered his girlfriend to get Jordan. The boy was brought to defendant and he proceeded to spank the child. When Jordan would not stop crying, defendant picked him up, shook him violently and threw him to the floor head first. Jordan screamed and attempted to stand up but was unable to do so.

Defendant lifted Jordan, who went limp and stopped breathing. Jordan's mother wanted to call 911, but defendant told her that Jordan would "come out of it" like he did on September 12th. When defendant's attempts to revive Jordan were unsuccessful, he telephoned 911 for emergency assistance. Paramedics took the child to the hospital for treatment of severe head trauma and, three hours later, Jordan was pronounced dead.

During his conversations with police investigators, defendant made a series of inconsistent statements about what had hap-

pened to Jordan. He eventually admitted that he had spanked Jordan, shaken him and thrown the child to the floor. In a written statement, defendant explained that he threw Jordan “too hard” out of anger and revealed that he had thrown the child on two prior occasions, with one incident occurring on September 12th.

A grand jury indicted defendant for depraved indifference murder of a child (Penal Law § 125.25 [4]), manslaughter in the first and second degrees (Penal Law § 125.20 [4]; § 125.15 [1]), and endangering the welfare of a child (Penal Law § 260.10) stemming from the homicide on September 15, 2006. With respect to the September 12th incident, defendant was indicted for endangering the welfare of a child and reckless endangerment in the second degree (Penal Law § 120.20). At the People’s request, County Court later dismissed the charge of endangering the welfare of a child related to the September 15th incident.

A jury ultimately found defendant guilty of the remaining charges and he was sentenced to an aggregate prison term of 21 years to life. The Appellate Division affirmed (58 AD3d 1069 [2009]) and a Judge of this Court granted leave to appeal (12 NY3d 851 [2009]).

At the trial, the court informed the parties that it intended to allow the jury to consider all three homicide counts and would not charge them in the alternative. Defense counsel agreed to this presentation under *People v Trappier* (87 NY2d 55 [1995]). Defendant now asserts that his attorney’s acquiescence constituted ineffective assistance of counsel because depraved indifference murder of a child, manslaughter in the first degree and manslaughter in the second degree are inconsistent counts that should have been charged to the jury in the alternative pursuant to *People v Gallagher* (69 NY2d 525 [1987]).

To succeed on an ineffective assistance claim, a defendant must prove that trial counsel failed to provide meaningful representation (see e.g. *People v Caban*, 5 NY3d 143, 152 [2005]; *People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Baldi*, 54 NY2d 137, 147 [1981]). “A single error may qualify as ineffective assistance, but only when the error is sufficiently egregious and prejudicial as to compromise a defendant’s right to a fair trial” (*People v Caban*, 5 NY3d at 152). In addition, even if a defendant shows that the lawyer erred, a defendant must further “demonstrate the absence of strategic or other legitimate

explanations” for the error (*People v Rivera*, 71 NY2d 705, 709 [1988]).

Deciding whether defendant’s trial lawyer was ineffective when he agreed that the jury should consider all three homicide offenses requires us to assess our precedent addressing inconsistent counts. In *Gallagher* (69 NY2d 525 [1987]), we explained that criminal charges must be considered in the alternative by the finder of fact if guilt of one charge is inconsistent with guilt of the other. If so, the jury may find the accused guilty of only one of the crimes because a finding of guilt on inconsistent counts results in a repugnant verdict. For example, a person cannot simultaneously intend to cause another person’s death and at the same time consciously disregard a substantial risk that death will occur (*see id.* at 529). As a result of this inconsistency, *Gallagher* held that the crimes of intentional murder and depraved indifference murder must be charged in the alternative.

In *Trappier*, however, we recognized that “[a] defendant could certainly intend one result—serious physical injury—while recklessly creating a grave risk that a different, more serious result—death—would ensue from his actions” (87 NY2d 55, 59 [1995]). Thus, a jury may consider both attempted assault in the first degree and reckless endangerment in the first degree because those charges are not inconsistent and therefore do not have to be charged in the alternative. Based on the reasoning of *Trappier*, we recently determined that a defendant can be convicted of both first-degree intentional manslaughter (Penal Law § 125.20 [1]) and depraved indifference murder because the former crime requires an intent to inflict serious physical injury whereas the latter requires the reckless creation of a different result—a grave risk of death (*see Matter of Suarez v Byrne*, 10 NY3d 523, 540-541 [2008]).

[1] Considering this precedent, we conclude that the counts of depraved indifference murder of a child and first-degree manslaughter as charged in the indictment were not inconsistent and it was proper to allow the jury to consider both offenses simultaneously rather than in the alternative. Depraved indifference murder of a child under Penal Law § 125.25 (4) requires that the defendant recklessly create a grave risk of serious physical injury or death under circumstances evincing a depraved

indifference to human life.* In contrast, first-degree manslaughter under Penal Law § 125.20 (4) involves an intent to cause physical injury. As *Trappier* declared, a defendant can “certainly intend one result . . . while recklessly creating a grave risk [of] a different, more serious result” (87 NY2d at 59). Hence, trial counsel’s failure to object to the court’s proposed charge with respect to these two counts did not amount to ineffective legal assistance.

Whether manslaughter in the second degree should have been charged as a lesser-included, alternative offense of the count of depraved indifference murder of a child is a closer question. We have held that manslaughter in the second degree is a lesser-included offense of depraved indifference murder under Penal Law § 125.25 (2) (see *People v Atkinson*, 7 NY3d 765, 766-767 [2006]), but we have not examined whether that also applies to depraved indifference murder of a child under subdivision (4) of section 125.25. The Third and Fourth Departments have considered this issue and ruled that second-degree manslaughter is not a lesser included offense of depraved indifference murder of a child (see *People v Heslop*, 48 AD3d 190, 195-196 [3d Dept 2007], *lv denied* 10 NY3d 935 [2008]; *People v Robinson*, 278 AD2d 798 [4th Dept 2000], *lv denied* 96 NY2d 762 [2001]). Hence, it was not unreasonable for defendant’s trial attorney to believe that the jury could consider both depraved indifference murder of a child and manslaughter in the second degree, and that those counts did not have to be charged in the alternative (see generally *People v Carter*, 7 NY3d 875, 876-877 [2006]).

In any event, defendant has not shown that there was no legitimate tactical reason for trial counsel’s decision to accept the charge regarding second-degree manslaughter. Because it is undisputed that defendant caused the child’s death, it is conceivable that his attorney may have thought there was a benefit in giving the jury the option of considering the less serious homicide offense at the same time it deliberated over the depraved indifference murder and first-degree manslaughter charges. If jurors were split on either of the higher counts, defense counsel may have reasoned that they would compromise by convicting defendant of the less serious offense. Thus, counsel could have

* Depraved indifference murder under subdivision (2) of Penal Law § 125.25 is different because it only applies to a grave risk of death, not a grave risk of serious physical injury.

concluded that submission of all three homicide counts created an opportunity for jury leniency. Defendant therefore has not demonstrated that he was denied his right to meaningful representation at trial.

Defendant also contends that he was denied a fair trial because the People used a projector to display the legal definitions of depraved indifference and recklessness to the jury during summation. Defendant believes that this created a risk that the jury would place undue emphasis on those definitions during deliberations and that the prosecutor usurped the trial judge's duty to explain the law to the jury.

[2] The slides in the record before us contain virtually verbatim definitions of depraved indifference murder and recklessness as set forth in the pattern Criminal Jury Instructions (CJI) (*see* CJI2d[NY] Penal Law § 125.25 [4]). Notably, the CJI instructions on depraved indifference incorporate our recent jurisprudence on the subject (*see e.g. People v Feingold*, 7 NY3d 288, 294-296 [2006]) and defendant concedes that the content of the slides accurately described the legal definitions of those terms. The use of the slides, therefore, could have assisted the jury in differentiating between ordinary recklessness for manslaughter and the extreme recklessness and heightened mental state that is needed to establish depraved indifference.

Furthermore, during the trial judge's pre-summation charge to the jury, he specifically advised: "I am responsible for setting forth the law, not the lawyers." The judge also explained that the lawyers were given a copy of the court's legal instructions before summations and might refer to those instructions during closing arguments. The judge cautioned the jurors that they had to "listen carefully to all the instructions that I will give you after the summations. And if you think there's any difference between what the lawyers may have said and what I say the law is, your sworn duty as jurors is to follow my instructions on the law." In the final charge, the court reiterated that the jurors were duty bound to "apply to the facts the law as I explain it." The slides were not given to the jury to review during deliberations (*cf. People v Owens*, 69 NY2d 585, 591 [1987] [a jury cannot be given only certain portions of final instructions in writing over the defendant's objection]).

In our view, the judge's instructions were sufficient to dispel any possibility that the jury would give precedence to or place undue emphasis on the prosecutor's use of the slides (*see gener-*

ally *People v Tucker*, 77 NY2d 861, 863 [1991]). Jurors are presumed to follow the legal instructions they are given (see e.g. *People v Guzman*, 76 NY2d 1, 7 [1990]; *People v Acevedo*, 69 NY2d 478, 488 [1987]) and, in conjunction with the court's appropriate commands, we believe that the use of the slides in this case did not prejudice defendant or undermine his right to a fair trial. As a result, it cannot be said that the trial court abused its discretion as a matter of law when it allowed this procedure.

[3] Defendant's final contention is that his right to a public trial was violated when the court granted the prosecutor's request to exclude the mother of defendant's children from the trial because she was a potential witness. Courts have the discretion to exclude potential witnesses from the courtroom (see *People v Santana*, 80 NY2d 92, 100 [1992]; *People v Cooke*, 292 NY 185, 191 [1944]) without contravening the Sixth Amendment right to a public trial. On this record, it was not unreasonable for the court to find that the woman might be called as a rebuttal witness for the People, notwithstanding the fact that defense counsel indicated that he would not call her to the stand because her Family Court attorney prohibited her from being interviewed. In addition, the fact that the court allowed defendant's mother to remain in the courtroom undermines defendant's claim that the trial court sought to remove his relatives and friends from the courtroom. The constitutional cases defendant cites (see e.g. *Waller v Georgia*, 467 US 39 [1984]; *People v Nieves*, 90 NY2d 426 [1997]) therefore have no bearing on this case.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order affirmed.

[926 NE2d 233, 899 NYS2d 726]

In the Matter of NEW YORK STATE OFFICE OF CHILDREN AND
FAMILY SERVICES et al., Respondents, v LAUREN LANTERMAN
et al., Appellants.

In the Matter of NEW YORK STATE OFFICE OF ALCOHOLISM AND
SUBSTANCE ABUSE SERVICES et al., Appellants, v VICTOR OR-
TIZ et al., Respondents.

Argued February 9, 2010; decided March 25, 2010

SUMMARY

APPEAL, in the first above-entitled proceeding, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 14, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Albany County (John C. Egan, Jr., J.), which had dismissed the petition to stay arbitration and granted the cross motion to compel arbitration; (2) granted the petition to permanently stay arbitration; and (3) denied the cross motion to compel arbitration.

APPEAL, in the second above-entitled proceeding, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 14, 2009. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Albany County (John C. Egan, Jr., J.), which had dismissed the petition to stay arbitration and granted the cross motion to compel arbitration.

Matter of New York State Off. of Children & Family Servs. (Lanterman), 62 AD3d 1109, affirmed.

Matter of New York State Off. of Alcoholism & Substance Abuse Servs. (Ortiz), 62 AD3d 1118, reversed.

HEADNOTE

Arbitration — Matters Arbitrable — Failure to Have Qualifications Necessary for Job

Disciplinary grievances filed on behalf of state employees who were dismissed because they lacked the professional credentials required for their jobs were not arbitrable under the applicable collective bargaining agreement (CBA), nor were the employees entitled to arbitrate the question of whether their dismissals were disciplinary actions. The CBA provided that the disciplinary procedure set forth therein was in lieu of the procedure specified in Civil Service Law §§ 75 and 76 and was applicable to all persons subject to the statutes. Issues of job performance, misconduct or competency are subject to Civil Service Law disciplinary procedures, but failure to meet qualifications of

employment are not. Contractual disciplinary procedures were not involved because the relevant contract clause, on its face, was applicable to those cases to which the statutes would otherwise apply. The disciplinary procedures contained in Civil Service Law §§ 75 and 76 were inapplicable to the employees' grievances because no act of misconduct was at issue. Nor was it for an arbitrator rather than a court to decide whether the employees were entitled to disciplinary hearings because there was not a reasonable relationship between the subject matter of the dispute and the general subject matter of the CBA. Despite the breadth of the arbitration clause in the CBA, it could not be construed to extend to arbitration of grievances which, as a matter of law, did not effectively allege any breach of the collective bargaining agreement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution § 33; AM JUR 2d, Civil Service §§ 50, 63-65, 73; AM JUR 2d, Labor and Labor Relations § 357.

McKINNEY's, Civil Service Law §§ 75, 76.

NY JUR 2d, Arbitration and Award § 48; NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 456, 498, 500; NY JUR 2d, Employment Relations §§ 678, 679.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Civil Service; Discipline and Disciplinary Actions; Labor and Employment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: employment job /4 qualif! /s disciplin! & arbitrat!
/s dismiss!

POINTS OF COUNSEL

Edward J. Aluck, Albany, and *William P. Seamon* for appellants in the first above-entitled proceeding. I. The Appellate Division erroneously stayed arbitration of this dispute because remedies available to the arbitrator would not violate public policy. (*Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 411; *Board of Educ., Lakeland Cent. School Dist. of Shrub Oak v Barni*, 51 NY2d 894; *Matter of State of N.Y., N.Y. State Dept. of*

Agric. & Mkts. [Public Empls. Fedn.], 277 AD2d 564; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132.) II. The Appellate Division erroneously concluded that arbitration of this dispute would necessarily violate public policy and that it is not authorized by the parties' collective bargaining agreement. (*Matter of Wyandanch Union Free School Dist. v Wyandanch Teachers Assn.*, 48 NY2d 669; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of Winter v Board of Educ. for Rhinebeck Cent. School Dist.*, 79 NY2d 1; *Matter of Smith v Board of Educ. of Wallkill Cent. School Dist.*, 65 NY2d 797; *Matter of Board of Educ. of Norwood-Norfolk Cent. School Dist. [Hess]*, 49 NY2d 145; *Matter of Lynch v Nyquist*, 41 AD2d 363, 34 NY2d 588; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1.)

Andrew M. Cuomo, Attorney General, Albany (Julie M. Sheridan, Barbara D. Underwood and Andrew D. Bing of counsel), for respondents in the first above-entitled proceeding. This dispute involving the termination of an employee who did not maintain the teaching certification that is a statutory and regulatory qualification for employment as a teacher is not arbitrable as a contract grievance under article 34 of the parties' collective bargaining agreement. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of Blackburne [Governor's Off. of Empl. Relations]*, 87 NY2d 660; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Mandelkern v City of Buffalo*, 64 AD2d 279; *Matter of Sorano v City of Yonkers*, 37 AD3d 839; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254, 10 NY3d 928; *Matter of Moogan v New York State Dept. of Health*, 8 AD3d 68; *Matter of Naliboff v Davis*, 133 AD2d 632, 71 NY2d 805.)

James R. Sandner, Latham, and *James D. Bilik* for New York State United Teachers, amicus curiae in the first above-entitled proceeding. I. The Appellate Division erred by staying arbitration on public policy grounds. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of Lynch v Nyquist*, 41 AD2d 363, 34 NY2d 588; *Matter of Meliti v Nyquist*, 41 NY2d 183; *Matter of Chambers v Board of Educ., Lisbon Cent. School Dist.*, 58 AD2d 961; *Matter of Rappold v Board of Educ., Cleveland Hills Union Free School Dist.*, 95 AD2d 890.) II. The parties' agreement to arbitrate encompassed the dispute at issue. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Board of Educ. of Watertown City School Dist. v Watertown Educ. Assn.*, 74 NY2d 912; *Board of Educ. of Lakeland Cent. School Dist. of Shrub Oak v Barni*, 49 NY2d 311; *Matter of Franklin Cent. School [Franklin Teachers Assn.]*, 51 NY2d 348; *Board of Educ. of Cattaraugus Cent. School v Cattaraugus Teacher's Assn.*, 55 NY2d 951; *Matter of Lynch v Nyquist*, 41 AD2d 363; *Matter of Chambers v Board of Educ., Lisbon Cent. School Dist.*, 58 AD2d 961; *Matter of Rappold v Board of Educ., Cleveland Hills Union Free School Dist.*, 95 AD2d 890.)

Andrew M. Cuomo, Attorney General, Albany (*Julie M. Sheridan*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for appellants in the second above-entitled proceeding. This dispute involving the termination of an employee who did not maintain a professional credential that is a qualification for employment is not arbitrable as a contract grievance under article 34 of the parties' collective bargaining agreement. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of Blackburne [Governor's Off. of Empl. Relations]*, 87 NY2d 660; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of Felix v New York City Dept. of Citywide*

Admin. Servs., 3 NY3d 498; *Mandelkern v City of Buffalo*, 64 AD2d 279; *Matter of Sorano v City of Yonkers*, 37 AD3d 839; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254, 10 NY3d 928; *Matter of Moogan v New York State Dept. of Health*, 8 AD3d 68; *Matter of Naliboff v Davis*, 133 AD2d 632, 71 NY2d 805.)

Edward J. Aluck, Albany, and *William P. Seamon* for respondents in the second above-entitled proceeding. I. The Appellate Division properly denied the application to stay arbitration on the ground that the grievance concerns the interpretation, application or a claimed violation of article 33 of the collective bargaining agreement and, therefore, that it falls within the broad contract arbitration clause of article 34 of the parties' collective bargaining agreement. (*Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *Matter of Sprinzen [Nomberg]*, 46 NY2d 623; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273; *Matter of Vestal Cent. School Dist. [Vestal Teachers Assn.]*, 2 AD3d 1190, 2 NY3d 708.) II. Respondents' argument concerning past practice and bargaining history is for an arbitrator, not this Court, to review. In any event, such review establishes this grievance is arbitrable. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of State of N.Y., N.Y. State Dept. of Agric. & Mkts. [Public Empls. Fedn.]*, 277 AD2d 564; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Chalachan v City of Binghamton*, 55 NY2d 989; *Matter of Union-Endicott Cent. School Dist. [Endicott Teachers' Assn.]*, 59 AD3d 799; *Matter of Police Benevolent Assn. of N.Y. State Troopers, Inc. [Governor's Off. of Empl. Relations]*, 17 AD3d 972.)

Nancy E. Hoffman, Albany, and *Leslie C. Perrin* for Civil

Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, amicus curiae in the first and second above-entitled proceedings. Summary termination of an employee who is covered by a contractual disciplinary arbitration provision simply because the employee no longer possesses a job-related certification is contrary to law. (*Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1.)

OPINION OF THE COURT

SMITH, J.

In these two cases, state employees who were dismissed because they lacked the credentials required for their jobs seek to arbitrate the question of whether their dismissals were disciplinary actions. Under our decision in *Matter of Felix v New York City Dept. of Citywide Admin. Servs.* (3 NY3d 498 [2004]), the dismissals clearly were not disciplinary, and the employees' assertion that they were does not have a relationship with their collective bargaining agreement sufficient to justify arbitration of the issue.

I

Lauren Lanterman was a teacher employed by the Office of Children and Family Services (OCFS); Victor Ortiz was a counselor employed by the Office of Alcoholism and Substance Abuse Services (OASAS). Though they worked for different agencies, Lanterman and Ortiz belonged to the same union, the New York State Public Employees Federation (PEF), and their rights were governed by the same collective bargaining agreement (CBA).

Both Lanterman and Ortiz needed credentials for the jobs they held. A civil service classification standard, promulgated pursuant to Education Law § 112 (1) and 8 NYCRR 116.3 (b), required Lanterman to have a teaching certificate appropriate to her specialty. OASAS regulations, promulgated pursuant to Mental Hygiene Law § 19.07 (d), required Ortiz to have a credential as a credentialed alcoholism and substance abuse counselor (CASAC). Before the events leading to this litigation, Lanterman had a provisional teaching certificate, and Ortiz had a CASAC credential good for three years. Both of these credentials expired, and both Lanterman and Ortiz failed to obtain new ones. As a result, both were dismissed.

PEF filed grievances for Lanterman and Ortiz, claiming that their dismissals violated their rights under article 33 of the CBA. That article is entitled “DISCIPLINE” and begins with the following words:

“33.1 Applicability

“The disciplinary procedure set forth in this Article shall be in lieu of the procedure specified in Sections 75 and 76 of the Civil Service Law and shall apply to all persons currently subject to Sections 75 and 76 of the Civil Service Law.”

The stated purpose of article 33 is “to provide a prompt, equitable and efficient procedure for the imposition of discipline for just cause” (§ 33.2). It prescribes a detailed “disciplinary procedure,” beginning with a “notice of discipline,” which may be followed by a “disciplinary grievance,” which, if not otherwise resolved, may in turn become the subject of a “disciplinary arbitration” (§ 33.5).

OCSF and OASAS rejected the grievances and the Governor’s Office of Employee Relations upheld the rejections. The position of these agencies is that the grievances are not subject to arbitration because Lanterman’s and Ortiz’s dismissals were not for disciplinary reasons, but for the employees’ failure to have the qualifications necessary for their jobs. PEF, Lanterman and Ortiz respond, in substance, that this itself is an arbitrable question. Under article 34 of the CBA, a “contract grievance,” defined as “a dispute concerning the interpretation, application or claimed violation of a specific term or provision of this Agreement” (§ 34.1 [a]), is an arbitrable dispute. PEF, Lanterman and Ortiz argue that, since they say that article 33’s disciplinary procedures are available in their case, and the employers say they are not, a “dispute concerning the interpretation, application or claimed violation” of a provision of the CBA exists. They thus seek an arbitration about what the contract means, to be followed, if they prevail, by a disciplinary procedure and perhaps a second, disciplinary, arbitration.

PEF filed notices of intention to arbitrate on Lanterman’s and Ortiz’s behalf, and the state agencies brought these proceedings under CPLR article 75 to stay the arbitrations. Both employees prevailed in Supreme Court. In the Appellate Division, the cases were decided by the same panel on the same day (*Matter of New York State Off. of Children & Family Servs. [Lanterman]*, 62 AD3d 1109 [3d Dept 2009]; *Matter of New York State*

Off. of Alcoholism & Substance Abuse Servs. [Ortiz], 62 AD3d 1118 [3d Dept 2009]). The judgment in Lanterman's favor was reversed, but that in Ortiz's favor was affirmed, with two Justices dissenting in each case. The reason for the contrasting results is that one Justice was persuaded by the state agencies' argument, made as to Lanterman but not as to Ortiz, that the proposed arbitration would violate public policy.

In each case, the unsuccessful parties appeal to us as of right, pursuant to CPLR 5601 (a). We affirm in *Lanterman* and reverse in *Ortiz*. Because we conclude that neither grievance is arbitrable under the CBA, it is unnecessary for us to decide the public policy issue raised in *Lanterman*.

II

The question Lanterman and Ortiz seek to arbitrate is essentially the same question we decided in *Felix*. There, a New York City employee was dismissed for failing to establish city residence, which was a prerequisite to his employment under a local law. The employee sought a hearing under Civil Service Law § 75 ("Removal and other disciplinary action"), but we rejected his claim, holding that the disciplinary provisions of the Civil Service Law did not apply to him. We explained that "while an act of misconduct invokes Civil Service Law § 75 disciplinary procedures," an employee's failure to meet a residence requirement "is separate and distinct from an act of misconduct" (3 NY3d at 505). We approved the distinction made in *Mandelkern v City of Buffalo* (64 AD2d 279, 281 [4th Dept 1978, Simons, J.]) between issues of "job performance, misconduct or competency," which are subject to Civil Service Law disciplinary procedures, and "a qualification of employment," which is not.

In *Felix*'s terms, the dismissals of Lanterman and Ortiz were plainly not disciplinary, but were for failure to meet qualifications of employment—a teaching certificate in Lanterman's case, a CASAC credential in Ortiz's. The State does not claim that the employees have forfeited their jobs by misconduct. It claims that they do not have the qualifications that they must have to hold those jobs.

PEF, Lanterman and Ortiz try to distinguish *Felix* by arguing that these cases involve contractual, not statutory, disciplinary procedures. The argument is without merit, because the relevant contract clause, on its face, is made applicable to exactly those cases to which the statute would otherwise apply: the contractual disciplinary procedure is "in lieu of the procedure

specified in Sections 75 and 76 of the Civil Service Law” and is applicable “to all persons currently subject to Sections 75 and 76 of the Civil Service Law.” *Felix* squarely holds that sections 75 and 76 are inapplicable to the grievances of Lanterman and Ortiz.

PEF, Lanterman and Ortiz argue, in substance, that however weak their claim to be accorded disciplinary hearings may be, the claim is for an arbitrator, not a court, to decide. It is generally true that we distinguish “between the merits of grievances and the threshold question of whether courts or arbitrators have the authority to decide the merits” (*Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273, 279 [2002]) and that “[e]ven an apparent weakness of the claimed grievance is not a factor in the court’s threshold determination” (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132, 142 [1999]). These rules are applicable as long as a contractual interpretation is at least colorable, but it is not true that any claim, no matter how insubstantial, may be arbitrated. Under *Watertown*, the test is “whether there is a reasonable relationship between the subject matter of the dispute and the general subject matter of the CBA” (93 NY2d at 143). We hold here, as we did in *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes* (94 NY2d 686, 694-695 [2000]), that the “reasonable relationship” test is not met: “despite the breadth of the arbitration clause in the CBA, it cannot be construed to extend to arbitration of grievances which, as a matter of law, do not effectively allege any breach of the collective bargaining agreement.”

Accordingly, in *Lanterman*, the order of the Appellate Division should be affirmed with costs. In *Ortiz*, the order of the Appellate Division should be reversed with costs and the petition to stay arbitration granted.

CIPARICK, J. (dissenting). Because the parties’ collective bargaining agreement (CBA) may be interpreted to manifest a clear intent to arbitrate the question of whether an employee who lacks the requisite credentials for employment can be terminated under the CBA’s contract grievance and discipline procedures, I respectfully dissent and would compel arbitration.

In both of these cases the majority permanently stays arbitration, holding that the parties to the CBA did not agree to arbitrate their disputes involving termination of employees who

did not maintain professional credentials. The effect of this ruling is to deny the employees disciplinary due process, as established in the CBA, and permit their summary termination. It has long been settled that a dispute is arbitrable if the arbitration is not barred by “any statutory, constitutional or public policy” and the parties “in fact agreed to arbitrate the particular dispute” (*Matter of County of Chautauqua v Civil Serv. Emps. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513, 519 [2007] [internal quotation marks omitted]). We have read the second of these requirements broadly; if there is a “reasonable relationship between the subject matter of the dispute and the general subject matter of the CBA,” the dispute is arbitrable (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132, 143 [1999]). The arbitrator can then “make a more exacting interpretation of the precise scope of the substantive provisions of the CBA, and whether the subject matter of the dispute fits within them” (*id.*).

Under the CBA at issue here between New York State and the New York State Public Employees Federation (PEF), it would not be unreasonable for an arbitrator to conclude that the parties agreed to arbitrate this dispute. As the majority notes, article 34 of the CBA defines a “contract grievance” as “a dispute concerning the interpretation, application, or claimed violation of a specific term or provision of this Agreement” (§ 34.1 [a]). Because PEF, Lanterman, and Ortiz claim that the employers violated the procedural mandates of article 33 of the CBA, their claims fall under this definition. Notably, prior to these two matters, the State and PEF had a long-standing practice of following the disciplinary process set forth in article 33 whenever state agencies sought to terminate employees for lack of credentials. Whether article 33’s disciplinary procedure applies here is undoubtedly a dispute over the application of a term of the CBA and, therefore, it should be resolved by the arbitrator, not a court.

This result is buttressed by our traditionally expansive reading of CBA arbitration clauses as a means of resolving public sector labor disputes. Generally, if a court “determine[s] that the arbitration clause is broad enough to encompass the subject matter of the dispute, ‘[t]he question of the scope of the substantive provisions of the contract is itself a matter of contract interpretation and application, and hence it must be deemed a matter for resolution by the arbitrator’ ” (*Matter of Board of*

Educ. of Watertown City School Dist. v Watertown Educ. Assn., 74 NY2d 912, 913 [1989], quoting *Board of Educ. of Lakeland Cent. School Dist. of Shrub Oak v Barni*, 49 NY2d 311, 314 [1980]). This is true even where the substantive merits of a claim are weak (*Matter of Franklin Cent. School [Franklin Teachers Assn.]*, 51 NY2d 348, 357 [1980]).

The Office of Alcoholism and Substance Abuse Services (OASAS), the Office of Children and Family Services (OCFS), and the Governor's Office of Employee Relations (GOER) argue that Ortiz and Lanterman's terminations were not based on "misconduct or incompetence" and, thus, were not disciplinary actions. However, this "incompetency or misconduct" language comes from Civil Service Law § 75, which article 33 of the CBA supplants. Instead, the CBA provides that discipline may be imposed for "just cause." It would certainly be reasonable for an arbitrator to determine that, as Lanterman and Ortiz argue, failure to maintain a license constitutes "just cause" for discipline under the CBA. Because addressing this claim requires an interpretation of the CBA and the arbitrator alone has the power to determine the scope of the contract provisions, the dispute should be arbitrable.

In holding otherwise, the majority's reliance on *Matter of Felix v New York City Dept. of Citywide Admin. Servs.* (3 NY3d 498 [2004]) is misplaced, since that case did not involve a CBA or any language of comparable breadth to that used in article 34. In *Felix*, we interpreted a provision of the Administrative Code of the City of New York requiring a municipal employee to maintain a residence within the city and the statutory language of Civil Service Law § 75. The majority asserts that because article 33 replaces the procedure of Civil Service Law § 75, the contract language should be interpreted as we interpreted section 75 in *Felix*, where we distinguished between failure to comply with requirements that define eligibility and acts of misconduct or incompetence. In these cases, however, we are interpreting contractual language, including a provision specifying that any disputes regarding the interpretation of that language are themselves arbitrable. Moreover, section 12-120 of the New York City Administrative Code—the employment requirement at issue in *Felix*—expressly provides that failure to maintain residency constitutes a forfeiture of employment (*id.* at 502, citing Administrative Code of City of NY § 12-120). Here, because no specific statutory provision calls for automatic forfeiture of employment upon the loss of certification, the

arbitrator would have discretion to fashion a remedy. Furthermore, the notice and opportunity to contest procedures contained in the Administrative Code satisfied due process concerns in *Felix*, but are not available here.

Since I believe that the parties agreed to arbitrate these disputes, it is necessary to consider whether any public policy precludes the arbitration. I know of no such policy and, contrary to the Appellate Division's dispositive finding in *Lanterman*, do not think that the public policy of having well-qualified, certified teachers precludes arbitration here. A dispute is nonarbitrable if a court can "conclude, without engaging in any extended factfinding or legal analysis that a law [or policy] prohibits, in an absolute sense, the particular matters to be decided" by arbitration (*County of Chautauqua*, 8 NY3d at 519, quoting *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1, 8-9 [2002] [internal quotation marks and brackets omitted]). "Put differently, a court must stay arbitration where it can conclude, upon examining the parties' contract and the implicated statute on their face, 'that the granting of any relief would violate public policy' " (*id.*, quoting *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO*, 95 NY2d 273, 284 [2000]). Here, although the law clearly prohibits the parties' continued employment in their current positions without the requisite licensing, it does not require their termination; other remedies may be available.

In Lanterman's case, OCFS and GOER argue that arbitration of Lanterman's termination was barred by public policy,¹ but they fail to demonstrate that any relief granted by the arbitrator would violate public policy (see *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478, 484 [1995]; *County of Chautauqua*, 8 NY3d at 519). For example, in keeping with the expansive powers of an arbitrator, Lanterman could have been suspended without pay² until she received her certification

1. OASAS and GOER do not press a public policy argument in the Ortiz case, but merely contend that the dispute is not arbitrable as a contract grievance under article 34 of the CBA.

2. OCFS maintains that article 33 of the CBA prohibits the suspension of Lanterman without pay pending the resolution of a disciplinary proceeding. Article 33 provides that OCFS may suspend an employee pending a full hearing before an arbitrator where OCFS determines that probable cause exists that the employee's "continued presence on the job . . . would severely interfere with operations" (§ 33.4 [a] [1]). Of course, an arbitrator can address

(n. cont'd)

or she could have been reassigned to a non-teaching position.³ Although the regulations of the Education Department provide that “[a]ll professional instructional personnel shall have the required certificates as set forth in Part 80 of this Title” (8 NYCRR 116.3 [b]), the law nowhere expresses that a lapsed certificate will result in immediate termination.⁴

Indeed, in previous cases where we have found that public policy favors termination of a tenured civil servant without a hearing, the applicable statute or regulation has made that policy clear. For example, the federal Hatch Act expressly provides that an employee employed in connection with a program financed by federal funds is subject to discharge if he or she becomes a candidate for partisan elected office (5 USC §§ 1502-1506). Similarly, Public Officers Law § 30 provides for the forfeiture by law of employment for conviction of a felony, and section 12-120 of the New York City Administrative Code expressly provides that failure to maintain residency constitutes a forfeiture of employment (*see Felix*, 3 NY3d at 502). Here, in stark contrast, no specific statutory provision calls for the automatic forfeiture of employment upon a loss of certification. Thus, the public policy exception to arbitrability of a dispute should not apply here and we should maintain our clear policy of discouraging judicial interference with public sector arbitration, as contemplated by the Taylor Law (Civil Service Law art 14).

Therefore, in *Lanterman*, I would reverse the order of the Appellate Division, dismiss the petition to stay arbitration, and grant the cross motion to compel arbitration. In *Ortiz*, I would affirm the Appellate Division order that dismissed the petition to stay arbitration and granted the cross motion to compel arbitration.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

whether the lack of professional certification constitutes “severe interference” with operations and what, if any, remedy is appropriate.

3. Article 33 of the CBA contemplates this remedy and provides that “[w]here the appointing authority has determined that an employee is to be temporarily reassigned pursuant to this Article, the employee shall be notified in writing of the location of such temporary reassignments and . . . such reassignment may involve the performance of out-of-title work” (§ 33.4 [b] [1]).

4. Similarly, OASAS’ automatic dismissal of Ortiz from service for failure to maintain a required credential may not be appropriate under the circumstances and there may be other available remedies for an arbitrator to fashion.

In *Matter of New York State Off. of Children & Family Servs. v Lanterman*: Order affirmed, with costs.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN concurs.

In *Matter of New York State Off. of Alcoholism & Substance Abuse Servs. v Ortiz*: Order reversed, etc.

[926 NE2d 250, 899 NYS2d 743]

In the Matter of BOARD OF EDUCATION OF BAY SHORE UNION
FREE SCHOOL DISTRICT, Appellant, v THOMAS K., Individu-
ally and as Parent and Natural Guardian of RYAN K., an
Infant, Respondent.

Argued February 9, 2010; decided March 30, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 17, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Suffolk County (Denise F. Molia, J.; op 2008 NY Slip Op 33601[U]), which had denied a petition for a judgment vacating, annulling and setting aside the determination of a State Review Officer for the State Education Department. The State Review Officer had dismissed petitioner's appeal from the decision of an Impartial Hearing Officer that the individual aide recommended for respondent's son by petitioner's Committee on Special Education be provided at the private school the son attends.

Matter of Board of Educ. of Bay Shore Union Free School Dist. v Kain, 60 AD3d 851, affirmed.

HEADNOTES

Schools — Education of Children with Disabilities — Place Where Services Provided

1. Respondent's son, a private school student who had been diagnosed with attention deficit hyperactivity disorder and needed an individual aide in order to help him learn, was entitled to have the aide provided to him at his private school. Education Law § 3602-c, known as the dual enrollment statute, requires the provision of special education programs "on an equitable basis" to students who attend nonpublic schools (Education Law § 3602-c [2] [b] [1]). Although the dual enrollment statute does not mandate that a school district provide services at a nonpublic school for each student, the pertinent question is what the educational needs of the particular student require. Here, upon reviewing petitioner school district's determination to provide the aide at a public school within the district and not at respondent's private school, both the Impartial Hearing Officer and the State Review Officer agreed that the individual aide must be provided at the private school in order to be effective and to meet respondent's individual educational needs. As a practical matter, if petitioner's position had been upheld, it would have been necessary for the child to withdraw from the school his parents selected for him in order to receive the required services.

Schools — Education of Children with Disabilities — "Services" Include Individual Aides

2. The individual aide that respondent's son, a private school student who had been diagnosed with attention deficit hyperactivity disorder, needed in

order to help him learn fell within the statutory definition of “services” to be provided by petitioner school district (Education Law § 3602-c [1] [a]). Although an aide does not directly provide instruction, he or she facilitates the child’s education and provides services related to instruction. The definition of services was intended to include a wide range of educational resources for students with disabilities.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Schools §§ 345, 347, 389.

McKINNEY’s, Education Law § 3602-c.

NY JUR 2d, Schools, Universities, and Colleges §§ 246, 563, 582.

ANNOTATION REFERENCE

See ALR Index under Private and Parochial Schools; Schools and Education.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: private non-public /s student school /s aide /p requir! /4 service

POINTS OF COUNSEL

Ingerman Smith, L.L.P., Hauppauge (*Christopher Venator* and *Ethan D. Balsam* of counsel), for appellant. I. The lower courts erred in affirming the state administrative determination that petitioner-appellant has a legal obligation to provide a one-on-one aide to Ryan K. on site at his private school pursuant to Education Law § 3602-c (9). (*Board of Educ. of Monroe-Woodbury Cent. School Dist. v Wieder*, 72 NY2d 174; *Estate of Cowart v Nicklos Drilling Co.*, 505 US 469; *Grumet v Pataki*, 93 NY2d 677; *Russman v Board of Educ. of Enlarged City School Dist. of City of Watervliet*, 92 F Supp 2d 95, 260 F3d 114; *KDM v Reedsport School Dist.*, 196 F3d 1046; *Foley v Special School Dist.*, 153 F3d 863; *Fowler v Unified School Dist. No. 259, Sedgwick County, Kan.*, 128 F3d 1431; *Cefalu v East Baton Rouge Parish School Bd.*, 117 F3d 231.) II. The lower courts erred in affirming the state administrative determination that “services,” as that term is defined by Education Law § 3602-c (1) (a), include the provision of a one-on-one aide, when aides are categorically prohibited from providing instruction without proper certification.

Bee Ready Fishbein Hatter & Donovan, LLP, Mineola (*Joshua*

M. Jemal and *Kenneth A. Gray* of counsel), for respondent. I. Under New York State's Education Law petitioner-appellant is required to provide Ryan K. with the individual aide service at the nonpublic school in which he has been enrolled since preschool, as required under his Individualized Education Program. (*Board of Educ. of Monroe-Woodbury Cent. School Dist. v Wieder*, 72 NY2d 174; *Russman v Board of Educ. of City of Watervliet*, 150 F3d 219.) II. A one-on-one aide is an instructional service that is required to be provided under New York State's Education Law. (*Board of Educ. of Monroe-Woodbury Cent. School Dist. v Wieder*, 72 NY2d 174.) III. The ruling of the Board of Education of the Bay Shore Union Free School District in this case is contrary to its own policy and past practice of providing services in a nonpublic school setting.

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal presents two questions governed by section 3602-c of the Education Law: (1) whether petitioner School District is required to provide respondent student with an individual aide at his nonpublic school and (2) whether an individual aide falls within the definition of "services." We find that, under these circumstances, the School District is required to provide the aide at the student's private school and that an individual aide is a service within the meaning of the statute. We therefore affirm.

Respondent child is a student at St. Patrick School, a private school located within the Bay Shore Union Free School District. When he was in the first grade, he was diagnosed with attention deficit hyperactivity disorder (ADHD) and was classified as "other health impaired." The School District's Committee on Special Education therefore established an Individualized Education Program (IEP), recommending that the student receive both 40 minutes a day in a resource room and an individual classroom aide for three hours daily during his academic classes. The one-on-one aide was recommended in this case in order to refocus the student and to keep him on task during class. The aide was considered necessary in order to help the child learn. Both sides agree that the student should receive the recommended services, but disagree as to where the individual aide is to be provided—at the student's private school or at a Bay Shore public school.

After the School District refused to provide the aide at the child's school, his parents sought a hearing before an Impartial

Hearing Officer (IHO) pursuant to the federal Individuals with Disabilities Education Act (IDEA) (20 USC § 1400 *et seq.*) and the New York Education Law. The IHO determined that, under the circumstances, it was not only reasonable to provide the individual aide at the student's nonpublic school, but that it was necessary in order for the student to receive a free appropriate public education. The IHO therefore directed the School District to provide the services at St. Patrick. The IHO also determined that the individual aide fell within the Education Law § 3602-c definition of "services." The School District appealed to the State Review Officer (SRO), who agreed that, in order for the one-on-one aide to be effective and to meet the child's individual educational needs, the aide must be provided at the child's nonpublic school. The SRO also rejected the argument that the individual aide was not a "service[]" within the meaning of the Education Law.

The School District brought an action in federal court, under the IDEA, for review of the administrative determination (*see Bay Shore Union Free School Dist. v T. ex rel. R.*, 405 F Supp 2d 230 [ED NY 2005]). Observing that the parties agreed the student was not entitled to receive services at his nonpublic school under the federal act, the District Court affirmed the SRO's decision "dubitante," finding that New York law requires services to be provided based upon the educational needs of the child and that, in this case, the services had to be provided at the nonpublic school (*see Bay Shore*, 405 F Supp 2d at 233, 250). The Second Circuit vacated that determination and dismissed the appeal for lack of subject matter jurisdiction, concluding that the case raised only questions of state law (485 F3d 730 [2d Cir 2007]).

The School District then commenced this proceeding to vacate the determination of the SRO. Supreme Court denied the petition (2008 NY Slip Op 33601[U]) and the Appellate Division affirmed, finding that the location of the services depended upon the educational needs of the individual child and that, based on this child's needs, the School District was required to provide the services at the student's nonpublic school (60 AD3d 851, 852 [2009]). This Court granted the School District leave to appeal (12 NY3d 715 [2009]) and we now affirm.

Under the Individuals with Disabilities Education Act, in order to be eligible for federal financial assistance, a state must show that a system is in place to ensure that a free appropriate public education is made available to all of the

state's school-aged children with disabilities (*see* 20 USC § 1412 [a] [1] [A]). New York thus requires that every school district provide "suitable educational opportunities for children with handicapping conditions" based upon the needs of the individual child (Education Law § 4402 [2] [a]).

Education Law § 3602-c, known as the dual enrollment statute, requires the provision of special education programs "on an equitable basis" to students who attend nonpublic schools (Education Law § 3602-c [2] [b] [1]). That statute also provides that "[p]upils enrolled in nonpublic schools for whom services are provided pursuant to the provisions of this section shall receive such services in regular classes of the public school and shall not be provided such services separately from pupils regularly attending the public schools" (Education Law § 3602-c [9]). Bay Shore argues that it does not have a statutory obligation to provide such services to students at their nonpublic schools.

In *Board of Educ. of Monroe-Woodbury Cent. School Dist. v Wieder* (72 NY2d 174 [1988]) we determined that the dual enrollment statute requires neither that educational services be provided at a student's nonpublic school, nor that they be provided at the public school. Rather, *Wieder* recognized that the purpose behind the statute was to allow private school students with disabilities "equal access to the full array of specialized public school programs" and that, if the student received those services in the public school, the student should be integrated with, rather than separated from, other public school students (*Wieder*, 72 NY2d at 184). The Court recognized that where the services must be provided should be determined based upon the child's "individual educational needs in the least restrictive environment" (*Wieder*, 72 NY2d at 188).

[1] Although the dual enrollment statute does not mandate that the School District provide services at a nonpublic school for each student, that does not end the inquiry. Applying *Wieder* to this case, the pertinent question is what the educational needs of this student require. Both the IHO and the SRO essentially found that, in order for this child to receive a free appropriate public education, the services of an individual aide would have to be provided at his nonpublic school. The fallacy of the School District's position is that it advocates for the student, under the tutelage of an aide, to be kept focused and on task at a site removed from his own

teacher and classmates, and indeed, from his regular school. As a practical matter, if the School District's position were upheld, it would be necessary for the child to withdraw from the school his parents selected for him in order to receive the required services. Under these circumstances, the courts below properly determined that the School District was required to provide the one-on-one aide at the student's private school.

The School District also argues that a one-on-one aide does not fall within the statutory definition of "services." The statute defines "services" as "instruction in the areas of gifted pupils, career education and education for students with disabilities, and counseling, psychological and social work services related to such instruction" (Education Law § 3602-c [1] [a]). The School District maintains that without proper certification an aide is prohibited from providing instruction. However, "education for students with disabilities" is further defined as special education programs designed to serve children with disabilities as defined in Education Law § 4401 (1) (*see* Education Law § 3602-c [1] [d]). That statute, in turn, provides that a "child with a disability" is one who "can only receive appropriate educational opportunities from a program of special education," which includes "special services or programs" such as appropriate developmental or support services (*see* Education Law § 4401 [1], [2]).

[2] It is clear from this broad statutory language that the definition of services was intended to include a wide range of educational resources for students with disabilities. One of the purposes of a teacher's aide is to assist the teacher by performing certain services, including "support teaching duties" (8 NYCRR 80-5.6 [a] [3]; *see also* Education Law § 3009 [2] [a]). While the aide is plainly facilitating the child's education and providing services related to instruction, the aide is not directly providing instruction. However, the aide's contributions to the individual child's education are an integral part of his regular classroom experience. It is only by an overly narrow and restrictive reading of the statute that one could conclude that the individual aide would not fall within the statutory definition of "services."

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES
concur.

Order affirmed, with costs.

[926 NE2d 246, 899 NYS2d 739]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v PATRICK ZEPHRIN, Respondent.

Argued February 11, 2010; decided March 30, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 30, 2008. The Appellate Division (1) reversed, on the law, an amended judgment of the Supreme Court, Kings County (John M. Leventhal, J.), which had revoked a sentence of probation previously imposed by the Suffolk County Court (Joseph Farneti, J.), upon a finding that defendant violated a condition of probation, upon his admission, and imposed a sentence of imprisonment upon his previous conviction of grand larceny in the third degree; and (2) vacated the sentence imposed.

People v Zephrin, 54 AD3d 1066, affirmed.

HEADNOTE

Crimes — Sentence — Probation — Split Sentence — Jail-Time Credit

Where defendant received a split sentence of incarceration and probation, his jail-time credit toward the sentence of imprisonment also reduced his term of probation, and because his term of probation had expired prior to the filing of a declaration of delinquency, Supreme Court lacked authority to adjudicate defendant a probation violator. Where a court imposes a split sentence, the term of imprisonment and term of probation run concurrently and together may not exceed five years for most felony offenses (Penal Law § 60.01 [2] [d]; § 65.00). Thus, in cases where a defendant has been incarcerated pending sentencing and, as a result, receives credit for time served toward the term of imprisonment of a split sentence (*see* Penal Law § 70.30 [3]), that defendant's probationary term is also reduced by the period the defendant was incarcerated prior to sentencing. By calculating defendant's term of probation to begin at the same time as and to run concurrently with the term of incarceration, compliance is effected with both the split sentence statute and Penal Law § 65.15, which provides that a period of probation commences on the day it is imposed. Defendant's period of probation, "reduced" by the period of pre-sentence incarceration, begins on the day the sentence is imposed. Even if Penal Law § 65.15 (1) can be read to conflict with the specific directive of Penal Law § 60.01 (2) (d), the latter provision would govern as it is the more specific statutory command as well as the later-enacted statute. Penal Law § 70.30 (3), which is silent about credit to be given against a probationary term, should not be read in isolation. Finally, a defendant's term of probation should not be reduced by time-served credit longer than the sentence of imprisonment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 772, 844, 846, 850, 851.
CARMODY-WAIT 2d, Sentencing Procedures § 203:223;
CARMODY-WAIT 2d, Revocation of Probation or Parole
§§ 204:1, 204:31.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.3.
MCKINNEY'S, Penal Law § 60.01 (2) (d); §§ 65.00, 65.15 (1);
§ 70.30 (3).
NY JUR 2d, Criminal Law: Procedure §§ 2990, 3027, 3033,
3038, 3056, 3093.

ANNOTATION REFERENCE

Right to credit for time spent in custody prior to trial or
sentence. 77 ALR3d 182.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: split /2 sentence & term /4 probation /s reduc! /s
time /2 served

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Susan Paulson* and *Francis F. Caputo* of counsel), for appellant. Because defendant's term of probation had not yet expired when the declaration of delinquency was filed against him, Supreme Court properly sentenced defendant on the violation of probation. (*People v Teddy W.*, 56 AD3d 697; *People v Dawson*, 301 AD2d 659; *People v Ellis*, 27 AD3d 236; *People v Feliciano*, 1 AD3d 163; *People v Barnett*, 232 AD2d 170; *People v Weinflash*, 33 AD3d 559, 8 NY3d 886; *People ex rel. Maye v Keating*, 225 AD2d 836; *People v McNair*, 87 NY2d 772; *People v Letterlough*, 86 NY2d 259; *Korematsu v United States*, 319 US 432.)

Appellate Advocates, New York City (*Lynn W.L. Fahey* of counsel), for respondent. The Appellate Division correctly held, pursuant to Penal Law § 60.01 (2) (d), that respondent's term of probation expired before the declaration of delinquency was filed, and therefore that the court lacked power to adjudicate him a probation violator. (*People v Antwine*, 299 AD2d 151; *People v Montgomery*, 115 AD2d 102; *People v Lopez*, 6 NY3d 248; *People v Campbell*, 97 NY2d 532; *Matter of Pirro v*

Angiolillo, 89 NY2d 351; *People v Saunders*, 37 AD3d 1149; *People v Youngs*, 212 AD2d 1001; *People v Perez*, 161 AD2d 556; *Matter of Society of N.Y. Hosp. v Del Vecchio*, 70 NY2d 634; *People v Ladd*, 224 AD2d 881, 89 NY2d 893.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented on this appeal is whether defendant's jail-time credit toward his sentence of imprisonment also reduces his term of probation where defendant received a split sentence of incarceration and probation. We hold that defendant was entitled to credit toward his term of probation and, as a result, such term had expired prior to the filing of the declaration of delinquency.

On January 3, 2001, upon defendant's guilty plea to grand larceny in the third degree arising from Internet purchases made with stolen credit card information, County Court imposed a split sentence of six months' incarceration and five years' probation. The court acknowledged that defendant had been in custody since August of 2000 prior to sentencing and would receive credit for time served toward the period of incarceration. As a result, defendant was released from custody on the day of sentencing and probation was transferred to the New York City Department of Probation.

On April 27, 2005, defendant was arrested for, among other things, forgery in the second degree. In December 2005, the Department of Probation filed a declaration of delinquency based on defendant's April 2005 arrest. The following month, defendant pleaded guilty to the charge of possession of a forged instrument.

Later in January 2006, defendant appeared in Supreme Court in connection with the charge that he had violated his probation. After Supreme Court rejected his argument that his term of probation had ended in August 2005 prior to the filing of the declaration of delinquency, defendant pleaded guilty to violating his probation. Supreme Court sentenced defendant to an indeterminate term of 1 to 3 years' imprisonment to run concurrently with the sentence imposed for his January 2006 conviction for possession of a forged instrument.

Defendant appealed. The Appellate Division unanimously reversed and vacated the sentence, concluding that the probationary period had expired prior to the filing of the declaration of

delinquency (54 AD3d 1066, 1067 [2d Dept 2008]). The People appealed by permission of a Judge of this Court (12 NY3d 861 [2009]), and we now affirm.

Supreme Court had the authority to proceed on the declaration of delinquency only “during the period of [defendant’s] sentence of probation” (CPL 410.30; *see also People v Montgomery*, 115 AD2d 102, 103 [3d Dept 1985]). The Appellate Division here concluded that defendant’s term of probation had expired prior to the filing of the declaration of delinquency because defendant should have received credit toward his probationary term for the time he spent confined prior to sentencing (*see* 54 AD3d at 1067; *see also People v Teddy W.*, 56 AD3d 697, 698 [2d Dept 2008], *lv denied* 12 NY3d 860 [2009]; *People v Dawson*, 301 AD2d 659, 659-660 [2d Dept 2003]). We agree.

Authorized by Penal Law § 60.01 (2) (d), a “split sentence” consists of a term of imprisonment combined with a term of probation or conditional discharge (*see Matter of Pirro v Angiolillo*, 89 NY2d 351, 353 [1996]). The statute states:

“In any case where the court imposes a sentence of imprisonment . . . not in excess of six months for a felony . . . , it may also impose a sentence of probation or conditional discharge provided that the term of probation or conditional discharge together with the term of imprisonment shall not exceed the term of probation or conditional discharge authorized by article sixty-five of this chapter. The sentence of imprisonment shall be a condition of and run concurrently with the sentence of probation or conditional discharge.”

Penal Law § 65.00 (3) (a) authorizes a five-year term of probation for most felony offenses. Section 65.00 (2), however, recognizes that, where a split sentence is imposed, the limitations set forth in Penal Law § 60.01 (2) (d) may trump the time period set forth in section 65.00 (3) (a). Specifically, section 65.00 (2) states: “When a person is sentenced to a period of probation the court shall, *except to the extent authorized by paragraph (d) of subdivision two of section 60.01 of this chapter*, impose the period authorized by subdivision three of this section and shall specify . . . the conditions to be complied with” (emphasis added). Taken together, the explicit statutory command of Penal Law § 60.01 (2) (d) and Penal Law § 65.00 dictates that, where a court imposes a split sentence, the term of imprisonment and term of probation together may not exceed, in most cases, five

years. In other words, for most felonies, the relevant statutory provisions create a cap of five years that the two components of a split sentence together may not exceed.

Thus, in cases where a defendant has been incarcerated pending sentencing and, as a result, receives credit for time served toward the term of imprisonment of a split sentence (see Penal Law § 70.30 [3]), that defendant's probationary term is also reduced by the period the defendant was incarcerated prior to sentencing. For example, if a defendant was incarcerated for two months prior to sentencing, and was subsequently sentenced to a split sentence of six months' incarceration and five years' probation, that defendant's post-sentence prison term would be reduced by the two months of presentence detention. The defendant's probationary term, which runs concurrently with the term of imprisonment (see Penal Law § 60.01 [2] [d]) would also be reduced by the two months of presentence detention. As a result of that "reduction," the probationary term, together with the term of imprisonment, would equal five years, thereby complying with the plain language of the split sentence statute.

The People argue that the period of probation had not yet expired when the declaration of delinquency was filed against defendant and that the applicable statute is Penal Law § 65.15 (1), which provides that "[a] period of probation . . . commences on the day it is imposed." The People note that some Appellate Division decisions have relied on this statutory provision to conclude that, where a split sentence is imposed, a defendant is not entitled to credit toward his probationary term for time spent in custody prior to sentencing (see *People v Ellis*, 27 AD3d 236, 237 [1st Dept 2006], *lv denied* 6 NY3d 847 [2006]; *People v Feliciano*, 1 AD3d 163 [1st Dept 2003], *lv denied* 1 NY3d 571 [2003]). Further, the People argue that Penal Law § 70.30 (3) requires that a defendant be given credit for presentence time served toward a term of imprisonment only, because it is silent about credit to be given against a probationary term.

However, if defendant's probationary period is not calculated to begin until his sentencing date, his probationary period together with his term of imprisonment would exceed his five-year term of probation, in clear violation of section 60.01 (2) (d) of the Penal Law. By calculating defendant's term of probation to begin at the same time as and to run concurrently with the term of incarceration, we give effect to

both the split sentence statute and Penal Law § 65.15. The result of our holding is that defendant's period of probation, "reduced" by the period of incarceration, begins on the day the sentence is imposed (*see* Penal Law § 65.15 [1]). Even if Penal Law § 65.15 (1) can be read to conflict with the specific directive of Penal Law § 60.01 (2) (d), we have held on numerous occasions that a specific statutory provision governs over a more general provision (*see Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36, 42 n 8 [2005]; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001] [a "well-established rule of statutory construction provides that a 'prior general statute yields to a later specific or special statute' "], quoting *Erie County Water Auth. v Kramer*, 4 AD2d 545, 550 [4th Dept 1957], *affd* 5 NY2d 954 [1959]). In this instance, Penal Law § 60.01 (2) (d) is not only the more specific statutory command, inasmuch as it was enacted specifically to provide for split sentences, but it is also the later-enacted statute vis-à-vis Penal Law § 65.15 (1). We also refuse to read Penal Law § 70.30 (3) in isolation to preclude our conclusion. In short, all parts of this sentencing scheme are best harmonized by running the term of probation together with the term of imprisonment, not to exceed five years.

Finally, we note that a defendant's term of probation should not be reduced by time-served credit longer than the sentence of imprisonment. In the case of a split sentence the probationary term can only be reduced by time-served credit up to six months (*see e.g. People v Dawson*, 301 AD2d 659, 659-660 [2d Dept 2003]; *People v Montgomery*, 115 AD2d 102, 103 [3d Dept 1985]). Thus, the term of probation to be served would never be less than 4½ years, regardless of the time spent in presentence confinement. In that regard, we reemphasize that, since the statute requires that the term of incarceration, together with the term of probation, may not exceed the term of probation authorized by article 65 of the Penal Law (*see* Penal Law § 60.01 [2] [d]; § 65.00 [3] [a]), here five years, defendant's term of probation had expired before the declaration of delinquency was filed and Supreme Court was without authority to adjudicate defendant a probation violator.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH,
PIGOTT and JONES concur.

Order affirmed.

[926 NE2d 1202, 900 NYS2d 698]

HOTEL 71 MEZZ LENDER LLC, Appellant, v ROBERT D. FALOR et al., Respondents, et al., Defendant.

Argued January 6, 2010; decided February 16, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 16, 2008. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had granted plaintiff's motion to confirm an ex parte order of attachment and for disclosure in aid of attachment, and denied the motion of defendant Jennifer Falor to vacate the order of attachment; (2) denied the motion to confirm; (3) granted the cross motion to vacate the order of attachment; and (4) modified, on the law, a subsequent order and supplemental order of that court which had granted plaintiff's motion for the appointment of a receiver, authorized the receiver to exercise dominion and control over certain property, and restrained defendants from disposing of or diverting their ownership and/or management interests in certain entities. The modification consisted of denying the motion for appointment of a receiver and vacating the order and supplemental order except for the tenth decretal paragraph of the supplemental order which restrained defendants from disposing of or diverting their ownership and/or management interests in certain entities. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Hotel 71 Mezz Lender LLC v Falor, 58 AD3d 270, reversed.

HEADNOTES

Attachment — When Remedy Appropriate — Ownership/Membership Interests in Out-of-State Limited Liability Companies

1. In an action brought by plaintiff lender to enforce a guaranty of payment executed by the nondomiciliary defendants, under which they had voluntarily submitted to personal jurisdiction in New York, the issuance of an order of attachment of defendants' ownership/membership interests in various out-of-state business entities was proper. One defendant, who was personally served with the order of attachment while temporarily in New York, was the apparent manager of the business entities and the proper garnishee (within CPLR 5201 [c] [1]) for defendants' ownership/membership interests. A court with

personal jurisdiction over a nondomiciliary present in New York has jurisdiction over that individual's tangible or intangible property, even if the situs of the property is outside New York.

Attachment — Property Subject to Attachment — Intangible Property — Ownership/Membership Interests in Out-of-State Limited Liability Companies

2. In an action brought by plaintiff lender to enforce a guaranty of payment executed by the nondomiciliary defendants, the intangible ownership/membership interests defendants had in various out-of-state business entities constituted “property” subject to attachment for purposes of CPLR 6202. The ownership/membership interests were akin to intangible contract rights, and were assignable and transferable.

Attachment — Property Subject to Attachment — Situs of Intangible Property — Ownership/Membership Interests in Out-of-State Limited Liability Companies

3. In an action brought by plaintiff lender to enforce a guaranty of payment executed by the nondomiciliary defendants, the intangible ownership/membership interests defendants had in various out-of-state business entities constituted property with a New York situs for attachment purposes. Although the CPLR contains no provision as to the situs of intangible property for attachment purposes and defendants' intangible interests were not evidenced by written instruments that would otherwise determine their situs, the principles set forth in *Harris v Balk* (198 US 215 [1905]) to be used to fix the situs of a debt were applicable here. Under *Harris*, where a creditor seeks to attach a debt (an intangible form of property) solely for security purposes (i.e., the debtor is subject to the court's personal jurisdiction), the situs of the debt is wherever the debtor is present. The property interests at issue here were not debt, but there is no real distinction between “debt” and “property” under CPLR 5201. Moreover, the order of attachment was served in New York on the defendant who was both subject to the personal jurisdiction of the court and the proper garnishee of defendants' interests. Just as a debt clings to the debtor when he or she enters a state other than the state where the debt was incurred, it follows that defendants' uncertificated ownership interests, which the defendant possessed or had custody over, traveled with him, and were attachable in New York based on his presence there.

Attachment — Property Subject to Attachment — Situs of Intangible Property

4. *National Broadway Bank v Sampson* (179 NY 213 [1904]), which held that the situs of intangible property is the domicile of the debtor, and, as such, a court cannot obtain jurisdiction by service upon a nonresident debtor who is only temporarily present in New York, was overruled in *Harris v Balk* (198 US 215 [1905]) and should no longer be cited as authority for determining the situs of intangible property.

Receivers — Appointment — Appointment of Postjudgment Receiver to Administer Defendants' Intangible Personal Property

5. In an action brought by plaintiff lender to enforce a guaranty of payment executed by the nondomiciliary defendants, Supreme Court did not abuse its discretion in appointing a postjudgment receiver pursuant to CPLR 5228 to administer defendants' intangible personal property for purposes of satisfying plaintiff's outstanding judgment. The intangible property consisted of defendants' ownership/membership interests in various out-of-state business

entities. A receivership has been held especially appropriate when the property interest involved is intangible, lacks a ready market, and presents nothing that a sheriff can work with at an auction. In light of the complexity of defendants' intangible ownership interests in various entities, defendants' disregard for discovery orders regarding their finances, the danger of insolvency if a receiver were not appointed, and the lack of marketability of the intangible property interests, the appointment of a receiver was warranted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attachment and Garnishment §§ 17, 18, 21-23, 34-36, 45, 83, 88, 89, 228; AM JUR 2d, Corporations § 43; AM JUR 2d, Receivers §§ 2, 6, 96-99.
 CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:89, 64:111, 64:413, 64:415, 64:423; CARMODY-WAIT 2d, Attachment §§ 76:3, 76:120, 76:124, 76:129, 76:182.
 MCKINNEY's, CPLR 5201, 5228, 6202.
 NY JUR 2d, Business Relationships § 2290; NY JUR 2d, Creditors' Rights and Remedies §§ 24, 97, 102, 113, 114, 117, 138; NY JUR 2d, Enforcement and Execution of Judgments §§ 271, 275.
 SIEGEL, NY PRAC §§ 104, 323, 332, 485, 486, 489, 512.

ANNOTATION REFERENCE

See ALR Index under Attachment or Garnishment; Guaranty; Limited Liability Companies; Receivers and Receivership.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: intangible /3 property /s situs /p attachment & non-domiciliary & limited /2 liab!

POINTS OF COUNSEL

Gibson, Dunn & Crutcher LLP, New York City (*Robert L. Weigel* of counsel), for appellant. I. The trial court's order of attachment was proper. (*National Broadway Bank v Sampson*, 179 NY 213; *Cotnareanu v National City Bank*, 271 NY 619; *Bank of China, N.Y. Branch v NBM L.L.C.*, 192 F Supp 2d 183; *Harris v Balk*, 198 US 215; *Morgan v Mutual Benefit Life Ins. Co.*, 189 NY 447; *Plimpton v Bigelow*, 93 NY 592; *Breezevale Ltd. v Dickinson*, 262 AD2d 248; *Perez v Chase Manhattan Bank*, 61 NY2d 460; *Severnec Sec. Corp. v London & Lancashire Ins. Co.*, 255 NY 120; *ABKCO Indus. v Apple Films*, 39 NY2d 670.) II. The

trial court's appointment of Albert M. Rosenblatt as the post-judgment receiver was proper under CPLR 5228. (*Smith v Meader Pen Corp.*, 255 App Div 397; *Aquavella v Equivision, Inc.*, 181 Misc 2d 322, 270 AD2d 972; *Udel v Udel*, 82 Misc 2d 882; *Matter of Myer*, 273 App Div 387; *Matter of Chlopecki v Chlopecki*, 296 AD2d 640; *Fitzgerald v Tamola*, 199 AD2d 122; *Noce v Kaufman*, 2 NY2d 347; *Old Republic Natl. Tit. Ins. Co. v Cardinal Abstract Corp.*, 14 AD3d 678; *ABKCO Indus. v Apple Films*, 39 NY2d 670; *Acken v Coughlin*, 103 App Div 1.)

Mitchell Silberberg & Knupp LLP, New York City (*Paul D. Montclare* of counsel), for respondent. I. The court below lacked jurisdiction to attach defendants' interests in out-of-state entities. (*National Broadway Bank v Sampson*, 179 NY 213; *Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101; *Sweeney, Cohn, Stahl & Vaccaro v Kane*, 6 AD3d 72; *Oliner v Canadian Pac. Ry. Co.*, 34 AD2d 310, 27 NY2d 988; *Holmes v Camp*, 219 NY 359; *Bischoff v Boar's Head Provisions Co., Inc.*, 436 F Supp 2d 626; *Weber v King*, 110 F Supp 2d 124; *Harris v Balk*, 198 US 215.) II. The court improperly attached properties held as tenancies by the entirety in violation of Florida law. III. The court improperly attached properties in which none of defendants hold a direct interest. (*Capital Ventures Intl. v Republic of Argentina*, 443 F3d 214; *Bass v Bass*, 140 AD2d 251; *Viggiano v Viggiano*, 136 AD2d 630.) IV. New York courts may not appoint a receiver to run out-of-state companies. (*Acken v Coughlin*, 103 App Div 1; *Harbor Footwear Group v ASA Trading*, 1 Misc 3d 911[A], 2004 NY Slip Op 50036[U]; *Hallenborg v Greene*, 66 App Div 590; *Matter of Burge [Oceanic Trading Co.]*, 282 App Div 219; *Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25.) V. There is no basis to appoint a receiver over respondent's management rights in foreign companies. (*Retropolis, Inc. v 14th St. Dev. LLC*, 17 AD3d 209.) VI. There is no jurisdiction to appoint a receiver over out-of-state assets. (*Acken v Coughlin*, 103 App Div 1; *Harris v Balk*, 198 US 215; *National Broadway Bank v Sampson*, 179 NY 213; *Sweeney, Cohn, Stahl & Vaccaro v Kane*, 6 AD3d 72; *Bischoff v Boar's Head Provisions Co., Inc.*, 436 F Supp 2d 626.) VII. The court below disregarded Florida law in appointing a receiver over interests held by husband and wife as tenants by the entirety. (*Hallenborg v Greene*, 66 App Div 590.) VIII. The court below abused its discretion in appointing a receiver. (*Rosen v Siegel*, 106 F3d 28; *Secured Capital*

Corp. of N.Y. v Dansker, 263 AD2d 503; *Matter of Chlopecki v Chlopecki*, 296 AD2d 640.)

OPINION OF THE COURT

JONES, J.

The primary issue before the Court is whether the intangible personal property plaintiff sought to attach, i.e., defendants' ownership/membership interests in various out-of-state business entities, was subject to attachment under CPLR article 62. We conclude that the issuance of an order of attachment in New York on defendant Guy T. Mitchell, the nondomiciliary garnishee of defendants' intangible personal property, who voluntarily submitted to personal jurisdiction in New York, was appropriate.

We further hold that Supreme Court did not abuse its discretion in appointing a receiver pursuant to CPLR 5228.

By agreement dated March 29, 2005, plaintiff Hotel 71 Mezz Lender LLC made a \$27,338,801 mezzanine loan to nonparty Chicago H & S Senior Investors, LLC (borrower) for the purpose of developing and renovating Hotel 71, a prominent hotel located in Chicago.¹ This loan was made by plaintiff and accepted by the borrower in New York. Further, the proceeds of this loan were disbursed from New York. On that same day, defendants, including Guy T. Mitchell, who do not reside in New York, executed a guaranty of payment (guaranty) under which they unconditionally agreed to be jointly and severally liable for the borrower's obligations under the loan and submitted to the jurisdiction of any federal or state court in New York City in any suit, action or proceeding arising out of or relating to the guaranty. By executing this guaranty, defendants waived all defenses and counterclaims that might have been asserted against plaintiff in the event the borrower defaulted on the loan. In addition to being negotiated in New York, the guaranty was to be governed by and construed in accordance with the laws of New York State.

The borrower thereafter defaulted on the loan and filed for bankruptcy protection. On April 9, 2007, plaintiff commenced this action against the guarantors in Supreme Court, New York County to enforce the guaranty and recover the amounts due

1. In general, a mezzanine loan, which is subordinate to some other obligation (akin to a second mortgage), is secured not by the real property itself, but by stock of or some ownership interest in the company that owns the real property.

under the loan. After defendants answered, plaintiff made an ex parte application, pursuant to CPLR 6201, for a prejudgment order of attachment.² Plaintiff sought to attach defendants' property interests as security for the collection of any judgment entered against defendants. On September 25, 2007, Supreme Court granted the order of attachment in the sum of \$65,149,926 (the amount secured by the order). The court, however, stayed service of the levy by the sheriff to afford defendants the opportunity to oppose plaintiff's application for an order of attachment. In early October 2007, the order of attachment was delivered to the sheriff of the City and State of New York.

On October 23, 2007, Supreme Court heard oral argument from counsel regarding the order of attachment. Defendant Mitchell, who had been deposed in Supreme Court that day, was present to oppose the order. Following the hearing, Supreme Court permitted the sheriff to serve the order of attachment upon defendant Mitchell personally, as garnishee for any ownership/membership interests defendants may have had in 23 out-of-state entities, and as the apparent manager of the entities.³

The property at issue consisted of defendants' interests in 22 limited liability companies formed in Delaware, Georgia and Florida and a Florida corporation solely owned by defendant Mitchell. Unlike stock certificates, which are tangible property, defendants' ownership/membership interests are intangible and *uncertificated*.

After Supreme Court sealed the record, defendant Mitchell, pursuant to CPLR 6219, provided plaintiff with garnishee statements for the 23 entities. Defendant Mitchell does not dispute that he is the "proper garnishee" (within CPLR 5201 [c] [1])

2. Under CPLR 6201 (1),

"[a]n order of attachment may be granted in any action . . . where the plaintiff has demanded and would be entitled, in whole or in part, or in the alternative, to a money judgment against one or more defendants, when . . . the defendant is a nondomiciliary residing without the state, or is a foreign corporation not qualified to do business in the state."

Here, the requirements of CPLR 6201 (1) have been met. Defendants are non-domiciliaries residing outside the state. Further, under the plain terms of the aforementioned guaranty, plaintiff is entitled to full repayment of the loan from the guarantors (defendants) in the form of a money judgment.

3. The sheriff actually levied upon defendants' interests in 24 out-of-state entities. However, defendant Mitchell asserted he had no affiliation with and no information about one of the entities.

for defendants' ownership/membership interests.⁴ Nor does defendant Mitchell argue that he was improperly served. Defendant Mitchell, through counsel, stated in a letter to Supreme Court dated January 28, 2008, "[w]e are prepared to waive any argument that the proper garnishee was not served with the order of attachment or the related levies in this case."

In separate orders to show cause, plaintiff moved to confirm the order of attachment in the sum of \$65,149,926, and for the appointment of a receiver due to defendants' alleged refusal to produce documents related to their finances and their refusal to attend duly noticed depositions. By order entered February 8, 2008, Supreme Court granted plaintiff's motion to confirm the order of attachment, finding that plaintiff made the necessary showing under CPLR 6212 to confirm attachment⁵ and that attachment was necessary in the aid of security. Further, the court ruled that defendants' intangible interests were attachable property under the CPLR and that, because those interests were not evidenced by certificates, the service of the levy on defendant Mitchell was sufficient to fix the situs of said property in New York. Two months later, Supreme Court issued an order stating, "[c]onditioned upon the entry of judgment, . . . [plaintiff's] motion for the appointment of a receiver [of defendants' ownership/membership interests in 23 out-of-state entities] is granted." As set forth in this order, the receiver is authorized to take such actions as are appropriate to satisfy the order of attachment and any judgment(s) entered against defendants.

On February 6, 2008 and April 22, 2008, Supreme Court granted plaintiff summary judgment on liability against six of

4. CPLR 5201 (c) (1) provides:

"Where property consists of a right or share in the stock of an association or corporation, or interests or profits therein, for which a certificate of stock or other negotiable instrument is not outstanding, the corporation, or the president or treasurer of the association on behalf of the association, shall be the garnishee."

"A 'garnishee' is a person who owes a debt to a judgment debtor, or a person other than the judgment debtor who has property in his possession or custody in which a judgment debtor has an interest" (CPLR 105 [i]).

5. CPLR 6212 (a) provides:

"On a motion for an order of attachment, or for an order to confirm an order of attachment, the plaintiff shall show, by affidavit and such other written evidence as may be submitted, that there is a cause of action, that it is probable that the plaintiff will succeed on the merits, that one or more grounds for attachment provided in section 6201 exist, and that the amount demanded from the defendant exceeds all counterclaims known to the plaintiff."

the defendants, including defendant Mitchell. On April 21, 2008, judgment in the amount of \$52,404,066.54 was entered against these defendants. To date, the judgment has not been satisfied.

The Appellate Division reversed in a 3-1 decision, holding that because Supreme Court lacked jurisdiction over the defendants' interests in the limited liability companies and other entity, that court erred in granting plaintiff's motion to confirm the order of attachment. Citing *National Broadway Bank v Sampson* (179 NY 213 [1904]), the Appellate Division majority stated, "an attachment of a debt or other intangible property can only be effected as against the debtor or obligor by service upon him or her when he or she is domiciled within the state" (58 AD3d 270, 273 [2008]). Thus, because defendant Mitchell was only temporarily in New York when he was served, his presence was insufficient to support the attachment. The majority also concluded that Supreme Court abused its discretion in appointing a receiver.

In concluding that Supreme Court's orders should be affirmed, the dissent argued, based on the statutory framework of CPLR article 62 and *Harris v Balk* (198 US 215 [1905]), that service on a proper garnishee while that individual is in New York—even temporarily—is enough to permit the attachment of an intangible asset. The dissent also concluded, given defendants' alleged conduct in refusing to produce documents and appear for depositions, that Supreme Court was warranted in appointing a receiver to aid in postjudgment enforcement. The Appellate Division granted plaintiff leave to appeal, and we now reverse.

Plaintiff argues that Supreme Court's order of attachment was proper in all respects. Defendants counter that Supreme Court lacked jurisdiction over the ownership interests plaintiff sought to attach because they were not located in New York and, thus, could not be properly attached. Accordingly, defendants conclude, Supreme Court erred in granting plaintiff's motion to confirm the order of attachment. We find defendants' arguments unpersuasive.

The provisional remedy of attachment, which is governed by CPLR article 62, operates only against the property of the defendant, not on his/her person. One purpose of attachment is to provide security for a potential judgment against a nonresident debtor. This Court recently stated:

"By means of attachment, a creditor effects the

prejudgment seizure of a debtor's property, to be held by the sheriff[, actually or constructively], so as to apply the property to the creditor's judgment if the creditor should prevail in court. Attachment simply keeps the debtor away from his property or, at least, the free use thereof; it does not transfer the property to the creditor. It is frequently used when the creditor suspects that the debtor is secreting property or removing it from New York and/or when the creditor is unable to serve the debtor, despite diligent efforts, even though the debtor would be within the personal jurisdiction of a New York court (*see* CPLR 6201)" (*Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533, 538 [2009]; *see* Siegel, NY Prac § 313, at 499 [4th ed]).

Although attachment always serves a security function, it can also be used to obtain "quasi in rem" jurisdiction over a defendant not amenable to personal jurisdiction, but with tangible or intangible property in the state (*see id.*; *Douglass v Phenix Ins. Co. of Brooklyn, N. Y.*, 138 NY 209, 219 [1893] ["(I)t is a fundamental rule that in attachment proceedings the *res* must be within the jurisdiction of the court issuing the process, in order to confer jurisdiction"]⁶. "This quasi in rem jurisdiction is subject to the due process restrictions outlined by the United States Supreme Court in *Shaffer v Heitner* (433 US 186 [1977]);^[7] *see generally* Siegel, NY Prac §§ 104, 313, 314 [4th ed])" (*Koehler*, 12 NY3d at 538). In short, when attachment is used to serve as a jurisdictional predicate, the following black letter principle must be adhered to: "where personal jurisdiction is lacking, a New York court cannot attach property not within its jurisdiction" (*id.*).

6. Under the doctrine of quasi in rem jurisdiction, plaintiff is allowed "to attach any property [defendant] happens to have in New York and use it as a jurisdictional basis. Even if [defendant] is then served outside New York and defaults, the doctrine assures [plaintiff] that a resulting judgment will be good at least to the extent of the seized property" (Siegel, NY Prac § 104, at 184 [4th ed]).

7. The *Shaffer* Court considered whether the use of prejudgment garnishment against a nonresident debtor, based on the presence of the debtor's property in the garnishor's state, was, in and of itself, sufficient to confer in rem jurisdiction over the debtor. The Court held that, absent a showing that the debtor had "minimum contacts" with the garnishor's chosen forum state, the mere presence of the debtor's property was insufficient to confer jurisdiction (*see* 433 US at 208-209).

On the other hand, where a court acquires jurisdiction over the person of one who owns or controls property, it is equally well settled that “the court[] can compel observance of its decrees by proceedings *in personam* against the owner within the jurisdiction” (*id.* at 539). In the case at bar, defendants (the guarantors of the debt under the mezzanine loan) voluntarily submitted to the personal jurisdiction of the court by executing the personal guaranty. This is not a case where attachment was used to confer quasi in rem jurisdiction over a nondomiciliary based on his/her in-state property. This attachment only served a security function (to ensure there would be sufficient money to satisfy a judgment if plaintiff prevailed).

[1] Based on the foregoing, a court with personal jurisdiction over a nondomiciliary present in New York has jurisdiction over that individual’s tangible or intangible property, even if the situs of the property is outside New York (*cf. Koehler*, 12 NY3d at 539).⁸ Because personal jurisdiction was properly asserted over defendants, including defendant Mitchell, Supreme Court had the authority to order prejudgment attachment of the property defendant Mitchell owned and/or controlled, and service of the order upon him while he was in New York was appropriate.

We next consider whether the property sought to be attached was subject to article 62 of the CPLR and relevant case law. CPLR 6202 provides:

“Any debt or property against which a money judgment may be enforced as provided in section 5201 is subject to attachment. The proper garnishee of any such property or debt is the person designated in section 5201; for the purpose of applying the provisions to attachment, references to a ‘judgment debtor’ in section 5201 and in subdivision (i) of section 105 shall be construed to mean ‘defendant.’ ”

Under CPLR 5201 (b), “[a] money judgment may be enforced

8. In *Koehler*, a case involving a certified question from the United States Court of Appeals for the Second Circuit, this Court held that a New York court with personal jurisdiction over a garnishee bank could order the bank to turn over stock certificates located outside New York. In reaching this conclusion, the Court relied, in part, on Appellate Division precedent holding that if a court has jurisdiction over a judgment debtor’s person, it can order delivery of the property the debtor controls, whether located within or without the state (*see Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25 [1st Dept 2007], *lv denied* 10 NY3d 705 [2008]; *Miller v Doniger*, 28 AD3d 405 [1st Dept 2006]; *Starbare II Partners v Sloan*, 216 AD2d 238 [1st Dept 1995]).

against any property which could be assigned or transferred, whether it consists of a present or future right or interest and whether or not it is vested.” Subdivision (b) “authorizes a judgment creditor to reach for any property interest the judgment debtor may have, whether [real or personal,] tangible or intangible, ‘which could be assigned or transferred’ ” (Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C5201:9, at 67). As relevant here,

“[i]ntangible interests, including money belonging to or owed to the judgment debtor, are subject to levy and are infinite in their variety. Some of these incorporeal interests have economic value so real and so direct that a judgment creditor would prefer them to any kind of tangible property. Others are more remote and take greater effort to reduce to money. Others are so contingent that they may never amount to a thing and hence not even be worth an effort” (Siegel, NY Prac § 487, at 823 [4th ed]).

In our seminal decision *ABKCO Indus. v Apple Films* (39 NY2d 670 [1976]), this Court considered whether an absent debtor’s intangible contract right to net profits from the future promotion of a film was “debt” or “property” within CPLR 5201, so as to support an attachment for purposes of securing quasi in rem jurisdiction. Although we stated that this right could be treated either as a debt under CPLR 5201 (a) or as property under CPLR 5201 (b), we held that the contract right was property that could be assigned, and therefore attached, even though its value was uncertain. In so holding, we determined that the lack of specific value had “no legal effect on the validity of the attachment” (39 NY2d at 675). Instead, the operative fact was whether the property interest had potential economic value that was worthy of pursuit by the creditor (*see id.*; Siegel, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C5201:5, at 60-64). In embracing this practical approach, *ABKCO Indus.* found unnecessary the distinction between “debt” and “property” for purposes of CPLR 5201 (*see Alliance Bond Fund, Inc. v Grupo Mexicano De Desarrollo, S.A.*, 190 F3d 16, 23 [2d Cir 1999] [“*ABKCO (Indus.)* virtually erases the distinction in § 5201 between ‘debt’ and ‘property’ by re-characterizing—as ‘(p)roperty against which a money judgment may be enforced’—debts that otherwise are placed out of reach by § 5201 (a)’s requirement that the debt being pursued be

either past due or certain to become due upon demand”]; *see also Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25, 36 [1st Dept 2007]).

[2] Applying a similar analysis in this case, the intangible property plaintiff sought to attach—defendants’ ownership/membership interests in 22 out-of-state limited liability companies—is akin to intangible contract rights, and is clearly assignable and transferable. Thus, the interests in question are “property” for purposes of CPLR 6202.

We next address whether the property at issue has a New York situs. At the outset, we acknowledge that “[t]he CPLR contains no provision as to the situs of [intangible] property for attachment purposes” (*ABKCO Indus.*, 39 NY2d at 675). We have therefore commented that “[t]he situs of intangibles is in truth a legal fiction” (*Severnoe Sec. Corp. v London & Lancashire Ins. Co.*, 255 NY 120, 123 [1931]). Here, the intangible interests sought to be attached are not evidenced by written instruments, such as certificates or negotiable instruments. If these interests were so evidenced, their situs would be where the written instruments were physically present (*see ABKCO Indus.*, 39 NY2d at 675). Because defendants’ intangible interests are uncertificated, we look to the U.S. Supreme Court’s decision in *Harris v Balk* (198 US 215 [1905]) for guidance in resolving the “situs” question.

In *Harris*, the United States Supreme Court held that a Maryland creditor who had a money claim against a North Carolina debtor could attach a debt owed by a North Carolina garnishee to the debtor by serving an order of attachment on the garnishee while he was temporarily in Maryland. Insofar as *Harris* stands for the principle that the above service was sufficient to obtain quasi in rem jurisdiction over the garnishee who coincidentally happened to be in the state, this principle has been overruled (*see Shaffer v Heitner*, 433 US 186 [1977]). But *Harris* also sets forth principles to be used to fix the situs of a debt and these principles remain good law (*see Perez v Chase Manhattan Bank*, 61 NY2d 460, 469 n 1 [1984]). Since *Harris*, “the power to enforce or collect a debt has been dependent on the presence of the debtor” (*id.* at 469)—not the domicile of the debtor. In this regard, the *Harris* Court stated:

“If there be a law of the state providing for the attachment of the debt, then, if the garnishee be found in that state, and process be personally served upon

him therein, we think the court thereby acquires jurisdiction over him, and can garnish the debt due from him to the debtor of the plaintiff, and condemn it, provided the garnishee could himself be sued by his creditor in that state. We do not see how the question of jurisdiction *vel non* can properly be made to depend upon the so-called original situs of the debt, or upon the character of the stay of the garnishee, whether temporary or permanent, in the state where the attachment is issued. Power over the person of the garnishee confers jurisdiction on the courts of the state where the writ issues. If, while temporarily there, his creditor might sue him there and recover the debt, then he is liable to process of garnishment, no matter where the situs of the debt was originally. We do not see the materiality of the expression ‘situs of the debt,’ when used in connection with attachment proceedings. If by situs is meant the place of the creation of the debt, that fact is immaterial. If it be meant that the obligation to pay the debt can only be enforced at the situs thus fixed, we think it plainly untrue. *The obligation of the debtor to pay his debt clings to and accompanies him wherever he goes.* He is as much bound to pay his debt in a foreign state when therein sued upon his obligation by his creditor, as he was in the state where the debt was contracted” (*Harris*, 198 US at 222-223 [emphasis added and citation omitted]).

In short, under *Harris*, where a creditor seeks to attach a debt (an intangible form of property) solely for security purposes (i.e., the debtor is subject to the court’s personal jurisdiction), the situs of the debt is wherever the debtor is present.

[3] Although the property interests at issue here are not debt, it would be illogical for us to hold that *Harris* does not apply to defendants’ intangible property interests. As noted, there is no real distinction between “debt” and “property” under CPLR 5201. Further, defendant Mitchell’s status supports application of *Harris* to the case at bar. Here, the order of attachment was served on defendant Mitchell, who is both subject to the personal jurisdiction of the court and the proper garnishee of defendants’ interests. Just as a debt clings to the debtor when he enters a state other than the state where the debt was incurred, it follows that defendants’ uncertificated ownership

interests, which defendant Mitchell possesses or has custody over, travel with him, and were attachable in New York based on his presence in this state. Our conclusion that the situs of defendants' property is in New York finds support among the commentators. Professor David D. Siegel stated:

“[A]lmost any kind of assignable interest is leviable today if a New York situs can be found for it. Finding the garnishee is just another way of finding the asset's 'situs': if the garnishee has a New York presence, the debtor's asset in the garnishee's hands will usually be found to have a New York situs, too. Where, for example, the garnishee owes the judgment debtor a debt, not represented by a negotiable instrument, the garnishee's physical presence in New York fixes New York as the situs of the debt. Where the asset being pursued is a claim that the judgment debtor has against the garnishee, the garnishee's New York presence enables suit on the claim to be brought in New York and thus, again, gives the claim a New York situs” (Siegel, *NY Prac* § 491, at 835 [4th ed]; see also *ABKCO Indus.*, 39 NY2d at 675).

[4] Based on the foregoing, the Appellate Division majority's and defendants' reliance on *National Broadway Bank v Sampson* (179 NY 213 [1904] [held that the situs of intangible property is the domicile of the debtor; as such, a court cannot obtain jurisdiction by service upon a nonresident debtor who is only temporarily present in New York State]) is misplaced. *National Broadway Bank's* restrictive view regarding the situs of intangible property, as evidenced by its holding that the debtor's domicile serves as the jurisdictional predicate to support an attachment, was overruled in *Harris v Balk*, and should no longer be cited as authority for determining the situs of intangible property (see *Morris Plan Indus. Bank of N.Y. v Gunning*, 295 NY 324, 329-330 [1946]). In any event, *National Broadway Bank*, which was decided over 50 years before the CPLR was enacted, is simply not consonant with CPLR article 62.

Finally, we reject the arguments analogizing defendants' ownership/membership interests in various limited liability companies to shares of corporate stock. Although both represent ownership interests, the relevant dividing line, under the CPLR's attachment provisions, is not ownership versus non-ownership, or whether the interests are tangible or intangible.

It is whether the interests are evidenced by written instruments, such as certificates, or not. Corporate shares are typically evidenced by stock certificates. Defendants' interests, on the other hand, are not evidenced by "ownership" certificates or any other written instrument.

[5] Plaintiff next argues that Supreme Court properly exercised its discretion in appointing a receiver pursuant to CPLR 5228. We agree.

"Upon motion of a judgment creditor . . . the court may appoint a receiver who may be authorized to administer, collect, improve, lease, repair or sell any real or personal property in which the judgment debtor has an interest or to do any other acts designed to satisfy the judgment" (CPLR 5228 [a]; *see Matter of Chlopecki v Chlopecki*, 296 AD2d 640, 641 [3d Dept 2002]). The appointment of a receiver pursuant to section 5228 (a) is a matter within the court's discretion (*see Drucker v Drucker*, 53 Misc 2d 446, 448 [Sup Ct, Special Term, Queens County 1967]). A motion to appoint a receiver should only be "granted . . . when a special reason appears to justify one" (Siegel, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C5228:1, at 324). In deciding whether the appointment of receiver is justified, courts have considered the "(1) alternative remedies available to the creditor . . . ; (2) the degree to which receivership will increase the likelihood of satisfaction . . . ; and (3) the risk of fraud or insolvency if a receiver is not appointed" (*United States v Zitron*, 1990 WL 13278, *1, 1990 US Dist LEXIS 1049, *2 [SD NY, Feb. 2, 1990] [citations omitted]). "A receivership has been held especially appropriate when the property interest involved is intangible, lacks a ready market, and presents nothing that a sheriff can work with at an auction, such as the interest of a psychiatrist/judgment debtor in a professional corporation of which he is a member" (Siegel, NY Prac § 512, at 872 [4th ed]; *see Udel v Udel*, 82 Misc 2d 882 [NY City Civ Ct 1975]).

Here, plaintiff argues that the appointment of a receiver is warranted due to the complexity of defendants' intangible ownership interests in various limited liability companies and defendants' disregard for Supreme Court's discovery orders (with respect to their finances). Also, there appears to be a danger of insolvency if a receiver is not appointed. Supreme Court noted that plaintiff submitted "extensive documentation that strongly suggests Defendants' precarious financial condition, and that an identifiable risk exists that Defendants will be

unable to satisfy a future judgment.” Further, given the lack of marketability of defendants’ intangible property interests (there is no ready market for them), turning the property over to the sheriff would not be helpful in trying to satisfy the judgment. A receiver has the authority to marshal and, if necessary, liquidate defendants’ interests. Finally, contrary to defendants’ arguments, plaintiff seeks receivership over defendants’ ownership/membership interests, not the day-to-day operation of a foreign corporation.

Based on the foregoing, Supreme Court did not abuse its discretion in appointing a postjudgment receiver to administer defendants’ intangible personal property for purposes of satisfying plaintiff’s outstanding \$52 million judgment.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the orders of Supreme Court reinstated, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, reversed, etc.

[927 NE2d 532, 901 NYS2d 112]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
J. CARNCROSS, Appellant.

Argued February 11, 2010; decided March 25, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 11, 2009. The Appellate Division affirmed a judgment of the Onondaga County Court (William D. Walsh, J.), which had convicted defendant, upon a jury verdict, of reckless driving and aggravated criminally negligent homicide.

People v Carncross, 59 AD3d 1112, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Legal Sufficiency of Evidence That Defendant Acted with Requisite Mens Rea

1. In a prosecution for aggravated criminally negligent homicide and related crimes arising from the death of a state trooper in a car accident while pursuing defendant in a high-speed chase, defendant failed to preserve his claim that the evidence at trial was legally insufficient to establish that he acted with the requisite mens rea to support his conviction for aggravated criminally negligent homicide. In moving to dismiss the aggravated criminally negligent homicide count, defendant had argued only that the evidence was insufficient to prove a “causal connection” between the defendant’s conduct and the trooper’s death, and not that the evidence failed to establish he acted with the requisite mens rea. Where a motion to dismiss for insufficient evidence is made, the preservation requirement compels that the argument be specifically directed at the alleged error.

Crimes — Criminally Negligent Homicide — Causation — Officer Killed while Engaged in Pursuit

2. In a prosecution for aggravated criminally negligent homicide and related crimes arising from the death of a state trooper in a car accident while pursuing defendant in a high-speed chase, the evidence was legally sufficient to establish a causal connection between defendant’s conduct and the trooper’s death. There was no requirement that defendant’s motorcycle actually make contact with the trooper’s vehicle in order for the causation element to be satisfied. Rather, the essential inquiry was whether defendant’s conduct was a sufficiently direct cause of the trooper’s death. Had defendant not fled when the trooper attempted to pull him over for speeding, the trooper would not have engaged in the high-speed chase that resulted in his death. Where, as here, a defendant’s flight naturally induces a police officer to engage in pursuit, and the officer is killed in the course of that pursuit, the causation element of the crime will be satisfied.

Crimes — Right to Counsel — Effective Representation — Potential Conflict of Interest

3. County Court did not abuse its discretion in granting the prosecution’s motion to disqualify the defense counsel who had represented defendant’s

father and girlfriend at the grand jury. Defendant was charged with aggravated criminally negligent homicide and related crimes arising from the death of a state trooper in a car accident while pursuing defendant in a high-speed chase, and the testimony defendant's father and girlfriend gave before the grand jury would have been damaging to the possible defense theory that defendant was not the person who had been driving the pursued motorcycle. Although defendant's father and girlfriend never actually testified at trial, at the time the disqualification motion was made the parties were operating under the assumption that defendant's father and girlfriend might well be called as prosecution witnesses. Any identity of interest defendant's father and girlfriend may have had with defendant would have dissolved if they were called as witnesses for the prosecution, or if defense counsel opted for a strategy tailored to avoid having to cross-examine them. The trial court, in granting the disqualification motion despite defendant's waiver of the conflict on the record, carefully balanced defendant's right to counsel of his own choosing against his right to effective assistance of counsel.

**Crimes — Right to Counsel — Effective Representation —
Counsel's Actions in Encouraging Defendant to Speak with Police**

4. Defendant, who had agreed, after conferring with counsel, to speak with the police and gave a statement implicating himself in a high-speed pursuit that resulted in the death of a state trooper, failed to establish that he received ineffective assistance of counsel. After defendant's attorney arrived at the police barracks the attorney was told by representatives of the District Attorney's Office that the District Attorney would look favorably upon defendant if he voluntarily gave a statement. He was also told that the police had received information that defendant was in fact the person being sought and that the police had the names of other persons who had spoken to defendant. Defendant's attorney made the strategic decision to encourage defendant to cooperate in order to receive favorable treatment once charges were brought. Even assuming that the right to effective assistance of counsel attached prior to defendant's inculpatory statement and that suppression is the appropriate remedy where a statement is given as the result of ineffective assistance of counsel, it could not be said that defendant received less than meaningful representation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 575, 627; AM JUR 2d, Attorneys § 195; AM JUR 2d, Criminal Law §§ 1102, 1120, 1135–1139; AM JUR 2d, Homicide §§ 85–87, 114, 432, 441.
- CARMODY-WAIT 2d, Right to Counsel §§ 184:103, 184:104, 184:162–184:167, 184:219; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence § 193:3; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:34, 207:172.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.4, 11.7, 11.10, 27.5.
- NY JUR 2d, Criminal Law: Procedure §§ 750, 758, 759, 864–870, 878, 883, 3454–3456, 3472, 3644; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 558, 559, 563.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Criminal Procedure Rules; Homicide.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: preserv! /s insufficien! /3 evidence /p caus! /p negligent /2 homicide

POINTS OF COUNSEL

Mitchell Goris & Stokes, LLC, Cazenovia (*Stewart F. Hancock, Jr.*, of counsel), and *Bianco Law Offices*, Syracuse (*Randi Juda Bianco* of counsel), for appellant. I. The proof presented by the prosecution was legally insufficient to establish the required elements of aggravated criminally negligent homicide. The trial court erred, as a matter of law, in denying defendant's motions to dismiss for legal insufficiency and the Appellate Division erred in failing to reverse the trial court and dismiss that charge. (*People v Cabrera*, 10 NY3d 370; *People v Gray*, 86 NY2d 10; *People v Badke*, 21 Misc 3d 471; *People v Haney*, 30 NY2d 328; *People v Soto*, 44 NY2d 683; *People v Ricardo B.*, 73 NY2d 228; *People v Loughlin*, 76 NY2d 804; *People v Maher*, 79 NY2d 978; *People v Harris*, 81 NY2d 850; *People v Ladd*, 89 NY2d 893.) II. The Appellate Division erred in holding that defendant had failed to preserve the contention that the evidence was legally insufficient to establish that defendant had the requisite mens rea for criminally negligent homicide; in the event that this Court should hold that this issue is being presented for the first time in this Court, this Court can and should hear the issue on the merits. (*People v Fermin*, 36 AD3d 934; *People v Edwards*, 95 NY2d 486; *People v LaPetina*, 34 AD3d 836; *People v Duncan*, 177 AD2d 187; *People v Flores*, 124 Misc 2d 478; *People v Haney*, 30 NY2d 328; *People v Kibbe*, 35 NY2d 407; *People v Le Mieux*, 51 NY2d 981; *People v Gray*, 86 NY2d 10; *People v Bynum*, 70 NY2d 858.) III. The court erred in granting the People's motion to disqualify defense counsel and that error deprived appellant of his federal and state constitutional right to counsel of his choice. This constitutional deprivation, without more, mandates reversal and a new trial. (*United States v Perez*, 325 F3d 115; *People v Caban*, 123 AD2d 356; *United States v Kliti*, 156 F3d 150; *People v Ortiz*, 76 NY2d 652; *People v Wandell*, 75 NY2d 951; *People v Gomberg*, 38 NY2d 307; *People v Mattison*, 67 NY2d 462; *People v Stewart*, 126 AD2d 943; *People v Arroyave*, 49 NY2d 264; *People v Salcedo*, 68 NY2d 130.) IV. The

trial court erred in failing to dismiss the indictment based on improper expert testimony and misleading grand jury instructions. (*People v Loizides*, 123 Misc 2d 334; *People v Taylor*, 150 Misc 2d 91; *De Long v County of Erie*, 60 NY2d 296; *Kulak v Nationwide Mut. Ins. Co.*, 40 NY2d 140; *People v Santi*, 3 NY3d 234; *Ortiz v City of New York*, 39 AD3d 359; *People v McCart*, 157 AD2d 194; *People v Champion*, 247 AD2d 901; *People v Huston*, 88 NY2d 400; *People v Wilkins*, 68 NY2d 269.) V. The court's evidentiary rulings at trial deprived defendant of his right to a fair trial in violation of article I, § 6 of the New York State Constitution and the Fifth and Fourteenth Amendments of the United States Constitution. (*Selkowitz v County of Nassau*, 45 NY2d 97; *People v Goldstein*, 6 NY3d 119; *People v Peguero-Castillo*, 174 AD2d 1026; *Olden v Kentucky*, 488 US 227; *People v De Jesus*, 42 NY2d 519; *People v Montes*, 141 AD2d 767; *People v Ortiz*, 116 AD2d 531; *People v Rivera*, 116 AD2d 371; *People v Alicea*, 37 NY2d 601; *People v Steinhardt*, 9 NY2d 267.) VI. Defendant's statement should have been suppressed as his right to counsel under the Fifth and Sixth Amendments to the United States Constitution and article I, § 6 of the New York State Constitution had indelibly attached and his rights were violated when the representation afforded him by counsel in dealing with law enforcement authorities was grossly incompetent. (*People v Claudio*, 83 NY2d 76; *People v Iucci*, 61 AD2d 1; *United States v Cronin*, 466 US 648.) VII. The cumulative effect of the errors deprived defendant of the right to a fair trial. (*People v Crimmins*, 36 NY2d 230; *People v Pyne*, 223 AD2d 910; *People v Kitchen*, 55 AD2d 575.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* and *Victoria M. White* of counsel), for respondent. I. The evidence was legally sufficient to support defendant's conviction of aggravated criminally negligent homicide. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Bleakley*, 69 NY2d 490; *People v Boutin*, 75 NY2d 692; *People v Haney*, 30 NY2d 328; *People v Ricardo B.*, 73 NY2d 228; *People v Conway*, 6 NY3d 869; *People v Cabrera*, 10 NY3d 370; *People v Paul V.S.*, 75 NY2d 944; *People v McGranham*, 12 NY3d 892.) II. The Appellate Division properly held that defendant failed to preserve his contention that the evidence was legally insufficient to establish that defendant possessed the requisite mens rea for criminally negligent homicide. (*People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56, 678; *People v Bynum*, 70 NY2d 858; *People v Sweeney*, 15 AD3d 917, 4 NY3d 891; *People v Belge*, 41 NY2d 60.) III. The court properly disqualified defense

counsel. (*People v Gomberg*, 38 NY2d 307; *People v Tineo*, 64 NY2d 531; *People v Wandell*, 75 NY2d 951; *People v Harris*, 99 NY2d 202; *People v McDonald*, 68 NY2d 1; *People v Lombardo*, 61 NY2d 97; *People v Stewart*, 126 AD2d 943; *Wheat v United States*, 486 US 153; *United States v Gonzalez-Lopez*, 548 US 140; *People v Hall*, 46 NY2d 873, 444 US 848.) IV. The testimony and instructions presented to the grand jury did not impair the integrity of the grand jury or prejudice defendant. (*People v Huston*, 88 NY2d 400; *People v Wooten*, 283 AD2d 931, 96 NY2d 943; *People v Caracciola*, 78 NY2d 1021; *People v Darby*, 75 NY2d 449; *People v Gray*, 86 NY2d 10; *Mallory v Mallory*, 113 Misc 2d 912; *People v McCart*, 157 AD2d 194, 76 NY2d 861; *People v Sims*, 178 AD2d 993, 79 NY2d 953; *People v DaCosta*, 6 NY3d 181; *People v Calbud, Inc.*, 49 NY2d 389.) V. County Court's evidentiary rulings were legal, proper and did not deprive defendant of his right to a fair trial. (*People v Gray*, 86 NY2d 10; *People v LeGrand*, 8 NY3d 449; *People v Brown*, 97 NY2d 500; *People v Cronin*, 60 NY2d 430; *Selkowitz v County of Nassau*, 45 NY2d 97; *People v Sorge*, 301 NY 198; *People v Snell*, 234 AD2d 986, 89 NY2d 1015; *People v McIntyre*, 36 NY2d 10; *People v Straniero*, 17 AD3d 161, 5 NY3d 795; *People v Gonzalez*, 38 NY2d 208.) VI. County Court did not err in denying suppression of defendant's statements. (*People v Claudio*, 83 NY2d 76; *People v Steward*, 88 NY2d 496; *Kirby v Illinois*, 406 US 682; *People v Stultz*, 2 NY3d 277; *People v Baldi*, 54 NY2d 137; *People v Simmons*, 167 AD2d 924, 77 NY2d 843; *People v Borrell*, 12 NY3d 365; *People v Turner*, 5 NY3d 476; *People v Rivera*, 71 NY2d 705; *People v Droz*, 39 NY2d 457.) VII. Defendant received a fair trial. (*People v Lucie*, 49 AD3d 1253, 10 NY3d 936.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

In protecting a defendant's Sixth Amendment rights, a trial court may on occasion properly disqualify the attorney of a defendant's choosing due to that attorney's conflicts, actual or potential, even in the face of defendant's waiver of such conflicts. This is such a case.

In the late afternoon on April 23, 2006, defendant drove away from his home in Onondaga County on his motorcycle. On felony probation at the time, defendant could not own or operate a motor vehicle since he did not have his probation officer's permission to do so, and he was not licensed to drive a motorcycle in New York State. As defendant traveled west on Route 173

toward Jamesville, New York State Trooper Craig Todeschini observed defendant speeding and began to pursue him. Defendant admitted that when he turned left onto Route 91, he saw the trooper's vehicle behind him with its emergency lights on, but, rather than pulling over to the side of the road, "took off" in an attempt to "not get[] caught by the trooper."

Various witnesses observed the motorcycle, followed by the trooper's vehicle, traveling at a high rate of speed, estimated between 90 and 120 miles per hour, and weaving in and out of traffic along the two-lane country roads. As Trooper Todeschini entered the Hamlet of Pompey Hill, still in pursuit of defendant, he was unable to negotiate a turn in the road, lost control of his vehicle, and collided head-on into a tree, resulting in his immediate death. Three days after the accident, defendant voluntarily appeared at the New York State Police barracks for an interview and, after consulting with his attorney, gave an inculpatory statement.

Defendant was indicted on one count each of reckless driving, aggravated manslaughter in the second degree, and aggravated criminally negligent homicide. A jury acquitted him of the aggravated manslaughter count, but convicted him on the reckless driving and aggravated criminally negligent homicide counts. Defendant was sentenced as a predicate felon to seven years in prison with five years' postrelease supervision. The Appellate Division affirmed the judgment of conviction (59 AD3d 1112 [2009]). A Judge of this Court granted defendant's application for leave to appeal from that order (12 NY3d 852 [2009]). We now affirm.

I.

[1] Defendant first argues that the evidence was legally insufficient to support his conviction for aggravated criminally negligent homicide. In particular, defendant claims that there was insufficient evidence to establish that he acted with the requisite mens rea. This claim, however, is unpreserved. After the People rested, and again at the close of all the proof, defendant moved to dismiss the aggravated criminally negligent homicide count, arguing only that the evidence was insufficient to prove a "causal connection" between the defendant's conduct and the trooper's death. The court denied both motions. At no point did defendant argue, as he does now, that the evidence failed to establish he acted with the requisite mens rea. As we have previously explained, "where a motion to dismiss for

insufficient evidence [is] made, the preservation requirement compels that the argument be ‘specifically directed’ at the alleged error” (*People v Gray*, 86 NY2d 10, 19 [1995], quoting *People v Cona*, 49 NY2d 26, 33 n 2 [1979]). Given defendant’s failure to argue with particularity that the evidence was legally insufficient to prove that he acted with the requisite mens rea, we are foreclosed from reviewing that claim here.

[2] Defendant also argues that the evidence is legally insufficient to establish a causal connection between his conduct and the death of the trooper. Although plainly preserved, this argument is without merit.

In *People v DaCosta*, we explained the law regarding causation in this context:

“To be held criminally responsible for a homicide, a defendant’s conduct must actually contribute to the victim’s death by setting in motion the events that result in the killing. Liability will attach even if the defendant’s conduct is not the sole cause of death if the actions were a sufficiently direct cause of the ensuing death. More than an obscure or merely probable connection between the conduct and result is required. Rather, an act qualifies as a sufficiently direct cause when the ultimate harm should have been reasonably foreseen” (6 NY3d 181, 184 [2006] [internal quotation marks, brackets and citations omitted]).

In that case, we held that the evidence was legally sufficient with respect to causation where a police officer, while chasing the fleeing defendant across a busy expressway, was struck and killed by a vehicle. Similarly, in *People v Matos* (83 NY2d 509 [1994]), evidence of causation was legally sufficient where a police officer fell down an air shaft to his death in the course of pursuing the fleeing defendant up a ladder and across a roof. These cases establish that where a defendant’s flight naturally induces a police officer to engage in pursuit, and the officer is killed in the course of that pursuit, the causation element of the crime will be satisfied.

Defendant argues that the trooper was negligent by excessively speeding and losing control of his vehicle and violated State Police pursuit policy and Vehicle and Traffic Law § 1104, and that these acts were intervening and unforeseeable causative circumstances. However, it is plain that had defendant not fled, the trooper would not have engaged in the

high-speed chase that resulted in his death. Additionally, contrary to defendant's contention, there is no requirement that a defendant's vehicle actually make contact with the trooper's vehicle in order for the causation element to be satisfied. Rather, the essential inquiry is whether defendant's conduct was a sufficiently direct cause of the trooper's death, a question we answer in the affirmative. There can be no doubt that defendant's conduct set in motion the events that led to the trooper's death, and it was reasonably foreseeable that a fatal accident would occur as a result of defendant leading the trooper on a high-speed pursuit. Accordingly, the evidence was legally sufficient to establish a causal connection between defendant's conduct and the trooper's death.

II.

Defendant next argues that County Court erred in granting the People's motion to disqualify his counsel. When the case was presented to the grand jury, the prosecutor called defendant's father and girlfriend. One of defendant's retained attorneys, Mary Gasparini, represented these witnesses and appeared with them in the grand jury room while they gave their testimony. Defendant's father testified that, on the evening of the accident, defendant returned home after riding his motorcycle and told his father not to let him ride his motorcycle until he was properly licensed because he was nearly pulled over by the police. Defendant also told his father that he had seen flashing lights, yet kept driving. Defendant's girlfriend testified that he called her shortly after the accident and said he was the motorcyclist the police were looking for and that he thought he was going to jail because the trooper had died. The next day, he called her and told her not to say anything about what he had told her the night before.

After the case had been presented to the grand jury, and four months before trial, the People moved to disqualify Gasparini and her partner, James Meggesto, on the ground that a potential conflict of interest existed based on Gasparini's representation at the grand jury of defendant's father and girlfriend who would be prosecution witnesses at trial. Defendant argued that if there was any conflict at all, it was only potential, and the issue could not be determined until after the testimony of the witnesses. Further, the defense argued that any potential conflict was waivable by defendant. Indeed, in open court, defendant indicated he was willing to waive any conflict.

At a subsequent court appearance, the court appointed an independent attorney to advise the defendant with respect to the conflict of interest and its implications. After a discussion with defendant, the independent counsel informed the court that defendant understood the conflict and was willing to waive it, after which defendant waived the conflict on the record. Nevertheless, the court granted the People's motion, concluding that defense counsel "must be disqualified in order to protect the defendant's rights to effective assistance of trial counsel and a fair trial free of any conflict of interest."

[3] Although both defendant's father and girlfriend were mentioned at jury selection as potential witnesses, in the end neither actually testified. On appeal, the Appellate Division concluded that County Court did not abuse its discretion in granting the People's motion to disqualify defense counsel. We agree.

When examining a defense counsel's possible conflict of interest, a court must balance the defendant's constitutional right to the effective assistance of counsel against the defendant's right to be defended by counsel of his own choosing (*see People v Gomberg*, 38 NY2d 307, 312 [1975]). "A lawyer simultaneously representing two clients whose interests actually conflict cannot give either client undivided loyalty" (*People v Ortiz*, 76 NY2d 652, 656 [1990]), and, in such a case, the constitutional right to effective assistance of counsel may be "substantially impaired" (*Gomberg*, 38 NY2d at 312). Where there is a question as to a possible conflict, although the court "should not arbitrarily interfere with the attorney-client relationship," the court "has a duty to protect the right of an accused to effective assistance of counsel" (*id.* at 313). Thus, when the court is informed of a potential conflict, it must "ascertain, on the record, whether each defendant has an awareness of the potential risks involved in that course and has knowingly chosen it" (*id.* at 313-314).

In *Gomberg*, we explained that it is often difficult to assess these conflicts prospectively, before the court is fully aware of "the evidence to be adduced, the strategies to be followed and all defenses that may be plausibly asserted" (*id.* at 314). Thus, a defendant's willingness to waive the conflict at an early stage does not end the inquiry. As the Supreme Court has explained, even though there is a "presumption in favor of [the defendant's] counsel of choice," that right is not absolute and the court may decline to honor the defendant's waiver of a conflict:

"Unfortunately for all concerned, a [lower] court

must pass on the issue whether or not to allow a waiver of a conflict of interest by a criminal defendant not with the wisdom of hindsight after the trial has taken place, but in the murkier pre-trial context when relationships between parties are seen through a glass, darkly. The likelihood and dimensions of nascent conflicts of interest are notoriously hard to predict . . .

“For these reasons we think the [lower] court must be allowed substantial latitude in refusing waivers of conflicts of interest not only in those rare cases where an actual conflict may be demonstrated before trial, but in the more common cases where a potential for conflict exists which may or may not burgeon into an actual conflict as the trial progresses” (*Wheat v United States*, 486 US 153, 164, 162-163 [1988]).

Here, the trial court had the independent obligation to ensure that defendant’s right to effective representation was not impaired. Although defendant’s father and girlfriend never testified at trial, at the point in the proceedings when the disqualification motion was made, the parties were operating under the assumption that these witnesses might well be called. Specifically, the defense had indicated that it was possible they would proceed with the theory that defendant was not the person who had been driving the motorcycle. The trial court reasonably concluded that, if the defense chose this strategy at trial, it was highly likely that the prosecution would call defendant’s father and girlfriend, who both possessed damaging evidence indicating that defendant had, indeed, been driving the motorcycle. Further, the court properly found that, if these witnesses were called, defense counsel would have been required to cross-examine them. An “attorney’s decision whether and how best to impeach the credibility of a witness to whom he . . . owe[s] a duty of loyalty necessarily place[s] the attorney in a very awkward position, where prejudice to defendant need not be precisely delineated but must be presumed” (*People v McDonald*, 68 NY2d 1, 11 [1986] [internal quotation marks, citation and brackets omitted]). Moreover, had counsel not been disqualified under these circumstances, counsel’s ability to objectively assess the best strategy for defendant to pursue may have been impaired. Defense counsel, obligated to maintain the confidences of the father and the girlfriend, might choose the

strategy least likely to cause the prosecution to call them as witnesses, thereby avoiding the need to cross-examine them. It would be difficult to repose confidence in counsel's single-minded protection of defendant's interests in these circumstances.

Our dissenting colleagues embrace a seemingly unworkable test in characterizing the conflict here as "more theoretical than real" and "not serious, given the common interest shared by defendant, his girlfriend and his father" (dissenting op at 332). Defendant's father and girlfriend may well have shared with defendant the desire to see him exonerated and avoid having the prosecutor call them to testify; indeed, that may be why they retained the same lawyers in the first instance. Their identity of interest with defendant would dissolve, however, upon either being called as a witness for the prosecution or, as noted, could have dissolved even earlier if defense counsel opted for a strategy tailored to avoid having to cross-examine them (see *People v Wandell*, 75 NY2d 951 [1990] [excoriating defense counsel and the prosecutor for failing to advise the trial court of defense counsel's representation of a prosecution witness in a separate civil action]; see e.g. *People v Stewart*, 126 AD2d 943 [4th Dept 1987] [concluding that a conflict was presented by counsel's representation of both a father and a son, and ordering a new trial on ineffective assistance of counsel grounds where, as here, the son made incriminating statements to his father who then provided information against his son to authorities]). More fundamentally, the trial court was tasked with considering this potential conflict without the benefit of hindsight, and the approach taken by the dissent would too narrowly limit the "substantial latitude" (*Wheat*, 486 US at 163) we all agree the trial court possessed in exercising its discretion under these circumstances.

A review of the record here reveals that the court carefully balanced defendant's right to counsel of his own choosing against his right to effective assistance of counsel. The court was quite properly reluctant to disqualify counsel, but acted well within the bounds of its discretion in concluding that allowing counsel to continue would "severely undermine [defendant's] ability to present a cogent defense." Further, there is no indication that the prosecution's disqualification request was manufactured in order to gain a tactical advantage (see *Wheat*, 486 US at 163). We also note that, contrary to defendant's argument, the court was under no obligation to wait until trial to

see if defendant's father and girlfriend would testify. If the court were required to delay resolution of the motion, and these witnesses were called to testify—which was a possibility even when the trial began—a mistrial would likely have been necessary at that late juncture.

Indeed, the circumstances of this case highlight that trial courts faced with a defendant willing to waive a conflict are often placed in the very difficult position of having their decision challenged regardless of the outcome. As the Supreme Court in *Wheat* explained, if the court honors the waiver, the defendant can later claim he was denied the effective assistance of counsel (*see id.* at 161). On the other hand, if the trial court refuses to honor the waiver, a defendant may well raise a challenge like the one presented here (*see id.*). Of course, the rights that must be balanced—the right to counsel of a criminal defendant's choosing and the right to effective assistance of counsel free of conflicts—both inure to a defendant's benefit. At times, however, as here, circumstances are such that the attorney a defendant chooses is also conflicted, in which case these rights may not be enforced in perfect harmony. Thus, as we have observed, a trial court's "discretion is especially broad when the defendant's actions with respect to counsel place the court in the dilemma of having to choose between undesirable alternatives, either one of which would theoretically provide the defendant with a basis for appellate review" (*People v Tineo*, 64 NY2d 531, 536 [1985]; *see generally People v Konstantinides*, 14 NY3d 1 [2009]). We trust that the trial courts, relying on their experience and sound judgment, will carefully evaluate the circumstances presented in such cases and strike an appropriate balance of the relevant interests. Under the circumstances presented here, the court did not abuse its broad discretion in granting the motion to disqualify defendant's counsel.

III.

Defendant further argues that his statement to the police should be suppressed because his counsel was ineffective in advising him to give the statement. The record reveals that, when defendant voluntarily arrived at the trooper barracks three days after the accident, he was given *Miranda* warnings. Defendant spoke with troopers for a period of time, but then invoked his right to counsel, at which point the questioning immediately ceased. Defendant's then attorney, David Savlov, faxed a letter to the barracks indicating he represented defendant,

and appeared at the barracks shortly thereafter. After speaking with defendant, Savlov informed the troopers that defendant was willing to speak with them. The troopers again administered *Miranda* warnings to defendant, who subsequently gave a statement implicating himself in the motorcycle chase.

County Court denied defendant's motion to suppress the statement, and the Appellate Division affirmed, holding that "suppression was not required inasmuch as defendant received meaningful representation" (59 AD3d at 1114 [citation omitted]).

[4] Even assuming, without deciding, the right to effective assistance of counsel attached prior to defendant's inculpatory statement and that suppression is the appropriate remedy where a statement is given as the result of ineffective assistance of counsel (*see People v Claudio*, 83 NY2d 76 [1993]), defendant here has failed to establish that he received ineffective assistance. In determining whether a defendant has been deprived of effective assistance of counsel, we must examine whether "the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of representation, reveal that the attorney provided meaningful representation" (*People v Baldi*, 54 NY2d 137, 147 [1981]). "[A]ll of the evidence must be weighed in context and as of the time of representation to assess the alleged deficient representation" (*People v Hobot*, 84 NY2d 1021, 1022 [1995]). Although rare, a single, substantial error by counsel may "so seriously compromise[] a defendant's right to a fair trial [that] it will qualify as ineffective representation" (*id.*). Only where the single error is sufficiently "egregious and prejudicial" will counsel be deemed ineffective (*People v Caban*, 5 NY3d 143, 152 [2005]).

The record reveals that, after arriving at the police barracks, Savlov was told by representatives of the District Attorney's Office that the District Attorney would look favorably upon defendant if he voluntarily gave a statement. Further, Savlov "was also told that the police had received information that the defendant was in fact the person being sought [and] . . . the names of other persons who had spoken to the defendant." Thus, this case is distinguishable from *Claudio* (83 NY2d at 78), in which we noted that defendant's counsel was grossly incompetent for advising defendant to give a statement despite that the police had indicated they had insufficient evidence against defendant and the prosecutor had informed the attorney that no plea bargain would be offered. Here, Savlov made the

strategic decision to encourage defendant to cooperate in order to receive favorable treatment once charges were brought. Under all the relevant circumstances, we cannot say that defendant received less than meaningful representation.

IV.

We have considered defendant's other challenges to his conviction and find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). Because, in my view, County Court committed reversible error in disqualifying defendant's counsel, I respectfully dissent. The court disqualified counsel based upon its finding that a potential conflict of interest—which was more theoretical than real—would, in its opinion, infringe upon defendant's right to the effective assistance of trial counsel.

It is hornbook law that, the right to counsel being a fundamental one, courts must “carefully scrutinize[]” the “judicial restriction or governmental intrusion” upon its exercise (*People v Tineo*, 64 NY2d 531, 536 [1985]). While a trial court should be accorded “substantial latitude” in refusing a defendant's waiver of even a potential conflict (*Wheat v United States*, 486 US 153, 163 [1988]), it is evident from this record that any potential conflict (which never came to fruition) was simply not serious, given the common interest shared by defendant, his girlfriend and his father.

When the court questioned defendant about his waiver, he remained steadfast that he wished to waive any potential conflict. The court then appointed an experienced criminal lawyer as independent counsel to meet with defendant to explain the ramifications of this choice. She met with defendant twice and sent him a letter explaining his rights, including the risks and benefits of waiving the conflict. That attorney reported to the court that it was her view that defendant understood the risks of waiving the conflict and still wished to do so. Notwithstanding these facts, County Court disqualified counsel. What is remarkable here is that no one seems to have had an objection to defendant retaining his counsel other than his adversary and the court.

An element of a defendant's federal and state constitutional right to counsel (US Const 6th Amend; NY Const, art I, § 6) “is the right of [the] defendant who does not require appointed counsel to choose who will represent him” (*United States v*

Gonzalez-Lopez, 548 US 140, 144 [2006]; see *People v Arroyave*, 49 NY2d 264, 270 [1980]). When a defendant is wrongly deprived of that right, the deprivation is “complete” at the time the defendant is erroneously prohibited from being represented by the counsel of his choice, and such error is considered a “structural” one not subject to harmless error analysis (*Gonzalez-Lopez* at 148, 150).

In support of its holding here, the majority relies on *People v Ortiz* (76 NY2d 652 [1990]) and *People v Gombert* (38 NY2d 307 [1975]), both of which are “multiple representation” cases. The former case involved a garden-variety drug trial where defense counsel’s loyalties were divided between the defendant he was representing and a testifying witness whose interests diverged from those of the defendant; the latter case involved a situation where the same attorney represented three defendants who were on trial for arson, and the defense asserted by one of the defendants allegedly shifted the blame to the other defendants. Of course, as the United States Supreme Court has recognized, “multiple representation of criminal defendants engenders special dangers of which a court must be aware” (*Wheat*, 486 US at 159). But that is not the situation we are presented with here, where neither defendant’s father nor his girlfriend was facing a criminal charge, nor were they targets of the investigation.

The Supreme Court has recognized “a presumption in favor of [a defendant’s] counsel of choice” which may be overcome by either a showing of actual conflict or “a serious potential for conflict” (*Wheat*, 486 US at 164). It is undisputed in this instance that, at most, there was a potential conflict because defendant’s interests might have placed defense counsel under inconsistent duties in the future had defendant’s father and girlfriend been called as witnesses at trial (*United States v Perez*, 325 F3d 115, 125 [2d Cir 2003], citing *United States v Kliti*, 156 F3d 150, 153 n 3 [2d Cir 1998]). But such a conflict, waivable so long as the court is satisfied that it is knowing and intelligent (*Perez*, 325 F3d at 125), could hardly be considered serious, and clearly not enough to overcome the presumption in favor of affording defendant his constitutional right to counsel of his own choosing.

The majority and the People latch onto the premise that, at the time of the disqualification motion, it was the defense’s theory of the case that defendant was not the operator of the motorcycle, and that the “damaging” testimony by defendant’s father and girlfriend before the grand jury all but ensured that

they would be called as witnesses. However, the defense advised the court that, without discovery, it had yet to determine its trial strategy. Moreover, a simple reading of the grand jury testimony of defendant's father and girlfriend, who were not called to testify before the second grand jury,* indicates that their testimony was not substantially different from the statement defendant made to the police just three days after the crash. If anything, the testimony of defendant's father and girlfriend was no more damaging than defendant's own statement to the police which, upon a fair reading, rendered it unlikely that defendant would be pursuing a "mistaken identity" defense as the court surmised in its decision and order disqualifying defense counsel.

In matters where there is an apparent conflict, the trial courts have a duty to protect a defendant's right to the effective assistance of counsel without concomitantly "arbitrarily interfer[ing] with the attorney-client relationship" (*Gomberg*, 38 NY2d at 313). Where, as here, the potential conflict is theoretical at best because the witnesses are united with the defendant and the defendant has been adequately apprised of the risks of waiving any potential conflict and agrees to do so, the defendant should not be deprived of his fundamental right to counsel of his own choosing. Absent any institutional concerns, such as where the attorney's representation would jeopardize the integrity of the judicial proceedings, courts should not "assume too paternalistic an attitude in protecting the defendant from himself" (*Perez*, 325 F3d at 126, quoting *United States v Curcio*, 694 F2d 14, 25 [2d Cir 1982]).

There being no indication that allowing disqualified counsel to represent defendant in these circumstances would jeopardize the integrity of the proceedings, I would reverse the order of the Appellate Division and grant defendant a new trial with counsel of his choosing.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judge SMITH concurs.

Order affirmed.

* The second grand jury proceeding occurred in September 2006 after disqualification of defense counsel, the indictment from the first grand jury proceeding having been dismissed due to the alleged conflict.

[928 NE2d 388, 902 NYS2d 6]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MAZIN
ASSI, Appellant.

Argued February 10, 2010; decided March 30, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 26, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Steven Lloyd Barrett, J.), which had convicted defendant, upon a jury verdict, of attempted arson in the third degree as a hate crime, criminal mischief in the third degree as a hate crime, criminal possession of a weapon in the third degree (two counts) and aggravated harassment in the first degree.

People v Assi, 63 AD3d 19, affirmed.

HEADNOTES

Crimes — Hate Crimes — Applicability — Religiously-Motivated Property Crimes

1. The attempted arson at a synagogue motivated by defendant's anger toward a particular religious group constituted a hate crime under the Hate Crimes Act of 2000 (L 2000, ch 107). The statutory reference to "person" in Penal Law § 485.05 does not restrict the statute's reach to crimes against individuals, as the Penal Law definition of "person" encompassed the congregation that owned the synagogue (*see* Penal Law § 10.00 [7]). Although the target of defendant's criminal conduct was a building, the true victims were the individuals of Jewish faith who were members of the synagogue. Moreover, Penal Law § 485.05 (1) (b) broadly applies to specified offenses—including property crimes such as trespass, burglary, arson and grand larceny—that are motivated by a belief or perception of another person's religion, and the legislative findings set forth in Penal Law § 485.00 indicate that criminal acts involving the "destruction of property" can qualify as hate crimes. Consequently, the attempted arson of a house of worship that is motivated by religious animus is covered by Penal Law § 485.05 (1) (b).

Crimes — Hate Crimes — Applicability — Effective Date of Hate Crimes Act

2. The Hate Crimes Act of 2000 (L 2000, ch 107), enacting Penal Law article 485, took effect on Sunday, October 8, 2000. The Legislature specified that the Hate Crimes Act would take effect 90 days after it was enacted (i.e., October 8, 2000). Where, as here, the effective date of a new law falls on a weekend or a public holiday, the effective date is not postponed until the next business day. General Construction Law §§ 20 and 25-a, which operate to postpone certain deadlines falling on a weekend or public holiday to the next business day, do not alter the Legislature's exclusive power to determine when its

legislation will become effective. Accordingly, since defendant's criminal conduct in attempting to set fire to a Jewish synagogue because of his anger toward a particular religious group occurred several hours after Penal Law article 485 took effect, he was properly arrested, prosecuted and sentenced under the Hate Crimes Act.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Rights §§ 21, 22; AM JUR 2d, Criminal Law §§ 3, 11; AM JUR 2d, Time §§ 17-19.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 1.7.
MCKINNEY'S, General Construction Law §§ 20, 25-a; Penal Law § 10.00 (7); §§ 485.00, 485.05.
NY JUR 2d, Constitutional Law § 401; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 19, 877; NY JUR 2d, Statutes §§ 233, 245; NY JUR 2d, Time §§ 14, 15.

ANNOTATION REFERENCE

Validity, construction, and effect of "hate crimes" statutes, "ethnic intimidation" statutes, or the like. 22 ALR5th 261.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: hate /2 crime /p victim /s person & property arson

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jan Hoth* and *Robert S. Dean* of counsel), for appellant. I. The evidence was insufficient to establish appellant's guilt of attempted arson and criminal mischief in the third degree as hate crimes, where the Hate Crimes Act did not take effect until two days after the incident occurred. (*Matter of Wolkoff v Chassin*, 89 NY2d 250; *People v Buckley*, 75 NY2d 843; *Southbridge Finishing Co. v Golding*, 2 AD2d 430; *People v Powell*, 179 Misc 2d 1047.) II. The evidence of attempted arson and criminal mischief in the third degree as hate crimes was insufficient where no evidence was presented that appellant's conduct was directed at a person as required by the Hate Crimes Act. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Wisconsin v Mitchell*, 508 US 476; *People v Mahboubian*, 74 NY2d 174; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *Flores v Demskie*, 215 F3d 293.) III. The trial court erred in finding no prima facie case of discrimination by the prosecutor in jury

selection as young adults are a cognizable group and the prosecutor had challenged all six of the young adult prospective jurors. (*Batson v Kentucky*, 476 US 79; *People v Kern*, 75 NY2d 638; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127; *Miller-El v Dretke*, 545 US 231; *People v Allen*, 86 NY2d 101; *People v Payne*, 88 NY2d 172; *Kimel v Florida Bd. of Regents*, 528 US 62; *Castaneda v Partida*, 430 US 482; *People v Rodriguez*, 211 AD2d 275; *Hamling v United States*, 418 US 87.)

Robert T. Johnson, District Attorney, Bronx (Peter D. Coddington of counsel), for respondent. I. The hate crimes legislation was in effect when appellant firebombed the synagogue. (*People v Hansen*, 99 NY2d 339; *People v Buckley*, 75 NY2d 843; *People v Loret*, 136 AD2d 316; *People v Powell*, 179 Misc 2d 1047; *People v Knobel*, 94 NY2d 226; *People v Ortega*, 69 NY2d 763; *Shields v Benderson Dev. Co.*, 76 Misc 2d 322; *Matter of Conway v Board of Educ. of Cent. School Dist. No. 1*, 47 Misc 2d 172; *Stella v Farley Assn., Inc.*, 204 Misc 998, 284 App Div 873; *Matter of Fay v Boyland*, 18 Misc 2d 150.) II. The Hate Crimes Act applies to crimes directed at the synagogue. (*People v Ivanov*, 23 Misc 3d 1129[A], 2008 NY Slip Op 52683[U]; *People v Olivo*, 52 NY2d 309; *People v Foster*, 64 NY2d 1144; *People v Alvarez*, 51 AD3d 167; *People v Caban*, 5 NY3d 143.) III. Since people aged 18 to 23 are not a protected class for purposes of the Equal Protection Clause, Justice Barrett properly denied appellant's *Batson* challenge to two of the prosecutor's peremptory challenges. (*Batson v Kentucky*, 476 US 79; *Gregory v Ashcroft*, 501 US 452; *Kimel v Florida Bd. of Regents*, 528 US 62; *Maresca v Cuomo*, 64 NY2d 242, 474 US 802; *Johnson v McCaughtry*, 92 F3d 585, 519 US 1034; *Duren v Missouri*, 439 US 357; *People v Lebron*, 294 AD2d 105; *People v Huggins*, 292 AD2d 543; *Hamling v United States*, 418 US 87; *People v Guzman*, 60 NY2d 403.)

Chadbourne & Parke LLP, Washington, D.C. (David M. Raim, Philip J. Goodman and Kate McSweeney of counsel), *Deborah R. Cohen*, New York City, *Steven M. Freeman*, *Robert O. Trestan* and *Michael Lieberman* for Anti-Defamation League, amicus curiae. I. Applying the Hate Crimes Act to bias-motivated property crimes comports with sound public policy. (*People v Diaz*, 188 Misc 2d 341.) II. The unambiguous wording of Penal Law § 485.05 allows specified bias-motivated property crimes to be charged as hate crimes. (*Pardi v Barone*, 257 AD2d 42; *State of New York v Patricia II.*, 6 NY3d 160; *People v Rice*, 44 AD3d 247; *People v Santi*, 3 NY3d 234; *Matter of Albano v Kirby*, 36 NY2d 526; *People v Diaz*, 188 Misc 2d 341; *Matter of Daniel K.*,

89 AD2d 630; *People v Mu-Min*, 172 AD2d 1022; *People v Woodard*, 148 AD2d 997.) III. The legislative record reflects the Legislature's clear intention to make certain property crimes subject to the Hate Crimes Act. (*Matter of City of New York v State of New York*, 282 AD2d 134; *Riley v County of Broome*, 95 NY2d 455; *Woollcott v Shubert*, 217 NY 212; *People v Rice*, 44 AD3d 247; *Matter of W.L. Maxson Corp. v Ralph*, 182 Misc 144, 268 App Div 753, 294 NY 880; *Wisconsin v Mitchell*, 508 US 476; *People v Urbaez*, 10 NY3d 773; *People v Eboli*, 34 NY2d 281; *People v Robinson*, 95 NY2d 179; *People v Walsh*, 67 NY2d 747.)

OPINION OF THE COURT

GRAFFEO, J.

This case requires us to determine when the Hate Crimes Act of 2000 (L 2000, ch 107) took effect and whether it applies to certain property crimes, such as an attempted arson at a Jewish synagogue.

The term "hate crimes" refers to criminal acts against "victims [who] are intentionally selected, in whole or in part, because of their race, color, national origin, ancestry, gender, religion, religious practice, age, disability or sexual orientation" (Penal Law § 485.00). The rise in the occurrence of these types of offenses led to a legislative determination that existing criminal statutes did "not adequately recognize the harm to public order and individual safety that hate crimes cause" (*id.*). As a result, the Legislature passed the Hate Crimes Act in 2000 (L 2000, ch 107), emphasizing that hate crimes "inflict on victims incalculable physical and emotional damage and tear at the very fabric of free society . . . [by] send[ing] a powerful message of intolerance and discrimination to all members of the group to which the victim belongs" (Penal Law § 485.00). The Act requires enhanced sentences for dozens of specified offenses committed under circumstances that satisfy the definition of hate crimes (*see* Penal Law §§ 485.05, 485.10). Chapter 107 was to take effect 90 days after it was enacted (*see* L 2000, ch 107, § 9), which meant that Penal Law article 485 was scheduled to take effect on October 8, 2000.

At approximately 3:00 A.M. on that day, New York City police officers saw a red Honda parked on a service road near the Henry Hudson Parkway. The car was about 250 feet away from the synagogue of the Conservative Congregation Adath Israel of Riverdale. Shortly after the officers noticed the Honda, the

vehicle departed but returned a short time later and dropped off three passengers who walked toward the synagogue. After about 10 minutes, the officers observed the passengers walking away from the synagogue. The officers did not approach them, however, because there was nothing to indicate they had committed any crime.

Several hours later, a congregant arrived at the synagogue to find that the front door glass panel had been shattered. The police discovered a broken bottle of vodka on the ground, along with several rocks, purple-stained latex gloves, and another bottle containing a purple liquid. Both bottles were plugged with charred wicks and had been fashioned into “Molotov cocktails.”

Eventually, the police determined the identity of the individuals who had been near the synagogue that evening, resulting in defendant and the driver of the Honda being arrested. A search of the automobile uncovered latex gloves and a towel that had been torn to make a Molotov cocktail wick. Defendant waived his *Miranda* rights and admitted that he had participated in the attempted arson of the synagogue because he was angry that a Palestinian child had been shot by the Israeli army. Using an expletive to refer to the congregants of the synagogue, defendant stated that the “rich Jews in Riverdale send money over there and they buy guns and they are killing people.” The attempted arson, defendant explained, was intended to “make a statement” that would “stop the violence in the Middle East.” Defendant then gave a detailed account of what he and two acquaintances had attempted to do at the synagogue and he later repeated his confession on videotape.

Defendant and the driver were indicted as codefendants for numerous offenses, including two counts of attempted arson in the third degree as hate crimes and two counts of criminal mischief in the third degree as hate crimes. Following jury selection, defense counsel moved to dismiss the hate crime charges, arguing that defendants’ conduct occurred before the effective date of the Hate Crimes Act. Defense counsel contended that although the Legislature specified that the law would take effect 90 days after it was enacted (i.e., October 8, 2000), that date fell on a Sunday and the following Monday was a public holiday; the effective date of the Act was therefore postponed under General Construction Law §§ 20 and 25-a until Tuesday, October 10, 2000—two days after the incident at the synagogue. An argument was also presented that the Hate Crimes Act did

not apply to property crimes, such as those defendants were charged with. Supreme Court rejected both arguments, concluding that the General Construction Law statutes were inapplicable and that Penal Law § 485.05 applied to an arson that was motivated by religious hatred.

Defendant was subsequently convicted of several offenses, including attempted arson in the third degree and criminal mischief in the third degree as hate crimes. He was sentenced to an aggregate term of imprisonment of 5 to 15 years.¹ The Appellate Division affirmed (63 AD3d 19 [1st Dept 2009]) and a Judge of this Court granted leave to appeal (12 NY3d 912 [2009]).

[1] Defendant claims that his hate crimes convictions should be reversed because article 485 of the Penal Law applies only to crimes against persons, not property, and that the attempted arson of a building, such as a synagogue, cannot qualify as a hate crime. In our view, this argument is inconsistent with both the text of the relevant statutes and the legislative intent of the Hate Crimes Act.

A hate crime can be committed in two different ways. First, by intentionally selecting the “person” who will be the victim of the crime “in whole or in substantial part because of a belief or perception regarding the race, color, national origin, ancestry, gender, religion, religious practice, age, disability or sexual orientation of a person, regardless of whether the belief or perception is correct,” and committing a specified offense (Penal Law § 485.05 [1] [a]). Second, by intentionally committing a specified offense “in whole or in substantial part because of a belief or perception regarding the race, color, national origin, ancestry, gender, religion, religious practice, age, disability or sexual orientation of a person, regardless of whether the belief or perception is correct” (Penal Law § 485.05 [1] [b]).

Defendant believes that the statutory reference to “person” restricts the statute’s reach to crimes against individuals. The Penal Law, however, defines “person” to mean “a human being, and where appropriate, a public or private corporation, an unincorporated association, a partnership, a government or a governmental instrumentality” (Penal Law § 10.00 [7]). The congregation that owned the synagogue would fall under the category of an association of individuals or a religious

1. The driver was convicted of criminal mischief in the third degree and sentenced to 1¹/₃ to 4 years’ imprisonment.

corporation, and therefore, it qualified as a “person” within the meaning of Penal Law § 10.00 (7).

In addition to this technical definition, subdivision (1) (b) of section 485.05 broadly applies to specified offenses—including property crimes such as trespass, burglary, arson and grand larceny (*see* Penal Law § 485.05 [3])—that are motivated by a belief or perception of another person’s religion. Consequently, the attempted arson of a house of worship that is motivated by religious animus is covered by Penal Law § 485.05 (1) (b) (*see* Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 485.00, at 284 [noting that an example of a hate crime under subdivision (1) (b) “would be a perpetrator who, professing hatred against a particular religion, sets off a bomb in that religion’s place of worship”]). As the Appellate Division noted, it is self-evident that, although the target of defendant’s criminal conduct was a building, the true victims were the individuals of Jewish faith who were members of the synagogue.

The history of the Hate Crimes Act confirms this conclusion. The legislative findings set forth in section 485.00 indicate that criminal acts involving the “destruction of property” can qualify as hate crimes. Similarly, New York City’s memorandum in support of the bill specifically referred to the defacement of a synagogue or the desecration of a religious statue as examples of hate crimes (*see* Mem of Mayor of New York City, Bill Jacket, L 2000, ch 107, at 12). Other documents in the Bill Jacket similarly commented that a prime purpose of the legislation was to address the growing problem of bias-related property destruction (*see* Budget Rep on Bills, Bill Jacket, L 2000, ch 107, at 3; *see also* Mem of Attorney General, Bill Jacket, L 2000, ch 107, at 5).

For these reasons, we reject defendant’s contention that religiously-motivated property crimes do not fall within the ambit of Penal Law article 485. The evidence in this case proved that defendant committed an attempted arson of the synagogue because of his anger toward a particular religious group. As defendant’s conduct fit within the scope of the Hate Crimes Act, the motion to dismiss was properly denied.

[2] Defendant also maintains that he could not be convicted of hate crimes because his conduct occurred prior to the effective date of the Hate Crimes Act. According to defendant, General Construction Law §§ 20 and 25-a direct that new laws that

become operational on a weekend or a public holiday are to become effective one day later. Hence, defendant asserts that the Hate Crimes Act went into effect on Tuesday, October 10, 2000, because its specified effective date, October 8th, was a Sunday and October 9th was Columbus Day. We disagree.

Under the common law, new laws took effect immediately upon their passage unless some other date was set forth in the legislation (see e.g. *Matthews v Zane*, 7 Wheat [20 US] 164, 211 [1822]; *Real v People*, 42 NY 270, 276 [1870]). The reasonableness of this rule was questioned in certain situations because it was “impossible in any state, and particularly in such a widespread dominion as that of the United States, to have notice of the existence of the law, until some time after it has passed” (1 Kent, *Commentaries on American Law*, at 458 [12th ed]). Nevertheless, the common-law rule was “deemed to be fixed beyond the power of judicial control” in the absence of a legislative declaration that a new law would take effect at some other time (*id.*).

The Legislature altered this common-law principle in 1829 (see 1 Rev Stat of NY, part I, ch VII, tit IV, § 12 [1st ed 1829]). That statute provided that “[e]very law, *unless a different time shall be prescribed therein*, shall commence and take effect, throughout the state, on and not before the twentieth day after the day of its final passage, as certified by the secretary of state” (*id.* [emphasis added]). The 20-day rule is now found in Legislative Law § 43.

Section 43 and its common-law antecedent compel us to reject defendant’s argument that the effective date of the Hate Crimes Act was delayed for two days beyond the date selected by the Legislature. The Legislature is authorized to prescribe an effective date of its choosing and we are aware of no limitation on its prerogative (see e.g. McKinney’s Cons Laws of NY, Book 1, Statutes § 41 [“The Legislature has the right and duty to determine when an act is to take effect”]). Contrary to defendant’s contention, General Construction Law §§ 20² and

-
2. “A number of days specified as a period from a certain day within which or after or before which an act is authorized or required to be done means such number of calendar days exclusive of the calendar day from which the reckoning is made. If such period is a period of two days, Saturday, Sunday or a public holiday must be excluded from the reckoning if it is an intervening day between the day from which the reckoning is made and the last day

(n. cont’d)

25-a (1)³ do not negate this principle. Section 25-a specifies that when “an act is authorized or required to be done” within a certain period of time and the last day of the period falls on a weekend or public holiday, the time period is extended to the following business day. This provision applies to situations that involve the calculation of a deadline, such as the filing of legal papers or other documents. In these circumstances, the deadline will be extended if it falls on a weekend or holiday when the courts or government offices are closed for business. Similarly, General Construction Law § 20 simply provides a method for extending a two-day period to act if the period includes a weekend or a holiday. Neither statute has any bearing on this case because they do not alter the Legislature’s exclusive power to determine when its legislation will become effective.

We therefore agree with the courts below that Penal Law article 485 became effective on Sunday, October 8, 2000. Because defendant’s criminal conduct occurred several hours after the new statute took effect, he was properly arrested, prosecuted and sentenced under the Hate Crimes Act.⁴

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order affirmed.

of the period. In computing any specified period of time from a specified event, the day upon which the event happens is deemed the day from which the reckoning is made. The day from which any specified period of time is reckoned shall be excluded in making the reckoning.”

3. “When any period of time, computed from a certain day, within which or after which or before which an act is authorized or required to be done, ends on a Saturday, Sunday or a public holiday, such act may be done on the next succeeding business day.”
4. Defendant’s remaining contention regarding jury selection lacks merit.

[927 NE2d 1042, 901 NYS2d 558]

SIDNEY HIRSCHFELD, Director, Mental Hygiene Legal Service,
Second Judicial Department, Appellant, v MITCHELL
TELLER, as Administrator of Woodmere Rehabilitation and
Health Care Center, Inc., et al., Respondents.

Argued February 9, 2010; decided March 30, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 15, 2008. The Appellate Division modified an order of the Supreme Court, Nassau County (Tammy S. Robbins, J.; op 2006 NY Slip Op 30608[U]), which had denied plaintiff's motion for summary judgment and a permanent injunction, and granted defendants' motion for summary judgment dismissing the complaint. The modification consisted of remitting the matter to Supreme Court for, among other things, entry of a judgment declaring that the Mental Hygiene Legal Service does not have the right of access to the mentally ill residents of neurobiological units of Woodmere Rehabilitation and Health Care Center, Inc., Brookhaven Rehabilitation and Health Care Center, LLC, Meadow Park Rehabilitation and Health Care Center, LLC, New Surfside Nursing Home, LLC, and Golden Gate Rehabilitation and Health Care Center, LLC. The Appellate Division affirmed the order as modified.

Hirschfeld v Teller, 50 AD3d 855, affirmed.

HEADNOTE

Health — Nursing Homes — Right of Access by Mental Hygiene Legal Service

Mental Hygiene Legal Service (MHLS), which is statutorily mandated to provide legal services and assistance to individuals with mental disabilities (Mental Hygiene Law § 47.01 [a]), does not have a right of access to mentally ill residents of defendant nursing homes, which were not required to obtain operating certificates from the Office of Mental Health (OMH). MHLS's jurisdiction is limited to two categories of facilities: facilities defined in Mental Hygiene Law § 1.03 and other places that are required to have an OMH operating certificate. Precisely which facilities are, in fact, subject to OMH licensure is a matter committed, in the first instance, to the discretion and expertise of the Commissioner of OMH. Here, OMH decided that licensure was not required. Because only OMH is authorized to determine whether a facility is required to have an operating certificate and MHLS's jurisdiction is expressly limited to licensed facilities, there was no issue of fact to be determined and defendant nursing homes were entitled to summary judgment dismissing the complaint.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Hospitals and Asylums §§ 2, 5; AM JUR 2d, Mentally Impaired Persons §§ 75, 78.
McKINNEY's, Mental Hygiene Law § 47.01 (a).
NY JUR 2d, Infants and Other Persons Under Legal Disability § 54.

ANNOTATION REFERENCE

See ALR Index under Incompetent or Insane Persons; Nursing and Convalescent Homes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: mental /2 hygiene /2 legal /2 service /p nursing /2 home

POINTS OF COUNSEL

Mental Hygiene Legal Service, Second Judicial Department, Mineola (Lisa Volpe, Sidney Hirschfeld and Dennis B. Feld of counsel), for appellant. I. Mental Hygiene Legal Service's statutory mandate to provide legal representation and advocacy for individuals with mental illness extends to such individuals residing in places or facilities that may not possess operating certificates issued by the State Office of Mental Health, but nevertheless fall under the Mental Hygiene Law licensing statute and its corresponding regulations. (*Cohen v Lord, Day & Lord*, 75 NY2d 95; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Brad H. v City of New York*, 185 Misc 2d 420, 276 AD2d 440.) II. The lower courts incorrectly defined Mental Hygiene Legal Service's mandate within the context of the State Office of Mental Health's decision-making function. (*Besunder v Coughlin*, 102 Misc 2d 41; *Brown v Lavine*, 78 Misc 2d 1085; *Matter of Mental Hygiene Legal Serv. v Maul*, 36 AD3d 1133; *Matter of Myerson v Schechter*, 25 Misc 2d 291; *Matter of Board of Educ. of Glen Cove City School Dist. v O'Shea*, 304 AD2d 662; *Matter of Overhill Bldg. Co. v Delany*, 28 NY2d 449; *Flaherty v McCall*, 262 AD2d 890; *Gilberg v Barbieri*, 53 NY2d 285; *Comi v Breslin & Breslin*, 257 AD2d 754; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Brad H. v City of New York*, 185 Misc 2d 420, 276 AD2d 440.) III. Respondent nursing homes fall within the licensing statute of Mental Hygiene Law article 31 and its corresponding regulations, based on the characteristics of the

facilities themselves, the residents with primary diagnoses of mental illness whom they serve, and the services they provide to those residents. IV. Public policy considerations support the conclusion that Mental Hygiene Legal Service must be permitted to provide the same independent oversight and advocacy to individuals with primary diagnoses of mental illness currently residing in respondent nursing homes as the agency provides to others with mental illness residing in Office of Mental Health-operated or licensed facilities. (*Matter of Julio R.*, 16 AD3d 423; *Matter of Francine T.*, 302 AD2d 533; *Matter of Seltzer v Hogue*, 187 AD2d 230.)

Abrams, Fensterman, Fensterman, Eisman, Greenberg, Formato & Einiger, LLP, Lake Success (Sarah C. Lichtenstein of counsel), for respondents. I. Mental Hygiene Legal Service jurisdiction is limited by statute to places required to have an Office of Mental Health operating certificate. (*Joseph S. v Hogan*, 561 F Supp 2d 280.) II. The responsible state agencies have determined that the nursing homes are not required to obtain Office of Mental Health operating certificates, and those decisions are dispositive. (*Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Matter of Albert F. v Stone*, 169 Misc 2d 838; *Brad H. v City of New York*, 185 Misc 2d 420, 276 AD2d 440; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Flaherty v McCall*, 262 AD2d 890; *Matter of Ferrelli v Long Is. Coll. Hosp. School of Nursing*, 204 AD2d 544; *Keith v New York State Teachers' Retirement Sys.*, 46 AD2d 938; *Lade v Levitt*, 33 AD2d 956; *Staatsburg Water Co. v Staatsburg Fire Dist.*, 72 NY2d 147; *United States v Western Pacific R. Co.*, 352 US 59.) III. The larger statutory scheme confirms that the nursing homes are not required to obtain Office of Mental Health operating certificates. (*Pajak v Pajak*, 56 NY2d 394; *Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Festinger v Edrich*, 32 AD3d 412; *Matter of Subpoena Duces Tecum to Jane Doe*, 293 AD2d 231, 99 NY2d 434.) IV. The federally mandated regulatory process for discharging persons from psychiatric facilities to nursing homes confirms that residents in the nursing homes are not being treated for mental disability. V. Policy considerations concerning the rights of nursing home residents confirm that Mental Hygiene Legal Service should not be given unfettered access to certain residents and their medical records.

OPINION OF THE COURT

PIGOTT, J.

Beginning as early as 1996, defendants, certain nursing homes in New York State, began accepting as residents patients discharged from facilities licensed by the Office of Mental Health (OMH). The patients were primarily from New York State psychiatric hospitals with diagnoses of mental illness. All but one of defendant nursing homes placed the patients in discrete units of the residence, referred to as “neurobiological units” (NBUs), where the residents received psychiatric and psychosocial rehabilitative services. Defendant nursing homes operate under licensing by the Department of Health but have never sought, nor obtained, licenses from OMH.

In October 2002, a series of related articles began appearing in the New York Times focusing on the NBUs and claiming that NBU residents were being deprived of legal protections afforded to patients committed to psychiatric wards, including the right to a lawyer. Upon learning of the articles, Mental Hygiene Legal Service (MHLS) conducted an investigation and thereafter sought access to NBU residents and their records in order to provide advocacy and legal representation to those who might be in need of such services. Defendant nursing homes denied MHLS such access.

Thereafter, in June 2003, plaintiff Sidney Hirschfeld, Director of MHLS (hereinafter MHLS), commenced this action against defendant nursing homes alleging that because the nursing homes are providing services for mentally disabled residents, MHLS has a right of access to such residents. MHLS sought judgment declaring that it has the right of access at any and all times to the residents and their records and also sought an injunction enjoining defendant nursing homes from denying MHLS such access.

Defendant nursing homes answered arguing, among other things, that because MHLS has jurisdiction only over facilities required to obtain operating certificates and OMH has determined that the nursing homes are not required to have one, MHLS was without authority to access the residents.

At some point during the litigation, defendant nursing homes shut down the NBUs.* Thus, defendant nursing homes no longer maintain discrete units in which the NBU patients reside.

* Defendant nursing homes maintain that the last date any resident was accepted into an NBU was April 30, 2004, and the date the last resident was

(n. cont'd)

After motion practice not relevant here and significant discovery, both parties moved for summary judgment. Supreme Court granted defendant nursing homes' motion and dismissed the complaint (2006 NY Slip Op 30608[U]). The Appellate Division modified Supreme Court's order by remitting the matter to Supreme Court for, among other things, entry of a judgment declaring that MHLS does not have the right of access to the mentally ill residents of NBUs of defendant nursing homes (*Hirschfeld v Teller*, 50 AD3d 855 [2008]).

This Court granted MHLS leave to appeal (12 NY3d 707 [2009]). We now affirm.

MHLS is statutorily mandated to provide legal services and assistance to individuals with mental disabilities. Such mandate is delineated in Mental Hygiene Law § 47.01 (a), which provides, in relevant part:

“There shall be a mental hygiene legal service of the state in each judicial department. The service shall provide legal assistance to patients or residents of a facility as defined in section 1.03 of this chapter, or any other place or facility which is required to have an operating certificate pursuant to article sixteen or thirty-one of this chapter, and to persons alleged to be in need of care and treatment in such facilities or places, and to persons entitled to such legal assistance as provided by article ten of this chapter.”

Thus, by statute, MHLS's jurisdiction is limited to two categories of facilities: (1) facilities defined in Mental Hygiene Law § 1.03 and (2) other places that are required to have an OMH operating certificate. MHLS claims that defendant nursing homes fall within the designation “any other place or facility which is required to have an operating certificate pursuant to . . . [article 31 of the Mental Hygiene Law].” Article 31 of the Mental Hygiene Law vests OMH with the exclusive authority to issue operating certificates to facilities providing services to the mentally disabled. But not every facility that treats the mentally disabled requires an operating certificate from OMH. 14 NYCRR part 70 “establish[es] an all-inclusive set of categories, named *classes*, to which all providers of services to the mentally disabled subject to the requirement to obtain an operating

discharged from the program by any one of defendant nursing homes was August 16, 2004.

certificate” will be assigned (14 NYCRR 70.1 [a]). The Commissioner determines if a provider is subject to OMH licensure on the basis of three factors: “characteristics of the persons served, characteristics of the services provided, and the auspices of the provider of services” (14 NYCRR 70.1 [b]).

In support of their motion to dismiss the complaint, defendant nursing homes submit the deposition testimony of OMH’s Director of Inspection and Certification that OMH did *not* have jurisdiction over defendant nursing homes and, as a result, OMH did not exercise any licensing jurisdiction. This decision was based, in part, on a site report prepared by OMH’s field office.

In opposition, MHLS does not challenge OMH’s authority to make a licensing determination, nor does it challenge OMH’s decision not to license defendant nursing homes. MHLS claims OMH’s decision not to require an operating certificate is of no import. Rather, MHLS argues that the dispositive issue is whether the facilities themselves are *subject to* licensing because they provide residential services to the mentally disabled.

But precisely which facilities are, in fact, subject to OMH licensure is a matter committed, in the first instance, to the Commissioner’s discretion and expertise. Here, OMH decided that licensure was not required. Because only OMH is authorized to determine whether a facility is required to have an operating certificate and MHLS’s jurisdiction is expressly limited to licensed facilities, MHLS has failed to raise an issue of fact. Thus, defendant nursing homes are entitled to summary judgment dismissing the complaint.

Finally, we express no opinion as to the correctness of OMH’s decision underlying this case. The proper way to challenge any OMH licensure determination, however, is via a CPLR article 78 proceeding. At that time, OMH would be a party to the proceedings, allowing courts to review its determination on the full administrative record.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN. (dissenting). In 1993, Mental Hygiene Law § 47.01 (a) was amended with the express objective of extending the jurisdiction of the Mental Hygiene Legal Service (MHLS), the state agency legislatively assigned to act as counsel and advocate for the mentally disabled. That jurisdiction, formerly textually limited to persons in “hospitals, schools or

alcoholism facilities,” or alleged to be in need of care in such institutions, was, pursuant to the amendment, significantly expanded to embrace a range of other in- and outpatient facilities, including community residences, group homes, intermediate care homes and family homes. It was the intent of the legislation’s sponsors that the amendment, passed by unanimous vote of both houses of the Legislature, “would provide MHLS with the means to represent individuals without first having to establish jurisdiction because of their residence” (Senate Introductor Mem in Support, Bill Jacket, L 1993, ch 330, at 5). The need for the amendment, introduced at the request of the Administrative Board of the Courts, was explained at the time by Counsel to the Office of Court Administration, whose comments in support of the amendment (Bill Jacket, L 1993, ch 330, at 11-12) bear lengthy repetition here:

“Confusion arises . . . with respect to MHLS services to persons in community residences, group homes, intermediate care homes and family care homes, all of which are places where services are rendered to patients with or without [the] benefit of a Mental Hygiene Law legal admission status. Currently there are more than 29,000 such patients; and they are in as much need of MHLS protective services, advice and assistance as persons who reside in hospitals and schools.

“In actual practice, MHLS has considerable responsibilities towards these classes of patients. Without regard to type of facility or a person’s lack of legal admission status therein, MHLS is involved in matters including but not limited to: applications for judicial authorization for medical treatment; surrogate decision making for medical treatment; transfers of patients; discharge planning; confidentiality and access to records; investigations of patient abuse; proceedings for appointments of conservators, committees and guardians; recommitment of forensic patients; restraint and seclusion; forced medication; assurance of quality care and protection of patients’ rights in general; interstate transfer; and objections to treatment . . .

“While most mental health professionals recognize the value of the services provided by MHLS to persons not having legal status, a few dispute their

authority to do so. In those instances, MHLS must first do battle to establish a jurisdictional foothold. Sometimes this may require litigation, which may be protracted and which may yield inconsistent results. The effect is that time will be lost and precious resources diverted away from the real needs of a class of persons who may truly require assistance.”

This action seeking, among other relief, a declaration that MHLS is entitled to access to defendant nursing homes and the residents of those homes admitted for and being treated for psychiatric disorders was commenced by plaintiff Hirschfeld, the Director of MHLS in the Second Judicial Department, in June 2003. During the year prior, there appeared a Pulitzer Prize winning series of investigative newspaper reports focusing on the treatment of mentally disabled adults in state regulated facilities. One of the articles in this series, titled *Mentally Ill and Locked Up in New York Nursing Homes*, detailed what had evidently become a fairly widespread practice, if not a policy, countenanced, if not actively promoted, by the State, of discharging psychiatric patients from state psychiatric hospitals to discrete nursing home units, referred to as “neurobiological units” (NBUs), where they continued to receive psychiatric treatment in highly restrictive settings. The NBU placements were, according to the article, tantamount to involuntary psychiatric commitments without any provision for protection of the committees’ liberty interests and rights to due process; whereas the legal rights of the affected individuals had been protected while they remained institutionalized in the Office of Mental Health (OMH) facilities pursuant to statutes providing, inter alia, for judicial review of involuntary commitments and for legal representation in matters pertaining to patients’ liberty interests, the NBUs into which they had been discharged were not licensed by OMH and their residents were shorn of the legal protections they had had as patients in OMH licensed facilities.

After learning of the NBUs’ existence in the public press, MHLS, in a letter signed by each of its directors, requested that defendant nursing homes afford its attorneys access to the NBUs and their residents. Counsel for the nursing homes, however, responded denying access upon the ground that the nursing homes were not OMH licensed facilities and did not fall within MHLS’s jurisdiction.

Now, seven years later, MHLS is still without access to the mentally disabled residents of defendant nursing homes. That this should be so notwithstanding the 1993 enactment that was supposed to have settled the issue and to have obviated the need for the agency to engage in lengthy and costly litigation “to establish a jurisdictional foothold” in such facilities, is a most regrettable and unnecessary state of affairs, now justified upon an interpretation of the agency’s jurisdictional statute (Mental Hygiene Law § 47.01 [a]) that is textually incorrect and plainly at odds with the purposes informing its enactment; it is, moreover, a reading that confuses judicial and administrative prerogatives with potentially devastating consequences for the representational rights and liberty interests of an acutely needy client population.

Mental Hygiene Law § 47.01 (a) states, in part:

“The service shall provide legal assistance to patients or residents of a facility as defined in section 1.03⁽¹⁾ of this chapter, or any other place or facility which is required to have an operating certificate pursuant to article . . . thirty-one of this chapter, and to persons alleged to be in need of care and treatment in such facilities or places . . .”

It is defendants’ contention, now adopted by the majority, that this provision expressly limits MHLS’s jurisdiction to facilities licensed by OMH. But the statute does not say that. What it does say is that the service shall provide assistance to patients or residents of facilities “required to have an operating certificate.” If the Legislature had intended to limit the agency’s jurisdiction to facilities that had been actually certificated by OMH, it could have and, doubtless, would have said so. It did not. There are compelling reasons why such a limitation should not be implied.

MHLS is a watchdog agency necessarily independent of OMH and, accordingly, situated in a separate branch of government,

1. Mental Hygiene Law § 1.03 (6), in turn, defines “facility,” in relevant part, as:

“any place in which services for the mentally disabled are provided and includes but is not limited to a psychiatric center, developmental center, institute, clinic, ward, institution, or building, except that in the case of a hospital as defined in article twenty-eight of the public health law it shall mean only a ward, wing, unit, or part thereof which is operated for the purpose of providing services for the mentally disabled.”

namely, the judiciary. Its legislatively assigned mission is, at its core, to safeguard the basic liberty and due process rights of those institutionalized by reason of mental disability and those alleged to be in need of such institutional care. This mission routinely places the Service in an adversary relation to OMH. Whether in the context of representing individuals contesting involuntary commitment or treatment decisions by OMH personnel, or in advocating and sometimes litigating over quality of care issues, such as overcrowding or discharge planning, MHLS is regularly and unavoidably pitted against OMH and other providers of mental health services. It is neither seemly nor consistent with the Service's basic obligations to condition its jurisdiction upon administrative edicts by its constant, indeed structurally designated adversary.

Here, the record indicates that OMH has made a practice of discharging patients carrying primary, axis I, psychiatric diagnoses from its inpatient facilities to nursing homes, where, according to the patients' OMH discharge plans, they are to continue to receive a range of treatments primarily for psychiatric disorders. Discovery in this action has disclosed strong evidence that the treatment provided at defendant nursing homes to OMH's former patients is modeled upon OMH inpatient psychiatric care, and that the former OMH patients have been confined to units they are not free to leave. It has also disclosed, at least at the one defendant nursing home actually surveyed by OMH, highly unsatisfactory institutional conditions raising a host of properly legal issues.² Nonetheless, OMH has decided,

2. The OMH surveyor noted at the conclusion of what may be fairly characterized as a scathing assessment:

"1. Issues raised by the advocacy groups to the Office of Mental Health can be substantiated. These include the *de facto* placing of individuals with mental illness on a locked unit. There is a lack of advocacy/legal representation available to patients on these units.

"2. The majority of the patients in this facility are individuals with mental illness and therefore it appears that this constitutes a facility for the mentally ill.

"3. The programming lacks any rehabilitative or recovery oriented focus.

"4. Discharge planning did not reflect that the planner was aware of the wide variety of discharge options available.

"5. Restorative and rehabilitative services that were prescribed are all available at other more appropriate levels of care in the community."

evidently as a matter of agency policy, that it will not require defendant nursing homes to obtain operating licenses.

It is the majority's understanding that this administrative decision is presumptively conclusive of MHLS's right of access to the nursing homes at issue. It holds that OMH, although complicit in the creation of this highly problematic situation in which institutional psychiatric confinement and treatment is apparently perpetuated without any legal process or access by residents to advocacy, may effectively remove the situation and its likely victims from MHLS's jurisdiction and scrutiny by declining to require an operating license.

To cast OMH as arbiter of plaintiff's jurisdiction is inappropriate, not simply because OMH may well be—and here quite evidently is—conflicted in deciding the issue, but because it has no special expertise with respect to the essential object of the inquiry. There is no question that OMH is empowered and possesses expertise relevant to decide, at least in the first instance, whether a particular facility must obtain an operating license. But facility licensure is not the purpose of the jurisdictional statute here at issue; MHLS's jurisdiction—its right of access to facilities providing residential care and treatment for the mentally disabled—exists fundamentally, although not exclusively, to assure that there will in the context of commitment for mental disability be no infringement of liberty interests without due process of law. The inquiry, then, to be answered in determining the statute's range of application must in its most essential aspect be whether the facility or place at issue is one in which there is ongoing treatment for mental disability entailing on a regular basis the address of forensic issues implicating a patient's or resident's right to the assistance of counsel. It is not the role of health care administrators to determine when and where due process requires the presence and assistance of an attorney. That judgment is peculiarly within the competence and expertise of the judiciary. Thus, while it is undoubtedly highly and expressly relevant to the jurisdictional inquiry whether a place or facility is required to have an operating certificate pursuant to article 31 of the Mental Hygiene Law, that determination, for MHLS jurisdictional purposes, is not OMH's to make. It is in this unique context, when disputed, properly made by the courts with the jurisdictional statute's broad remedial purposes in mind.

OMH, of course, did not consider whether the residents of defendant nursing homes would have adequate access to counsel

when it decided that it would not require the homes to obtain operating certificates. The Director of OMH's Bureau of Inspection and Certification testified that certification of defendants was not required because it was OMH's policy not to require skilled nursing facilities to obtain OMH operating certificates; it was his understanding that those facilities fell within the licensing jurisdiction of the Department of Health (DOH). Under OMH's regulations, this might be a rational ground for an internal agency decision not to require an operating certificate (*see* 14 NYCRR 70.1 [b])—OMH might reasonably wish to not burden providers with multiple, overlapping certification requirements—but this administrative rationale does not speak to the jurisdictional issue framed by Mental Hygiene Law § 47.01 (a), which is not whether OMH has or has not required the nursing homes at issue to obtain operating certificates, but whether those providers are “required to have an operating certificate *pursuant to article . . . thirty-one of [the Mental Hygiene Law]*” (emphasis added).

Mental Hygiene Law § 31.02 (a) (1) flatly requires an OMH operating certificate for the “operation of a residential facility or institution, including a community residence, for the care, custody, or treatment of the mentally disabled.” Nursing homes are “residential health care facilit[ies]” (Public Health Law § 2801 [3]), and where a nursing home provides custodial psychotherapeutic treatment of the mentally disabled there would appear to be no ground to conclude that it is not subject to OMH licensure, at least for purposes of determining the jurisdiction of MHLS. It may be that ordinarily nursing homes are licensed by DOH. But ordinarily nursing homes do not provide what amounts to involuntary inpatient psychiatric care and treatment of patients chronically afflicted with axis I psychiatric disorders. Moreover, there is absolutely no authority cited by defendants in support of the proposition that the licensing authority of DOH is exclusive of that of OMH. It would, to the contrary, seem clear that it was DOH's view that its licensees, to the extent that they provided residential psychiatric services, could be subject to OMH licensure and thus could be required to afford access to MHLS.³

3. DOH, it should be noted, supported MHLS's request for access to the NBUs, stating in a letter to the nursing facilities:

“MHLS states, and this Department agrees, that MHLS is an agency of the New York State Court System, established by

(*n. cont'd*)

Quite apart from the fact that OMH's decision not to require certification of defendant providers was not, and did not purport to be, based upon the criteria relevant in determining the reach of MHLS's jurisdiction, the treatment of its decision as an administrative determination somehow binding upon MHLS and, indeed, essentially preclusive of that agency's jurisdictional claim is contrary to very basic principles of law and procedural fair play.

It is elementary that "[d]ue process . . . would not permit a litigant to be bound by an adverse determination made in a prior proceeding to which he was not a party or in privity with a party" (*Gilberg v Barbieri*, 53 NY2d 285, 291 [1981]) and, accordingly, that a party may not be bound by an administrative determination that it has not been afforded the opportunity to oppose. The OMH decision at issue, reached by means of a cryptically described series of intra-agency conversations, was not one that MHLS or anyone else was afforded any opportunity to contest at the agency level. Indeed, the decision was not the product of any formal quasi-judicial or rule-making review process discernible from the record. Nor was it reduced to writing or publicized; it was apparently for internal purposes only and, in fact, only came to light in the course of this litigation's discovery phase.

It would be offensive to due process to deem anyone bound by a "determination" reached and publicized in such a manner. Here, however, the offense is compounded by the circumstance that the party deemed bound is an independent state agency whose jurisdiction has, in consequence of the "determination," been restricted in a manner incompatible with its legislatively assigned mission and with the clear import and intent of the governing jurisdictional statute. This "determination" does not command deference, and particularly not the extreme, practically talismanic deference it is now given. I would have thought

Mental Hygiene Law (MHL), Article 47. MHL § 47.03 (d) provides that MHLS shall be granted access at any and all times to any 'facility' or place or part thereof. For this purpose, MHL § 1.03 (6) defines 'facility' in the case of a hospital as defined by Public Health Law, Article, 28 to include a ward, wing, unit or part thereof which is operated for the purpose of providing services to the mentally disabled. A nursing home is a hospital within the meaning of Article 28 of the [P]ublic [H]ealth [L]aw.

"This Department agrees that the MHL provides that MHLS is to have access to such facilities [NBUs], including, to the extent applicable, yours."

it clear that courts could not upon such a ground determine any rights, much less cede to bureaucrats the peculiarly judicial prerogative to determine when and where counsel is required in defense of basic liberty interests. It should be self-evident that decisions as to the availability of counsel for mentally disabled persons faced with critical choices, and in some cases possible state compulsion in matters respecting their liberty and personal integrity, should not be made as a result of internal agency conversations by health care administrators. Those decisions are properly the function and obligation of the judicial branch. Obviously, the Legislature in enacting the 1993 amendment expressly expanding MHLS jurisdiction to include all facilities and places “required to have an operating certificate pursuant to article . . . thirty-one of [the Mental Hygiene Law]” had not the slightest intention to commit this essentially judicial task to the Commissioner of Mental Health.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in a separate opinion in which Judges CIPARICK and JONES concur.

Order affirmed, without costs.

[926 NE2d 1219, 900 NYS2d 715]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT
MOTHERSELL, Appellant.

Argued February 16, 2010; decided April 1, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 6, 2009. The Appellate Division affirmed a judgment of the Onondaga County Court (Anthony F. Aloï, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the fifth degree.

People v Mothersell, 59 AD3d 995, reversed.

HEADNOTES**Crimes — Search Warrant**

1. There was an insufficient predicate for issuance of a search warrant authorizing the search of all persons present at the time of its execution where the affidavit submitted in support of the warrant application stated that two controlled purchases of cocaine had been made by known and reliable informants at an apartment in a two-story residential building. Accordingly, the contraband defendant was convicted of possessing, which was recovered from his person by means of a strip search conducted on the authority of the all-persons-present warrant, should have been suppressed. Notwithstanding that warrants are constitutionally required to “particularly describ[e] . . . the persons . . . to be seized” (US Const 4th, 14th Amends; NY Const, art I, § 12), CPL 690.15 (2) states that “[a] search warrant which directs a search of a designated or described place, premises or vehicle, may also direct a search of any person present thereat or therein.” In order to apply the statute without constitutional offense, the facts known and the reasonable inferences to which they give rise must create a substantial probability that the authorized invasions of privacy will be justified by discovery of the items sought from all persons present when the warrant is executed. Here, two isolated purchases of what must be supposed to have been small quantities of narcotics did not suffice to show that a residential location had been given over entirely to the drug trade, much less that every person at the location was probably a participant in drug trafficking. The warrant application did not state, as required, whether any innocent use of the premises had been observed. Nor was there information in the application respecting the number or behavior of the persons ordinarily present at the apartment at the time of the sought warrant’s contemplated execution. The governing standard was not met by language in the warrant application to the effect that some persons present at the subject residence might have cocaine upon their persons.

Crimes — Unlawful Search and Seizure — Strip Search

2. The contraband defendant was convicted of possessing, which was recovered from his person by means of a strip search conducted on the

authority of a warrant authorizing the search of all persons present at the time of its execution, should have been suppressed in the absence of the existence of specific facts to support a reasonable suspicion that defendant had secreted contraband beneath his clothes or in a body cavity. Since such a predicate did not exist at the time that the warrant was sought, these extraordinary intrusions could not have been within any authority the warrant was capable of conferring. A post-arrest strip search must be based upon reasonable suspicion that an arrestee is hiding contraband beneath his or her clothing, and a search involving visual examination of an arrestee's anal and genital cavities—a distinctly elevated level of intrusion, which must be separately justified—may not be performed except upon a specific, articulable factual basis supporting a reasonable suspicion to believe the arrestee secreted evidence inside a body cavity. Thus, even where there is probable cause for an arrest, and a suspect has been arrested—something that had not yet occurred at the time of the search of defendant herein—there must, in addition to the predicate for the arrest, be grounds to justify the very significant intrusion of a strip or visual body cavity search.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 166–169, 173, 220, 250, 288, 293, 294.
 CARMODY-WAIT 2d, Search and Seizure §§ 173:3, 173:4, 173:20–173:26, 173:136, 173:168, 173:170, 173:171, 173:180, 173:181, 173:305.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.4–3.6, 9.3, 9.4.
 MCKINNEY'S, CPL 690.15 (2); NY Const, art I, § 12.
 NY JUR 2d, Criminal Law: Procedure §§ 214, 311, 314, 325, 338, 342, 343, 480.

ANNOTATION REFERENCE

Sufficiency of description in warrant of person to be searched. 43 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: warrant /s search /s any all /4 present & application /s justif! & suppress!

POINTS OF COUNSEL

Law Office of Ameer Benno, New York City (*Ameer Benno* of counsel), and *Hiscock Legal Aid*, Syracuse (*Mary P. Davison* of counsel), for appellant. The search of Mr. Mothersell's person by police violated his right to be free from unreasonable search and seizure, as guaranteed under the Fourth and Fourteenth Amendments to the United States Constitution, and article I,

§ 12 of the New York State Constitution. (*Mapp v Ohio*, 367 US 643; *Coolidge v New Hampshire*, 403 US 443; *Johnson v United States*, 333 US 10; *Illinois v Gates*, 462 US 213; *Walczyk v Rio*, 496 F3d 139; *United States v Martin*, 426 F3d 83; *Steele v United States*, 267 US 498; *United States v Ventresca*, 380 US 102; *Marron v United States*, 275 US 192; *Doe v Groody*, 361 F3d 232.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* and *Brenton P. Dadey* of counsel), for respondent. The police did not violate defendant's constitutional rights when they recovered cocaine from defendant. (*People v Prochilo*, 41 NY2d 759; *People v Tonge*, 93 NY2d 838; *People v Luperon*, 85 NY2d 71; *People v Turriago*, 90 NY2d 77; *People v Dunbar*, 5 NY3d 834; *People v Chilton*, 69 NY2d 928; *People v Roque*, 99 NY2d 50; *People v More*, 97 NY2d 209; *People v Barnville*, 7 Misc 3d 688, 31 AD3d 271, 7 NY3d 809; *People v Giles*, 73 NY2d 666.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The contraband defendant stands convicted of possessing was recovered from his person by means of a strip search conducted on the authority of a warrant purporting to authorize the search of all persons present at the time of its execution. Defendant now contends, as he did before the County Court and the Appellate Division, that there was not a sufficient predicate for issuance of the warrant and that, even if properly issued, it did not authorize the strip search performed on him. We agree with both of these contentions.

In his suppression motion defendant specifically alleged that there was no adequate factual basis for the all-persons-present warrant and that

“[e]ven if the warrant were to be viewed as allowing [him] to be seized and searched during [its] execution . . . , it was a violation of [his] rights under the Fourth Amendment to the US Constitution and Article 1, section 12 of the New York Constitution to be subjected to a body cavity search based solely on the ‘all persons present’ warrant and his mere presence at the target residence.”

The People responded that the search warrant was validly issued and properly executed. They characterized the search of defendant as a “strip search” that did not involve a cavity search.

In ruling upon the first branch of the motion, the court relied on the affidavit submitted in support of the warrant application, the sole basis for the warrant's issue. According to the affidavit, two controlled purchases of cocaine had been made by known and reliable informants at the target premises, the first floor front apartment at 114 Isabella Street, a two-story residential building. The first purchase was reportedly made from a male resident of the apartment, referred to only as "Tom," on February 2, 2006; the second purchase, from an "unknown male," took place weeks later, "during the week ending 25 February 2006." The amount of cocaine purchased on each occasion is not stated. Based on these two transactions, the motion court found that "not only was [probable cause established] to believe that the residence of 114 Isabella Street, First Floor Front Apartment, was being used for the sale and distribution of drugs but also that anyone present therein was involved in the ongoing illegal activity" and, accordingly, that the applicable standard for issuance of an all-persons-present warrant as set forth in *People v Nieves* (36 NY2d 396 [1975]) had been met. The court directed a hearing upon the disputed factual issue raised in connection with the motion's second branch, namely, whether there had been a body cavity search, as defendant alleged, or merely a strip search, as the People contended.

At the hearing, one of the officers who executed the warrant testified that he searched defendant solely pursuant to what he understood to be the warrant's authority; he acknowledged that he had no independent basis for an arrest and, in fact, said that defendant was not under arrest at the time of the search. He also stated that he had taken part in the execution of hundreds of all-persons-present warrants and that persons were routinely strip-searched pursuant to such warrants and required to facilitate the examination of their anal and genital cavities. The officer said that defendant was subjected to such a search, during which he was required to lift his scrotum and then to bend over to expose his anal cavity. The incriminating evidence was discovered in the course of the latter exercise.

The court denied suppression, finding that although the search at issue had been "more intrusive than merely a strip search," and involved "the conducting of a visual body cavity search," it was authorized by the all-persons-present warrant and had been reasonably conducted.

Upon the denial of his suppression motion, defendant entered a plea to criminal possession of a controlled substance in the

fifth degree. The Appellate Division affirmed the ensuing judgment of conviction, stating “the warrant application established probable cause to believe that the apartment was being used for the sale of controlled substances and that anyone present was involved in the ongoing illegal activity” (59 AD3d 995, 996 [2009] [citations and internal quotation marks omitted]). In support of this conclusion, the Court cited several Appellate Division decisions in which all-persons-present warrants had evidently been upheld on predicates not dissimilar to the one at bar (see *People v Neish*, 232 AD2d 744, 746 [1996], *lv denied* 89 NY2d 927 [1996]; *People v Williams*, 284 AD2d 564, 565 [2001], *lv denied* 96 NY2d 909 [2001]). The present appeal from the Appellate Division decision and order affirming defendant’s conviction is before us by leave of a Judge of this Court (12 NY3d 857 [2009]).

Preliminarily, while the People argue that the issues defendant would have us review are not preserved, both of the issues defendant has briefed to us were clearly raised and argued on the suppression motion and before the Appellate Division, which, it may be noted, addressed both issues on the merits without invoking its interest of justice jurisdiction. Nor is it the case that we are being asked by defendant to differ with the motion court’s now affirmed factual findings; the plainly reviewable issue posed is rather whether those facts will support the legal conclusion that the search of defendant was constitutional.

The Fourth Amendment to the Federal Constitution as made applicable to the states by the Fourteenth Amendment, and article I, § 12 of our New York State Constitution speak with one voice in requiring that warrants “particularly describ[e] . . . the persons . . . to be seized.” It is plain that the warrant here at issue does not particularly describe anyone. That, however, is not where the present inquiry ends because CPL 690.15 (2) states that “[a] search warrant which directs a search of a designated or described place, premises or vehicle, may also direct a search of any person present thereat or therein,” and in *People v Nieves* (36 NY2d 396 [1975]) this provision was upheld as against the claim that it was facially unconstitutional.

At the time of *Nieves*, the constitutionality of CPL 690.15 (2), enacted only five years before, had been seriously questioned (36 NY2d at 404) and it was evident that the statute as written was potentially overbroad in its application (*id.*). We nonetheless reasoned that there could be circumstances in which a showing of probable cause to search a place would also afford

probable cause to infer that everyone present at the place had upon their persons the items specified in the warrant, and thus, that the statute was capable of application without constitutional offense. We recognized, however, the exacting nature of the showing necessary to justify the inferences essential to the statute's constitutionally permissible use, and summarized the "carefully circumscribed," indeed "severely limited," grounds upon the search of an individual identified in the authorizing warrant only as "a[] person present" could be performed:

"The facts made known to the Magistrate and the reasonable inferences to which they give rise, must create a substantial probability (see *People v Baker*, 30 NY2d 252, 259) that the authorized invasions of privacy will be justified by discovery of the items sought from all persons present when the warrant is executed. If this probability is not present, then each person subject to search must be identified in the warrant and supporting papers by name or sufficient personal description" (*id.* at 404-405).

[1] This standard was not met in *Nieves*. The any-person-present warrant there at issue was premised upon facts indicating that the place to be searched, a restaurant, was being used to conduct illegal gambling transactions and to store the records of those transactions. But the locus of the search had not been shown limited to criminal activity and, accordingly, the requisite probability that anyone at the restaurant would be there for an illicit purpose and would have upon his or her person evidence probative of the alleged ongoing illegality was not made out. Indeed, notwithstanding our recognition in *Nieves* of the possibility of a valid any-person-present warrant, it does not appear that this Court has ever actually sustained such an instrument. While such a case may well come before us, it is not this one.

It is true that the location specified in the present warrant was not open to the public as was the restaurant in *Nieves*, but, as we noted in *Nieves*, that the place of a warrant's execution is not publicly trafficked, while relevant, does not suffice to demonstrate the selectivity necessary to the warrant's legality (*id.* at 405 n 4); innocent persons are commonly encountered in private spaces, such as homes, and, in fact, possess in those spaces the most constitutionally compelling expectations of privacy (see e.g. *Payton v New York*, 445 US 573, 587 [1980], quoting *Dorman v United States*, 435 F2d 385, 389 [DC Cir 1970] ["Freedom from intrusion into the home or dwelling is

the archetype of the privacy protection secured by the Fourth Amendment’’)]. The private nature of a place, then, does not of its own argue persuasively in support of a warrant indiscriminately permitting the seizure and search of all persons found there at the time of its execution.

Rather than adopt such a singular and inadequate criterion for judging the validity of an all-persons-present warrant, the *Nieves* court set forth numerous other factors necessarily to be considered in the discharge of a court’s duty to subject an application seeking such a warrant to “rigid scrutiny” (36 NY2d at 404). Among these were the character of the premises, the nature of the illegal activity believed to be conducted at the location, the number and behavior of the persons present at the time of day or night when the sought warrant was proposed to be executed, and whether persons unconnected with the illicit activity had been observed at the premises. *Nieves* required the address of each of these issues in the application (*id.* at 404-405).

The essential object of the searching examination required of the reviewing magistrate under *Nieves* is to guard against the authorization of a dragnet likely to include the innocent, a danger that would otherwise routinely be courted in issuing all-persons-present warrants. Naturally, the reasonableness of this species of warrant may depend upon whether a more specifically focused search authorization can be framed (*see id.*), but it does not follow that an application for such a warrant can be justified solely by the inability of the applicant individually to identify the particular person or persons to be searched. The requirement of probable cause both for the proposed search of the premises and for the search of each person present at the time of the warrant’s execution is unwavering: “[T]he facts before the issuing Judge at the time of the warrant application, and reasonable inferences from those facts, must establish probable cause to believe that the premises are confined to ongoing illegal activity and that every person within the orbit of the search possesses the articles sought” (*id.* at 404; *see also Ybarra v Illinois*, 444 US 85, 91 [1979] [“Where the standard is probable cause, a search or seizure of a person must be supported by probable cause particularized with respect to that person. *This requirement cannot be undercut or avoided by simply pointing to the fact that coincidentally there exists probable cause to search or seize another or to search the premises where the person may happen to be*” (emphasis added)]).

In defending the adequacy of the present application against this standard, the People remind us of the maxim that warrant applications are not to be hypertechnically read. But that principle of construction was never intended as license to excuse deficiencies in an application's factual underpinning (see *Steele v United States*, 267 US 498, 503 [1925]; *People v Hendricks*, 25 NY2d 129, 137 [1969]). Even generously read, the application at bar must be deemed unequal to its purpose.

Amid the application's pages of boilerplate allegations are the following few relevant particulars: that the premises at issue were residential in nature; and that on two occasions separated by weeks cocaine in unspecified quantities had been purchased at the premises by trusted confidential informants from one or two men, undescribed except that after the first buy the seller was referred to as "Tom." But, two isolated purchases of what must be supposed to have been small quantities of narcotics cannot suffice to show that a residential location has been given over entirely to the drug trade, much less that every person at the location is probably a participant in drug trafficking. The warrant application does not state, as it is required to by *Nieves*, whether any innocent use of the premises had been observed. Nor is there information in the application respecting the number or behavior of the persons ordinarily present at the apartment at the time of the sought warrant's contemplated execution—here, "any time of the day or night."

In the end, the only statement in the warrant application even purporting to justify the issuance of an all-persons-present warrant is the one in which the deponent offers on the basis of her past experience that it is "not uncommon that persons found in the subject residence could reasonably be expected to conceal cocaine." But, as noted, the search of all persons present, particularly where, as here, it is proposed to be accomplished solely on the authority of a warrant to be executed at any time, requires a showing of facts from which it can be inferred that it is substantially probable that any persons present at the warrant's execution will have the sought evidence of crime upon them; this governing standard is manifestly not met by the above-quoted fairly opaque formulation, which, charitably construed, ventures no more than that some persons present at the subject residence might have cocaine upon their persons.

Our conclusion that this all-persons-present warrant is not valid should not be taken as signifying a departure from *Nieves*'s initial holding that warrants of this sort are not categorically

unconstitutional. Indeed, we think it clear that surveillance of a location may yield a factual basis to infer with the requisite force that the place is devoted to an ongoing illicit purpose, such as the manufacture or marketing of narcotics (a “drug factory”) or their use (a “shooting gallery” or “drug house”), and that all those present at the time of the contemplated search will probably be in possession of contraband or other specified evidence of illegality. Although the predicate for this kind of warrant cannot, consistent with the essential constitutional purpose of protecting persons from unreasonable searches, be less than exacting, the warrant may still have utility. Its utility, however, may not permissibly arise, as it apparently has in practice, from any relaxation of the requirement of probable cause as to each person targeted for search or seizure.

While the warrant’s invalidity is dispositive of defendant’s entitlement to suppression, we briefly address defendant’s second point in view of the hearing testimony indicating that strip searches are commonly performed solely on the authority of all-persons-present warrants.

We have held that a post-arrest strip search must be based upon reasonable suspicion that an arrestee is hiding contraband beneath his or her clothing, and that a search involving visual examination of an arrestee’s anal and genital cavities—a distinctly elevated level of intrusion, which must be separately justified—may not be performed except upon a “specific, articulable factual basis supporting a reasonable suspicion to believe the arrestee secreted evidence inside a body cavity” (*People v Hall*, 10 NY3d 303, 311 [2008], *cert denied* 555 US —, 129 S Ct 159 [2008]). In this connection, we stressed in language particularly resonant here that

“visual cavity inspections . . . cannot be routinely undertaken as incident to all drug arrests or permitted under a police department’s blanket policy that subjects persons suspected of certain crimes to these procedures. *There must be particular, individualized facts known to the police that justify subjecting an arrestee to these procedures (see generally People v McIntosh*, 96 NY2d 521, 525 [2001]). Our precedent on this point is unequivocal: the police are required to have ‘specific and articulable facts which, along with any logical deductions, reasonably prompted th[e] intrusion’ (*People v Cantor*, 36 NY2d 106, 113 [1975]), although they are allowed to ‘draw on their

own experience and specialized training to make inferences from and deductions about the cumulative information available to them that might well elude an untrained person' (*United States v Arvizu*, 534 US 266, 273 [2002] [internal quotation marks omitted])" (*id.* at 311 [emphasis added]).

[2] Thus, even where there is probable cause for an arrest, and a suspect has been arrested—something that had not yet occurred at the time of the search of defendant—there must, in addition to the predicate for the arrest, be grounds to justify the very significant intrusion of a strip or visual body cavity search.* It is not enough that there is probable cause to suppose that a person possesses contraband or that pursuant to a warrant there may exist grounds for a non-strip search; where a strip search is to be performed, there must also exist “particular, individualized facts known to the police that justify subjecting an arrestee to these procedures” (10 NY3d at 311), i.e., specific facts to support a reasonable suspicion that a particular person has secreted contraband beneath his or her clothes or in a body cavity. Such a predicate did not exist at the time that the present warrant was sought and, accordingly, these extraordinary intrusions could not have been within any authority the warrant was capable of conferring.

A search warrant exists and is required not simply to permit, but to circumscribe police intrusions (*see Marron v United States*, 275 US 192, 196 [1927] [“nothing is left to the discretion of the officer executing the warrant”]). This warrant, even if valid for other uses, would fail of its essential limiting purpose if it were understood to afford plenary authority for the inspection of the most private recesses of a person’s anatomy.

Accordingly, the order of the Appellate Division should be reversed, the motion to suppress granted, and the indictment dismissed.

READ, J. (concurring). Whether the warrant application in this case was sufficient to support an all-persons-present search for drugs is a close question. Ultimately, though, I conclude that the information presented in the affidavit supporting the warrant application was simply too skimpy and dependent on boilerplate. All-persons-present warrants for drug searches have

* If the search involves the removal of an object secreted within a body cavity, a warrant specifically authorizing the intrusion must first be obtained (*People v More*, 97 NY2d 209 [2002]).

been approved where the supporting affidavits supply more detailed information regarding the experience and training of the officer seeking the warrant, including that, in the officer's experience, persons engaged in the sale of drugs often work in concert with others and that those engaged in such activities frequently maintain residences separate and apart from the location where the drug-related activity is conducted (*see People v Williams*, 284 AD2d 564, 565 [3d Dept 2001], *lv denied* 96 NY2d 909 [2001]). Additional details to support an all-persons-present warrant based on drug purchases made by an informant might also include, for example, whether the drugs at the target location were in open view; whether scales and glassine bags were visible; whether those observed at the location appeared to be high, or were using drugs; and, generally, how many people were seen and whether any of them appeared unaware of or uninvolved with the illegal activity taking place.

As the majority points out, police surveillance may also supply a sufficient factual basis from which to infer that a location is a drug factory, shooting gallery or drug house, and that all those present when a search warrant is executed will likely possess contraband or other evidence of illegality (*see* majority op at 365-366). These havens for drug activity are often found in the most disadvantaged neighborhoods, whose innocent residents suffer from the high crime incident to the illicit drug trade in their midst. The all-persons-present warrant—properly supported—is a tool for combating drug crime for the benefit of these citizens. As for the strip/visual body cavity search, the facts set out in the affidavit and brought out at the suppression hearing did not meet the standard articulated in *People v Hall* (10 NY3d 303 [2008], *cert denied* 555 US —, 129 S Ct 159 [2008]), which was decided after the hearing took place in this case.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge READ concurs in a separate concurring opinion in which Judges GRAFFEO and PIGOTT concur.

Order reversed, etc.

[927 NE2d 1050, 901 NYS2d 566]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v LYNETTE
CABAN, Respondent.

Argued February 16, 2010; decided April 1, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 6, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Budd G. Goodman, J.), which had convicted defendant, upon a jury verdict, of criminally negligent homicide; and (2) remanded the matter for a new trial.

People v Caban, 51 AD3d 455, reversed.

HEADNOTES

Appeal — Court of Appeals — Matters Reviewable — Preservation of Issue for Review

1. In a prosecution for criminally negligent homicide, defendant's allegation that it was error to admit evidence at trial showing the suspension of her license at the time of the incident at issue was preserved for appellate review. Although the defense lawyers never said on the record "we object to this evidence," their objection was clear from the prosecutor's summary of their position. The trial judge was made aware, before he ruled on the issue in response to the People's motion, that the defense wanted him to rule otherwise. The Appellate Division's reversal, holding that evidence of the license suspension should not have been admitted, was therefore based on a question of law that was reviewable by the Court of Appeals.

Crimes — Proof of Other Crimes

2. At the trial of defendant for criminally negligent homicide arising out of an incident that occurred when she hit and killed a pedestrian while backing her car, evidence that defendant's license was suspended at the time of the incident due to an earlier incident with some noticeable similarities was properly admitted. The license suspension was relevant to the issue of criminal negligence (Penal Law § 15.05 [4]). The jury had to determine whether defendant failed to perceive "a substantial and unjustifiable risk" that her careless driving would kill someone, and also whether that failure was "a gross deviation from the standard of care that a reasonable person would observe in the situation." The jury could find that the license suspension proved defendant to be more negligent than the other evidence showed her to be. Moreover, the probative value of that evidence was not substantially outweighed by the danger that it would unfairly prejudice defendant or mislead the jury. Because defendant's license had been suspended for conduct similar to the conduct that caused the victim's death—backing into a crosswalk—the jury was not misled if it inferred from the license suspension that defendant should have known that it was unsafe for her to drive.

Crimes — Proof of Other Crimes

3. At the trial of defendant for criminally negligent homicide arising out of an incident that occurred when she hit and killed a pedestrian while backing her car, the admission of evidence that defendant's license was suspended at the time of the incident due to an earlier incident with some noticeable similarities did not violate the rule that a defendant's uncharged crimes or bad acts are generally inadmissible when they serve only to show the defendant's criminal propensity. When the issue is criminal negligence, a prior similar act for which defendant has been punished shows more than propensity. A defendant who is repeatedly negligent in the same way may be found to be unable or unwilling to learn from her mistakes—and thus to be guilty not just of deviation, but of “gross deviation,” from reasonable care. The prior conduct was thus directly relevant to the extent of defendant's negligence in the case on trial—to her *mens rea*.

Appeal — Court of Appeals — Issues to be Considered upon Remittal to Appellate Division

4. Following reversal of the Appellate Division's order, the Court of Appeals remitted the case to the Appellate Division for consideration of the issues appropriate for its review including whether the trial court's alleged failure to give defense counsel meaningful notice of notes sent by the jury during its deliberations was a mode of proceedings error that did not require preservation for review upon appeal. The Appellate Division had no opportunity to consider the preservation argument during its review of the trial court's judgment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575–577, 618, 619; AM JUR 2d, Evidence §§ 409, 413, 414, 425–430; AM JUR 2d, Homicide §§ 85, 296; AM JUR 2d, Trial § 1454.
CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:16, 193:18, 193:21, 193:22, 193:26; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:171, 207:222.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.5.
MCKINNEY'S, Penal Law § 15.05 (4).
NY JUR 2d, Criminal Law: Procedure §§ 2025–2027, 2037, 2824, 3637, 3641, 3649; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 558, 559, 598, 599.

ANNOTATION REFERENCE

What amounts to negligence within meaning of statutes penalizing negligent homicide by operation of motor vehicle. 20 ALR3d 473.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: preserv! /s error /p appellate /2 division /4 revers!
/s review!

POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Marc Krupnick and Mark Dwyer of counsel), for appellant. I. The Appellate Division's order is appealable and should be reversed. Limited testimony that defendant operated her vehicle with a suspended driver's license when she struck and killed an 81-year-old pedestrian was properly admitted at her criminally negligent homicide trial. (*People v Molineux*, 168 NY 264; *People v Albro*, 52 NY2d 619; *People v Giles*, 73 NY2d 666; *People v Alvino*, 71 NY2d 233; *People v Resek*, 3 NY3d 385; *People v Laws*, 86 NY2d 769; *People v Fehr*, 75 NY2d 836; *People v Cona*, 49 NY2d 26; *People v Rojas*, 97 NY2d 32; *People v Hudy*, 73 NY2d 40.) II. As defendant has failed to establish that the trial judge did not provide her with notice of the contents of four jury notes as well as an opportunity to suggest responses to those notes, defendant's claim that the judge failed to satisfy his core responsibilities is meritless and also partially unpreserved. (*People v O'Rama*, 78 NY2d 270; *People v Kisoon*, 8 NY3d 129; *People v Martin*, 8 NY3d 129; *People v Lykes*, 81 NY2d 767; *People v DeRosario*, 81 NY2d 801; *People v Starling*, 85 NY2d 509; *People v Kinchen*, 60 NY2d 772; *People v Cook*, 85 NY2d 928; *People v Andrew*, 1 NY3d 546; *People v Velasquez*, 1 NY3d 44.)

Legal Aid Society, Criminal Appeals Bureau, New York City (Frances A. Gallagher and Steven Banks of counsel), for respondent. I. This appeal must be dismissed because the intermediate appellate court's determination of reversal was based not on the law, but rather on its interest of justice review of an unpreserved issue, and, as such, it is outside the scope of this Court's review. (*People v Cona*, 49 NY2d 26; *People v Laws*, 86 NY2d 769; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Dercole*, 52 NY2d 956; *People v Chessman*, 54 NY2d 1016; *People v Molineux*, 168 NY 264; *People v Fehr*, 75 NY2d 836; *People v Darrisaw*, 49 NY2d 786; *People v Maschi*, 65 AD2d 405, 49 NY2d 784; *People v Fava*, 86 AD2d 975, 58 NY2d 807.) II. The Appellate Division correctly determined that Ms. Caban was deprived of a fair trial by the admission of testimony that her license was suspended because that evidence was neither probative of her state of mind nor necessary to explain the incident. (*People v Cabrera*, 10 NY3d 370; *People v Boutin*, 75 NY2d 692; *Dalal v City of New York*, 262 AD2d 596; *St. Andrew v O'Brien*, 45 AD3d 1024; *White v Molinari*, 160 AD2d 302; *Hanley v Albano*, 20 AD2d 644; *Almonte v Marsha Operating*

Corp., 265 AD2d 357; *Phass v MacClenathen*, 274 App Div 535; *People v Young*, 13 AD3d 716; *People v Reyes*, 75 NY2d 590.) III. The record failed to establish that the court provided counsel with notice of the contents of the substantive jury notes by reading the notes into the record outside of the presence of the jury before the court replied to the jury; counsel was thereby deprived of the opportunity to suggest appropriate responses, thereby depriving respondent of her right to the assistance of counsel and her due process right to a fair trial. (*People v Kisoon*, 8 NY3d 129; *People v O'Rama*, 78 NY2d 270; *People v Martin*, 8 NY3d 129; *People v Starling*, 85 NY2d 509; *People v DeRosario*, 81 NY2d 801; *People v Tabb*, 13 NY3d 852.)

OPINION OF THE COURT

SMITH, J.

Defendant, while backing her car, hit and killed a pedestrian. At the time of that event, defendant's license to drive had been suspended, because of an earlier incident with some noticeable similarities to the later, fatal one. Defendant was convicted of criminally negligent homicide, after a trial in which the trial court admitted into evidence the fact of her license suspension. We hold that this evidence was properly admitted.

I

On January 2, 2003, defendant, driving on Third Avenue in Manhattan, stopped her car and backed it up to let her passengers out at a pizza shop. She backed too quickly, and failed to see an elderly woman, Francesca Maytin, who was crossing the avenue at or near a crosswalk. The car hit Maytin, who died later that day.

This was not the first time defendant had backed a car carelessly. Three months earlier, on October 3, 2002, her car was illegally parked at a bus stop, and a police officer began to write a ticket. Arriving at her car, defendant sought to escape the parking ticket by jumping into the car and backing away quickly—going, according to the People's description, into a busy intersection in the vicinity of a school at 8:30 in the morning. Her escape was thwarted when a bus blocked her path, and she received four summonses, including one for unsafe backing and one for failing to yield to pedestrians in a crosswalk. Her license to drive was suspended as a result.

Before defendant's trial, the People sought permission to put into evidence the details of the October 3 incident. Supreme

Court rejected that request, but the People were allowed to, and did, show that defendant's license had been suspended and that it remained so on the day of the fatal event. Defendant, convicted of criminally negligent homicide, appealed to the Appellate Division, which reversed, holding that evidence of the license suspension should not have been admitted (*People v Caban*, 51 AD3d 455 [1st Dept 2008]). A Judge of this Court granted the People leave to appeal (11 NY3d 896 [2009]), and we now reverse the Appellate Division's order.

II

We must first decide whether the alleged error in admitting the license suspension was preserved for appellate review. Taking the opposite position from the one she took in the Appellate Division, defendant now argues that it was not. The reason for the change is that, under our precedents, an Appellate Division reversal that is based on an unpreserved error is considered an exercise of the Appellate Division's interest of justice power, not reviewable in our Court (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404, 406-407 [2006]; *People v Fava*, 58 NY2d 807 [1983]). Thus, if defendant failed to preserve the alleged error, she would benefit from her mistake, for we would be required to dismiss the People's appeal.

[1] We conclude that the alleged error was preserved, though the relevant record is a bit complicated. The People moved before trial for the admission of evidence about the October 3, 2002 incident, and the trial court denied the motion insofar as it related to the People's case-in-chief. The parties interpreted this ruling differently: The prosecutor thought she was not barred from introducing, on her case-in-chief, proof that defendant's license was suspended, while defense counsel thought that the court's ruling excluded that evidence also. The conversation in which the parties disagreed was off the record, but was recited to the court on the record by the prosecutor, who asked the court for clarification; the court resolved the ambiguity in the People's favor. It is true that the defense lawyers never said on the record "we object to this evidence," but they did not have to, because their objection was clear from the prosecutor's summary of their position.

Because the trial judge was made aware, before he ruled on the issue, that the defense wanted him to rule otherwise, preservation was adequate. The Appellate Division's reversal was therefore based on a question of law that we may review.

III

[2] Defendant's argument, which the Appellate Division accepted, is that her license suspension was irrelevant to her guilt or innocence. In defendant's view, the license suspension sheds no light on whether she was criminally negligent in causing Maytin's death, but only served to prejudice the jury against her as someone who violated the law by driving illegally. We reject this argument, and conclude that the license suspension was relevant to the issue of criminal negligence.

Criminal negligence is defined by Penal Law § 15.05 (4):

"A person acts with criminal negligence with respect to a result or to a circumstance described by a statute defining an offense when he fails to perceive a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that the failure to perceive it constitutes a gross deviation from the standard of care that a reasonable person would observe in the situation."

Thus the jury in this case had to consider not only whether defendant failed to perceive "a substantial and unjustifiable risk" that her careless driving would kill someone, but also whether that failure was "a gross deviation from the standard of care that a reasonable person would observe in the situation." In other words, the jury not only had to decide whether defendant was at fault, but also had to consider how much she was at fault. The license suspension was relevant to this question, because a jury could find that it proved defendant to be more negligent than the other evidence showed her to be.

A jury could find that it is unreasonable to back up quickly into a crosswalk, without checking carefully to be sure that no one is in the way; but that it is even more unreasonable to do so when the State has forbidden the driver from driving at all. A jury could find that the license suspension should, if it did not keep defendant off the road, at least have prompted her to pay more attention to safety while she was driving, and that in failing to do so she deviated grossly from what a reasonable person would have done.

While a license suspension is, as a general proposition, relevant to the issue of criminal negligence, that does not mean evidence of a suspension is admissible whenever criminal negligence is in issue. Evidence, though relevant, may be excluded

where “its probative value is substantially outweighed by the danger that it will unfairly prejudice the other side or mislead the jury” (*People v Scarola*, 71 NY2d 769, 777 [1988]). That danger is not present here. Defendant would have a better argument for exclusion if her license had been suspended, for example, for failure to pay parking tickets. But it was not. It was suspended for conduct frighteningly similar to the conduct that caused Francesca Maytin’s death—backing unsafely into a crosswalk. If the jury inferred from the license suspension that defendant should have known that it was unsafe for her to drive, the jury was not misled.

[3] The admission of the license suspension, to the extent it informed the jury about defendant’s earlier misbehavior, did not violate the familiar rule that a defendant’s uncharged crimes or bad acts are generally inadmissible when they serve only to show the defendant’s criminal propensity (*People v Molineux*, 168 NY 264 [1901]). When the issue is criminal negligence, a prior similar act for which defendant has been punished shows more than propensity; a defendant who is repeatedly negligent in the same way may be found to be unable or unwilling to learn from her mistakes—and thus to be guilty not just of deviation, but of “gross deviation,” from reasonable care. The prior conduct is thus directly relevant to the extent of defendant’s negligence in the case on trial—to her mens rea.

The trial court did not err by allowing the fact of defendant’s license suspension into evidence.

IV

[4] As an alternative ground for affirming the Appellate Division’s order, defendant argues that the trial court violated the rule of *People v O’Rama* (78 NY2d 270 [1991]) and other cases (see *People v Kisoona*, 8 NY3d 129 [2007]; *People v Tabb*, 13 NY3d 852 [2009]) by failing to give defense counsel meaningful notice of notes sent by the jury during its deliberations. This argument was not presented to the trial court or to the Appellate Division, but defendant argues that the *O’Rama* violation was a “mode of proceedings” error, as to which no preservation is required. Since the Appellate Division had no opportunity to consider this argument, we remit to that court so that it may do so, and may consider any other issues that are now proper for its review.

Accordingly, the order appealed from should be reversed and the case remitted to the Appellate Division for consideration of

issues now appropriate for that court's review, including issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[928 NE2d 393, 902 NYS2d 11]

In the Matter of CHARLA BIKMAN, as Administrator of the Estate
of MINDA BIKMAN, Deceased, Respondent, v NEW YORK CITY
LOFT BOARD, Appellant.

Argued February 16, 2010; decided April 1, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 30, 2008. The Appellate Division affirmed an order (denominated decision, order and judgment) of the Supreme Court, New York County (Emily Jane Goodman, J.; op 2007 NY Slip Op 30541[U]), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition to annul respondent's determination granting the abandonment application filed by the owner of the loft formerly occupied by petitioner's decedent and denying petitioner's application for reimbursement of the fixtures installed and improvements made in the loft by petitioner's decedent; (2) annulled the determination; (3) remanded the matter to respondent for an appraisal of the fixtures and improvements installed and made in the loft by petitioner's decedent; and (4) adjudged that pending the sale of the fixtures and improvements the rent for the loft remained regulated pursuant to Multiple Dwelling Law article 7-C.

Matter of Bikman v New York City Loft Bd., 57 AD3d 448, affirmed.

HEADNOTE

Landlord and Tenant — Loft Law — Estate of Deceased Tenant Entitled to Recoup Value of Improvements

The estate of decedent loft tenant was entitled to recoup the value of fixtures installed and improvements made by the tenant pursuant to Multiple Dwelling Law § 286 (6). Under section 286 (6), a loft tenant may, subject to procedures established by respondent New York City Loft Board, sell any improvement to a unit, made or purchased by the tenant, to the owner of the premises or an incoming tenant. Respondent's interpretation of Multiple Dwelling Law § 286 (6) as limiting the right of sale to the tenant was not entitled to deference as the issue was solely a matter of statutory interpretation. The legislative intent of section 286 (6) was to prevent an owner from receiving unearned enrichment, thereby depriving compensation to the tenants who paid for the improvements. As such, it would have been unfair here to deprive the estate of the value of property which would have enured to the benefit of the tenant, had the tenant lived.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 749, 750.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 43:29.
MCKINNEY'S, Multiple Dwelling Law § 286 (6).
NY JUR 2d, Buildings, Zoning, and Land Controls § 27; NY JUR 2d, Landlord and Tenant § 206.
NEW YORK REAL PROPERTY SERVICE § 73:47.

ANNOTATION REFERENCE

See ALR Index under Fixtures; Landlord and Tenant.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: loft /4 tenant /s estate /p improvement fixture

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Marta Ross, Edward F.X. Hart and Diana Murray of counsel), for appellant. The right to sell improvements under section 286 (6) of article 7-C of the Multiple Dwelling Law does not extend to the estate of a deceased tenant. (Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County, 34 NY2d 222; Matter of Purdy v Kreisberg, 47 NY2d 354; Sewell v City of New York, 182 AD2d 469, 80 NY2d 756; Matter of Amann v New York City Loft Bd., 262 AD2d 234; Matter of 902 Assoc. v New York City Loft Bd., 229 AD2d 351; Matter of Lower Manhattan Loft Tenants v New York City Loft Bd., 104 AD2d 223, 66 NY2d 298; Matter of Moskowitz v Jorden, 27 AD3d 305, 7 NY3d 783; 577 Broadway Real Estate Partners v Giacinto, 182 AD2d 374; De Kovessey v Coronet Props. Co., 69 NY2d 448.)

Charla Bikman, respondent pro se. I. The standard of review for error of law is whether there is an error of law. (Kurcsics v Merchants Mut. Ins. Co., 49 NY2d 451; Matter of Moskowitz v Jorden, 27 AD3d 305; Matter of Jorden, 8 Misc 3d 789.) II. Matter of Moskowitz v Jorden (27 AD3d 305 [2006]) correctly ruled that the estate is entitled to compensation for the deceased tenant's fixtures and improvements under Multiple Dwelling Law § 286 (6). (Matter of Jorden, 8 Misc 3d 789; 577 Broadway Real Estate Partners v Giacinto, 182 AD2d 374; De Kovessey v

Coronet Props. Co., 69 NY2d 448; *Canelli Wine Co. v Tassi*, 88 Misc 573; *Axelrod v French*, 148 Misc 2d 42.) III. The Loft Law prohibits deregulation absent a sale of rights or improvements under Multiple Dwelling Law § 286. (*Spring Realty Co. v New York City Loft Bd.*, 69 NY2d 657; *Thorgeirsdottir v New York City Loft Bd.*, 161 AD2d 337.) IV. The estate of Minda Bikman was not a party to housing court litigation.

OPINION OF THE COURT

JONES, J.

The question before this Court is whether the estate of a deceased loft tenant is entitled to recoup the value of improvements made by the tenant pursuant to Multiple Dwelling Law § 286 (6). We answer in the affirmative.

Decedent Minda Bikman became a resident of the subject Manhattan loft in 1974 and was the protected tenant under article 7-C of the Multiple Dwelling Law.¹ Minda died in 1997 and petitioner Charla Bikman, Minda's sister, represents the estate. During her tenancy, Minda improved the raw loft space by installing a kitchen and bathroom and making other alterations that, according to petitioner, are valued at more than \$40,000. In 1981, the building was purchased by 595 Broadway Associates (Broadway). In 1999, after learning of Minda's death, Broadway sought a Civil Court judgment of possession and use and occupancy which it obtained in 2001. Subsequently, in 2001, Broadway applied to the Loft Board for an abandonment order pursuant to 29 RCNY 2-10 (f). The matter was transferred to the Office of Administrative Trials and Hearings and assigned to an Administrative Law Judge (ALJ) for adjudication. At the ensuing hearing, petitioner opposed Broadway's abandonment application, claiming that Broadway was not entitled to an abandonment order until such time as it reimbursed the estate for the value of the fixtures and improvements pursuant to Multiple Dwelling Law § 286 (6).

The ALJ recommended that Broadway's application be granted and that petitioner's claim be denied because Multiple

1. This article was enacted in response to a serious public emergency created by the increasing number of conversions of commercial and manufacturing loft buildings to residential use without compliance with applicable building codes and minimum health, safety and fire protection standards (*see* Multiple Dwelling Law § 280). This legislation, among other things, is meant to effectuate legalization of the loft buildings and at the same time protect loft residents from being forced to relocate (*id.*).

Dwelling Law § 286 (6) and 29 RCNY 2-09 (b) (1) expressly limit the right of sale to the occupant qualified for protection under the Loft Law. Therefore, the ALJ decided that the estate was not entitled to the value of improvements, as only the residential occupant is protected under the law. The Loft Board affirmed the findings of the ALJ that the unit had been abandoned and denied petitioner's request for reimbursement of the value of the improvements. Petitioner's application for reconsideration was denied and she commenced this CPLR article 78 proceeding.

Supreme Court annulled the Loft Board's determination (2007 NY Slip Op 30541[U]), holding that the proceeding was governed by *Matter of Moskowitz v Jorden* (27 AD3d 305 [1st Dept 2006], *lv dismissed* 7 NY3d 783 [2006]), which holds that the estate of a tenant who resided in a unit governed by the Loft Law was entitled to compensation for improvements pursuant to Multiple Dwelling Law § 286 (6). The Appellate Division affirmed Supreme Court's order annulling the determination of the Loft Board and concluded that it was error to grant Broadway's abandonment application without requiring a sale of the improvements and compensation to the estate (57 AD3d 448 [2008]).

Under Multiple Dwelling Law § 286 (6), a residential tenant may, subject to procedures established by the Loft Board, sell any improvement to a unit in a dwelling covered under this statute—made or purchased by him—to the owner of the premises or an incoming tenant.² In *Moskowitz*, the First Department rejected the statutory interpretation of Multiple Dwelling Law § 286 (6) by the ALJ which denied reimbursement to the estate. The court determined that prior Loft Board decisions on this issue were not entitled to deference because the issue was solely one of statutory interpretation, and “not specialized knowledge and understanding of operational practices or an evaluation of factual data and inferences to be drawn therefrom” (*Moskowitz*, 27 AD3d at 306, citing *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005]).

2. The Loft Board is an administrative body, consisting of representatives of the public, the real estate industry, loft residential tenants and loft manufacturing interests, all of whom are appointed by the mayor of a municipality. The duties of the Loft Board are set forth in Multiple Dwelling Law § 282 and include the determination of controversies arising over the fair market value of a residential tenant's fixtures.

We agree that the Loft Board's interpretation of Multiple Dwelling Law § 286 (6) is not entitled to deference as the issue is solely a matter of statutory interpretation. In construing this statute, we look to its legislative intent and conclude that section 286 (6) was enacted to prevent an owner from receiving unearned enrichment, thereby depriving compensation to the tenants who paid for the improvements (*see 577 Broadway Real Estate Partners v Giacinto*, 182 AD2d 374 [1st Dept 1992]). As such, it would be unfair to deprive the estate of the value of property which would have enured to the benefit of the tenant, had the tenant lived.

Based on the foregoing, we hold that Multiple Dwelling Law § 286 (6) permits the estate of a deceased tenant to recoup the value of fixtures and improvements made to the property.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, with costs.

[926 NE2d 1212, 900 NYS2d 708]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE
TOLENTINO, Also Known as JOSE R. TOLENTINO, Appellant.

Argued February 10, 2010; decided March 30, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had convicted defendant, upon his plea of guilty, of aggravated unlicensed operation of a motor vehicle in the first degree.

People v Tolentino, 59 AD3d 298, affirmed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Department of Motor Vehicle Records Not Suppressible as Fruit of Unlawful Stop

Department of Motor Vehicle (DMV) records disclosing prior suspensions of defendant's driver's license were not suppressible as the fruit of a purportedly illegal traffic stop. Police officers learned defendant's identity when they stopped his car, and that knowledge permitted the police to run a computer check that led to the retrieval of his DMV records. Since the identity of a defendant is never itself suppressible as a fruit of an unlawful arrest, the preexisting DMV records discovered here as the result of the police learning defendant's identity were likewise not suppressible. The DMV records were public records already in the possession of authorities, obtained from a source independent of the claimed illegal stop. Moreover, the policy rationale of the exclusionary rule would not be served by its application to identity-related evidence. Although fingerprint evidence may be subject to the exclusionary rule in situations where defendants are illegally stopped for the purpose of obtaining fingerprints to connect them to latent prints recovered from the scene of a crime under investigation, such evidence establishes the defendants' "identities" as the perpetrators, but not their "identities" in the sense relevant here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 643, 649; AM JUR 2d, Searches and Seizures § 55.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:270, 194:273, 194:279, 194:282.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 9.4.

NY JUR 2d, Criminal Law: Procedure §§ 1599, 1600, 1618.

ANNOTATION REFERENCE

"Fruit of the poisonous tree" doctrine excluding evidence

derived from information gained in illegal search. 43 ALR3d 385.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: suppress! /p dmv driving /2 record /p stop /s illegal unlawful

POINTS OF COUNSEL

Legal Aid Society, New York City (*Kristina Schwarz* and *Steven Banks* of counsel), for appellant. Department of Motor Vehicles records obtained as the direct, immediate result of an unlawful traffic stop constitute “fruit of the poisonous tree” and are subject to suppression under the exclusionary rule. (*Wong Sun v United States*, 371 US 471; *Silverthorne Lumber Co. v United States*, 251 US 385; *Sibron v New York*, 392 US 40; *Davis v Mississippi*, 394 US 721; *United States v Giordano*, 416 US 505; *Dunaway v New York*, 442 US 200; *People v Gethers*, 86 NY2d 159; *People v May*, 81 NY2d 725; *People v Rossi*, 80 NY2d 952; *Nardone v United States*, 308 US 338.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Allen J. Vickey* and *Alan Gadlin* of counsel), for respondent. The lower courts correctly held that defendant’s Department of Motor Vehicles records were not subject to suppression. (*People v Smith*, 170 Misc 2d 486; *Wong Sun v United States*, 371 US 471; *People v Jones*, 2 NY3d 235; *People v Rogers*, 52 NY2d 527; *Hudson v Michigan*, 547 US 586; *People v Arnau*, 58 NY2d 27; *INS v Lopez-Mendoza*, 468 US 1032; *Navarro-Chalan v Ashcroft*, 359 F3d 19; *United States v Bowley*, 435 F3d 426.)

OPINION OF THE COURT

READ, J.

At about 7:40 P.M. on New Year’s Day in 2005, defendant Jose Tolentino was driving a car in the vicinity of West 181st Street and Broadway in New York City. The police stopped him for playing music too loudly, learned his name, and ran a computer check of Department of Motor Vehicles (DMV) files to look up his driving record. When this check revealed that defendant’s license was suspended with at least 10 suspensions imposed on at least 10 different dates, he was arrested and charged with one count of aggravated unlicensed operation of a motor vehicle in the first degree.

As part of an omnibus motion, defendant sought to suppress his driving record and any statements made after arrest; alternatively, he asked Supreme Court to hold a *Mapp/Dunaway* and/or a *Huntley/Dunaway* hearing. Defendant alleged that the police unlawfully stopped his car and illegally obtained his driving record from DMV. Specifically, he contended that his driving record was a suppressible fruit of a Fourth Amendment violation because “[t]he steps required to obtain a DMV records check are the stop of the vehicle and the elicitation of the driver’s name or the driver’s license number.” As a result, defendant argued, “[b]ut for defendant’s unlawful seizure by the police, his DMV records would not have been obtained in this case, and they are therefore the fruit of the police illegality.” The People opposed the motion, first on the ground that the stop was legal; second, they took the position that, even if the stop were, in fact, illegal, a defendant’s identity is never a suppressible fruit, and, in any event, a public agency possessed the records.

On July 12, 2005, Supreme Court granted defendant’s motion for a *Huntley/Dunaway* hearing, but denied his request for a *Mapp* hearing. The judge held that “[a]n individual does not possess a legitimate expectation of privacy in files maintained by the [DMV] and such records do not constitute evidence which is subject to suppression under a *fruit of the poisonous tree* analysis.” On August 3, 2005, defendant pleaded guilty to the crime charged in exchange for five years’ probation; on September 28, 2005, Supreme Court sentenced him as promised.

Defendant appealed, claiming that because his driving record was suppressible, he was entitled to a remand for a hearing. The Appellate Division disagreed and unanimously affirmed (59 AD3d 298 [1st Dept 2009]). The court relied on the United States Supreme Court’s decision in *INS v Lopez-Mendoza* (468 US 1032, 1039 [1984]) for the proposition that the identity of a defendant is never suppressible as the fruit of an unlawful arrest. And because defendant’s identity led to the discovery of his DMV records, those records were likewise not suppressible. Finally, the Appellate Division noted that the records had been compiled independently of defendant’s arrest. A Judge of this Court granted defendant permission to appeal (12 NY3d 860 [2009]), and we now affirm.

In *INS v Lopez-Mendoza* (468 US at 1039) the Supreme Court held that the “ ‘body’ or identity of a defendant . . . in a criminal or civil proceeding is never itself suppressible as a fruit of

an unlawful arrest, even if it is conceded that an unlawful arrest, search, or interrogation occurred.” A contrary holding would “permit[] a defendant to hide who he is [and] would undermine the administration of the criminal justice system” (*United States v Farias-Gonzalez*, 556 F3d 1181, 1187 [11th Cir 2009]). Accordingly, defendant does not argue that his name or identity would be subject to suppression as a fruit of the allegedly unlawful stop. Rather, he claims that the preexisting DMV records are subject to suppression because without the alleged illegality, the police would not have learned his name and would not have been able to access these records.

Federal circuit courts addressing this issue in the context of those suspected of illegally residing in the country have held that, when the police stop or seize a defendant, learn his or her name, and use that name to check preexisting government immigration files, the records are not subject to suppression (*United States v Farias-Gonzalez*, 556 F3d at 1189; *United States v Bowley*, 435 F3d 426, 430-431 [3d Cir 2006]; *United States v Roque-Villanueva*, 175 F3d 345, 346 [5th Cir 1999]). For example, in *Hoonsilapa v Immigration & Naturalization Serv.* (575 F2d 735, 737 [9th Cir 1978]), the government sought to deport an alien after learning from his INS administrative file that he was in the country illegally. The alien moved to suppress the file, arguing that it was the “fruit” of an illegal search and arrest (*id.*). The Ninth Circuit rejected the argument, noting that the alien’s INS file was already in the possession of the government at the time of the purportedly illegal arrest and search, and that the government’s “decision to search the INS files was only the ‘product’ of the discovery of [the alien’s] identity during the illegal arrest and search” (*id.* at 738). The court emphasized that “the mere fact that Fourth Amendment illegality directs attention to a particular suspect does not require exclusion of evidence subsequently unearthed from independent sources” (*id.*).

The facts here are analogous. The officers learned defendant’s identity when they stopped his car; that knowledge permitted the police to run a computer check that led to the retrieval of defendant’s DMV records. Under the rationale of *Lopez-Mendoza* and the above federal circuit court decisions, defendant’s DMV records were therefore not suppressible as the fruit of the purportedly illegal stop. In short, “there is no sanction . . . when an illegal arrest only leads to discovery of the man’s identity and that merely leads to the official file or

other independent evidence” (*United States v Guzman-Bruno*, 27 F3d 420, 422 [9th Cir 1994] [citation and internal quotation marks omitted]).

While not forming an independent basis for this outcome, the result is further supported by the nature of the records at issue, which were public records already in the possession of authorities (*United States v Crews*, 445 US 463, 475-477 and 475 n 22 [1980 plurality op] [“(t)he exclusionary rule enjoins the Government from benefiting from evidence it has unlawfully obtained; it does not reach backward to taint information that was in official hands prior to any illegality”]; see also *Matter of Jason W.*, 272 AD2d 214 [1st Dept 2000]; *People v Bargas*, 101 AD2d 751, 752 [1st Dept 1984]).

In *People v Pleasant* (54 NY2d 972 [1981]), we applied similar principles to deny exclusion of independently-compiled information in the possession of a public agency. There, the defendant was illegally arrested in Suffolk County for weapon possession, at which time the police discovered that one of the guns recovered during the unlawful arrest had been used in a robbery in Bronx County. Suffolk County authorities conveyed this information, along with the defendant’s name and date of birth, to the Bronx police. The Bronx police then retrieved the defendant’s photograph from the Bureau of Criminal Identification and showed it to the robbery victims, who positively identified the defendant from a photographic array. After the defendant was arrested on a warrant, one of the robbery victims identified him in a lineup.

We rejected the defendant’s claim that the photographic identifications should be suppressed as the fruit of the illegal arrest, holding that “only defendant’s identity was obtained as a result of the unlawful seizure” and the photographic identifications “were not an exploitation of the antecedent illegality, as defendant’s photograph was obtained from a source independent of the unlawful arrest, and such identifications proceeded from the witnesses’ independent recollections” (*Pleasant* at 974 and n [citation omitted]). Similarly, the DMV records here were obtained by the police from a source independent of the claimed illegal stop.

As the *Farias-Gonzalez* court pointed out, the policy rationale of the exclusionary rule would not be served by its application to identity-related evidence. The social costs of excluding such evidence are great: courts and the government are entitled to

know who defendants are, since permitting defendants to hide their identity would undermine the administration of the criminal justice system and essentially allow suppression of the court's jurisdiction. On the other side of the equation, there are few deterrence benefits. The Constitution does not prohibit the government from requiring a person to identify himself to a police officer. In addition,

“even if a defendant in a criminal prosecution successfully suppresses all evidence of his identity and the charges are dropped, the Government can collect new, admissible evidence of identity and reindict him. This is so because identity-related evidence is not unique evidence that, once suppressed, cannot be obtained by other means” (*Farias-Gonzalez*, 556 F3d at 1188-1189 [citation omitted]).

As a result, “[t]he application of the exclusionary rule to identity-related evidence will have a minimal deterrence benefit, as its true effect will often be merely to postpone a criminal prosecution” (*id.* at 1189).

Nor do we believe that “[t]oday’s opinion [will] give[] law enforcement an incentive to illegally stop, detain, and search anyone for the sole purpose of discovering the person’s identity and determining if it matches any government records accessible by the police” (dissenting op at 390). Police are already deterred from conducting illegal car stops because evidence recovered in the course of an illegal stop remains subject to the exclusionary rule.

While the Supreme Court has held that fingerprint evidence—evidence the dissent describes as “paradigmatic identity evidence” (dissenting op at 389)—may be subject to the exclusionary rule (*Davis v Mississippi*, 394 US 721, 724 [1969]), *Davis*, as well as *Hayes v Florida* (470 US 811, 815 [1985]), is distinguishable from this case in two ways. First, the defendants in those cases were illegally stopped for the purpose of obtaining evidence—fingerprints—that would connect the defendants to crimes under investigation. The “identity evidence” was not preexisting. Second, the fingerprints were used, not to establish the identities of the individuals apprehended by the police and subject to the jurisdiction of the court, but to connect those individuals’ fingerprints to latent prints recovered from the crime scene. The evidence established defendants’ “identities” as the perpetrators, but not their “identities” in the sense relevant here. Our decision today would not alter the outcome of

those cases. We merely hold that a defendant may not invoke the fruit-of-the-poisonous-tree doctrine when the only link between improper police activity and the disputed evidence is that the police learned the defendant's name.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). Because I believe that Department of Motor Vehicles (DMV) records are subject to suppression if obtained by the police through the exploitation of a Fourth Amendment violation, namely an unlawful traffic stop, I respectfully dissent.

The majority has set forth a new rule, that regardless of police conduct, DMV records obtained through a police stop and inquiry of the driver are not subject to the exclusionary rule when the only link between the police conduct and the evidence is that the police learned a defendant's name (*see* majority op at 388). Further, the majority believes that DMV records are not subject to suppression since they are government records compiled independently of defendant's arrest. We disagree on both counts.

It has long been established that evidence derived from a Fourth Amendment violation must be suppressed as "fruit of the poisonous tree" if law enforcement "exploited or benefited from its illegal conduct" such that "there is a connection between the violation of a constitutional right and the derivative evidence" (*People v Jones*, 2 NY3d 235, 242 [2004] [citations omitted]). We have never before excluded any category of evidence from this rule. Fruit of the poisonous tree may be anything "of evidentiary value" (*Davis v Mississippi*, 394 US 721, 724 [1969], quoting *Bynum v United States*, 262 F2d 465, 467 [DC Cir 1958]), including fingerprints (*id.*), photographs (*United States v Crews*, 445 US 463, 472 [1980]), and identifications (*People v Gethers*, 86 NY2d 159, 162 [1995]).

The majority relies heavily on a misreading of *INS v Lopez-Mendoza* (468 US 1032 [1984]). In that case, the United States Supreme Court reviewed two civil deportation proceedings that resulted from illegal police conduct. In the first case, Adan Lopez-Mendoza raised a jurisdictional issue, that he had been summoned to the deportation proceeding as a result of an unlawful arrest. He did not challenge the admissibility of the evidence proffered against him. In the companion case, Elias Sandoval-Sanchez challenged the introduction of illegally

obtained evidence in his deportation proceeding. With respect to Lopez-Mendoza's claim, the Court wrote that "[t]he 'body' or identity of a defendant or respondent in a criminal or civil proceeding is never itself suppressible as a fruit of an unlawful arrest" (*id.* at 1039). The Fourth, Eighth, and Tenth Circuits read this language as referring only to the court's personal jurisdiction over Lopez-Mendoza, not admissibility of identity evidence (see *United States v Oscar-Torres*, 507 F3d 224, 227-230 [4th Cir 2007]; *United States v Olivares-Rangel*, 458 F3d 1104, 1111-1112 [10th Cir 2006]; *United States v Guevara-Martinez*, 262 F3d 751, 753-755 [8th Cir 2001]). I agree with these courts.

There are several reasons why this reading of *Lopez-Mendoza* is more persuasive than the reading given by the majority. Most importantly, the authority cited for the proposition that a defendant's identity cannot be suppressed refers to an older rule, undisputed here, that the identity of a defendant is never suppressible so as to defeat a court's jurisdiction over that defendant (*Lopez-Mendoza*, 468 US at 1039-1040, citing *Gerstein v Pugh*, 420 US 103, 119 [1975] and *Frisbie v Collins*, 342 US 519, 522 [1952]). As such, the *Lopez-Mendoza* language at issue is found in the section of the opinion addressing Lopez-Mendoza's jurisdictional claim. The Court later addressed Sandoval-Sanchez's claim that the specific identity evidence against him should be suppressed. Rather than applying any "identity rule," as it had when addressing Lopez-Mendoza's jurisdictional claim, the Court held that the exclusionary rule did not extend to deportation proceedings—purely civil proceedings determining a person's eligibility to stay in this country.

I agree with the majority that a defendant's identity cannot be suppressed to defeat the personal jurisdiction of a court. However, identity-related evidence can and should be subject to the exclusionary rule. Indeed, the United States Supreme Court has twice found that fingerprints—paradigmatic identity evidence—are suppressible under the exclusionary rule (*Davis*, 394 US at 724; *Hayes v Florida*, 470 US 811, 815 [1985]). In *Davis*, the Court held that because "[f]ingerprint evidence is no exception" to the exclusionary rule, defendant's illegally obtained fingerprints that matched the perpetrator's fingerprints on file should have been suppressed (394 US at 724). The Court reaffirmed *Davis* in *Hayes* and found that a defendant's fingerprints taken for an investigative purpose in the course of an unlawful detention were inadmissible fruit of that detention (470 US at 816).

Certainly the deterrent purpose of the exclusionary rule should be applicable to identity-related evidence. The majority's "broad[] reading of *Lopez-Mendoza* [gives] the police carte blanche powers to engage in any manner of unconstitutional conduct so long as their purpose [is] limited to establishing a defendant's identity" (*Olivares-Rangel*, 458 F3d at 1111). Today's opinion gives law enforcement an incentive to illegally stop, detain, and search anyone for the sole purpose of discovering the person's identity and determining if it matches any government records accessible by the police. Permitting law enforcement to exploit a Fourth Amendment violation that produces identity or identity-related evidence misses the point; what matters is the legality of the police conduct, not the type of evidence obtained.

Of course, this does not mean that identity-related evidence will necessarily be excluded, even if it is the product of an unlawful stop, but merely that it is subject to the same rules as other evidence. It may indeed be admissible, along with other evidence secured as a result of acquiring defendant's pedigree information, if there is an independent source, discovery was inevitable, or the evidence is attenuated from the illegality (*Gethers*, 86 NY2d at 162). If none of these exceptions apply, the records obtained as a result of identity information acquired during an illegal stop are suppressible. Here, however, because Supreme Court made no determination regarding the legality of the stop, we are in no position to determine whether the proffered evidence should be suppressed.

The majority's second argument—that the DMV records are not subject to the exclusionary rule because they were compiled by a state agency independent of any illegality—ignores that the police located these specific records only by relying on identifying information that may have been the product of an illegal stop. Contrary to the majority's opinion, our holding in *People v Pleasant* (54 NY2d 972, 974 [1981]) does not suggest that evidence in possession of a government agency is immune from the exclusionary rule's constraints. In fact, *Pleasant* was entirely premised on the identification at issue being " 'sufficiently distinguishable to be purged of the primary taint' " (*id.*, quoting *Wong Sun v United States*, 371 US 471, 488 [1963] [some internal quotation marks omitted]). In other words, far from holding that identity-related evidence was not subject to suppression, *Pleasant* actually applied the *Wong Sun* analysis and found the evidence at issue to be sufficiently attenuated so

as to be admissible. A similar analysis should have been conducted here.

Nor should it matter that the records were public. Defendant here need not establish a legitimate expectation of privacy in the evidence he seeks to suppress, but only that police discovery of the evidence was the product of a Fourth Amendment violation (*see* Kamins, New York Search and Seizure § 1.01 [5] [a], at 1-22 [2009] [compiling lower court decisions that defendant need not have a “reasonable expectation of privacy in the fruit itself”]). Supreme Court below therefore should have considered “whether exploitation of an illegal search and seizure produced the critical link between a defendant’s identity and his [government agency] record[s]” (*Olivares-Rangel*, 458 F3d at 1120).

In short, if these DMV records were discovered as a result of an allegedly unlawful stop, they should be subject to suppression as fruit of that illegality. I would reverse the order of the Appellate Division and remit to Supreme Court for a *Mapp*/*Dunaway* hearing.

Judges GRAFFEO, SMITH, PIGOTT and JONES concur with Judge READ; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

[927 NE2d 547, 901 NYS2d 127]

LUKE ANTHONY TRUPIA, an Infant, by His Parent and Guardian,
LAWRENCE C. TRUPIA, et al., Respondents, v LAKE GEORGE
CENTRAL SCHOOL DISTRICT et al., Appellants.

Argued February 18, 2010; decided April 6, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered March 5, 2009. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Warren County (David B. Krogmann, J.), which had granted defendants' motion for leave to amend their answer. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in reversing, on the law, the order of the Supreme Court by denying defendants' motion for leave to amend their answer to include the affirmative defense of primary assumption of risk?"

Trupia v Lake George Cent. School Dist., 62 AD3d 67, affirmed.

HEADNOTE

Negligence — Assumption of Risk — Applicability to Student Injured at School while Sliding Down Bannister

In a negligence action to recover damages for injuries the infant plaintiff sustained when he slid down and fell from a bannister while attending a summer program administered by defendants on their school premises, defendants were not entitled to assert an assumption of risk affirmative defense. The doctrine of assumption of risk, which does not sit comfortably with comparative causation, is justified for its utility in facilitating free and vigorous participation in athletic activities. It has not been applied outside the limited context of athletic and recreative activities, and its application must be closely circumscribed if it is not seriously to undermine and displace the principles of comparative causation. No suitably compelling policy justification has been advanced to permit an assertion of assumption of risk in the circumstances here, where the injury-producing activity, referred to by the parties as "horseplay," is not one that recommends itself as worthy of protection, particularly not in its "free and vigorous" incarnation. Moreover, there was no nexus between the activity and defendants' auspices, except perhaps negligence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Negligence §§ 759, 760, 765, 773, 775, 785, 790,
954, 1002–1011, 1018, 1019.

Opinion by Chief Judge LIPPMAN

NY JUR 2d, Negligence §§ 85, 91, 123, 129–133.

PROSSER AND KEETON, TORTS (5th ed) §§ 67, 68.

ANNOTATION REFERENCE

Effect of adoption of comparative negligence rules on assumption of risk. 16 ALR4th 700.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: assum! /4 risk /p slid! /5 bannister & comparative /2 fault negligence

POINTS OF COUNSEL

Bartlett, Pontiff, Stewart & Rhodes, P.C., Glens Falls (*Benjamin R. Pratt, Jr.*, and *Karla Williams Buettner* of counsel), for appellants. The Third Department improperly declined to extend primary assumption of risk to situations involving horseplay. (*Turcotte v Fell*, 68 NY2d 432; *Trevett v City of Little Falls*, 6 NY3d 884; *Morgan v State of New York*, 90 NY2d 471; *Benitez v New York City Bd. of Educ.*, 73 NY2d 650; *Lamey v Foley*, 188 AD2d 157; *Lomedico v Cassillo*, 56 AD3d 1271; *Sy v Kopet*, 18 AD3d 463; *Conway v O'Keefe*, 22 AD3d 784; *Maruchau v Suffolk County Community Coll.*, 23 AD3d 445; *Belloro v Chicoma*, 8 AD3d 598.)

Ledwith & Atkinson, Lynbrook (*Peter K. Ledwith* of counsel), for respondents. I. The principle of primary assumption of risk is a court-created exception to the comparative negligence principles found in CPLR 1411 and should be restricted to sports and recreational activities. (*Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Turcotte v Fell*, 68 NY2d 432; *Maddox v City of New York*, 66 NY2d 270; *Benitez v New York City Bd. of Educ.*, 73 NY2d 650.) II. An 11-year-old boy sliding on a banister at school has not expressly waived the duty of the school to provide adequate supervision. (*Havens v Kling*, 277 AD2d 1017; *Hochreiter v Diocese of Buffalo*, 309 AD2d 1216.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

While attending a summer program administered by defendants on their premises, the infant plaintiff, Luke Anthony Trupia, rode and ultimately fell from a bannister, injuring himself seriously. The complaint seeks to recover principally upon a theory of negligent supervision; it alleges that at the time of the

accident Luke, then not yet 12 years of age, had been left wholly unsupervised. This appeal arises from defendants' motion, granted by Supreme Court, but subsequently denied in the order we now review, to amend their answer to allege assumption of risk; defendants propose to seek dismissal of the action upon the ground that Luke may be deemed to have consented in advance to the risks involved in sliding down a bannister, among them falling from the railing, something which, evidently, had happened to him before.

The Appellate Division denied the sought amendment upon the ground that, under its cases and those of its First Department counterpart, the assumption of risk doctrine is not generally applicable in negligence actions to nullify a defendant's duty, but is appropriately interposed only to shield a defendant from exposure to liability arising from risks inhering in athletic and recreational activities (62 AD3d 67 [3d Dept 2009]). The Court did, however, note that the Second and Fourth Departments had permitted broader use of the doctrine, and presumably granted defendants leave to appeal from its unanimous decision so that the interdepartmental inconsistency over the applicability of the doctrine might be resolved. We now answer the question consequently certified to us by the Appellate Division—whether it erred “in reversing, on the law, the order of the Supreme Court by denying defendants' motion for leave to amend their answer to include the affirmative defense of primary assumption of risk?”—in the negative.

In 1975, following this Court's decision in *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]), where we held, in part, that the “[r]ight to apportionment of liability . . . as among parties involved together in causing damage by negligence, should rest on relative responsibility and . . . be determined on the facts” (*id.* at 153), the Legislature abolished contributory negligence and assumption of risk as absolute defenses and provided instead that

“[i]n any action to recover damages for personal injury, injury to property, or wrongful death, the culpable conduct attributable to the claimant or to the decedent, *including contributory negligence or assumption of risk*, shall not bar recovery, but the amount of damages otherwise recoverable shall be diminished in the proportion which the culpable conduct attributable to the claimant or decedent bears to the culpable conduct which caused the damages” (CPLR 1411 [emphasis added]).

Nonetheless, assumption of risk has survived as a bar to recovery. The theory upon which its retention has been explained and upon which it has been harmonized with the now dominant doctrine of comparative causation is that, by freely assuming a known risk, a plaintiff commensurately negates any duty on the part of the defendant to safeguard him or her from the risk (*see Turcotte v Fell*, 68 NY2d 432, 438-439 [1986]). The doctrine, then, is thought of as limiting duty through consent—indeed, it has been described a “principle of no duty” rather than an absolute defense based upon a plaintiff’s culpable conduct (*Morgan v State of New York*, 90 NY2d 471, 485 [1997] [emphasis omitted]; *accord Turcotte v Fell*, 68 NY2d at 438)—and, as thus conceptualized can, at least in theory, coexist with the comparative causation regimen. The reality, however, is that the effect of the doctrine’s application is often not different from that which would have obtained by resort to the complete defenses purportedly abandoned with the advent of comparative causation—culpable conduct on the part of a defendant causally related to a plaintiff’s harm is rendered nonactionable by reason of culpable conduct on the plaintiff’s part that does not entirely account for the complained-of harm. While it may be theoretically satisfying to view such conduct by a plaintiff as signifying consent, in most contexts this is a highly artificial construct and all that is actually involved is a result-oriented application of a complete bar to recovery. Such a renaissance of contributory negligence replete with all its common-law potency is precisely what the comparative negligence statute was enacted to avoid.

The doctrine of assumption of risk does not, and cannot, sit comfortably with comparative causation. In the end, its retention is most persuasively justified not on the ground of doctrinal or practical compatibility, but simply for its utility in “facilitat[ing] free and vigorous participation in athletic activities” (*Benitez v New York City Bd. of Educ.*, 73 NY2d 650, 657 [1989]; *Morgan*, 90 NY2d at 484; *see Turcotte*, 68 NY2d at 439). We have recognized that athletic and recreative activities possess enormous social value, even while they involve significantly heightened risks, and have employed the notion that these risks may be voluntarily assumed to preserve these beneficial pursuits as against the prohibitive liability to which they would otherwise give rise. We have not applied the doctrine outside of this limited context and it is clear that its application must be closely circumscribed if it is not seriously to undermine and displace the principles of comparative causation (*see Arbegast v Board of*

Educ. of S. New Berlin Cent. School, 65 NY2d 161, 168 [1985]) that the Legislature has deemed applicable to “any action to recover damages for personal injury, injury to property, or wrongful death” (CPLR 1411 [emphasis added]).

No suitably compelling policy justification has been advanced to permit an assertion of assumption of risk in the present circumstances. The injury-producing activity here at issue, referred to by the parties as “horseplay,” is not one that recommends itself as worthy of protection, particularly not in its “free and vigorous” incarnation, and there is, moreover, no nexus between the activity and defendants’ auspices, except perhaps negligence. This is, in short, not a case in which the defendant solely by reason of having sponsored or otherwise supported some risk-laden but socially valuable voluntary activity has been called to account in damages.*

Allowing the defense here would have particularly unfortunate consequences. Little would remain of an educational institution’s obligation adequately to supervise the children in its charge (see *Mirand v City of New York*, 84 NY2d 44, 49 [1994]) if school children could generally be deemed to have consented in advance to risks of their misconduct. Children often act impulsively or without good judgment—that is part of being a child; they do not thereby consent to assume the consequently arising dangers, and it would not be a prudent rule of law that would broadly permit the conclusion that they had done so. If the infant plaintiff’s harm is attributable in some measure to his own conduct, and not to negligence on defendants’ part, that would be appropriately taken account of within a comparative fault allocation; it is not a predicate upon which an assumption of risk should be permitted to be applied.

We do not hold that children may never assume the risks of activities, such as athletics, in which they freely and knowingly engage, either in or out of school—only that the inference of such an assumption as a ground for exculpation may not be made in their case, or for that matter where adults are concerned, except in the context of pursuits both unusually risky and beneficial that the defendant has in some nonculpable way enabled.

* This does not, of course, mean that the doctrine is applicable wherever these conditions are met; they are threshold conditions only. The doctrine’s application will also necessarily depend upon whether, under the particular circumstances, the plaintiff may be said to have freely and knowingly consented to assume the risks of a qualifying activity.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the negative.

SMITH, J. (concurring). This seems to me an extremely easy case. Assumption of risk cannot possibly be a defense here, because it is absurd to say that a 12-year-old boy “assumed the risk” that his teachers would fail to supervise him. That is a risk a great many children would happily assume, but they are not allowed to assume it for the same reason that the duty to supervise exists in the first place: Children are not mature, and it is for adults, not children, to decide how much supervision they need.

The majority makes this point, which is enough to dispose of the case, near the end of its opinion (majority op at 396 [“Little would remain of an educational institution’s obligation adequately to supervise the children in its charge . . . if school children could generally be deemed to have consented in advance to risks of their misconduct”]). The rest of the majority opinion is, in my view, an extended dictum, which seems to say that the assumption of risk defense is largely if not entirely limited to cases involving “athletic and recreative activities” (majority op at 395).

The majority’s dictum invites a number of questions that the majority makes no attempt to answer. Most obvious among them: What exactly is “athletic or recreative” activity? Indeed, why was Luke Trupia’s chosen activity—sliding down a banister—not “recreative”? He was obviously doing it for fun. The majority says that “athletic and recreative activities possess enormous social value” (majority op at 395)—a value that presumably does not inhere in banister sliding. But why exactly is sliding down a banister (supposing it to be done by an adult with a taste for such amusement) of less “social value” than sliding down a ski slope or bobsled run? And if the latter activities are more socially valuable than the former, why is the banister slider, who chose the less desirable form of amusement, in a *better* position to recover damages than the skier or bobsled-der?

Assumption of risk in tort law is a hard idea to understand, and I do not imply that the majority’s understanding of it is necessarily wrong. There may be perfectly good answers to the questions I have asked, and to the many others that could be asked about this subject. But I think it is a mistake to make

sweeping pronouncements in a case that does not require it, while ignoring the questions those sweeping pronouncements raise.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge SMITH concurs in result in a separate opinion in which Judges READ and PIGOTT concur.

Order affirmed, etc.

[927 NE2d 1056, 901 NYS2d 572]

AMERICAN STANDARD, INC., Respondent, v OAKFABCO, INC.,
Formerly Known as KEWANEE BOILER CORP., Appellant.

Argued February 16, 2010; decided April 6, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 15, 2009. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Helen E. Freedman, J.; op 26 Misc 3d 1216[A], 2008 NY Slip Op 52705[U]), which had granted plaintiff's motion for summary judgment to the extent of declaring that "in this jurisdiction, [defendant] is liable for injuries sustained as a result of tortious conduct in connection with Kewanee boilers installed prior to 1970," and granted defendant's cross motion for summary judgment declaring that, notwithstanding any assumption by defendant of the aforementioned obligations, plaintiff remained directly liable to personal injury plaintiffs for injuries caused by Kewanee boilers installed before 1970. The modification consisted of adding the words, "sold, leased or" immediately before the word "installed" in the declaration, deleting the phrase "in this jurisdiction" from the declaration, permanently enjoining defendant from relitigating its assumption of the aforementioned obligations in any forum and denying defendant's cross motion. The Appellate Division affirmed the order as modified.

American Std., Inc. v Oakfabco, Inc., 58 AD3d 485, modified.

HEADNOTES

Corporations — Liability of Successor Corporation

1. Defendant, the buyer of plaintiff's boiler business, assumed plaintiff's liabilities for tort claims with respect to boilers sold before the business was acquired, notwithstanding that the tort claimants were not injured until after the acquisition. The parties' purchase and sale agreement described the purpose of their transaction as the sale of substantially all the assets of the business "subject to all debts, liabilities, and obligations connected with or attributable to such business and operations." The term liabilities was defined as "all the debts, liabilities, obligations and commitments . . . existing and outstanding at the Closing Date." Nothing in the nature of the transaction suggested that the parties intended defendant, which got all the assets, to escape any of the related obligations. Although the parties' agreement could be interpreted to mean that a tort claim could not be "existing and outstanding" before the tort plaintiff had been injured, other language in the

agreement clearly indicated that the buyer would deal with any problems customers had after the closing date with boilers that had been installed previously. By including warranty, service, repair and return claims of this kind in the definition of liabilities, the parties demonstrated that the words “existing and outstanding” did not refer only to claims that existed on the closing date.

Injunctions — When Injunctive Relief Appropriate

2. In holding that defendant, the buyer of plaintiff’s boiler business, assumed plaintiff’s liabilities for tort claims with respect to boilers sold before the business was acquired even if the tort claimants were not injured until after the acquisition, the Appellate Division erred in enjoining defendant from ever relitigating the issue. Generally, parties are allowed to take any position they like in litigation, as long as they can make a good faith argument for it. Notwithstanding that defendant may be *precluded* from relitigating the issue, in the sense that any attempt to relitigate it should be rejected, defendant should not be *enjoined* from arguing otherwise.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Injunctions §§ 185, 189, 190; AM JUR 2d, Products Liability §§ 116, 117, 121, 122.

CARMODY-WAIT 2d, Injunctions §§ 78:217, 78:221.

NY JUR 2d, Business Relationships §§ 1299, 1312; NY JUR 2d, Injunctions §§ 2, 117; NY JUR 2d, Products Liability §§ 18, 198.

SIEGEL, NY PRAC § 328.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, § 5:16.

ANNOTATION REFERENCE

Products liability: liability of successor corporation for injury or damage caused by product issued by predecessor. 66 ALR3d 824.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: buyer purchaser /s business corporation /s assum!
/5 liab! & existing outstanding

POINTS OF COUNSEL

Landman Corsi Ballaine & Ford P.C., New York City (William G. Ballaine, Michael L. Gioia and Jason C. Astle of counsel), for appellant. I. The Appellate Division erred by declaring that OakFabco, Inc. assumed liability to all tort plaintiffs injured by Kewanee Boiler Corp. boilers sold, leased or installed before 1970. (*Grant-Howard Assoc. v General Housewares Corp.*, 63 NY2d 291; *East Prairie R-2 School Dist. v U.S. Gypsum Co.*, 813 F Supp 1396; *Breed v Insurance Co. of N. Am.*, 46 NY2d

351; *Matter of Covert*, 97 NY2d 68; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Burns Intl. Sec. Servs. v International House*, 125 AD2d 239; *NFL Enters. LLC v Comcast Cable Communications, LLC*, 51 AD3d 52; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342.) II. The Appellate Division erred by granting injunctive relief. (*Kane v Walsh*, 295 NY 198; *Thomas v Musical Mut. Protective Union*, 121 NY 45; *Matter of Gerges v Koch*, 62 NY2d 84; *Borenstein v Rochel Props.*, 176 AD2d 171.)

McGuire Woods LLP, New York City (Yvette Harmon, Marshall Beil and Sarah Schaeffer-Roth of counsel), and *McGuire Woods LLP*, Charlottesville, Virginia (Meghan M. Cloud of counsel), for respondent. I. The courts below properly interpreted the 1970 agreement; *Grant-Howard Assoc. v General Housewares Corp.* (63 NY2d 291 [1984]) is not to the contrary. (*Schumacher v Richards Shear Co.*, 59 NY2d 239; *Slatt v Slatt*, 64 NY2d 966; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Laba v Carey*, 29 NY2d 302; *Levine v Shell Oil Co.*, 28 NY2d 205; *Bailey v Fish & Neave*, 8 NY3d 523; *Israel v Chabra*, 12 NY3d 158; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Brady v Williams Capital Group, L.P.*, 64 AD3d 127; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286.) II. The doctrines of res judicata, collateral estoppel and judicial estoppel preclude OakFabco, Inc. from denying its assumption of pre-1970 liabilities. (*O'Brien v City of Syracuse*, 54 NY2d 353; *Ripley v Storer*, 309 NY 506; *Matter of Hunter*, 4 NY3d 260; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Statter v Statter*, 2 NY2d 668; *Chisholm-Ryder Co. v Sommer & Sommer*, 78 AD2d 143; *Gilberg v Barbieri*, 53 NY2d 285; *Tedesco v Tedesco*, 64 AD3d 583; *Karasik v Bird*, 104 AD2d 758; *Matter of Luna v Dobson*, 97 NY2d 178.) III. Injunctive relief is appropriate and necessary. (*Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Koob v IDS Fin. Servs.*, 213 AD2d 26; *Marine Midland Bank v United Mo. Bank*, 223 AD2d 119; *Grant-Howard Assoc. v General Housewares Corp.*, 63 NY2d 291.)

OPINION OF THE COURT

SMITH, J.

The issue here is whether the buyer of a boiler business assumed the seller's liabilities for tort claims based on boilers sold before the business was acquired, where the tort claimants were not injured until after the acquisition. We hold that the language

of the parties' agreement, read in context, shows that the buyer did assume those liabilities.

I

In 1970, American Standard, Inc. sold its Kewanee Boiler division to Kewanee Boiler Corp., now known as OakFabco, Inc. (OakFabco). The parties entered an asset purchase and sale agreement which described the purpose of the transaction in the following words:

“Seller desires to sell, and Buyer desires to purchase, substantially all the assets of Seller, real and personal, tangible and intangible belonging to it, which are used in connection with Seller’s [Kewanee Boiler] business and operations . . . subject to all debts, liabilities, and obligations connected with or attributable to such business and operations.”

The agreement said that OakFabco would purchase “Kewanee Assets” subject to “Kewanee Liabilities.” The term “Kewanee Liabilities” was defined as “all the debts, liabilities, obligations and commitments (fixed or contingent) connected with or attributable to Kewanee existing and outstanding at the Closing Date.”

The boilers manufactured by Kewanee had been insulated with asbestos, and as a result many tort claims were brought in the years and decades following the purchase of the business. Some of those claims were brought by plaintiffs who had suffered injuries after the closing of the transaction, allegedly attributable to boilers manufactured and sold before the closing. In this declaratory judgment action brought by American Standard against OakFabco, the issue is whether liabilities for such injuries were among the “Kewanee Liabilities” that OakFabco assumed.

On cross motions for summary judgment, Supreme Court held that these liabilities were assumed by OakFabco, and entered a declaratory judgment accordingly (*American Std., Inc. v Oakfabco, Inc.*, 26 Misc 3d 1216[A], 2008 NY Slip Op 52705[U]). The Appellate Division affirmed Supreme Court’s declaration with minor changes, and also granted American Standard’s request “to permanently enjoin [OakFabco] from re-litigating its assumption of the aforementioned obligations in any forum” (*American Std., Inc. v Oakfabco, Inc.*, 58 AD3d 485, 486 [1st Dept 2009]). We granted leave to appeal (12 NY3d 712

[2009]), and now affirm the Appellate Division's declaration, but modify its order by vacating the injunction.

II

[1] American Standard's position—that OakFabco assumed all tort liabilities arising out of boilers manufactured by the Kewanee Boiler division, whether the injury was suffered before or after American Standard sold the division—is strongly supported by the purpose of the transaction, as described in the agreement itself: It was a purchase and sale of substantially all the assets of the Kewanee Boiler business “subject to all debts, liabilities, and obligations connected with or attributable to such business and operations.” Nothing in the nature of the transaction suggests that the parties intended OakFabco, which got all the assets, to escape any of the related obligations.

OakFabco, however, argues that the definition of “Kewanee Liabilities”—the liabilities OakFabco assumed—is less broad than the purpose of the transaction would imply. It stresses the words “existing and outstanding” in the definition—“all the debts, liabilities, obligations and commitments . . . *existing and outstanding* at the Closing Date” (emphasis added). According to OakFabco, a tort claim cannot be “existing and outstanding” before the tort plaintiff has been injured, because until then it is not possible for a tort lawsuit to be brought.

If the words “liabilities . . . existing and outstanding” were read in isolation, OakFabco's interpretation of them would be plausible. Indeed, we adopted a similar interpretation of similar language, “liabilities . . . which exist at the Closing Date,” in *Grant-Howard Assoc. v General Housewares Corp.* (63 NY2d 291, 295 [1984]). But the transaction at issue in *Grant-Howard* was of a different kind from the one we are now considering.

The defendant in *Grant-Howard*, General Housewares Corporation, had entered into a “Reorganization Agreement” with Holt Howard Associates, Inc. by which General Housewares bought substantially all of Holt Howard's assets, but carefully limited its assumption of liabilities. The agreement provided that General Housewares would not “be liable for any damages, claims, losses, liabilities or expenses . . . with respect to any liabilities, obligations or other commitments not assumed” (*id.*). By contrast, the agreement in this case shows that OakFabco simply took over all of American

Standard's Kewanee Boiler business; nothing in the purchase and sale agreement suggests an intention to leave any obligations related to that business behind.

That there was no such intention is made clear by a clause in the agreement relating to certain obligations owed to the boiler division's customers. The agreement said that the buyer would deliver at the closing:

"An executed undertaking wherein the Buyer will assume and agree to pay, and defend and hold Seller harmless against, all Kewanee Liabilities, including, by way of specification but not limitation, the following: . . .

"(iii) warranty, service, repair and return obligations of Kewanee and other claims and complaints arising out of or in connection with any products manufactured, sold, leased or installed by Kewanee on or prior to the Closing Date"

This language clearly meant that the buyer would deal with any problems customers had after the closing date with boilers that had been installed previously. It would have been absurd for OakFabco to tell a customer whose boiler failed after the closing that, since the customer's claim was not "existing and outstanding" on the closing date, it was not OakFabco's problem. By including warranty, service, repair and return claims of this kind in the definition of "Kewanee Liabilities," the parties demonstrated that they were not reading the words "existing and outstanding" as OakFabco would have us read them.

[2] We therefore agree with the Appellate Division that the liabilities assumed by OakFabco include claims brought by tort claimants injured after the closing date by boilers installed before that date. The Appellate Division erred, however, in enjoining OakFabco from ever relitigating this issue. As a general rule, parties are allowed to take any position they like in litigation, as long as they can make a good faith argument for it, and we see no reason to make an exception to that rule here. It may well be that our decision today will *preclude* OakFabco from relitigating the issue we decide, in the sense that any attempt to relitigate it should be rejected; but OakFabco should not be *enjoined* from arguing otherwise.

Accordingly, the order of the Appellate Division should be modified by vacating the award of injunctive relief and as so modified affirmed, without costs.

AMERICAN STD v OAKFABCO, INC [14 NY3d 399] 405

Opinion by SMITH, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
PIGOTT and JONES concur.

Order modified, etc.

[927 NE2d 1053, 901 NYS2d 569]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AVERY
PETTIGREW, Appellant.

Argued February 18, 2010; decided April 6, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 19, 2009. The Appellate Division affirmed an order of the Supreme Court, New York County (Carol Berkman, J.), which had adjudicated defendant a level three sex offender under the Sex Offender Registration Act.

People v Pettigrew, 59 AD3d 276, affirmed.

HEADNOTE

**Crimes — Sex Offenders — Sex Offender Registration Act — What
Constitutes Dangerous Instrument under “Use of Violence” Risk
Factor**

In a proceeding to determine defendant’s risk level classification under the Sex Offender Registration Act (SORA), the People proved by clear and convincing evidence that defendant was armed with a dangerous instrument during the commission of the crime, warranting assessment of 30 points under risk factor 1. Defendant had displayed a gun to his victim before he raped her, told her “[i]f I can’t have you, no one will” and afterwards threatened to shoot her if she told anyone. Under the Risk Assessment Guidelines and Commentary, a “[d]angerous instrument means ‘any instrument, article or substance, which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury’ ” (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary, at 8 [2006], quoting Penal Law § 10.00 [13]). Defendant’s display of the gun to the victim and threat to shoot her constituted clear and convincing evidence that the gun was a dangerous instrument. The People were not required to prove that the gun was loaded and operable.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons § 126.

NY JUR 2d, Penal and Correctional Institutions §§ 316–319.

ANNOTATION REFERENCE

See ALR Index under Sex Offender Registration and Notification.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sora & dangerous /2 instrument & risk /2 assessment & gun /s loaded

POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (Nancy E. Little and Steven Banks of counsel), for appellant. Where the People failed to prove that appellant was armed with a dangerous instrument, as defined in the Sex Offender Registration Act Guidelines, and the hearing court not only failed to apply that definition but also shifted the burden of proof to appellant, the court erred in assigning appellant 30 points under factor 1 on the Risk Assessment Instrument and in adjudicating him a level three risk. (*People v David W.*, 95 NY2d 130; *Doe v Pataki*, 3 F Supp 2d 456; *Doe v Department of Pub. Safety ex rel. Lee*, 271 F3d 38; *Matter of VanDover v Czajka*, 276 AD2d 945; *E.B. v Verniero*, 119 F3d 1077; *Solomon v State of New York*, 146 AD2d 439; *Rossi v Hartford Fire Ins. Co.*, 103 AD2d 771; *Krol v Eckman*, 256 AD2d 945; *Matter of Storar*, 52 NY2d 363; *People v Hilton*, 145 AD2d 352.)

Cyrus R. Vance, Jr., District Attorney, New York City (Mary C. Farrington and Patrick J. Hynes of counsel), for respondent. Defendant was correctly assessed 30 points for being armed with a dangerous instrument. (*People v Windham*, 10 NY3d 801; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Doe v Pataki*, 120 F3d 1263; *People v Buss*, 11 NY3d 553; *People v Stevens*, 91 NY2d 270; *People v Mingo*, 12 NY3d 563; *People v Carter*, 53 NY2d 113; *People v Smith*, 11 NY3d 797; *Addington v Texas*, 441 US 418; *People v Geraci*, 85 NY2d 359.)

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether the People proved by clear and convincing evidence that defendant was armed with a dangerous instrument for the purposes of classifying him a level three sex offender under the Sex Offender Registration Act (SORA). We hold that defendant's display of a gun to the victim and its threatened use constitute clear and convincing evidence that he was armed with a dangerous instrument during the commission of the crime in the context of a SORA hearing.

In 2003, defendant Avery Pettigrew pleaded guilty to rape in the first degree based on an incident earlier that year in which he forcibly raped a 16-year-old girl, and was sentenced to a term

of five years' incarceration followed by five years' postrelease supervision. In April 2007, prior to defendant's conditional release, a SORA proceeding was conducted for the purpose of determining his risk level. The Risk Assessment Instrument (RAI) prepared for the hearing assessed defendant 120 points, designating him a presumptive level three sex offender. The Board of Examiners also prepared a case summary prior to the SORA hearing. According to this case summary, while in pursuit of the victim, defendant said to her "[i]f I can't have you, no one will." He followed her into the stairwell of her apartment building and choked her. Then, defendant showed the victim a gun sticking out of his waistband, tore her pants down and raped her. Afterwards, defendant informed the victim that he would shoot her if she told anyone.

At the SORA hearing, defendant disputed the 30 points the Board of Examiners of Sex Offenders assessed under factor 1 for having been armed with a dangerous instrument. Defendant specifically argued that the People failed to prove by clear and convincing evidence that the gun he possessed during the rape was loaded and operable, proof that some appellate courts have required in first degree robbery cases based on a "use or the threatened use of a dangerous instrument" theory. Supreme Court rejected defendant's argument, adopted the Board's findings, and adjudicated defendant a level three offender. The Appellate Division unanimously affirmed (*People v Pettigrew*, 59 AD3d 276 [2009]). We now affirm.

A SORA proceeding, which is civil in nature, determines the risk of reoffense by a person convicted of a qualifying sex offense and requires that individual to register with law enforcement officials according to that risk level (*see People v Mingo*, 12 NY3d 563, 570-571 [2009]). The People "bear the burden of proving the facts supporting the determinations" by clear and convincing evidence (Correction Law § 168-n [3]). According to the Board of Examiners of Sex Offenders, points in the RAI "should not be assessed for a factor . . . unless there is clear and convincing evidence of the existence of that factor" (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary, ¶ 7, at 5 [2006]).¹ Indeed, we held that the RAI case summaries, such as the one prepared by the Board of Examiners of Sex Offenders in this case, "meet the 'reliable hearsay'

1. "This evidence can be derived from the sex offender's admissions; the victim's statements; . . . or from any other reliable source" (*id.*).

standard for admissibility at SORA proceedings” (*Mingo*, 12 NY3d at 573). The risk level suggested by the RAI, however, is merely presumptive, and the assigning of a risk level is within the sound discretion of the SORA court (*see* Correction Law § 168-n [3]).

Here, the People proved by clear and convincing evidence that defendant was armed with a dangerous instrument during the commission of the offense. A “[d]angerous instrument means ‘any instrument, article or substance, which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury’ ” (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary, at 8 [2006], quoting Penal Law § 10.00 [13]). Defendant’s display of the gun to the victim and threat to shoot her constitute clear and convincing evidence that the gun was a dangerous instrument (*see People v Dodt*, 61 NY2d 408, 415 [1984] [“a threat to use a gun . . . can only be understood as a threat that the weapon is operable”]; *see also People v Walker*, 15 AD3d 692, 692 [3d Dept 2005] [pulling out a gun and placing it to the victim’s head was clear and convincing evidence under the RAI and SORA Guidelines that the defendant was armed with a dangerous instrument]). We therefore reject defendant’s assertion that points should not be assessed under this SORA factor absent evidence that the gun was loaded and operable.² Thus, viewing the record as a whole, the People have met their burden that defendant was armed with a dangerous instrument.

Accordingly, the order should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, without costs.

2. Indeed, if defendant “used, threatened to use or attempted to use” the gun as a bludgeon, it clearly would qualify as a dangerous instrument (*see McLaughlin v United States*, 476 US 16, 18 [1986]; *see also People v Colavito*, 126 AD2d 554 [2d Dept 1987]).

[927 NE2d 1059, 901 NYS2d 575]

PORTFOLIO RECOVERY ASSOCIATES, LLC, Respondent, v JARED KING, Appellant.

Argued March 23, 2010; decided April 29, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 23, 2008. The Appellate Division affirmed an order of the Supreme Court, Greene County (George J. Pulver, Jr., J.), which had granted plaintiff's motion for summary judgment to the extent of directing the clerk to enter judgment against defendant in favor of plaintiff in the amount of \$8,517.77.

Portfolio Recovery Assoc., LLC v King, 55 AD3d 1074, reversed.

HEADNOTES**Conflict of Laws — What Law Governs — Choice of Law**

1. The Delaware choice of law clause in defendant's credit card agreement with plaintiff's assignor did not require the application of the Delaware statute of limitations to bar plaintiff's claims for breach of contract and account stated. Choice of law provisions typically apply to only substantive issues, and statutes of limitations are considered "procedural" because they are deemed as pertaining to the remedy rather than the right. There being no express intention in the agreement that Delaware's statute of limitations was to apply to the parties' dispute, the choice of law provision could not be read to encompass that limitations period.

Limitation of Actions — What Statute Governs — "Borrowing Statute"

2. In an action to recover the balance due on a credit card issued to defendant by plaintiff's assignor, a Delaware corporation, it was necessary to apply CPLR 202, New York's "borrowing statute," to plaintiff's claims for breach of contract and account stated to determine whether they were timely brought. The contract causes of action accrued in Delaware, the place where plaintiff's assignor sustained the economic injury when defendant allegedly breached the contract. As plaintiff's assignor was a nonresident and the causes of action accrued outside of New York, CPLR 202 required the causes of action to be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued. Accordingly, Delaware's three-year statute of limitations for breach of a credit contract governed. In determining whether the action, commenced more than three years after the alleged breach, would be barred in Delaware, it was necessary to "borrow" Delaware's tolling statute to determine whether plaintiff would have had the benefit of additional time to bring the action. The tolling provision, however, was meant to apply only in a circumstance where the defendant had a prior connection to Delaware. As there was no indication here that defendant ever resided in

Delaware, nor any indication from the case law that Delaware intended for its tolling provision to apply to a nonresident like defendant, Delaware's tolling provision did not extend the three-year statute of limitations and plaintiff's action was time-barred.

Appeal — Court of Appeals — No Award of Summary Judgment in Absence of Cross Motion

3. The Court of Appeals, having reversed the Appellate Division order affirming the award of summary judgment to plaintiff, was not empowered to grant summary judgment to defendant in the absence of a cross motion by defendant for such relief. Only plaintiff sought summary judgment below.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 649; AM JUR 2d, Conflict of Laws §§ 78, 82, 135, 136; AM JUR 2d, Credit Cards and Charge Accounts § 46; AM JUR 2d, Limitation of Actions §§ 22, 99–103, 108–110, 116, 117; AM JUR 2d, Summary Judgment § 62.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:41–13:45; CARMODY-WAIT 2d, Summary Judgment § 39:169; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:102.

McKINNEY's, CPLR 202.

NY JUR 2d, Appellate Review §§ 785, 788, 789, 820; NY JUR 2d, Conflict of Laws §§ 6, 32–36, 67; NY JUR 2d, Limitations and Laches §§ 108–112.

SIEGEL, NY PRAC §§ 57, 278, 543.

ANNOTATION REFERENCE

Choice of law as to applicable statute of limitations in contract actions. 78 ALR3d 639.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: choice /3 law /p statute /3 limitation /s procedural & credit /2 card /p agreement

POINTS OF COUNSEL

Jared King, appellant pro se. I. Plaintiff lacks standing to sue. (*New York State Assn. of Nurse Anesthetists v Novello*, 301 AD2d 895; *Rockland Lease Funding Corp. v Waste Mgt. of N.Y.*, 245 AD2d 779; *People v Foster*, 27 NY2d 47; *Cornier v Spagna*, 101 AD2d 141; *Palmer v Hoffman*, 318 US 109; *Toll v State of New York*, 32 AD2d 47.) II. The statute of limitations bars suit. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *In re Povill*,

105 F2d 157; *Curtiss-Wright Corp. v Intercontinent Corp.*, 277 App Div 13; *Pickett v Leonard*, 34 NY 175; *Brooklyn Bank v Barnaby*, 197 NY 210; *Hoover v Hubbard*, 202 NY 289; *Roth v Michelson*, 55 NY2d 278; *Education Resources Inst., Inc. v Piazza*, 17 AD3d 513.) III. There is a lack of factual basis to grant summary judgment. (*Marshall, Bratter, Greene, Allison & Tucker v Mechner*, 53 AD2d 537; *Brill v City of New York*, 2 NY3d 648; *New York Tel. Co. v Telesystems Corp.*, 27 AD2d 866; *Gerard v Inglese*, 11 AD2d 381; *Colombini v Westchester County Healthcare Corp.*, 24 AD3d 712; *General Inv. Co. v Interborough R.T. Co.*, 235 NY 133.) IV. The trial court and Appellate Division decisions are unconstitutional and legally insufficient. (*Matter of Stork Rest. v Boland*, 282 NY 256; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *People ex rel. Vega v Smith*, 66 NY2d 130; *Matter of Berenhaus v Ward*, 70 NY2d 436.)

Wilson Elser Moskowitz Edelman & Dicker LLP, White Plains (Robert A. Spolzino of counsel), and *Malen & Associates, PC*, Westbury (Timothy J. Murtha of counsel), for respondent. I. Respondent's action is not barred by the statute of limitations period. (*National Bank & Trust Co. of N. Am. v Banco De Vizcaya*, 72 NY2d 1005; *Islamic Republic of Iran v Pahlavi*, 62 NY2d 474; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Uniformed Firefighters Assn., Local 94, IAFF, AFL-CIO v Beekman*, 52 NY2d 463; *Central Vermont R. Co. v White*, 238 US 507; *Education Resources Inst., Inc. v Piazza*, 17 AD3d 513.) II. Respondent provided a clear chain of title and has established standing. (*New York State Assn. of Nurse Anesthetists v Novello*, 301 AD2d 895; *Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219; *Johnson v Lutz*, 253 NY 124; *Chase Manhattan Bank [N.A.], Bank Americard Div. v Hobbs*, 94 Misc 2d 780; *Imbrie v Schlicht Combustion Process Co.*, 130 App Div 675; *Romano v St. Vincent's Med. Ctr. of Richmond*, 178 AD2d 467; *Tessier v New York City Health & Hosps. Corp.*, 177 AD2d 626.) III. The trial judge correctly granted summary judgment, where appellant admitted he defaulted on a revolving credit agreement and respondent provided sufficient evidence to award summary judgment. (*G.W. White & Son v Gosier*, 219 AD2d 866; *Fink, Weinberger, Fredman, Berman & Lowell v Petrides*, 80 AD2d 781; *Shea & Gould v Burr*, 194 AD2d 369; *Feder v Fortunoff, Inc.*, 123 Misc 2d 857; *Foley v Roche*, 68 AD2d 558; *Barclays Bank of N.Y. v Sokol*, 128 AD2d 492.) IV. The Supreme Court and Appellate Division decisions were legally sufficient. (*Kolmer-Marcus, Inc. v Winer*, 32

AD2d 763, 26 NY2d 795; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Lefcourt v Sea Crest Hotel & Motor Inn*, 54 Misc 2d 376; *Men's World Outlet v Steinberg*, 101 AD2d 854; *People v Lynch*, 195 Misc 2d 814; *Matter of Mayer v National Arts Club*, 192 AD2d 863.)

Lincoln Square Legal Services, Inc., New York City (Marcella Silverman and Elizabeth Maresca of counsel), for CAMBA Legal Services, Inc., and others, amici curiae. The Third Department's failure to apply CPLR 202 to determine this action's timeliness is inconsistent with this Court's well-settled precedent. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Education Resources Inst., Inc. v Piazza*, 17 AD3d 513; *Gorlin v Bond Richman & Co.*, 706 F Supp 236; *Brinckerhoff v JAC Holding Corp.*, 263 AD2d 352; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *TPZ Corp. v Dabbs*, 25 AD3d 787; *Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219; *JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373.)

Janet Ray Kalson, New York City, Gina Calabrese, Carolyn E. Coffey, Anamaria Segura, Claudia Wilner and Marla Tepper, General Counsel, New York City Department of Consumer Affairs, for Association of the Bar of the City of New York and another, amici curiae. I. Summary judgment in this case was improper because the lower courts failed to apply CPLR 202 in determining whether the statute of limitations had run. (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *TPZ Corp. v Dabbs*, 25 AD3d 787; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949.) II. Even if the Court finds that CPLR 202 does not apply in this case, the Appellate Division erred in finding that plaintiff timely filed the instant action under New York's six-year statute of limitations. (*Green v Disbrow*, 79 NY 1; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Victorson v Bock Laundry Mach. Co.*, 37 NY2d 395; *Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219; *Lew Morris Demolition Co. v Board of Educ. of City of N.Y.*, 40 NY2d 516; *Education Resources Inst., Inc. v Piazza*, 17 AD3d 513; *Bank of New York—Del. v Santarelli*, 128 Misc 2d 1003; *Stewart v Stuart*, 262 AD2d 396; *Donahue-Halverson, Inc. v Wissing Constr. & Bldg. Servs. Corp.*, 95 AD2d 953.) III. Summary judgment was improper in this case because plaintiff failed to prove standing. (*Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219; *PRA III, LLC v Gonzalez*, 54 AD3d 917; *Rushmore Recoveries X, LLC v Skolnick*,

15 Misc 3d 1139[A], 2007 NY Slip Op 51041[U]; *Palisades Collection, LLC v Gonzalez*, 10 Misc 3d 1058[A], 2005 NY Slip Op 52015[U]; *MBNA Am. Bank, N.A. v Nelson*, 15 Misc 3d 1148[A], 2007 NY Slip Op 51200[U]; *TPZ Corp. v Dabbs*, 25 AD3d 787; *Copelco Capital v Packaging Plus Servs.*, 243 AD2d 534; *GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965; *Vermette v Kenworth Truck Co.*, 68 NY2d 714; *JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373.)

Michael J. Hutter, Albany, pro se, amicus curiae. I. The choice of law clause contained in the parties' agreement specifying the agreement will be governed by Delaware law does not require the application of Delaware's statute of limitations to plaintiff's claims. (*Wyatt v Fulrath*, 16 NY2d 169; *Swift & Co. v Bankers Trust Co.*, 280 NY 135; *Koob v IDS Fin. Servs.*, 213 AD2d 26; *Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *A. S. Rampell, Inc. v Hyster Co.*, 3 NY2d 369; *Cooney v Osgood Mach.*, 81 NY2d 66; *Loucks v Standard Oil Co. of N.Y.*, 224 NY 99; *Melcher v Apollo Med. Fund Mgt. L.L.C.*, 25 AD3d 482; *Education Resources Inst., Inc. v Piazza*, 17 AD3d 513; *Ground to Air Catering v Dobbs Intl. Servs.*, 285 AD2d 931.) II. CPLR 202 is applicable to this action to recover the balance due on a credit card, and its proper construction, as informed by this Court's decisions, requires the application of the pertinent Delaware statute of limitations. (*Sun Oil Co. v Wortman*, 486 US 717; *Canadian Northern R. Co. v Eggen*, 252 US 553; *Klotz v Angle*, 220 NY 347; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Miller v Brenham*, 68 NY 83; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Ledwith v Sears, Roebuck & Co.*, 231 AD2d 17; *In re Gaston & Snow*, 243 F3d 599; *Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20; *National Sur. Co. v Ruffin*, 242 NY 413.)

Susan Ann Silverstein, Washington, DC, *Julie Nepveu* and *Michael Schuster* for AARP and others, amici curiae. I. Relaxation of strict legal standards invites collection abuses. (*MBNA Am. Bank, N.A. v Nelson*, 15 Misc 3d 1148[A], 2007 NY Slip Op 51200[U]; *Smiley v Citibank [South Dakota], N. A.*, 517 US 735; *Securities & Exch. Commn. v Merchant Capital, LLC*, 483 F3d 747.) II. Collection of stale debt is fraught with problems. (*Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219.) III. Courts reject collection practices which violate basic principles of fairness and reliability. (*Citibank [S.D.], N.A. v Martin*, 11 Misc 3d 219; *McCollough v Johnson, Rodenberg & Lauinger*, 610 F Supp 2d 1247; *Joosten v Gale*, 129 AD2d 531; *PRS Assets v Rodriguez*,

12 Misc 3d 1172[A], 2006 NY Slip Op 51148[U]; *Levi v Oberlander*, 144 AD2d 546; *Garr v U.S. Healthcare, Inc.*, 22 F3d 1274; *DeVivo v Sparago*, 287 AD2d 535; *Nielsen v Dickerson*, 307 F3d 623; *West Val. Fire Dist. No. 1 v Village of Springville*, 294 AD2d 949; *Palisades Collection, LLC v Kedik*, 67 AD3d 1329.)

OPINION OF THE COURT

PIGOTT, J.

In April 1989, defendant Jared King, then a resident of Connecticut, opened a credit card account with Greenwood Trust Company, a Delaware corporation with a principal place of business in Greenwood, Delaware. The agreement contained a standard choice of law clause stating that it would be governed by the laws of Delaware. Greenwood subsequently changed its name to Discover Bank.

It is undisputed that, on January 27, 1999, King sent a letter to Discover cancelling his credit card, which he had cut in half and enclosed with the letter. King demanded that Discover advise him on how to proceed in paying the card's outstanding balance, but concededly made no payment on the account after December 1998. In August 2000, Discover transferred to plaintiff Portfolio Recovery Associates, LLC, "all right, title and interest in and to" King's outstanding account.

On April 1, 2005, nearly five years after the assignment and more than six years after the account was canceled, Portfolio commenced this action against King, now a resident of New York, asserting causes of action for breach of contract and account stated. King asserts in his answer, among other things, that upon application of CPLR 202—this State's "borrowing statute"—Portfolio's claims are time-barred. Specifically, King claims that Delaware's three-year statute of limitations for breach of a credit contract (*see* Del Code Ann, tit 10, § 8106) applies and, alternatively, Portfolio's claims are untimely under this State's six-year breach of contract limitations period (*see* CPLR 213 [2]).

Portfolio obtained summary judgment on its complaint. Supreme Court directed that judgment be entered in Portfolio's favor and the Appellate Division affirmed (55 AD3d 1074 [2008]). We now reverse.

[1, 2] The Appellate Division properly concluded that the Delaware choice of law clause did not require the application of the Delaware three-year statute of limitations to bar Portfolio's

claims. Choice of law provisions typically apply to only substantive issues (see *Tanges v Heidelberg N. Am.*, 93 NY2d 48, 53 [1999]), and statutes of limitations are considered “procedural” because they are deemed “‘as pertaining to the remedy rather than the right’” (*id.* at 54-55, quoting *Martin v Dierck Equip. Co.*, 43 NY2d 583, 588 [1978]). There being no express intention in the agreement that Delaware’s statute of limitations was to apply to this dispute, the choice of law provision cannot be read to encompass that limitations period. We conclude, however, that the Appellate Division should have applied CPLR 202 to Portfolio’s claims to determine whether they were timely brought (see e.g. *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525, 528 [1999] [“there is a significant difference between a choice-of-law question, which is a matter of common law, and (a) Statute of Limitations issue, which is governed by particular terms of the CPLR”]).

CPLR 202 provides, in relevant part, that “[a]n action based upon a cause of action accruing without the state cannot be commenced after the expiration of the time limited by the laws of either the state or the place without the state where the cause of action accrued.” Therefore, “[w]hen a nonresident sues on a cause of action accruing outside New York, CPLR 202 requires the cause of action to be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued” (*Triarc*, 93 NY2d at 528). If the claimed injury is an economic one, the cause of action typically accrues “where the plaintiff resides and sustains the economic impact of the loss” (*id.* at 529).

Portfolio, as the assignee of Discover, is not entitled to stand in a better position than that of its assignor. We must therefore first ascertain where the cause of action accrued in favor of Discover. Here, it is evident that the contract causes of action accrued in Delaware, the place where Discover sustained the economic injury in 1999 when King allegedly breached the contract. Discover is incorporated in Delaware and is not a New York resident. Therefore, the borrowing statute applies and the Delaware three-year statute of limitations governs.

That does not end the inquiry, however, because in determining whether Portfolio’s action would be barred in Delaware, this Court must “borrow” Delaware’s tolling statute to determine whether under Delaware law Portfolio would have had the benefit of additional time to bring the action (see *GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949, 951 [2007]). Delaware’s

tolling statute—Delaware Code Annotated, title 10, § 8117—provides that

“[i]f at the time when a cause of action accrues against any person, such person is out of the State, the action may be commenced, within the time limited therefor in this chapter, after such person comes into the State in such manner that by reasonable diligence, such person may be served with process. If, after a cause of action shall have accrued against any person, such person departs from and resides or remains out of the State, the time of such person’s absence until such person shall have returned into the State in the manner provided in this section, shall not be taken as any part of the time limited for the commencement of the action.”

Section 8117 was meant to apply only in a circumstance where the defendant had a prior connection to Delaware, meaning that the tolling provision envisioned that there would be some point where the defendant would return to the state or where the plaintiff could effect service on the defendant to obtain jurisdiction (*see Williams v Congregation Yetev Lev*, 2004 WL 2924490, *7, 2004 US Dist LEXIS 25432, *22 [SD NY 2004]). Indeed, Delaware’s highest court has held that the literal application of its tolling provision “would result in the abolition of the defense of statutes of limitation in actions involving non-residents” (*Hurwitch v Adams*, 52 Del 247, 252, 155 A2d 591, 594 [1959]).

There is no indication that King ever resided in Delaware, nor is there any indication from the case law that Delaware intended for its tolling provision to apply to a nonresident like King. Therefore, we conclude that Delaware’s tolling provision does not extend the three-year statute of limitations. Moreover, contrary to Portfolio’s contention, it is of no moment that Portfolio was unable to obtain personal jurisdiction over King in Delaware; this Court has held that it is not inconsistent to apply CPLR 202 in such a situation (*see Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180, 187-188 [1997]).

Applying Delaware’s three-year statute of limitations, the instant action should have been commenced not later than 2002. Because the contract claims were not brought until 2005, they are time-barred in Delaware, where the causes of action accrued, and therefore they are likewise time-barred in New York upon application of the borrowing statute. This holding is

consistent with one of the key policies underlying CPLR 202, namely, to prevent forum shopping by nonresidents attempting to take advantage of a more favorable statute of limitations in this state (see *Antone v General Motors Corp.*, *Buick Motor Div.*, 64 NY2d 20, 27-28 [1984]).

[3] As a final matter, we note that only Portfolio sought summary judgment below. Absent a cross motion for summary judgment by King, we are not empowered to now grant that relief (see *Stern v Bluestone*, 12 NY3d 873, 876 [2009]; *Falk v Chittenden*, 11 NY3d 73, 78-79 [2008]; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 110-111 [1984]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and Portfolio's motion for summary judgment should be denied.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

[928 NE2d 396, 902 NYS2d 14]

RACEPOINT PARTNERS, LLC, et al., Appellants, v JPMORGAN
CHASE BANK, N.A., Respondent.

Argued January 6, 2010; decided April 1, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 23, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had denied defendant's motion to dismiss the complaint; (2) granted the motion; and (3) dismissed the complaint.

Racepoint Partners, LLC v JPMorgan Chase Bank, N.A., 57 AD3d 378, affirmed.

HEADNOTE

Secured Transactions — Security Agreements — Breach of Indenture Agreement — Duty of Indenture Trustee to Deliver Copies of Reports Filed with Securities and Exchange Commission

Plaintiffs, the secondary holders of notes issued by a nonparty corporation under an indenture agreement with defendant bank as indenture trustee, failed to state a cause of action for breach of contract based on the now bankrupt corporation's alleged filing of false Securities and Exchange Commission (SEC) reports with defendant. The indenture agreement provided that the corporation was to file with defendant copies of all reports that it was "required to file with the SEC pursuant to Section 13 or 15 (d) of the [Securities] Exchange Act," and that failure of the corporation to do so, if not corrected within 60 days of notification by defendant, would constitute default by either party. The section of the indenture agreement requiring the filing of SEC reports was a mandated provision based on the requirements of section 314 (a) (1) of the Trust Indenture Act of 1939 (codified at 15 USC § 77nnn [a] [1]), which was intended simply to ensure that an indenture trustee was provided with up-to-date reports on a company's financial status, by requiring the company to send the trustee a copy of filed financial reports. Indenture agreements containing the required section 314 (a) delivery provisions refer to the Securities Exchange Act only to identify the types of report that should be forwarded to indenture trustees. They do not create contractual duties on the part of the trustee to assure that the information contained in any report filed is true and accurate. That is consistent with the limited, ministerial functions of indenture trustees, and with the plain language of the indenture agreement here, which stated that "[d]elivery of such reports, information and documents [filed with the SEC] to the Trustee is for informational purposes only."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Securities Regulation—Federal §§ 805, 818–821.

NY JUR 2d, Mortgages and Deeds of Trust §§ 27, 28, 31, 219.

ANNOTATION REFERENCE

See ALR Index under Mortgages; Trusts and Trustees.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: indenture /3 trustee /s duty /s contract /p report filing

POINTS OF COUNSEL

Bartlit Beck Herman Palenchar & Scott LLP (James B. Heaton, III, of the Illinois bar, admitted pro hac vice, Cindy L. Sobel and Katherine G. Minarik of counsel), *Joseph C. Smith, Jr.*, Denver, Colorado, and *Kleinberg, Kaplan, Wolff & Cohen, PC.*, New York City (*David Parker* and *Marc Rosen* of counsel), for appellants. I. The plain meaning of section 4.02 of the indenture agreement establishes that Enron did not satisfy its covenant by filing fraudulent reports. (*UnitedHealth Group Inc. v Wilmington Trust Co.*, 548 F3d 1124; *Securities & Exch. Comm. v Kalvex Inc.*, 425 F Supp 310; *Morlee Sales Corp. v Manufacturers Trust Co.*, 9 NY2d 16.) II. The plain meaning of “required to file with the SEC pursuant to section 13 or 15 (d) of the Exchange Act” is supported by the express incorporation of Trust Indenture Act § 314 (a). (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146; *Bluebird Partners, L.P. v First Fid. Bank, N.A. N.J.*, 85 F3d 970.)

Simpson Thacher & Bartlett LLP, New York City (*Thomas C. Rice*, *David J. Woll*, *Alan C. Turner*, *Janet A. Gochman* and *Devin F. Ryan* of counsel), for respondent. I. The Appellate Division correctly held that there was no default under section 4.02 of the indenture agreement. (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *UnitedHealth Group Inc. v Wilmington Trust Co.*, 538 F Supp 2d 1108; *Nichols v Nichols*, 306 NY 490; *Raner v Goldberg*, 244 NY 438; *Flagg v Yonkers Sav. & Loan Assn., FA*, 396 F3d 178; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146.) II. Separate and independent grounds exist upon which the dismissal of plaintiffs’ complaint may be affirmed. (*Sega v State of New York*, 60 NY2d 183; *Hartley v Eagle Ins. Co. of London, England*, 222 NY 178; *Putman High Yield Trust v Bank of*

N.Y., 7 AD3d 439; *Prudence-Bonds Corp. v State St. Trust Co.*, 202 F2d 555; *Elkind v Chase Natl. Bank of City of N.Y.*, 259 App Div 661; *Hazzard v Chase Natl. Bank of City of N.Y.*, 159 Misc 57, 257 App Div 950, 282 NY 652; *Taussig v Clipper Group, L.P.*, 13 AD3d 166; *Jordan Panel Sys. Corp. v Turner Constr. Co.*, 45 AD3d 165; *Elliott Assoc. v J. Henry Schroder Bank & Trust Co.*, 655 F Supp 1281, 838 F2d 66; *Midfirst Bank, SSB v C.W. Haynes & Co., Inc.*, 893 F Supp 1304.)

Pillsbury Winthrop Shaw Pittman LLP, New York City (*F. Joseph Owens, Jr., Edward Flanders* and *John E. Davis* of counsel), for American Bankers Association, amicus curiae. I. Neither section 4.02 of the indenture agreement nor Trust Indenture Act § 314 (a) imposed any obligation on Enron to comply with the Securities Exchange Act. (*Zeffiro v First Pa. Banking & Trust Co.*, 623 F2d 290; *Affiliated Computer Servs., Inc. v Wilmington Trust Co.*, 565 F3d 924; *UnitedHealth Group Inc. v Wilmington Trust Co.*, 548 F3d 1124; *Bluebird Partners, L.P. v First Fid. Bank, N.A. N.J.*, 85 F3d 970; *LNC Inv., Inc. v First Fid. Bank, N.A.*, 935 F Supp 1333; *Myer v Shields & Co.*, 25 AD2d 126; *People v Kin Kan*, 78 NY2d 54; *Sharon Steel Corp. v Chase Manhattan Bank, N.A.*, 691 F2d 1039.) II. Adopting plaintiffs-appellants' novel interpretation of Trust Indenture Act § 314 (a) would impose new duties on obligors and trustees. (*Sharon Steel Corp. v Chase Manhattan Bank, N.A.*, 691 F2d 1039.)

OPINION OF THE COURT

PIGOTT, J.

On February 7, 2001, the energy company Enron executed an indenture agreement with Chase Manhattan Bank (Chase), naming Chase as the indenture trustee for the holders of certain Enron notes. The agreement contained, in section 4.02, a standard provision setting forth a covenant by Enron

“[to] file with the Trustee [i.e. Chase], within 15 days after it files the same with the SEC [Securities and Exchange Commission], copies of its annual reports and of the information, documents and other reports . . . which the Company [i.e. Enron] is required to file with the SEC pursuant to Section 13 or 15 (d) of the [Securities] Exchange Act. Delivery of such reports, information and documents to the Trustee is for informational purposes only and the

Trustee's receipt of such shall not constitute constructive notice of any information contained therein or determinable from information contained therein, including the Issuer's compliance with any of its covenants hereunder (as to which the Trustee is entitled to rely exclusively on Officers' Certificates). The Issuer also shall comply with any other provisions of Trust Indenture Act Section 314 (a)."

The agreement also set forth various circumstances or events that would constitute default by either party, including failure by Enron to comply with this provision, if not corrected within 60 days of notification by Chase.

In December 2001, in the wake of the major accounting fraud scandal with which it has become synonymous, Enron filed for bankruptcy. Thereafter, plaintiffs Racepoint Partners, LLC, and Willow Capital-II, L.L.C., bought approximately \$1 billion of the notes from their holders. Plaintiffs, which, as secondary holders of the notes, are vested with the claims and demands of the sellers, then brought this common-law action against Chase alleging, among other things, breach of contract. Plaintiffs claim, first, that Enron defaulted under the indenture agreement and, second, that Chase had actual knowledge of this default and that its failure to notify Enron and the noteholders of the default constituted breach of the agreement.* The issue in this appeal is the allegation of contractual default by Enron in filing reports that were false.

Plaintiffs point to the fact that Enron agreed in section 4.02 to file with Chase copies of all reports that it was "required to file with the SEC pursuant to Section 13 or 15 (d) of the [Securities] Exchange Act." Section 13 of the Act requires publicly traded companies to keep records accurately reflecting their transactions and assets, and to file annual and quarterly reports with the Securities and Exchange Commission (*see* 15 USC § 78m). Plaintiffs argue that because the financial reports filed by Enron with Chase were inaccurate and did not comply with federal securities law, they were not the reports Enron was "required to file with the SEC." Plaintiffs posit that, by filing these same fraudulent reports with Chase, Enron failed to satisfy its section 4.02 covenant, and thus defaulted.

* On a similar theory, plaintiffs also allege that Chase breached its fiduciary duty to the noteholders. Plaintiffs concede that the dismissal of their breach of contract cause of action is fatal to the breach of fiduciary duty cause of action.

Chase moved to dismiss the complaint under CPLR 3211. Supreme Court denied Chase's motion. The Appellate Division reversed, granting the motion (57 AD3d 378 [2008]). We granted leave to appeal (12 NY3d 706 [2009]), and now affirm.

Section 4.02 of the indenture agreement is a mandated provision based on the requirements of section 314 (a) (1) of the Trust Indenture Act of 1939:

"Each person who, as set forth in the registration statement or application, is or is to be an obligor upon the indenture securities covered thereby shall . . .

"file with the indenture trustee copies of the annual reports and of the information, documents, and other reports (or copies of such portions of any of the foregoing as the [Securities and Exchange] Commission may by rules and regulations prescribe) which such obligor is required to file with the Commission pursuant to section 13 or section 15 (d) of the Securities Exchange Act of 1934 [15 USC § 78m or § 78o (d)]; or, if the obligor is not required to file information, documents, or reports pursuant to either of such sections, then to file with the indenture trustee and the [Securities and Exchange] Commission, in accordance with rules and regulations prescribed by the Commission, such of the supplementary and periodic information, documents, and reports which may be required pursuant to section 13 of the Securities Exchange Act of 1934 [15 USC § 78m], in respect of a security listed and registered on a national securities exchange as may be prescribed in such rules and regulations" (codified at 15 USC § 77nnn [a] [1]).

Plaintiffs concede that the parties' intent in section 4.02 may be equated with congressional intent with respect to section 314 (a) of the Trust Indenture Act of 1939. In drafting the Trust Indenture Act, Congress intended simply to ensure that an indenture trustee was provided with up-to-date reports on a company's financial status, by requiring the company to send the trustee a copy of filed financial reports. In the 1930s, when section 314 (a) was drafted, computer-based technologies, whereby copies of SEC reports can now be obtained, did not exist.

The legislative history of section 314 (a) suggests that Congress intended to create a delivery requirement and no

more. The 1939 House Report highlighted the legislators' concern that trustees and bondholders at the time did not receive periodic reports from companies issuing bonds.

“In a substantial portion of the indentures . . . the issuer was under no obligation to file an annual report with the indenture trustee. None of the indentures . . . required the transmission to the bondholders of periodic reports, such as stockholders customarily receive. None of them established machinery for the transmission of such reports . . .” (HR Rep 1016, 76th Cong, 1st Sess, at 35 [1939].)

It is apparent that section 314 (a) was designed to mandate such a mechanism of delivery of reports to indenture trustees. The same House Report, observing that in many cases a company “will already be required to file periodic reports with the [Securities and Exchange] Commission under section 13 or section 15 (d),” stated that the bill under consideration “merely requires that copies of such reports . . . be filed with the indenture trustee” (HR Rep 1016, 76th Cong, 1st Sess, at 35).

As federal courts have observed, when considering indenture agreement provisions very similar to the one at issue here,

“the provision merely requires the company to transmit to the trustee copies of whatever reports it *actually* files with the SEC . . .

“[A]ny duty actually to file the reports is imposed ‘pursuant to Section 13 or 15 (d) of the Exchange Act’ and *not* pursuant to the indenture itself. The provision does not incorporate the Exchange Act; it merely refers to it in order to establish which reports must be forwarded. . . .

“[It] impose[s] nothing more than the ministerial duty to forward copies of certain reports, identified by reference to the Exchange Act, within fifteen days of actually filing the reports with the SEC” (*UnitedHealth Group Inc. v Wilmington Trust Co.*, 548 F3d 1124, 1128-1130 [8th Cir 2008]; *see also e.g. Affiliated Computer Servs., Inc. v Wilmington Trust Co.*, 565 F3d 924, 930-931 [5th Cir 2009]; *American Stock Transfer & Trust Co. v Par Pharm. Cos., Inc.*, 2009 WL 1754473, *4-5, 2009 US Dist LEXIS 52602, *10-13 [SD NY 2009]).

It is clear therefore that indenture agreements containing the required delivery provisions pursuant to section 314 (a) refer to the Securities Exchange Act only to identify the types of report that should be forwarded to indenture trustees. They do not create contractual duties on the part of the trustee to assure that the information contained in any report filed is true and accurate. That is simply not the mission or purpose of the trustee or the contract under which it undertakes its duties.

Of course, companies have a duty to file accurate reports with the SEC. That obligation, however, derives from the Securities Exchange Act, not from indenture agreements.

Our holding that section 4.02 of the indenture agreement simply embodies a delivery requirement, and does not imply a duty on the part of the trustee to assure the filing of accurate reports or risk default, is consistent with the limited, “ministerial” functions of indenture trustees (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146, 157 [2008]), and with the plain language of section 4.02, which states that “[d]elivery of such reports, information and documents [filed with the SEC] to the Trustee is for informational purposes only.” Plaintiffs’ proposed interpretation, on the other hand, would require indenture trustees to review the substance of SEC filings, so as to reduce the risk of liability, greatly expanding indenture trustees’ recognized administrative duties far beyond anything found in the contract.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and JONES concur; Judge SMITH taking no part.

Order affirmed, with costs.

[928 NE2d 1025, 902 NYS2d 828]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JAMES
KADARKO, Respondent.

Argued February 18, 2010; decided April 6, 2010

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 9, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Robert E. Torres, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, and (2) remanded the matter for a new trial.

People v Kadarko, 56 AD3d 102, reversed.

HEADNOTE

**Crimes — Jurors — Notice to Counsel of Substantive Inquiry from
Jury — Failure to Disclose Actual Contents of Jury Note —
Mode of Proceedings Error**

The trial court, having informed counsel that the jury had sent a note stating it was divided on each of defendant's five separate robbery charges and setting forth the numerical split in its votes, did not commit a mode of proceedings error when it failed to disclose to counsel the numerical breakdown of the votes until after the jury had received instructions and resumed deliberations. A court that receives a note from a jury during deliberations must notify counsel about the note and disclose the actual specific contents of the note (see CPL 310.30). Here the trial court informed counsel that the note gave divisions among the jurors as to each charge, that out of the five charges there were three different divisions, that the numbers did not indicate whether the majority of the jury was voting to convict or acquit, and that it was specifically withholding the numbers from counsel until after the jury had resumed deliberations. Although the court's decision not to read the entire note until after the jury had resumed deliberations may have been error, it was not a mode of proceedings error and the court later corrected itself, without objection or request for further instruction by either party.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1340, 1341.

CARMODY-WAIT 2d, Jury Conduct and Deliberation
§§ 201:17, 201:19.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.9.

MCKINNEY's, CPL 310.30.

NY JUR 2d, Criminal Law: Procedure §§ 818, 2822–2824,
3469.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Jury Trials.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: jury /5 note & mode /3 proceeding /2 error & inform! reveal!

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (T. Charles Won, Joseph N. Ferdenzi and Allen H. Saperstein of counsel), for appellant. The Appellate Division erroneously decided that the trial court committed a mode of proceedings error when it informed the parties of the contents of the jury note, save for an inconsequential breakdown of the votes, before it instructed the jury. (*People v Kisoona*, 8 NY3d 129; *People v O’Rama*, 78 NY2d 270; *People v Lykes*, 81 NY2d 767; *People v Starling*, 85 NY2d 509; *People v DeRosario*, 81 NY2d 801; *People v Michael*, 48 NY2d 1; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Dekle*, 56 NY2d 835; *People v Winkler*, 71 NY2d 592.)

Office of the Appellate Defender, New York City (Alexandra Keeling, Richard M. Greenberg and Joseph M. Nursey of counsel), for respondent. I. This Court should affirm the Appellate Division’s decision concluding that the error in this case was indistinguishable from the mode of proceedings errors in *People v Kisoona* (8 NY3d 129 [2007]) and *People v O’Rama* (78 NY2d 270 [1991]), where the trial court refused to show counsel the verbatim contents of a deadlock note, specifically the numerical breakdown of the jury’s division. (*People v Kelly*, 5 NY3d 116; *People v Cook*, 85 NY2d 928; *People v Starling*, 85 NY2d 509; *People v Ahmed*, 66 NY2d 307; *People ex rel. Battista v Christian*, 249 NY 314; *People v Patterson*, 39 NY2d 288; *People v McLucas*, 15 NY2d 167; *People v DeRosario*, 81 NY2d 801; *People v Lykes*, 81 NY2d 767; *People v Martinez*, 225 AD2d 474.) II. In the event that this Court reverses the Appellate Division’s decision reversing Mr. Kadarko’s conviction on the ground that the trial court committed a mode of proceedings error when it failed to inform counsel of the verbatim contents of a jury note, then this Court should remand the case to the Appellate Division to consider the other issues raised in Mr. Kadarko’s appellate brief to that court. (*People v Gomez*, 5 NY3d 416; *Matter of*

Kadeem W., 5 NY3d 864; *People v Smith*, 97 NY2d 324; *People v Coonan*, 48 NY2d 772.)

OPINION OF THE COURT

PIGOTT, J.

Defendant was indicted and tried for allegedly robbing food deliverymen on five separate occasions. During the course of jury deliberations, the jury sent several notes to the court. At issue on this appeal is the treatment of one of those notes, which stated:

“Are still divided as follows regarding alleged robberies on:

“7/14/04 8 to 4

“7/26/04 11 to 1

“7/20/04 10 to 2

“8/3/04 11 to 1

“8/9/04 11 to 1.”

Upon receiving the note, the trial judge, outside the presence of the jury, explained the note’s contents to counsel. Believing it inappropriate for him to show counsel the numerical breakdown of the votes, the judge declined to do so. Instead, he informed counsel that the note gave divisions among the jurors as to each robbery and date and that out of the five there were three different divisions. He further revealed that the numbers did not indicate whether the majority of the jury was voting to convict or acquit.

The judge then provided counsel with an opportunity to be heard. Neither the prosecutor nor defense counsel objected to the court withholding the specific numbers. Instead, defense counsel asked that the judge find the jury “hung” and declare a mistrial—a motion that was denied. The court then informed counsel that he was going to give the jury another *Allen* charge and that he would show counsel the entire note after he had done so. Neither counsel objected.

Following the *Allen* charge and resumption of deliberations by the jury, the judge showed counsel the note with the number divisions. There was no further discussion or objection voiced by either party. The jury ultimately convicted defendant on one count, but remained divided on all of the others, resulting in a mistrial being declared with respect to those counts.

Defendant appealed, arguing, among other things, that the trial judge committed a mode of proceedings error when he failed to inform counsel of the verbatim contents of the jury’s

note including the numerical divisions. The Appellate Division, with one Justice dissenting, agreed and reversed defendant's conviction (*People v Kadarko*, 56 AD3d 102, 107-108 [1st Dept 2008]). The dissenting Justice argued that the "slip" of the trial judge, which prompted no objection, could not amount to a mode of proceedings error (*id.* at 108-109 [McGuire, J., dissenting]) and granted the People leave to appeal to this Court (2008 NY Slip Op 91369[U] [2008]). We agree with the dissenting Justice and now reverse.

In *People v O'Rama* (78 NY2d 270 [1991]), we held that CPL 310.30 imposes two distinct duties on a court that receives a note from the jury: first, a duty to notify counsel about the note, and second, a duty to provide a "meaningful response" (*id.* at 276). We defined "meaningful notice" as notice of the actual specific contents of the jurors' note (*id.* at 277). The court's failure to disclose the specific contents of the note, we held, "had the effect of entirely preventing defense counsel from participating meaningfully in [a] critical stage of the trial and thus represented a significant departure from the organization of the court or the mode of proceedings prescribed by law" (*id.* at 277, 279 [internal quotation marks omitted]).

Later, in *People v Starling* (85 NY2d 509 [1995]), we held that when defense counsel is given notice of the contents of a jury note and has knowledge of the substance of the court's intended response, counsel must object to preserve the claim for appellate review.

In *People v Kisoorn* (8 NY3d 129 [2007]), where the court failed to read the note aloud and simply responded to the note on its own, we found that failure, as in *O'Rama*, to have deprived counsel of an opportunity to accurately analyze the jury's deliberations and frame intelligent suggestions for the court's response (*id.* at 135). Such a failure, we held, is "inherently prejudicial." (*Id.*)

In the present case, unlike in *O'Rama* and *Kisoorn*, the error does not amount to a failure to provide counsel with meaningful notice of the contents of the jury note or an opportunity to respond. Here, the judge informed counsel of the contents of the note and that he was specifically withholding the numbers from counsel until after the jury had retired to resume deliberations. Defense counsel voiced no objection to this procedure either before or after the entire contents of the note were revealed by the judge. Although the court's decision not to read the entire

note until after the jury had resumed deliberations may have been error, it was not a mode of proceedings error and the court later corrected itself, without objection or request for further instruction by either party.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that court for consideration of the facts and issues raised but not determined on the appeal to that court.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[928 NE2d 399, 902 NYS2d 17]

HOWARD S., Appellant, v LILLIAN S., Respondent.

Argued March 24, 2010; decided April 29, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 17, 2009. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Harold B. Beeler, J.), as had denied plaintiff's cross motion for "liberal discovery" and limited his recovery of compensatory damages under his third cause of action for fraud to his share of the collaborative law process fees. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

Howard S. v Lillian S., 62 AD3d 187, affirmed.

HEADNOTES

Husband and Wife — Equitable Distribution — Marital Fault

1. Defendant wife's conduct in conceiving a child through an extramarital affair and failing to disclose her adultery to plaintiff husband did not constitute egregious fault such that it could be considered for purposes of equitable distribution in plaintiff's action for a divorce. Marital fault can be considered when making an equitable distribution award only in egregious cases which shock the conscience of the court (*see* Domestic Relations Law § 236 [B] [5] [d] [14]). Adultery, on its own, does not ordinarily constitute egregious conduct. Adultery is a ground for divorce—a basis for ending the marital relationship, not for altering the nature of the economic partnership. At a minimum, in order to have any significance at all, egregious conduct must consist of behavior that falls well outside the bounds of the basis for an ordinary divorce action. Plaintiff's allegations that defendant committed adultery and that, as a consequence of that conduct, she conceived a child that she knew or should have known was fathered by another man and that she kept that information from plaintiff essentially stated a cause of action for adultery.

Husband and Wife — Equitable Distribution — Marital Fault — Disclosure

2. In connection with a fraud cause of action and an equitable distribution award in a divorce action, plaintiff husband was not permitted liberal discovery relating to defendant wife's conduct in conceiving a child through an extramarital affair and failing to disclose her adultery to plaintiff, as such conduct did not constitute egregious fault. Liberal discovery on issues of marital fault should not ordinarily be permitted absent circumstances involving egregious conduct. Although liberal discovery is generally favored under CPLR 3101 (a), Domestic Relations Law § 236 (B) (5) (d), the specific statutory provision that governs equitable distribution, allows for consideration of marital

fault in only a limited set of circumstances involving egregious conduct. Moreover, plaintiff's cause of action for fraud was based entirely upon defendant's alleged adultery and on plaintiff's reliance upon the denial of that behavior.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 527, 528.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions § 118:234.

3 LAW AND THE FAMILY NEW YORK (2d ed) §§ 7:20, 7:21.

McKINNEY's, Domestic Relations Law § 236 (b) (5) (d).

NY JUR 2d, Domestic Relations §§ 2483, 2488, 2490, 2647.

ANNOTATION REFERENCE

Fault as consideration in alimony, spousal support, or property division awards pursuant to no-fault divorce. 86 ALR3d 111.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: equitable /2 distribution & outrageous egregious /s adultery & discovery

POINTS OF COUNSEL

Blank Rome, LLP, New York City (*Jacqueline W. Silbermann*, *Donald Frank*, *Harris Cogan* and *Brett S. Ward* of counsel), for appellant. I. The current split in the Departments should be resolved in favor of applying the same discovery rules in matrimonial actions as is permitted in other civil proceedings. (*Armitage v Armitage*, 115 AD2d 945; *McMahan v McMahan*, 100 AD2d 826; *Ginsberg v Ginsberg*, 104 AD2d 482; *Hunter v Hunter*, 10 AD2d 291; *Plohn v Plohn*, 281 App Div 1056; *Pizzo v Pizzo*, 33 Misc 2d 1022; *Nomako v Ashton*, 20 AD2d 331; *Dunlap v Dunlap*, 34 AD2d 889; *Margulies v Margulies*, 52 AD2d 567; *Bloom v Bloom*, 52 AD2d 1030.) II. In upholding the trial court's decision, the First Department improperly restricted the doctrine of egregious fault in matrimonial actions breaking away from clearly established precedents of this Court and the Appellate Divisions. (*Blickstein v Blickstein*, 99 AD2d 287, 62 NY2d 802; *O'Brien v O'Brien*, 66 NY2d 576; *Havell v Islam*, 301 AD2d 339; *Brancoveanu v Brancoveanu*, 145 AD2d 395; *Levi v Levi*, 46 AD3d 520; *Bragar v Bragar*, 277 AD2d 136; *Farkas v Farkas*, 251 AD2d 4, 40 AD3d 207, 11 NY3d 300; *Barnaby v Barnaby*,

259 AD2d 870.) III. Defendant's conduct supports a claim for punitive damages. (*Ross v Louise Wise Servs., Inc.*, 8 NY3d 478; *Giblin v Murphy*, 73 NY2d 769; *Randi A. J. v Long Is. Surgi-Ctr.*, 46 AD3d 74; *Swersky v Dreyer & Traub*, 219 AD2d 321; *Nardelli v Stamberg*, 44 NY2d 500; *Kujek v Goldman*, 150 NY 176; *Strader v Ashley*, 61 AD3d 1244; *Schehr v McEvoy*, 43 AD3d 899; *Keen v Keen*, 124 AD2d 938; *Cameron v Aurora Assoc.*, 19 Misc 3d 1112[A], 2008 NY Slip Op 50667[U].) IV. Plaintiff's fraud claim may include damages for his child support obligations and loss of property interests. (*Lama Holding Co. v Smith Barney*, 88 NY2d 413; *Hanlon v Macfadden Publs.*, 302 NY 502; *Maharam v Maharam*, 123 AD2d 165; *Tuck v Tuck*, 14 NY2d 341; *Sargiss v Magarelli*, 12 NY3d 527; *Xiao Yang Chen v Fischer*, 6 NY3d 94; *Boronow v Boronow*, 71 NY2d 284; *Steitz v Gifford*, 280 NY 15; *Matter of Rothko*, 43 NY2d 305; *Matter of Shondel J. v Mark D.*, 7 NY3d 320.)

Berkman Bottger & Rodd, LLP, New York City (Walter F. Bottger, Jacqueline Newman and Scott T. Horn of counsel), for respondent. I. This Court should not disturb the rule against discovery of marital fault. (*McMahan v McMahan*, 100 AD2d 826; *Rubin v Rubin*, 73 AD2d 148; *Billet v Billet*, 53 AD2d 564; *Ginsberg v Ginsberg*, 104 AD2d 482; *Bill S. v Marilyn S.*, 8 Misc 3d 1013[A], 2005 NY Slip Op 51093[U]; *Nigro v Nigro*, 121 AD2d 833; *Semon v Saridis*, 125 AD2d 882; *Lemke v Lemke*, 100 AD2d 735; *Bloom v Bloom*, 52 AD2d 1030; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. The Appellate Division correctly denied discovery for "egregious" marital fault. (*Bragar v Bragar*, 277 AD2d 136; *Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740; *Matter of U. S. Pioneer Elecs. Corp. [Nikko Elec. Corp. of Am.]*, 47 NY2d 914; *O'Brien v O'Brien*, 66 NY2d 576; *Farkas v Farkas*, 251 AD2d 4, 11 NY3d 300; *K. v B.*, 13 AD3d 12; *Matter of Maurice T. v Mark P.*, 23 AD3d 567; *Matter of Richard W. v Roberta Y.*, 240 AD2d 812; *Blickstein v Blickstein*, 99 AD2d 287; *McMahan v McMahan*, 100 AD2d 826.) III. There is no basis for an award of punitive damages. (*Fiesel v Nanuet Props. Corp.*, 125 AD2d 292; *Fox v Issler*, 77 AD2d 860; *Edison v Viva Intl.*, 70 AD2d 379; *Walker v Sheldon*, 10 NY2d 401; *Rivas v AmeriMed USA, Inc.*, 34 AD3d 250; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478.) IV. Lost profits and child support expenses were properly excluded as damages for appellant's fraud claim. (*Lama Holding Co. v Smith Barney*, 88 NY2d 413; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Kavner v Geller*, 49 AD3d 281; *Boyle v Burkich*, 245 AD2d 609; *Edison Stone Corp. v 42nd St. Dev. Corp.*, 145 AD2d 249; *Kaufman v Kaufman*, 127

AD2d 463; *Credit Alliance Corp. v Arthur Andersen & Co.*, 65 NY2d 536; *Greschler v Greschler*, 51 NY2d 368; *Zanett Lombardier, Ltd. v Maslow*, 29 AD3d 495; *Vermilyea v Vermilyea*, 224 AD2d 759.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The dispute in this matrimonial action centers on the extent of discovery that should be permitted into issues of marital fault. As set forth in the complaint, plaintiff husband and defendant wife were married in May 1997. Defendant had one child from a previous relationship, who was later adopted by plaintiff. Three other children were born during the course of the marriage. The youngest child, born in 2004, was the product of an extramarital affair between defendant and an unidentified man. Plaintiff, unaware of his wife's infidelity until the child was over three years old, has raised that child as his own. Plaintiff alleges that, although defendant knew or should have known that the child was not plaintiff's, she withheld that information from him.

In 2007, defendant allegedly commenced another extramarital affair with an individual who was initially named as a correspondent in this action. Plaintiff confronted defendant with his suspicions of her infidelity, but she denied that she was unfaithful. Defendant maintained that there were no grounds for divorce and the parties entered into the collaborative law process at her suggestion. Several months later, plaintiff obtained the results of a DNA marker test revealing that he was not the biological father of the youngest child.

Soon thereafter, plaintiff commenced this action asserting two causes of action for divorce—based on grounds of cruel and inhuman treatment and adultery—and a cause of action for fraud, seeking compensatory and punitive damages. The fraud allegations stated that defendant represented that she had been faithful to plaintiff and that he continued to participate in the marriage in reliance upon those representations to his financial detriment. He sought to recover damages under the fraud claim based upon costs he incurred due to defendant's failure to disclose her adultery—specifically, the amounts he expended in support of the youngest child, profits from marital investments that he would have deferred and fees for the collaborative law process. Among other things, plaintiff sought equitable distribution of the marital property, alleging that the bulk of the

property should be awarded to him due to defendant's egregious fault. Defendant answered and asserted a counterclaim for divorce on the ground of abandonment.

Defendant moved to dismiss or sever the fraud cause of action and plaintiff cross-moved for liberal discovery relating to his fraud claim and to the issue of defendant's egregious fault for purposes of equitable distribution.¹ Supreme Court denied defendant's motion to dismiss and found that the complaint stated a cause of action for fraud, but limited plaintiff's available damages to his pecuniary loss in the form of collaborative law process fees. The court also denied plaintiff's cross motion for liberal discovery, finding that defendant's actions did not rise to the level of egregious fault.

A majority of the Appellate Division affirmed, agreeing that defendant's behavior did not constitute egregious fault such that it could be considered for purposes of equitable distribution (62 AD3d 187 [1st Dept 2009]). The Court further found that plaintiff could only pursue his claims of actual pecuniary loss under the fraud cause of action and rejected the claims for lost profits, child support and punitive damages. One Justice dissented and would have allowed plaintiff to obtain liberal discovery on the issue of egregious conduct. The Appellate Division granted plaintiff leave to appeal (2009 NY Slip Op 74834[U] [2009]), and we now affirm.

Domestic Relations Law § 236 (B) (5) (d) sets forth the factors a court must consider when making an equitable distribution award. The statute does not specifically provide for consideration of marital fault, but does contain a catchall provision that allows a court to consider "any other factor which the court shall expressly find to be just and proper" (Domestic Relations Law § 236 [B] [5] [d] [14]). We have, however, rejected the notion that marital fault is a "just and proper" factor for consideration, "[e]xcept in egregious cases which shock the conscience of the court" (*O'Brien v O'Brien*, 66 NY2d 576, 589-590 [1985]). This rule is based, in part, upon the recognition that marriage is, among other things, an economic partnership and that the marital estate should be divided accordingly. We also observed that "fault will usually be difficult to assign and [that] introduction of the issue may involve the courts in time-consuming

1. The parties indicate that they have stipulated to a divorce on the ground of constructive abandonment. A copy of that stipulation was not included in the record on appeal.

procedural maneuvers relating to collateral issues” (*O’Brien*, 66 NY2d at 590).

[1] Although we have not had occasion to further define egregious conduct, courts have agreed that adultery, on its own, does not ordinarily suffice (*see e.g. Newton v Newton*, 246 AD2d 765, 766 [3d Dept 1998]; *Lestrangle v Lestrangle*, 148 AD2d 587, 588 [2d Dept 1989]). This makes sense because adultery is a ground for divorce—a basis for ending the marital relationship, not for altering the nature of the economic partnership. At a minimum, in order to have any significance at all, egregious conduct must consist of behavior that falls well outside the bounds of the basis for an ordinary divorce action. This is not to say that there can never be a situation where grounds for divorce and egregious conduct will overlap. However, it should be only a truly exceptional situation, due to outrageous or conscience-shocking conduct on the part of one spouse, that will require the court to consider whether to adjust the equitable distribution of the assets (*see e.g. Levi v Levi*, 46 AD3d 520 [2d Dept 2007] [attempted bribery of trial judge]; *Havell v Islam*, 301 AD2d 339 [1st Dept 2002] [vicious assault of spouse in presence of children]).² Absent these types of extreme circumstances, courts are not in the business of regulating how spouses treat one another.

The complaint alleges that defendant committed adultery and that, as a consequence of that conduct, she conceived a child that she knew or should have known was fathered by another man and that she kept that information from plaintiff. Even taking these allegations as true, plaintiff has essentially stated a cause of action for adultery. While adultery, and many of its unintended consequences, will undoubtedly cause a great deal of anguish and distress for the other spouse, it does not fit within the legal concept of egregious conduct. Moreover, plaintiff’s cause of action for fraud³ is based entirely upon defendant’s alleged adultery and on plaintiff’s reliance upon the

2. Although the Appellate Division opinion below generally stated the correct standard, to the extent that it can be read to limit egregious conduct to behavior involving extreme violence, the definition should not be so restrictive.

3. We note that since defendant did not cross-appeal the denial of the motion to dismiss the fraud cause of action to the Appellate Division, the issue of whether or not plaintiff stated a cause of action for fraud was not presented to that Court and is not before us.

denial of that behavior. Plaintiff cannot obtain discovery for what is essentially an allegation of marital fault.⁴

[2] Although CPLR 3101 (a) provides for “full disclosure of all matter material and necessary in the prosecution or defense of an action,” Domestic Relations Law § 236 (B) (5) (d) is the specific statutory provision that governs equitable distribution in marital actions. Despite the general policy in favor of liberal discovery, this Court has interpreted the more specific section of the Domestic Relations Law to allow for consideration of marital fault in only a limited set of circumstances involving egregious conduct. In the absence of those circumstances, liberal discovery on issues of marital fault—at variance with *O’Brien*—should not ordinarily be permitted, though there may be exceptions in rare circumstances (*see e.g. Anonymous v Anonymous*, 71 AD2d 209, 214 [1st Dept 1979]). Despite the availability of protective orders if courts were to consider these matters on a case by case basis, there remains significant potential for abuse and harassment as a result of such discovery, as well as the possibility that parties will be induced to enter into disadvantageous settlements rather than litigate these types of intensely personal issues.

Plaintiff’s contentions pertaining to permissible damages with respect to his fraud cause of action are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

PIGOTT, J. (dissenting). I respectfully dissent because, in my view, it is premature to rule that wife’s behavior does not, as a matter of law, constitute egregious misconduct for purposes of equitable distribution under the Domestic Relations Law. Therefore, husband is entitled to discovery on his claim.

It is well settled that parties are entitled to “full disclosure of all matter material and necessary in the prosecution or defense of an action” (CPLR 3101 [a] [1]). This provision makes no exception for matrimonial actions. Further, as the majority recognizes, this Court has held that marital fault may be considered under factor 14 of Domestic Relations Law § 236 (B) (5) (d) (14), which provides that a court may consider “any other

4. This holding, of course, has no impact on a party’s ability to seek discovery for the dissipation of marital assets (*see* Domestic Relations Law § 236 [B] [5] [d] [12]).

factor which the court shall expressly find to be just and proper” (majority op at 435, citing *O’Brien v O’Brien*, 66 NY2d 576 [1985]). We limited such consideration of fault to “egregious cases which shock the conscience of the court” (*O’Brien* at 589-590). It is within the court’s discretion to determine whether a spouse’s misconduct is so egregious to justify consideration for purposes of equitable distribution. In my view, the court should make this determination with full disclosure of the misconduct.

The majority finds that discovery on the issue of fault is precluded in this case. Although neither party affirmatively moved for a ruling on the egregious misconduct claim, the majority reasons that the conduct alleged by husband is not so egregious as a matter of law to be considered for purposes of equitable distribution. In my view, this is putting the cart before the horse. Indeed, the majority has implicitly accepted the view of the First and Second Departments that a party is required to make a motion for discovery on the issue of fault (*see Ginsberg v Ginsberg*, 104 AD2d 482 [2d Dept 1984]; *McMahan v McMahan*, 100 AD2d 826 [1st Dept 1984] [two Justices dissenting]). I disagree with this approach, and rather, take the view of the Third and Fourth Departments that have no general prohibition of pretrial discovery on fault, relying on our liberal discovery rule (*see Nigro v Nigro*, 121 AD2d 833 [3d Dept 1986]; *Lemke v Lemke*, 100 AD2d 735 [4th Dept 1984]). Under that rule, husband is entitled to discovery on the issue of fault, albeit with the court overseeing and preventing abuses by asserting its protective power (*see* CPLR 3103 [a] [authorizing the court to issue a protective order “to prevent unreasonable annoyance, expense, embarrassment, disadvantage, or other prejudice to any person or the courts”]). By first permitting discovery on the issue, the court may adequately consider whether the misconduct alleged does indeed “shock the conscience of the court” so as to warrant consideration for purposes of equitable distribution.

Further, I cannot agree with the majority’s reasoning for imposing a rule that would require a party to first seek permission from the court to obtain discovery on egregious fault. The majority reasons that, despite the court’s protective power, “there remains significant potential for abuse and harassment as a result of such discovery” (majority op at 437). However, considerations of abuse and harassment may be found in any contentious litigation. Further, fault is almost always an issue in a matrimonial case as a finding of fault or the living apart of

the spouses are the only grounds for divorce in New York. Matrimonial cases often involve issues of a sensitive nature, and courts are well equipped to deal with the potential problems associated with them. Thus, disclosure should be permitted with restrictions imposed on a case-by-case basis, when problems peculiar to the particular case arise (*see* Connors, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C3101:15 [noting that CPLR 3101 (a) permits courts to restrict disclosure in specific cases where problems exist]).

Further, the majority believes there is a "possibility that parties will be induced to enter into disadvantageous settlements rather than litigate these types of intensely personal issues" (majority op at 437). At least one matrimonial scholar disagrees:

"Often, the pretrial examination can motivate settlement and avoid the far more bitter confrontation of the parties at trial, thereby paving the way for more harmonious post-divorce relationships. In any event, there would appear to be no valid reason to force matrimonial litigants to trial with less opportunity for disclosure and preparation than in any other civil action" (2 Tippins, New York Matrimonial Law and Practice § 16:29).

Assuming wife moved for a protective order limiting husband's discovery on the issue of fault, I think the issue would be close. While adultery has generally been held not to be an act so egregious as to become a factor to be considered when distributing marital property, it may be a factor if it amounts to "egregious" misconduct. Here, wife not only committed adultery on more than one occasion, she also had a child out of wedlock and deceived both husband and child as to that child's birth parent. In my view, it is premature without additional discovery to conclude at this juncture that wife's misconduct is not so egregious to warrant consideration for purposes of the Domestic Relations Law.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in a separate opinion.

Order affirmed, etc.

[928 NE2d 1027, 902 NYS2d 830]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NORMAN McBRIDE, Appellant.

Argued March 23, 2010; decided April 29, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 3, 2009. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J., at suppression hearing; Daniel P. FitzGerald, J., at plea and sentence), which had convicted defendant, upon his plea of guilty, of attempted robbery in the second degree.

People v McBride, 59 AD3d 151, affirmed.

HEADNOTES

Crimes — Unlawful Search and Seizure — Warrantless Entry into Home — Exigent Circumstances

1. Although warrantless entries into a home to make an arrest are presumptively unreasonable, the police may, provided that there is probable cause, proceed without a warrant to effectuate an arrest within a home if exigent circumstances exist to justify a warrantless entry. Factors that will assist a suppression court in its analysis of whether exigent circumstances are present include: the gravity or violent nature of the offense with which the suspect is to be charged; whether the suspect is reasonably believed to be armed; a clear showing of probable cause to believe that the suspect committed the crime; strong reason to believe that the suspect is in the premises being entered; a likelihood that the suspect will escape if not swiftly apprehended; and the peaceful circumstances of the entry. The list of factors is not definitive or exhaustive, however, and the ultimate inquiry a suppression court must make is whether in light of all the facts of the particular case there was an urgent need that justified a warrantless entry.

Crimes — Unlawful Search and Seizure — Warrantless Entry into Home — Exigent Circumstances

2. Exigent circumstances justified the warrantless entry by the police into defendant's home to arrest him three days after the police identified defendant as the suspect in an armed robbery. The police had probable cause to arrest defendant when they went to his apartment and asked him to voluntarily come out and speak with them. The young woman who answered the door at defendant's apartment appeared to be having difficulty breathing and was hyperventilating and unresponsive to the questions posed by a detective, who then entered the apartment based on his belief that the woman was facing a life-threatening situation. There was record support for the findings below that the police had strong reason to believe that defendant was inside his apartment, that they only entered the apartment after the woman opened the door and they observed that she was crying, hyperventilating, and unrespon-

sive to their questions, and that it was not the conduct of the police officers when they arrived at defendant's home that created the exigency. Those affirmed findings, having support in the record, precluded further review by the Court of Appeals. It would, however, have been more prudent if the police obtained a warrant for defendant's arrest before going to his home.

Crimes — Identification of Defendant — Lineup

3. In the prosecution of defendant on robbery and related charges, there was record support for the affirmed findings by the Appellate Division that the lineup, in which defendant was the only person wearing a gray hooded sweatshirt, an article of clothing which was part of a detailed clothing description provided by a witness, was not unduly suggestive. If a defendant is the only one in a lineup wearing the same distinctive clothing as described by a witness to the crime, the lineup is unduly suggestive as a matter of law, but if the clothing described by the witness and then worn by the defendant at the lineup is not unusual, it is not considered suggestive. Here, Supreme Court viewed a photograph of the lineup and noted that defendant and all the fillers were wearing nondescript street clothing, and that the gray hooded sweatshirt worn by defendant was a "generic and common article of clothing." Moreover, since the sweatshirt was only one of the many items of clothing described by the witness, Supreme Court concluded that although defendant happened to be wearing the same type of sweatshirt in the lineup, it did not make the lineup unduly suggestive. Since the affirmed findings by the Appellate Division that the lineup was not unduly suggestive were amply supported by the record, the issue was beyond the further review of the Court of Appeals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 30, 32, 96, 97, 99, 100; AM JUR 2d, Evidence §§ 638, 1401.

CARMODY-WAIT 2d, Eyewitness Identification Procedures § 174:22; CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:6, 177:11, 177:15, 177:47–177:49, 177:57.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1–3.3, 3.6, 7.4.

NY JUR 2d, Criminal Law: Procedure §§ 59, 101–103, 109, 673, 674.

ANNOTATION REFERENCE

See ALR Index under Arrest; Lineups; Search and Seizure.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: warrantless /s home /s arrest /p probable /2 cause /s exigent

POINTS OF COUNSEL

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City
(*Joshua Roth, Peter Simmons* and *Jennifer Colyer* of counsel),

and *Office of the Appellate Defender* (Richard M. Greenberg and Daniel A. Warshawsky of counsel) for appellant. I. Because the police went to Mr. McBride's apartment with the intent to arrest him but without a warrant, the subsequent arrest of Mr. McBride was unlawful, and the prosecution could not rely on the "emergency exception" to the warrant requirement to justify the warrantless arrest of Mr. McBride. (*People v Adams*, 53 NY2d 1; *People v Mitchell*, 39 NY2d 173; *People v Coles*, 62 NY2d 908; *Brigham City v Stuart*, 547 US 398; *People v Molnar*, 98 NY2d 328; *United States v Barone*, 330 F2d 543, 377 US 1004; *People v Dillon*, 44 AD3d 1068; *People v Harris*, 77 NY2d 434; *People v Torres*, 74 NY2d 224; *People v Gokey*, 60 NY2d 309.) II. Because any exigent circumstances that may have existed were created by the police, the warrantless entry into Mr. McBride's apartment was unlawful, and the statements and physical items that were the products of that unlawful entry should have been suppressed. (*People v Leonti*, 18 NY2d 384; *People v Levan*, 62 NY2d 139; *People v Bero*, 139 AD2d 581; *People v Lott*, 102 AD2d 506.) III. The lineup that produced Mr. McBride's identification was unduly suggestive because Mr. McBride was the only person displayed in the lineup wearing a gray hooded sweatshirt that precisely matched the eyewitnesses' description of the clothing worn by the perpetrator. (*People v Adams*, 53 NY2d 241; *People v Chipp*, 75 NY2d 327; *Foster v California*, 394 US 440; *People v Owens*, 74 NY2d 677; *People v Riddick*, 251 AD2d 517; *People v Bady*, 202 AD2d 440; *People v Davis*, 169 AD2d 508; *People v Velez*, 169 AD2d 661; *People v Sapp*, 98 AD2d 784; *People v Johnson*, 79 AD2d 617.)

Robert M. Morgenthau, District Attorney, New York City (*Dana Poole* and *Alan Gadlin* of counsel), for respondent. I. The lower courts' determinations that exigent circumstances justified the police officers' warrantless entry into defendant's apartment are fully supported by the record. (*Payton v New York*, 445 US 573; *People v Mitchell*, 39 NY2d 173, 426 US 953; *People v Levan*, 62 NY2d 139; *People v Molnar*, 98 NY2d 328; *United States v Knights*, 534 US 112; *United States v Reed*, 572 F2d 412; *Dorman v United States*, 435 F2d 385; *People v Cruz*, 149 AD2d 151; *People v Kilgore*, 21 AD3d 1257; *People v Mason*, 248 AD2d 751.) II. The lineup was not rendered suggestive simply because defendant wore a gray sweatshirt. (*People v Santos*, 250 AD2d 413, 92 NY2d 905, 525 US 1076; *People v Adams*, 53 NY2d 241; *People v Jackson*, 98 NY2d 555; *People v Chipp*, 75 NY2d 327, 498 US 833; *People v Amuso*, 39 AD3d 425; *People v Grant*, 43 AD3d 800; *People v Owens*, 74 NY2d 677; *People v Johnson*, 79

AD2d 617; *People v Bady*, 202 AD2d 440; *People v Sapp*, 98 AD2d 784.)

OPINION OF THE COURT

CIPARICK, J.

The primary issue presented by this appeal is whether defendant's constitutional right to be free from an unlawful search and seizure was violated when the police entered his home without a warrant. We conclude that there is evidence in the record to support the determination that exigent circumstances justified the warrantless entry.

A grand jury indicted defendant for first degree robbery (Penal Law § 160.15 [4]), second degree robbery (Penal Law § 160.10 [1]), and other related charges stemming from an incident that occurred on March 21, 2004 at a Manhattan restaurant. Before trial, defendant pleaded guilty to attempted second degree robbery (Penal Law §§ 110.00, 160.10 [1]). Prior to defendant's guilty plea, Supreme Court conducted a pretrial hearing to determine whether the police unlawfully arrested defendant and seized physical evidence in his home, whether defendant's lineup was unduly suggestive, and whether the statements taken from defendant by the police violated defendant's *Miranda* rights. Supreme Court denied defendant's suppression motion in its entirety. The Appellate Division affirmed the judgment of conviction and sentence (59 AD3d 151 [1st Dept 2009]). A Judge of this Court granted defendant leave to appeal (12 NY3d 917 [2009]) and we now affirm.

There was evidence adduced at the hearing that, on March 22, 2004, Detective Shaska of the New York City Police Department went to a Cosi restaurant located on West 42nd Street in Manhattan to investigate a gunpoint robbery that occurred there the day before. Detective Shaska interviewed a number of the employees present at the time of the robbery including Elizam Mangual. Mangual told the detective that he first saw defendant and two other men come into the restaurant that afternoon, but that they had stayed only for a short period of time. Within the hour, however, Mangual noticed that the three men had returned. Defendant walked up to Mangual and told him that he had been a breadmaker at the restaurant. Moments later, Mangual saw defendant brandish a gun and direct the restaurant manager to the area where the safe is kept. Soon afterward, defendant and the two other men fled. Although Mangual did not see defendant take the money, defendant, in a

written statement given to the police after his arrest, admitted to stealing money from the safe.

Detective Shaska also testified that Mangual provided her with a detailed physical description of defendant and told her that he was wearing a black waist-length flight jacket, a gray hooded sweatshirt, a black skull cap, dark blue jeans and was carrying gray construction gloves with circles when he committed the robbery. Detective Shaska requested a list of former employees of the restaurant from the district manager to develop a possible suspect. The district manager provided that list to her and defendant's name appeared on it. Detective Shaska determined that defendant had a criminal record and obtained his photograph from police files. She then placed this photograph into a photo array that also contained five photographs of other men who looked similar to defendant. Detective Shaska showed this photo array to Mangual and he identified defendant as the gunman.

Following Mangual's identification of defendant, Detective Shaska learned that defendant was on parole. When Detective Shaska returned to work on March 25, 2004, she contacted defendant's parole officer who provided her with defendant's address. At approximately 11:00 P.M. that evening, Detective Shaska and four other police officers went to defendant's apartment. As the police officers approached defendant's front door, they could hear voices coming from inside the apartment. The police officers knocked on the door for a few minutes and identified themselves, but no one answered. One of the police officers used the building intercom system to call defendant's apartment and a person the police officer believed to be male answered. While three of the police officers remained outside of defendant's front door, Detective Shaska and one of her partners went to the apartment directly below defendant's in order to access the fire escape outside his apartment. From the fire escape, Detective Shaska peered through a window into defendant's apartment and saw a man lying on the floor. Guns drawn, Detective Shaska or her partner knocked on the window and stated, "Police department. Open up the door." A short time thereafter, Detective Shaska observed a different person run towards the door.

Detective Santeufemia, one of the police officers who remained at defendant's door, testified that eventually a young woman, later known to the police as Lenora Mitchell, answered the door. She was crying and it also appeared to him that she was having

difficulty breathing and was hyperventilating. Detective Santeufemia tried to calm her down and asked her, “Are you okay? Is everything all right?” Mitchell was unresponsive to his questions. Her appearance and inability to speak caused Detective Santeufemia to believe that she was facing a life-threatening situation. On this basis, he decided to enter defendant’s apartment to investigate. When he entered, he saw defendant standing in the hallway and handcuffed him.

Mitchell, a close friend of defendant, testified at the hearing for the defense. She explained that she was watching television with defendant and the lights in the apartment were off when they heard the police knocking at the front door. Defendant instructed her not to answer the door and they ignored the police officers’ repeated requests. Mitchell then became aware that there were police officers on the fire escape and she heard them say that they were going to enter the apartment through the window. Although it was dark inside the apartment, Mitchell testified that she saw one of the police officers on the fire escape point a gun at her face. She opened the front door and started to cry. Mitchell explained that the police officers calmed her down and assured her that everything was going to be all right.

The police then transported defendant to the station house and advised him of his *Miranda* rights. Defendant waived his rights and gave a statement admitting his involvement in the gunpoint robbery. Later, he was placed in a lineup and identified by three out of four witnesses.

[1] We begin our analysis by looking at the federal and state constitutional proscriptions prohibiting the police from engaging in unlawful searches and seizures. It is axiomatic that warrantless entries into a home to make an arrest are “ ‘presumptively unreasonable’ ” (*People v Molnar*, 98 NY2d 328, 331 [2002], quoting *Payton v New York*, 445 US 573, 586 [1980]). Nevertheless, “[c]ourts have long recognized that the Fourth Amendment is not violated every time police enter a private premises without a warrant” (*Molnar*, 98 NY2d at 331). Indeed, provided that there is probable cause, the police may proceed without a warrant to effectuate an arrest within a home if exigent circumstances exist to justify a warrantless entry (see *Kirk v Louisiana*, 536 US 635, 638 [2002]; see also *People v Burr*, 70 NY2d 354, 360 [1987]).

In determining whether exigent circumstances are present, both the federal and state courts have applied a number of different factors. These factors include

“(1) the gravity or violent nature of the offense with which the suspect is to be charged; (2) whether the suspect is reasonably believed to be armed; (3) a clear showing of probable cause . . . to believe that the suspect committed the crime; (4) strong reason to believe that the suspect is in the premises being entered; (5) a likelihood that the suspect will escape if not swiftly apprehended; and (6) the peaceful circumstances of the entry” (*United States v Martinez-Gonzalez*, 686 F2d 93, 100 [2d Cir 1982] [internal quotation marks and citations omitted]; *see also United States v Reed*, 572 F2d 412, 424 [2d Cir 1978]; *People v Cloud*, 168 AD2d 91, 92-94 [1st Dept 1991], *affd* 79 NY2d 786 [1991]).

We agree that these factors will appropriately assist a suppression court in its analysis of whether exigent circumstances are present, but are mindful that this list is illustrative and “not to be viewed as definitive or exhaustive” (*Cloud*, 168 AD2d at 94). Indeed, the ultimate inquiry a suppression court must make is “whether in light of all the facts of the particular case there was an urgent need that justifies a warrantless entry” (*Martinez-Gonzalez*, 686 F2d at 100 [internal quotation marks, parentheses and citations omitted]).

[2] In this case, both Supreme Court and the Appellate Division concluded that exigent circumstances justified the warrantless entry by the police into defendant’s home. On appeal, we note that defendant does not dispute the fact that the police had probable cause to arrest him for armed robbery, a violent crime. We also note that there is record support for the findings below that the police had strong reason to believe that defendant was inside his apartment and that they only entered defendant’s apartment after Mitchell opened the door and they observed that she was crying, hyperventilating, and unresponsive to their questions. These affirmed findings, having support in the record, preclude this Court’s further review (*see People v Brown*, 95 NY2d 942, 943 [2000]; *People v Hallman*, 92 NY2d 840, 842 [1998]).

Defendant argues, on the other hand, that it was the conduct of the police officers when they arrived at defendant’s home that created the exigency. Defendant maintains that it was the

police who frightened Mitchell out of defendant's apartment and caused her to appear distressed. To be sure, we have held that "the police themselves cannot by their own conduct create an appearance of exigency" (*People v Levan*, 62 NY2d 139, 146 [1984]). The courts below, however, rejected defendant's assertion, and their finding on this factual issue, also having support in the record, is likewise beyond our further review (*see Brown*, 95 NY2d at 943; *cf. Levan*, 62 NY2d at 143 [no exigent circumstances where defendant simply opened the door for his neighbor and the police "with guns drawn, bypassed the woman, entered the apartment and arrested defendant inside"])*.

However, in affirming the order of the Appellate Division, we are not unmindful of the fact that the police could have obtained an arrest warrant for defendant from a neutral magistrate before it dispatched five members from its force to defendant's home. Indeed, three days passed from the time the police identified defendant as the gunman to the time they went to his home to arrest him. Although we acknowledge that there was nothing illegal about the police going to defendant's apartment and requesting that he voluntarily come out (*see People v Minley*, 68 NY2d 952, 953 [1986]) and conclude that exigent circumstances in this case ultimately justified the warrantless entry, we recognize that it would have been more prudent if the police obtained a warrant for defendant's arrest before going to his home.

Since exigent circumstances justified the warrantless entry into defendant's home and his subsequent arrest, the seizure of the articles of clothing from defendant's home that were in plain view and that matched the description provided by Mangual was proper. We also conclude that Supreme Court properly denied defendant's motion to suppress his statements. There was evidence in the record to support that court's determination that defendant voluntarily and knowingly waived his *Miranda* rights and agreed to be interviewed by the police.

[3] Defendant's final contention that the lineup was unduly suggestive because he was the only person wearing a gray hooded sweatshirt, an article of clothing which was part of a detailed clothing description provided to Detective Shaska by Mangual, is without merit. A lineup is nonsuggestive when the

* In holding that exigent circumstances justified the warrantless entry into defendant's home, we need not determine if the police formed the subjective intent to arrest defendant at his home (*see People v Mitchell*, 39 NY2d 173, 177-178 [1976]). In any event, since defendant never raised the "primary motivation" argument in Supreme Court, it is unpreserved for our review.

participants resemble each other so that the defendant is not “singled out for identification” (*People v Chipp*, 75 NY2d 327, 336 [1990]). The question whether a lineup is unduly suggestive is a mixed question of law and fact (see *People v Jackson*, 98 NY2d 555, 559 [2002]). If there is record support for the determinations of the lower courts that a lineup is not unduly suggestive, that issue is beyond this Court’s review (see *id.*).

Here, defendant and the five fillers were all African-American males who were of similar age and skin tones. They all had short hair and close-cropped beards. The men in the lineup were seated, mitigating any differences in height. Defendant’s sole issue with the lineup is the fact that he was wearing a gray hooded sweatshirt. Of course, where a suspect is the only one in a lineup wearing the same “distinctive clothing” as described by a witness to the crime, a lineup is unduly suggestive as a matter of law (*People v Owens*, 74 NY2d 677, 678 [1989]). In contrast, where the clothing described by the witness and then worn by the defendant at the lineup is “not unusual,” it is not considered suggestive (*People v Gilbert*, 295 AD2d 275, 277 [1st Dept 2002], *lv denied* 99 NY2d 558 [2002]; cf. *Owens*, 74 NY2d at 678 [defendant “conspicuously displayed” in lineup where he was the only person wearing “a tan vest and a blue snorkel jacket—which fit the description of the clothing allegedly worn by the perpetrator of the crime”]). Here, Supreme Court viewed a photograph of the lineup and noted that defendant and all the fillers were wearing nondescript street clothing and the gray hooded sweatshirt worn by defendant was a “generic and common article of clothing.” Moreover, since the sweatshirt was only one of the many items of clothing described by the witness, Supreme Court concluded that although defendant happened to be wearing the same type of sweatshirt in the lineup, it did not make the lineup unduly suggestive. Therefore, since the affirmed findings by the Appellate Division that the lineup was not unduly suggestive are amply supported by the record, this issue is likewise beyond our further review (see *Jackson*, 98 NY2d at 559).

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). What is clear from the record is that the police had several days to get an arrest warrant for the defendant and inexplicably failed to do so; and “exigency” does not cure that failure. It is for that reason that I respectfully dissent.

The day after the robbery, an employee of the restaurant provided a detailed description of defendant, a former employee, and he later identified defendant from a photo array. This provided sufficient probable cause to obtain a warrant for defendant's arrest. Rather than immediately following up on this information or obtaining the warrant, however, no action was taken for the next three days. The police then obtained defendant's address from his parole officer and, rather than applying for an arrest warrant at that time, five officers went to defendant's apartment at 11 o'clock at night and began banging on the door.

According to one detective, she and another officer positioned themselves on the fire escape outside defendant's apartment, weapons drawn, flashlights shining, and began knocking on the window, demanding that the occupants open the door. When Lenora Mitchell went to the door and opened it, she was visibly shaken. Because Mitchell was unable to answer the officers' questions immediately, they entered the apartment "to see if there was some kind of life threatening situation."

In *Payton v New York*, the United States Supreme Court held that the Fourth Amendment "prohibits the police from making a warrantless and nonconsensual entry into a suspect's home in order to make a routine felony arrest" (445 US 573, 576 [1980]). One exception to that rule—the exigent circumstances exception—permits a warrantless entry into a suspect's home "where certain urgent events occur that do not provide the police with sufficient time to obtain an arrest warrant" (Kamins, New York Search & Seizure § 3.04 [2] [b] [ii], at 3-32 [2009], citing *People v Knapp*, 52 NY2d 689 [1981]).

The majority concludes that there is record support for the conclusion by the lower courts that exigent circumstances justified the warrantless entry, pointing to the "record . . . findings" that "the police had strong reason to believe that defendant was inside his apartment and that they only entered [it] after Mitchell opened the door" and the police observed her condition (majority op at 446). In the majority's view, this somehow justified their conduct. However, the real issue is "could the police, as required by the Fourth Amendment and legions of cases, have obtained a warrant prior to going to defendant's apartment when they clearly intended to effect an arrest?" In my view, they could have, and should have, and because there was certainly no record support for the conclusion that the police were faced with an exigency other than that which they created, the warrantless entry constituted a clear *Payton* violation.

In making a determination as to whether circumstances exist justifying a warrantless arrest of a defendant in his home, the courts may consider the gravity of the crime, the defendant's possession of and willingness to use a weapon, and the likelihood of an escape attempt (see e.g. *People v Mealer*, 57 NY2d 214, 219 [1982], *cert denied* 460 US 1024 [1983]). Other factors courts may consider include whether there is a reliable basis to believe that the defendant is on the premises, whether there is probable cause to believe that the defendant committed the crime, and the time of day of the police entry and whether the entry was peaceful in nature (Kamins, New York Search & Seizure § 3.04 [2] [b] [ii], at 3-33—3-34; see *Dorman v United States*, 435 F2d 385 [DC Cir 1970]). But cases addressing the issue of the warrantless arrest of a defendant in his home are in the context of the necessity for prompt action by the police such as found in *Mealer* and *Dorman* (see *People v Hill*, 70 AD3d 1487 [4th Dept 2010] [warrantless entry justified by exigent circumstances where victim, whose head was bleeding, was found near the crime scene, and police had reason to believe defendant was inside apartment with claw hammer]; *People v Garcia*, 27 AD3d 307 [1st Dept 2006], *lv denied* 6 NY3d 894 [2006] [warrantless entry proper where police were responding to a violent dispute and saw from a common hallway a man inside apartment with a gun]; *People v Mason*, 248 AD2d 751 [3d Dept 1998] [exigent circumstances present where police arrived at the scene shortly after the incident and suspected that the defendant committed a burglary]; *People Jones*, 134 AD2d 451 [2d Dept 1987], *lv denied* 70 NY2d 1007 [1988] [warrantless entry justified by exigent circumstances where police were led to the scene within minutes of the crime, where defendant had committed the violent offenses of sodomy and sexual abuse at gunpoint]).

It is only if one blindly applies the *Mealer/Dorman* factors without first considering facts leading up to the eventual arrest—that the police had probable cause to arrest defendant and at least three days to get a warrant—that one could conclude that the suppression court and the Appellate Division properly upheld the warrantless entry into defendant's home. There is no evidence that the police faced circumstances where they had to act quickly to arrest defendant (see *People v Bloom*, 241 AD2d 975 [4th Dept 1997], *lv denied* 90 NY2d 938 [1997] [record did not support suppression court's determination that exigent circumstances justified the failure of the police to obtain a warrant where the police were not in pursuit of defendant,

the robbery had occurred 21 hours earlier and there was no indication that defendant was aware of the police presence and therefore was not likely to escape or destroy evidence]; *People v Vennor*, 176 AD2d 1217 [4th Dept 1991]; *People v Martinez*, 160 AD2d 351 [1st Dept 1990]). Nor was there testimony by the officers that it would have been burdensome for them to obtain a warrant (see *People v Ramos*, 206 AD2d 260 [1st Dept 1994] [People failed to establish that the warrantless entry by police officers was justified where there was no evidence that officers were in pursuit of a fleeing felon or that defendant was likely to destroy the money he had received or the drugs he had been selling, nor was there any testimony that it would have been burdensome for the officers to obtain a warrant])).

Defendant makes the further argument, citing *People v Levan* (62 NY2d 139 [1984]), that the police may not create the exigency. Whether or not the police created such an exigency is a question of fact to be determined by the suppression court; and here the record evidence seems clear that any exigency was the result of police conduct.

As to the post-arrest statements, I note that the Appellate Division found no need to address the issue of whether they were sufficiently attenuated from the illegal entry in the apartment, primarily because the Appellate Division concluded that the warrantless entry was proper. Therefore, this matter should be remanded to the Appellate Division to address defendant's post-arrest statements and whether they were sufficiently attenuated from the warrantless entry.

Judges GRAFFEO, READ and SMITH concur with Judge CIPARICK; Judge PIGOTT dissents in a separate opinion in which Judge JONES concurs; Chief Judge LIPPMAN taking no part.

Order affirmed.

[928 NE2d 404, 902 NYS2d 22]

In the Matter of LEON ST. CLAIR NATION, Respondent, v CITY OF
NEW YORK et al., Appellants.

Argued March 22, 2010; decided April 29, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (denominated decision and order) of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 10, 2009, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in New York County). The Appellate Division judgment, insofar as appealed from, modified, on the law, a determination of respondent Commissioner of the New York City Department of Buildings (DOB) which had (1) adopted the administrative law judge's finding that petitioner negligently submitted false photographs and documents to the DOB, (2) revoked petitioner's professional certification privileges, and (3) refused to accept any application or other document submitted by petitioner to DOB, pursuant to Administrative Code of the City of New York § 26-124 (c), for two years to be followed by a three-year probationary period. The modification consisted of vacating the penalty imposed pursuant to Administrative Code § 26-124 (c).

Matter of St. Clair Nation v City of New York, 60 AD3d 468, reversed.

HEADNOTES

Statutes — Retroactive Application of Statute — Statutory Provision Applicable to Future Transactions Based on Events Occurring Prior to Effective Date

1. The penalty imposed upon petitioner licensed engineer by the Commissioner of the New York City Department of Buildings (DOB) whereby, pursuant to Administrative Code of the City of New York § 26-124 (c) (recodified as Administrative Code § 28-211.1.2), the Commissioner was authorized to refuse to accept any application or other document submitted by petitioner to the DOB for a period of two years followed by a three-year probationary period, and which was based on negligent acts committed by petitioner prior to the enactment of the statutory provision, did not amount to an improper retroactive application of the provision. Where the requirements for engaging in a specific professional activity are amended to govern future eligibility, a statute does not operate retroactively notwithstanding that its application may be triggered by an event which occurred prior to its effective date. Administrative Code § 26-124 (c), enacted for the purpose of promoting public safety and preventing the waste of taxpayer money by eliminating the filing of false

information with the DOB, authorizes the Commissioner to refuse to accept applications or documents from any person found to have knowingly or negligently submitted false materials. By its terms, section 26-124 (c) aims to regulate future professional activity. The fact that petitioner's inability to file papers with DOB for a future period of time was predicated on prior false filings did not render the Commissioner's application of the provision retroactive.

Constitutional Law — Ex Post Facto Law — Statutory Provision Applicable to Future Transactions Based on Events Occurring Prior to Effective Date

2. Administrative Code of the City of New York § 26-124 (c) (recodified as Administrative Code § 28-211.1.2), pursuant to which the Commissioner of the New York City Department of Buildings (DOB) was authorized to refuse to accept any application or other document submitted by petitioner licensed engineer to the DOB for a period of two years followed by a three-year probationary period, did not constitute an unconstitutional ex post facto law as applied to petitioner even though the penalty imposed under the provision was based on negligent acts committed by petitioner prior to the enactment of the statutory provision. Administrative Code § 26-124 (c) was enacted for the purpose of promoting public safety and preventing the waste of taxpayer money by eliminating the filing of false information to the DOB. Under the statute, the Commissioner is authorized to refuse to accept applications or documents from any person found to have knowingly or negligently submitted false materials. Thus, by its terms, section 26-124 (c) aims to regulate future eligibility, and the fact that petitioner's inability to file papers with DOB for a future period of time was predicated on prior false filings did not render the statute an ex post facto law as applied to him.

Municipal Corporations — Permits — Penalty for Filing False Information with New York City Department of Buildings

3. The determination by respondent Commissioner of the New York City Department of Buildings (DOB) to refuse to accept any application or other document submitted to the DOB by petitioner licensed engineer for two years followed by a three-year probationary period (Administrative Code of City of NY § 26-124 [c] [recodified as Administrative Code § 28-211.1.2]) based upon petitioner's negligent certification of the accuracy of altered photographs in connection with two separate properties and submission of a deceptive application for alterations in connection with a third property did not shock the conscience, inasmuch as it was based on petitioner's repeated certification and submission of false materials.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law § 259; AM JUR 2d, Constitutional Law §§ 689–692, 698; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions § 368.

NY JUR 2d, Businesses and Occupations §§ 22, 86, 271; NY JUR 2d, Constitutional Law §§ 289, 293; NY JUR 2d, Counties, Towns, and Municipal Corporations § 313.

ANNOTATION REFERENCE

Revocation or suspension of license of professional engineer. 64 ALR3d 509.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: retroactive! /s regulation & engineer /s licens! & penalty

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Cheryl Payer* and *Stephen J. McGrath* of counsel), for appellants. The Appellate Division erred in holding that the withdrawal of petitioner's filing privileges for two years is a retroactive application of Administrative Code of the City of New York § 26-124 (c) (now Administrative Code § 28-211.1.2) which is a regulatory and not a penal statute. (*Matter of Miller v DeBuono*, 90 NY2d 783; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *People v Weinberg*, 83 NY2d 262; *Matter of Abrams v Brady*, 77 NY2d 741; *Matter of Allied Grocers Coop. v Tax Appeals Trib.*, 162 AD2d 791; *Matter of Springer v Whalen*, 68 AD2d 1011, 47 NY2d 710; *Flemming v Nestor*, 363 US 603; *De Veau v Braisted*, 363 US 144; *Landgraf v USI Film Products*, 511 US 244; *Calder v Bull*, 3 Dallas [3 US] 386.)

Gregory Chillino, New York City, and *Stuart A. Klein* for respondent. Respondents-appellants' imposition of Administrative Code of the City of New York § 26-124 (c) is unconstitutional and otherwise unlawful. (*Matter of Mulligan v Murphy*, 14 NY2d 223; *People v Oliver*, 1 NY2d 152; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Fernandez-Vargas v Gonzales*, 548 US 30; *Landgraf v USI Film Products*, 511 US 244; *People v O'Brien*, 111 NY 1; *Garzo v Maid of Mist Steamboat Co.*, 303 NY 516; *Buccino v Continental Assur. Co.*, 578 F Supp 1518; *Matter of Cortland-Clinton, Inc. v New York State Dept. of Health*, 59 AD2d 228; *Matter of Garcia v Department of Educ. of City of N.Y.*, 18 Misc 3d 503.)

OPINION OF THE COURT

GRAFFEO, J.

We conclude that the Commissioner of the New York City Department of Buildings (DOB) properly relied on New York City Administrative Code § 26-124 (c) in refusing to accept any

documents submitted by petitioner, a professional engineer, for two years, followed by a three-year probationary period.

Petitioner Leon St. Clair Nation is an engineer licensed by the New York State Department of Education. In 2004, he placed his seal on digitally altered photographs submitted to DOB in connection with a pavement plan for a building under construction in Brooklyn. In early 2005, petitioner attested the accuracy of a falsified photograph in support of another pavement plan for a separate Brooklyn property. The following year, he offered a false application to DOB for alterations to a nonexistent second floor of a third Brooklyn parcel.

As a result of these filings, DOB commenced an administrative proceeding before the New York City Office of Administrative Trials and Hearings seeking to revoke petitioner's professional certification privileges. Following a hearing, the Administrative Law Judge (ALJ) found, by a preponderance of the evidence, that petitioner had negligently certified the accuracy of the altered photographs and submitted a deceptive application, resulting in a recommendation that his professional certification privileges be rescinded.

The DOB Commissioner adopted the ALJ's recommendation and revoked petitioner's certification privileges with respect to the agency's "Limited Supervisory Check and/or Professional Certification Program" (*see* 1 RCNY 21-01). Relying on a recently enacted provision—Administrative Code § 26-124 (c)—the Commissioner further precluded petitioner from filing any application or document with DOB, whether in connection with the Limited Supervisory Check/Professional Certification Program or otherwise, for two years, effective January 15, 2008, to be followed by a three-year probationary period.

Petitioner responded by commencing this CPLR article 78 proceeding challenging the Commissioner's determination. He argued that the determination was not supported by substantial evidence; that the revocation of his certification privileges was excessive; and that Administrative Code § 26-124 (c) was inapplicable because it was enacted in 2007 after he engaged in the acts charged against him.

Upon transfer of the proceeding to the Appellate Division, that Court modified to the extent of vacating the penalty imposed pursuant to Administrative Code § 26-124 (c), and otherwise confirmed the determination (60 AD3d 468 [1st Dept 2009]). The Court held that substantial evidence supported the

Commissioner's determination that petitioner negligently certified the accuracy of submissions and that the Commissioner's revocation of certification privileges did not shock the judicial conscience. But the Court held that Administrative Code § 26-124 (c) could not be applied retroactively by the Commissioner to bar petitioner from submitting any documents to DOB for two years, together with the three-year probationary period. We granted DOB leave to appeal (12 NY3d 713 [2009]).¹

New York City Administrative Code § 26-124 (c) provides, in relevant part:

“In addition to any other penalty provided by law, the commissioner may refuse to accept any application or other document . . . that bears the signature of any person who has been found, after a hearing at the office of administrative trials and hearings pursuant to the department's rules, . . . to have knowingly or negligently falsified or allowed to be falsified any certificate, form, signed statement, application, [or] report.”²

Adopted by the Legislature in 2007, this provision was designed to “promote public safety and prevent the waste of taxpayer dollars by eliminating the repeated filing of false information relating to the construction and repair of buildings in New York City” (Senate Introducer Mem in Support, Bill Jacket, L 2007, ch 542, at 8, reprinted at 2007 McKinney's Session Laws of NY, at 2041).

DOB argues that the Appellate Division erred in concluding that Administrative Code § 26-124 (c) was inapplicable in this proceeding. Relying on *Matter of Miller v DeBuono* (90 NY2d 783 [1997]), DOB submits that the Commissioner's refusal to accept documents from petitioner for a future period of time did not amount to an improper retroactive application of the provision. We agree.

It is well settled under New York law that retroactive operation of legislation “is not favored by courts and statutes will not

1. Petitioner has not challenged in this Court the Appellate Division's conclusions that the determination was supported by substantial evidence and that revocation of petitioner's certification privileges under the Limited Supervisory Check/Professional Certification Program did not shock the conscience.

2. Pursuant to Local Law No. 8 (2008) § 21 of the City of New York, New York City Administrative Code § 26-124 (c) was recodified with minor changes in wording as Administrative Code § 28-211.1.2.

be given such construction unless the language expressly or by necessary implication requires it” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 584 [1998]). But it is also true that “[a] statute is not retroactive . . . when made to apply to future transactions merely because such transactions relate to and are founded upon antecedent events” (*Forti v New York State Ethics Commn.*, 75 NY2d 596, 609 [1990] [internal quotation marks and citation omitted]).

In *Miller*, a nurse aide physically abused a nursing home patient in 1991. After a hearing, the Commissioner of Health sustained the charge of patient abuse. Pursuant to 10 NYCRR 415.4 (b) (1) (ii) (b), enacted after the incident took place, the nurse aide was fired and prohibited from future employment with any nursing home. She commenced a CPLR article 78 proceeding, challenging the Commissioner’s retroactive enforcement of a regulation barring future employment once a finding of abuse had been lodged with the Nurse Aide Registry.

In rejecting the nurse aide’s contention, we concluded in *Miller* that the regulation had not been inappropriately applied retroactively. We reasoned that “where the requirements for engaging in specified professional activity are changed to govern future professional eligibility, a statute does not operate retroactively in any true sense even though its application may be triggered by an event which occurred prior to its effective date” (90 NY2d at 790 [internal quotation marks, citations, brackets and emphasis omitted]). We further explained that the provision was a safety measure designed to regulate future employment by precluding nursing homes from hiring nurse aides who had been previously found guilty of abuse. As a result, the Commissioner’s application of the regulation was not improper merely because the nurse aide’s disqualifying conduct occurred before its promulgation.

[1, 2] The *Miller* rationale controls the question of retroactivity in this case. Administrative Code § 26-124 (c) authorizes the Commissioner to refuse to accept applications or documents from “any person” found to have knowingly or negligently submitted falsified materials to DOB. By its terms, the provision aims to regulate future professional eligibility. And similar to the regulation at issue in *Miller*, the underlying purpose of the code provision is to promote public safety given the vast number of documents filed with and relied upon by DOB each year. The fact that petitioner’s inability to file papers with DOB for a future period of time is predicated on prior false filings

does not render the Commissioner's application of the provision retroactive.³ Hence, contrary to petitioner's position, "the principles of statutory construction which require clear expression of a legislative intention to make a new provision retroactive are inapplicable here" (*Forti*, 75 NY2d at 610 [citations omitted]).

[3] The Commissioner therefore properly relied on Administrative Code § 26-124 (c) in determining that DOB would preclude petitioner from submitting any documents for two years, with a three-year probationary period thereafter. Based on petitioner's repeated certification and submission of false materials, we further conclude that the Commissioner's determination does not shock the conscience (*see Matter of Kelly v Safir*, 96 NY2d 32, 38 [2001], *rearg denied* 96 NY2d 854 [2001]).

Accordingly, the judgment of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the petition dismissed in its entirety.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Judgment, insofar as appealed from, reversed, etc.

3. [2] For the same reason, we reject petitioner's contention that Administrative Code § 26-124 (c), as applied to him, constitutes an ex post facto law in violation of the Federal Constitution (*see Forti*, 75 NY2d at 610 n 4).

[928 NE2d 383, 902 NYS2d 1]

In the Matter of LORRAINE C. BRADY, Respondent, v THE WILLIAMS CAPITAL GROUP, L.P., Appellant, and AMERICAN ARBITRATION ASSOCIATION, INC., Respondent.

Argued February 10, 2010; decided March 25, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 30, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Nicholas Figueroa, J.; op 17 Misc 3d 325), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to compel respondent American Arbitration Association (AAA), pursuant to CPLR article 78, to enter a default judgment against respondent The Williams Capital Group, L.P. (Williams) in the employment discrimination arbitration commenced by petitioner against respondent Williams before respondent AAA, or to compel respondent Williams, pursuant to CPLR 7503, to pay the arbitration fees, and dismissed the proceeding; and (2) granted the petition to the extent of directing respondent Williams to pay the arbitration fees, subject later to reallocation of those costs by the arbitrator.

Brady v Williams Capital Group, L.P., 64 AD3d 127, modified.

HEADNOTES

Arbitration — Agreement to Arbitrate — Enforceability of Provision for Splitting Cost of Arbitrator — Failure to Consider Relevant Criteria

1. For the purpose of determining the respective obligations of petitioner former employee and respondent employer to pay the fees and costs of the arbitration of petitioner's employment discrimination claim, the provision in the parties' arbitration agreement requiring the parties to equally share the fees and costs of the arbitrator, rather than the American Arbitration Association's (AAA) conflicting "employer-pays" rule, controlled. The lower courts, however, erred as a matter of law in reaching their respective conclusions regarding the enforceability of the "equal share" provision. Neither lower court took into account all of the criteria that were relevant in resolving the "financial ability" question. Accordingly, the matter was remitted to Supreme Court for a hearing to consider, at the minimum, whether the petitioner could pay the arbitration fees and costs; what the expected cost differential was between arbitration and litigation in court; and whether the cost differential was so substantial as to deter the bringing of claims in the arbitral forum. If the equal share provision were found to be unenforceable, Supreme Court should decide, in the first instance, whether to sever the clause and

enforce the rest of the arbitration agreement, or to offer petitioner a choice between accepting the equal share provision or bringing a lawsuit in court.

Arbitration — Agreement to Arbitrate — Enforceability of Provision for Splitting Cost of Arbitrator — Relevant Criteria to be Considered

2. In determining the enforceability of a provision in an arbitration agreement requiring the parties to equally share the fees and costs of the arbitrator, the issue of a litigant's financial ability is to be resolved on a case-by-case basis. The inquiry should at minimum consider the following questions: whether the litigant can pay the arbitration fees and costs; what is the expected cost differential between arbitration and litigation in court; and whether the cost differential is so substantial as to deter the bringing of claims in the arbitral forum. Although a full hearing is not required in all situations, there should be a written record of the findings pertaining to a litigant's financial ability. The precise documentation a court should request to resolve the issue is best left to the court's discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 49, 155.
CARMODY-WAIT 2d, Arbitration §§ 141:9, 141:110, 141:172.
NY JUR 2d, Arbitration and Award §§ 53, 89, 94, 151.
SIEGEL, NY PRAC §§ 588, 600.

ANNOTATION REFERENCE

Liability of parties to arbitration for costs, fees, and expenses. 57 ALR3d 633.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: arbitration /2 agreement & shar! /s fee /4 cost & financial /3 ability

POINTS OF COUNSEL

Schiff Hardin LLP, New York City (*Marc L. Silverman* and *M. Eleanor Ignacio* of counsel), for appellant. I. The Appellate Division majority erred by severing the cost-sharing provision instead of invalidating the agreement. (*Szigyarto v Szigyarto*, 64 NY2d 275; *Puderbaugh v State Empls. Fed. Credit Union*, 276 AD2d 992; *Recovery Consultants v Shih-Hsieh*, 141 AD2d 272; *Misicki v Caradonna*, 12 NY3d 511; *Matter of Wilson*, 50 NY2d 59; *Volt Information Sciences, Inc. v Board of Trustees of Leland Stanford Junior Univ.*, 489 US 468; *Shankle v B-G Maintenance Mgt. of Colo., Inc.*, 163 F3d 1230; *Matter of Schreiber v K-Sea Transp. Corp.*, 9 NY3d 331;

Mazera v Varsity Ford Mgt. Servs., LLC, 565 F3d 997; *Philips v Associates Home Equity Servs., Inc.*, 179 F Supp 2d 840.) II. The Appellate Division majority erred when it determined that the cost-sharing provision of the agreement violated public policy because Lorraine Brady failed to demonstrate that the cost-sharing provision prohibits her from vindicating her statutory rights. (*Green Tree Financial Corp.-Ala. v Randolph*, 531 US 79; *Bradford v Rockwell Semiconductor Sys., Inc.*, 238 F3d 549; *Howard v Anderson*, 36 F Supp 2d 183; *Rollins, Inc. v Foster*, 991 F Supp 1426; *Matter of Schreiber v K-Sea Transp. Corp.*, 9 NY3d 331; *Arakawa v Japan Network Group*, 56 F Supp 2d 349; *James v McDonald's Corp.*, 417 F3d 672; *Knolls Coop. Section No. 2 v Evans Dev. Corp.*, 169 AD2d 690; *Hooters of Am., Inc. v Philips*, 173 F3d 933; *Rosenberg v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 170 F3d 1.)

Law Offices of William H. Roth, New York City (William H. Roth of counsel), for respondent. I. Lorraine Brady properly raised the argument that public policy prohibited the imposition of arbitrator's fees at the trial court and preserved that issue for appellate review. (*Gilmer v Interstate/Johnson Lane Corp.*, 500 US 20; *805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447; *Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Szigyarto v Szigyarto*, 64 NY2d 275; *Puderbaugh v State Empls. Fed. Credit Union*, 276 AD2d 992; *Recovery Consultants v Shih-Hsieh*, 141 AD2d 272; *Misicki v Caradonna*, 12 NY3d 511.) II. Public policy is violated when an employee is compelled to pay \$21,150 in order to adjudicate a claim of employment discrimination. (*Circuit City Stores, Inc. v Adams*, 532 US 105; *Credit Suisse First Boston Corp. v Pitofsky*, 4 NY3d 149; *Matter of Schreiber v K-Sea Transp. Corp.*, 9 NY3d 331; *Green Tree Financial Corp.-Ala. v Randolph*, 531 US 79; *Matter of Teleserve Sys. [MCI Telecom. Corp.]*, 230 AD2d 585; *Shankle v B-G Maintenance Mgt. of Colo., Inc.*, 163 F3d 1230; *Spinetti v Service Corp. Intl.*, 324 F3d 212; *Howard v Anderson*, 36 F Supp 2d 183; *Cole v Burns Intl. Sec. Servs.*, 105 F3d 1465; *Bradford v Rockwell Semiconductor Sys., Inc.*, 238 F3d 549.) III. A party cannot be relieved of its obligation to comply with the rules of an adjudicatory body it has selected. (*Kashner Davidson Sec. Corp. v Mscisz*, 531 F3d 68; *Matter of Warner Bros. Records [PPX Enters.]*, 7 AD3d 330; *Ling Ling Yung v County of Nasau*, 77 NY2d 568.)

OPINION OF THE COURT

JONES, J.

At issue is whether petitioner met her burden of demonstrating that an arbitration agreement's provision for the equal sharing of arbitration fees and costs precluded petitioner from pursuing her statutory rights in the arbitral forum. Because neither lower court made a finding regarding petitioner's financial ability, we remit this matter to Supreme Court for a hearing to determine, in light of the standard we enunciate today, whether petitioner was financially able to share equally in the arbitration fees and costs.

On January 19, 1999, respondent The Williams Capital Group, L.P. (Williams), an investment bank and broker-dealer of debt and equity securities, hired petitioner to sell fixed income securities. As a representative of respondent Williams, petitioner was required to execute a Uniform Application for Securities Industry Registration or Transfer (Form U-4) in order to become registered with the National Association of Securities Dealers (NASD). Accordingly, petitioner, a "registered" salesperson of fixed income securities, was subject to NASD rules. Under NASD rule 10201 (b), for example, "[a] claim alleging employment discrimination, including a sexual harassment claim, in violation of a statute is not required to be arbitrated. Such a claim may be arbitrated only if the parties have agreed to arbitrate it, either before or after the dispute arose."

In 2000, respondent Williams promulgated an employee manual that all of its employees, including petitioner, were required to sign and abide by as a condition of continued employment. Incorporated within the employment manual was a "MUTUAL AGREEMENT TO ARBITRATE CLAIMS" (Arbitration Agreement or Agreement) under which respondent Williams and each of its employees agreed (1) that all disputes were to be arbitrated (so that the parties would enjoy "the benefits of a speedy, impartial dispute-resolution procedure") and (2) to equally share the fees and costs of the arbitrator. At the time the Arbitration Agreement was entered into, its "equal share" provision was consistent with respondent American Arbitration Association's (AAA) rules (which provided that parties to an AAA arbitration would share the cost of the arbitrator's fee). The Agreement includes the following provision:

"The Company and I agree that, *except as provided in this Agreement*, any arbitration shall be in

accordance with the then-current Model Employment Arbitration Procedures of the [AAA] before an arbitrator who is licensed to practice law in the state in which the arbitration is convened (“the Arbitrator”). The arbitration shall take place in or near the city in which I am or was last employed by the Company” (emphasis added).

On February 28, 2005, respondent Williams terminated petitioner’s employment. During each year in the employ of respondent Williams, petitioner earned \$100,000 or more. Specifically, she earned \$100,000 in 1999, \$137,500 in 2000, \$324,000 in 2001, \$356,000 in 2002, \$405,000 in 2003 and \$204,691 in 2004.

Initially, after petitioner’s termination, neither respondent Williams nor petitioner sought to compel arbitration. Petitioner, instead, filed a discrimination complaint with the New York State Division of Human Rights (DHR). For a time, she and respondent Williams conducted discovery in that forum. However, after approximately eight months, and before any decision was rendered by DHR, petitioner voluntarily withdrew her complaint.

On December 22, 2005, petitioner filed a demand for arbitration with respondent AAA, seeking money damages against respondent Williams. Petitioner claimed that respondent Williams terminated her employment based on her race and/or sex in violation of title VII of the Civil Rights Act of 1964, article 15 of the New York State Executive Law and title 8 of the Administrative Code of the City of New York (Civil Rights Law). At the time petitioner filed the demand, the AAA rules, which were amended in 2002, required employers to pay all arbitration expenses and the arbitrator’s compensation (referred to as the AAA’s “employer-pays” rule).

Approximately two weeks later, respondent AAA, by letter, notified the parties of its determination that the dispute arose from an “Employer Promulgated Plan,” and that the arbitration would be conducted consistent with respondent AAA’s National Rules for the Resolution of Employment Disputes (National Rules). For example, under National Rules § 1,

“[t]he parties shall be deemed to have made these rules a part of their arbitration agreement whenever they have provided for arbitration by the [AAA] or under its National Rules for the Resolution of

Employment Disputes. If a party establishes that an adverse material inconsistency exists between the arbitration agreement and these rules, the arbitrator shall apply these rules.”

On or about March 30, 2006, respondent AAA, in accordance with its “employer-pays” rule, sent respondent Williams an invoice/statement for \$42,300, which represented the entire advance payment for the arbitrator’s compensation. Citing the Arbitration Agreement, respondent Williams refused to pay the entire amount of the arbitrator’s compensation, and demanded that petitioner pay half in accordance with the Arbitration Agreement. Petitioner refused to make any payment.

Subsequently, respondent AAA, citing its rules, advised the parties that petitioner’s position was accurate. After numerous attempts to secure full payment of the arbitrator’s fee from respondent Williams, the AAA cancelled the arbitration on or about October 5, 2006.

By verified petition dated October 2, 2006, petitioner commenced this CPLR article 78 proceeding seeking to compel respondent Williams to pay the arbitrator’s fee or to compel respondent AAA to enter a default judgment against Williams for failing to do so. Supreme Court dismissed the petition in its entirety, holding that the parties’ Arbitration Agreement, rather than the AAA rules, governed. In addition, the court, citing petitioner’s earnings while she was employed by respondent Williams, rejected the argument that requiring petitioner to pay half of the arbitrator’s compensation (\$21,150) was prohibitively expensive.

In a 3-2 decision, the Appellate Division reversed and directed respondent Williams to pay the entire arbitration fee “subject later to reallocation of those costs by the arbitrator” (64 AD3d 127, 138 [2009]). Although the majority agreed with Supreme Court that the AAA rules did not supercede the Arbitration Agreement, they held that the “equal share” provision of the Agreement was unenforceable as against public policy. In so holding, the majority found that petitioner met her burden of establishing that the arbitration fees and costs were so high as to discourage her from vindicating her state and federal statutory rights in the arbitral forum. Finally, the majority, noting that the State favors arbitration, concluded it was proper to sever the “equal share” provision rather than void the entire agreement.

According to the dissenting Justices, because petitioner “failed to present any facts bearing on . . . the extent of her financial resources and the extent to which the costs . . . she would incur[—]if the [‘equal share’] provision were enforced[—] would exceed the costs she would incur if she litigated her claims in court,” she was not entitled to a ruling that the “equal share” provision was unenforceable on public policy grounds (*id.* at 139). Alternatively, the dissenters argued that even if the provision is unenforceable, the proper remedy was to disregard, not modify, the Arbitration Agreement.

Respondent Williams appeals as of right pursuant to CPLR 5601 (a). We now modify the order of the Appellate Division and remit to Supreme Court for a hearing concerning petitioner’s financial ability.

[1] At the outset we agree with the lower courts that the terms of the parties’ Arbitration Agreement, rather than the AAA rules, controlled. In addition, we note (1) “arbitration is a creature of contract, and it has long been the policy of this State to interfere as little as possible with the freedom of consenting parties in structuring their arbitration relationship” (*Credit Suisse First Boston Corp. v Pitofsky*, 4 NY3d 149, 155 [2005] [citation and internal quotation marks omitted]) and (2) “[t]he court’s role is limited to interpretation and enforcement of the terms agreed to by the parties” (*Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith*, 85 NY2d 173, 182 [1995]). Here, the lower courts, in determining the enforceability of the Arbitration Agreement’s fee and cost sharing provision, erred.

Specifically, in passing on the question before this Court, Supreme Court focused on the petitioner’s earnings during her years in respondent Williams’s employ, but did not inquire as to whether petitioner could pay her share of the arbitrator’s fee or whether requiring petitioner to share such costs could preclude her from pursuing her statutory rights in the arbitral forum. The Appellate Division, on the contrary, focused on the fact that petitioner was unemployed for 18 months at the time this article 78 proceeding was commenced and the amount of her share of the arbitration fees and costs under the Agreement.

Although these facts are important, they fail to resolve the question whether petitioner was financially able to share the arbitration costs. Despite their efforts, neither lower court took into account all of the criteria we find relevant in resolving the “financial ability” question. Thus, in reaching their respective

conclusions regarding the enforceability of the “equal share” provision, the lower courts erred as a matter of law.

On the other hand, this Court has never previously set forth the appropriate basis to address the issue the lower courts grappled with. We do so now and remit to Supreme Court for a hearing in accordance with this approach. In determining the relevant factors a court must take into account, we find it useful to consider how the federal courts have resolved this query.

In *Gilmer v Interstate/Johnson Lane Corp.* (500 US 20 [1991]), petitioner sued his former employer for age discrimination. In holding that petitioner’s claim was subject to compulsory arbitration pursuant to an arbitration agreement incorporated in a securities registration application, the United States Supreme Court reasoned: (1) statutory claims can be subject to mandatory arbitration agreements (*see* 500 US at 35); (2) such agreements are enforceable because the arbitral forum, through which statutory claims can be resolved, provides an adequate alternative to litigation in court (*id.* at 28); and (3) “[s]o long as the prospective litigant effectively may vindicate [his or her] statutory cause of action in the arbitral forum, the statute will continue to serve both its remedial and deterrent function” (500 US at 28, quoting *Mitsubishi Motors Corp. v Soler Chrysler-Plymouth, Inc.*, 473 US 614, 637 [1985]).

Nearly a decade later the Supreme Court decided *Green Tree Financial Corp.-Ala. v Randolph* (531 US 79 [2000]). In *Green Tree*, the Supreme Court, applying *Gilmer*, recognized that “the existence of large arbitration costs could preclude a litigant . . . from effectively vindicating her federal statutory rights in the arbitral forum” (531 US at 90), a result which cuts against the broad public policy in favor of arbitration. Further, the Supreme Court adopted a case-by-case approach by ruling that “where . . . a party seeks to invalidate an arbitration agreement on the ground that arbitration would be prohibitively expensive, that party bears the burden of showing the likelihood of incurring [the] costs” that would deter the party from arbitrating the claim (*id.* at 92). Although the *Green Tree* Court did not set forth a standard of how detailed a showing the party seeking to invalidate an arbitration agreement must make, the Court held the “risk” of “prohibitive costs is too speculative to justify the invalidation of an arbitration agreement” (*id.* at 91).

Taking a cue from *Gilmer* and *Green Tree*, the United States Court of Appeals for the Fourth Circuit decided *Bradford v*

Rockwell Semiconductor Sys., Inc. (238 F3d 549 [2001]), a case involving a fee-splitting provision similar to the provision at issue here. In *Bradford*, the issue was whether a mandatory arbitration agreement's fee-splitting provision, which required an employee to share the arbitration costs, renders the agreement unenforceable as a matter of law. The Fourth Circuit, consistent with the teachings of *Green Tree*, answered in the negative, holding that questions as to a fee-splitting provision's enforceability should be resolved on a case-by-case basis and that the analysis should focus on "the claimant's ability to pay the arbitration fees and costs, the expected cost differential between arbitration and litigation in court, and whether that cost differential is so substantial as to deter the bringing of claims" (*Bradford*, 238 F3d at 556).

In adopting the standard New York courts are to apply in resolving the question of a litigant's financial ability, we are mindful of the strong state policy favoring arbitration agreements and the equally strong policy requiring the invalidation of such agreements when they contain terms that could preclude a litigant from vindicating his/her statutory rights in the arbitral forum. We believe that the case-by-case, fact-specific approach employed by the federal courts (*see e.g. Bradford; Morrison v Circuit City Stores, Inc.*, 317 F3d 646 [6th Cir 2003]; *Spinetti v Service Corp. Intl.*, 324 F3d 212, 218 [3d Cir 2003]), as well as the principles set forth in *Gilmer* and *Green Tree*, properly acknowledges and balances these competing policies.

[2] Based on the foregoing, we hold that in this context, the issue of a litigant's financial ability is to be resolved on a case-by-case basis and that the inquiry should at minimum consider the following questions: (1) whether the litigant can pay the arbitration fees and costs; (2) what is the expected cost differential between arbitration and litigation in court; and (3) whether the cost differential is so substantial as to deter the bringing of claims in the arbitral forum (*see Bradford*, 238 F3d at 556). Although a full hearing is not required in all situations, there should be a written record of the findings pertaining to a litigant's financial ability. Finally, we do not see the need to detail the precise documentation a court should request to resolve this issue. Such matters are best left to the court's discretion.

[1] Because we are remitting this matter for a hearing, we do not decide what the remedy should be if the "equal share" provision is found unenforceable. If that happens, Supreme Court

should decide, in the first instance, whether to sever the clause and enforce the rest of the Arbitration Agreement, or to offer petitioner a choice between accepting the “equal share” provision or bringing a lawsuit in court.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order modified, etc.

[928 NE2d 1035, 902 NYS2d 838]

DOMINIKA ZAKRZEWSKA, Respondent, v THE NEW SCHOOL, Appellant, et al., Defendant.

Argued March 22, 2010; decided May 6, 2010

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does the affirmative defense to employer liability articulated in *Faragher v. City of Boca Raton*, 524 U.S. 775 (1998) and *Burlington Industries, Inc. v. Ellerth*, 524 U.S. 742 (1998) apply to sexual harassment and retaliation claims under section 8-107 of the New York City Administrative Code?”

HEADNOTES

Civil Rights — New York City Human Rights Law — Affirmative Defense

1. The affirmative defense to employer liability under title VII of the Civil Rights Act of 1964 articulated in *Faragher v. City of Boca Raton* (524 US 775 [1998]) and *Burlington Industries, Inc. v. Ellerth* (524 US 742 [1998]) was inapplicable in an action alleging sexual harassment and retaliation under the New York City Human Rights Law (NYCHRL) (Administrative Code of City of NY § 8-107). The *Faragher- Ellerth* defense provides that an employer is not liable under title VII for sexual harassment committed by a supervisory employee if no tangible employment action was taken as part of the alleged harassment, the employer exercised reasonable care to prevent and correct promptly any sexually harassing behavior, and the plaintiff employee unreasonably failed to take advantage of any preventive or corrective opportunities provided by the employer or to avoid harm otherwise. The plain language of the NYCHRL precludes the *Faragher- Ellerth* defense. The NYCHRL imposes liability on the employer where (1) the offending employee “exercised managerial or supervisory responsibility,” or (2) the employer knew of the offending employee’s unlawful discriminatory conduct and acquiesced in it or failed to take “immediate and appropriate corrective action” or (3) the employer “should have known” of the offending employee’s unlawful discriminatory conduct yet “failed to exercise reasonable diligence to prevent [it]” (Administrative Code § 8-107 [13] [b] [1]-[3]). In the first two instances, an employer’s antidiscrimination policies and procedures may be considered “in mitigation of the amount of civil penalties or punitive damages” recoverable in a civil action (*see* Administrative Code § 8-107 [13] [e]). As a result, even in cases where mitigation applies, compensatory damages, costs and reasonable attorneys’ fees are still recoverable. Further, an employer’s antidiscrimination policies and procedures—which are at the heart

of the *Faragher-Ellerth* defense—shield against liability, rather than merely diminish otherwise potentially recoverable civil penalties and punitive damages, only where an employer should have known of a *non-supervisory* employee's unlawful discriminatory acts.

Civil Rights — New York City Human Rights Law — Unlawful Discriminatory Practices — New York City Human Rights Law Not Inconsistent with State Laws

2. New York City Human Rights Law (NYCHRL) § 8-107 (13), which imposes liability on an employer for certain unlawful discriminatory practices, is not inconsistent with state laws. Article IX, § 2 (c) of the New York Constitution vests local governments with the power to enact only those laws that are not inconsistent with state law. A local law is inconsistent where it prohibits what would be permissible under state law or imposes prerequisite additional restrictions on rights under state law, so as to inhibit the operation of the state's general laws. A local law may, however, provide a greater penalty than state law. Section 8-107 (13) is consistent with Executive Law § 296, the state antidiscrimination statute. Both prohibit discrimination; NYCHRL § 8-107 merely creates a greater penalty for unlawful discrimination.

Civil Rights — New York City Human Rights Law — Unlawful Discriminatory Practices — Liability of Employer

3. New York City Human Rights Law (NYCHRL) § 8-107 (13) (b), which imposes liability on an employer for certain unlawful discriminatory practices, is applicable to all managers and supervisors notwithstanding public policy arguments against the imposition of strict liability for discrimination. Ultimately such considerations relevant to policy judgments are properly made by legislatures. By the plain language of NYCHRL § 8-107 (13) (b), whether the employer encourages, condones or approves the unlawful discriminatory acts may not be considered so long as the offending employee exercised managerial or supervisory control.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Job Discrimination §§ 829, 847–850, 853–858, 2442, 2496.

McKINNEY's, Executive Law § 296; NY Const, art IX, § 2 (c).

NY JUR 2d, Civil Rights §§ 29, 36, 39, 70–73, 157.

ANNOTATION REFERENCES

When is supervisor's or coemployer's hostile environment sexual harassment imputable to employer under state law. 94 ALR5th 1.

When is supervisor's hostile environment sexual harassment under Title VII of Civil Rights Act of 1964 (42 USCA § 2000e *et seq.*) imputable to employer. 157 ALR Fed 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: city /2 human /2 rights /2 law /s sex! /2 harass! /p
affirmative /2 defense

POINTS OF COUNSEL

Ward Norris Heller & Reidy LLP, Rochester (*Thomas S. D'Antonio* and *Meghan M. DiPasquale* of counsel), for appellant. I. Existing precedent supports application of the *Faragher/ Ellerth* defense (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]) to the claims in this case. (*Kolpien v Family Dollar Stores of Wis., Inc.*, 402 F Supp 2d 971; *Matter of Winkler v New York State Div. of Human Rights*, 59 AD3d 1055, 66 AD3d 1499; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Dunn v Astoria Fed. Sav. & Loan Assn.*, 51 AD3d 474, 11 NY3d 705; *Pace v Ogden Servs. Corp.*, 257 AD2d 101; *Ferraro v Kellwood Co.*, 440 F3d 96; *Randall v Tod-Nik Audiology*, 270 AD2d 38; *Barnum v New York City Tr. Auth.*, 62 AD3d 736; *Citroner v Progressive Cas. Ins. Co.*, 208 F Supp 2d 328; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21.) II. The imposition of strict liability on The New School for Kwang-Wen Pan's acts is inconsistent with, and unsupported by, New York law. (*New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Matter of Levy v City Commn. on Human Rights*, 85 NY2d 740; *F. T. B. Realty Corp. v Goodman*, 300 NY 140; *Matter of Kress & Co. v Department of Health*, 283 NY 55; *Wholesale Laundry Bd. of Trade v City of New York*, 17 AD2d 327, 12 NY2d 998; *RJC Realty Holding Corp. v Republic Franklin Ins. Co.*, 2 NY3d 158; *Baker v Allen & Arnink Auto Renting Co.*, 231 NY 8, 543; *Jones v Weigand*, 134 App Div 644; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247.) III. Even if *Faragher/ Ellerth* (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]) is held inapplicable, the New York City Human Rights Law must be interpreted consistent with established pre-*Faragher/ Ellerth* law, and plaintiff's claims are equally untenable as a result. (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Feingold v State of New York*, 366 F3d 138; *Matter of Father Belle Community Ctr. v New York State Div. of Human Rights*, 221 AD2d 44.) IV. The New York City Human Rights Law does not mandate a strict liability standard for the acts of all supervisory staff. (*Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Meritor Savings Bank, FSB v Vinson*, 477 US 57; *Ferraro v Kellwood*

Co., 440 F3d 96; *Albemarle Paper Co. v Moody*, 422 US 405; *Matter of Father Belle Community Ctr. v New York State Div. of Human Rights*, 221 AD2d 44; *Sormani v Orange County Community Coll.*, 240 AD2d 724.) V. The policy underlying the Human Rights Law actually is impaired by the recognition of strict employer liability on the facts of this case. (*Jansen v Packaging Corp. of Am.*, 123 F3d 490; *Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742.) VI. The 2005 Restoration Act has no application to this case. (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Faragher v Boca Raton*, 524 US 775; *Barnum v New York City Tr. Auth.*, 62 AD3d 736; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Franz v Dregalla*, 94 AD2d 963; *Matter of Saunders v New York State Div. of Human Rights*, 288 AD2d 478; *Matter of United States Power Squadrons v State Human Rights Appeal Bd.*, 59 NY2d 401; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People ex rel. Griffith, Inc. v Loughman*, 249 NY 369; *Lewellyn v Frick*, 268 US 238.) VII. The recent judicial activism from the First Department in this area is irrelevant to this case. (*Williams v New York City Hous. Auth.*, 61 AD3d 62; *Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Bumpus v New York City Tr. Auth.*, 18 Misc 3d 1131[A], 2008 NY Slip Op 50254[U], 66 AD3d 26; *Farrugia v North Shore Univ. Hosp.*, 13 Misc 3d 740; *Misicki v Caradonna*, 12 NY3d 511.)

Giskan Solotaroff Anderson & Stewart LLP, New York City (Jason L. Solotaroff, Darnley D. Stewart and Amanda Masters of counsel), for respondent. I. The plain language of the vicarious liability provisions of the City Human Rights Law precludes application of the *Faragher/Ellerth* defense (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]). (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616.) II. The importation of *Faragher/Ellerth* (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]) would conflict with and undermine the specific intention of the City Council in enacting the vicarious liability provisions, as reflected in the relevant legislative history, and would impermissibly ignore the overall policy—strikingly distinct from title VII of the Civil Rights Act of 1964—that animated the City Human Rights Law. (*Meritor Savings Bank, FSB v Vinson*, 477 US 57.) III. The New School can point to no case applying the vicarious liability provisions of the City

Human Rights Law that holds that the *Faragher/ Ellerth* defense (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]) properly applies to City Human Rights Law claims. (*Matter of Winkler v New York State Div. of Human Rights*, 59 AD3d 1055; *Pace v Ogden Servs. Corp.*, 257 AD2d 101; *Dunn v Astoria Fed. Sav. & Loan Assn.*, 51 AD3d 474; *Randall v Tod-Nik Audiology*, 270 AD2d 38; *Ferraro v Kellwood Co.*, 440 F3d 96; *Citrone v Progressive Cas. Ins. Co.*, 208 F Supp 2d 328; *McGrath v Toys “R” Us, Inc.*, 3 NY3d 421; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Kolpien v Family Dollar Stores of Wis., Inc.*, 402 F Supp 2d 971.) IV. The Local Civil Rights Restoration Act reaffirms the independent purpose and language of the 1991 amendments to the City Human Rights Law, and specifically and unequivocally rejects the “lockstep” approach to City Human Rights Law interpretation. (*McGrath v Toys “R” Us, Inc.*, 3 NY3d 421; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268; *Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Barnum v New York City Tr. Auth.*, 62 AD3d 736; *Matter of Gleason [Michael Vee, Ltd.]*, 96 NY2d 117; *Matter of Solkav Solartechnik, G.m.b.H. [Besicorp Group]*, 91 NY2d 482.) V. The City Council was authorized to legislate that employers would be strictly liable for the discriminatory acts of their managers and supervisors. (*New York State Club Assn. v City of New York*, 69 NY2d 211; *Wholesale Laundry Bd. of Trade v City of New York*, 17 AD2d 327, 12 NY2d 998; *People v Cook*, 34 NY2d 100; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *F. T. B. Realty Corp. v Goodman*, 300 NY 140; *Matter of Kress & Co. v Department of Health*, 283 NY 55; *Krohn v New York City Police Dept.*, 2 NY3d 329.) VI. This Court should not substitute The New School’s policy judgment for that of the City Council. (*Jansen v Packaging Corp. of Am.*, 123 F3d 490; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *Matter of Excellus Health Plan v Serio*, 2 NY3d 166; *Matter of Heitzenrater [Hooker Chem. Corp.—Catherwood]*, 19 NY2d 1.) VII. The Court should not rewrite the New York City Human Rights Law to add a distinction between high-level and low-level supervisors.

Eisenberg & Schnell, LLP, New York City (*Herbert Eisenberg* and *Peter Basso* of counsel), for National Employment Lawyers Association/NY Chapter and others, amici curiae. I. Importing a doctrine judicially designed as a gap-filler for title VII of the Civil Rights Act of 1964, a statute lacking a vicarious liability

provision, into the City Human Rights Law, a statute with a detailed and explicit set of vicarious liability provisions, would violate basic principles of statutory construction. (*Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616; *Meritor Savings Bank, FSB v Vinson*, 477 US 57; *Matter of Totem Taxi v New York State Human Rights Appeal Bd.*, 65 NY2d 300.) II. No case law supports the proposition that *Faragher/Ellerth* (*Faragher v Boca Raton*, 524 US 775 [1998]; *Burlington Industries, Inc. v Ellerth*, 524 US 742 [1998]) is consistent with the language of Administrative Code of the City of New York § 8-107 (13). (*Williams v New York City Hous. Auth.*, 61 AD3d 62.) III. The Restoration Act prohibits reliance on cases that assume City Human Rights Law equivalence with state and federal counterparts, fail to consider the language of the City Human Rights Law, or fail to consider the uniquely broad and remedial purposes of the City Human Rights Law. (*Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Williams v New York City Hous. Auth.*, 61 AD3d 62; *Loeffler v Staten Is. Univ. Hosp.*, 582 F3d 268; *McGrath v Toys “R” Us, Inc.*, 3 NY3d 421; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295; *Ochei v Coler/Goldwater Mem. Hosp.*, 450 F Supp 2d 275; *Matter of Gleason [Michael Vee, Ltd.]*, 96 NY2d 117.) IV. The City Human Rights Law is a valid exercise of local legislative authority. (*Faragher v Boca Raton*, 524 US 775; *Burlington Industries, Inc. v Ellerth*, 524 US 742; *Levin v Yeshiva Univ.*, 96 NY2d 484.)

Bond, Schoeneck & King, PLLC, New York City (Mark N. Reinhartz, Louis P. DiLorenzo and Peter A. Jones of counsel), for Memorial Sloan-Kettering Cancer Center and others, amici curiae. I. The New York City Human Rights Law does not mandate strict liability for conduct by supervisors. (*Matter of Daimler-Chrysler Corp. v Spitzer*, 7 NY3d 653; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of Orens v Novello*, 99 NY2d 180; *Rangolan v County of Nassau*, 96 NY2d 42; *People v Schulz*, 67 NY2d 144; *Matter of Friss v City of Hudson Police Dept.*, 187 AD2d 94; *Kurlander v Incorporated Vil. of Hempstead*, 31 Misc 2d 121; *Matter of Yolanda D.*, 88 NY2d 790; *Matter of Rodriguez v Perales*, 86 NY2d 361; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95.) II. A standard of strict liability is inappropriate for sexual harassment claims. (*Burlington Industries, Inc. v El-*

lerth, 524 US 742; *Faragher v Boca Raton*, 524 US 775; *Shager v Upjohn Co.*, 913 F2d 398; *Meritor Savings Bank, FSB v Vinson*, 477 US 57; *Spier v Barker*, 35 NY2d 444; *A/S Dampskibsselskabet Torm v United States*, 64 F Supp 2d 298; *Federal Ins. Co. v Sabine Towing & Transp. Co., Inc.*, 783 F2d 347; *Ellerman Lines, Ltd. v The President Harding*, 288 F2d 288; *Jansen v Packaging Corp. of Am.*, 123 F3d 490; *Barnes v Costle*, 561 F2d 983.)

OPINION OF THE COURT

READ, J.

In her second amended complaint, dated February 12, 2008, Dominika Zakrzewska brought a diversity suit against Kwang-Wen Pan and The New School in the United States District Court for the Southern District of New York, asserting claims for sexual harassment and retaliation under the New York City Human Rights Law (NYCHRL), title 8 of the New York City Administrative Code. The United States Court of Appeals for the Second Circuit has asked us whether

“the affirmative defense to employer liability articulated in *Faragher v. City of Boca Raton*, 524 U.S. 775 (1998) and *Burlington Industries, Inc. v. Ellerth*, 524 U.S. 742 (1998) appl[ies] to sexual harassment and retaliation claims under section 8-107 of the New York City Administrative Code” (*Zakrzewska v New School*, 574 F3d 24, 28 [2d Cir 2009]).

For the reasons that follow, we answer this question in the negative.

I.

Zakrzewska enrolled as a freshman at the School in the fall of 2002, and worked part time at the Print Output Center, located within the School’s Academic Computing Center, beginning in April 2003. She alleges in her second amended complaint that Pan was her “immediate supervisor” at the Output Center; and that he subjected her to sexually harassing e-mails and conduct, beginning in January 2004 and continuing through May 2005, when she complained to School officials. She further claims that from August 2005 through

2006, Pan covertly monitored her Internet usage at work in retaliation for her accusation.*

On August 13, 2008, the School moved for summary judgment to dismiss Zakrzewska's complaint, arguing that it was not vicariously liable for Pan's alleged sexual harassment, and that Zakrzewska could not establish a *prima facie* case of retaliation. For purposes of ruling on the motion, the District Court assumed that Zakrzewska had shown that she was sexually harassed by Pan; and mentioned that "there [was] at least some evidence that Pan was a manager or supervisor" (*Zakrzewska*, 598 F Supp 2d at 434), or, put another way, that "there [was] evidence from which a jury could conclude that Pan was a supervisory or managerial employee" (*id.* at 437).

The Judge then remarked that federal and state courts usually treat title VII of the Civil Rights Act of 1964 and local anti-discrimination laws as "substantially co-extensive" and therefore examine claims of employer liability for an employee's unlawful discriminatory acts under "the same analytical lens" (*id.* at 431). But here, the parties disagreed as to whether title VII's *Faragher-Ellerth* defense to sexual harassment liability applied under the NYCHRL; and, if it did, whether the School had satisfied its requirements, or, alternatively, a genuine issue of material fact remained (*id.* at 432). As explained by the District Court, the *Faragher-Ellerth* defense provides that

"an employer is not liable under Title VII for sexual harassment committed by a supervisory employee if it sustains the burden of proving that (1) no tangible employment action such as discharge, demotion, or undesirable reassignment was taken as part of the alleged harassment, (2) the employer exercised reasonable care to prevent and correct promptly any sexually harassing behavior, and (3) the plaintiff employee unreasonably failed to take advantage of any preventive or corrective opportunities provided by the employer or to avoid harm otherwise" (*id.* [internal quotation marks omitted]).

Commenting that *Faragher-Ellerth*'s role in NYCHRL cases was "not free from doubt," the Judge elected to consider first whether the School would be entitled to dismissal of the sexual

* The facts underlying this lawsuit are set out in detail in the opinion of the United States District Court for the Southern District of New York (*see Zakrzewska v The New School*, 598 F Supp 2d 426 [SD NY 2009]).

harassment claim under *Faragher-Ellerth* (*id.* at 437). After reviewing the record, he concluded that the School was, indeed, “entitled to judgment as a matter of law on the sexual harassment claim, assuming that the *Faragher-Ellerth* defense applied to [Zakrzewska’s] NYCHRL claim” (*id.* at 434). Having resolved this issue in the School’s favor, the Judge next examined whether the NYCHRL, in fact, makes the *Faragher-Ellerth* defense available to employers sued for sexual harassment.

Section 8-107 (1) (a) of the NYCHRL prohibits discrimination on the basis of gender, and section 8-107 (13) (b) states that

“[a]n employer shall be liable for an unlawful discriminatory practice based upon the conduct of an employee or agent which is in violation of subdivision one or two of this section only where:

“(1) the employee or agent *exercised managerial or supervisory responsibility*; or

“(2) the employer knew of the employee’s or agent’s discriminatory conduct, and acquiesced in such conduct or failed to take immediate and appropriate corrective action; an employer shall be deemed to have knowledge of an employee’s or agent’s discriminatory conduct where that conduct was known by another employee or agent who exercised managerial or supervisory responsibility; or

“(3) the employer should have known of the employee’s or agent’s discriminatory conduct and failed to exercise reasonable diligence to prevent such discriminatory conduct” (emphasis added).

Based on this text, the District Court concluded that

“the local law *on its face* appear[ed] to impose vicarious liability on an employer for discriminatory acts of (1) a manager or supervisor, without regard to whether the employer or another of its managers or supervisors knew or should have known of those acts, and (2) a co-worker, provided the employer, or a manager or supervisor, knew of and acquiesced in, or should have known of, the co-worker’s acts, among other circumstances” (*Zakrzewska*, 598 F Supp 2d at 434 [emphasis added]).

He pointed out, however, that because *Faragher-Ellerth*’s

relevance in NYCHRL cases was “an open question in [the] Circuit,” he was obliged to decide “whether the New York courts would be likely to apply *Faragher-Ellerth* or to adopt a different interpretation of [section 8-107 (13) (b)]” (*id.* at 435).

Noting that New York, like most states, emphasizes fidelity to the text when interpreting a statute, the District Court concluded that

“[h]ere, the plain language of Section 8-107, subd. 13 (b), is inconsistent with the defense crafted by the Supreme Court in *Faragher* and *Ellerth*. [This provision] creates vicarious liability for the acts of managerial and supervisory employees even where the employer has exercised reasonable care to prevent and correct any discriminatory actions and even where the aggrieved employee unreasonably has failed to take advantage of employer-offered corrective opportunities . . . Given the lack of any substantial reason to believe that the New York Court of Appeals would not apply Section 8-107, subd. 13 (b), as it is written . . . , the Court holds that *Faragher-Ellerth* does not apply in NYCHRL cases” (*id.* at 435).

As for Zakrzewska’s retaliation claim, the Judge first decided that there were disputed issues of material fact. Further, since retaliation is an unlawful discriminatory practice under the NYCHRL, he noted that the School would be vicariously liable for any retaliation by Pan by virtue of section 8-107 (13) (b), assuming that *Faragher-Ellerth* did not apply. The Judge therefore denied the School’s motion for summary judgment dismissing Zakrzewska’s complaint.

The District Court then certified an interlocutory appeal to the Second Circuit pursuant to 28 USC § 1292 (b) because he was of the opinion that *Faragher-Ellerth*’s applicability under the NYCHRL was “a controlling question of law,” as to which there was “substantial ground for difference of opinion . . . the resolution of which would materially advance the ultimate termination of this litigation” (598 F Supp 2d at 437). The Judge observed that employment discrimination cases figured prominently in the district courts’ dockets, and that “[t]he apparent tendency to press claims under the state and city anti-discrimination laws, either in lieu of or in addition to claims under federal statutes, create[d] a genuine need for resolution of the vicarious liability standards applicable to employers under

those statutes” (*id.*). He therefore asked the circuit whether the *Faragher-Ellerth* defense applied to sexual harassment and retaliation claims under section 8-107. The Judge remarked that the circuit might “in turn . . . see fit to certify this state law question to the New York Court of Appeals” (*id.* n 63), which the circuit subsequently did (*see Zakrzewska v New School*, 574 F3d at 28).

II.

We have “generally interpreted” state and local civil rights statutes “consistently with federal precedent” where the statutes “are *substantively and textually* similar to their federal counterparts” (*McGrath v Toys “R” Us, Inc.*, 3 NY3d 421, 429 [2004] [emphasis added]). And we have always strived to “resolve federal and state employment discrimination claims consistently” (*Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21, 25 [2002]). But we also “construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]).

[1] Here, as the District Court correctly concluded, the plain language of the NYCHRL precludes the *Faragher-Ellerth* defense. In many ways, the NYCHRL parallels state law prohibiting discrimination by employers (*compare* Administrative Code of City of NY § 8-107 [1] [a], [b] and Executive Law § 296). Unlike state law, though, subdivision (13) of section 8-107 of the NYCHRL creates an interrelated set of provisions to govern an employer’s liability for an employee’s unlawful discriminatory conduct in the workplace. This legislative scheme simply does not match up with the *Faragher-Ellerth* defense.

First, the NYCHRL imposes liability on the employer in three instances: (1) where the offending employee “exercised managerial or supervisory responsibility” (the circumstance alleged in Zakrzewska’s complaint); (2) where the employer knew of the offending employee’s unlawful discriminatory conduct and acquiesced in it or failed to take “immediate and appropriate corrective action”; and (3) where the employer “should have known” of the offending employee’s unlawful discriminatory conduct yet “failed to exercise reasonable diligence to prevent [it]” (*see* Administrative Code of City of NY § 8-107 [13] [b] [1]-[3], quoted at 477, *supra*). Regarding the first two instances, an employer’s antidiscrimination policies and procedures may be considered “in mitigation of the amount of civil penalties or punitive damages” recoverable in

a civil action (*see* Administrative Code of City of NY § 8-107 [13] [e]). As a result, even in cases where mitigation applies, compensatory damages, costs and reasonable attorneys' fees are still recoverable. Further, an employer's antidiscrimination policies and procedures—which are at the heart of the *Faragher-Ellerth* defense—shield against liability, rather than merely diminish otherwise potentially recoverable civil penalties and punitive damages, only where an employer should have known of a *non-supervisory* employee's unlawful discriminatory acts (*id.*).

The New York City Council adopted section 8-107 (13) in 1991 as part of a major overhaul of the NYCHRL. In a side-by-side comparison of then-current law with the proposed new law, the Report of the Council's Committee on General Welfare describes new section 8-107 (13) as providing for

“[s]trict liability in employment context for acts of managers and supervisors; also liability in employment context for acts of co-workers where employer knew of act and failed to take prompt and effective remedial action or should have known and had not exercised reasonable diligence to prevent. Employer can mitigate liability for civil penalties and punitive damages by showing affirmative anti-discrimination steps it has taken” (1991 NY City Legis Ann, at 187 [emphases added]).

Thus, section 8-107 (13)'s legislative history is consonant with its unambiguous language.

[2] Next, NYCHRL § 8-107 (13) is not inconsistent with state laws, as the School contends. Article IX, § 2 (c) of the New York Constitution vests local governments with the power to enact only those laws that are not inconsistent with state law; specifically, “every local government shall have power to adopt and amend local laws not inconsistent with the provisions of this constitution or any general law relating to its property, affairs or government,” as well as labor, and the health and well-being of its residents. We have held that a local law is inconsistent “where local laws prohibit what would be permissible under State law, or impose prerequisite additional restrictions on rights under State law, so as to inhibit the operation of the State's general laws” (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99, 108 [1983] [citations and internal quotation marks omitted]). A local law may, however, provide a greater penalty than state law (*see Wholesale Laundry Bd. of*

Trade v City of New York, 17 AD2d 327, 329-330 [1962]). Under these definitions of inconsistency, section 8-107 (13) is consistent with Executive Law § 296, the state antidiscrimination statute. Both prohibit discrimination; NYCHRL § 8-107 merely creates a greater penalty for unlawful discrimination.

[3] Further, the School's argument that section 8-107 (13) does not apply to all managers and supervisors is not supported by the statute's text. The School also contends that strict liability for discrimination impedes deterrence of workplace discrimination and so thwarts sound public policy. As the District Court pointed out, however, although "[t]he arguments for applying the *Faragher-Ellerth* test in state and local law cases are not trivial," ultimately such "considerations relevant to policy judgments [are] properly made by legislatures" (*Zakrzewska*, 598 F Supp 2d at 435). For the same reason, we may not apply cases under the State Human Rights Law imposing liability only where the employer encourages, condones or approves the unlawful discriminatory acts (see *Matter of Totem Taxi v New York State Human Rights Appeal Bd.*, 65 NY2d 300 [1985]; *Matter of State Div. of Human Rights v St. Elizabeth's Hosp.*, 66 NY2d 684 [1985]). By the plain language of NYCHRL § 8-107 (13) (b), these are not factors to be considered so long as the offending employee exercised managerial or supervisory control.

Finally, we note that our decision is not inconsistent with our holding in *Forrest v Jewish Guild for the Blind* (3 NY3d 295 [2004]). There, we made the general statement in a footnote that "the human rights provisions of the New York City Administrative Code mirror the provisions of the [State Human Rights Law] and should therefore be analyzed according to the same standards" (*id.* at 305 n 3). The plaintiff in *Forrest* did not argue that NYCHRL § 8-107 (13) imposes strict liability for a supervisor's unlawful discriminatory acts, and so we had no occasion to consider the point. Since the plaintiff did not establish the elements of a hostile work environment under either state or local law, we did not even reach the question of whether the *Faragher-Ellerth* defense applies under the State Human Rights Law (*id.* at 312 n 10).

Accordingly, the certified question should be answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[929 NE2d 361, 903 NYS2d 299]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TER-
RANCE JOHNSON, Appellant.

Argued March 23, 2010; decided May 4, 2010

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 20, 2009. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Penny M. Wolfgang, J.), which had convicted defendant, upon his plea of guilty, of robbery in the first degree.

People v Johnson, 60 AD3d 1396, reversed.

HEADNOTE

Crimes — Appeal — Waiver of Right to Appeal — Waiver Rendered Invalid by Court's Failure to Honor Plea Agreement

Defendant's waiver of his right to appeal became invalid when Supreme Court later modified the sentencing component of the plea agreement to deny defendant youthful offender status and lengthen his sentence of imprisonment. The terms and conditions of the plea agreement offered to defendant in return for his waiver of the right to appeal unequivocally promised him youthful offender adjudication and a maximum sentence of 1¹/₃ to 4 years in prison. Because the court did not advise defendant that it was reserving approval of the negotiated disposition until it reviewed the presentencing report or other pertinent information, defendant could not have knowingly and intelligently waived his right to appeal the court's decision not to abide by the original promise. Once the decision to impose the more severe sentence was announced, it was incumbent on the court to elicit defendant's continuing consent to waive his right to appeal. There was no need for the judge to reallocate defendant on his decision to plead guilty because his choice not to withdraw his plea effectively reaffirmed his knowing and intelligent consent to concede guilt. Since defendant was not asked if he further agreed to waive his right to pursue an appeal regarding the modified terms of his sentence, he was not foreclosed from requesting appellate review of the propriety of the denial of youthful offender treatment or the severity of the imposed sentence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600, 601, 625, 626, 657, 672.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12,
182:13, 182:27, 182:28, 182:31, 182:62.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.2,
21.6.

NY JUR 2d, Criminal Law: Procedure §§ 1486, 1490, 1511–1513, 3478–3480.

ANNOTATION REFERENCE

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: waiv! /5 right /4 appeal /s invalid! /p plea /4 bargain! agree! /p modif! /5 sentenc!

POINTS OF COUNSEL

Legal Aid Bureau of Buffalo, Inc., Buffalo (*Timothy P. Murphy, David C. Schopp* and *Barbara J. Davies* of counsel), for appellant. Particularly in light of *People v Seaberg* (74 NY2d 1) and its progeny, the brief waiver allocution, the subsequent change of circumstances in the plea agreement, and appellant's youth and inexperience in the court system, the purported appeal waiver is invalid to preclude appellant's challenge to Supreme Court's denial of youthful offender status and the length of the postrelease supervision term. (*People v Callahan*, 80 NY2d 273; *People v Lopez*, 6 NY3d 248; *People v Catu*, 4 NY3d 242; *People v Moissett*, 76 NY2d 909; *People v Brown*, 296 AD2d 860, 98 NY2d 767; *People v Selikoff*, 35 NY2d 227; *People v Muniz*, 91 NY2d 570; *People v Vega*, 49 AD3d 1185; *People v Ramos*, 152 AD2d 209; *People v Coleman*, 242 AD2d 939.)

Frank A. Sedita, III, District Attorney, Buffalo (*Shawn P. Hennessy* and *Donna A. Milling* of counsel), for respondent. I. Defendant's waiver of appeal was procured on a knowing, voluntary and intelligent basis. (*People v Moissett*, 76 NY2d 909; *People v Harris*, 61 NY2d 9; *People v Rodriguez*, 50 NY2d 553; *People v Adams*, 38 NY2d 605; *People v White*, 32 NY2d 393; *People v Nixon*, 21 NY2d 338; *People v Callahan*, 80 NY2d 273; *Johnson v Zerbst*, 304 US 458; *Barker v Wingo*, 407 US 514; *People v Seaberg*, 74 NY2d 1.) II. The waiver of appeal was valid after the trial court changed the sentencing commitment. (*People v Maliszewski*, 13 NY3d 756; *People v Nichols*, 21 AD3d 1273; *People v Prince*, 5 AD3d 1098.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we consider whether defendant's waiver of his right to appeal became invalid when the court later decided not

to honor two aspects of defendant's plea agreement. Based on the facts before us, we conclude that the court's modification of those sentencing terms voided defendant's prior waiver of appeal and required the reallocation of the waiver. Because that did not occur, defendant was entitled to pursue an appeal challenging his sentence.

In October 2006, defendant Terrance Johnson, a 16-year-old student, attacked a female teacher with a wooden board near a school. After striking her several times, defendant took the keys to her car and drove away in the teacher's vehicle. Defendant was later apprehended and indicted for robbery in the first degree and two counts of robbery in the second degree.

On the day the trial was scheduled to begin, Supreme Court was informed that a plea agreement had been reached between the People and defendant. In furtherance of the negotiated agreement, Supreme Court indicated that in exchange for a guilty plea to first-degree robbery and a waiver of the right to appeal, defendant would be adjudicated as a youthful offender with a maximum prison sentence of $1\frac{1}{3}$ to 4 years. During the plea allocution, defendant acknowledged that he was facing up to 25 years in prison without the plea deal and he agreed to waive his right to appeal. The court further warned defendant that the maximum sentence could be imposed if he failed to appear for sentencing, did not cooperate with the probation department or committed another crime. After allocuting that he injured the teacher with a board and stole her car, defendant pleaded guilty to robbery in the first degree.

Before sentencing occurred, Supreme Court reconsidered the terms of the plea agreement and decided that it could not abide by all of the terms because "it would be inappropriate to grant youthful offender status, in light of the seriousness of the crime, the injuries to the victim, and other factors." The court also noted that the probation department had recommended against youthful offender treatment. The judge offered defendant the option of withdrawing his plea and proceeding to trial, or retaining the guilty plea and receiving a sentence of five years of imprisonment and five years of postrelease supervision, but without adjudication as a youthful offender. Defense counsel advised the court that defendant did not wish to withdraw his plea and the judge thereafter imposed the new agreed-to sentence, which did not include youthful offender status.

Defendant appealed and the Appellate Division affirmed, concluding that defendant's waiver of his right to appeal remained valid despite the modification of the sentencing component of the plea agreement and that defendant's waiver encompassed any challenge he might have had regarding the denial of youthful offender treatment and the severity of his sentence (60 AD3d 1396 [4th Dept 2009]). A Judge of this Court granted leave to appeal (12 NY3d 855 [2009]).

Defendant urges that his waiver of appeal was invalidated when Supreme Court lengthened his prison sentence and declined to adjudicate him a youthful offender as this was a significant change in circumstances. The People, in contrast, contend that the court's inability to adhere to the original agreement did not undermine the waiver because defendant was originally advised that he faced imprisonment for up to 25 years and had been offered the opportunity to withdraw his plea.

A waiver of the right to appeal may be elicited as a condition of a plea bargain (see *People v Seaberg*, 74 NY2d 1, 5 [1989]), but it must be knowingly, voluntarily and intelligently entered into by the accused (see e.g. *People v Callahan*, 80 NY2d 273, 280 [1992]). We have repeatedly observed that there is no mandatory litany that must be used in order to obtain a valid waiver of appellate rights (see e.g. *People v Moissett*, 76 NY2d 909, 910-911 [1990]) and a waiver will be enforceable if the record demonstrates that the defendant "intentionally relinquish[ed] or abandon[ed] a known right that would otherwise survive a guilty plea" (*People v Hansen*, 95 NY2d 227, 230 n 1 [2000]). A court therefore "must make certain that a defendant's understanding of the terms and conditions of a plea agreement is evident on the face of the record" (*People v Lopez*, 6 NY3d 248, 256 [2006]).

Here, the terms and conditions of the plea agreement offered to defendant in return for his waiver of the right to appeal were unequivocal—Supreme Court promised youthful offender adjudication and a maximum sentence of 1¹/₃ to 4 years in prison.* The court's pronouncement of these terms was unconditional and defendant was not informed that the court intended to further reflect on the appropriateness of the promised disposition (see *People v Selikoff*, 35 NY2d 227, 238 [1974], *cert denied* 419 US 1122 [1975]). In other words, when defendant agreed to

* We reject defendant's contention that the colloquy was insufficient to demonstrate a valid waiver.

waive his right to appeal, he had no reason to suspect that he would not be treated as a youthful offender or receive a sentence in excess of the maximum that had been negotiated.

Because the court did not advise defendant that it was reserving approval of the negotiated disposition until it reviewed the presentencing report or other pertinent information, defendant could not have knowingly and intelligently waived his right to appeal the court's decision not to abide by the original promise of youthful offender treatment and a prison sentence of $1\frac{1}{3}$ to 4 years (*cf. People v Hidalgo*, 91 NY2d 733, 737 [1998] [general unrestricted waiver of appeal entered without a specific sentencing promise precludes a challenge to the imposed sentence as harsh and excessive]). Supreme Court's subsequent decision to modify the material terms affecting sentencing therefore vitiated defendant's knowing and intelligent entry of the waiver of appeal. Consequently, once the decision to impose the more severe sentence was announced, it was incumbent on the court to elicit defendant's continuing consent to waive his right to appeal. However, there was no need for the judge to reallocate defendant on his decision to plead guilty because his choice not to withdraw his plea effectively reaffirmed his knowing and intelligent consent to concede guilt. Since defendant was not asked if he further agreed to waive his right to pursue an appeal regarding the modified terms of his sentence, he is not foreclosed from requesting appellate review of the propriety of the denial of youthful offender treatment or the severity of the imposed sentence. We remit this case to the Appellate Division so that it may consider the merits of those claims.

Accordingly, the order of the Appellate Division should be reversed and the case remitted for consideration of issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[928 NE2d 1041, 902 NYS2d 844]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JOSHUA
M. ZONA, Respondent.

Argued March 24, 2010; decided May 6, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 20, 2009. The Appellate Division (1) reversed, on the law, a judgment of the Seneca County Court (W. Patrick Falvey, J.; see 18 Misc 3d 1117[A], 2008 NY Slip Op 50107[U]), which had convicted defendant, upon a jury verdict, of petit larceny, and (2) ordered a new trial.

People v Zona, 60 AD3d 1279, affirmed.

HEADNOTES

Crimes — Instructions — Entitlement to Claim of Right Instruction

1. In the prosecution of defendant deputy sheriff for petit larceny stemming from an incident in which he took five new tires, a boat, and a filing cabinet from a sheriff's department surplus warehouse while under the supervision, and with the alleged permission, of an undersheriff, the trial court's failure to instruct the jury on the claim of right defense was reversible error, entitling defendant to a new trial. In determining whether to instruct a jury on the defense, which is available when "the property was appropriated under a claim of right made in good faith" (Penal Law § 155.15 [1]), the court must view the evidence adduced at trial in the light most favorable to the defendant. Here, evidence supported a finding that defendant had a good faith belief that he could take the property. Defendant stated that the undersheriff, who was one of the highest ranking officials in the sheriff's department, gave him and his colleagues permission to take whatever property they wanted. Two of defendant's colleagues took property, the undersheriff procured items for himself, and most of the surplus property was described as junk, old and wrecked. Although defendant concealed the fact that he had taken the tires and attempted to replace them after he learned he was being investigated, that did not warrant a finding that no reasonable view of the evidence supported the claim of right. Nor did defendant's conflicting statements regarding the permission given by the undersheriff relieve the trial court's obligation to instruct the jury on the claim of right defense, as the inconsistencies only raised issues of fact and the charge was otherwise warranted by the evidence.

Crimes — Larceny — Good Faith Claim of Right Not Precluded by Defendant's Status as Public Servant

2. In the prosecution of defendant deputy sheriff for petit larceny stemming from an incident in which he took certain property from a sheriff's department surplus warehouse while under the supervision, and with the alleged permission, of an undersheriff, defendant's status as a public servant did not per se preclude a finding that he had a good faith belief, for purposes of a

claim of right defense (*see* Penal Law § 155.15 [1]), that he was entitled to keep the public property. Although it may be that a public servant could have no reasonable basis for such a belief, subjective good faith, not reasonableness, is the test. Here, it could be found that defendant had a good faith belief that the undersheriff had the authority to dispose of the property stored in the surplus warehouse and that defendant could retain some of that property for his personal use.

Crimes — Larceny — Previous Ownership of Property Not Required to Assert Claim of Right Defense

3. A defendant in a larceny prosecution is not required to establish that he or she previously owned or possessed the property at issue in order to assert the claim of right defense under Penal Law § 155.15 (1). Rather, the defense merely requires a good faith belief “that the property was appropriated under a claim of right” (Penal Law § 155.15 [1]).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Larceny §§ 44, 97, 102, 152.

McKINNEY’s, Penal Law § 155.15 (1).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 931, 932, 950, 977.

ANNOTATION REFERENCE

See ALR Index under Instructions to Jury; Larceny or Theft; Police and Law Enforcement Officers.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: larceny & claim /3 right /s good-faith /s defense & sheriff police!

POINTS OF COUNSEL

R. Michael Tantillo, District Attorney, Canandaigua, for appellant. The trial court properly declined to instruct the jury on the claim of right defense contained in Penal Law § 155.15 (1). (*People v Chesler*, 50 NY2d 203; *People v Green*, 5 NY3d 538; *People v Reid*, 69 NY2d 469; *People v Barody*, 59 AD3d 1111; *People v Watts*, 57 NY2d 299; *People v Butts*, 72 NY2d 746; *People v Mitchell*, 82 NY2d 509; *People v Chang*, 12 Misc 3d 134[A], 2006 NY Slip Op 51190[U]; *People v Geppner*, 122 AD2d 394; *People v Cunningham*, 12 AD3d 1131.)

J. Scott Porter, Seneca Falls, for respondent. No legal impediment prevents Joshua Zona from raising a claim of right defense and a reasonable view of the evidence supports an inference that Zona acted in good faith. (*Mathews v United States*, 485 US

58; *People v Chesler*, 50 NY2d 203; *A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574; *People v Garson*, 6 NY3d 604; *People v Green*, 5 NY3d 538; *People v Ricchiuti*, 93 AD2d 842; *People v Ace*, 51 AD3d 1379, 11 NY3d 733; *People v Watts*, 57 NY2d 299; *People v Torre*, 42 NY2d 1036; *People v Padgett*, 60 NY2d 142.)

OPINION OF THE COURT

CIPARICK, J.

The issue raised by this appeal is whether the evidence presented at trial, viewed in the light most favorable to defendant, supported a good faith claim of right jury instruction. We conclude that defendant was entitled to assert this defense and that County Court erred when it denied defendant's request to charge.

This case centers around the removal of various items of property from a surplus warehouse used by the Seneca County Sheriff's Department. In October or November 2005, Under-sheriff James Larson, one of the highest ranking members of the Seneca County Sheriff's Department, instructed defendant, a deputy sheriff, and two other deputies to transfer property stored in the Sampson State Park warehouse to a warehouse located at the old Army Depot in Romulus. Larson supervised and assisted the deputies as they transferred the property using their personal vehicles to the new location. The bulk of the property stored at the Sampson warehouse was described at trial as "old," "wrecked," "surplus stuff," and a "lot of junk." According to defendant's later statement to an investigator, Larson "told us that he was taking a canoe home and he told us we could take what we want." Defendant took five brand new tires, a boat that contained a bullet hole, and a filing cabinet. In addition to the canoe, Larson took some old military lights, and an electric lawn mower for himself. Two of the other sheriffs supervised by Larson took canoes.

In late November or early December 2005, defendant spoke with an employee of Trombley Tire and Auto to inquire whether he could trade in the five tires he removed from the warehouse for a set of four B.F. Goodrich tires that would fit his sport-utility vehicle. The employee referred defendant to the owner of the shop. Defendant negotiated with the owner, traded in the five tires from the warehouse, and received a \$375 credit toward the purchase of the B.F. Goodrich tires. Before finalizing the purchase, defendant spoke with one of his colleagues and

discussed that he was thinking about buying the B.F. Goodrich tires. Defendant's colleague wondered how he was able to afford such expensive tires and defendant indicated that Trombley Tire was giving him a good deal because he had solved several bad check cases for the shop.

The day after defendant purchased the B.F. Goodrich tires, Trombley Tire sold four of the five tires it had acquired from defendant to one of its customers. Later that month, investigators with the Seneca County Sheriff's Department retrieved the fifth tire from Trombley Tire, as it had not yet been sold.

According to defendant's statement, in January 2006, he spoke with a coworker who "told me that Jim Larson apparently did not have the authority to tell us we could take anything from the warehouse and that it needed to be put back in there." When defendant learned this, he promptly returned the boat and the filing cabinet to the new storage facility. Defendant then attempted to repurchase the five tires he had previously traded in, but was told that they had already been sold.

On January 24, 2006, defendant went to another tire shop to purchase replacement tires, but was informed by the service manager that the tires defendant desired were no longer in stock. The service manager convinced defendant to purchase five comparable tires—at a cost that exceeded the trade-in value of the tires he removed from the warehouse. The same day defendant purchased these tires he placed them in the new storage facility beneath other objects.

A little over a week later, in the early morning hours of February 3, 2006, a fire broke out at the new storage facility. Defendant was only one of four individuals who had keys to the facility. An investigator with the New York State police interviewed defendant the following day. Defendant fully cooperated with the investigator and explained he had no information pertaining to the fire but admitted that he had removed property from the old warehouse facility. The investigator prepared a typewritten statement, signed by defendant, detailing the information provided to him during the interview. Defendant described the property he removed with Larson's permission and explained that he had returned it to the new storage facility once he learned that Larson did not have the authority to dispose of the property.

Two other investigators also interviewed defendant. According to one of these investigators, defendant orally told him that

Larson did not directly state, but only implied, that the other deputies could take property from the old warehouse for themselves.

Following this lengthy investigation, a grand jury indicted defendant for one count of petit larceny (Penal Law § 155.25). Prior to trial, he requested a dismissal of the indictment. Defendant argued that he honestly believed that he could take the property and that the People's failure to properly instruct the grand jury on the good faith claim of right defense unfairly prejudiced him (*see* Penal Law § 155.15 [1]). County Court reviewed the grand jury minutes and denied defendant's motion (18 Misc 3d 1117[A], 2008 NY Slip Op 50107[U]). The court held that the claim of right defense was inapplicable because defendant could not assert that he had at any time owned or possessed the property procured from the storage facility. The case proceeded to trial and defendant, both at the conclusion of the People's case and at the charge conference, requested that County Court instruct the jury on the claim of right defense. County Court denied the requests.

The jury found defendant guilty of petit larceny and he appealed. At the Appellate Division, defendant argued for both a reversal of the conviction and a dismissal of the indictment. A divided Appellate Division reversed defendant's conviction and ordered a new trial, concluding that there was a reasonable view of the evidence that would allow a jury to find that defendant had a good faith claim of right to the property he removed from the warehouse (60 AD3d 1279 [4th Dept 2009]). The dissenting justices, on the other hand, held that no reasonable view of the evidence supported this defense (*id.* at 1281-1282). The court did not address defendant's argument concerning the sufficiency of the legal instructions given to the grand jury. A Judge of this Court granted the People leave to appeal (12 NY3d 922 [2009]) and we now affirm.¹

Our analysis begins with Penal Law § 155.15 (1), which provides "[i]n any prosecution for larceny committed by trespassory taking or embezzlement, it is an affirmative defense that the property was appropriated under a claim of right made in good faith." However, in evaluating the constitutionality of this statute, we have held that a good faith claim of right is properly

1. Although defendant moved for the dismissal of the indictment below, he did not cross-appeal here. The propriety of the grand jury proceeding is thus not before us and the focus of our analysis is limited to whether defendant was entitled to assert the claim of right defense at trial.

a defense—not an affirmative defense—and thus, “the people have the burden of disproving such defense beyond a reasonable doubt” (Penal Law § 25.00 [1]; *see People v Green*, 5 NY3d 538, 542 [2005], citing *People v Chesler*, 50 NY2d 203, 209-210 [1980]).

In determining whether to instruct a jury on a claimed defense, the court must view the evidence adduced at trial in the light most favorable to the defendant (*see People v Butts*, 72 NY2d 746, 750 [1988]; *People v Steele*, 26 NY2d 526, 529 [1970]; *see also Mathews v United States*, 485 US 58, 63 [1988] [“a defendant is entitled to an instruction as to any recognized defense for which there exists evidence sufficient for a reasonable jury to find in his favor”]). A failure to do so constitutes reversible error (*see People v Watts*, 57 NY2d 299, 301 [1982]). Of course, it is fundamental that a “jury may accept portions of the defense and prosecution evidence or either of them” (*People v Asan*, 22 NY2d 526, 530 [1968]). “Therefore, inconsistency in claimed defenses or even between a defendant’s testimony and a defense ‘should not deprive [the] defendant of the requested charge’ if the charge would otherwise be warranted by the evidence” (*Butts*, 72 NY2d at 750, quoting *People v Padgett*, 60 NY2d 142, 146 [1983]).

[1] Applying these principles, we find that there was evidence in the record to support defendant’s good faith claim of right defense. We note that defendant’s statement, if credited, establishes that Larson, one of the highest ranking officials in the Seneca County Sheriff’s Department, gave defendant and his colleagues permission to take whatever property they wanted. Indeed, it also indicates that two of his colleagues also relied on Larson’s representation and took property, and that Larson procured several items of property for himself as well. Moreover, the evidence demonstrates that the sheriffs used their personal vehicles to move the property and that most of the property stored at this surplus warehouse was described as junk, old, and wrecked.

[2] Furthermore, we reject the People’s argument that there are no circumstances in which a public servant, such as defendant, could have a good faith belief that he was entitled to keep public property. It may be that a public servant could have no reasonable basis for such a belief, but subjective good faith, not reasonableness, is the test. Thus, on this record, we hold that a trier of fact could find that defendant had a good faith belief that Larson had the authority to dispose of the property stored

in the surplus warehouse and that defendant could retain some of that property for his personal use.

[3] Likewise, we reject the notion that a defendant must establish that he previously owned or possessed the property at issue in order to assert the claim of right defense.² We note that there is nothing in the statutory language in Penal Law § 155.15 (1) that requires us to interpret this defense so narrowly. Rather, the defense merely requires a good faith belief “that the property was appropriated under a claim of right” (Penal Law § 155.15 [1]). Lower court decisions reflect our interpretation of this defense. For example, in *People v Ricchiuti* (93 AD2d 842 [2d Dept 1983]), the defendant, an employee of a cosmetics company, was indicted for grand larceny for allegedly stealing large quantities of merchandise from his employer (*see id.* at 842). At trial, defendant did not attempt to establish his ownership in the company’s merchandise, but rather offered evidence that his employer authorized him to distribute unlimited quantities of the merchandise to various charities, vendors, and friends of the company (*see id.* at 842-843). The Appellate Division determined that the evidence supported a claim of right defense and reversed the judgment of conviction because Supreme Court did not instruct the jury accordingly (*see id.* at 844; *see also People v Ace*, 51 AD3d 1379, 1380 [4th Dept 2008] [conviction overturned where “a reasonable view of the evidence that would enable a jury to find that defendant took the rails under a claim of right” was established after defendant’s employer instructed him to take the employer-owned rails to a scrap yard]).

[1] Furthermore, the People argue that there is no reasonable view of the evidence to support the claim of right defense because defendant concealed from his colleague the fact that he procured tires from the surplus warehouse and was planning to trade them in to reduce the cost of the B.F. Goodrich tires. The People also argue that defendant could not have had a good faith belief that he was entitled to keep the tires because, upon being told he had to return the property, he attempted to hide the replacement tires he purchased to avoid detection, evincing consciousness of guilt. This interpretation of the facts does not preclude defendant from interposing the claim of right defense, as these arguments can only be evaluated by a jury. Indeed, defendant may not have wanted his colleague to know that he

2. Although County Court relied upon this theory in its decision to deny defendant’s request to charge, the People have not adopted this argument.

received permission from Larson to take the tires for a variety of reasons. Moreover, the fact that defendant may have surreptitiously attempted to replace the tires after he learned that he, Larson, and other deputies were being investigated does not necessarily mean that he did not possess a good faith belief in his claim of right at the time he removed the property from the surplus warehouse.

Finally, the People contend that the testimony that defendant orally told one of the investigators that Larson only implied that the deputies could take whatever property they wanted negated defendant's written statement that Larson unequivocally gave them permission to do so. Of course, the People are entitled to highlight the inconsistencies in the evidence to support their arguments to a jury. An inconsistency in the evidence only raises issues of fact, however, and does not relieve a trial judge's obligation to instruct the jury on a defense if the charge would otherwise be supported by the evidence (*see Butts*, 72 NY2d at 750). Here, there is evidence in the record to support defendant's requested charge. Accordingly, the jury should have had the opportunity to consider this defense during its deliberations.

In sum, we conclude that the evidence, viewed in the light most favorable to defendant, entitled defendant to assert a good faith claim of right defense at trial. Since County Court erred in failing to instruct the jury on this defense, defendant was deprived of a fair trial. Accordingly, the order of the Appellate Division reversing the judgment of conviction and ordering a new trial should be affirmed.

PIGOTT, J. (dissenting). I respectfully dissent because in my view no reasonable view of the evidence, even in the light most favorable to defendant, supports the defense that he took five brand new tires from a police warehouse, believing in good faith that he had the right to take them.

This case arose out of an investigation of the Seneca County Sheriff's Department, including Undersheriff James Larson, defendant Deputy Sheriff Joshua Zona, and other deputies, in connection with the removal of items from a warehouse used by the Sheriff's Department, at the Seneca Army Depot in Romulus. In the early morning of February 3, 2006, the warehouse was destroyed in a suspected arson. Because defendant was one of only four people who had access to the warehouse, he was interviewed by the New York State Police.

Defendant had no information about the fire, but he admitted that he had taken five car tires, a boat, and a filing cabinet from the warehouse.* According to defendant's statements to investigators, Undersheriff Larson took items for his personal use, and "somewhat implied" that defendant and two other deputy sheriffs could take what they wanted. Defendant stated that he traded the five tires in at Trombley Tire and Auto, receiving a credit of \$375, which he used towards the purchase of tires for his pickup truck. Once he learned there was an investigation, he went out and bought similar tires and snuck them into the warehouse to cover up his actions.

Defendant was charged with and, following a jury trial, convicted of petit larceny. He now argues that his trial was unfair because County Court declined to instruct the jury on a claim of right defense.

Under Penal Law § 155.15 (1), in a prosecution for larceny committed by trespassory taking or embezzlement, an available defense is "that the property was appropriated under a claim of right made in good faith." The question before the Court in this case is whether a reasonable view of the trial evidence, viewed in the light most favorable to defendant, supports defendant's claim that he had a good faith belief in his legal right to take another's property.

The majority finds it reasonable to conclude from the evidence that defendant had an honest, if unreasonable, belief that Larson had the authority to permit him to take the property stored in the Sheriff's Department warehouse for his personal use. I believe that such an inference would be irrational, given the strong evidence that defendant was aware that his actions were illegal.

In particular, I find it striking that, in the course of a casual conversation with one of his colleagues about the new tires he had bought, defendant lied, concocting the story that he had solved bad check cases for the tire shop. If defendant had honestly believed that Larson was in a position to authorize the taking of the tires, defendant would not have kept this to himself and constructed a lie to conceal his actions.

Moreover, defendant continued to lie about his actions and try to conceal them. He bought five tires, similar to the ones he

* A Sheriff's Department investigator testified at defendant's trial that the property in the warehouse included not only "junk" but also "quality property" such as beds, desks, chairs, boats, and wrecked police cars that the officers would use for parts to repair damaged police vehicles.

had taken from the warehouse and traded in, from a Goodyear tire store. There, defendant lied to the service manager, saying that he needed the five tires for off-road use on a sport-utility vehicle. Defendant then placed the tires in the warehouse, covering them to make it appear that they had been there for some time. There is no reasonable inference to be drawn from this action other than that defendant was conscious of his guilt. Someone who honestly believed that he had been given permission to take the tires by one with authority would not have gone to such absurd lengths—including the expense of buying five tires—to cover up his actions.

The jury also heard evidence that defendant had a crisis of conscience in regard to the taking of the tires, debating “should I take ’em, shouldn’t I take them,” before deciding to take the items. This inner debate cannot be reconciled with an honest belief that one has been given permission to take items by one with authority to do so.

It is true that the test here is not the reasonableness of defendant’s belief that he had a right to take the tires, but its subjective good faith, i.e. whether the belief was honest or a pretense. But to attribute to defendant the state of mind necessary for a claim of right defense is to do more than to ascribe to him a single unreasonable belief; it is to assume that he was completely lacking in any kind of worldly wisdom or judgment.

The majority rejects the proposition that a defendant, in order to assert the claim of right defense, must establish that he previously owned or possessed the property at issue—which the majority takes to be the theory relied upon by County Court. But that was not the ruling of the court. Rather the court correctly rejected a claim of right defense because defendant failed to establish a legitimate claim to one.

Professor LaFave sets out the scope of the claim of right defense cogently in his treatise on substantive criminal law. “One may take the property of another honestly but mistakenly believing (1) that it is his own property, or (2) that it is no one’s property, or (3) (though he knows it is another’s property) that the owner has given him permission to take it as he did” (3 LaFave, Substantive Criminal Law § 19.5 [a], at 88 [2d ed 2003]). The Appellate Division cases cited by the majority (*People v Ricchiuti*, 93 AD2d 842 [2d Dept 1983]; *People v Ace*, 51 AD3d 1379 [4th Dept 2008]) are consistent with this analysis. Thus a defendant, in order to assert the claim of right defense, must

claim either that he previously owned the property at issue, or that he was unaware that it belonged to another, or that its *owner* permitted him to take it. Defendant's claim that an undersheriff—clearly not the owner of county surplus property—permitted his actions does not accord with this analysis.

It is well-established that “when no reasonable view of the evidence would support a finding of [a] tendered defense, the court is under no obligation to submit the question to the jury” (*People v Watts*, 57 NY2d 299, 301 [1982]). Consequently, County Court's denial of defendant's request to charge a claim of right defense should be upheld. I would reverse the order of the Appellate Division and reinstate defendant's conviction.

Chief Judge LIPPMAN and Judges READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judge GRAFFEO concurs.

Order affirmed.

[929 NE2d 366, 903 NYS2d 304]

CITY OF NEW YORK et al., Plaintiffs, v THOMAS A. MAUL, as Commissioner of the New York State Office of Mental Retardation and Developmental Disabilities, Defendant. L.J. et al., on Behalf of Themselves and Others Similarly Situated, Intervenor-Respondents, v JOHN B. MATTINGLY, as Commissioner, New York City Administration for Children's Services, Appellant, et al., Defendant.

Argued March 22, 2010; decided May 6, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 10, 2009. The Appellate Division affirmed an order of the Supreme Court, New York County (Marilyn Shafer, J.), which had granted the intervenors' motion for class certification and denied the motion of defendant New York City Administration for Children's Services (ACS) for partial summary judgment dismissing intervenor's claims for prospective relief against ACS as moot, or alternatively, staying those claims pending resolution of earlier filed proceedings. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

City of New York v Maul, 59 AD3d 187, affirmed.

HEADNOTES

Appeal — Academic and Moot Questions — Failure of City and State Agencies to Fulfill Statutory and Regulatory Duties with Respect to Certain Developmentally Disabled Children in Foster Care System

1. In an action concerning the alleged failures of the New York City Administration for Children's Services (ACS) and the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) to fulfill their statutory and regulatory duties with respect to certain children in ACS's foster care system, ACS's cross motion for partial summary judgment dismissing plaintiffs' prospective claims as moot was properly denied, notwithstanding that, since the time the complaint was filed, at least eight plaintiffs had been placed in appropriate OMRDD facilities and the other plaintiffs had been approved by OMRDD and were awaiting vacancies. Even assuming that the claims of these plaintiffs pertaining to the waiting list were moot, an exception to the mootness doctrine was applicable. Plaintiffs raised substantial and novel questions as to whether ACS and OMRDD were fulfilling their statutory responsibilities. These issues were likely to recur and may evade review given the temporary duration of foster care, the aging out of potential plaintiffs and the fact that some placements tended to be transitory.

Actions — Class Actions — Failure of City and State Agencies to Fulfill Statutory and Regulatory Duties with Respect to Certain Developmentally Disabled Children in Foster Care System

2. The Appellate Division did not abuse its discretion as a matter of law in affirming Supreme Court's order granting class action certification under CPLR article 9 to plaintiffs, a group of developmentally disabled children and young adults who were or had been in New York City's foster care system, in an action seeking declaratory and injunctive relief with respect to the alleged failures of the New York City Administration for Children's Services (ACS) and the New York State Office of Mental Retardation and Developmental Disabilities to fulfill their statutory and regulatory duties with respect to certain children in ACS's foster care system. Of the five prerequisites to class certification, commonly referred to as numerosity, commonality, typicality, adequacy of representation and superiority, only the commonality element was at issue on this appeal (CPLR 901 [a] [2]). Notwithstanding that each of the plaintiffs and proposed class members possessed his or her own unique factual circumstances and special needs, the Appellate Division identified four common allegations that transcended and predominated over any individual matters. The allegations, if true, would tend to establish a de facto policy followed by ACS of delaying the receipt of services as a result of its practices. Plaintiffs sought to represent class members falling into each of these four categories of injury. Plaintiffs focused on four recurring and interrelated harms that were common across the class, which numbered less than 200 members. Moreover, specialized proof would largely be unnecessary to resolve these common allegations. The Appellate Division weighed the statutory criteria and acted within its discretion in determining that common questions predominated under CPLR 901 (a) (2). Further, the Appellate Division identified concrete legal issues that predominated and plaintiffs' claims sought to vindicate rights accorded them by statutes and regulations. As framed, the claims were justiciable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 596, 602; AM JUR 2d, Parties §§ 82, 83, 85, 90, 91.

CARMODY-WAIT 2d, Parties §§ 19:274, 19:275, 19:279, 19:287; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:98.

McKINNEY'S, CPLR 901 (a) (2).

NY JUR 2d, Appellate Review §§ 492, 639; NY JUR 2d, Parties §§ 251, 252, 257; NY JUR 2d, Public Welfare and Old Age Assistance §§ 256, 284–289.

SIEGEL, NY PRAC § 141.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Class Actions; Foster Children; Moot and Abstract Matters.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: moot! /4 exception /s recur /s evad! /2 review &
foster /2 care /s placement

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Drake A. Colley, Edward F.X. Hart, Alan H. Kleinman and Joshua P. Rubin of counsel), for appellant. I. The class should be decertified because the Administration for Children's Services must treat each case individually and there is no common question that can be adjudicated. (*Ackerman v Price Waterhouse*, 252 AD2d 179; *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Gaynor v Rockefeller*, 15 NY2d 120; *Rife v Barnes Firm, P.C.*, 48 AD3d 1228; *Mitchell v Barrios-Paoli*, 253 AD2d 281; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *General Telephone Co. of Southwest v Falcon*, 457 US 147; *Solomon v Bell Atl. Corp.*, 9 AD3d 49; *Hazelhurst v Brita Prods. Co.*, 295 AD2d 240; *Geiger v American Tobacco Co.*, 277 AD2d 420.) II. The Appellate Division erred in failing to consider Family Court proceedings. (*Jamie B. v Hernandez*, 274 AD2d 335; *Mosher-Simons v County of Allegany*, 99 NY2d 214; *Sean M. v City of New York*, 20 AD3d 146; *O'Brien v City of Syracuse*, 54 NY2d 353; *Matter of Reilly v Reid*, 45 NY2d 24; *Parker v Blauvelt Volunteer Fire Co.*, 93 NY2d 343; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Duvall v County of Kitsap*, 260 F3d 1124.) III. The court below erred in allowing intervenors' moot prospective claims to proceed. (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *Matter of Chenier v Richard W.*, 82 NY2d 830; *People ex rel. Maxian v Brown*, 164 AD2d 56.)

Patterson Belknap Webb & Tyler LLP, New York City (Catherine A. Williams and Lisa E. Cleary of counsel), New York Lawyers for Public Interest (Roberta Mueller of counsel) and Lawyers for Children, Inc. (Karen Freedman and Betsy Kramer of counsel) for respondents. I. The Appellate Division correctly agreed with the Supreme Court that common questions predominate here. (*Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Matter of Lamboy v Gross*, 129 Misc 2d 564, 126 AD2d 265; *Brad H. v City of New York*, 185 Misc 2d 420, 276 AD2d 440; *Baby Neal for & by Kanter v Casey*, 43 F3d 48; *Marisol A. v Giuliani*, 126 F3d 372; *Brandon v Chefetz*, 106 AD2d 162; *J.B. ex rel. Hart v Valdez*, 186 F3d 1280; *Darns v Sabol*, 165 Misc 2d 77, *affd sub nom. Hernandez v Hammons*, 239 AD2d 192;

Mitchell v Barrios-Paoli, 253 AD2d 281; *Gaynor v Rockefeller*, 15 NY2d 120.) II. The courts below did not abuse their discretion in finding that the class claims are justiciable and should be heard in the Supreme Court. (*Baby Neal for & by Kanter v Casey*, 43 F3d 48; *Jiggetts v Grinker*, 75 NY2d 411; *Klostermann v Cuomo*, 61 NY2d 525; *Jamie B. v Hernandez*, 182 Misc 2d 954, 274 AD2d 335; *Matter of Brian L. v Administration for Children's Servs.*, 51 AD3d 488; *People United for Children, Inc. v City of New York*, 108 F Supp 2d 275; *Mosher-Simons v County of Allegany*, 99 NY2d 214; *Sean M. v City of New York*, 20 AD3d 146; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Matter of Lamboy v Gross*, 129 Misc 2d 564.) III. The Appellate Division correctly affirmed the denial of summary judgment on mootness grounds. (*Matter of M.B.*, 6 NY3d 437; *Matter of Jones v Ber- man*, 37 NY2d 42; *Matter of Ronald W.*, 25 AD3d 4; *Martin A. v Gross*, 153 AD2d 812; *McCain v Koch*, 117 AD2d 198, 70 NY2d 109; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500.)

Bryan Cave LLP, New York City (*Eric Rieder, R. Joshua Bliss, Adam Rosen and Megan Awerdick* of counsel), for Advocates for Children of New York and others, amici curiae. I. The class action is an indispensable device for remedying the kind of systemic government deficiencies alleged here. (*Armstrong v Davis*, 275 F3d 849; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Stern v Carter*, 82 AD2d 321; *Geiger v American Tobacco Co.*, 181 Misc 2d 875; *United States ex rel. Morgan v Sielaff*, 546 F2d 218; *Seittelman v Sabol*, 158 Misc 2d 498, 217 AD2d 523; *Zepeda v United States Immigration & Naturalization Serv.*, 753 F2d 719; *Bowers v National Coll. Athletic Assn.*, 118 F Supp 2d 494; *Matter of Brown v Wing*, 170 Misc 2d 554, 241 AD2d 956.) II. Courts consistently approve of the use of class actions for injunctive and declaratory relief from systemic deficiencies in similar cases. (*Baby Neal for & by Kanter v Casey*, 43 F3d 48; *Marisol A. v Giuliani*, 126 F3d 372; *Armstrong v Davis*, 275 F3d 849.) III. Claims seeking to enforce mandatory legal rights are justiciable. (*Klostermann v Cuomo*, 61 NY2d 525; *Figueroa v Market Training Inst.*, 167 AD2d 503; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Marisol A. v Giuliani*, 929 F Supp 662, 126 F3d 372; *Jiggetts v Grinker*, 75 NY2d 411; *McCain v Koch*, 70 NY2d 109; *Martin A. v Gross*, 153 AD2d 812.) IV. The claims of the class are not moot. (*Matter of M.B.*, 6 NY3d 437; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500; *Matter of Lamboy v Gross*, 129 Misc 2d 564, 126 AD2d 265.)

Gibson, Dunn & Crutcher LLP, New York City (*Randy M. Mastro, Richard A. Bierschbach, Aaron Simowitz* and *Lauren Sager* of counsel), and *Legal Aid Society, Juvenile Rights Practice* (*Steven Banks, Tamara A. Steckler, Judith Waksberg, Nancy Rosenbloom* and *Karen Fisher Gutheil* of counsel) for Legal Aid Society of New York, amicus curiae. I. Family Court cannot remedy the Office of Mental Retardation and Developmental Disabilities and Administration for Children's Services failures. (*Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364; *Matter of Brescia v Fitts*, 56 NY2d 132; *Parsippany Constr. Co., Inc. v CNA Ins. Co.*, 67 AD3d 658; *People United for Children, Inc. v City of New York*, 108 F Supp 2d 275; *Matter of Ronald W.*, 25 AD3d 4; *Matter of Lorie C.*, 49 NY2d 161; *Matter of James A.*, 50 AD3d 787; *Matter of Hasani B.*, 195 AD2d 404; *Matter of Enrique R.*, 126 AD2d 169.) II. The class action mechanism is necessary and appropriate. (*New York City Coalition to End Lead Poisoning v Giuliani*, 245 AD2d 49; *Tindell v Koch*, 164 AD2d 689; *Matter of Lamboy v Gross*, 126 AD2d 265; *Brad H. v City of New York*, 185 Misc 2d 420, 276 AD2d 440; *Varshavsky v Perales*, 202 AD2d 155; *Seittelman v Sabol*, 217 AD2d 523, 91 NY2d 618; *Bryant Ave. Tenants' Assn. v Koch*, 71 NY2d 856; *Robidoux v Celani*, 987 F2d 931; *County of Riverside v McLaughlin*, 500 US 44.)

Stephen J. Acquario, General Counsel, New York State Association of Counties, Albany (*Robert W. Gibbon* of counsel), for New York State Association of Counties, amicus curiae. Challenges regarding individual determinations of placement, when those placements are made based upon discrete individual details, should not be allowed by this Court to be brought in the form of a class action, when the true question to be determined is whether an abuse of discretion occurred in each solitary case. (*Matter of LaGuardia v Smith*, 288 NY 1; *Rapp v Carey*, 44 NY2d 157; *Cohen v State of New York*, 94 NY2d 1; *Matter of Small v Moss*, 279 NY 288; *Golden v Paterson*, 23 Misc 3d 641; *Matter of Lorie C.*, 49 NY2d 161; *New York City Hous. Auth. v Medlin*, 57 Misc 2d 145.)

OPINION OF THE COURT

GRAFFEO, J.

We conclude that the Appellate Division did not abuse its discretion in affirming a Supreme Court order granting class action certification under CPLR article 9 to plaintiffs, a group of developmentally disabled children and young adults who are or

have been in New York City's foster care system. We therefore affirm the Appellate Division order.

I.

This appeal concerns the alleged failures of the New York City Administration for Children's Services (ACS) and the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) to fulfill their statutory and regulatory duties with respect to certain children in ACS's foster care system. ACS is a municipal agency that provides foster care placements and services to thousands of children in a broad array of settings. It is statutorily required to undertake permanency planning and ensure appropriate placements for each of these children, including those with developmental disabilities (see Social Services Law § 398).¹ OMRDD is a state agency responsible for "the development of comprehensive plans, programs, and services" for "persons with mental retardation and developmental disabilities" (Mental Hygiene Law § 13.07 [a]).

The City of New York, by ACS's Commissioner, originally commenced this action in 2004 on behalf of seven children in foster care against the Commissioner of OMRDD, alleging that OMRDD failed to properly place, treat or care for developmentally disabled children who were properly referred by ACS. The complaint seeks declaratory relief with respect to the subject children as well as for "all other mentally retarded and/or developmentally disabled persons properly referred by [ACS]." In its complaint, the City further asserts that OMRDD improperly refused to provide nonresidential services to foster children even though it provides such services to similarly-situated children who are not in the foster care system.²

In 2006, the scope of this litigation expanded when Supreme Court granted intervenor status to 11 additional plaintiffs. Each intervenor/plaintiff is developmentally disabled and is, or was a child in ACS's care, custody or guardianship. Plaintiffs'

1. The term "developmental disability" is defined in Mental Hygiene Law § 1.03 (22) and includes mental retardation, cerebral palsy, epilepsy, neurological impairment and autism.

2. ACS and OMRDD have a lengthy history of litigation concerning issues surrounding which agency bears the ultimate responsibility for providing and funding services to special needs children in ACS's care, custody or guardianship (see *Flowers v Webb*, 575 F Supp 1450 [ED NY 1983]; *City of New York v Webb*, Sup Ct, NY County, Nov. 12, 1986, Cotton, J., index No. 40313/86).

amended complaint sets forth six causes of action against ACS and OMRDD and seeks declaratory and injunctive relief based on both agencies' alleged violations of state and federal statutes and regulations.³

In general, plaintiffs claim that ACS and OMRDD failed to place them in the least restrictive settings that were appropriate for their needs. More particularly, plaintiffs contend that ACS lacks a consistent plan for identifying children who are in need of OMRDD's services and that ACS fails to adequately train its caseworkers to evaluate developmental disabilities. They allege that, when the need for OMRDD's services arises in a particular case, ACS fails to make necessary referrals to OMRDD or waits an inordinate amount of time before doing so, all to the detriment of the children requiring special services. Even when children are referred to OMRDD, plaintiffs claim that referral packets prepared by ACS are often incomplete, resulting in rejections by OMRDD of otherwise eligible children, causing additional delays in appropriate services. Finally, plaintiffs argue that these failures are especially harmful to older adolescents who are close to "aging out" of the foster care system because delayed referrals to OMRDD make it more difficult for that agency to find appropriate permanent placements for them.

As a result, plaintiffs submit that ACS practices allow developmentally disabled children to age out of the foster care system without adequate permanency planning. This is apparent in the profile of the plaintiffs—all but one of the young people were either approaching 21 years of age or were 21 or older when the complaint was filed.⁴ Similarly, 10 of the plaintiffs allege that ACS's referral delays impeded their placements and receipt of services from OMRDD.

Regarding OMRDD, plaintiffs echo the City's allegations in the original complaint, including that OMRDD improperly

3. Specifically, plaintiffs contend that ACS violated title II of the Americans with Disabilities Act (ADA) of 1990 (42 USC § 12131 *et seq.*) and its implementing regulations; section 504 of the Rehabilitation Act of 1973 (29 USC § 794); and Social Services Law §§ 398, 409-d and 409-e. Six of the plaintiffs also seek an award of compensatory damages against ACS based on its alleged violation of section 504 of the Rehabilitation Act with "deliberate indifference." As to OMRDD, plaintiffs allege that agency violated title II of the ADA and its implementing regulations; section 504 of the Rehabilitation Act; and Mental Hygiene Law §§ 13.01 and 33.03.

4. Foster care may continue until an individual reaches 21 years of age (*see* Family Ct Act § 1087 [a]; Social Services Law § 398 [6] [h], [i]; § 398-a [1]).

refuses to provide nonresidential services to children in the care, custody or guardianship of ACS, even though it provides similar services to children outside the foster care system. They also claim that OMRDD categorically declines referrals from ACS unless a child's stated permanency planning goal is adult residential placement, and that OMRDD's waiting periods for appropriate placements are unreasonably long, sometimes lasting nine years. These delays necessarily have a detrimental impact because, while awaiting placement by OMRDD, ACS temporarily places some children and adolescents in unduly restrictive settings that are inappropriate to their needs.

Plaintiffs represent that there are at least 150 youngsters with developmental disabilities who are similarly injured by ACS's and OMRDD's failures to provide services that they are entitled to by law. Consequently, plaintiffs moved in Supreme Court for class certification. ACS opposed the motion and cross-moved for partial summary judgment dismissing plaintiffs' prospective claims as moot on the basis that eight plaintiffs had since been placed in appropriate OMRDD facilities and that the remaining three had been approved by OMRDD and were awaiting vacancies.

Supreme Court denied ACS's motion, granted plaintiffs' request and certified the class as follows:

"Individuals with developmental disabilities who are in or have been in New York City Administration for Child[ren's] Services' (ACS's) care or custody and who, during their time in ACS's care or custody, have not received or did not receive services from ACS and the New York Office of Mental Retardation and Developmental Disabilities to which they were or are entitled."⁵

The Appellate Division, with one Justice dissenting, affirmed (59 AD3d 187 [1st Dept 2009]).⁶ The Court held that plaintiffs' prospective claims could be addressed under an exception to the mootness doctrine and that plaintiffs had satisfied the requirements of CPLR article 9, warranting class certification. The Appellate Division subsequently granted leave to appeal to this

5. Supreme Court also rejected ACS's contention that class certification was improper under the government operations doctrine (*see Bryant Ave. Tenants' Assn. v Koch*, 71 NY2d 856, 859 [1988]). ACS does not pursue this argument on appeal and we therefore do not address it.

6. OMRDD did not join in ACS's appeal from Supreme Court's order certifying the class.

Court (2009 NY Slip Op 77287[U]) and certified the following question: “Was the order of this Court, which affirmed the order of the Supreme Court, properly made?”

II.

[1] At the outset, ACS submits that its motion for partial summary judgment should have been granted because plaintiffs’ claims for declaratory and injunctive relief are now moot. We disagree.

As a general principle, courts are precluded “from considering questions which, although once live, have become moot by passage of time or change in circumstances” (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714 [1980]). Typically, “an appeal will be considered moot unless the rights of the parties will be directly affected by the determination of the appeal and the interest of the parties is an immediate consequence of the judgment” (*id.*). Nevertheless, we have consistently applied an exception to the mootness doctrine, permitting judicial review, where the issues are substantial or novel, likely to recur and capable of evading review (*see id.* at 715; *see also Matter of M.B.*, 6 NY3d 437, 447 [2006]; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500, 506 [1998]).

Here, ACS represents that since the time the complaint was filed, at least eight plaintiffs are now receiving services at suitable OMRDD facilities, and the other plaintiffs have been approved and are awaiting OMRDD placements. Even assuming that the claims of these plaintiffs pertaining to the waiting list are moot, we concur with the Appellate Division that an exception to mootness should be applied in this case. Plaintiffs raise substantial and novel questions as to whether ACS and OMRDD are fulfilling their statutory responsibilities. These issues are likely to recur and may evade review given the temporary duration of foster care, the aging out of potential plaintiffs and the fact that some placements tend to be transitory (*see Matter of Savastano v Prevost*, 66 NY2d 47, 48 n [1985], *rearg denied* 66 NY2d 1036 [1985] [“While all 25 patients who are the subject of the petition have by now been transferred to an OMRDD facility, we retain jurisdiction because of the substantial issues raised, the likelihood of repetition, and the fact that these issues may otherwise evade review”]). Concluding that the mootness exception is applicable, we next turn to the class certification issue.

III.

ACS, supported by amicus New York State Association of Counties, contends that the courts below abused their discretion in allowing this case to proceed as a class action. In particular, ACS asserts that, contrary to the conclusions of Supreme Court and the Appellate Division, plaintiffs have failed to demonstrate, as required by CPLR 901 (a) (2), that common questions of fact or law predominate over issues that are specific to individual class members. ACS suggests that plaintiffs are seeking to litigate a claim of “systemic failure,” a concept too broad to comply with the commonality prerequisite of CPLR 901 (a) (2). Plaintiffs, joined by various amici, including the Legal Aid Society of New York and Advocates for Children of New York, counter that the courts below did not abuse their discretion because plaintiffs identified at least four common issues that meet the statutory requirements.

CPLR 901 (a) sets forth five prerequisites to class certification:

“1. the class is so numerous that joinder of all members, whether otherwise required or permitted, is impracticable;

“2. there are questions of law or fact common to the class which predominate over any questions affecting only individual members;

“3. the claims or defenses of the representative parties are typical of the claims or defenses of the class;

“4. the representative parties will fairly and adequately protect the interests of the class; and

“5. a class action is superior to other available methods for the fair and efficient adjudication of the controversy.”

These factors are commonly referred to as the requirements of numerosity, commonality, typicality, adequacy of representation and superiority. Only the commonality element is at issue on this appeal.

The Legislature adopted CPLR article 9 (§§ 901-909) in 1975 to replace CPLR 1005, the prior class action provision. The former class action statute, which remained virtually unchanged for more than a century, “had been judicially restricted over the years and was subject to inconsistent results” (*Sperry v Crompton Corp.*, 8 NY3d 204, 210 [2007]). In 1975, the Judicial

Conference proposed a new article 9, which was designed “to set up a flexible, functional scheme whereby class actions could qualify without the present undesirable and socially detrimental restrictions” (13th Ann Report of Jud Conf on CPLR, reprinted in 1975 McKinney’s Session Laws of NY, at 1493). Courts have recognized that the criteria set forth in CPLR 901 (a) “should be broadly construed not only because of the general command for liberal construction of all CPLR sections (see CPLR 104), but also because it is apparent that the Legislature intended article 9 to be a liberal substitute for the narrow class action legislation which preceded it” (*Friar v Vanguard Holding Corp.*, 78 AD2d 83, 91 [2d Dept 1980]).

The determination of whether a lawsuit qualifies as a class action under the statutory criteria “ordinarily rests within the sound discretion of the trial court” (*Small v Lorillard Tobacco Co.*, 94 NY2d 43, 52 [1999]). The Appellate Division likewise “is vested with the same discretionary power and may exercise that power, even when there has been no abuse of discretion as a matter of law by the nisi prius court” (*id.* at 52-53; *see also Matter of State of New York v Ford Motor Co.*, 74 NY2d 495, 501 [1989]). Our standard of review, however, is far more limited. Where, as here, the Appellate Division affirms a Supreme Court order certifying a class, we may review only for an abuse of discretion as a matter of law.

In *Small*, for example, we held that the Appellate Division did not abuse its discretion in decertifying five separate classes—each containing at least one million members—relating to claims brought by smokers against cigarette manufacturers for damages based on defendants’ alleged fraudulent deception about the addictive properties of cigarettes. On the issue of commonality, the Appellate Division found that individual questions would predominate because individualized proof of addiction was essential to support plaintiffs’ General Business Law § 349 claim and, given the well-documented dangers of smoking, particularized inquiry into whether each class member was aware of this information would be necessary to resolve the General Business Law § 350 and common-law fraud claims. In affirming, we were “satisfied that the Appellate Division properly weighed the relevant statutory factors and correctly fulfilled its intermediate appellate court role and powers” (94 NY2d at 55).

In *Weinberg v Hertz Corp.* (69 NY2d 979 [1987]), plaintiffs commenced an action against an automobile rental company alleging three unfair and deceptive practices. Supreme Court

denied class certification but the Appellate Division reversed and certified the class. The Appellate Division rejected the rental company's contention that common questions did not predominate under CPLR 901 (a) (2), reasoning "[t]hat individuals who are members of the class might have been subjected to less than all of the conduct complained of is not a ground for denying class action" (116 AD2d 1, 6 [1st Dept 1986]). The Appellate Division further observed that CPLR 901 (a) (2) "clearly envisions authorization of class actions even where there are subsidiary questions of law or fact not common to the class" (*id.*). On appeal, we affirmed the certification order, concluding there was "no reason to disturb [its] inherently discretionary determination" (69 NY2d at 982). Hence, in both *Small* and *Weinberg*, we determined that the Appellate Division did not exceed its discretionary authority in resolving questions of class certification.⁷

New York courts have also found that "[f]ederal jurisprudence is helpful" in analyzing CPLR 901 issues (*Friar*, 78 AD2d at 96), because CPLR article 9 "has much in common with Federal rule 23" (*Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185, 194 [1991]), the federal class action provision. In *Baby Neal for & by Kanter v Casey* (43 F3d 48 [3d Cir 1994]), 16 children placed in the care of Philadelphia's Department of Human Services (DHS) brought an action against DHS based on its failure to provide a multitude of services to children in violation of numerous constitutional and statutory provisions. Plaintiffs sought declaratory and injunctive relief, and moved to represent a class of about 6,000 abused and neglected children that were known or should have been known to DHS. The District Court denied class certification, reasoning that the plaintiffs failed to satisfy Federal Rules of Civil Procedure rule 23 (a) (2)'s commonality requirement because not one of the

7. In fact, to date this Court has not found an abuse of discretion as a matter of law in the CPLR article 9 class certification context (*see e.g. Matter of 43rd St. Second Ave. Corp. v City of New York*, 83 NY2d 776, 778 [1994], *rearg denied* 83 NY2d 907 [1994] ["We find no abuse of discretion in the Appellate Division's determination that class certification is unwarranted in this case"]; *Bryant Ave. Tenants' Assn. v Koch*, 71 NY2d 856, 859 [1988] [stating that it could not be said "that it was an abuse of discretion as a matter of law to permit this class action to proceed against the governmental defendants"]; *Rivers v Katz*, 67 NY2d 485, 499 [1986], *rearg denied* 68 NY2d 808 [1986] ["Finally, we conclude that Special Term did not abuse its discretion in denying the motion for class action certification"]; *Caesar v Chemical Bank*, 66 NY2d 698, 701 [1985] ["Moreover, Special Term's certification of the action as a class action involved no abuse of discretion"]).

common legal issues applied to every member of the proposed class and each child had his or her own individual circumstances.⁸

The Third Circuit reversed and granted certification in *Baby Neal*, concluding that the District Court abused its discretion in declining to certify the class. The court noted the individualized facts surrounding the children but emphasized that the complaint sought declaratory and injunctive relief—rather than damages—rendering the differences largely irrelevant. The court observed that each child sought to enforce compliance of the statutory requirements and found DHS’s “systemic deficiencies in providing legally mandated child care services to be a sufficiently common legal basis to support class certification here” (*id.* at 61).

In another federal case arising in New York in 1997, a number of children in ACS’s custody commenced an action alleging that ACS had deprived them of child welfare services required by law in violation of more than a dozen constitutional and statutory provisions (*see Marisol A. v Giuliani*, 126 F3d 372 [2d Cir 1997]). The District Court granted plaintiffs class certification for a class whose membership encompassed children who were or would be in ACS’s custody, as well as those children who were at risk of neglect or abuse and whose status was known to ACS—a class totaling more than 100,000 children. On appeal, the Second Circuit held that the District Court did not abuse its discretion in certifying the class. The court acknowledged that each named plaintiff sought to challenge a different aspect of the child welfare system but, stressing rule 23’s liberal construction, ruled that plaintiffs had sufficiently demonstrated commonality pursuant to rule 23 (a) (2) based on their allegations that their injuries derived “from a unitary course of conduct by a single system” (*id.* at 377). The court concluded, however, that it would be necessary for the District Court to further refine the class into subclasses of children with similar legal issues.⁹

[2] Against this jurisprudential backdrop, we address the propriety of class certification in the present case. Mindful that

8. Unlike CPLR 901 (a) (2), Federal Rules of Civil Procedure rule 23 (a) (2) does not require that common questions predominate in actions seeking injunctive or declaratory relief; rather, it more broadly allows a class action where “there are questions of law or fact common to the class.”

9. ACS relies on *J.B. ex rel. Hart v Valdez* (186 F3d 1280 [10th Cir 1999]), where class certification was denied to a proposed class of mentally and

(n. cont’d)

the decision to certify is committed to the sound discretion of the courts below, we cannot say, at this early juncture, that the Appellate Division abused its discretion as a matter of law in affirming the class certification order. Put differently, although this litigation may be close to the outer boundary of the concept of commonality, given the liberal construction intended by the Legislature, we disagree with the dissent's assertion that an affirmation here goes "far beyond the limits the Legislature set on class actions" (dissenting op at 519). Admittedly, each of the plaintiffs and proposed class members possesses his or her own unique factual circumstances and special needs. As ACS notes, a determination regarding appropriate placements will require a particularized inquiry of each plaintiff's requirements.

But the Appellate Division identified four common allegations that transcend and predominate over any individual matters. Specifically, the Appellate Division recognized that all but one of the plaintiffs alleged that ACS had failed to timely make a referral to OMRDD. Second, the court found that plaintiffs claimed that ACS had submitted incomplete or outdated referral packets to OMRDD on their behalf, resulting in unnecessary rejections and further delays. Third, ACS's purported and recurrent failure to meet its permanency planning obligations caused plaintiffs to age out of the foster care system before appropriate services or placements were secured—indeed, most of the plaintiffs are now 21 years of age or older. Finally, the Appellate Division observed that each of the plaintiffs asserted that, when they were referred to OMRDD, OMRDD failed to provide timely services, often placing them on open-ended waiting lists.¹⁰ These

developmentally disabled children in a lawsuit alleging that New Mexico had systematically failed to provide protections and therapeutic services required by statutes and the Federal Constitution. But there, the Tenth Circuit majority merely concluded that the District Court did not abuse its discretion in denying class certification. Moreover, *J.B.* was distinguished by a more recent Tenth Circuit case (see *DG ex rel. Stricklin v Devaughn*, 594 F3d 1188 [10th Cir 2010]). In *DG*, the Tenth Circuit affirmed the certification of a class of foster children in the custody of the Oklahoma Department of Human Services. *DG* distinguished *J.B.*, noting that the plaintiffs in *J.B.* brought claims against numerous agencies and that the proposed class in *J.B.* was extremely broad insofar as it sought to include both custodial and noncustodial children.

10. It may well be that budgetary constraints and other obstacles are responsible for OMRDD's waiting lists (see *Matter of Savastano v Prevost*, 66 NY2d 47, 50 [1985], *rearg denied* 66 NY2d 1036 [1985] [recognizing that OMRDD retains discretion under Mental Hygiene Law § 13.15 (a), allowing it to "consider budgetary restrictions in implementing a program"]). But it may also be that OMRDD's difficulties in creating placements are due, in part, to

(n. cont'd)

allegations, if true, would tend to establish a de facto policy followed by ACS of delaying the receipt of services as a result of its practices. Plaintiffs seek to represent class members falling into each of these four categories of injury and ask for declaratory and injunctive relief on their behalf.

We agree with the Appellate Division that this case presents narrower and more discrete common questions in contrast to the broader issue of systemic failure viewed as sufficient for class certification in *Baby Neal* and *Marisol A.* In contrast to *Marisol A.*, where each of the plaintiffs challenged an entirely distinct feature of the child welfare system, plaintiffs in this case focus on four recurring and interrelated harms that are common across the class. Moreover, specialized proof will largely be unnecessary to resolve these common allegations. We therefore need not address whether a “super-claim” of systemic failure predicated on diverse and unrelated injuries, without a more particularized common thread, could satisfy CPLR 901 (a) (2)’s commonality prerequisite, which is more stringent than rule 23 (a) (2), its federal analogue.

Additionally, the class here is more circumscribed than the memberships in *Baby Neal* and *Marisol A.* In *Marisol A.*, the class included all children who were in ACS’s custody or who were at risk of entering its custody, numbering “well over 100,000 children” (126 F3d at 376). Here, plaintiffs represent that class membership is less than 200. This lawsuit therefore presents a more compelling case to proceed as a class action than *Baby Neal* and *Marisol A.*, precedents in which the courts upheld class certification under the federal class action provision.

Furthermore, CPLR article 9 affords the trial court considerable flexibility in overseeing a class action. Under CPLR 906 (1), “an action may be brought or maintained as a class action with respect to particular issues.” Relatedly, CPLR 906 (2) permits a class to “be divided into subclasses and each subclass treated as a class.” Given the four legal issues identified by the Appellate Division in this case, if it sees fit, Supreme Court would have the option of creating subclasses to group together

ACS’s failure to timely refer children, inhibiting OMRDD from making future plans and securing proper services or placements. During deposition testimony, for example, one OMRDD witness stated that “funding availability” was not an issue for OMRDD and that ACS’s lack of coordination was often detrimental to OMRDD’s development and planning process. On this record, the reasons for the allegedly excessive waiting lists remain unclear, warranting discovery.

members with analogous claims. In addition, CPLR 902 allows the trial court to decertify the class at any time before a decision on the merits if it becomes apparent that class treatment is inappropriate.

In sum, we conclude that the Appellate Division weighed the statutory criteria and acted within its discretion in determining that common questions predominate under CPLR 901 (a) (2). In reaching this result, we recognize that commonality cannot be determined by any “mechanical test” and that “the fact that questions peculiar to each individual may remain after resolution of the common questions is not fatal to the class action” (*Friar*, 78 AD2d at 97-98). Rather, it is “predominance, not identity or unanimity,” that is the linchpin of commonality (*id.* at 98). The Appellate Division identified concrete legal issues that predominate and plaintiffs’ claims seek to vindicate rights accorded them by statutes and regulations. We concur that, as framed, these claims are justiciable (*see Klostermann v Cuomo*, 61 NY2d 525, 535 [1984]; *see generally Nicholson v Scopetta*, 3 NY3d 357 [2004]). In upholding class certification, we emphasize that, at this early stage of the litigation, we are not expressing an opinion on the merits of plaintiffs’ causes of action. Their resolution must await further proceedings.

We have considered ACS’s remaining arguments and find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed, without costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). The question presented by this case is whether CPLR 901 permits use of the class action device to litigate a claim of “systemic failure” by a government agency. I answer the question no.

The majority seems hesitant to describe this as a systemic failure case. It says that it “need not address whether a ‘super-claim’ of systemic failure predicated on diverse and unrelated injuries, without a more particularized common thread” could be brought as a class action (majority op at 513). But unless the claim is viewed as one of systemic failure, class action treatment is plainly impossible. If the overarching question of whether the system is working or not is put aside, questions common to the cases of plaintiffs and the people they seek to represent not only fail to predominate over non-common questions; they hardly even exist. Each of the 11 plaintiffs, and

every other developmentally disabled child who is part of or has passed through the New York City foster care system, has his or her own—often very moving—story to tell.

The “amended intervenor complaint” (complaint) is 57 pages long, and contains 347 numbered paragraphs. Thirty-six of those pages, and 256 of those paragraphs, are devoted to recounting, separately for each plaintiff, his or her specific problems and the ways in which the New York City Administration for Children’s Services (ACS) and the State Office of Mental Retardation and Developmental Disabilities (OMRDD) have failed to cope with them. Similarly, in Supreme Court’s 23-page opinion denying partial summary judgment and granting class certification, 11 pages are devoted to a summary of allegations relating to each plaintiff separately. The facts alleged are compelling, but the telling of these stories does not demonstrate that common issues, other than systemic flaws, predominate; it demonstrates the opposite.

And when the complaint finally turns to allegations about plaintiffs and other putative class members in general, the allegations continue to demonstrate how different their situations are: plaintiffs complain that they and others like them have not received the right “specialized placements”; that they and others like them “are often placed in inappropriate facilities that fail to meet their needs”; that their needs for “specialized services” are not being met; and that ACS’s employees and agents lack “an adequate understanding of the needs of children with developmental disabilities.” There can be no doubt that the “services,” “needs” and “placements” referred to are different for each plaintiff and each other member of the putative class—as the repeated use of the word “specialized” emphasizes. Indeed, the very definition of the class certified by the courts below would require an individualized analysis of every case: the class consists of “[i]ndividuals with developmental disabilities who . . . have not received or did not receive services . . . to which they were or are entitled.” Thus we cannot know whether a person is a class member before deciding what services he or she is entitled to and whether those services were provided—inevitably, a determination that depends on the facts of each case.

It may make my point clearer to summarize in detail the complaint’s allegations about the first named plaintiff, L.J. The complaint says that she suffers from cerebral palsy, which results in physical limitations including quadriplegia, and that

she has also been diagnosed with depression and “math developmental disability.” She was placed by ACS at the Woods School in Langhorne, Pennsylvania, where she “received specialized services, including an individualized educational plan.” However, the complaint says, Woods was a “segregated residential school placement,” and L.J. was “capable of receiving services in and successfully living in a less-restrictive placement.” This is shown by an August 2003 psychological evaluation, which demonstrates that with instruction, support and encouragement L.J. would be capable of going, unsupervised, to school and non-school events with friends, belonging to a club or organization and even going on dates. She is described as “a highly motivated young woman who has many goals and dreams for the future, many of which are within reach.”

The complaint goes on to allege that, despite its knowledge of these and other relevant facts, ACS moved L.J. to Bayview Nursing and Rehab Center, “a 198-bed skilled-nursing facility” serving “a mostly adult population.” L.J., it is alleged, did not require Bayview’s level of services, and Bayview was for her “an unduly restrictive setting.” It is also alleged that ACS failed to engage in “reasoned decision-making” about the placement at Bayview; that its contact with L.J. was “sporadic” at best; and that ACS failed to make any plans for L.J. to receive appropriate education at Bayview. Finally, it is alleged, ACS essentially washed its hands of L.J., informing her counsel (though not L.J. or her parents) that it was discharging her into her parents’ custody.

It may well be that these appalling facts, if proved at trial, would entitle L.J. to a remedy. But it also seems quite clear that the considerable time and effort that would be spent on proving those facts, and giving ACS and OMRDD an opportunity to rebut them, would do nothing to advance the case of any other plaintiff or class member—unless those cases rest on the sweeping proposition that the system as a whole is failing. If this is not a systemic failure case, the predominance test is not satisfied, because class treatment of L.J.’s case and those of other children will not “achieve economies of time, effort, and expense, and promote uniformity of decision as to persons similarly situated” (*Friar v Vanguard Holding Corp.*, 78 AD2d 83, 97 [2d Dept 1980]).

This case is not at all like a typical class action, in which many victims complain of a single act or a series of very similar acts that affects all of them—e.g., the release of a toxic

substance, a misrepresentation in a widely distributed document, a discriminatory or other unlawful policy consistently applied. The only significant common question in this case is whether the system is working or not.

The majority, if I read its opinion correctly, does not dispute that class action treatment here must be predicated on a claim of systemic failure. Rather, the majority finds that the case is appropriate for class action treatment because certain kinds of systemic failure tend to recur. Thus, the majority refers to “four common allegations that transcend and predominate over any individual matters” (majority op at 512), but these allegations, when examined, are simply four different ways of saying that ACS and OMRDD have failed to act in a timely fashion. Like plaintiffs’ other allegations, these are “common” to the 11 plaintiffs and the class they seek to represent only in the sense that they are examples of an alleged breakdown of the system. Systemic failure aside, it makes no more sense to permit a class action by foster care children who suffer from the slowness of city and state bureaucracies than it would to permit a class action by pedestrians who had slipped and fallen on New York City sidewalks. Such a case would not be about the pedestrians’ injuries and the City’s liability for them; it would be a case about the sidewalk maintenance system.

I therefore turn to the question I think decisive: Should the class action device be used to facilitate “systemic failure” cases? I think not.

I do not suggest, of course, that governmental systems never fail. Indeed, plaintiffs’ claim that the system is failing developmentally disabled children in foster care may be well-founded. The allegations of the complaint support the conclusion that the way in which the City and State deal with these children needs to be changed: It may need a top-to-bottom reorganization, or a large infusion of money, or both.

But however worthy the end of reforming the system, class action litigation is not the right means to that end. An action like this one calls upon courts to answer questions that are properly the province of other branches of government: How should delivery of a particular government service be organized? And how much money should be spent on it? These are extremely hard questions, and the executive and legislative branches often get them wrong, but courts have neither the constitutional authority nor the institutional capacity to second-guess the other branches’ performance.

Courts have much less skill than professional administrators in deciding which methods of delivering services will be cost-effective, taking into account the limits on the funds available to an agency and the competing demands on those funds. Thus, for a judge to say to a state agency, as plaintiffs here request, “I declare that the system is not working, and I order you to fix it” will, often if not always, have a predictable result: The agency will assert that it is doing the best it can with the funds available—i.e., that nothing can fix the system except more money—and the court will lack the information and expertise to determine whether that is true or not.

As a result, courts may be led, here and in similar cases, to the seemingly attractive solution of issuing orders requiring, on their face or by implication, that the State or municipality spend whatever money is necessary to make the system work. But when courts do this they usurp the proper province of the Governor and Legislature, who must decide—sometimes, as now, in times of great fiscal stress—which of many urgent needs will take priority. A case like this one essentially asks judges to become champions—champions armed with the prestige of the judiciary, and the contempt power—for the needs of a particular group that benefits from state funds. That is not, in my view, the proper role of a court, even where the group seeking our help is as deserving of sympathy as plaintiffs here (*see Jones v Beame*, 45 NY2d 402 [1978]).

Plaintiffs cite no case in which we have upheld a systemic failure class action. They rely on *Klostermann v Cuomo* (61 NY2d 525 [1984]), but that was not a case in which courts were asked, as they are here, simply to declare that a system for delivering a government service had broken down and was in need of repair. In *Klostermann*, the public agencies involved were in repeated noncompliance with the command of Mental Hygiene Law § 29.15 (g), which required preparation of a written service plan, with prescribed contents, for every person discharged from state psychiatric hospitals. We held that an alleged lack of funds did not excuse noncompliance with such a specific statutory directive. This case involves no requirement of comparable specificity.

The New York State case most closely on point is the Appellate Division’s well-reasoned decision in *Mitchell v Barrios-Paoli* (253 AD2d 281 [1st Dept 1999]). The plaintiffs in *Mitchell* were partially disabled public assistance recipients who claimed that they were being assigned by the city to jobs incompatible with

their disabilities—much as plaintiffs here contend that they are being assigned to inappropriate facilities, or given inappropriate treatment. The *Mitchell* court found that the plaintiffs “raise serious fairness questions . . . and may well have shown their entitlement to CPLR article 78 relief” (*id.* at 283), but held that their case could not proceed as a class action “because common questions of law or fact do not predominate on most claims” (*id.* at 290). The court explained:

“The class purportedly consists of . . . participants whose assignments exceed their medical limitations. However, determining who is a member of that class would require individualized examination of each person’s medical history and the physical demands of her assigned task, which would defeat the class action’s goal of saving judicial time and resources” (*id.* at 291).

Lacking support in state authority, plaintiffs rely (as does the majority) on several federal cases permitting class actions similar to this one (*DG ex rel. Stricklin v Devaughn*, 594 F3d 1188 [10th Cir 2010]; *Marisol A. v Giuliani*, 126 F3d 372 [2d Cir 1997]; *Baby Neal for & by Kanter v Casey*, 43 F3d 48 [3d Cir 1994]). These cases were decided under rule 23 of the Federal Rules of Civil Procedure, which differs, in a critical way, from CPLR 901, the governing statute here: In federal class actions seeking declaratory or injunctive relief, there is no requirement that common questions of law or fact predominate over individual ones (*see* Fed Rules Civ Pro rule 23 [a] [2]; [b] [2]; *compare* Fed Rules Civ Pro rule 23 [b] [3]; *see also* *Baby Neal*, 43 F3d at 56 [(“t)he commonality requirement will be satisfied if the named plaintiffs share at least one question of fact or law with the grievances of the prospective class”). And even under that rule, the federal decisions are questionable. The court in *Marisol A.* acknowledged that the class action it permitted “stretches the notions of commonality and typicality” and “is near the boundary of the class action device” (126 F3d at 377). The reasoning of *Baby Neal* was rejected in *J.B. ex rel. Hart v Valdez* (186 F3d 1280, 1289 n 5 [10th Cir 1999]).

The authors of CPLR 901 (a) (2) chose to set narrower boundaries than does federal rule 23 for the use of a class action in cases like this. It is fair to infer that those authors expected us to be significantly less hospitable than the federal courts to exotic and creative class actions, including those of the systemic failure type. The majority here has gone far beyond the limits the Legislature set on class actions.

I would reverse the Appellate Division's order and deny class certification. I would also grant ACS's motion to dismiss plaintiffs' claims for prospective relief as moot, because the mootness exception is inapplicable for essentially the same reason that class action treatment is inappropriate: each plaintiff's case is unique, and there is no meaningful "likelihood of repetition" of any plaintiff's claim (*see Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]).

Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH dissents and votes to reverse in a separate opinion in which Judge READ concurs; Chief Judge LIPPMAN taking no part.

Order affirmed, etc.

[930 NE2d 206, 904 NYS2d 285]

In the Matter of H.M., Appellant, v E.T., Respondent.

Argued February 17, 2010; decided May 4, 2010

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 26, 2009. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Family Court, Rockland County (William P. Warren, J.; op 16 Misc 3d 1136[A], 2007 NY Slip Op 51711[U]), entered September 11, 2007, which had (a) granted petitioner's objections to an order of that court (Rachelle C. Kaufman, S.M.), dated March 7, 2007, dismissing the paternity and child support petition brought pursuant to the Uniform Interstate Family Support Act (Family Ct Act art 5-B); (b) reversed the order dated March 7, 2007; and (c) directed a hearing to determine whether respondent should be equitably estopped from denying her responsibility to provide support for the child; (2) denied petitioner's objections; (3) reinstated the order dated March 7, 2007; and (4) vacated (a) an order of that court (William P. Warren, J.), entered March 25, 2008, which had determined that respondent was estopped from denying her responsibility for supporting the child and, for that purpose, declared respondent a parent of the child, and (b) an order of that court (Rachelle C. Kaufman, S.M.), entered March 18, 2009, which had fixed, upon the parties' consent, the amount of the monthly child support and the child support arrears.

Matter of H.M. v E.T., 65 AD3d 119, reversed.

HEADNOTE

Courts — Family Court — Subject Matter Jurisdiction — Proceeding Seeking Child Support from Former Same-Sex Partner

Family Court had subject matter jurisdiction to adjudicate the support petition brought pursuant to the Uniform Interstate Family Support Act (Family Ct Act art 5-B) by petitioner, the child's biological mother, seeking child support from respondent, petitioner's former same-sex partner. Family Court has jurisdiction to determine whether an individual parent—regardless of gender—is responsible for the support of a child (*see* Family Ct Act § 413 [1] [a]). Because Family Court has the subject matter jurisdiction to ascertain the support obligations of a female parent, it also has the inherent authority to ascertain in certain cases whether a female respondent is, in fact, a child's parent. As petitioner here asserted that respondent was the child's parent, and was therefore chargeable with the child's support, the case was within Family Court's article 4 jurisdiction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 916, 919.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 119:2, 119:25, 119:26, 119:32.

4A LAW AND THE FAMILY NEW YORK (2d ed) § 2:9; 5 LAW AND THE FAMILY NEW YORK (2d ed) § 1:2.

MCKINNEY's, Family Ct Act § 413 (1) (a); art 5, art 5-B.

NY JUR 2d, Domestic Relations §§ 897, 1019, 1071.

ANNOTATION REFERENCE

Child support obligations of former same-sex partners. 5 ALR6th 303.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: family /2 court /s jurisdiction /s child /5 support & same-sex

POINTS OF COUNSEL

Proskauer Rose LLP, New York City (*Peter J.W. Sherwin*, *Kenneth E. Aldous*, *Justin F. Heinrich* and *Nicole Haff* of counsel), for appellant. I. The Family Court has subject matter jurisdiction to determine whether a woman owes a duty of child support. (*Matter of Fry v Village of Tarrytown*, 89 NY2d 714; *Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364; *Matter of Roy v Roy*, 109 AD2d 150; *Matter of Strom v Lomtevas*, 28 AD3d 779; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *People v Finnegan*, 85 NY2d 53; *Reddington v Staten Is. Univ. Hosp.*, 11 NY3d 80; *Matter of Karin T. v Michael T.*, 127 Misc 2d 14; *Matter of Carol Y. v David M.*, 150 AD2d 783; *Matter of Lentz*, 247 App Div 31.) II. An emotional bond between child and putative parent is not required to satisfy the reliance element of equitable estoppel in the child support context. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of Charles v Charles*, 296 AD2d 547; *Holtslander v Whalen & Sons*, 69 NY2d 1016; *Matter of Duchnowski*, 31 NY2d 991; *Matter of Napolitano* [Motor Veh. Acc. Indem. Corp.], 21 NY2d 281; *Matter of Hunter*, 4 NY3d 260; *M.S. v K.T.*, 177 Misc 2d 772; *Laura G. v Peter G.*, 15 Misc 3d 164, *affd sub nom. Laura WW. v Peter WW.*, 51 AD3d 211; *Wener v Wener*, 35

AD2d 50; *Gursky v Gursky*, 39 Misc 2d 1083; *Maas v Cornell Univ.*, 94 NY2d 87.)

Nixon Peabody LLP, Rochester (*David H. Tennant* and *Erik A. Goergen* of counsel), for respondent. I. Family Court lacks subject matter jurisdiction to hear H.M.'s claim. II. H.M. has not raised, much less established, an equal protection violation. III. H.M.'s petition fails to allege an essential element in any claim that seeks to impose child support obligations based on equitable principles: detrimental reliance by the child. (*Feyler v Mortimer*, 299 NY 309; *Commissioner of Pub. Welfare v Koehler*, 284 NY 260; *Matter of Spencer v Spencer*, 10 NY3d 60; *Matter of Shondel J. v Mark D.*, 7 NY3d 320.)

Orrick, Herrington & Sutcliffe LLP, New York City (*Matthew L. Craner*, *Lisa M. Cirando* and *Scott Roehm* of counsel), for New York County Lawyers' Association, amicus curiae. I. Not allowing this case to proceed in Family Court would frustrate the Uniform Interstate Family Support Act's very purpose. (*Vazquez v Vazquez*, 26 AD2d 701; *Matter of Child Support Enforcement Unit v John M.*, 183 Misc 2d 468, 283 AD2d 40.) II. The majority's decision below deprives H.M., Baby R., and anyone else seeking child support against a woman, of Family Court's unique resources and expertise. (*Matter of Fusco v Roth*, 100 Misc 2d 288; *Matter of Reid v White*, 112 Misc 2d 294; *Matter of Child Support Enforcement Unit v John M.*, 283 AD2d 40; *Matter of Powers v Powers*, 86 NY2d 63.) III. The Appellate Division majority's interpretation of Family Court Act article 5 as applying only to men renders the statute unconstitutional. (*Orr v Orr*, 440 US 268; *Craig v Boren*, 429 US 190; *People v Felix*, 58 NY2d 156; *Kolmer-Marcus, Inc. v Winer*, 32 AD2d 763, 26 NY2d 795; *People v Liberta*, 64 NY2d 152; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Anonymous v Anonymous*, 151 AD2d 330; *Anonymous v Anonymous*, 41 Misc 2d 886; *Gursky v Gursky*, 39 Misc 2d 1083.)

Carmelyn P. Malalis, New York City, for New York City Bar Association, amicus curiae. I. Children conceived with assisted reproductive technology should be ensured a legal forum and remedy to secure support from their intended second parents. (*Matter of L. Pamela P. v Frank S.*, 59 NY2d 1; *Matter of Sebastian*, 25 Misc 3d 567; *Matter of Michael*, 166 Misc 2d 973; *Perry-Rogers v Fasano*, 276 AD2d 67; *Troxel v Granville*, 530 US 57; *Kansas v United States*, 214 F3d 1196; *Matter of Spencer v Spencer*, 10 NY3d 60; *Anonymous v Anonymous*, 41 Misc 2d 886;

Gursky v Gursky, 39 Misc 2d 1083; *Laura WW. v Peter WW.*, 51 AD3d 211.) II. The doctrine of equitable estoppel applies to preclude a person who caused a child to be born with promises of support from disclaiming financial obligations to the child. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175; *Matter of Baby Boy C.*, 84 NY2d 91; *Matter of Ettore I. v Angela D.*, 127 AD2d 6; *Matter of Westchester County Dept. of Social Servs. v Robert W.R.*, 25 AD3d 62; *Matter of Sharon GG. v Duane HH.*, 95 AD2d 466, 63 NY2d 859; *Matter of Montelone v Antia*, 60 AD2d 603; *Laura WW. v Peter WW.*, 51 AD3d 211; *Matter of Vernon J. v Sandra M.*, 36 AD3d 912; *Matter of Griffin v Marshall*, 294 AD2d 438.) III. The Family Court has subject matter jurisdiction to adjudicate a woman liable for support of a child she intentionally caused to be brought into the world. (*Schaschlo v Taishoff*, 2 NY2d 408; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Matter of Spencer v Spencer*, 10 NY3d 60; *Matter of Aaron J.*, 80 NY2d 402; *Matter of Commissioner of Social Servs. of Franklin County v Bernard B.*, 87 NY2d 61; *Matter of Westchester County Dept. of Social Servs. v Robert W.R.*, 25 AD3d 62; *Matter of Rachelle L. v Bruce M.*, 89 AD2d 765; *Matter of Lisa M. UU. v Mario D. VV.*, 78 AD2d 711; *Matter of Carter v Carter*, 58 AD2d 438; *Califano v Westcott*, 443 US 76.) IV. As held by the Second Department and conceded by E.T., the Supreme Court has concurrent jurisdiction to hear claims for support brought against a woman. (*Sohn v Calderon*, 78 NY2d 755; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Vazquez v Vazquez*, 26 AD2d 701; *Kagen v Kagen*, 21 NY2d 532; *Doe v New York City Bd. of Health*, 5 Misc 3d 424; *Matter of Strom v Lomtevas*, 28 AD3d 779; *Matter of Child Support Enforcement Unit v John M.*, 183 Misc 2d 468, 283 AD2d 40.)

OPINION OF THE COURT

CIPARICK, J.

This appeal presents the issue whether Family Court has subject matter jurisdiction to adjudicate a support petition brought pursuant to the Uniform Interstate Family Support Act (UIFSA) (Family Ct Act art 5-B) by a biological parent seeking child support from her former same-sex partner. We hold that Family Court possesses subject matter jurisdiction to hear such a petition.

H.M. seeks child support from E.T. According to H.M.'s allegations, which we must take as true for present purposes, the parties were involved in a romantic relationship in New York

from 1989 through 1995, and cohabited during much, if not all, of that period. During the first year of their relationship, they planned to conceive and raise a child together, discussing, among other things, available methods of conception, child-rearing practices, and whether the child would be raised as a sibling of E.T.'s children from a prior relationship. In 1993, after many failed attempts, H.M. became pregnant by artificial insemination. E.T. performed the procedure by which H.M. was inseminated.

H.M. gave birth to a son in September 1994. E.T. was present at the delivery and cut the umbilical cord, and the parties shared the expenses associated with the conception and birth of the child. After the child's birth, both parties participated in his care. However, four months after the child was born, E.T. ended the relationship. H.M., a Canadian citizen, moved into her parents' residence in Montreal with the child. An attempted reconciliation in 1997 failed, although E.T. continued to provide H.M. with gifts for the child and monetary contributions for the child's care at unspecified times after the parties' separation.

In 2006, H.M. filed an application in Ontario, Canada, seeking a declaration of parentage and an order of child support establishing monthly payments retroactive to the child's birth. Pursuant to the Uniform Interstate Family Support Act, H.M.'s application was transferred to Family Court, Rockland County.

At an appearance before a Family Court Support Magistrate, E.T. moved to dismiss the petition on jurisdictional grounds. The Support Magistrate dismissed the petition, agreeing with E.T. that no legal basis for jurisdiction existed. H.M. filed written objections to the Support Magistrate's order, and Family Court subsequently reversed the order of dismissal and ordered a hearing to determine whether E.T. should be equitably estopped from denying parentage and support obligations (16 Misc 3d 1136[A], 2007 NY Slip Op 51711[U]).

E.T. appealed. The Appellate Division, with two Justices dissenting, reversed and reinstated the Support Magistrate's order dismissing the petition for lack of subject matter jurisdiction (*see Matter of H.M. v E.T.*, 65 AD3d 119 [2d Dept 2009]).

H.M. appeals as of right pursuant to CPLR 5601 (a) from the Appellate Division order reinstating the Support Magistrate's order of dismissal, and we now reverse.

In 1996, the United States Congress required each state to enact the Uniform Interstate Family Support Act, to ensure

uniformity in interstate actions for the establishment, enforcement, and modification of spousal and child support orders (*see* 42 USC § 666 [f]; *Matter of Spencer v Spencer*, 10 NY3d 60, 65 [2008]). New York adopted UIFSA in 1997, designating Family Court as our UIFSA “tribunal” (*see* Family Ct Act § 580-102 [“The family court is the tribunal of this state”]). With respect to the law to be applied by Family Court, UIFSA states that

“[e]xcept as otherwise provided by this article, a responding tribunal of this state:

“(1) shall apply the procedural and substantive law, including the rules on choice of law, *generally applicable to similar proceedings originating in this state and may exercise all powers and provide all remedies available in those proceedings*; and

“(2) shall determine the duty of support and the amount payable in accordance with the law and support guidelines of this state” (Family Ct Act § 580-303 [emphasis added]).

Article VI of the State Constitution establishes “[t]he family court of the state of New York” (NY Const, art VI, § 13 [a]). We have previously explained that Family Court is a court of limited jurisdiction, constrained to exercise only those powers granted to it by the State Constitution or by statute (*see Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364, 366 [2008]). Thus, in addition to establishing Family Court, the Constitution enumerates the powers thereof. Among the “classes of actions and proceedings” over which the Constitution grants Family Court jurisdiction are proceedings to determine “the support of dependents except for support incidental to actions and proceedings in this state for marital separation, divorce, annulment of marriage or dissolution of marriage” (NY Const, art VI, § 13 [b] [4]). Article 4 of the Family Court Act more specifically defines Family Court’s role with respect to support.

Specifically, of particular relevance here, article 4 of the Family Court Act, entitled “Support Proceedings,” provides, among other things, that

“the *parents* of a child under the age of twenty-one years are chargeable with the support of such child and, if possessed of sufficient means or able to earn such means, shall be required to pay for child support a fair and reasonable sum as the court may

determine’’ (Family Ct Act § 413 [1] [a] [emphasis added]).

Family Court indisputably has jurisdiction to determine whether an individual parent—regardless of gender—is responsible for the support of a child (*see* Family Ct Act § 413 [1] [a]). Moreover, statutory jurisdiction—as Family Court has—carries with it such ancillary jurisdiction as is necessary to fulfill the court’s core function (*see Higgins v Sharp*, 164 NY 4, 8 [1900]; *see also Loomis v Loomis*, 288 NY 222, 224 [1942]). Thus, because Family Court unquestionably has the subject matter jurisdiction to ascertain the support obligations of a female parent, Family Court also has the inherent authority to ascertain in certain cases whether a female respondent is, in fact, a child’s parent.

Article 4 of the Family Court Act establishes the public policy of the State in favor of obligating individuals, regardless of gender, to provide support for their children. The dissent argues that such relief can be afforded only in Supreme Court, a court of original trial jurisdiction. However, as the two dissenting Justices below found, Family Court and Supreme Court have coextensive authority—concurrent jurisdiction—in relation to child support matters. The Domestic Relations Law and the Family Court Act are identical in the establishment of statewide child support guidelines applicable to all child support proceedings, whether brought initially in Family Court or brought in Supreme Court as ancillary to a matrimonial action or custody proceeding. Moreover, under the guidelines adopted in New York as the Child Support Standards Act (L 1989, ch 567), both parents have an obligation to contribute to the economic well-being of their children. The relevant coextensive statutes—Family Court Act § 413 and Domestic Relations Law § 240—are capable of being enforced in a fashion that does not disadvantage a litigant in Family Court.

In short, because H.M. asserts that E.T. is the child’s parent, and is therefore chargeable with the child’s support, this case is within the Family Court’s article 4 jurisdiction. We have no occasion to decide whether it is also, as the Family Court and the Appellate Division dissent concluded, within that court’s article 5 jurisdiction. Nor do we decide the merits of H.M.’s support claim.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate

Division for consideration of questions raised but not determined on the appeal to that court.

SMITH, J. (concurring in *Debra H. v Janice R.* and *Matter of H.M. v E.T.*). These two cases present (though neither majority decision ultimately turns on) the question of whether a person other than a biological or adoptive mother or father may be a “parent” under New York law. In *Debra H. v Janice R.* (14 NY3d 576 [2010] [decided today]), a visitation case, a majority of the Court reaffirms the holding in *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) that New York parenthood requires a biological or adoptive relationship, though the majority also holds—correctly in my view—that we should recognize Debra H.’s parental status under the law of Vermont. In *H.M. v E.T.*, a child support case, the majority holds—again correctly in my view—that Family Court has jurisdiction of the case, and does not reach the *Alison D.* question, while the dissent suggests that *Alison D.* requires dismissal.

Though I concur with the result in both cases, and join the *H.M. v E.T.* majority opinion in full, I would depart from *Alison D.*, both for visitation and child support purposes. I grant that there is much to be said for reaffirming *Alison D.*, but I conclude that there is even more to be said against it.

I begin by expressing wholehearted agreement with much of what the *Debra H.* majority opinion, and Judge Graffeo’s concurring opinion, say. It is indeed highly desirable to have “a bright-line rule that promotes certainty in the wake of domestic breakups,” and to avoid litigation “over parentage as a prelude to further potential combat over custody and visitation” (*Debra H.*, 14 NY3d at 593, 594 [majority op]). There are few areas of the law where certainty is more important than in the rules governing who a child’s parents are. For that reason, I join the *Debra H.* majority in rejecting the approach taken by the *Alison D.* dissent, which favored a multi-factor test for parenthood “that protects all relevant interests” (77 NY2d at 662), and by the Wisconsin Supreme Court’s decision in *In re Custody of H.S.H.-K.* (193 Wis 2d 649, 658-659, 533 NW2d 419, 421 [1995]), which permitted a party to establish a “parent-like relationship” by proving four amorphous elements, including such things as “significant responsibility for the child’s care, education and development” and “a bonded, dependent relationship” with the child. The *Debra H.* majority is quite right to see in these vague formulas a

recipe for endless litigation, which would mean endless misery for children and adults alike.

These reasons lead the *Debra H.* majority and the *H.M. v E.T.* dissent to follow *Alison D.* in concluding that women in the position of Debra H. (putting aside her civil union with Janice R.) and E.T. are not parents of their former lovers' children. But despite the high value I set on certainty and predictability, I find this result unacceptable. I would therefore adopt a different "bright-line rule"—one that includes these women and others similarly situated in the definition of "parent."

The position of Debra H. and E.T. is an increasingly common one. Each lived with her same-sex romantic partner. In each case, while the couple was living together, the partner was artificially inseminated with sperm from an unknown donor (artificial donor insemination, or ADI) and gave birth. Both women in each case expected, and led the other to expect, that both of them would be the child's parents. Yet the *Debra H.* majority holds that Debra H. would never have become a parent absent the civil union, while the *H.M. v E.T.* dissent implies that E.T. never became a parent at all. This approach not only disappoints the expectations of the adults involved: much worse, it leaves each child with only one parent, rendering the child, in effect, illegitimate.

To put a large and growing number of our state's children in that status seems wrong to me. Each of these couples made a commitment to bring a child into a two-parent family, and it is unfair to the children to let the commitment go unenforced. Nor can it be said that adoption by the nonbiological parent—an option available under *Matter of Jacob* (86 NY2d 651 [1995])—is an adequate recourse, for adoption is possible only by the voluntary act of the adopting parent, with the consent of the biological one. To apply the rule of *Alison D.* to children situated as are the children in these cases is to permit either member of the couple to make the child illegitimate by her whim—as the facts of these two cases illustrate.

I have said that the interest in certainty is extremely strong in this area; but society's interest in assuring, to the extent possible, that each child begins life with two parents is not less so. That policy underlies the common-law presumption of legitimacy, "one of the strongest and most persuasive known to the law" (*Matter of Findlay*, 253 NY 1, 7 [1930, Cardozo, Ch. J.]; see also *Michael H. v Gerald D.*, 491 US 110, 125 [1989] [the

strength of the presumption derives from “an aversion to declaring children illegitimate . . . thereby depriving them of rights of inheritance and succession . . . and likely making them wards of the state’’). The policy has been adopted as a matter of statute in particular circumstances (Domestic Relations Law §§ 24, 73) and, in one persuasively reasoned Appellate Division case, has been adapted as a matter of common law to protect children born by ADI (*Laura WW. v Peter WW.*, 51 AD3d 211 [3d Dept 2008]). I would apply the common-law presumption to the facts of these cases, and would hold that where a child is conceived through ADI by one member of a same-sex couple living together, with the knowledge and consent of the other, the child is as a matter of law—at least in the absence of extraordinary circumstances—the child of both.

The rule I propose is clearly defined in at least one respect: It would apply only to same-sex couples—indeed, only to lesbian couples, because I would leave for another day the question of what rules govern male couples, for whom ADI is not possible. This limitation may give some pause, for it seems intuitively that all people, male and female, gay and straight, should be treated the same way. Yet it is an inescapable fact that gay and straight couples face different situations, both as a matter of law and as a matter of biology. By the choice of our Legislature, a choice we have held constitutionally permissible (*Hernandez v Robles*, 7 NY3d 338 [2006]), same-sex couples in New York have neither marriage nor domestic civil unions available to them. And, pending even more astounding technological developments than we have yet witnessed, it is not possible for both members of a same-sex couple to become biological parents of the same child. These differences seem to me to warrant different treatment. Indeed, different treatment already exists, for both a statute (Domestic Relations Law § 73) and the common law (*Laura WW.*, 51 AD3d at 217) give a measure of protection to the children of married opposite-sex couples who are conceived by ADI. The rule I propose would give the children of lesbian couples similar, though not identical, protection.

In one respect, the rule I have suggested would come closer to treating gay and straight couples alike than the more flexible rules advocated or adopted in many writings, including the *Alison D.* dissent, the Wisconsin decision in *In re Custody of H.S.H.-K.*, and Judge Ciparick’s concurrence today in *Debra H.* (14 NY3d at 606-607). Under these approaches, the same-sex partners of biological parents would

have an opportunity to become quasi-parents—“de facto parents,” parents-by-estoppel, or persons “in a parent-like relationship.” As to women in the situation of Debra H. and E.T., I would drop all the hyphens and quotation marks, and call them simply parents.

For these reasons, I would hold that Debra H. is M.R.’s parent, and that E.T. is the parent of H.M.’s biological son. Therefore, in *Debra H. v Janice R.*, I would not find it necessary to reach the effect of the Vermont civil union (although, since the majority does reach it, I join in its resolution of that question); and I would hold that Family Court has jurisdiction in *H.M. v E.T.* not only on the narrow ground adopted by the majority, but also on the ground that E.T. is the child’s parent and therefore “chargeable with the support of such child” within the meaning of Family Court Act § 413 (1) (a).

JONES, J. (dissenting). In this support petition brought under the Uniform Interstate Family Support Act (UIFSA) (Family Ct Act art 5-B), H.M., the biological parent of a child born in September 1994, seeks to charge E.T., her former same-sex partner, with the financial responsibility for the support of the child who was planned, conceived and born during the couple’s relationship, but who never had any continuing relationship with E.T., who ended the relationship with H.M. when the child was three months old. Because Family Court lacks subject matter jurisdiction to hear such a petition, I respectfully dissent and would affirm the order of the Appellate Division.

It is well settled that “Family Court is a court of limited jurisdiction that cannot exercise powers beyond those granted to it by statute” (*Matter of Johna M.S. v Russell E.S.*, 10 NY3d 364, 366 [2008]; see *Matter of Pearson v Pearson*, 69 NY2d 919, 921 [1987]; *Matter of Silver v Silver*, 36 NY2d 324, 326 [1975]; Family Ct Act § 115) or the State Constitution (see NY Const, art VI, § 13). In addition, Family Court has no general equity jurisdiction; as such, it cannot grant equitable relief (see *Matter of Brescia v Fitts*, 56 NY2d 132, 139 [1982]).

H.M. brought her petition pursuant to UIFSA and sought a declaration of “parentage,” a proceeding authorized by UIFSA. Family Court received the petition and is the “responding tribunal” under UIFSA, which states, “a responding tribunal of this state . . . shall apply the procedural and substantive law . . . generally applicable to similar proceedings originating in this state and may exercise all powers and provide all remedies

available in those proceedings” (Family Ct Act § 580-303 [1]). This rule is applicable to proceedings for the determination of parentage under UIFSA (*see* Family Ct Act § 580-701 [b]). As such, UIFSA does not supplant or otherwise make changes in the procedural and substantive law of New York.

Under the clear and unambiguous language of the Family Court Act—the statute defining the powers of Family Court—the only proceeding “similar” to a proceeding for the determination of “parentage” is the “Paternity Proceeding[]” under article 5, which provides a vehicle for determining whether a male is the father of a particular child. The majority argues, though, that Family Court has authority under Family Court Act article 4 to hear H.M.’s support petition. I disagree.

Family Court Act § 413 (1) (a) provides:

“the *parents* of a child under the age of twenty-one years are chargeable with the support of such child and, if possessed of sufficient means or able to earn such means, shall be required to pay for child support a fair and reasonable sum as the court may determine. The court shall make its award for child support pursuant to the provisions of this subdivision” (emphasis added).

Although the term “parent” is not defined in the Family Court Act, that term has been defined as follows:

“The *lawful* father or mother of someone. In ordinary usage, the term denotes more than responsibility for conception and birth. The term commonly includes (1) either the natural father or the natural mother of a child, (2) either the adoptive father or the adoptive mother of a child, (3) a child’s putative blood parent who has expressly acknowledged paternity, and (4) an individual or agency whose status as guardian has been established by judicial decree” (Black’s Law Dictionary 1222 [9th ed 2009] [emphasis added]).

In addition, one may gain the status of a legal parent through second-parent adoption (*see Matter of Jacob*, 86 NY2d 651 [1995]) or by entering a civil union or same-sex marriage in a state with *laws* providing that participants of such unions have parental rights with respect to children either member or spouse becomes the natural parent of during the course of the union.

To be sure, Family Court may charge both men and women with support obligations based on a biological or adoptive or

“guardianship by judicial decree” or other *legal* “parental” connection to a child. Charging support obligations to one with such a legal relationship to a child is clearly within Family Court’s jurisdiction under article 4.

Here, however, H.M. seeks child support from a woman with *no* biological or other legal connection to the child.¹ Accordingly, Family Court has no legal authority to address H.M.’s petition under Family Court Act article 4. In order for Family Court to find that support obligations are chargeable to E.T. under article 4, it would have to grant H.M. the type of equitable relief that is beyond its jurisdiction.

My analysis is consistent with the holding in *Matter of Shondel J. v Mark D.* (7 NY3d 320, 328 [2006] [respondent was equitably estopped from denying paternity of petitioner mother’s child—for support purposes—because respondent “represented that he was the father of the child, and (the child) justifiably relied on this representation, changing her position by forming a bond with him”]). *Shondel J.* makes clear that the doctrine of equitable estoppel is applicable, in the child support context, only to preclude a party’s reliance on genetic marker and DNA testing to prove or disprove *paternity* when such an approach is warranted to prevent disruption of an ongoing parent/child relationship (see Family Ct Act § 418 [a]; § 532 [a]; see *e.g. Shondel J., supra*).² Put differently, Family Court may apply the doctrine of equitable estoppel only in the stated limited circumstances as a means of granting relief it is statutorily authorized to grant.

Finally, I note that, although Supreme Court would have jurisdiction over H.M.’s equitable claim, that court is also without authority to declare E.T. the child’s parent on the basis of equitable estoppel. This is true in the visitation and custody context (see *Debra H. v Janice R.*, 14 NY3d 576 [2010] [decided today]) as well as the child support arena where the standard for determining who constitutes a support parent is no different than the rule applied in Family Court.

1. Specifically, H.M. asserts that E.T. is, or is estopped from denying that she is, the child’s “parent,” and is therefore chargeable with the child’s support.

2. In this case, there is no allegation that, believing E.T. to be a biological parent (or, for that matter, a parent by virtue of adoption or a civil union), the child established a parent/child bond that would be upset if E.T. were allowed to rely on DNA tests to show that she is not a parent, nor in any event could the preclusion of genetic marker or DNA tests result in a holding that E.T. is a support parent.

In reversing the Appellate Division's order, the majority relies on an overly broad reading of Family Court Act article 4 that is inconsistent with the Family Court's limited subject matter jurisdiction and lack of equity jurisdiction. Further, the position taken by the majority here is inconsistent with this Court's holding today in *Debra H.* (*supra*), which reaffirmed that *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991] [Held that only a child's biological or adoptive parent has standing to seek visitation against the wishes of a fit custodial parent. Stated differently, a known stranger to a child—i.e., one with no biological, adoptive or other legal relationship—cannot assert that he/she is a parent for visitation purposes]) is still good law.

For the foregoing reasons, I dissent and would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges SMITH and PIGOTT concur with Judge CIPARICK; Judge SMITH concurs in a separate concurring opinion; Judge JONES dissents and votes to affirm in another opinion in which Judges GRAFFEO and READ concur.

Order reversed, etc.

[929 NE2d 380, 903 NYS2d 318]

WALTER ADAMS, Respondent, v GENIE INDUSTRIES, INC., Appellant.

Argued March 23, 2010; decided May 11, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 8, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Marilyn Shafer, J.; op 2007 NY Slip Op 34459[U]), which had denied defendant's motion to set aside the verdict or for judgment in its favor, and granted plaintiff's cross motion to set aside the jury verdict as to past and future pain and suffering and increasing the damages awards therefor, by conditionally setting aside the verdict and directing a new trial on damages for past and future pain and suffering unless defendant stipulated to increase those awards from \$100,000 and \$400,000 to \$500,000 and \$750,000, respectively. Following the Appellate Division affirmation, defendant so stipulated. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Adams v Genie Indus., Inc., 53 AD3d 415, affirmed.

HEADNOTES

Appeal — Court of Appeals — Parties Aggrieved

1. Defendant was an "aggrieved party" within the meaning of CPLR 5511 and thus had a right to appeal to the Court of Appeals notwithstanding defendant's stipulation, prior to the appeal, pursuant to which defendant agreed to an increase in past and future pain and suffering damages in lieu of a new trial on that issue. Parties who stipulate to a modification of damages as an alternative to a new trial are not aggrieved by that modification and may not appeal from it (*Dudley v Perkins*, 235 NY 448, 457 [1923]). Here, however, defendant was not seeking to appeal from the modification—the additur—to which it consented. It raised no issue as to the additur in the Court of Appeals, but claimed that it had no liability to plaintiff at all—that the case should never have been submitted to the jury—or, in the alternative, that it was entitled to a new liability trial. The Appellate Division rejected these arguments, which defendant had never agreed to abandon, and therefore, defendant was aggrieved by the Appellate Division's order. To the extent that *Batavia Turf Farms v County of Genesee* (91 NY2d 906 [1998]) and a footnote in *Whitfield v City of New York* (90 NY2d 777, 780 n [1997]) go beyond the original *Dudley v Perkins* holding, they should no longer be followed.

Products Liability — Defectively Designed Product — Product "Not Reasonably Safe"

2. In plaintiff's action to recover damages for injuries sustained when he fell from a personnel lift designed, manufactured and sold by defendant, the

evidence was sufficient to support the jury's finding that the lift was defectively designed. In order to establish a prima facie case in strict liability or negligent design, the plaintiff must show that the manufacturer breached its duty to market safe products when it marketed a product designed so that it was not reasonably safe and that the defective design was a substantial factor in causing plaintiff's injury. In determining if a product is "not reasonably safe," the issue is whether, if the design defect were known at the time of manufacture, a reasonable person would conclude that the utility of the product did not outweigh the risk inherent in marketing a product designed in that manner. Plaintiff produced enough evidence for a jury to find that defendant's product—a personnel lift without interlocked outriggers—was "not reasonably safe." Expert testimony explained that outriggers would have made the lift more stable by distributing its weight over a wider area. Defendant's own label warned against using the product without outriggers. It was thus reasonable to conclude that an interlock, making use without outriggers impossible, would have increased the safety of the product. Plaintiff also offered evidence from which a jury could find that at the time the product was sold, it was technologically possible, at minimal cost, to design the product with interlocked outriggers.

Products Liability — Defectively Designed Product — Failure to Retrofit or Recall Product after Sale

3. In plaintiff's action to recover damages for injuries sustained when he fell from a personnel lift designed, manufactured and sold by defendant, the trial court committed harmless error when it submitted to the jury, as an alternative ground for liability, the question of whether defendant was negligent in failing to retrofit the product with interlocking outriggers or recall the product after its sale. In general, the duty of the seller of a product who discovers, after the sale, risks that were not known beforehand is a duty to warn. Here, there could be no successful claim that defendant breached any duty to warn, either pre-sale or post-sale, given Supreme Court's holding that the warning contained in defendant's product label advising against use of the product without outriggers was adequate. The facts of this case provided no justification for imposing a post-sale duty to recall or retrofit a product. Thus, the jury should not have been permitted to find that defendant was negligent in failing to recall or retrofit its product after the sale. However, the trial court's error in submitting this theory to the jury had no impact on the outcome of the case. Plaintiff's post-sale negligence claim, as presented at trial, was a duplicate of his design defect and negligent design claims. Plaintiff merely asserted that defendant should have recalled or retrofitted the personnel lift for the same reasons that it should not have sold it in the first place—principally, because the outriggers were not interlocked.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 242, 243, 578, 654, 662–664, 703; AM JUR 2d, Products Liability §§ 930–934, 1095–1099.

CARMODY-WAIT 2d, Appeals in General § 70:116.

McKINNEY's, CPLR 5511.

NY JUR 2d, Appellate Review §§ 190, 196, 199, 754, 760, 764, 888; NY JUR 2d, Products Liability §§ 35, 36, 51, 52, 101, 103, 205.

SIEGEL, NY PRAC §§ 407, 525.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d,
§§ 17:03, 18:02.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Design of Products and Structures; Harmless Error; Products Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: appeal /s aggrieved /2 party /p addit! /s agree!
consent!

POINTS OF COUNSEL

Wilson Elser Moskowitz Edelman & Dicker LLP, New York City (*Richard E. Lerner*, *Philip A. Tumbarello* and *Patrick J. Lawless* of counsel), for appellant. I. A manufacturer does not owe a continuing duty to “remedy” a product after it has left the manufacturer’s hands. (*Braniff Airways, Inc. v Curtiss-Wright Corp.*, 411 F2d 451; *Cover v Cohen*, 61 NY2d 261; *Magadan v Interlake Packaging Corp.*, 45 AD3d 650; *Power v Crown Equip. Corp.*, 189 AD2d 310; *DeGroat v Consolidated Rail Corp.*, 298 AD2d 273; *Village of Groton v Tokheim Corp.*, 202 AD2d 728; *Frank v DaimlerChrysler Corp.*, 292 AD2d 118; *Andrea v du Pont de Nemours & Co.*, 289 AD2d 1039; *Kavanaugh v Nussbaum*, 71 NY2d 535; *Weigl v Quincy Specialties Co.*, 1 AD3d 132.) II. The law of this state is that a products liability plaintiff must show that a safer alternative design was *actually available* at the time of sale, and not merely that a safer design was *theoretically* feasible. (*Magadan v Interlake Packaging Corp.*, 45 AD3d 650; *McCarthy v Handel*, 297 AD2d 444; *Terry v Erie Foundry Co.*, 235 AD2d 414; *Bouter v Durand-Wayland, Inc.*, 221 AD2d 902; *Moore v Deere & Co.*, 195 AD2d 1044; *Bolm v Triumph Corp.*, 71 AD2d 429; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *McCarthy v Handel*, 297 AD2d 444; *Johnson v Manitowoc Boom Trucks, Inc.*, 484 F3d 426.)

Gentile & Associates, New York City (*Laura E. Gentile* of counsel), and *Gurfein Douglas LLP* (*Richard Gurfein* and *Steven Aripotch* of counsel) for respondent. I. The jury verdict was amply supported by plaintiff’s proof based on strict liability and pre-sale negligent design. (*Voss v Black & Decker Mfg. Co.*, 59

NY2d 102; *Adamo v Brown & Williamson Tobacco Corp.*, 11 NY3d 545; *Liriano v Hobart Corp.*, 92 NY2d 232; *O'Bara v Piekos*, 161 AD2d 1118; *Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328; *Liquore v Tri-Arc Mfg. Co.*, 32 AD3d 905; *Miner v Long Is. Light. Co.*, 40 NY2d 372; *Mercogliano v Sears, Roebuck & Co.*, 303 AD2d 566; *Feiner v Calvin Klein, Ltd.*, 157 AD2d 501; *Magadan v Interlake Packaging Corp.*, 45 AD3d 650.) II. Defendant asks this Court to stray beyond its jurisdiction by asking the Court to determine whether or not there is a post-sale duty of remedy. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Ogino v Black*, 304 NY 872; *Mary Lincoln Candies, Inc. v Department of Labor*, 289 NY 262; *Coatsworth v Lehigh Val. Ry. Co.*, 156 NY 451; *Lunney v Prodigy Servs. Co.*, 94 NY2d 242; *Bradley v Earl B. Feiden, Inc.*, 8 NY3d 265; *Kahl v Loffredo*, 221 AD2d 679.) III. The pre-sale claims are not tainted by the post-sale claim. (*Kavanaugh v Nussbaum*, 71 NY2d 535; *Weigl v Quincy Specialties Co.*, 1 AD3d 132; *New England Mut. Life Ins. Co. v Detectives' Endowment Assn. of Police Dept. of City of N.Y.*, 174 AD2d 454, 79 NY2d 851; *Doty v Navistar Intl. Transp. Corp.*, 219 AD2d 32, 89 NY2d 802; *Heller v 83rd St. Invs. Ltd. Partnership*, 228 AD2d 371; *Caprara v Chrysler Corp.*, 52 NY2d 114; *Silfverchiold v Hut Cab Corp.*, 251 AD2d 121; *Bradley v Earl B. Feiden, Inc.*, 8 NY3d 265; *Kroupova v Hill*, 242 AD2d 218; *Luce v St. Peter's Hosp.*, 85 AD2d 194.) IV. Defendant cannot complain about plaintiff's discussion of decals and the instruction manual because defendant injected that issue into trial, forcing plaintiff to respond. V. Defendant's post-sale duty was breached by its failure to remedy the defect with the same interlock it could have and should have installed prior to the sale of the machine. (*Romero v International Harvester Co.*, 979 F2d 1444; *Smith v Firestone Tire & Rubber Co.*, 755 F2d 129; *Syrie v Knoll Intl.*, 748 F2d 304; *Braniff Airways, Inc. v Curtiss-Wright Corp.*, 411 F2d 451, 396 US 959, 424 F2d 427, 400 US 829; *Savage Scripto-Tokai Corp.*, 266 F Supp 2d 344; *Bastian v TPI Corp.*, 663 F Supp 474; *Gracyalny v Westinghouse Elec. Corp.*, 723 F2d 1311; *Cover v Cohen*, 61 NY2d 261; *Power v Crown Equip. Corp.*, 189 AD2d 310; *Smith v Louis Berkman Co.*, 894 F Supp 1084.) VI. Public policy favors a continuing duty of care. (*Liriano v Hobart Corp.*, 92 NY2d 232.)

Goldberg Segalla LLP, Buffalo (Neil A. Goldberg, Matthew S. Lerner and Bryan Richmond of counsel), and *Hugh F. Young, Jr.*, Reston, Virginia, for Product Liability Advisory Council, Inc., amicus curiae. I. New York courts and courts throughout

the nation do not recognize a duty to recall or retrofit, except in highly specialized markets. (*Cover v Cohen*, 61 NY2d 261; *Eschenburg v Navistar Intl. Transp. Corp.*, 829 F Supp 210; *Romero v International Harvester Co.*, 979 F2d 1444; *Estate of Kimmel v Clark Equip. Co.*, 773 F Supp 828; *Wallace v Dorsey Trailers Southeast, Inc.*, 849 F2d 341; *Smith v Firestone Tire & Rubber Co.*, 755 F2d 129; *Syrie v Knoll Intl.*, 748 F2d 304; *National Women's Health Network, Inc. v A. H. Robins Co., Inc.*, 545 F Supp 1177; *Braniff Airways, Inc. v Curtiss-Wright Corp.*, 411 F2d 451; *Noel v United Aircraft Corp.*, 342 F2d 232.) II. The Appellate Division's decision and order should be reversed because it is based on an overstatement of case law and essentially imposes a new duty of care without considering traditional factors. (*Cover v Cohen*, 61 NY2d 261; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222.)

OPINION OF THE COURT

SMITH, J.

Plaintiff sues for injuries sustained when he fell from a personnel lift designed, manufactured and sold by defendant, Genie Industries, Inc. The jury found that the product was defectively designed, and we hold that the evidence was sufficient to support that finding. We agree with Genie that the trial court erred in submitting to the jury, as an alternative ground for liability, the question of whether Genie was negligent in failing to retrofit or recall the product after its sale, but we hold that under the circumstances of this case that error was harmless.

I

The personnel lift at issue consists, essentially, of a basket in which one person can stand, mounted on a narrow, wheeled base. The basket is attached to a vertical cylinder, and wired so that the person in the basket can cause it to go up and down by pressing buttons. Genie sold the lift to plaintiff's employer in 1986. On July 29, 1997, plaintiff, a maintenance man, was using it to install a block and tackle in an elevated spot. When he was about 12 feet off the ground, the lift tipped over and plaintiff fell to the floor.

There was evidence from which the jury could find that the use of outriggers would have prevented the accident. Outriggers are essentially legs that extend diagonally from the base of the personnel lift to the floor, thus spreading the weight of the lift

and making it more stable. Genie sold the lift with outriggers, but the outriggers were detachable, so that the lift, when not in use, could be moved through narrow openings like doorways. A label attached to the lift warns: “All outriggers must be installed before operating.” But it seems that plaintiff’s employer ignored the warning, and that the outriggers were lost—at least, none were to be found on the day of plaintiff’s accident.

Plaintiff’s principal theory, and the only one we need to consider, is that the design of the lift was defective because the outriggers were not “interlocked.” An interlock is a means of interrupting automatically the operation of a machine; it is familiar, for example, to users of washing machines and elevators that cannot run when their doors are open. Plaintiff claims that Genie’s personnel lift should have been designed similarly, so that it could not be operated unless the outriggers were in place.

The trial court submitted a number of questions to the jury, among them whether the product was defective; whether Genie was negligent in putting it on the market in 1986; and whether Genie was negligent “from June 1986 until plaintiff’s accident in July 1997.” The jury answered all three of these questions yes, found in plaintiff’s favor on other liability-related issues, and awarded damages including \$100,000 for past pain and suffering and \$400,000 for future pain and suffering. The trial court denied defendant’s motion to set the verdict aside, but granted plaintiff’s motion for additur, ordering a new trial on the issue of past and future pain and suffering damages unless Genie agreed to increase those awards to \$500,000 and \$750,000 respectively (2007 NY Slip Op 34459[U]). The Appellate Division affirmed (53 AD3d 415 [2008]). Following the affirmance, Genie stipulated to the additur, and the Appellate Division granted Genie leave to appeal to this Court.

II

[1] Before turning to the merits, we must decide whether Genie has a right to appeal from the Appellate Division’s order. Plaintiff argues that it does not, asserting that, because Genie agreed to the additur, it is not an “aggrieved party” within the meaning of CPLR 5511 (“An aggrieved party or a person substituted for him may appeal from any appealable judgment or order except one entered upon the default of the aggrieved party”). We reject plaintiff’s argument.

It has long been and remains the rule that parties who stipulate to a modification of damages as an alternative to a new

trial are not aggrieved by that modification and may not appeal from it (*Dudley v Perkins*, 235 NY 448, 457 [1923]). Here, however, Genie is not seeking to appeal from the modification—the additur—to which it consented. It raises no issue as to the additur in this Court, but claims that it has no liability to plaintiff at all—that the case should never have been submitted to the jury—or, in the alternative, that it is entitled to a new liability trial. The Appellate Division rejected these arguments, which Genie has never agreed to abandon, and it therefore seems logical to conclude that Genie is aggrieved by the Appellate Division’s order.

Plaintiff’s contrary argument, however, finds support in several of our decisions, which apply the *Dudley v Perkins* rule more broadly than it is stated in *Dudley*. In *Batavia Turf Farms v County of Genesee* (91 NY2d 906 [1998]), we dismissed an appeal in a brief entry, saying:

“[A] party who, as a result of a conditional order, has stipulated at the trial or appellate court to a reduction in damages in lieu of a new trial on a cause of action, foregoes all further review of other issues raised by that order, including those pertaining to any other cause of action, and is therefore not a party aggrieved.”

In *Batavia*, we cited a footnote in *Whitfield v City of New York* (90 NY2d 777, 780 n [1997]), which states the rule similarly and cites in turn several earlier cases. Those earlier cases (*Plotkin v New York City Health & Hosps. Corp.*, 88 NY2d 917 [1996]; *Sharrow v Dick Corp.*, 84 NY2d 976 [1994]; *Sogg v American Airlines*, 83 NY2d 846 [1994]; *Gilroy v American Broadcasting Co.*, 43 NY2d 825 [1977]) do not explicitly state, but are consistent with, *Batavia*’s and *Whitfield*’s broader version of the rule.

The rationale underlying this broader application of *Dudley*, by which a stipulation on one issue could foreclose an appeal on other, unrelated issues, was that the stipulation did not merely resolve an issue, but also fulfilled a condition for the existence of the order in question. It was thought that a party who had consented to the order’s existence could not claim to be aggrieved by any part of it. However, we now reexamine the *Batavia/Whitfield* rule, and conclude that it is not justified. It is unfair to bar a party from raising legitimate appellate issues simply because that party has made an unrelated agreement on the amount of damages. Indeed, the *Batavia* rule may operate as a trap; parties stipulating to additur and remittitur are likely

not to foresee the counterintuitive result that *all* their appellate claims will be forfeited.

Thus, *Batavia* and the *Whitfield* footnote, to the extent that they go beyond the original *Dudley v Perkins* holding, should no longer be followed. *Genie* is a party aggrieved, and we proceed to consider the merits of its appeal.

III

Our leading case on what is required to prove a design defect is *Voss v Black & Decker Mfg. Co.* (59 NY2d 102 [1983]). We said in *Voss*:

“In order to establish a *prima facie* case in strict products liability for design defects, the plaintiff must show that the manufacturer breached its duty to market safe products when it marketed a product designed so that it was not reasonably safe and that the defective design was a substantial factor in causing plaintiff’s injury.” (*Id.* at 107.)

We explained in *Voss* what it means to say that a product is “not reasonably safe.” The issue, we said, is: “whether . . . if the design defect were known at the time of manufacture, a reasonable person would conclude that the utility of the product did not outweigh the risk inherent in marketing a product designed in that manner.” (*Id.* at 108.)

We added:

“It will be for the jury to decide whether a product was not reasonably safe in light of all the evidence presented by both the plaintiff and defendant. The plaintiff, of course, is under an obligation to present evidence that the product, as designed, was not reasonably safe because there was a substantial likelihood of harm and it was feasible to design the product in a safer manner. The defendant manufacturer, on the other hand, may present evidence in opposition seeking to show that the product is a safe product—that is, one whose utility outweighs its risks when the product has been designed so that the risks are reduced to the greatest extent possible while retaining the product’s inherent usefulness at an acceptable cost.” (*Id.* [citations omitted].)

Voss was a strict products liability case, and we tried in *Voss* to draw a distinction between such cases and cases based on the

allegedly negligent design of products (*see id.* at 107). We later acknowledged, however, that that line-drawing effort had not been successful. In *Denny v Ford Motor Co.* (87 NY2d 248, 258 [1995]), we quoted with approval the remark of a commentator that “[i]n general, . . . the strict liability concept of ‘defective design’ [is] functionally synonymous with the earlier negligence concept of unreasonable designing” (Schwartz, *New Products, Old Products, Evolving Law, Retroactive Law*, 58 NYU L Rev 796, 803 [1983]). Thus, while plaintiff here has pleaded both strict liability and negligent design causes of action, the standards set forth in *Voss* apply to both. The decisive question is whether plaintiff has produced enough evidence for a jury to find that Genie’s product—a personnel lift without interlocked outriggers—was “not reasonably safe” as *Voss* defines the term.

[2] The evidence clearly showed that the use of outriggers would have made the product safer. Expert testimony explained that outriggers would have expanded the product’s “footprint,” making it more stable by distributing its weight over a wider area. Indeed, Genie’s own label warned against using the product without outriggers. It is thus reasonable to conclude that an interlock, making use without outriggers impossible, would have increased the safety of the product.

Plaintiff also offered evidence from which a jury could find that, in 1986 when the product was sold, it was technologically possible, at minimal cost, to design the product with interlocked outriggers. A qualified expert so testified, and illustrated his point with a model that he had created of Genie’s machine, to which he had added a half dozen switches, of a kind available in the late 1980s for \$20 to \$25 each. The switches, as the expert demonstrated to the jury, effectively prevented the machine from operating without outriggers in place. Genie pointed out differences between the expert’s model and its machine, but none so dramatic as to preclude the jury from finding that the model fairly corresponded to the product in dispute. Plaintiff’s expert also testified that the idea of an interlock was not novel in 1986; indeed, he testified without contradiction that the first patent for an interlock and interlocking device was issued in 1868.

Genie points out that a finding that its product was “not reasonably safe” may not rest merely on a showing that a safer product was theoretically possible at the time the machine was made. In this Genie is correct, but plaintiff’s evidence showed more than a theoretical possibility of a safer machine. A former

employee of Genie testified that he had mentioned the idea of interlocked outriggers to the company's vice-president of manufacturing in 1985—the year before the machine in dispute was sold—and had obtained approval to present the idea to a committee setting standards for the industry. Perhaps even this evidence, if there were no more, would not suffice, because a proposed change in standards proves “only that a better way was thought possible, not that balancing risks and benefits of both the existing way was not reasonably safe” (*Cover v Cohen*, 61 NY2d 261, 272 [1984]). But there was more: plaintiff's evidence showed not only that the better way was “thought possible,” but that it had actually been implemented. The former Genie employee testified that in 1985 he had seen, and Genie had purchased, a competitor's personnel lift with interlocked outriggers.

This evidence, we conclude, was enough to support the jury's verdict that the product Genie sold to plaintiff's employer in 1986 was “not reasonably safe.” It is true that there was also evidence from which the jury could have reached the opposite conclusion. Plaintiff did not show that interlocked outriggers were commonly used—or, indeed, that more than one manufacturer included them in its product—in 1986. And Genie showed that the industry standard for personnel lifts promulgated by the American National Standards Institute did not call for interlocked outriggers in 1986. But the weight to be given the evidence for each side was up to the jury. Considering the record as a whole, we cannot say that the verdict in plaintiff's favor on the strict liability and negligent design claims is without support.

IV

[3] Genie argues that the trial court erred in submitting to the jury the question of whether Genie's post-sale conduct—its conduct between 1986, when it sold the product, and 1997, when plaintiff was injured—was negligent. We agree, but find the error to be harmless.

Our decisions make clear that, in general, the duty of the seller of a product who discovers, after the sale, risks that were not known beforehand is a duty to warn (*Cover*, 61 NY2d at 274-275; see also *Liriano v Hobart Corp.*, 92 NY2d 232, 240 [1998]). In this case, there can be no successful claim that Genie breached any duty to warn, either pre-sale or post-sale. Supreme Court held, on a pretrial motion, that the warning

contained in Genie's product label was adequate, and that holding is not challenged here. We have never imposed a post-sale duty to recall or retrofit a product, and the facts of this case provide no justification for creating one (*cf. Braniff Airways, Inc. v Curtiss-Wright Corp.*, 411 F2d 451, 453 [2d Cir 1969] [duty "at least" to warn of a defect discovered post-sale in an airplane engine]). Thus the jury should not have been permitted to find that Genie was negligent in failing to recall or retrofit its product after the 1986 sale.

The trial court's error in submitting this theory to the jury, however, had no impact on the outcome of the case. Plaintiff's post-sale negligence claim, as presented at trial, was no more than a duplicate of his design defect and negligent design claims. Plaintiff presented no evidence of any facts that came to Genie's attention after the sale that might have triggered a new duty; plaintiff merely asserted that Genie should have recalled or retrofitted the personnel lift for the same reasons that it should not have sold it in the first place—principally, because the outriggers were not interlocked. Genie points to no evidence admitted on the post-sale negligence claim that would have been inadmissible on the other claims, and identifies no way in which the court's error in submitting one claim might have tainted the jury's verdict on the others. The error was harmless.

V

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed, etc.

[928 NE2d 1048, 902 NYS2d 851]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TARA GRAVINO, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT W. ELLSWORTH, Appellant.

Argued March 25, 2010; decided May 11, 2010

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 1, 2009. The Appellate Division affirmed a judgment of the Wayne County Court (John B. Nesbitt, J.), which had convicted defendant, upon her plea of guilty, of rape in the third degree.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 6, 2009. The Appellate Division affirmed a judgment of the Chautauqua County Court (John T. Ward, J.), which had convicted defendant, upon his plea of guilty, of course of sexual conduct against a child in the second degree.

People v Gravino, 62 AD3d 1259, affirmed.

People v Ellsworth, 59 AD3d 989, affirmed.

HEADNOTES

Crimes — Plea of Guilty — Withdrawal of Plea — Failure of Judge to Inform Defendant of Requirement of Sex Offender Registration

1. Defendant was not entitled to withdraw her guilty plea on the ground that she was not informed by the judge during her plea colloquy that she would have to register as a sex offender under the Sex Offender Registration Act (Correction Law art 6-C [SORA]) as a consequence of her conviction of rape in the third degree. Registration pursuant to SORA is not a subject that a trial court must address at the plea hearing because it is a collateral rather than direct consequence of a guilty plea and the court's failure to address it did not undermine the knowing, voluntary and intelligent nature of defendant's plea. Notwithstanding that SORA imposes significant burdens on a registrant, regardless of risk level, SORA requirements are not part of the punishment imposed by the judge. Rather, SORA registration and risk-level determinations are nonpenal consequences that result from the fact of conviction for certain crimes. Thus, SORA is not a direct consequence of a conviction.

Crimes — Plea of Guilty — Withdrawal of Plea — Failure of Judge to Inform Defendant of Certain Conditions of Probation

2. Defendant, who pleaded guilty to course of sexual conduct against a child in the second degree in exchange for a split sentence of six months in jail and

10 years of probation, was not entitled to withdraw his guilty plea on the ground that he was not informed by the judge during his plea colloquy that he would be forbidden from associating with any child under the age of 18, even his own children, as a condition of probation. The terms and conditions of probation are not subjects that a trial court must address at the plea hearing because they are collateral rather than direct consequences of a guilty plea and the court's failure to address them did not undermine the knowing, voluntary and intelligent nature of defendant's plea. Courts taking guilty pleas cannot be expected to predict any and every potential condition of probation that might be recommended in the presentence report—an impossible task given the individualized nature of probation supervision. It was sufficient that defendant was made aware during the plea colloquy that his sentence would include a 10-year period of probation.

Crimes — Plea of Guilty — Withdrawal of Plea — Failure to Advise of Collateral Consequences of Plea

3. Registration pursuant to the Sex Offender Registration Act (Correction Law art 6-C [SORA]) and the terms and conditions of probation are not subjects that a trial court must address at the plea hearing because they are collateral rather than direct consequences of a guilty plea. A trial court's neglect to mention SORA or identify potential stipulations of probation during the plea colloquy does not, by itself, undermine the knowing, voluntary and intelligent nature of a defendant's guilty plea. Although a defendant must be apprised during the plea colloquy of the direct consequences of a guilty plea, the trial judge may, but need not, mention the collateral consequences of such a plea. A direct consequence has a definite, immediate and largely automatic effect on a defendant's punishment. The failure to warn of collateral consequences will not warrant vacating a plea because those consequences are peculiar to the individual and generally result from the actions taken by agencies the court does not control. It does not necessarily follow, however, that nondisclosure is always irrelevant to the question of whether a court should exercise its discretion to grant a motion to withdraw a plea. There may be rare cases in which a defendant can show that he or she pleaded guilty in ignorance of a consequence that, although collateral for purposes of due process, was of such great importance to the defendant that he or she would have made a different decision had that consequence been disclosed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Criminal Law §§ 619, 620, 625, 687–690; AM
JUR 2d, Mentally Impaired Persons § 126.
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12,
182:61, 182:88.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3,
21.5.
MCKINNEY's, Correction Law art 6–C.
NY JUR 2d, Criminal Law: Procedure §§ 1485, 1513, 1527,
1530.

ANNOTATION REFERENCE

Court's duty to advise sex offender as to sex offender

registration consequences or other restrictions arising from plea of guilty, or to determine that offender is advised thereof. 41 ALR6th 141.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: withdraw! /4 guilty /2 plea /p sex /2 offender & col-lateral /2 consequence

POINTS OF COUNSEL

Kathleen P. Reardon, Rochester, for appellant in the first above-entitled action. I. The trial court erred in failing to conduct a *Gomberg* inquiry. (*People v Clarke*, 93 NY2d 904; *People v Lopez*, 71 NY2d 662; *People v Abar*, 99 NY2d 406; *People v Harris*, 99 NY2d 202; *People v Longtin*, 92 NY2d 640; *People v Berroa*, 99 NY2d 134; *People v McDonald*, 68 NY2d 1; *People v Gomberg*, 38 NY2d 307.) II. Defendant's conviction must be vacated under the second prong of the *Gomberg* test because defendant has established that her defense was affected by the existence of a conflict. (*People v Recupero*, 73 NY2d 877; *People v McDonald*, 68 NY2d 1; *Holloway v Arkansas*, 435 US 475; *People v Harris*, 99 NY2d 202; *People v Alicea*, 61 NY2d 23; *People v Ortiz*, 76 NY2d 652; *People v Macerola*, 47 NY2d 257.) III. A *Gomberg* inquiry is just as essential in a conviction resulting from a plea. (*People v Recupero*, 73 NY2d 877; *People v Monroe*, 54 NY2d 35, 455 US 947; *People v McDonald*, 68 NY2d 1; *People v Longtin*, 92 NY2d 640; *People v Mourad*, 13 AD3d 558; *Hill v Lockhart*, 474 US 52.) IV. Counsel had an ethical obligation to avoid a conflicted counsel situation. V. Failure to advise defendant of her impending Sex Offender Registration Act registration should result in vacation of the conviction. (*People v Smith*, 37 AD3d 1141; *People v Catu*, 4 NY3d 242; *People v Ford*, 86 NY2d 397.)

Richard M. Healy, District Attorney, Lyons (*Christopher Bokelman* of counsel), for respondent in the first above-entitled action. I. The trial court did not err in failing to conduct a *Gomberg* inquiry because there was no evidence before the court of defendant's counsel being conflicted in his representation of defendant. (*People v Harris*, 99 NY2d 202; *People v Ortiz*, 76 NY2d 652; *People v Alicea*, 61 NY2d 23; *People v Coss*, 19 AD3d 943; *People v Henderson*, 11 AD3d 366.) II. Defendant's guilty plea was voluntarily made, and a lack of knowledge does not make the plea involuntary. (*People v Dorsey*, 28 AD3d 351; *People v*

Vere, 44 AD3d 690; *People v Nash*, 48 AD3d 837; *People v Smith*, 37 AD3d 1141; *People v Stevens*, 91 NY2d 270; *People v Coss*, 19 AD3d 943.) III. As defendant's arguments are based on matters outside the record, a CPL article 440 motion to vacate the judgment is the proper mechanism to seek redress. (*People v Henderson*, 11 AD3d 366.)

Kathleen B. Hogan, District Attorney, White Plains (*Steven A. Bender* and *Anthony J. Servino* of counsel), for District Attorneys Association of the State of New York, amicus curiae in the first above-entitled action. The Sex Offender Registration Act (SORA) is a collateral, not direct, consequence of a sex offender's conviction; thus, the court's failure to advise defendant of her duties under SORA does not, alone, undermine the voluntary, knowing and intelligent guilty plea made; while it is preferable for the court to make a record of the prior representation, the failure to do so does not warrant relief for defendant and to the extent defendant asserts a broader claim of trial counsel's ineffectiveness, that claim is based on facts outside the appellate record, and is more properly pursued under CPL 440.10. (*People v Windham*, 10 NY3d 801; *People v Louree*, 8 NY3d 541; *People v Ford*, 86 NY2d 397; *People v Harris*, 61 NY2d 9; *Boykin v Alabama*, 395 US 238; *Cuthrell v Director, Patuxent Inst.*, 475 F2d 1364, 414 US 1005; *Brady v United States*, 397 US 742; *Shelton v United States*, 242 F2d 101, 246 F2d 571, 356 US 26; *People v Alemany*, 13 NY3d 424; *People v Mingo*, 12 NY3d 563.)

Goodell & Rankin, Jamestown (*R. Thomas Rankin* of counsel), for appellant in the second above-entitled action. Appellant's plea was neither knowing nor voluntary nor intelligent. (*Matter of Tammie Z.*, 66 NY2d 1; *Matter of Marie B.*, 62 NY2d 352; *Matter of Leon RR*, 48 NY2d 117; *Matter of Ella B.*, 30 NY2d 352; *Santosky v Kramer*, 455 US 745; *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18; *People v Catu*, 4 NY3d 242; *Brady v United States*, 397 US 742; *People v Ford*, 86 NY2d 397; *People v Seaberg*, 74 NY2d 1.)

David W. Foley, District Attorney, Mayville (*Tracey A. Brunecz* of counsel), for respondent in the second above-entitled action. Defendant's plea was knowing, voluntary and intelligent. (*People v Ford*, 86 NY2d 397; *People v Latham*, 90 NY2d 795; *People v Catu*, 4 NY3d 242; *People v Nixon*, 21 NY2d 338; *People v Grant*, 45 NY2d 366; *People v Coles*, 62 NY2d 908; *People v Crimmins*, 36 NY2d 230; *People v Hill*, 9 NY3d 189.)

OPINION OF THE COURT

READ, J.

We hold that because they are collateral rather than direct consequences of a guilty plea, Sex Offender Registration Act (SORA) registration and the terms and conditions of probation are not subjects that a trial court must address at the plea hearing. Put another way, a trial court's neglect to mention SORA or identify potential stipulations of probation during the plea colloquy does not undermine the knowing, voluntary and intelligent nature of a defendant's guilty plea.

I.

Gravino

By indictment filed on February 6, 2007, defendant Tara Gravino was charged with rape in the second degree (Penal Law § 130.30 [1]), endangering the welfare of a child (Penal Law § 260.10 [1]), and unlawfully dealing with a child in the first degree (two counts) (Penal Law § 260.20 [2]) for providing alcohol to underage children and having sex with a 14-year-old boy. Gravino was a 34-year-old mother of six in September 2006, when the events underlying the indictment took place.

After unsuccessfully moving to suppress a statement in which she made an admission, Gravino pleaded guilty on August 16, 2007 to one count of third-degree rape (Penal Law § 130.25 [2]) in exchange for a sentence of 1½ to 3 years in prison. During the plea colloquy, Gravino told County Court that she was satisfied with her attorney.¹ The judge did not inform Gravino that she would have to register as a sex offender under the Sex Offender Registration Act (Correction Law art 6-C) as a consequence of her conviction.

When Gravino appeared for sentencing on September 14, 2007, she asked to “pull [her] plea back on the grounds of a conflict of interest with” her assigned counsel. She told the judge that she had experienced “nothing but misrepresentation,” and complained that the attorney—who, she stated, had previously represented an ex-husband in “a custody battle against [her]”—had not interviewed potential witnesses. The judge responded “We went over that before, didn’t we?” Gravino

1. Just before the *Huntley* hearing was to be held, the public defender's office, which was then representing Gravino, discovered a conflict with the complaining witness. The judge contacted an attorney who had previously handled felony cases in his court, and this attorney agreed to be Gravino's assigned counsel.

did not answer directly. Instead, she repeated that she felt as if she had been “misrepresented,” and not “treated fairly.” The prosecutor, when asked by the judge if he wished to comment on Gravino’s application to withdraw her guilty plea, replied that the judge was “correct” and that the parties had “previously addressed this issue and covered it completely”;² further, there were no “new grounds or new evidence” to “justify the withdrawal of the plea.”

County Court denied Gravino’s application. He advised her, however, that she could later move for postconviction relief, for which he would assign her new counsel. Next, the judge sentenced Gravino as promised. The clerk then brought up the sex offender registration fee of \$50 and the supplemental sex offender fee of \$1,000, which the judge imposed; and the prosecutor asked the judge to certify Gravino as a sex offender, which he did.

On appeal to the Appellate Division, Gravino argued that County Court should have conducted an inquiry after she moved to withdraw her guilty plea on conflict-of-interest grounds; and that her guilty plea was involuntary because the judge did not tell her that she would have to register as a sex offender. The court disagreed with Gravino. First, the Appellate Division held that County Court did not abuse its discretion because Gravino’s “specifications of ineffective assistance concern[ed] matters outside the record [which] thus must be raised by way of a CPLR article 440 motion” (62 AD3d 1259, 1259 [4th Dept 2009] [internal quotation marks omitted]). Further, the court concluded that Gravino’s “lack of awareness prior to sentencing” of the SORA registration requirement did not detract from her guilty plea’s voluntariness (*id.*). A Judge of our Court granted Gravino leave to appeal (12 NY3d 925 [2009]), and we now affirm.

Ellsworth

By indictment filed on October 5, 2006, defendant Robert W. Ellsworth, Sr., who was then 39 years old, was charged with one count of course of sexual conduct against a child in the first degree (Penal Law § 130.75 [1] [a]) and one count of first-degree rape (Penal Law § 130.35 [3]), based on allegations that he sexually abused a young girl from the age of seven until she reported the abuse at the age of 10. On April 10, 2007, Ellsworth pleaded

2. Nothing in the record on appeal reflects any earlier discussions about assigned counsel’s potential conflict of interest.

guilty to one count of course of sexual conduct against a child in the second degree (Penal Law § 130.80 [1] [a]) in exchange for a split sentence of six months in jail and 10 years of probation. At the time, Ellsworth resided with his girlfriend and several children (although not the alleged victim) younger than 18 years old. The judge did not mention any particular potential conditions of probation during the plea colloquy.

After his guilty plea and before sentencing, Ellsworth was interviewed by a probation officer for purposes of a presentence report, completed on June 1, 2007. During this interview, Ellsworth “asked about the ramifications of being classified as a sex offender and being around children under the age of [18], specifically, his own children [who] reside[d] with him.” The probation officer told Ellsworth that he would be forbidden from associating with any child under the age of 18, even his own children, as a condition of probation. According to the probation officer, Ellsworth “questioned this,” and so he advised him “to consult with his attorney so that a motion could be made before the court for consideration.”

When Ellsworth appeared for sentencing on June 18, 2007, his attorney moved to withdraw the guilty plea and proceed to trial. Ellsworth’s attorney also mentioned that the judge, with the prosecutor’s consent, had offered Ellsworth an alternative sentence—two years in prison to be followed by two years of postrelease supervision—on June 11th, his originally scheduled sentencing date, and that Ellsworth had been given one week to consider this option.

Because the prosecutor who had handled the case was not present, County Court adjourned the sentencing hearing until June 25, 2007, and reserved on the motion. When Ellsworth appeared on that date, though, his attorney withdrew the motion, and indicated that the “6/10” split sentence originally promised Ellsworth was “what he want[ed] to do.” When County Court asked Ellsworth if there was “anything [he] wanted to say on [his] own behalf,” he only inquired as to whether he could serve his time in jail on weekends. He did not inquire about access to his minor children, or, for example, ask the judge for permission for supervised visits with them.

The judge then sentenced Ellsworth as promised, and handed him a written copy of the terms and conditions of his probation. This document, entitled “Order and Conditions of Adult Probation,” ordered Ellsworth to comply with three general and 18

special conditions as well as “any others *which the Court may impose at a later date*” (emphasis added). Special Condition number eight states as follows: “Do not initiate, maintain or establish contact with any child under the age of 18, nor attempt to do so, nor reside in the same residence with minor children, without permission of the Court or your [probation officer].”

In November 2007, Ellsworth, represented by a new attorney, moved to vacate his judgment of conviction pursuant to Criminal Procedure Law § 440.10. In that motion, Ellsworth argued that his trial attorney had provided inadequate assistance by “fail[ing] to adequately investigate his case and defenses . . . [and] coerc[ing] him into accepting a . . . plea deal” that was “unwanted,” apparently because he was prohibited from being around his minor children. Ellsworth also claimed to be innocent of the charges. The People argued that Ellsworth’s conclusory assertions were insufficient to entitle him to relief. County Court agreed, and denied the motion without a hearing.

Ellsworth also appealed his judgment of conviction on the ground that his guilty plea was involuntary. A unanimous Appellate Division concluded, however, that his guilty plea was knowing, voluntary and intelligent (59 AD3d 989 [4th Dept 2009]). A Judge of our Court granted Ellsworth leave to appeal (12 NY3d 924 [2009]), and we now affirm.

II.

The outcome of these appeals turns on the application of our precedent in *People v Ford* (86 NY2d 397 [1995]). There, we emphasized that a trial court may accept a guilty plea only after fulfilling its constitutional duty to “ensure that [the] defendant . . . has a full understanding of what the plea connotes and its consequences” (*id.* at 402-403). Although “the court is not required to engage in any particular litany when allocuting the defendant,” due process mandates that “ ‘the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant’ ” (*id.* at 403, quoting *North Carolina v Alford*, 400 US 25, 31 [1970]).

Because “a criminal court is in no position to advise on all the ramifications of a guilty plea,” though, we observed in *Ford* that courts have traditionally drawn a distinction between direct consequences of a guilty plea, of which a defendant must be apprised during the plea colloquy, and collateral consequences, which the trial judge may, but need not, mention (*id.*). Further, we defined a direct consequence as having “a

definite, immediate and largely automatic effect on [a] defendant's punishment" (*id.*, citing *Cuthrell v Director, Patuxent Inst.*, 475 F2d 1364 [4th Cir 1973], *cert denied* 414 US 1005 [1973]; *see also Brady v United States*, 397 US 742, 755 [1970] [voluntary guilty pleas are made "by one fully aware of the *direct consequences*, including the actual value of any commitments made to him by the court, prosecutor, or his own counsel" (emphasis added and internal quotation marks omitted)]).

Thus, we held in *Ford* that "[t]he failure to warn of . . . collateral consequences will not warrant vacating a plea because they are peculiar to the individual and generally result from the actions taken by agencies the court does not control" (86 NY2d at 403). Specifically, we concluded that the trial court was under no duty to warn the defendant of the possibility of deportation before accepting his guilty plea³ because "[d]eportation [was] a collateral consequence of conviction . . . peculiar to the individual's personal circumstances and one not within the control of the court system" (*id.*).⁴

We next considered our *Ford* precedent in *People v Catu* (4 NY3d 242 [2005]). Because Catu was a second felony offender,

3. In 1995, the same year we decided *Ford*, the Legislature adopted Criminal Procedure Law § 220.50 (7). This provision directs trial courts to advise non-citizen defendants, on the record, of certain potential consequences of a guilty plea related to their immigration status, but specifies that neglect to do so does not "affect the voluntariness of a plea of guilty or the validity of a conviction."

4. We also held in *Ford* that the failure of the defendant's attorney to warn him of the possibility of deportation as a result of his guilty plea did not state grounds for ineffective assistance of counsel under *Strickland v Washington* (466 US 668 [1984]), although we left open the possibility that affirmative misstatements by counsel might have done so (*Ford*, 86 NY2d at 405; *see also People v McDonald*, 1 NY3d 109, 111 [2003] ["(U)nder certain circumstances, a defense counsel's incorrect advice as to deportation consequences of a plea may constitute ineffective assistance of counsel"]). The United States Supreme Court just recently held, however, that the Sixth Amendment requires criminal defense attorneys to advise their immigrant clients of the deportation consequences of a guilty plea, although the "[l]ack of clarity in the law . . . will affect the scope and nature of counsel's advice" (*Padilla v Kentucky*, 559 US —, — n 10, 130 S Ct 1473, 1483 n 10 [2010]). The Court noted that it had "never applied a distinction between direct and collateral consequences to define the scope of constitutionally reasonable professional assistance required under *Strickland*" (559 US at —, 130 S Ct at 1481 [internal quotation marks omitted]); however, "[w]hether that distinction [was] appropriate [was] a question" that the Court decided that it "need not consider" in *Padilla* since deportation had been "long recognized . . . [as] a particularly severe 'penalty,' [although] not, in a strict sense, a criminal sanction" and thus was "*uniquely difficult* to classify as either a direct or a collateral consequence" (559 US at —, 130 S Ct at 1481-1482 [citation omitted and emphasis added]).

his sentence for the crimes to which he pleaded guilty included a mandatory period of five years of postrelease supervision. The trial judge did not inform Catu of this obligation during the plea colloquy. As a result, Catu subsequently sought to vacate his guilty plea on the ground that postrelease supervision was a direct, rather than a collateral, consequence of his conviction, which the judge was therefore required to make known to him before accepting his guilty plea.

We agreed. We noted that postrelease supervision was a component of a sentence, and “[w]hereas the term of supervision to be imposed [might] vary depending on the degree of the crime and the defendant’s criminal record, imposition of supervision [was] mandatory and thus ‘ha[d] a definite, immediate and largely automatic effect on [a] defendant’s punishment’ ” (*id.* at 244, quoting *Ford*, 86 NY2d at 403). We recognized that postrelease supervision was “significant” in light of the conditions to which a defendant might be subject after release from prison—e.g., curfew, travel restrictions, substance abuse testing and treatment, residential treatment—and the risk of reincarceration for disobedience of release conditions (*id.* at 245).

We therefore concluded that “a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action”; and decided that the trial court’s failure to advise Catu of his obligation to serve a five-year term of postrelease supervision required reversal of his conviction (*id.*). Further, although the trial court and the Appellate Division had both engaged in harmless-error analysis, “refus[ing] . . . to vacate [Catu’s] plea on the ground that he did not establish that he would have declined to plead guilty had he known of the postrelease supervision” (*id.*), we specifically rejected this approach (*cf.* n 6, *infra* at 557-558).

III.

Gravino

Gravino protests that she “was not informed that she was required to register as a sex offender until she was being led away to prison following her sentencing”; and therefore her guilty plea was not knowing, voluntary and intelligent. She argues that SORA registration, like postrelease supervision, “should fall within the realm of a ‘direct’ consequence” of a

guilty plea, principally “because of the ramifications of being identified as a sex offender.” She contrasts the “abbreviated periods” of postrelease supervision with the SORA requirement for annual registration and verification for a minimum period of 20 years (level one sex offenders) to a maximum period of lifetime (levels two and three sex offenders) (Correction Law § 168-h), subject to felony penalties for failure to comply (Correction Law § 168-t).

Postrelease supervision, however, is, by statute, a component element of a sentence, which is why a judge must pronounce the period of postrelease supervision at sentencing (*see People v Sparber*, 10 NY3d 457, 469 [2008]); it is thus an integral part of the punishment meted out upon a defendant’s conviction of a crime. By contrast, we have observed that SORA “is *not a penal statute and the registration requirement is not a criminal sentence*. Rather than imposing punishment for a past crime, SORA is a *remedial statute* intended to prevent future crime” (*Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 752 [2007] [citation omitted and emphases added]).

Similarly, we have held that “*a SORA risk-level determination is not part of a defendant’s sentence[;] . . . it is a collateral consequence of a conviction for a sex offense designed not to punish, but rather to protect the public*” (*People v Windham*, 10 NY3d 801, 802 [2008] [citations omitted and emphases added]). The extent and nature of the conditions imposed on a SORA registrant—i.e., the consequences of SORA registration—turn upon the risk classification. The Board of Examiners of Sex Offenders, an administrative agency, recommends a released offender’s risk classification based on the SORA Guidelines (Correction Law § 168-l), subject to judicial determination (Correction Law § 168-n). These consequences are not known at the time a court accepts a guilty plea, and therefore cannot have a “‘definite, immediate and largely automatic effect on [a] defendant’s punishment’ ” (*Catu*, 4 NY3d at 244, quoting *Ford*, 86 NY2d at 403).

[1] Unquestionably, SORA imposes significant burdens on a registrant, regardless of risk level. But we have consistently held that SORA requirements, unlike postrelease supervision, are not part of the punishment imposed by the judge; rather, SORA registration and risk-level determinations are nonpenal consequences that result from the fact of conviction for certain

crimes.⁵ Thus, SORA registration is not a “direct consequence” of a conviction within the meaning of *Ford* as interpreted in *Catu*. Indeed, “virtually every . . . jurisdiction to address the question” has likewise concluded that sex offender registration is a collateral consequence of a guilty plea (*see Magyar v State*, 18 So 3d 807, 812 and n 5 [Miss 2009] [gathering cases]; *see also State v Bollig*, 232 Wis 2d 561, 571-573, 605 NW2d 199, 203-204 [2000] [“Of the states that have addressed whether registration of sex offenders is punishment, all but one . . . answered in the negative.”^[6] Despite variations . . . statutes in

5. The dissent treats all consequences of conviction as punishment (*see* dissenting op at 562 [“(L)ike postrelease supervision, the certification that a defendant is a sex offender . . . is a definite, immediate and . . . automatic effect of a defendant’s conviction” (internal quotation marks omitted)]), thus obliterating the distinction between direct and collateral consequences. As an initial matter, “certification,” a duty of the court, is not the same as “registration,” an obligation imposed on a defendant. At sentencing, the trial judge must certify that a defendant convicted of a crime listed in the statute is a sex offender (*see* Correction Law § 168-d [1] [a]). If the sex offense includes a special factor, such as the age of the complainant, and the defendant challenges either the factor or an allegation that he has previously been convicted of a sexual offense or a sexually violent offense, the judge, prior to certification, must hold a hearing without a jury to determine whether the factor or the allegation is proven by clear and convincing evidence (Correction Law § 168-d [1] [b], [c]). Upon certification, either with or without a hearing, the judge must notify the defendant of the duty to register (Correction Law § 168-d [1] [a]). Further, although SORA registration is a consequence of a conviction of certain crimes, so is the possibility of deportation, or, as we mentioned in *Ford*, the “loss of the right to vote or travel abroad, loss of civil service employment, loss of a driver’s license, loss of the right to possess firearms or an undesirable discharge from the Armed Services” (86 NY2d at 403 [citations omitted]). These consequences, like SORA registration, are all collateral rather than direct because they do not have a “‘definite, immediate and largely automatic effect on [a] defendant’s punishment’ ” (*Catu*, 4 NY3d at 244, quoting *Ford*, 86 NY2d at 403 [emphasis added]; *cf.* dissenting op at 560).

6. California is the outlier (*see Bunnell v Superior Ct.*, 13 Cal 3d 592, 605, 531 P2d 1086, 1094 [1975] [“In all guilty plea and submission cases the defendant shall be advised of the direct consequences of conviction such as the permissible range of punishment provided by statute, registration requirements (including sex offender registration), if any, and, in appropriate cases the possibility of commitment (for narcotics addiction)” (citations omitted)]). A defendant is not automatically entitled to withdraw a guilty plea when a California trial court fails to advise of a sex offender registration requirement, though. First, absent a timely objection, a defendant waives the claim of error (*see People v McClellan*, 6 Cal 4th 367, 377, 862 P2d 739, 746 [1993] [where defense counsel was aware of probation officer’s report recommending that defendant register as a sex offender, filed 11 days before the sentencing hearing, “defendant waived his claim of error by failing at the sentencing hearing to interpose a timely objection to the registration requirement”]). Second,

(n. cont’d)

most states are remarkably similar. That is because most state statutes have the same genesis and are versions of Megan's Law'''). Finally, as the Appellate Division pointed out, Gravino's claim of ineffective assistance of counsel brings up matters not apparent from the face of the record, which are therefore properly fleshed out by affidavit in support of a CPL 440.10 motion rather than raised on direct appeal.

Ellsworth

Ellsworth, a level three sex offender, argues that County Court's "authority to exercise control over [his] ability to have contact with [his] children" is a direct consequence of his guilty plea within the meaning of *Ford* and the holding of *Catu*. He therefore faults the judge for not informing him during the plea colloquy that he "would lose the fundamental right to have any contact, or live with" his young children.

But courts taking guilty pleas cannot be expected to predict any and every potential condition of probation that might be recommended in the presentence report—an impossible task given the individualized nature of probation supervision. Here, as noted earlier, the judge ultimately imposed three general and 18 special conditions of probation. Moreover, these conditions may be modified or enlarged by the court at any time before the expiration or termination of the period of probation (CPL 410.20 [1]). Indeed, one of the special conditions acknowledges the judge's discretion to require Ellsworth to comply with unspecified additional conditions later on. Accepting Ellsworth's argument would convert every plea colloquy where probation is part of the sentence into a conjectural and contingent exercise, potentially requiring at least partial reallocation at sentencing; it might also create a disincentive for the offender to cooperate fully with the preparer of the presentence report, lest more onerous conditions than those provisionally identified be recommended.

[2] In *Catu* we held that postrelease supervision is a direct consequence of a conviction, and therefore a defendant must be advised of the fact and length of postrelease supervision during the plea colloquy in order for a guilty plea to be knowing, voluntary and intelligent. We did not suggest that the judge was required to speculate on the conditions to which a defendant

even where the claim of error is not waived, a defendant must establish prejudice—i.e., that he would not have pleaded guilty but for the trial court's omission (*McClellan*, 6 Cal 4th at 378, 862 P2d at 746-747; see also *People v Picklesimer*, 48 Cal 4th 330, 344-345, 226 P3d 348, 358 [2010]).

might be subject after release from prison. Likewise, it was sufficient here that Ellsworth was made aware during the plea colloquy that his sentence would include a 10-year period of probation.

[3] We decide today that SORA registration and the terms and conditions of probation are not direct consequences of a plea—in other words, that the judge’s failure to mention them does not, by itself, demonstrate that a plea was not knowing, voluntary and intelligent. It does not necessarily follow, though, that nondisclosure is always irrelevant to the question of whether a court should exercise its discretion to grant a motion to withdraw a plea. There may be cases in which a defendant can show that he pleaded guilty in ignorance of a consequence that, although collateral for purposes of due process, was of such great importance to him that he would have made a different decision had that consequence been disclosed.

As the record demonstrates, neither of the cases before us fits this description, and indeed such cases will be rare. Undoubtedly, in the vast majority of plea bargains the overwhelming consideration for the defendant is whether he will be imprisoned and for how long. But it may occasionally happen that a defendant, moving to withdraw his plea promptly after disclosure of the facts in question, can convincingly show that the newly discovered information, if known at the time of the plea, would have caused a change of heart. Where that is true, the motion to withdraw the plea will not be defeated simply by labeling a consequence “collateral.”

Accordingly, the orders of the Appellate Division should be affirmed in both of these cases.

CIPARICK, J. (dissenting). Because I believe that Sex Offender Registration Act (SORA) certification and subsequent registration and the restriction of contact with one’s children as a condition of probation are direct consequences of a guilty plea of which a defendant must be informed to make that plea knowing, voluntary and intelligent, I respectfully dissent.

To be valid, a defendant’s guilty plea must be knowing, voluntary and intelligent (*see People v Catu*, 4 NY3d 242, 245 [2005]). In order to constitute a knowing, voluntary and intelligent plea, the trial court has a duty to ensure that a defendant is aware of the direct consequences of such plea (*see id.* at 244-245; *see also People v Boyd*, 12 NY3d 390, 393 [2009]; *People v Ford*, 86 NY2d 397, 403 [1995]). Accordingly, a trial court may permit a

defendant to plead guilty only after the court first ensures “that a defendant . . . has a full understanding of what the plea connotes and its consequences” (*Ford*, 86 NY2d at 402-403). However, a trial court has no duty to inform a defendant of *collateral* consequences of a guilty plea (*see Catu*, 4 NY3d at 244). We have defined a “collateral consequence” as one which is “peculiar to the individual [defendant] and generally result[s] from the actions taken by agencies the court does not control” (*id.*, quoting *Ford*, 86 NY2d at 403). On the other hand, a “direct consequence” is “one which has a definite, immediate and largely automatic effect on defendant’s punishment” (*id.*).

In *Catu*, we concluded that postrelease supervision (PRS) was a direct consequence of a conviction which must be disclosed to a defendant in order to render a guilty plea knowing, voluntary and intelligent. We explained:

“Postrelease supervision is a direct consequence of a criminal conviction. In eliminating parole for all violent felony offenders in 1998, the Legislature enacted a scheme of determinate sentencing to be followed by periods of *mandatory* postrelease supervision, and defined each determinate sentence to also include, as a part thereof, an additional period of post-release supervision. Whereas *the term of supervision to be imposed may vary depending on the degree of the crime and the defendant’s criminal record*, imposition of supervision is mandatory and thus has a definite, immediate and largely automatic effect” (4 NY3d at 244 [citations, internal quotation marks and brackets omitted; emphasis added]).

We also observed that PRS can have onerous terms including, but not limited to, a curfew, travel restrictions, and substance abuse treatment and/or testing. Moreover, we noted that a “violation of a condition of postrelease supervision can result in reincarceration for at least six months and up to the balance of the remaining supervision period” (*id.* at 245 [citations omitted]).

Under the rubric we set forth in *Ford* and further explained in *Catu*, SORA registration is a direct consequence of defendant Gravino’s guilty plea. The majority insists that SORA registration is not a direct consequence because we have held that it is “not part of the punishment imposed by the judge” (*see majority op* at 556). Moreover, the majority differentiates postrelease supervision from SORA registration on the ground that

postrelease supervision “is, by statute, a component element of a sentence” (*id.* at 556, citing *People v Sparber*, 10 NY3d 457, 469 [2008]). We have never held that a consequence of a criminal conviction must be a component of a defendant’s sentence in order to constitute a direct consequence thereof (*see Ford*, 86 NY2d at 403; *Catu*, 4 NY3d at 244-245). Instead, we have held that direct consequences must have an effect on a defendant’s punishment. As a result, the majority’s stance cannot be reconciled with our holdings in *Ford* and *Catu*.¹

Although the *terms* of SORA registration will vary depending on the level of classification, the *imposition* of SORA certification—leading to mandatory compliance with SORA requirements—is, like PRS, mandatory. Significantly, in this regard, Correction Law § 168-d (1) (a) states: “[U]pon conviction . . . the court *shall* certify that the person is a sex offender and *shall* include the certification in the order of commitment” (emphasis added). The statute requires that the trial court “*shall* also advise the sex offender of his or her duties under this article” (emphasis added). Although a SORA risk-level determination has been held to be not part of a sentence, we have concluded that the trial court’s mandatory certification that a

1. The United States Supreme Court recently considered whether an attorney’s failure to advise a client of a consequence we deemed “collateral” in *Ford*—deportation—could constitute ineffective assistance of counsel sufficient to warrant the vacatur of a guilty plea (*see Padilla v Kentucky*, 559 US —, 130 S Ct 1473 [2010]). The Court concluded that a defense attorney does have a duty to advise his or her client that deportation is a possible consequence (*see* 559 US at —, 130 S Ct at 1482). Significantly, in determining whether the direct/collateral consequence dichotomy was useful to determine whether deportation advice was required, the Court stated

“[a]lthough removal proceedings are civil in nature, deportation is nevertheless *intimately related to the criminal process*. Our law has enmeshed criminal convictions and the penalty of deportation for nearly a century. And, importantly, recent changes in our immigration law have made removal nearly an automatic result for a broad class of noncitizen offenders. Thus, we find it *most difficult to divorce the [civil] penalty from the conviction in the deportation context*” (559 US at —, 130 S Ct at 1481 [citations and internal quotation marks omitted; emphasis added]).

While it is true that *Padilla* dealt with the duty of counsel, rather than the duty of the courts, to inform a criminal defendant about deportation, the rationale employed by the Court in rejecting the direct/collateral consequence dichotomy applies with equal force in determining the voluntariness of a guilty plea where the court has failed to advise the defendant of SORA registration, which is also a civil penalty “difficult to divorce . . . from [a] conviction” (559 US at —, 130 S Ct at 1481 [internal quotation marks omitted]).

defendant is a sex offender is an appealable and reviewable part of the judgment of conviction (*People v Hernandez*, 93 NY2d 261, 267 [1999]). Thus, like postrelease supervision, the certification that a defendant is a sex offender—and, accordingly, subject to the requirements of SORA—is “a definite, immediate and . . . automatic effect” of a defendant’s conviction (*Catu*, 4 NY3d at 244 [citation and internal quotation marks omitted]).² While it is true that we have held that the particular *risk-level determination* made for a specific defendant is a collateral consequence not subject to attack on direct appeal from a judgment of conviction (see *People v Windham*, 10 NY3d 801, 802 [2008]), here defendant challenges not the specific risk-level determination but the fact that she was certified a sex offender subject to SORA requirements.

Moreover, as the majority recognizes (see majority op at 556), the consequences of SORA registration are “significant” (*Catu*, 4 NY3d at 245) and can include up to, for a level two or three offender, lifetime registration (see Correction Law § 168-h [2]), verification of address every 90 days (see § 168-h [3] [level three offenders]) with fees to be paid by the sex offender for each change of address (see § 168-b [8]), and the dissemination to the public of the sex offender’s personal information via the Internet (see § 168-q [1]). Even sex offenders posing the lowest risk (level one) are subject to annual registration and residency verification for a period of 20 years (§ 168-h [1]). As with post-release supervision, failure to comply with the requirements of SORA can result in a felony conviction (see § 168-t).

In short, Gravino’s certification as a sex offender was an automatic and immediate consequence of her conviction for rape in the third degree. Thus, I would hold that sex-offender certification is a direct consequence of Gravino’s guilty plea and, without informing Gravino that she would be subject to SORA certification, her guilty plea cannot be said to “represent[] a voluntary and intelligent choice among the alternative

2. Although the majority accuses the dissent of “treat[ing] all consequences of conviction as punishment,” thereby “obliterating the distinction between direct and collateral consequences” (majority op at 557 n 5), I do not intend to “obliterate” any distinction. Rather, I believe that SORA certification and the resulting mandatory compliance with SORA requirements fall squarely within the ambit of “direct consequences” of a judgment of conviction, as we explained that term in *Ford* and *Catu*. Other consequences not relevant here may very well remain collateral (cf. *Padilla*, 559 US at —, 130 S Ct at 1481).

courses of action open to” her (*North Carolina v Alford*, 400 US 25, 31 [1970]).

Similarly, I would hold that a condition of probation that prohibits defendant Ellsworth from living with his children is a most significant and direct consequence of his guilty plea. I agree with the majority that “courts taking guilty pleas cannot be expected to predict any and every potential condition of probation that might be recommended in the presentence report” (majority op at 558). It is hardly unforeseeable, however, that upon a conviction for course of sexual conduct against a child in the second degree, defendant would be forbidden, as a term of his probation, from living with or having contact with children, including his own. Indeed, the record reflects that both the presentence interviewer and the prosecutor believed such a condition to be a mandatory component of defendant’s probation. Thus, it does not appear that the particular condition at issue was “peculiar to the individual” defendant (*see Ford*, 86 NY2d at 403). Moreover the condition that defendant not live with or have contact with children was “within the control of” the sentencing court (*id.*), as that court had it within its discretion to adjust the conditions imposed.

We have repeatedly recognized that parents’ interest in the care and custody of their children is a fundamental right (*see Matter of Tammie Z.*, 66 NY2d 1, 4 [1985], citing *Matter of Ella B.*, 30 NY2d 352, 356 [1972]; *see also Santosky v Kramer*, 455 US 745, 758-759 [1982]). Accordingly, I would hold that where a defendant, as a direct consequence of his plea, is stripped of that right as a largely automatic condition of a sentence imposed for a sex crime involving children, the defendant must be informed of that direct consequence in order to render the guilty plea knowing, voluntary and intelligent, and County Court’s failure to do so here rendered Ellsworth’s plea invalid.

Accordingly, in both cases, I would reverse the order of the Appellate Division and remit to the sentencing courts for further proceedings.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

In each case: Order affirmed.

[930 NE2d 176, 904 NYS2d 255]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARCELLUS PIERCE, Appellant.

Argued January 14, 2010; decided February 16, 2010

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 31, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (John L. Michalski, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of stolen property in the third degree and grand larceny in the fourth degree.

People v Pierce, 57 AD3d 1397, reversed.

HEADNOTES

Crimes — Information — Jurisdictional Validity of Superior Court Information Containing Offense Not Joinable with Offense Charged in Original Felony Complaint

1. Reversal of defendant's conviction following his waiver of indictment and plea of guilty to a superior court information (SCI) charging him with grand larceny in the fourth degree, an offense for which he had been held for action by the grand jury in a superior court felony complaint, and criminal possession of stolen property in the third degree, a charge included on the theory that it was joinable with the grand larceny offense under CPL 195.20 and 200.20 (2) (c), was not warranted under *People v Zanghi* (79 NY2d 815 [1991]). Under certain circumstances a defendant may waive indictment and consent to be prosecuted by SCI pursuant to CPL 195.10 if the SCI charges the defendant with either the same crime as the felony complaint or a lesser included offense of that crime. The waiver of indictment and SCI were deemed invalid in *Zanghi* because the SCI did not charge defendant with either of the offenses that had been included in the felony complaint, and the SCI charge was not a lesser included offense of either crime. Here, the exact offense charged in the superior court felony complaint was included in the waiver of indictment and charged in the SCI. Although the SCI here also contained another charge arising from a separate incident—criminal possession of stolen property in the third degree, an offense of higher grade or degree than the grand larceny offense—that, standing alone, did not establish the invalidity of the waiver of indictment and SCI under *Zanghi*.

Crimes — Information — Jurisdictional Validity of Superior Court Information Containing Offense Not Joinable with Offense Charged in Original Felony Complaint

2. Reversal of defendant's conviction following his waiver of indictment and plea of guilty to a superior court information (SCI) charging him with grand larceny in the fourth degree, an offense for which he had been held for action by the grand jury in a superior court felony complaint, and criminal

possession of stolen property in the third degree, a charge arising from a separate incident but included on the theory that it was joinable with the grand larceny offense, was warranted. The criminal possession offense was not properly joined with the grand larceny charge under CPL 195.20 and 200.20 (2) (c). CPL 200.20 (2) (c) permits joinder of charges involving a single defendant and arising from different criminal transactions if “such offenses are defined by the same or similar statutory provisions and consequently are the same or similar in law.” Here, the stolen property offense stemmed from the police discovering defendant in possession of a car that had previously been reported stolen, and the grand larceny charge arose from an incident in which defendant allegedly obtained a bank card by false pretenses and then withdrew funds from the victim’s account without authorization. The only similarity was that both offenses involve misappropriated property. The crimes did not have comparable elements and the essential nature of the criminal conduct was quite distinct. The improper inclusion of the criminal possession offense in the waiver of indictment and SCI was a jurisdictional defect that, when raised on direct appeal, required reversal of the conviction and dismissal of the SCI.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 662, 667, 671; AM JUR 2d, Indictments and Informations §§ 13–16.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:324, 178:326, 178:388–178:392; CARMODY-WAIT 2d, Postjudgment Motions § 205:8.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 21.6, 27.5.

McKINNEY’s, CPL 195.10, 195.20, 200.20 (2) (b), (c).

NY JUR 2d, Criminal Law: Procedure §§ 1253, 1255, 1287–1291, 3379, 3380.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Guilty Plea; Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: conviction /5 revers! & waiv! /3 indictment /s join!
/s charge offense & guilty /2 plea

POINTS OF COUNSEL

Legal Aid Bureau of Buffalo, Inc., Buffalo (*Timothy P. Murphy, David C. Schopp* and *Barbara J. Davies* of counsel), for appellant. Appellant’s superior court information (SCI) plea to criminal possession of stolen property in the third degree was illegal under CPL 195.10 (1) (a) and 195.20, as it was a higher charge than the one for which appellant was held for action of

the grand jury. Further, the charges in the SCI are not “joinable.” Finally, the “joinable” provision of CPL 195.20 is unconstitutional. (*People v Trueluck*, 88 NY2d 546; *People v Zanghi*, 79 NY2d 815; *People v Menchetti*, 76 NY2d 473; *People v Boston*, 75 NY2d 585; *People v Glover*, 57 NY2d 61; *People v Van Norstrand*, 85 NY2d 131; *People v D’Amico*, 76 NY2d 877; *People v Goforth*, 36 AD3d 1202; *People v Bushman*, 130 Misc 2d 491; *People v McClain*, 24 AD3d 1271.)

Frank A. Sedita, III, District Attorney, Buffalo (Michael J. Hillery and Donna A. Milling of counsel), for respondent. I. Neither the Criminal Procedure Law nor expository case authority prohibits joinder in a superior court information of a greater offense than that for which defendant was held for grand jury action. (*People v Zanghi*, 79 NY2d 815; *People v Menchetti*, 76 NY2d 473.) II. The joinder provision of the Criminal Procedure Law is consonant with article I, § 6 of the New York Constitution. (*People v Bright*, 71 NY2d 376; *People v Menchetti*, 76 NY2d 473; *People v Shapiro*, 50 NY2d 747; *People v Trueluck*, 88 NY2d 546.) III. The charges of third-degree criminal possession of stolen property and fourth-degree grand larceny are similar in law.

OPINION OF THE COURT

GRAFFEO, J.

Defendant waived indictment and pleaded guilty to a superior court information (SCI) charging him with two offenses: grand larceny in the fourth degree, an offense for which he had been held for action by the grand jury in a superior court felony complaint; and criminal possession of stolen property in the third degree, a charge included on the theory that it was joinable with the grand larceny offense under Criminal Procedure Law §§ 195.20 and 200.20 (2) (c). Because the criminal possession offense was not properly joined with the grand larceny charge, defendant’s conviction must be reversed and the SCI dismissed.

The charges in this case arose from allegations that defendant committed two unrelated crimes in 2007. In January 2007, the People contend that defendant stole \$1,100 by deceiving the victim into turning over his bank card and then withdrawing funds from the victim’s account. In connection with this incident, in addition to misdemeanor offenses charged in separate accusatory instruments, a felony complaint was filed in Buffalo City Court charging defendant with grand larceny in

the fourth degree (Penal Law § 155.30 [1]). A few weeks later, defendant was allegedly found in possession of a vehicle that had previously been reported stolen. Defendant purportedly attempted to flee when stopped by the police and, after being placed under arrest, he was found with a pipe containing crack cocaine residue. This circumstance resulted in the filing of a felony complaint in Buffalo City Court charging defendant with criminal possession of stolen property in the fourth degree (Penal Law § 165.45 [5]), as well as various misdemeanor charges.

On separate dates, defendant was arraigned on each set of charges in Buffalo City Court. Thereafter, defendant was held for action of the grand jury on the felony offenses and those matters were divested to Supreme Court. The local court felony complaint pertaining to the grand larceny charge was subsequently dismissed and, pursuant to a plea agreement reached with the defense, the District Attorney filed a new superior court felony complaint charging defendant with grand larceny in the fourth degree. In open court, defendant signed a written waiver of indictment and agreed to be prosecuted by SCI charging him with the same offense in the superior court felony complaint—grand larceny in the fourth degree—together with an additional offense of criminal possession of stolen property in the third degree. Defendant then allocuted to his guilt on both charges with the understanding that concurrent sentences would be imposed and he would be treated as a second felony offender rather than a persistent felony offender. At sentencing, defendant was adjudicated a second felony offender based on two prior felony convictions and Supreme Court imposed the agreed-upon sentence of 3½ to 7 years on the possession of stolen property count and 1½ to 3 years on the grand larceny count, to be served concurrently.

Although he had waived his right to appeal when he entered his guilty plea, defendant appealed his conviction and, relying on our decision in *People v Zanghi* (79 NY2d 815, 817 [1991]), argued to the Appellate Division that the criminal possession of stolen property count was not properly included in the SCI. The Appellate Division affirmed the conviction (57 AD3d 1397 [2008]) and a Judge of this Court granted defendant leave to appeal (12 NY3d 786 [2009]).

The requirement that felony charges be prosecuted by indictment is grounded in the New York Constitution which, since 1974, has contained an exception allowing defendants to waive indictment under certain circumstances. Article I, § 6 provides:

“No person shall be held to answer for a capital or otherwise infamous crime . . . unless on indictment of a grand jury, except that a person held for the action of a grand jury upon a charge for such an offense, other than one punishable by death or life imprisonment, with the consent of the district attorney, may waive indictment by a grand jury and consent to be prosecuted on an information filed by the district attorney; such waiver shall be evidenced by written instrument signed by the defendant in open court in the presence of his or her counsel.”

Enacted to implement the constitutional amendment, Criminal Procedure Law article 195 established a procedure that allows for the waiver of indictment and prosecution by a new form of accusatory instrument—a superior court information defined in Criminal Procedure Law § 200.15 (*see* L 1974, ch 467). CPL 195.10 (1) states that

“[a] defendant may waive indictment and consent to be prosecuted by superior court information when:

“(a) a local criminal court has held the defendant for the action of a grand jury; and

“(b) the defendant is not charged with a class A felony . . . ; and

“(c) the district attorney consents to the waiver.”¹

CPL 195.20 directs that the waiver of indictment shall be in writing and further authorizes that “[t]he offenses named may include any offense for which the defendant was held for action of a grand jury and any offense or offenses properly joinable therewith pursuant to sections 200.20 and 200.40.”

For purposes of waiver of indictment, a charge that is a lesser included offense of a crime charged in the felony complaint is viewed as the “same offense” and may be substituted for the original charge in a waiver of indictment and SCI (*see People v Menchetti*, 76 NY2d 473 [1990]). But there is an exception to this rule when the felony complaint charges a class A felony for which waiver of indictment is not permitted. In that case, a

1. As this Court noted in *People v Boston* (75 NY2d 585, 588 [1990]), CPL 195.10 is in some respects more restrictive than article I, § 6. For example, the statute contains a temporal limitation on waiver of indictment—authorizing waiver “at any time prior to the filing of an indictment by the grand jury” (CPL 195.10 [2] [b])—a limitation that does not appear in the Constitution.

defendant generally may not agree to be prosecuted on an SCI that contains a lesser included offense since such a substitution would be nothing more than an “end run” around the statutory prohibition against the use of a waiver of indictment by a defendant held for grand jury action on a complaint charging such a class A felony (see *People v Trueluck*, 88 NY2d 546 [1996]; cf. *People v D’Amico*, 76 NY2d 877 [1990]).

“[T]he basic objective of article 195 was to permit waiver of indictment for defendants who wished to go directly to trial without waiting for a grand jury to hand up an indictment, to do so. The statutory procedures were thus aimed at affording a defendant the opportunity for a speedier disposition of charges as well as eliminating unnecessary Grand Jury proceedings” (*People v Boston*, 75 NY2d 585, 588-589 [1990] [internal quotation marks and citations omitted]).

The bill jacket for the legislation creating CPL article 195 also indicates that the new procedure was intended to facilitate plea bargaining (Mem by Staff Attorney of Law Rev Commn, Bill Jacket, L 1974, ch 467, at 5-6).

In this case, it is undisputed that the waiver of indictment and SCI were intended to effectuate a plea agreement between the People and the defense. In separate accusatory instruments, defendant was charged in local criminal court with grand larceny in the fourth degree, a class E felony relating to the theft incident, and criminal possession of stolen property in the fourth degree, a class E felony arising from the motor vehicle incident. The People then filed a superior court felony complaint charging defendant with the same fourth-degree grand larceny offense for which he had been held for action of the grand jury and defendant waived indictment and agreed to be prosecuted by SCI for that offense and the third-degree stolen property charge.

In placing those two offenses in the same SCI, the People relied on the joinder provision in CPL 195.20 directing that offenses for which indictment may be waived “include any offense for which the defendant was held for action of a grand jury” (here, the grand larceny offense in the superior court felony complaint) “and any offense or offenses properly joinable therewith pursuant to sections 200.20 and 200.40.” The People’s theory was that the stolen property charge could be joined with the grand larceny offense under CPL 200.20 (2) (c) because the two

offenses were “the same or similar in law.” By consenting to plead guilty under these circumstances, defendant avoided multiple prosecutions and the probable imposition of consecutive sentences in the event of his conviction on two unrelated crimes. He also secured a promise that he would be sentenced as a second felony offender. Of course, the fact that the plea may have been beneficial to both parties does not preclude a subsequent challenge to the jurisdictional validity of the SCI. Our precedent makes clear that the parties must comply with the constitutional and statutory requirements relating to waiver of indictment; in this context, advantageous ends do not justify improper means.

On appeal in this Court, defendant challenges the validity of the waiver of indictment and SCI on three grounds.² First, based on our decision in *Zanghi*, he argues that the inclusion of the third-degree possession of stolen property offense in the SCI was improper. Next, even if reversal is not warranted under *Zanghi*, he asserts that the joinder of the possession of stolen property offense with the grand larceny charge in the SCI did not meet the requirements of CPL 200.20 (2) (c). Finally, if joinder was proper under CPL 200.20 (2) (c), he maintains that CPL 195.20 is unconstitutional insofar as it purports to allow waiver of indictment and prosecution by SCI for “joined offenses” that were not previously charged in a felony complaint. We conclude that our decision in *Zanghi* does not compel a reversal but we agree that joinder of the criminal possession offense was impermissible under CPL 200.20 (2) (c). We therefore dismiss the SCI on that basis, making it unnecessary for us to reach defendant’s constitutional challenge to the CPL 195.20 joinder provision.

Defendant’s *Zanghi* Argument

Relying on *Zanghi*, defendant contends that, regardless of whether the two charges were properly joined under CPL 195.20

2. Although defendant did not raise any of these arguments in Supreme Court—to the contrary, he waived indictment both orally and in writing and expressly agreed to be prosecuted under this SCI—the People do not dispute that he can pursue these claims on direct appeal because this Court has held that the improper inclusion of an offense in a waiver of indictment and SCI is a jurisdictional deficiency that is not subject to the preservation rule and may not be waived (*see Boston*, 75 NY2d at 589 n; *Zanghi*, 79 NY2d at 817; *see generally People v Cuadrado*, 9 NY3d 362 [2007] [a defendant must raise this type of claim on direct appeal and a failure to do so will preclude a CPL 440.10 collateral attack on the conviction]).

and 200.20 (2) (c), the possession of stolen property charge could not be included in the waiver of indictment and SCI because it is a class D felony—a higher grade crime than the class E grand larceny charge in the superior court felony complaint, or the class E possession of stolen property offense, one of the charges for which he was held for grand jury action. In *Zanghi*, defendant was charged in a felony complaint with criminal possession of stolen property in the fourth degree and unauthorized use of a vehicle in the third degree. He later waived indictment and consented to be prosecuted on an SCI charging him with criminal possession of stolen property in the third degree, a charge to which he pleaded guilty. The waiver of indictment and SCI were deemed invalid in *Zanghi* because CPL 195.20 requires that the SCI charge an offense for which defendant was held for action of the grand jury. This means that the SCI must either charge defendant with the same crime as the felony complaint or a lesser included offense of that crime (*see Menchetti, supra*). The *Zanghi* SCI did not charge defendant with either of the offenses that had been included in the felony complaint, nor was the SCI charge a lesser included offense of either of the crimes in the felony complaint. To the contrary, the third-degree stolen property charge was of a higher grade than the fourth-degree stolen property offense included in the felony complaint.

It is clear from our precedent that “[t]he waiver procedure is triggered by the defendant being held for Grand Jury action on charges contained in a felony complaint . . . and it is in reference to those charges that its availability must be measured” (*D’Amico*, 76 NY2d at 879; *Trueluck*, 88 NY2d at 551, quoting *D’Amico*). In *Zanghi*, no triggering offense derived from the felony complaint appeared in the SCI. The People in that case tried to overcome this fundamental deficiency by suggesting that the charge in the SCI would have been joinable with either of the offenses in the felony complaint. But we rejected that contention, noting that “CPL 195.20 makes clear that where ‘joinable’ offenses are included, the information must, at a minimum, also include at least one offense that was contained in the felony complaint” (79 NY2d at 818). Since that minimum criterion was not met in *Zanghi*, vacatur of the guilty plea and dismissal of the SCI was required.

[1] We are presented with a different scenario in this case. The exact offense that was charged in the superior court felony complaint—grand larceny in the fourth degree—was included in the waiver of indictment and charged in the SCI. Thus, the

triggering offense omitted from the SCI in *Zanghi* was present here. It is true that the SCI also contained another charge arising from a separate incident—criminal possession of stolen property in the third degree—and this is an offense of higher grade or degree than the grand larceny offense. But this, standing alone, does not establish the invalidity of the waiver of indictment and SCI under *Zanghi*. We did not discuss in that case what types of offenses would have been joinable had a proper triggering offense been set forth in the SCI. To be sure, a *Zanghi* violation would have occurred here if the People had attempted to rely on the local court felony complaint charging defendant with fourth-degree criminal possession of stolen property to support the waiver of indictment relating to the third-degree version of that offense. Instead, the People’s rationale was that the third-degree stolen property offense was joinable with the grand larceny offense, the triggering offense included in both the felony complaint and SCI. Because reversal is not warranted based on the analysis in *Zanghi*, we must proceed to defendant’s next argument—that the possession of stolen property offense was not properly joined with the grand larceny charge under CPL 200.20 (2) (c).

Joinder under CPL 200.20 (2) (c)

CPL 195.20 states that the offenses for which indictment may be waived “include any offense for which the defendant was held for action of a grand jury and any offense or offenses properly joinable therewith pursuant to [CPL] 200.20 and 200.40.” CPL 200.15, the statute defining a superior court information, contains the same language, with the added limitation that an information may not include a charge not listed in defendant’s written waiver of indictment. An information is therefore governed by the same joinder rules as an indictment, in keeping with the legislative directive that “[a] superior court information has the same force and effect as an indictment and all procedures and provisions of law applicable to indictments are also applicable to superior court informations” (CPL 200.15). In fact, the term “indictment” encompasses superior court informations and they are treated identically everywhere in the CPL except in article 190 where the operations of the grand jury are addressed (*see* CPL 200.10).

CPL 200.20 and 200.40 are the general joinder provisions that determine, in all contexts, whether offenses are properly included in the same indictment or, if there are multiple

indictments, whether they may be consolidated for a single trial. Joinder of charges involving a single defendant is addressed in CPL 200.20 (2). Paragraph (a) of that subdivision authorizes joinder of multiple charges if they are based on the same criminal transaction. Paragraph (b) permits joinder of charges arising from different criminal transactions if proof of the first offense would be material and admissible as evidence in chief in the trial of the second offense. In this case, the People relied on paragraph (c) of the subdivision which authorizes joinder when, “[e]ven though based upon different criminal transactions, and even though not joinable pursuant to paragraph (b), such offenses are defined by the same or similar statutory provisions and consequently are the same or similar in law” (CPL 200.20 [2] [c]). This is the broadest of the three categories and, for this reason, where counts are joined under CPL 200.20 (2) (c), the trial court has the discretion to grant an application for severance if it determines that the offenses should be tried separately to avoid undue prejudice to the defense (CPL 200.20 [3]; *see e.g. People v Shapiro*, 50 NY2d 747 [1980]).

Of course, no severance application was made in this case since defendant agreed to the joinder of the two offenses in the written waiver of indictment and SCI, and he then pleaded guilty. The issue here is whether the criminal possession of stolen property count that was not charged in the superior court felony complaint was “the same or similar in law” to the grand larceny offense so that its inclusion in the SCI on a joinder theory complied with the requirements of CPL 195.20. CPL 200.20 (2) (c) is typically relied on when a person is alleged to have violated the same Penal Law provision on two or more occasions (*see e.g. People v Jenkins*, 50 NY2d 981 [1980] [two separate robberies were properly joined in a single indictment]) or has been charged with comparable criminal conduct in discrete incidents, such as multiple sexual assaults (*see Shapiro, supra* [sexual assault counts were properly joined but defendant’s application for discretionary severance should have been granted because defendant would be unduly prejudiced by a joint trial of the charges]; *People v Hunt*, 39 AD3d 961 [3d Dept 2007], *lv denied* 9 NY3d 845 [2007] [sexual assault counts were properly joined and court did not abuse its discretion in denying severance application]; *People v Clark*, 24 AD3d 1225 [4th Dept 2005], *lv denied* 6 NY3d 832 [2006] [rape and sodomy charges were properly joined]). Offenses will not be deemed sufficiently similar to support joinder under CPL 200.20 (2) (c) if the offenses

do not share any elements and the criminal conduct at the heart of each crime is not comparable (*see e.g. People v Dabbs*, 192 AD2d 932 [3d Dept 1993], *lv denied* 82 NY2d 707 [1993] [kidnapping and coercion charges were not sufficiently similar to support joinder]).

[2] A comparison of the two charges that were joined in this case reveals little, if any, commonality. The stolen property offense stemmed from the police discovering defendant in possession of a car that had previously been reported stolen.

“A person is guilty of criminal possession of stolen property in the third degree when he knowingly possesses stolen property, with intent to benefit himself or a person other than an owner thereof or to impede the recovery by an owner thereof, and when the value of the property exceeds three thousand dollars” (Penal Law § 165.50).

The grand larceny charge arose from an incident in which defendant allegedly obtained a bank card by false pretenses and then withdrew funds from the victim’s account without authorization. “A person is guilty of grand larceny in the fourth degree when he steals property and when . . . [t]he value of the property exceeds one thousand dollars” (Penal Law § 155.30 [1]). Viewed in the broadest sense, both offenses involve misappropriated property—but that is where any similarity ends. The crimes do not have comparable elements and the essential nature of the criminal conduct is quite distinct, as is evident from the underlying allegations. We therefore conclude that the third degree criminal possession of stolen property charge was not sufficiently similar in law to be properly included in the waiver of indictment and SCI on the theory that it was joinable with the grand larceny offense. As we have previously determined, the improper inclusion of an offense in a waiver of indictment and SCI is a jurisdictional defect that, when raised on direct appeal, requires reversal of the conviction and dismissal of the SCI.

Defendant’s Constitutional Argument

Finally, defendant claims that, insofar as CPL 195.20 allows waiver of indictment and prosecution by SCI of offenses for which defendant was not held for action by the grand jury (i.e., offenses never charged in a felony complaint) on the rationale that they are joinable with a charge that was the subject of a felony complaint, the statute is inconsistent with New York

Constitution, article I, § 6 and is therefore unconstitutional. At the very least, defendant suggests that the Constitution compels that CPL 195.20 be interpreted to preclude joinder of offenses that are higher in grade or degree than the triggering offense for which defendant was held for action of the grand jury.³ We recognized in *Zanghi* that the constitutionality of the joinder provision was an open question but we did not reach the issue in that case because none of the offenses in the prior felony complaint had been included in the SCI, a statutory violation that rendered the accusatory instrument jurisdictionally deficient (*see* 79 NY2d at 818). Here, where reversal is also warranted on a statutory basis, albeit on a different rationale, we follow the same course and do not address defendant's constitutional arguments.

Accordingly, the order of the Appellate Division should be reversed, the guilty plea vacated, the superior court information dismissed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order reversed, defendant's guilty plea vacated, superior court information dismissed and case remitted to Supreme Court, Erie County, for further proceedings in accordance with the opinion herein.

3. Read literally, CPL 195.20 does not require that offenses joined with the triggering offense be of the same or lesser degree. Beyond the prohibition on waiver of indictment of certain class A felonies, which would preclude their inclusion under a joinder theory, the only restriction on joinder that appears in CPL 195.20 is that additional offenses included in the waiver of indictment and SCI must be joinable with the triggering offense under CPL 200.20 or 200.40. Those statutes also do not bar joinder of offenses based on their grade or degree.

[930 NE2d 184, 904 NYS2d 263]

DEBRA H., Appellant, v JANICE R., Respondent.

Argued February 17, 2010; decided May 4, 2010

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 9, 2009. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Harold B. Beeler, J.), which had (a) granted a hearing to determine whether petitioner stood in loco parentis to respondent's biological child and may therefore invoke the doctrine of equitable estoppel against respondent; (b) granted, if petitioner were determined to stand in loco parentis, a further hearing to determine whether it was in the child's best interests to allow petitioner custodial and visitation rights; and (c) granted that branch of petitioner's motion seeking appointment of an attorney for the child; (2) vacated the order; (3) denied the petition; and (4) dismissed the proceeding.

Debra H. v Janice R., 61 AD3d 460, reversed.

HEADNOTES**Parent and Child — Visitation — Rights of Nonparent**

1. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]), which held that only a child's biological or adoptive parent has standing to seek visitation under Domestic Relations Law § 70 against the wishes of a fit custodial parent, is still valid law. *Alison D.*, in conjunction with second-parent adoption, creates a bright-line rule that promotes certainty in the wake of domestic breakups otherwise fraught with the risk of disruptive battles over parentage as a prelude to further potential combat over custody and visitation. The Court of Appeals did not implicitly depart from *Alison D.* in *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]), which held that a man who has mistakenly represented himself as a child's father may be estopped from denying paternity, and made to pay child support, when the child justifiably relied on the man's representation of paternity, to the child's detriment. There is no inconsistency in applying equitable estoppel to determine filiation for purposes of support, but not to create standing when visitation and custody are sought. The Legislature has drawn that distinction, inasmuch as Family Court Act § 418 (a) and § 532 (a) direct the courts to take equitable estoppel into account before ordering paternity testing, while Domestic Relations Law § 70 does not even mention equitable estoppel.

Parent and Child — Visitation — Rights of Nonparent — Civil Union Partner of Biological Parent Deemed Parent under Vermont Law

2. Petitioner, who had entered into a civil union in Vermont with respondent one month before respondent gave birth to a child conceived by artificial

insemination, was the parent of that child under Vermont law. Parties to a civil union in Vermont have all the same benefits, protections and responsibilities under law as are granted to spouses in a marriage, and as a child born by artificial insemination during a marriage is deemed the child of the husband even absent a biological connection, the same result pertains to the partner in a civil union with no biological connection to the child. The Vermont Supreme Court has held that a child born by artificial insemination to one partner of a civil union should be deemed the other partner's child under Vermont law for purposes of determining custodial rights following the civil union's dissolution. Although, unlike the case decided by the Vermont Supreme Court, the child here was conceived prior to the parties' civil union, there would be no reason for the Vermont Supreme Court, which had emphasized how important it was that the child was born during the civil union, to reach a different result about parentage based on that distinction. Entering into a civil union at a time when both partners know that one of them is pregnant by artificial insemination, as the parties did here, might present an even stronger case to support the nonbiological partner's parentage.

Parent and Child — Visitation — Rights of Nonparent — Civil Union Partner of Biological Parent Deemed Parent under Vermont Law — Comity

3. In a visitation and custody proceeding brought by petitioner, who was not the biological or adoptive parent of respondent's child, but who had entered into a civil union with respondent in Vermont before the child was born and was considered to be the child's parent under Vermont law, the principles of comity required the recognition of petitioner as the child's parent under New York law. New York will accord comity to recognize parentage created by an adoption in a foreign nation, and there is no reason to withhold equivalent recognition where someone is a parent under a sister state's law. In light of the availability of second-parent adoption to New Yorkers of the same sex, recognition of parentage based on a Vermont civil union does not conflict with New York's public policy. Nor would comity undermine the certainty afforded to biological and adoptive parents and their children by the bright-line rule set forth in *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]), which held that only a child's biological or adoptive parent has standing to seek visitation under Domestic Relations Law § 70 against the wishes of a fit custodial parent. Whether there has been a civil union in Vermont is as determinable as whether there has been a second-parent adoption.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Divorce and Separation §§ 847, 849, 891, 896;
AM JUR 2d, Marriage §§ 7, 9, 49, 75.
CARMODY-WAIT 2d, Child Custody and Visitation in Matrimonial Actions §§ 118A:2, 118A:104, 118A:120, 118A:127;
CARMODY-WAIT 2d, Habeas Corpus § 139:133.
1 LAW AND THE FAMILY NEW YORK (2d ed) § 4:4; 4 LAW AND THE FAMILY NEW YORK (2d ed) § 1:17; 5 LAW AND THE FAMILY NEW YORK (2d ed) § 3:17.
McKINNEY's, Domestic Relations Law § 70; Family Ct Act § 418 (a); § 532 (a).

NY JUR 2d, Domestic Relations §§ 4, 6, 325, 328, 329, 405.

ANNOTATION REFERENCE

Child custody and visitation rights arising from same-sex relationship. 80 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: visitation /5 child & civil /2 union & equitable /2
estoppel

POINTS OF COUNSEL

Lambda Legal Defense and Education Fund, Inc., New York City (*Susan L. Sommer* and *Jeremy R. Sanders* of counsel), and *Cohen Hennessey Bienstock & Rabin P.C.* (*Bonnie E. Rabin* and *Orrit Hershkowitz* of counsel), for Debra H., appellant. I. The courts should exercise their common-law, equitable powers to recognize the standing of a nonbiological, nonadoptive parent to preserve an ongoing parent-child relationship in the child's paramount best interests. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Perry-Rogers v Fasano*, 276 AD2d 67; *Matter of Jacob*, 86 NY2d 651; *Levin v Yeshiva Univ.*, 96 NY2d 484; *Lawrence v Texas*, 539 US 558; *Bowers v Hardwick*, 478 US 186; *Lewis v New York State Dept. of Civ. Serv.*, 60 AD3d 216, 12 NY3d 705; *Martinez v County of Monroe*, 50 AD3d 189; *Matter of Donna S.*, 23 Misc 3d 338; *Matter of E.S. v P.D.*, 8 NY3d 150.) II. Appellant is further entitled to assert parentage based on M.R.'s conception using an anonymous donor and resulting birth to partners in a civil union. (*Matter of Michael*, 166 Misc 2d 973; *Laura WW. v Peter WW.*, 51 AD3d 211; *Matter of Greene County Dept. of Social Servs. v Ward*, 8 NY3d 1007; *Matter of Bickford v Bickford*, 55 AD2d 719; *Matter of Karin T. v Michael T.*, 127 Misc 2d 14; *Anonymous v Anonymous*, 41 Misc 2d 886; *Matter of H.M. v E.T.*, 65 AD3d 119; *State of New York ex rel. H. v P.*, 90 AD2d 434; *Beth R. v Donna M.*, 19 Misc 3d 724; *Strnad v Strnad*, 190 Misc 786.) III. If *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) is construed to bar Debra H.'s standing to pursue her petition in the best interests of M.R., that decision should be overruled. (*Anonymous v Anonymous*, 20 AD3d 333; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Beth R. v Donna M.*, 19 Misc 3d 724; *Matter of Christopher S. v Ann Marie S.*, 173 Misc 2d 824; *People v Bing*, 76 NY2d 331; *People v Hobson*,

39 NY2d 479; *Silver v Great Am. Ins. Co.*, 29 NY2d 356.) IV. The facts alleged here warrant application of the extraordinary circumstances doctrine to grant Debra H.'s petition for custody, visitation and obligations of support. (*Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Tait v Tait*, 44 AD3d 1142; *Matter of Canabush v Wancewicz*, 193 AD2d 260; *Matter of Boyles v Boyles*, 95 AD2d 95; *Matter of Gilbert A. v Laura A.*, 261 AD2d 886; *Matter of Christopher S. v Ann Marie S.*, 173 Misc 2d 824; *Matter of Lynda A.H. v Diane T.O.*, 243 AD2d 24.) V. The New York and US Constitutions are violated if the rights of Debra H. and M.R. to maintain their parent-child relationship go unenforced. (*Planned Parenthood of Central Mo. v Danforth*, 428 US 52; *Smith v Organization of Foster Families For Equality & Reform*, 431 US 816; *Lehr v Robertson*, 463 US 248; *Michael H. v Gerald D.*, 491 US 110; *Prince v Massachusetts*, 321 US 158; *Troxel v Granville*, 530 US 57; *Matter of E.S. v P.D.*, 8 NY3d 150; *Gomez v Perez*, 409 US 535; *Weber v Aetna Casualty & Surety Co.*, 406 US 164; *Levy v Louisiana*, 391 US 68.)

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (Jennifer L. Colyer, Adam B. Gottlieb and Scott Thompson of counsel), and *Parisi & Associates* (Anthony Parisi III of counsel), for M.R., appellant. I. The facts here strongly support a hearing to determine whether Janice R. should be estopped from now denying Debra H.'s standing to seek custody and visitation. (*Finlay v Finlay*, 240 NY 429; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Sharon GG. v Duane HH.*, 63 NY2d 859; *Langan v St. Vincent's Hosp. of N.Y.*, 196 Misc 2d 440, 25 AD3d 90, 6 NY3d 890; *Matter of Baby Boy C.*, 84 NY2d 91; *Beth R. v Donna M.*, 19 Misc 3d 724; *Matter of Charles v Charles*, 296 AD2d 547; *Matter of Janis C. v Christine T.*, 294 AD2d 496.) II. In the alternative, the Court should overrule *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) and *Matter of Ronald FF. v Cindy GG.* (70 NY2d 141 [1987]). (*Anonymous v Anonymous*, 20 AD3d 333; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Gallagher v St. Raymond's R. C. Church*, 21 NY2d 554; *Caceci v Di Canio Constr. Corp.*, 72 NY2d 52; *Silver v Great Am. Ins. Co.*, 29 NY2d 356; *Gelbman v Gelbman*, 23 NY2d 434; *People v Hobson*, 39 NY2d 479; *People v Epton*, 19 NY2d 496; *Matter of Bennett v Jeffreys*, 40 NY2d 543.) III. The United States and New York constitutional guarantees of due process and equal protection mandate a hearing to determine whether visitation is in M.R.'s

best interests. (*Young v Young*, 212 AD2d 114; *Planned Parenthood of Central Mo. v Danforth*, 428 US 52; *Smith v Organization of Foster Families For Equality & Reform*, 431 US 816; *Cleveland Bd. of Ed. v LaFleur*, 414 US 632; *Lehr v Robertson*, 463 US 248; *Michael H. v Gerald D.*, 491 US 110; *Troxel v Granville*, 530 US 57; *Weber v Aetna Casualty & Surety Co.*, 406 US 164; *Matter of Burns v Miller Constr.*, 55 NY2d 501; *Gomez v Perez*, 409 US 535.)

Reiss Eisenpress LLP, New York City (*Sherri L. Eisenpress*, *Matthew Sheppe* and *Audrey E. Weinberger* of counsel), for respondent. I. The First Department's unanimous decision correctly held that Debra H. does not have standing. (*Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Anonymous v Anonymous*, 20 AD3d 333; *Perry-Rogers v Fasano*, 276 AD2d 67, 96 NY2d 712; *Matter of Burgess v Ash*, 41 AD3d 473; *Bank v White*, 40 AD3d 790, 9 NY3d 1002; *Matter of Behrens v Rimland*, 32 AD3d 929, 8 NY3d 807; *Gulbin v Moss-Gulbin*, 45 AD3d 1230; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of Lynda A.H. v Diane T.O.*, 243 AD2d 24, 92 NY2d 811.) II. Standing is a preliminary hurdle Debra H. cannot meet. (*Caprer v Nussbaum*, 36 AD3d 176; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Matter of Lynda A.H. v Diane T.O.*, 243 AD2d 24; *Godfrey v Spano*, 13 NY3d 358; *Hernandez v Robles*, 7 NY3d 338; *Gallagher v St. Raymond's R. C. Church*, 21 NY2d 554; *Caceci v Di Canio Constr. Corp.*, 72 NY2d 52; *Gelbman v Gelbman*, 23 NY2d 434; *Silver v Great Am. Ins. Co.*, 29 NY2d 356.) III. Equitable estoppel is not available to establish standing in custody and visitation proceedings. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Sharon GG. v Duane HH.*, 63 NY2d 859; *People v Carvajal*, 6 NY3d 305; *Nussenzweig v diCorcia*, 38 AD3d 339; *Lichtman v Grossbard*, 73 NY2d 792; *People v Hobson*, 39 NY2d 479; *People v Robles*, 27 NY2d 155.) IV. The standing requirements under Domestic Relations Law § 70 do not violate the Due Process Clause or Equal Protection Clause of either the United States or New York Constitution. (*Troxel v Granville*, 530 US 57; *Santosky v Kramer*, 455 US 745; *Stanley v Illinois*, 405 US 645; *Meyer v Nebraska*, 262 US 390; *Pierce v Society of Sisters*, 268 US 510; *M. L. B. v S. L. J.*, 519 US 102; *Prince v Massachusetts*, 321 US 158, 804; *Matter of Jacob*, 86 NY2d 651; *Lehr v Robertson*, 463 US 248; *Michael H. v Gerald D.*, 491 US

110.) V. There is no competent evidence in the record that M.R. would be any more harmed by the discontinuance of a relationship with Debra H. than he would be by the discontinuance of his relationship with his uncle or his nanny. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Troxel v Granville*, 530 US 57.) VI. Even if equitable estoppel does apply to custody and visitation proceedings, it should only apply prospectively, not retroactively. (*Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Anonymous v Anonymous*, 6 NY3d 740; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Chevron Oil Co. v Huson*, 404 US 97.) VII. Appellant gratuitously attacks Janice R. and misrepresents the record and Supreme Court holding. (*Langan v St. Vincent's Hosp. of N.Y.*, 196 Misc 2d 440; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Anonymous v Anonymous*, 6 NY3d 740.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Eve Preminger* and *Jason Moff* of counsel), for National Association of Social Workers and others, amici curiae. I. Attachment bonds between children and their gay and lesbian psychological parents should be protected and preserved in the children's best interests. (*Matter of Tropea v Tropea*, 87 NY2d 727; *Matter of Bennett v Jeffreys*, 40 NY2d 543.) II. Sibling bonds between children should be protected and preserved in the children's best interests, including bonds between older and younger siblings.

Suzanne B. Goldberg, New York City, for Richard Allan and others, amici curiae. I. Family law academics overwhelmingly endorse a functional approach to recognizing the legal family. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651.) II. Adoption of a functional approach to recognizing parent-child relationships in jurisdictions across the country, including New York, confirms the approach's viability and simplicity. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *People v Damiano*, 87 NY2d 477; *People v Hobson*, 39 NY2d 479; *People v Taylor*, 9 NY3d 129; *People v Bing*, 76 NY2d 331; *Burnet v Coronado Oil & Gas Co.*, 285 US 393; *Matter of Simonson v Cahn*, 27 NY2d 1; *Bing v Thunig*, 2 NY2d 656; *People v Bartolomeo*, 53 NY2d 225; *Babcock v Jackson*, 12 NY2d 473).

Debevoise & Plimpton LLP, New York City (*Maeve O'Connor* and *Patrice Sabach* of counsel), and *Skadden, Arps, Slate, Meagher & Flom LLP* (*Vaughn Williams*, *Sean Marlaire* and

Katrina James of counsel), for Citizens' Committee for Children and others, amici curiae. I. Granting standing to de facto parents is in the best interests of M.R. and children similarly situated. II. The Court should use its equitable power to protect the best interests of children such as M.R. (*Matter of Rich v Kaminsky*, 254 App Div 6; *Laura WW. v Peter WW.*, 51 AD3d 211; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of Baby Boy C.*, 84 NY2d 91; *Matter of Bruce W.L. v Carol A.P.*, 46 AD3d 1471; *Matter of Sarah S. v James T.*, 299 AD2d 785; *Matter of Karin T. v Michael T.*, 127 Misc 2d 14; *Matter of Glenn T. v Donna U.*, 226 AD2d 803; *Matter of Ettore I. v Angela D.*, 127 AD2d 6; *Matter of Kristen D. v Stephen D.*, 280 AD2d 717.) III. This Court is capable of fashioning a test that appropriately protects and balances the rights of the biological or adoptive parent, the de facto parent, and the child. (*Matter of E.S. v P.D.*, 8 NY3d 150; *Weiss v Weiss*, 52 NY2d 170.) IV. The availability of second parent adoption does not adequately protect children such as M.R. (*Jean Maby H. v Joseph H.*, 246 AD2d 282.) V. This Court should not wait for the New York Legislature to protect M.R. and children similarly situated. (*Anonymous v Anonymous*, 20 AD3d 333; *Matter of Multari v Sorrell*, 287 AD2d 764; *United States v Mauro*, 436 US 340; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444; *Davis v United States*, 569 F Supp 2d 91.)

Michael Getnick, Albany, and *Paul, Weiss, Rifkind, Wharton & Garrison LLP*, New York City (*Roberta A. Kaplan, Michael N. Berger* and *Julie E. Fink* of counsel), for New York State Bar Association, amicus curiae. I. The Court is not constrained to follow past precedent that is manifestly unjust and unsound. (*Silver v Great Am. Ins. Co.*, 29 NY2d 356; *Woods v Lancet*, 303 NY 349; *Bing v Thunig*, 2 NY2d 656; *People v Hobson*, 39 NY2d 479; *People v Bing*, 76 NY2d 331; *People v Epton*, 19 NY2d 496; *Gallagher v St. Raymond's R. C. Church*, 21 NY2d 554; *Caceci v Di Canio Constr. Corp.*, 72 NY2d 52; *Buckley v City of New York*, 56 NY2d 300; *Gelbman v Gelbman*, 23 NY2d 434.) II. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) is inconsistent with New York cases recognizing out-of-state same-sex marriage. (*Laura WW. v Peter WW.*, 51 AD3d 211; *Matter of Gordon*, 131 Misc 2d 823; *State of New York ex rel. H. v P.*, 90 AD2d 434; *Matter of Sebastian*, 25 Misc 3d 567; *Matter of May*, 305 NY 486; *Matter of Jacob*, 86 NY2d 651.) III. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) is outmoded and should be overturned. (*Matter of Jacob*, 86 NY2d 651; *Matter of Tripp v*

Hinckley, 290 AD2d 767; *Matter of Leora F. v Sofia D.*, 167 Misc 2d 840; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Anonymous v Anonymous*, 20 AD3d 333; *Matter of Multari v Sorrell*, 287 AD2d 764; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Broadnax v Gonzalez*, 2 NY3d 148; *Millington v Southeastern El. Co.*, 22 NY2d 498; *Matter of Sebastian*, 25 Misc 3d 567.) IV. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) is inconsistent with this Court's more recent decision in *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]). (*Matter of Jose F.R. v Reina C.A.*, 46 AD3d 564; *Matter of Louise P. v Thomas R.*, 223 AD2d 592; *Anonymous v Anonymous*, 20 AD3d 333; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of Cindy P. v Danny P.*, 206 AD2d 615; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Christopher S. v Ann Marie S.*, 173 Misc 2d 824; *Matter of Gilbert A. v Laura A.*, 261 AD2d 886; *Beth R. v Donna M.*, 19 Misc 3d 724; *Bing v Thunig*, 2 NY2d 656.)

Hogan & Hartson LLP, New York City (Allen A. Drexel, Hoa T.T. Hoang, Katie M. Lachter, Dennis M. Quinio, Brian G. Strand and Samuel E. Wolfe of counsel), Cynthia L. Schrock Seeley, Ann B. Lesk, Allan E. Mayefsky, Dakota D. Ramseur, Roberto Ramirez and Jonathan B. Behrins, Staten Island, for New York City Bar Association and others, amici curiae. I. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) has been superseded by *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]) and should now be reconsidered in the interests of consistency and basic fairness. (*Matter of Jacob*, 86 NY2d 651; *Matter of H.M. v E.T.*, 65 AD3d 119; *People v Liberta*, 64 NY2d 152; *Mississippi Univ. for Women v Hogan*, 458 US 718; *Craig v Boren*, 429 US 190; *United States v Virginia*, 518 US 515; *Brown v State of New York*, 89 NY2d 172; *Hernandez v Robles*, 7 NY3d 338; *Town of Orangetown v Magee*, 88 NY2d 41; *Jean Maby H. v Joseph H.*, 246 AD2d 282.) II. Consistent with New York's child-centered public policy and the historical applications of equitable estoppel doctrine, standing should be conferred evenhandedly to de facto parents in custody and visitation proceedings. (*Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Anonymous v Anonymous*, 20 AD3d 333; *Guinan v Guinan*, 102 AD2d 963; *Syracuse Orthopedic Specialists, P.C. v Hootnick*, 42 AD3d 890; *Matter of Huntington TV Cable Corp. v State of N.Y. Commn. on Cable Tel.*, 94 AD2d 816, 61 NY2d 926; *Empire Fin. Servs., Inc. v Bellantoni*, 53 AD3d 1095; *Matter of Reynolds v Oster*, 192 AD2d 794.) III. *Matter of Alison D. v Virginia M.* (77

NY2d 651 [1991]) is outmoded, and strict application of the decision ignores the needs and rights of many New York families. (*Martinez v County of Monroe*, 50 AD3d 189; *Beth R. v Donna M.*, 19 Misc 3d 724; *Matter of C.M. v C.H.*, 6 Misc 3d 361; *Anonymous v Anonymous*, 20 AD3d 333; *Matter of Multari v Sorrell*, 287 AD2d 764; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of Jacob*, 86 NY2d 651; *Matter of Behrens v Rimland*, 32 AD3d 929; *Matter of Janis C. v Christine T.*, 294 AD2d 496; *Matter of Speed v Robins*, 288 AD2d 479.)

New York Civil Liberties Union Foundation, New York City (*Matthew Faiella*, *Galen Sherwin* and *Arthur Eisenberg* of counsel), and *American Civil Liberties Union Foundation* (*Rose Saxe* of counsel), for New York Civil Liberties Union and others, amici curiae. I. The constitutional protection of parent-child relationships is not limited to biological or formally recognized legal parents. (*Prince v Massachusetts*, 321 US 158; *Moore v East Cleveland*, 431 US 494; *Smith v Organization of Foster Families For Equality & Reform*, 431 US 816; *Lehr v Robertson*, 463 US 248; *Quilloin v Walcott*, 434 US 246; *Stanley v Illinois*, 405 US 645; *Cleveland Bd. of Ed. v LaFleur*, 414 US 632; *Vlandis v Kline*, 412 US 441; *Matter of E.S. v P.D.*, 8 NY3d 150; *Troxel v Granville*, 530 US 57.) II. Applying equitable principles to grant standing to de facto parents and protect the best interests of the child is consistent with the broad equitable powers of New York courts, decisions by other state high courts and the US Constitution. (*Matter of Steinway*, 159 NY 250; *Kaminsky v Kahn*, 23 AD2d 231; *People ex rel. Riesner v New York Nursery & Child's Hosp.*, 230 NY 119; *Matter of Burde*, 7 AD2d 344; *Finlay v Finlay*, 240 NY 429; *Matter of Sandfort v Sandfort*, 278 App Div 331; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Diana E. v Angel M.*, 20 AD3d 370; *Matter of Alison D. v Virginia M.*, 77 NY2d 651.)

Wilson Sonsini Goodrich & Rosati, New York City (*Marina Tsatalis*, *Elizabeth Tippet* and *Joy Chia* of counsel), for National Center for Lesbian Rights and others, amici curiae. I. Numerous states have recognized that a non-legal parent may seek custody or visitation where there is a parent-child relationship that was fostered by the legal parent. II. The presumption of parentage for children born through donor insemination must apply to unmarried couples as well as married couples. (*Laura WW. v Peter WW.*, 51 AD3d 211; *State of New York ex rel. H. v P.*, 90 AD2d 434; *K.B. v J.R.*, 26 Misc 3d 465; *Matter of Sebastian*,

25 Misc 3d 567; *Matter of Karin T. v Michael T.*, 127 Misc 2d 14; *Matter of Jacob*, 86 NY2d 651; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of Donna S.*, 23 Misc 3d 338; *Beth R. v Donna M.*, 19 Misc 3d 724; *Martinez v County of Monroe*, 50 AD3d 189.)

Alliance Defense Fund, Scottsdale, Arizona (Brian W. Raum of counsel), and *Ruta & Soulios, LLP*, New York City (Joseph A. Ruta of counsel), for New Yorkers for Constitutional Freedoms, Ltd., amicus curiae. I. The U.S. Supreme Court developed the recognition of fundamental parental rights. (*Meyer v Nebraska*, 262 US 390; *People v Hollman*, 68 NY2d 202; *Bartels v Iowa*, 262 US 404; *Matter of Efrain C.*, 63 Misc 2d 1019; *Farrington v Tokushige*, 273 US 284; *Matter of Daniel A.D.*, 106 Misc 2d 370; *Prince v Massachusetts*, 321 US 158; *People ex rel. Sibley v Shepard*, 54 NY2d 320; *Wisconsin v Yoder*, 406 US 205; *Quilloin v Walcott*, 434 US 246.) II. Judicially implementing de facto parenting or parenthood by estoppel would infringe upon the well-established fundamental rights of fit natural parents. (*Troxel v Granville*, 530 US 57; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Stanley v Illinois*, 405 US 645; *Hodgson v Minnesota*, 497 US 417; *Santosky v Kramer*, 455 US 745; *Lehr v Robertson*, 463 US 248; *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141.) III. Because this Court's case law concerning de facto parenting or parenthood by estoppel is consistent with controlling U.S. Supreme Court precedent, this Court should not overturn that case law. (*Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Stanley v Illinois*, 405 US 645; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Troxel v Granville*, 530 US 57; *Matter of Midland Ins. Co.*, 20 Misc 3d 488; *Matter of Higby v Mahoney*, 48 NY2d 15.)

Alan J. Pierce, Syracuse, for Single Mothers by Choice and others, amici curiae. I. *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) should not be overruled; therefore, the Court correctly held that under Domestic Relations Law § 70, an individual who is not the biological or adoptive parent of the child of another individual with whom he or she has a relationship lacks standing to seek visitation and/or custody of the child. (*Anonymous v Anonymous*, 20 AD3d 333, 6 NY3d 740; *Perry-Rogers v Fasano*, 276 AD2d 67, 96 NY2d 712; *Bank v White*, 40 AD3d 790, 9 NY3d 1002; *Matter of Behrens v Rimland*, 32 AD3d 929, 8 NY3d 807; *Matter of Multari v Sorrell*, 287 AD2d 764;

Matter of Lynda A.H. v Diane T.O., 243 AD2d 24, 92 NY2d 811; *Matter of Jacob*, 86 NY2d 651; *Matter of Carolyn B.*, 6 AD3d 67; *Troxel v Granville*, 530 US 57; *Matter of Cindy P v Danny P*, 206 AD2d 615.) II. Equitable estoppel is not available to establish standing to seek custody or visitation under Domestic Relations Law § 70. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Matter of Multari v Sorrell*, 287 AD2d 764; *Anonymous v Anonymous*, 20 AD3d 333; *Matter of Shondel J. v Mark D.*, 7 NY3d 320; *Jean Maby H. v Joseph H.*, 246 AD2d 282; *Matter of Jennifer Diane D. v Arnold D.*, 187 AD2d 425, 81 NY2d 705; *Hernandez v Robles*, 7 NY3d 338; *Godfrey v Spano*, 13 NY3d 358.)

Law Offices of Robert W. Dapelo, P.C., Patchogue (*Robert W. Dapelo* of counsel), and *Marriage Law Foundation*, Lehi, Utah (*William C. Duncan* of counsel), for Family Watch International, amicus curiae. I. This Court should continue to defer to the Legislature on the fundamental question of standing to seek child custody. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Debra H. v Janice R.*, 61 AD3d 460.) II. The Legislature's failure to grant standing to seek visitation and custody to unrelated adults protects the interests of children and parents. (*Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Hernandez v Robles*, 7 NY3d 338; *Matter of Jacob*, 86 NY2d 651; *Meyer v Nebraska*, 262 US 390; *Pierce v Society of Sisters*, 268 US 510; *Troxel v Granville*, 530 US 57.)

OPINION OF THE COURT

READ, J.

Respondent Janice R. is the biological mother of M.R., a six-year-old boy conceived through artificial insemination and born in December 2003. Janice R. and petitioner Debra H. met in 2002 and entered into a civil union in the State of Vermont in November 2003, the month before M.R.'s birth. Janice R. repeatedly rebuffed Debra H.'s requests to become M.R.'s second parent by means of adoption.

After the relationship between Janice R. and Debra H. soured and they separated in the spring of 2006, Janice R. allowed Debra H. to have supervised visits with M.R. each week on Sunday, Wednesday and Friday for specified periods of time, as well as daily contact by telephone. In the spring of 2008, however, Janice R. began scaling back the visits. By early May 2008, she had cut off all communication between Debra H. and M.R.

In mid-May 2008, Debra H. brought this proceeding against Janice R. in Supreme Court by order to show cause. She sought

joint legal and physical custody of M.R., restoration of access and decisionmaking authority with respect to his upbringing, and appointment of an attorney for the child.¹ After a hearing on May 21, 2008, the judge signed the order to show cause, which set a briefing schedule, and the parties, at his instance, entered into a “so-ordered” stipulation that reinstated the three-day-a-week visitation schedule previously followed. The stipulation required M.R.’s nanny or a mutually agreed-upon third party to accompany M.R. when he visited Debra H.

As Supreme Court later put it, “few facts . . . [were] undisputed” at the hearings and in the parties’ submissions, which “differ[ed] substantially with respect to the nature and extent of [Debra H.’s] relationship with [Janice R.] and, more significantly, with M.R.” (NYLJ, Oct. 9, 2008, at 26, col 1, 2008 NY Misc LEXIS 6367, *1, 5 [Sup Ct, NY County 2008]). At the hearing on July 10, 2008, Debra H. acknowledged our decision in *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]), which held that only a child’s biological or adoptive parent has standing to seek visitation against the wishes of a fit custodial parent, but contended that *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]) endorsed a nonbiological or nonadoptive parent’s right to invoke equitable estoppel to secure visitation or custody notwithstanding *Alison D.* In support of this interpretation of our precedents, Debra H. emphasized that *Shondel J.* cited *Jean Maby H. v Joseph H.* (246 AD2d 282 [2d Dept 1998]), a divorce proceeding in which the husband successfully invoked equitable estoppel to seek custody and visitation with a child born to the wife prior to the marriage, whom he neither fathered nor adopted. Debra H. also urged Supreme Court to consider the effect of the parties’ civil union, and alluded to the Vermont Supreme Court’s decision in *Miller-Jenkins v Miller-Jenkins* (180 Vt 441, 912 A2d 951 [2006], *cert denied* 550 US 918 [2007]).

In opposition to Debra H.’s application, Janice R. stressed that she had always spurned Debra H.’s entreaties to permit a second-parent adoption. She argued that *Alison D.*, which interpreted Domestic Relations Law § 70, was not eroded or overruled by *Shondel J.*, a case involving a filiation determination; pointed out that the Legislature did not amend section 70 after *Alison D.* was handed down, or elsewhere enact any

1. After Janice R. and Debra H. broke up, Janice R. conceived another child through artificial insemination. Debra H. does not claim to have developed any relationship with this child, who was born after she brought this action.

provision broadening standing to seek visitation or custody; and observed that Janice R. conceived M.R. prior to entering into the civil union with Debra H. in Vermont. At the hearing's conclusion, Supreme Court reserved decision and continued visitation in a further "so-ordered" stipulation.

In a decision and order filed on October 9, 2008, Supreme Court ruled in Debra H.'s favor. The judge reasoned that "it [was] inconsistent to estop a nonbiological father from disclaiming paternity in order to avoid support obligations, but preclude a nonbiological parent from invoking [equitable estoppel] against the biological parent in order to maintain an established relationship with the child" since, in either event, "the court's primary concern should be furthering the best interests of the child" (2008 NY Misc LEXIS 6367, *25).

Supreme Court concluded that the facts alleged by Debra H., if true, "establish[ed] a prima facie basis for invoking the doctrine of equitable estoppel" (*id.* at *25-26). In this regard, the judge considered the parties' civil union to be "a significant, though not necessarily a determinative, factor in [Debra H.'s] estoppel argument" because, under Vermont law, "parties to a civil union are given the same benefits, protections and responsibilities . . . as are granted to those in a marriage," which "includes the assumption that the birth of a child during a couple's legal union is 'extremely persuasive evidence of joint parentage' " (*id.* at *26, quoting *Miller-Jenkins*, 180 Vt at 466, 912 A2d at 971).

Because of the many contested facts, however, Supreme Court ordered another hearing to resolve whether Debra H. stood in loco parentis to M.R., as she asserted, and therefore possessed standing to seek visitation and custody. The judge noted that, in the event Debra H. succeeded in proving the facts that she alleged, a further hearing would then be required to assess whether it was in M.R.'s best interest to award Debra H. visitation and/or custodial rights. Supreme Court continued the existing "so-ordered" stipulation permitting supervised visitation, and also granted Debra H.'s request for appointment of an attorney to represent the child.

Janice R. appealed, and obtained a stay of the equitable-estoppel hearing ordered by Supreme Court, pending disposition of the appeal. On April 9, 2009, the Appellate Division unanimously reversed on the law, vacated Supreme Court's order, denied the petition, and dismissed the proceeding. The court

acknowledged that while the “record indicate[d] that [Debra H.] served as a loving and caring parental figure during the first 2½ years of [M.R.’s] life, she never legally adopted [him]” and, in accordance with *Alison D.*, “a party who is neither the biological nor the adoptive parent of a child lacks standing to seek custody or visitation rights under Domestic Relations Law § 70” (61 AD3d 460, 461 [1st Dept 2009]). The Appellate Division commented that, to the extent that denial of any right to equitable estoppel in this case might be considered inconsistent with *Shondel J.* and *Jean Maby H.*, its own “reading of precedent [was] such that the doctrine of equitable estoppel may not be invoked where a party lacks standing to assert at least a right to visitation” (*id.*).

Both Debra H. and the attorney for the child asked the Appellate Division for a stay of enforcement so as to allow visitation to continue until further appellate proceedings were completed, and for leave to appeal to us. Pending resolution of those motions, a Justice of the Appellate Division granted Debra H.’s emergency application for an interim stay and allowed Sunday visitation. After the Appellate Division denied the motions on June 25, 2009 (2009 NY Slip Op 76701[U]), Debra H. and the attorney for the child separately asked us for leave to appeal and sought another stay.

[1] On July 13, 2009, a Judge of this Court signed a “so-ordered” stipulation continuing one-day-a-week visitation. And on September 1, 2009, we granted Debra H. and the attorney for the child permission to appeal (13 NY3d 702 [2009]). We also approved their request for a further stay to the extent of reinstating and permitting enforcement of so much of Supreme Court’s order as allowed Debra H. to have Sunday visitation with M.R. (13 NY3d 753 [2009]). We now reaffirm our holding in *Alison D.*, but reverse the Appellate Division’s order in this case for reasons of comity in light of Debra H.’s status as M.R.’s parent under Vermont law.

I.

Domestic Relations Law § 70 (a) provides that

“[w]here a minor child is residing within this state, *either parent* may apply to the supreme court for a writ of habeas corpus to have such minor child brought before such court; and on the return thereof, the court, on due consideration, may award

the natural guardianship, charge and custody of such child to either parent for such time, under such regulations and restrictions, and with such provisions and directions, as the case may require, and may at any time thereafter vacate or modify such order. In all cases there shall be no prima facie right to the custody of the child in either parent, but the court shall determine solely what is for the best interest of the child, and what will promote its welfare and happiness, and make award accordingly” (emphasis added).

In *Alison D.*, we decided that section 70 does not confer standing on a biological stranger to seek visitation with a child in the custody of a fit parent. Debra H. urges us to exercise what she characterizes as long-standing common-law and equitable powers to recognize the parentage of a nonbiological, nonadoptive individual on a theory of equitable estoppel and in the child’s best interest. As a consequence, she asks us to revisit and either distinguish or overrule *Alison D.*, a case that closely resembles this one factually.

Alison D., the former romantic partner of Virginia M., petitioned for visitation with Virginia M.’s child under Domestic Relations Law § 70. According to Alison D., she and Virginia M. established a relationship, began living together, and decided to have a child whom Virginia M. would conceive through artificial insemination. They agreed to share all parenting responsibilities, and continued to do so for the first two years of the child’s life. When the child was about 2½ years old, however, the parties ended their relationship and Alison D. moved out of the family home. The parties adhered to a visitation schedule for a time, but Virginia M. at first restricted and eventually stopped Alison D.’s contact with the child.

When the case reached us, we rejected Alison D.’s argument that she “acted as a ‘*de facto*’ parent or that she should be viewed as a parent ‘*by estoppel*’ ” (*Alison D.*, 77 NY2d at 656 [emphasis added]). As we explained,

“[t]raditionally, in this State it is the child’s mother and father who, assuming fitness, have the right to the care and custody of their child, even in situations where the nonparent has exercised some control over the child with the parents’ consent . . . To allow the courts to award visitation—a limited form of custody—to a third

person would necessarily impair the parents' right to custody and control" (*id.* at 656-657).

Because Alison D. "concede[d] that [Virginia M. was] a fit parent," she had "no right to petition the court to displace the choice made by the fit parent in deciding what is in the child's best interests" (*id.* at 657).

Citing Domestic Relations Law §§ 71 and 72 (permitting siblings and grandparents respectively to petition for visitation), we emphasized that "[w]here the Legislature deemed it appropriate, it gave other categories of persons standing to seek visitation and it gave the courts the power to determine whether an award of visitation would be in the child's best interests" (*id.*). Thus, we refused to "read the term parent in section 70 to include categories of nonparents who have developed a relationship with a child or who have had prior relationships with a child's parents and who wish to continue visitation with the child" (*id.*).

In support of our decision in *Alison D.*, we cited *Matter of Bennett v Jeffreys* (40 NY2d 543 [1976]) and *Matter of Ronald FF. v Cindy GG.* (70 NY2d 141 [1987]), cases which set forth bedrock principles of family law. In *Bennett*, we held that the State "may not deprive a parent of the custody of a child absent surrender, abandonment, persisting neglect, unfitness or other like extraordinary circumstances" (40 NY2d at 544). Where extraordinary circumstances are present, the court determines custody based on the child's best interest. Concomitantly, in *Ronald FF.*, we held that "[v]isitation rights may not be granted on the authority of the . . . *Bennett* . . . extraordinary circumstances rule, to a biological stranger where the child, born out of wedlock, is properly in the custody of his mother" (70 NY2d at 142); and further noted that the mother possessed a fundamental right "to choose those with whom her child associates," which the State may not "interfere with . . . unless it shows some compelling State purpose which furthers the child's best interests" (*id.* at 144-145).

In *Matter of Jacob* (86 NY2d 651 [1995]), decided four years after *Alison D.*, we construed section 110 of the Domestic Relations Law, New York's adoption statute, to permit "the unmarried partner of a child's biological mother, *whether heterosexual or homosexual*, who is raising the child together with the biological parent, [to] become the child's second parent by means of adoption" (*id.* at 656 [emphasis added]). We stressed that permitting such second-parent adoptions "allows . . . children

to achieve a measure of permanency with both parent figures and avoids the sort of disruptive visitation battle we faced in [*Alison D.*]” (*id.* at 659).²

Although Debra H. argues otherwise, we did not implicitly depart from *Alison D.* in *Shondel J.*, where there were affirmed findings of fact that Mark D. had held himself out as the child’s biological father, and had treated her as his daughter for the first 4½ years of her life. When Shondel J. sought orders of filiation and support, Mark D. requested DNA testing. The Family Court hearing examiner ordered genetic marker tests, which revealed that Mark D. was not, in fact, the child’s biological father. As we pointed out, *Shondel J.* was an unusual case because “the process was inverted”: “The procedure contemplated by [sections 418 (a) and 532 (a) of the Family Court Act] is that Family Court should consider paternity by estoppel *before* it decides whether to test for biological paternity” (7 NY3d at 330 [emphasis added]; see Family Ct Act § 418 [a] [governing paternity where there is a marriage] and § 532 [a] [governing paternity where there is no marriage], which both specify that “[n]o [genetic marker or DNA] tests shall be ordered . . . upon a written finding by the court that it is not in the best interests of the child on the basis of res judicata, equitable estoppel, or the presumption of legitimacy of a child born to a married woman”).

We held in *Shondel J.* that “a man who has mistakenly represented himself as a child’s father may be estopped from denying paternity, and made to pay child support, when the child justifiably relied on the man’s representation of paternity, to the child’s detriment” (7 NY3d at 324). We premised our decision on “our precedents, the affirmed findings of fact and the legislative recognition of paternity by estoppel” (*id.* at 326). On the latter point, we highlighted that although paternity by estoppel for purposes of child support “originated in case law,” it was “now secured by statute in New York”; namely, sections 418 (a) and 532 (a) of the Family Court Act (*id.* at 327).

We did not mention *Alison D.* in *Shondel J.* Nor did we intend to signal disaffection with *Alison D.* by citing *Jean Maby H.*, one of a handful of lower court decisions applying equitable estoppel to custody and visitation proceedings despite *Alison D.*, where

2. While Judge Ciparick criticizes *Alison D.* for taking an “unwarranted hard line stance, fixing biology above all else as the key to determining parentage” (see Ciparick, J., concurring op at 607), our subsequent decision in *Jacob* softened any such “hard line” by permitting second-parent adoption.

we considered and explicitly rejected this approach (see *Alison D.*, 77 NY2d at 656). Specifically, after noting that “New York courts have long applied the doctrine of estoppel in *paternity and support proceedings* [because of] the best interests of the child” (*Shondel J.*, 7 NY3d at 326), we cited *Jean Maby H.* The pinpoint citation was made to a page where the Appellate Division similarly observed that courts have recognized equitable estoppel “as a defense in various proceedings involving *challenges to paternity*, including cases where there is evidence that the person seeking to avoid estoppel is not a biological parent” (see *Jean Maby H.*, 246 AD2d at 285 [citations omitted and emphasis added]), and that “[t]he paramount concern in applying equitable estoppel in *these cases* has been, and continues to be, the best interests of the child” (*id.* [emphasis added]).

Our holding in *Shondel J.* was limited to the context in which that case arose—the procedure for determining the paternity of an “alleged father.” Moreover, we see no inconsistency in applying equitable estoppel to determine filiation for purposes of support, but not to create standing when visitation and custody are sought. As already noted, the Legislature has drawn the distinction for us: sections 418 (a) and 532 (a) of the Family Court Act direct the courts to take equitable estoppel into account before ordering paternity testing, while section 70 of the Domestic Relations Law does not even mention equitable estoppel. The procedure dictated by sections 418 (a) and 532 (a) is intended to prevent someone who has held himself out as a child’s biological father from later evading the financial obligations of paternity by means of a scientific litmus test, thereby endangering the child’s economic security or even rendering the child a ward of the State. This may on occasion result in deeming a biological relationship to exist where the putative father is, in fact, a biological stranger to the child, as turned out to be the case in *Shondel J.* (see *Shondel J.*, 7 NY3d at 331 [Cautioning that “a man who harbors doubts about his biological paternity has a choice to make. He may either put the doubts aside and initiate a parental relationship with the child, or insist on a scientific test of paternity *before* initiating a parental relationship”]). Debra H. would have us upend this rationale by allowing someone who is a *known* biological stranger to a child assert a parental relationship over the objections of the child’s biological parent. *Shondel J.* is consistent with *Alison D.*’s core holding that parentage under New York law derives from biology or adoption.

In sum, *Alison D.*, in conjunction with second-parent adoption, creates a bright-line rule that promotes certainty in the wake of domestic breakups otherwise fraught with the risk of

“disruptive . . . battle[s]” (*Jacob*, 86 NY2d at 659) over parentage as a prelude to further potential combat over custody and visitation. While Debra H. and various amici in this case complain that *Alison D.* is formulaic, or too rigid, or out of step with the times, we remain convinced that the predictability of parental identity fostered by *Alison D.* benefits children and the adults in their lives. All four departments of the Appellate Division have consistently followed *Alison D.* (see e.g. *Anonymous v Anonymous*, 20 AD3d 333 [1st Dept 2005], *appeal dismissed* 6 NY3d 740 [2005]; *Bank v White*, 40 AD3d 790 [2d Dept 2007], *lv dismissed* 9 NY3d 1002 [2007]; *Gulbin v Moss-Gulbin*, 45 AD3d 1230 [3d Dept 2007], *lv denied* 10 NY3d 705 [2008]; *Matter of Lynda A.H. v Diane T.O.*, 243 AD2d 24 [4th Dept 1998], *lv denied* 92 NY2d 811 [1998]).

Despite this evidence to the contrary, Debra H. also protests that *Alison D.* has spawned doubt and confusion in the law in the 19 years since it was handed down. To cure this ostensible ill, though, Debra H. asks us to replace the bright-line rule in *Alison D.* with a complicated and nonobjective test for determining so-called functional or de facto parentage³ at an equitable-estoppel hearing to be conducted by the trial court after

3. At oral argument, Debra H. advocated for the standard established by the Wisconsin Supreme Court in *In re Custody of H.S.H.-K.* (193 Wis 2d 649, 533 NW2d 419 [1995]). After first concluding that Wisconsin’s visitation statute was not the exclusive means of obtaining court-ordered visitation and therefore did not preclude an exercise of its equitable powers, the Wisconsin Supreme Court, “mindful of preserving a biological or adoptive parent’s constitutionally protected interests and the best interest of a child,” decided that a trial court may “determine whether visitation is in a child’s best interest if the petitioner *first proves* that he or she has a *parent-like relationship* with the child and that a *significant triggering event* justifies state intervention in the child’s relationship with a biological or adoptive parent” (193 Wis 2d at 658, 533 NW2d at 421 [emphases added]). The court further determined that “[t]o meet these two requirements, the petitioner must prove the component elements of each one” (193 Wis 2d at 658, 533 NW2d at 421).

Specifically,

“[t]o demonstrate the existence of the petitioner’s parent-like relationship with the child, the petitioner must prove four elements: (1) that the biological or adoptive parent consented to, and fostered, the petitioner’s formation and establishment of a parent-like relationship with the child; (2) that the petitioner and the child lived together in the same household; (3) that the petitioner assumed obligations of parenthood by taking significant responsibility for the child’s care, education and development, including contributing towards the child’s support, without expectation of financial compensation; and (4) that the petitioner

(n. cont’d)

discovery and fact-intensive inquiry in the individual case. These equitable-estoppel hearings—which would be followed by a second, best-interest hearing in the event functional or de facto parentage is demonstrated to the trial court’s satisfaction—are likely often to be contentious, costly, and lengthy. Here, for instance, the two sides collectively submitted affidavits to Supreme Court from at least 60 individuals, any or all of whom might be expected to testify at the equitable-estoppel hearing.

More to the point, the flexible type of rule championed by Debra H. threatens to trap single biological and adoptive parents and their children in a limbo of doubt. These parents could not possibly know for sure when another adult’s level of involvement in family life might reach the tipping point and jeopardize their right to bring up their children without the unwanted participation of a third party.⁴ Significantly, “the interest of parents in the care, custody, and control of their children[] is perhaps the oldest of the fundamental liberty interests recognized by” the United States Supreme Court (*Troxel v Granville*, 530 US 57, 65 [2000]). Courts must be sensible of “the traditional presumption that a fit parent will act in the best interest of his or her child” and protect the parent’s “fundamental constitutional right to make decisions concerning the rearing of” that child (*id.* at 69-70). In our view, this fundamental right entitles biological and adoptive parents to refuse to allow a second-parent adoption, as Janice R. did, even if they have

has been in a parental role for a length of time sufficient to have established with the child a bonded, dependent relationship parental in nature” (193 Wis 2d at 658-659, 533 NW2d at 421).

The contribution to a child’s support (the third element) need not be monetary. Finally,

“[t]o establish a significant triggering event justifying state intervention in the child’s relationship with a biological or adoptive parent, the petitioner must prove that this parent has interfered substantially with the petitioner’s parent-like relationship with the child, and that petitioner sought court ordered visitation within a reasonable time after the parent’s interference” (193 Wis 2d at 659, 533 NW2d at 421).

4. Judge Ciparick counters that the biological or adoptive parent may simply withhold “consent[] to the formation of [a] parental relationship between the [third party] and the child” (*see* Ciparick, J., concurring op at 609). This is no answer since the parent cannot predict the inherently unpredictable—i.e., how a judge might someday rule on the question of whether or when there had been sufficient “consent” such that, as a consequence, a “parental relationship” had been “formed.” And erecting a Chinese wall to isolate the child from those adults who play a significant role in the parent’s life is probably not practical, and is certainly not desirable for either the child or the parent.

permitted or encouraged another adult to become a virtual parent of the child, as Debra H. insists was the case here.

Next, we agree with Janice R. that any change in the meaning of “parent” under our law should come by way of legislative enactment rather than judicial revamping of precedent. Many states have adopted statutes expanding standing so that individuals who are not legal parents or blood relatives of a child may seek visitation and/or custody. Indiana, for example, authorizes a court to award custody to a “de facto custodian,” defined as

“a person who has been the primary caregiver for, and financial support of, a child who has resided with the person for at least:

“(1) six (6) months if the child is less than three (3) years of age; or

“(2) one (1) year if the child is at least three (3) years of age” (*see* Ind Code Ann §§ 31-17-2-8.5, 31-9-2-35.5).

Several other states, including Colorado, Texas and Minnesota, likewise incorporate a temporal element in their third-party standing statutes, which contributes to predictability (*see e.g.* Colo Rev Stat Ann § 14-10-123 [1] [c] [person “other than a parent” may file a petition seeking allocation of parental responsibilities for the child if the person “has had the physical care of a child for a period of six months or more, if such action is commenced within six months of the termination of such physical care”]; Tex Fam Code Ann § 102.003 [a] [9] [“An original suit may be filed at any time by . . . a person, other than a foster parent, who has had actual care, control, and possession of the child for at least six months ending not more than 90 days preceding the date of the filing of the petition”]; Minn Stat Ann § 257C.08 [4] [“If an unmarried minor has resided in a household with a person, other than a foster parent, for two years or more and no longer resides with the person, the person may petition the district court for an order granting the person reasonable visitation rights to the child during the child’s minority”]; *see also* DC Code Ann § 16-831.01 [1]; Or Rev Stat Ann § 109.119 [1]; Wyo Stat Ann § 20-7-102 [a]).

Before granting custody to a nonparent over the parent’s objection, a court in California must “make a finding that granting custody to a parent would be detrimental to the child and that granting custody to the nonparent is required to serve the

best interest of the child” (Cal Fam Code § 3041 [a]). “Detriment to the child” is defined to include “the harm of removal from a stable placement . . . with a person who has assumed, on a day-to-day basis, the role of [the child’s] parent, fulfilling both the child’s physical needs and . . . psychological needs for care and affection, and who has assumed that role for a substantial period of time” (*id.* § 3041 [c]). Notably, “[a] finding of detriment does not require any finding of unfitness of the parents” (*id.*). When making custody determinations in Virginia, the court must “give primary consideration to the best interests of the child . . . [and] assure minor children of frequent and continuing contact with both parents, when appropriate” (Va Code Ann § 20-124.2 [B]). In addition, while “[t]he court shall give due regard to the primacy of the parent-child relationship,” it “may upon a showing by clear and convincing evidence that the best interest of the child would be served thereby award custody or visitation to any other person with a legitimate interest” (*id.*).

As this brief discussion of how some other states have tackled the standing issue shows, different policies and approaches have been implemented legislatively throughout the nation. Debra H. would have us preempt our Legislature by sidestepping section 70 of the Domestic Relations Law as presently drafted and interpreted in *Alison D.* to create an additional category of parent—a functional or de facto parent—through the exercise of our common-law and equitable powers. But the Legislature is the branch of government tasked with assessing whether section 70 still fulfills the needs of New Yorkers. The Legislature may conduct hearings and solicit comments from interested parties, evaluate the voluminous social science research in this area cited by Debra H. and the amici, weigh the consequences of various proposals, and make the tradeoffs needed to fashion the rules that best serve the population of our state.

In conclusion, *Alison D.*, coupled with the right of second-parent adoption secured by *Jacob*, furnishes the biological and adoptive parents of children—and, importantly, those children themselves—with a simple and understandable rule by which to guide their relationships and order their lives. For the reasons set out in this opinion, we decline Debra H.’s invitation to distinguish or overrule *Alison D.* Whether to expand the standing to seek visitation and/or custody beyond what sections 70, 71 and 72 of the Domestic Relations Law currently encompass remains a subject for the Legislature’s consideration.

II.

Our reaffirmation of *Alison D.* does not dispose of this case, however. Debra H. and Janice R. entered into a civil union in Vermont before M.R.'s birth. This circumstance presents two issues for us to decide: whether Debra H. is M.R.'s parent under Vermont law and, in the event that she is, whether as a matter of comity she is his parent under New York law as well, thereby conferring standing for her to seek visitation and custody in a best-interest hearing.

Vermont's civil union statute provides that parties to a civil union shall have "all the same benefits, protections and responsibilities under law . . . as are granted to spouses in a marriage" (Vt Stat Ann, tit 15, § 1204 [a]); and that they shall enjoy the same rights "with respect to a child of whom either becomes the natural parent during the term of the civil union," as "those of a married couple" (Vt Stat Ann, tit 15, § 1204 [f]). In *Miller-Jenkins*, the Vermont Supreme Court relied upon these provisions to hold that a child born by artificial insemination to one partner of a civil union should be deemed the other partner's child under Vermont law for purposes of determining custodial rights following the civil union's dissolution (*Miller-Jenkins*, 180 Vt at 464-465, 912 A2d at 969-970). The court concluded that in the context of marriage, a child born by artificial insemination was deemed the child of the husband even absent a biological connection. In light of section 1204 and by parity of reasoning, the court decided that the same result pertained to the partner in the civil union with no biological connection to the child.

Janice R. counters that in *Miller-Jenkins* the child was conceived by artificial insemination after the parties entered into their civil union, while M.R. was conceived before her civil union with Debra H. We see no reason why the Vermont Supreme Court would reach a different result about parentage based on this distinction. The court repeatedly emphasized how important it was that the child was *born* during the civil union (180 Vt at 465, 912 A2d at 970 ["Many factors are present here that support a conclusion that (the partner with no biological connection to the child) is a parent, including, first and foremost, that (she and the child's biological mother) were in a valid legal union at the time of the child's birth"]); 180 Vt at 466, 912 A2d at 971 ["Because so many factors are present in this case that allow us to hold that the nonbiologically-related partner is the child's parent, we need not address which factors

may be dispositive on the issue . . . We do note that, in accordance with common law, the couple's legal union at the time of the child's birth is extremely persuasive evidence of joint parentage']). Indeed, entering into the civil union at a time when both partners know that one of them is pregnant by artificial insemination might well be viewed as presenting an even stronger case than *Miller-Jenkins* to support the nonbiological partner's parentage. There is certainly no potential for misunderstanding, ignorance or deceit under such circumstance.

Janice R. does not challenge the civil union's validity. She protests, though, that it was "of utterly no consequence" to her, and that while she "gave into" Debra H.'s "demand[s]," she did not enter into the civil union "blindly." Rather, Janice R.—who is a practicing attorney—professes to have conducted research and to have "found that [entering into a Vermont civil union] was of no legal significance in the State of New York, which is still the case today." Moreover, she claims to have "conferred with an attorney to make certain that a 'civil union' was of no legal consequence," and to have been "assured that it was not." Finally, she avers that "[k]nowing that the civil union was of no legal consequence in New York and did not confer . . . any additional rights and responsibilities, combined with [her] desire to put an end to [Debra H.'s] nagging, [she] acquiesced to the civil union."

[2] In fact, the potential legal ramifications in New York of entering into a civil union in Vermont were uncertain in 2003,⁵ and remain unsettled except to the extent we resolve the specific issue—i.e., parentage—presented by this case. Whatever her motivation or expectation, Janice R. chose to travel to Vermont to enter into a civil union with Debra H. In light of the *Miller-Jenkins* decision, we conclude that Debra H. is M.R.'s parent under Vermont law as a result of that choice. The question then becomes whether New York courts should accord comity to

5. The first Supreme Court decision to consider the consequences in New York of a Vermont civil union was issued in April 2003—several months before Debra H. and Janice R. entered into their civil union—and was widely publicized. Although reversed by the Appellate Division in 2005, the trial court concluded that the surviving partner of a civil union validly contracted in Vermont was entitled to recognition as a "spouse" under New York's wrongful death statute and therefore had standing to recover for the wrongful death of his partner in the civil union (*see Langan v St. Vincent's Hosp. of N.Y.*, 196 Misc 2d 440 [Sup Ct, Nassau County 2003], *revd* 25 AD3d 90 [2d Dept 2005], *appeal dismissed based on lack of finality* 6 NY3d 890 [2006]).

Vermont and recognize Debra H. as M.R.'s parent under New York law as well.

The doctrine of comity

“does not of its own force compel a particular course of action. Rather, it is an expression of one State’s entirely voluntary decision to defer to the policy of another. Such a decision may be perceived as promoting uniformity of decision, as encouraging harmony among participants in a system of co-operative federalism, or as merely an expression of hope for reciprocal advantage in some future case in which the interests of the forum are more critical” (*Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574, 580 [1980] [citation omitted]).

New York’s “determination of whether effect is to be given foreign legislation is made by comparing it to our own public policy; and our policy prevails in case of conflict” (*id.*). The court locates the public policy of the state in “the law as expressed in statute and judicial decision” and also considers “the prevailing attitudes of the community” (*id.*). Even in the case of a conflict, however, New York’s public policy may yield “in the face of a strong assertion of interest by the other jurisdiction” (*id.*).

[3] New York will accord comity to recognize parentage created by an adoption in a foreign nation (*see Matter of Doe*, 14 NY3d 100, 107-108 [2010] [comity may be extended to a Cambodian adoption certificate so that an individual who is a child’s father under Cambodian law is also his father under New York law]). We see no reason to withhold equivalent recognition where someone is a parent under a sister state’s law. Janice R., as was her right as M.R.’s biological parent, did not agree to let Debra H. adopt M.R. But the availability of second-parent adoption to New Yorkers of the same sex negates any suggestion that recognition of parentage based on a Vermont civil union would conflict with our State’s public policy. Nor would comity undermine the certainty that *Alison D.* promises biological and adoptive parents and their children: whether there has been a civil union in Vermont is as determinable as whether there has been a second-parent adoption. And both civil union and adoption require the biological or adoptive parent’s legal consent, as opposed to the indeterminate implied consent featured in the various tests proposed to establish de facto or

functional parentage.⁶ In sum, our decision does not lead to protracted litigation over standing and is consistent with New York's public policy by affording predictability to parents and children alike.

Although she sought more expansive rulings, Debra H. also made the narrower case on this appeal that "comity should be accorded to the civil union at least to recognize [her] as a parent to M.R.," and that "[a]cknowledging the significance to M.R. of his parents' Vermont civil union *does not require resolving* whether New York grants comity to the civil union for other purposes" (emphasis added) (*see e.g. Godfrey v Spano*, 13 NY3d 358 [2009] [deciding taxpayer challenges on grounds not implicating New York's common-law marriage recognition rule]). We agree for the reasons given, and thus in this case decide only that New York will recognize parentage created by a civil union in Vermont. Our determination that Debra H. is M.R.'s parent allows her to seek visitation and custody at a best-interest hearing. There, she will have to establish facts demonstrating a relationship with M.R. that warrants an award in her favor.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for a best-interest hearing in accordance with this opinion.

GRAFFEO, J. (concurring). I concur with Judge Read's analysis as well as the result she reaches but write separately to explain why I believe our decision in *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) must be reaffirmed. There, we held that the term "parent" in Domestic Relations Law § 70 encompasses a biological or adoptive parent, i.e., only a person with a legally-recognized parental relationship to the child. We noted that a child's parent has a constitutionally protected right to determine with whom the child may associate. Under New York law, a legal parent's right to make such determinations "may not be displaced absent grievous cause or necessity" (*Alison D.*, 77

6. Vermont, like New York, does not provide by statute or case law for functional or de facto parentage (*see Titchenal v Dexter*, 166 Vt 373, 385, 693 A2d 682, 689 [1997] [Vermont Supreme Court concluded that lesbian companion of adoptive mother has no right to parent-child contact as equitable or de facto parent, noting that "(g)iven the complex social and practical ramifications of expanding the classes of persons entitled to assert parental rights by seeking custody or visitation, the Legislature is better equipped to deal with the problem" of third parties claiming a parent-like relationship and seeking court-compelled contact with a child]).

NY2d at 656; see *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141, 144 [1987]; *Matter of Bennett v Jeffreys*, 40 NY2d 543, 546 [1976]). A similar right has been recognized under the Federal Constitution (see *Troxel v Granville*, 530 US 57 [2000]). The Legislature authorizes parents to bring proceedings to ensure the proper care and custody of their children and has permitted a limited class of other persons—siblings and grandparents—standing to seek visitation in specified circumstances (see Domestic Relations Law §§ 71, 72; *Matter of E.S. v P.D.*, 8 NY3d 150 [2007]). Rather than employing an “equitable estoppel” or “in loco parentis” basis for establishing parental status, *Alison D.* created a bright-line rule that made it possible for biological and adoptive parents to clearly understand in what circumstances a third party could obtain status as a parent and have standing to seek visitation or custody with a child. For 19 years the rule articulated in *Alison D.* has provided certainty and predictability to New York parents and their children.

The *Alison D.* decision was criticized by some because it was unclear at that time whether a same-sex partner that was not biologically related to a child could become a legal parent through second-parent adoption. Any concern in that regard was resolved four years later in *Matter of Jacob* (86 NY2d 651 [1995]) where we held that the adoption statutes permit second-parent adoption by the unmarried partner of a child’s biological parent. Thus, the law in New York is clear: a person who lacks a biological relationship to a child and desires to become a legal parent must undertake a second-parent adoption. Parents—whether in heterosexual or same-sex relationships, whether married or unmarried—have been able to order their lives accordingly. This rule has avoided confusion, particularly in the event a relationship is dissolved years later, as to whether the party lacking biological or legal ties to the child (i.e., who failed to pursue an adoption) would have standing to petition for custody or visitation.

As Judge Read points out, our decision in *Matter of Shondel J. v Mark D.* (7 NY3d 320 [2006]) applying equitable principles in the context of a paternity dispute was fully consistent with *Alison D.* Beyond the fact that the Legislature has incorporated an equitable standard in the Family Court Act provisions governing paternity determinations (see Family Ct Act § 418 [a]; § 532 [a]), Shondel J.—the biological mother in that case—did not object to a finding that Mark D. was the father of the child. To the contrary, Shondel J. initiated a proceeding expressly seeking to have Mark D. adjudicated the father for purposes of

obtaining financial support. Thus, the constitutional right of a fit parent to determine with whom her child associates was not implicated in *Shondel J.*, nor were equitable principles relied on in that case to declare a person lacking biological or adoptive ties to a child to be a parent over the objection of the child's fit biological mother. Consistent with the relevant statute, and with the consent of the biological mother, equitable estoppel was merely used as a vehicle to preclude Mark D. from withdrawing his prior sworn and unsworn statements that he was the child's father and from relying on genetic marker or DNA tests to disprove paternity.

Shondel J. did not undermine *Alison D.* and the objective standard for determining parental status emanating from that case continues to serve the interests of both parents and children. *Alison D.*'s clear standard encourages a party who seeks to form a parental relationship with a child but lacks biological ties to pursue a legal adoption as soon as possible, without leaving a question as important as parental status undetermined perhaps for years, subject to the credibility battles that characterize equitable estoppel hearings held long after the relationships between the parties have soured. By encouraging early adoptions, the *Alison D.* rule serves the best interests of New York's children as it is optimal to expeditiously establish legal parenthood, especially to protect a child against unforeseen events such as the death of a biological parent. And since the express written consent of the biological parent is a condition precedent to a second-parent adoption, the rule also guarantees that standing to seek visitation or custody will never hinge on an after-the-fact dispute as to whether the other party's relationship with the child was sufficiently close or had been fostered by the biological parent. Under *Alison D.*, when a romantic relationship ends, whether the parties were same-sex or heterosexual partners, a hearing to determine who is the child's legal parent is generally unnecessary as the parentage issue can readily be determined as a matter of law based on objective genetic proof or documentary evidence. Thus, protracted litigation on the standing of a party hoping to obtain custodial rights or visitation is avoided, which further promotes the settlement of these issues rather than the contentious litigation that is all too frequently harmful to children.

Judge Smith proposes a standard that addresses the parental status of certain same-sex partners that employ artificial insemination to conceive a child. He proposes that "where a child is

conceived through ADI [artificial donor insemination] by one member of a same-sex couple living together, with the knowledge and consent of the other, the child is as a matter of law—at least in the absence of extraordinary circumstances—the child of both” (see Smith, J., concurring op at 612). Like the equitable estoppel test, this formulation invites litigation over whether the parties were “living together” (presumably, they must be living together in a romantic relationship, not merely as roommates) at the time of insemination, whether the insemination was “with the knowledge and consent” of the other partner, and whether “extraordinary circumstances” exist, whatever those might be. Under this set of factors, the same types of factual controversies that typify the equitable estoppel analysis would ensue.¹

I do not suggest that a specialized approach should not be developed for same-sex couples who conceive children through artificial insemination or other assisted reproduction technologies (ART), particularly as medical techniques continue to evolve. But the criteria for establishing parental rights should be objective to ensure certainty for the parties and consistency in application. For these reasons, I believe it is more appropriate for the Legislature to develop the standards and procedures under which parenthood will be determined for same-sex couples in the artificial insemination and ART context, just as it has done for married couples under Domestic Relations Law § 73 (providing that any child born to a married woman through artificial insemination is the child of her husband if he gave prior written consent to the procedure).

1. Although *Matter of H.M. v E.T.* (14 NY3d 521 [2010] [decided today]) does not involve an application for custody or visitation, the allegations in that case demonstrate some of the issues that arise in this context. There, 12 years after a same-sex relationship ended, the biological mother of a child born during the relationship through artificial insemination sought child support from her former same-sex partner and the same-sex partner denied that she was a parent of the child. The former partner alleged that, although she and the biological mother were living in the same household during the relevant period, this was not the product of a romantic relationship—she and her husband had hired the biological mother as a live-in nanny to their children and the mother had remained in the home in that capacity after the marriage ended. The former partner asserted that she had assisted the biological mother with the process of insemination because they were close friends; although they had been involved in a brief romantic relationship at that time, she denied that she had ever agreed to become a parent to the child. Obviously, under Judge Smith’s approach, these disputes as to the parties’ living and relationship status more than a decade ago, as well as whether they consented to parent the child together, would be the subject of a hearing.

Indeed, some states have enacted statutes that specifically address the parental rights of same-sex partners who rely on artificial insemination or ART to conceive a child. For example, the New Mexico Legislature adopted a provision stating that “[a] person who provides eggs, sperm or embryos for or consents to assisted reproduction . . . with the intent to be the parent of a child is a parent of the resulting child” (NM Stat Ann § 40-11A-703). The statute contemplates that the “intended parent or parents shall consent to the assisted reproduction in a record signed by them before the placement of the eggs, sperm or embryos” (NM Stat Ann § 40-11A-704[A]). The New York Legislature could craft a provision addressing the parental status of same-sex partners in the artificial insemination or ART context either by incorporating an objective standard that promotes predictability for parents and children, or by pursuing a different approach. But, to date it has not done so, nor has it legislatively overruled *Alison D.* I therefore conclude that there is no basis for this Court to depart from the analysis applied in that case and emphasize that, at present, the surest way for same-sex couples to protect the interests of children born during their relationships is to promptly undertake second-parent adoptions that constitute conclusive proof of parental status.

Although parental status for visitation and custody depends on a biological or adoptive relationship under New York law, Judge Read aptly demonstrates why it is appropriate in this case to consider Vermont law. Here, unable to marry or enter into a civil union in New York, the parties chose to enter into a civil union in Vermont when Janice R. was eight months’ pregnant. At that time, as is the case today, the Vermont civil union statute clearly stated that “[t]he rights of parties to a civil union, with respect to a child of whom either becomes the natural parent during the term of the civil union, shall be the same as those of a married couple, with respect to a child of whom either spouse becomes the natural parent during the marriage” (Vt Stat Ann, tit 15, § 1204 [f]). Under Vermont’s statute, a child born by artificial insemination to one partner of a civil union becomes the child of the other partner, meaning that this nonbiological parent has automatic standing to seek custody or visitation if there is a breakdown in the adult relationship (see *Miller-Jenkins v Miller-Jenkins*, 180 Vt 441, 912 A2d 951 [2006], *cert denied* 550 US 918 [2007]). The parties in this case are presumed to have understood the legal ramifications of their decision to enter into a civil union and one of

those legal ramifications was that each partner would be a parent of any child born during the union.² A legal, parental relationship was therefore created between Debra H. and the child.

Of course, the doctrine of comity would be inapplicable if the parentage provision in Vermont's civil union statute was inconsistent with New York public policy. But, in this regard, our sister-state's law—like New York's—predicates parentage on objective evidence of a formal legal relationship—the civil union. Since Debra H.'s status as a parent under Vermont law does not turn on the application of amorphous equitable standards but depends on the fact that she and Janice R. entered into a civil union before the child was born, it does not run afoul of the policy underlying *Alison D.* as it does not undermine New York's interest in ensuring certainty for parents and children.

CIPARICK, J. (concurring). Although I agree with the majority that principles of comity require the recognition of Debra H.'s parentage of M.R. because of the Vermont civil union between the parties, I write separately to set forth my view that *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) should be overruled as outmoded and unworkable.

In *Alison D.*, the dissent predicted that the impact of the decision would be felt “far beyond th[e] particular controversy” of that case, by a “wide spectrum of relationships,” including “heterosexual stepparents, ‘common-law’ and nonheterosexual partners . . . and even participants in scientific reproduction procedures” (77 NY2d at 657 [Kaye, J., dissenting]). That prediction has been borne out. In countless cases across the state, the lower courts, constrained by the harsh rule of *Alison D.*, have been forced to either permanently sever strongly formed bonds between children and adults with whom they have parental relationships (see e.g. *Matter of Janis C. v Christine T.*, 294 AD2d 496, 496-497 [2d Dept 2002], *lv denied* 99 NY2d 504 [2002]; *Gulbin v Moss-Gulbin*, 45 AD3d 1230, 1231 [3d Dept 2007]) or engage in deft legal maneuvering to explain away the apparent applicability of *Alison D.* (see e.g. *Jean Maby H. v Joseph H.*, 246 AD2d 282, 283, 288-289 [2d Dept 1998]; *Beth R. v Donna M.*, 19 Misc 3d 724, 734 [Sup Ct, NY County 2008]).

2. Another child was born to Janice R. after the parties' relationship ended but during the course of the civil union (which apparently has not been dissolved). Having failed to promptly attempt to establish a relationship with the second child and petition for custody or visitation, I believe that Debra H. has likely forfeited any right she may have had to assert parental rights.

Moreover, the decision in *Alison D.* has been both questioned by judges (see e.g. *Anonymous v Anonymous*, 20 AD3d 333, 333-334 [1st Dept 2005, Ellerin and Sweeny, JJ., concurring]) and roundly criticized by legal scholars (see e.g. Schepard, Law and Children, *Revisiting 'Alison D.': Child Visitation Rights for Domestic Partners*, NYLJ, June 27, 2002, at 3, col 1; Ettelbrick, *Who is a Parent?: The Need to Develop a Lesbian Conscious Family Law*, 10 NYL Sch J Hum Rts 513, 516-517, 522-532 [1993]).

To be sure, we are not in the practice of casting aside good legal precedent based merely on harsh results and scholarly criticism. *Alison D.*, however, has never been good legal precedent. Rather, the majority in that case took an unwarranted hard line stance, fixing biology above all else as the key to determining parentage and thereby foreclosing any examination of a child's best interests (see 77 NY2d at 657-658 [Kaye, J., dissenting]). As the dissent explained, the majority in *Alison D.* rendered an opinion that fell "hardest on the children of [nontraditional] relationships, limiting their opportunity to maintain bonds that may be crucial to their development. The majority[] retreat[ed] from the courts' proper role . . . [by] tightening . . . rules that should . . . , above all, retain the capacity to take the children's interests into account" (*id.* at 658).

Since *Alison D.*, our decisions and the decisions of many of the lower courts have properly focused on the best interests of the children when determining questions of parentage, including the application of equitable estoppel to determine paternity and support obligations (see e.g. *Matter of Shondel J. v Mark D.*, 7 NY3d 320, 324 [2006]). The majority here insists that it was appropriate to apply the doctrine of equitable estoppel in *Shondel J.* and consider the child's best interests, but to apply the doctrine here would be inappropriate. The majority sees no "inconsistency in applying equitable estoppel to determine filiation for purposes of support, but not to create standing when visitation and custody are sought" (majority op at 593) because section 70 of the Domestic Relations Law makes no mention of equitable estoppel. The majority infers that economic considerations are present in paternity and child support proceedings but not custody and visitation proceedings (see *id.*). I disagree. Support obligations flow from parental rights; the duty to support and the rights of parentage go hand in hand and it is nonsensical to treat the two things as severable. Moreover, while it is true that

section 70 of the Domestic Relations Law makes no mention of equitable estoppel, it is also true that the statute does not specifically define the term “parent.” Notably, as Judge Kaye observed in the *Alison D.* dissent, one thing the Legislature *did* include in the statute was its intention that the courts “shall determine solely what is for the best interest of the child, and what will best promote its welfare and happiness” (Domestic Relations Law § 70 [a]; *see also Alison D.*, 77 NY2d at 659).

Other state courts have developed better, more flexible, multi-factored approaches to determine whether a parental relationship exists, thus conferring upon a petitioner standing to seek custody or visitation. Rather than relying strictly on biology or an adoptive relationship, as *Alison D.* does, other tests focus on a functional examination of the relationship between the parties and the child. For example, the approach developed by the Wisconsin Supreme Court is, in my opinion, properly protective of both the best interests of the children and the rights of biological and adoptive parents. Under the Wisconsin test,

“[t]o demonstrate the existence of the petitioner’s parent-like relationship with the child, the petitioner must prove four elements: (1) that the biological or adoptive parent consented to, and fostered, the petitioner’s formation and establishment of a parent-like relationship with the child; (2) that the petitioner and the child lived together in the same household; (3) that the petitioner assumed obligations of parenthood by taking significant responsibility for the child’s care, education and development, including contributing towards the child’s support, without expectation of financial compensation; and (4) that the petitioner has been in a parental role for a length of time sufficient to have established with the child a bonded, dependent relationship parental in nature” (*In re Custody of H.S.H.-K.*, 193 Wis 2d 649, 658-659, 533 NW2d 419, 421 [1995]).

In short, I believe that, in order to demonstrate the existence of a parental relationship sufficient to confer standing under Domestic Relations Law § 70, a petitioner unrelated to a child by biology or adoption must prove that (1) the biological or adoptive parent consented to and encouraged the formation of a parental relationship; and (2) the petitioner intended to and actually did assume the typical obligations and roles associated with parenting (*see Forman, Same-Sex Partners: Strangers, Third Parties, or Parents? The Changing Legal Landscape and*

the Struggle for Parental Equality, 40 Fam LQ 23, 49 [2006]; Ettelbrick, *Who is a Parent?*, 10 NYL Sch J Hum Rts at 516-517; Storrow, *Parenthood by Pure Intention: Assisted Reproduction and the Functional Approach to Parentage*, 53 Hastings LJ 597, 640 [2002]; see also *In re Custody of H.S.H.-K.*, 193 Wis 2d at 658, 533 NW2d at 421; *V.C. v M.J.B.*, 163 NJ 200, 225, 748 A2d 539, 553 [2000] [discussing formation of parental relationship as relevant to determination of parentage]), as is alleged here.

Although the majority believes that a functional approach would “trap” single biological and adoptive parents “in a limbo of doubt” (majority op at 595), I strongly disagree. In a test such as Wisconsin’s, for example, one element that must be proven is that the biological or adoptive parent consented to the formation of a parental relationship between the petitioner and the child. If a biological or adoptive parent does not consent, he or she may elect to continue raising the child on his or her own, without interference, as is a parent’s constitutional right (see *Troxel v Granville*, 530 US 57, 65 [2000]).

The majority claims that adopting a functional approach would “sidestep[]” section 70 of the Domestic Relations Law and “preempt our Legislature” by “creat[ing] an additional category of parent” (majority op at 597). However, as noted above, section 70 of the Domestic Relations Law contains no definition of the term “parent.” In my view, it was the majority in *Alison D.* that “sidestepped” section 70 by refusing to give appropriate weight to the clear legislative intent, expressed in the statute, to protect the “best interest[s]” and “welfare and happiness” of children.

Thus, taking into consideration the social changes that have occurred since *Alison D.* (see *Godfrey v Spano*, 13 NY3d 358, 380-381 [2009, Ciparick, J., concurring]; see also *Matter of Jacob*, 86 NY2d 651 [1995]) and recognizing that Supreme Court has inherent equity powers and authority pursuant to Domestic Relations Law § 70 to determine who is a parent and what will serve a child’s best interests,* I would reverse on both grounds and hold that Debra H. has standing to proceed with a hearing on the merits of her petition.

* I agree with Judge Smith’s concurrence insofar as he suggests that the presumption of legitimacy could be used to ascertain whether the same-sex partner of a biological parent is also a parent to a child born during the course of the parties’ relationship, but would extend the presumption to include biological children of same-sex male couples as well. I believe that such a

(n. cont’d)

SMITH, J. (concurring in *Debra H. v Janice R.* and *Matter of H.M. v E.T.*). These two cases present (though neither majority decision ultimately turns on) the question of whether a person other than a biological or adoptive mother or father may be a “parent” under New York law. In *Debra H. v Janice R.*, a visitation case, a majority of the Court reaffirms the holding in *Matter of Alison D. v Virginia M.* (77 NY2d 651 [1991]) that New York parenthood requires a biological or adoptive relationship, though the majority also holds—correctly in my view—that we should recognize Debra H.’s parental status under the law of Vermont. In *Matter of H.M. v E.T.* (14 NY3d 521 [2010] [decided today]), a child support case, the majority holds—again correctly in my view—that Family Court has jurisdiction of the case, and does not reach the *Alison D.* question, while the dissent suggests that *Alison D.* requires dismissal.

Though I concur with the result in both cases, and join the *H.M. v E.T.* majority opinion in full, I would depart from *Alison D.*, both for visitation and child support purposes. I grant that there is much to be said for reaffirming *Alison D.*, but I conclude that there is even more to be said against it.

I begin by expressing wholehearted agreement with much of what the *Debra H.* majority opinion, and Judge Graffeo’s concurring opinion, say. It is indeed highly desirable to have “a bright-line rule that promotes certainty in the wake of domestic breakups,” and to avoid litigation “over parentage as a prelude to further potential combat over custody and visitation” (majority op at 593, 594). There are few areas of the law where certainty is more important than in the rules governing who a child’s parents are. For that reason, I join the *Debra H.* majority in rejecting the approach taken by the *Alison D.* dissent, which favored a multi-factor test for parenthood “that protects all relevant interests” (77 NY2d at 662), and by the Wisconsin Supreme Court’s decision in *In re Custody of H.S.H.-K.* (193 Wis 2d 649, 658-659, 533 NW2d 419, 421 [1995]), which permitted a party to establish a “parent-like relationship” by proving four amorphous elements, including such things as “significant responsibility for the child’s care, education and development” and “a bonded, dependent relationship” with the child. The *Debra H.* majority is quite right to see in these vague formulas a recipe for endless litigation, which would mean endless misery for children and adults alike.

presumption, however, would constitute only one facet of a functional approach such as the one I suggest.

These reasons lead the *Debra H.* majority and the *H.M. v E.T.* dissent to follow *Alison D.* in concluding that women in the position of Debra H. (putting aside her civil union with Janice R.) and E.T. are not parents of their former lovers' children. But despite the high value I set on certainty and predictability, I find this result unacceptable. I would therefore adopt a different "bright-line rule"—one that includes these women and others similarly situated in the definition of "parent."

The position of Debra H. and E.T. is an increasingly common one. Each lived with her same-sex romantic partner. In each case, while the couple was living together, the partner was artificially inseminated with sperm from an unknown donor (artificial donor insemination, or ADI) and gave birth. Both women in each case expected, and led the other to expect, that both of them would be the child's parents. Yet the *Debra H.* majority holds that Debra H. would never have become a parent absent the civil union, while the *H.M. v E.T.* dissent implies that E.T. never became a parent at all. This approach not only disappoints the expectations of the adults involved: much worse, it leaves each child with only one parent, rendering the child, in effect, illegitimate.

To put a large and growing number of our state's children in that status seems wrong to me. Each of these couples made a commitment to bring a child into a two-parent family, and it is unfair to the children to let the commitment go unenforced. Nor can it be said that adoption by the nonbiological parent—an option available under *Matter of Jacob* (86 NY2d 651 [1995])—is an adequate recourse, for adoption is possible only by the voluntary act of the adopting parent, with the consent of the biological one. To apply the rule of *Alison D.* to children situated as are the children in these cases is to permit either member of the couple to make the child illegitimate by her whim—as the facts of these two cases illustrate.

I have said that the interest in certainty is extremely strong in this area; but society's interest in assuring, to the extent possible, that each child begins life with two parents is not less so. That policy underlies the common-law presumption of legitimacy, "one of the strongest and most persuasive known to the law" (*Matter of Findlay*, 253 NY 1, 7 [1930, Cardozo, Ch. J.]; see also *Michael H. v Gerald D.*, 491 US 110, 125 [1989] [the strength of the presumption derives from "an aversion to declaring children illegitimate . . . thereby depriving them of rights of inheritance and succession . . . and likely making them wards

of the state’]). The policy has been adopted as a matter of statute in particular circumstances (Domestic Relations Law §§ 24, 73) and, in one persuasively reasoned Appellate Division case, has been adapted as a matter of common law to protect children born by ADI (*Laura WW. v Peter WW.*, 51 AD3d 211 [3d Dept 2008]). I would apply the common-law presumption to the facts of these cases, and would hold that where a child is conceived through ADI by one member of a same-sex couple living together, with the knowledge and consent of the other, the child is as a matter of law—at least in the absence of extraordinary circumstances—the child of both.

The rule I propose is clearly defined in at least one respect: It would apply only to same-sex couples—indeed, only to lesbian couples, because I would leave for another day the question of what rules govern male couples, for whom ADI is not possible. This limitation may give some pause, for it seems intuitively that all people, male and female, gay and straight, should be treated the same way. Yet it is an inescapable fact that gay and straight couples face different situations, both as a matter of law and as a matter of biology. By the choice of our Legislature, a choice we have held constitutionally permissible (*Hernandez v Robles*, 7 NY3d 338 [2006]), same-sex couples in New York have neither marriage nor domestic civil unions available to them. And, pending even more astounding technological developments than we have yet witnessed, it is not possible for both members of a same-sex couple to become biological parents of the same child. These differences seem to me to warrant different treatment. Indeed, different treatment already exists, for both a statute (Domestic Relations Law § 73) and the common law (*Laura WW.*, 51 AD3d at 217) give a measure of protection to the children of married opposite-sex couples who are conceived by ADI. The rule I propose would give the children of lesbian couples similar, though not identical, protection.

In one respect, the rule I have suggested would come closer to treating gay and straight couples alike than the more flexible rules advocated or adopted in many writings, including the *Alison D.* dissent, the Wisconsin decision in *In re Custody of H.S.H.-K.*, and Judge Ciparick’s concurrence today in *Debra H.* Under these approaches, the same-sex partners of biological parents would have an opportunity to become quasi-parents—“de facto parents,” parents-by-estoppel, or persons “in a parent-like relationship.” As to women in the situation of *Debra H.* and *E.T.*, I would drop all the hyphens and quotation marks, and call them simply parents.

For these reasons, I would hold that Debra H. is M.R.'s parent, and that E.T. is the parent of H.M.'s biological son. Therefore, in *Debra H. v Janice R.*, I would not find it necessary to reach the effect of the Vermont civil union (although, since the majority does reach it, I join in its resolution of that question); and I would hold that Family Court has jurisdiction in *H.M. v E.T.* not only on the narrow ground adopted by the majority, but also on the ground that E.T. is the child's parent and therefore "chargeable with the support of such child" within the meaning of Family Court Act § 413 (1) (a).

Judges GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge GRAFFEO concurs in a separate concurring opinion in which Judge JONES also concurs; Judge CIPARICK concurs in result in another opinion in which Chief Judge LIPPMAN concurs; Judge SMITH concurs in result in another opinion.

Order reversed, with costs, and case remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

[930 NE2d 233, 904 NYS2d 312]

CAYUGA INDIAN NATION OF NEW YORK, Respondent, v DAVID S. GOULD, as Cayuga County Sheriff, et al., Appellants.

Argued March 25, 2010; decided May 11, 2010

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 10, 2009. The Appellate Division (1) reversed, on the law, so much of a judgment (denominated order) of the Supreme Court, Monroe County (Kenneth R. Fisher, J.; op 21 Misc 3d 1142[A], 2008 NY Slip Op 52478[U]) as, upon converting motions before it into cross motions for summary judgment, had (a) denied plaintiff's motion for a preliminary injunction, (b) granted defendants' cross motion for summary judgment, and (c) declared that Tax Law § 471-e did not exclusively govern the imposition of sales and excise taxes on cigarettes sold from plaintiff's two stores, and that *Day Wholesale, Inc. v State of New York* (51 AD3d 383 [4th Dept 2008]) did not invalidate or interdict prosecutions under Tax Law §§ 471 and 1814; (2) granted plaintiff's motion in part and granted judgment in favor of plaintiff declaring that Tax Law § 471-e exclusively governs the imposition of sales and excise taxes on cigarettes sold on a qualified reservation as that term is defined in Tax Law § 470 (16) (a) and that plaintiff's two stores are located within a qualified reservation as that term is defined in Tax Law § 470 (16) (a); (3) denied defendants' cross motion; and (4) vacated the declarations made by Supreme Court. The following question was certified by the Appellate Division: "Was the order of this Court entered July 10, 2009 properly made?"

Cayuga Indian Nation of N.Y. v Gould, 66 AD3d 100, modified.

HEADNOTES

Declaratory Judgments — When Remedy Available — Declaratory Judgment Action Brought Prior to Criminal Action

1. In a declaratory judgment action brought by plaintiff Indian tribe seeking a declaration that it was under no obligation to collect and transmit sales taxes on the cigarettes plaintiff sold to consumers in its two convenience stores because the stores were located on "qualified reservation" property within the meaning of Tax Law § 470 (16) (a), which action was brought the day after search warrants were executed at plaintiff's stores and the

inventories of unstamped cigarettes were confiscated, defendants' motion to dismiss the action on the ground that it would interfere with a pending criminal prosecution was properly denied. No criminal action had been initiated against any identified party at the time the declaratory judgment action was commenced. The general rule is that, once a criminal action has been initiated, a criminal defendant may not bring a declaratory judgment action to raise a statutory interpretation or other issue that can be adjudicated in the criminal prosecution. Before a criminal action is commenced, however, a declaratory judgment action may be entertained in the discretion of the court if the constitutionality or legality of a statute or regulation is in question and no question of fact is involved. A party is not categorically precluded from initiating a declaratory judgment action based on nothing more than the execution of a search warrant when the issue to be raised involves a pure question of law—such as a query concerning the scope and interpretation of a statute or a challenge to its constitutional validity—and the facts relevant to that issue are undisputed, as they were here.

Declaratory Judgments — When Remedy Available — Declaratory Judgment Action Brought Prior to Criminal Action — When Criminal Action Commenced

2. By stating in *Kelly's Rental v City of New York* (44 NY2d 700, 702 [1978]) that “[a] party against whom a criminal proceeding is pending may not seek declaratory relief,” the Court of Appeals did not expand the rule precluding the use of declaratory judgment actions to encompass situations where a search warrant application was executed but no party was named as the defendant and no accusatory instrument had been filed against any person or company at the time civil relief was sought. Although, under the Criminal Procedure Law, the filing of a search warrant application commences a “criminal proceeding” (see CPL 1.20 [18]), while a “criminal action” is not initiated until an accusatory instrument is filed against a defendant (see CPL 1.20 [16]), the Court of Appeals did not cite the Criminal Procedure Law in *Kelly's Rental*, nor did the Court mean to invoke the definition embodied therein when it used the phrase “criminal proceeding” informally instead of the more technically accurate “criminal action” to describe the procedural posture of the underlying prosecution.

Taxation — Tax on Cigarettes and Tobacco Products — Cigarettes Sold on Indian Reservations — Qualified Reservation Property

3. The two convenience stores operated by plaintiff Cayuga Indian Nation on parcels of real property that fell within plaintiff's aboriginal reservation and were reacquired by plaintiff after purchasing them on the open market, were located on “qualified reservation” property within the meaning of Tax Law § 470 (16) (a). The term “reservation” in Tax Law § 470 (16) (a) refers to reservation lands recognized by the federal government. Although plaintiff had entered into transactions transferring title to its aboriginal reservation property—including the convenience store parcels that were later reacquired—the property retained its reservation status under federal law. Every federal court that has examined whether the Cayuga reservation was disestablished or diminished by Congress has answered that question in the negative. Moreover, when plaintiff purchased the convenience store properties, its application to the United States government to have the parcels taken in trust on behalf of the tribe was processed as a request pertaining to “on reservation” land, and the United States Department of Interior, Bureau of Indian Affairs, has identified the land in question as within the limits of the Cayuga reservation. In the absence of contrary federal authority, plaintiff's convenience store

properties met the definition of a “qualified reservation” under Tax Law § 470 (16) (a). And though plaintiff could not assert sovereign power over its convenience store properties for the purpose of avoiding real property taxes, Tax Law § 470 (16) itself makes a distinction between reservation property (subdivision [a]) and property over which an Indian nation or tribe has sovereign authority (subdivision [b]).

Taxation — Tax on Cigarettes and Tobacco Products — Cigarettes Sold on Indian Reservations

4. The absence of an appropriate legislative or regulatory scheme governing the calculation and collection of cigarette sales taxes that distinguishes between federally exempt retail sales to Indians occurring on a “qualified reservation” and non-exempt sales to other consumers precluded reliance on Tax Law § 471 as the sole basis to sanction plaintiff Indian tribe, the operator of two convenience stores in which cigarettes were sold, for alleged noncompliance with the New York Tax Law. Although Tax Law § 471 generally imposes a sales tax on cigarettes sold in New York and sales taxes are due when non-Indian consumers purchase cigarettes from Indian retailers, the Legislature did not view Tax Law § 471 as a sufficient regulatory or statutory predicate for the collection of sales taxes from Indian retailers. Rather, the Legislature concluded that a system—either statutory or regulatory in form—must be adopted before Indian retailers would be required to act as intermediaries for the collection of state cigarette sales taxes. A system of ad hoc enforcement by local District Attorneys, without implementation of an appropriate calculation and collection methodology, would not be consistent with legislative intent.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 37, 57; AM JUR 2d, Indians; Native Americans §§ 51, 57; AM JUR 2d, State and Local Taxation §§ 169, 549.

CARMODY-WAIT 2d, Declaratory Judgments §§ 147:34, 147:48; CARMODY-WAIT 2d, Criminal Proceedings in General; Jurisdiction and Venue § 172:12.

McKINNEY's, CPL 1.20 (16), (18); Tax Law § 470 (16) (a), (b); § 471.

NY JUR 2d, Criminal Law: Procedure § 3; NY JUR 2d, Declaratory Judgments and Agreed Case §§ 57, 71; NY JUR 2d, Indians §§ 29, 33; NY JUR 2d, Taxation and Assessment §§ 2469, 2477, 2479, 2481, 2482.

SIEGEL, NY PRAC §§ 436, 437.

ANNOTATION REFERENCE

Validity, construction, and application of criminal statutes or ordinances as proper subject for declaratory judgment. 10 ALR3d 727.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: declaratory /2 judgment & criminal /5 commence!
& search /2 warrant

POINTS OF COUNSEL

Harris Beach PLLC, Pittsford (*Philip G. Spellane, Karl J. Sleight, Daniel J. Moore, Russell E. Maines, James P. Nonkes* and *Joan P. Sullivan* of counsel), for appellants. I. The Fourth Department's decision should be reversed because declaratory relief is inappropriate when a "criminal proceeding" arising from the same facts is pending. (*Cooper v Town of Islip*, 56 AD3d 511; *Reed v Littleton*, 275 NY 150; *Matter of State of New York v King*, 36 NY2d 59; *Kelly's Rental v City of New York*, 44 NY2d 700; *Matter of B. T. Prods. v Barr*, 54 AD2d 315, 44 NY2d 226; *Matter of Santangelo v People*, 38 NY2d 536; *People v Currier*, 221 AD2d 805; *People v Nelson*, 173 AD2d 205; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143.) II. The Fourth Department's decision should be reversed because the Cayuga Indian Nation's open market purchase of the two convenience store parcels does not ipso facto create a "qualified reservation" under Tax Law § 470 (16) (a). (*Cayuga Indian Nation of N.Y. v Pataki*, 413 F3d 266, 547 US 1128; *Matter of People ex rel. Cayuga Nation of Indians v Commissioners of Land Off.*, 152 App Div 543, 207 NY 42; *Oneida Indian Nation of N.Y. v City of Sherrill, N.Y.*, 145 F Supp 2d 226, 544 US 197; *Department of Fin. of City of N.Y. v New York Tel. Co.*, 262 AD2d 96; *Matter of United Univ. Professions v State of New York*, 36 AD3d 297; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Boreali v Axelrod*, 71 NY2d 1; *Cayuga Indian Nation of N.Y. v Village of Union Springs*, 390 F Supp 2d 203.) III. The Fourth Department's decision should be reversed because the Cayuga Indian Nation's sale of tax-free cigarettes violates Tax Law § 471. (*Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Snyder v Wetzler*, 84 NY2d 941; *United States v Morrison*, 596 F Supp 2d 661; *Day Wholesale, Inc. v State of New York*, 51 AD3d 383; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Appleton Acquisition, LLC v National Hous. Partnership*, 10 NY3d 250; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Mescalero Apache Tribe v Jones*, 411 US 145; *United States v Jackson*, 805 F2d 457, 480 US 922; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578.)

Jenner & Block LLP (*David W. DeBruin*, of the District of Columbia bar, admitted pro hac vice, *Joshua M. Segal, David Z. Moskowitz* and *Matthew E. Price* of counsel) and *French-Alcott*,

PLLC, Syracuse (*Daniel J. French* and *Lee Alcott* of counsel), for respondent. I. The current Tax Law does not require stamping of cigarettes sold on a “qualified reservation” for personal consumption. (*Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463; *Matter of Town of Brookhaven v New York State Bd. of Equalization & Assessment*, 88 NY2d 354; *Art Masters Assoc. v United Parcel Serv.*, 77 NY2d 200; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379; *Day Wholesale, Inc. v State of New York*, 51 AD3d 383; *Erie County Water Auth. v Kramer*, 4 AD2d 545, 5 NY2d 954; *Matter of Francois v Dolan*, 95 NY2d 33; *East End Trust Co. v Otten*, 255 NY 283; *Gwynne v Board of Educ.*, 259 NY 191.) II. The Cayuga Indian Nation’s stores are located on a “qualified reservation” within the meaning of Tax Law § 470 (16). (*City of Sherrill v Oneida Indian Nation of N. Y.*, 544 US 197; *South Dakota v Yankton Sioux Tribe*, 522 US 329; *Solem v Bartlett*, 465 US 463; *DeCoteau v District County Court for Tenth Judicial Dist.*, 420 US 425; *Mattz v Arnett*, 412 US 481; *Hagen v Utah*, 510 US 399; *Rosebud Sioux Tribe v Kneip*, 430 US 584; *Cayuga Indian Nation of N.Y. v Village of Union Springs*, 317 F Supp 2d 128, 390 F Supp 2d 203; *Cayuga Indian Nation of N.Y. v Pataki*, 413 F3d 266; *County of Oneida v Oneida Indian Nation of N. Y.*, 470 US 226.) III. There is no bar to declaratory relief. (*Kelly’s Rental v City of New York*, 44 NY2d 700; *Matter of Beneke v Town of Santa Clara*, 9 AD3d 820; *Ulster Home Care v Vacco*, 255 AD2d 73; *Royal Serv. v Village of Monticello*, 247 AD2d 779; *Sa-Bleu, Inc. v Village of Port Chester*, 42 Misc 2d 360; *New York Foreign Trade Zone Operators, Inc. v State Liq. Auth.*, 285 NY 272; *Bunis v Conway*, 17 AD2d 207; *Dun & Bradstreet, Inc. v City of New York*, 276 NY 198; *Socony-Vacuum Oil Co. v City of New York*, 247 App Div 163, 272 NY 668; *Reed v Littleton*, 275 NY 150.)

Andrew M. Cuomo, Attorney General, Albany (*Barbara D. Underwood*, *Andrew D. Bing* and *Rajit S. Dosanjh* of counsel), for State of New York, amicus curiae. The Cayuga Indian Nation’s claim of “qualified reservation” status is barred by laches. (*New York v Shinnecock Indian Nation*, 523 F Supp 2d 185; *Oneida Indian Nation v Oneida County*, 432 F Supp 2d 285; *Oneida Indian Nation of N.Y. v Madison County*, 401 F Supp 2d 219; *Bryan v Itasca County*, 426 US 373; *McClanahan v Arizona Tax Comm’n*, 411 US 164; *Cayuga Indian Nation v Cuomo*, 758 F Supp 107; *Oklahoma Tax Comm’n v Sac & Fox Nation*, 508 US 114; *New Mexico v Mescalero Apache Tribe*, 462 US 324; *City of*

Sherrill v Oneida Indian Nation of N. Y., 544 US 197; *Cayuga Indian Nation of N.Y. v Pataki*, 413 F3d 266.)

Ignacia S. Moreno, Assistant Attorney General, Washington, D.C., *Charles R. Scott* and *Kathryn E. Kovacs* for United States of America, amicus curiae. I. The Cayuga reservation remains intact. (*Cayuga Indian Nation of N.Y. v Pataki*, 165 F Supp 2d 266, 413 F3d 266; *County of Oneida v Oneida Indian Nation of N. Y.*, 470 US 226; *City of Sherrill v Oneida Indian Nation of N. Y.*, 544 US 197; *Rosebud Sioux Tribe v Kneip*, 430 US 584; *DeCoteau v District County Court for Tenth Judicial Dist.*, 420 US 425; *Solem v Bartlett*, 465 US 463; *Mattz v Arnett*, 412 US 481; *Matter of Sokolowski*, 205 F3d 532; *Roman v Abrams*, 822 F2d 214; *Cayuga Indian Nation of N.Y. v Village of Union Springs*, 317 F Supp 2d 128, 390 F Supp 2d 203.) II. The Supreme Court's decision in *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]) and the Second Circuit's decision in *Cayuga Indian Nation of N.Y. v Pataki* (413 F3d 266 [2005]) are irrelevant here.

Kathleen B. Hogan, District Attorney, White Plains (*Anthony J. Servino*, *John J. Carmody* and *Morrie Kleinbart* of counsel), for District Attorneys Association of New York State, amicus curiae. The Fourth Department's ruling that the pendency of a "criminal proceeding" does not preclude a defendant or target of a criminal investigation from seeking declaratory and injunctive relief in a civil forum is contrary to established precedent, violative of public policy and must be reversed. (*Reed v Littleton*, 275 NY 150; *Kelly's Rental v City of New York*, 44 NY2d 700; *Delaney v Flood*, 183 NY 323; *Davis v American Socy. for Prevention of Cruelty to Animals*, 75 NY 362; *Matter of Newsday, Inc.*, 3 NY3d 651; *Matter of B. T. Prods. v Barr*, 54 AD2d 315, 44 NY2d 226; *People v Feinberg*, 19 Misc 2d 433; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Matter of Morgenthau v Erlbaum*, 59 NY2d 143; *People v Cocco*, 285 App Div 856.)

Robert Odawi Porter, Salamanca, *Christopher Karns* and *Kanji & Katzen, PLLC*, Seattle, Washington (*Riyaz A. Kanji* and *Cory J. Albright* of counsel), for Seneca Nation of Indians, amicus curiae. I. The Appellate Division correctly construed the relationship between Tax Law §§ 471-e and 471 and the current stamping requirements of the Tax Law. (*Oklahoma Tax Comm'n v Chickasaw Nation*, 515 US 450; *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Day*

Wholesale, Inc. v State of New York, 51 AD3d 383; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616; *Gritted's Foods, Inc. v Unkechaug Nation*, 532 F Supp 2d 439; *People v Tracy*, 1 Misc 3d 308; *Matter of New York Assn. of Convenience Stores v Urbach*, 92 NY2d 204, 181 Misc 2d 589, 275 AD2d 520; *Snyder v Wetzler*, 193 AD2d 329, 84 NY2d 941.) II. The ill-advised, erroneous legal conclusions of the District Court in *City of New York v Golden Feather Smoke Shop* (2009 WL 705815, 2009 US Dist LEXIS 20953) do not justify the counties' unprecedented interpretation of the Tax Law. (*Wagnon v Prairie Band Potawatomi Nation*, 546 US 95; *United States v Morrison*, 596 F Supp 2d 661; *United States v Garcia*, 413 F3d 201; *Allstate Ins. Co. v Serio*, 261 F3d 143; *West v American Telephone & Telegraph Co.*, 311 US 223; *Pentech Intl., Inc. v Wall St. Clearing Co.*, 983 F2d 441; *City of New York v Smokes-Spirits.com, Inc.*, 541 F3d 425; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 344 F3d 211; *City of New York v Milhelm Attea & Bros., Inc.*, 550 F Supp 2d 332, 591 F Supp 2d 234; *Mullaney v Wilbur*, 421 US 684.) III. The counties ask this Court to substitute its judgment for that of the Legislature and to nullify two decades of legislative, executive and judicial decision-making. (*People v Finnegan*, 85 NY2d 53; *City of New York v Milhelm Attea & Bros., Inc.*, 550 F Supp 2d 332; *Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344; *Matter of Anonymous*, 40 NY2d 96; *People v Harris*, 98 NY2d 452; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *People ex rel. Eisman v Ronner*, 185 NY 285; *Ruland v Tuthill*, 187 App Div 20; *Matter of New York Assn. of Convenience Stores v Urbach*, 92 NY2d 204, 181 Misc 2d 589, 275 AD2d 520, 95 NY2d 931, 96 NY2d 717.)

Stephen J. Acquario, General Counsel, New York State Association of Counties, Albany, Robert W. Gibbon and Jeffrey D. Klein for New York State Association of Counties and another, amici curiae. I. Tax Law § 471 is the sole taxing authority for cigarette sales in New York. (*United States v Morrison*, 596 F Supp 2d 661.) II. New York State has authority to tax on- and off-reservation sales to non-natives. (*Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463; *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Washington v Confederated Tribes of Colville Reservation*, 447 US 134.) III. Tax Law § 471-e is inapplicable as it relates to the taxing authority provided under Tax Law § 471. (*Day Wholesale, Inc. v State of New York*, 51 AD3d 383.) IV. Tax Law §§ 471 and 471-e are not read together in order to create

the taxing authority necessary to collect the cigarette tax in this instance. (*People v Avilas, Inc.*, 29 AD3d 764; *Doe v State of New York*, 11 AD3d 579.) V. The lands in question are not part of a qualified reservation and therefore section 471-e of the Tax Law is inapplicable. (*Cayuga Indian Nation of N.Y. v Pataki*, 413 F3d 266; *City of Sherrill v Oneida Indian Nation of N. Y.*, 544 US 197.) VI. The Cayuga Indian Nation is not in compliance with the statutory burden to collect the tax. VII. The District Attorney and the County Sheriff had the authority to act in order to prevent plaintiff's illegal conduct. (*Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Di Falco*, 44 NY2d 482; *Liquifin Aktiengesellschaft v Brennan*, 446 F Supp 914; *Matter of Holtzman v Goldman*, 71 NY2d 564.) VIII. Plaintiff-respondent's tax revenue argument is without merit.

Patrick McKenna, General Counsel, American Cancer Society, Eastern Division, Inc., Albany, and *Schnader Harrison Segal & Lewis LLP*, New York City (*Bruce Strikowsky* and *Allison N. Fihma* of counsel), for American Cancer Society, amicus curiae. I. There is a direct inverse correlation between the price of cigarettes and rates of tobacco consumption. II. Excise taxes are particularly effective in reducing smoking among young people and pregnant women.

Michael A. Cardozo, Corporation Counsel, New York City (*Stephen J. McGrath*, *Victoria Scalzo*, *Eric Proshansky* and *William H. Miller* of counsel), for City of New York, amicus curiae. I. The Appellate Division majority's construction of Tax Law §§ 471 and 471-e is inconsistent with several provisions of the Tax Law and is contradicted by the legislative history. (*Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of Great Lakes-Dunbar-Rochester v State Tax Commn.*, 65 NY2d 339; *Matter of Fineway Supermarkets v State Liq. Auth.*, 48 NY2d 464.) II. The Legislature did not believe that regulations were necessary to impose a tax. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

Margaret A. Murphy, Hamburg, for Day Wholesale, Inc., amicus curiae. I. Through the administrative rule-making process, New York has adopted a policy of forbearance that allows non-tax-exempt consumers to purchase unstamped cigarettes from reservation cigarette sellers. (*Day Wholesale, Inc. v State of New York*, 51 AD3d 383; *Department of Fin. of City of N.Y. v New York Tel. Co.*, 262 AD2d 96; *Worcester v Georgia*, 6 Pet [31 US] 515; *Washington v Confederate Tribes of Colville Reservation*,

447 US 134; *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463; *Matter of New York Assn. of Convenience Stores v Urbach*, 275 AD2d 520, 95 NY2d 931, 96 NY2d 717, 534 US 1056; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Campagna v Shaffer*, 73 NY2d 237.) II. Until Tax Law § 471-e takes effect, Tax Law § 471-a continues as the only legislative mechanism for the collection of applicable taxes on reservations sales. (*Day Wholesale, Inc. v State of New York*, 51 AD3d 383; *Matter of United Univ. Professions v State of New York*, 36 AD3d 297; *Matter of Guardian Life Ins. Co. of Am. v Chapman*, 302 NY 226; *White Mountain Apache Tribe v Bracker*, 448 US 136; *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Keweenaw Bay Indian Community v Rising*, 477 F3d 881.)

OPINION OF THE COURT

GRAFFEO, J.

In this appeal involving a dispute between law enforcement authorities and the Cayuga Indian Nation concerning the collection of cigarette sales taxes, two principal issues are presented. The first is whether the Cayuga Indian Nation was entitled to a declaration that two convenience stores it operates in Central New York are located on “qualified reservation” property within the meaning of Tax Law § 470 (16) (a). The second is whether, absent the implementation of a statutory or regulatory scheme addressing the specific tax collection issues posed by the retail sale of cigarettes on Indian reservations, Nation retailers can be prosecuted for the possession and sale of untaxed cigarettes under Tax Law § 471.

I. The background of this dispute

The current controversy between the Cayuga Indian Nation and law enforcement authorities in Seneca and Cayuga Counties cannot be resolved without an understanding of New York State’s past efforts to collect taxes derived from the retail sale of cigarettes on Indian reservations. Since 1939, New York has imposed sales taxes on cigarettes sold in this state under Tax Law § 471, which generally requires the use of tax stamps that are purchased by cigarette wholesalers and then affixed to packages of cigarettes. Under the statute, the “agent”—typically the wholesaler—is “liable for the collection and payment of the tax on cigarettes . . . and shall pay the tax to the tax commission by purchasing” tax stamps (Tax Law § 471 [2]). Having prepaid the sales taxes, wholesalers pass the tax obligation on to

distributors who, in turn, collect the taxes from retailers, until they are finally paid by consumers. Thus, the “ultimate incidence of and liability for the tax [falls] upon the consumer” (Tax Law § 471 [2]). Tax Law § 1814 declares that it is a misdemeanor to willfully evade the cigarette tax.¹

Tax Law § 471 (1) recognizes that there are certain instances when the State must forgo cigarette tax collection because it is “without power to impose such tax.” At the time of its enactment in 1939, one of those situations included the sale of cigarettes occurring on Indian reservations since states were not authorized to tax goods sold by an Indian Nation on its reservation until 1976. That year the United States Supreme Court decided *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation* (425 US 463, 483 [1976]), which held that states may impose sales taxes on goods sold by members of an Indian nation on reservation land to purchasers who are not members of the nation, particularly when it is the non-Indian purchaser who bears the ultimate tax burden under state law.

In the aftermath of *Moe*, in 1988 the New York Department of Taxation and Finance promulgated regulations aimed at implementing a scheme to calculate and collect the sales taxes due from sales to non-Indians on reservation properties in New York. The regulations adopted a “probable demand” mechanism that limited the quantity of unstamped—i.e., “untaxed”—cigarettes that wholesalers or distributors could sell to tribes and tribal retailers. The Department would either project the “probable demand” for cigarettes attributable to members of a particular Indian tribe or nation, thereby restricting the quantity of unstamped cigarettes that could be sold to that tribe or nation to that estimated number, or enter into agreements with tribal leaders to determine probable demand. Tax exemption coupons would be issued to Indian retailers representing their monthly allotment under the probable demand formulation and the retailers could then exchange those coupons with wholesalers for unstamped cigarettes. Retailers were to sell unstamped cigarettes only to “qualified Indians,” who would be provided with individual exemption certificates to present to retailers when purchasing cigarettes.

The 1988 regulations were never implemented by the Department, however, because the proposed tax collection scheme was

1. Depending on the quantity of cigarettes involved and whether the offender has prior violations, evasion of cigarette sales taxes can constitute a felony (Tax Law § 1814 [a]-[c]).

immediately challenged by cigarette wholesalers who claimed the regulations were preempted by federal statutes governing trade with Indians. The litigation proceeded to the United States Supreme Court, which ultimately rejected the wholesalers' contention in 1994 (*see Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61 [1994]). The Supreme Court reaffirmed the principle articulated in *Moe* and further declared that "States may impose on reservation retailers minimal burdens reasonably tailored to the collection of valid taxes from non-Indians" (*id.* at 73). Thus, the Court recognized the authority of states to collect sales taxes relating to cigarettes sold to non-Indians on reservation property or other Indian lands provided the regulatory scheme is not "unduly burdensome" (*id.* at 76).

After analyzing New York's regulations, the *Milhelm* Court concluded that they were not preempted by federal laws regulating Indian trading, but it did not "assess for all purposes each feature of New York's tax enforcement scheme that might affect tribal self-government or federal authority over Indian affairs" (*id.* at 69). Without endorsing every aspect of the New York approach, the Supreme Court approved in principle the "probable demand" methodology, while acknowledging that an "inadequate quota may provide the basis for a future challenge to the application of the regulations" (*id.* at 75). The Court emphasized that "[i]f the Department's 'probable demand' calculations are adequate, tax-immune Indians will not have to pay New York cigarette taxes and neither wholesalers nor retailers will have to precollect taxes on cigarettes destined for their consumption" (*id.*).² Finally, the Court concluded that the record-keeping requirements imposed under the regulations were less onerous than comparable provisions that had been upheld in *Moe* and would not impermissibly interfere with Indian trading activities (*id.* at 76).

Because *Milhelm* was commenced by non-Indian wholesalers, the Supreme Court addressed the narrow preemption issue before it and did not fully explicate the interests of Indian nations or tribes affected by the regulations (*id.* at 68-70).

2. This appears to have been an important consideration in the Court's decision to sustain the regulations as it restated this proposition later in the opinion (*see Milhelm*, 512 US at 76 ["assuming that the 'probable demand' calculations leave ample room for legitimately tax-exempt sales, the precollection regime will not require prepayment of any tax to which New York is not entitled"]).

Although it rejected the wholesalers' facial challenge to the regulations, the Court was clearly aware of the enforcement difficulties that states faced when attempting to collect sales taxes directly from Indian tribes given their immunity from civil suits for nonpayment; it acknowledged that tax collectors must employ "alternative remedies" to ensure compliance, such as entering into agreements with the tribes, pursuing civil damages actions against individual members or engaging in off-reservation interdiction efforts (*id.* at 72).

Enforcement of the regulations was stayed during the course of the *Milhelm* litigation but the release of the decision in June 1994 seemingly paved the way for implementation. But, soon after *Milhelm* was decided, the Department announced that enforcement efforts would be delayed pending consideration of other issues arising from the decision and to allow for negotiations with the tribes in an attempt to enter into compacts or agreements pertaining to the collection of sales taxes. When the regulations had still not been put into effect more than a year later, an association of convenience store owners commenced an action in 1995 to compel enforcement of these regulations and similar provisions relating to sales taxes on motor fuel (*see Matter of New York Assn. of Convenience Stores v Urbach*, 92 NY2d 204 [1998]). The Association claimed that the equal protection rights of its members had been violated by the State's selective enforcement of cigarette and gasoline sales taxes and the policy of forbearance against Indian retailers who were selling untaxed cigarettes and gasoline to non-Indians at reservation stores.

Although the Association prevailed in the lower courts, which employed a strict scrutiny analysis in finding that the forbearance policy amounted to unlawful discrimination, this Court rejected that argument, concluding that distinctions between sales on Indian reservations and other types of sales did not implicate invidious racial classifications because of the unique status enjoyed by Indian tribes under federal law. We held that the classification should be subjected to the rational basis test, rather than strict scrutiny, but we did not proceed to apply that test since state policy had changed during the course of the litigation. Although the Department's policy of forbearance had initially been temporary, by the time the case was argued in this Court, it had become permanent—the Department announced in 1998 that it was repealing the regulations. In its notice of repeal, the Department explained that, as a practical matter, the regulations could not achieve their intended purposes and

that repeal was predicated on the “State’s respect for the Indian Nations’ sovereignty” (*id.* at 214, quoting 20 NY Reg, Apr. 29, 1998, Issue 17, at 23). “Since these rules provided the only regulatory framework for enforcing the motor fuel and cigarette taxes on Indian reservations, their repeal signified that the Tax Department has committed itself to withholding active enforcement on a long-term basis” (*New York Assn. of Convenience Stores*, 92 NY2d at 214). In light of this pronouncement, we remitted the case to the lower courts to assess, in the first instance, whether the now-permanent forbearance policy met the rational basis standard.

On remittal, both Supreme Court and the Appellate Division concluded that it did. The Appellate Division explained:

“The record . . . makes plain that the statutes cannot effectively be enforced without the cooperation of the Indian tribes. Because of tribal immunity, the retailers cannot be sued for their failure to collect the taxes in question, and State auditors cannot go on the reservations to examine the retailers’ records.

“Additionally, the Department cannot compel the retailers to attend audits off the reservations or compel production of their books and records for the purpose of assessing taxes. In that regard, representatives of the Department engaged in extensive negotiations with the tribes in an effort to arrive at an acceptable agreement. Those efforts were largely unsuccessful and the vast majority of the Indian retailers refused to register with the Department. In further efforts to enforce the statute, the State attempted interdiction, i.e., interception of tobacco and motor fuel shipments and seizure of those shipments that were found to be in noncompliance with the Tax Law. That strategy resulted in civil unrest, personal injuries and significant interference with public transportation on the State highways. In our view, all of these factors provide a rational basis for the differential treatment of the parties” (*Matter of New York Assn. of Convenience Stores v Urbach*, 275 AD2d 520, 522-523 [3d Dept 2000], *lv denied* 96 NY2d 717 [2001], *cert denied sub nom. New York Assn. of Convenience Stores v Roth*, 534 US 1056 [2001]).

The next significant policy shift occurred in 2003 when the Legislature adopted Tax Law § 471-e, which directed the Department to issue whatever regulations would be necessary to collect cigarette taxes on reservation sales to non-Indians (*see* former Tax Law § 471-e, added by L 2003, ch 62, part T3, § 4, as amended by L 2003, ch 63, part Z, § 4).³ As a result, the Department drafted a new set of regulations but they were never formally adopted. Consequently, in 2005, the Legislature amended Tax Law § 471-e by declaring that “qualified Indians” have a right to purchase tax-exempt cigarettes on the “qualified reservation” of their tribe or nation for their own consumption. The statute further clarified that “non-Indians making cigarette purchases on an Indian reservation shall not be exempt from paying the cigarette tax when purchasing cigarettes within this state” (Tax Law § 471-e [1]; *see* L 2005, ch 61, part K, §§ 1-2, as amended by L 2005, ch 63, part A, § 4 [a 2004 attempt to enact similar legislation had been foiled by gubernatorial veto]).

The amendment also incorporated the Department’s proposed regulations into Tax Law § 471-e, thereby creating a statutory mechanism for calculating and collecting sales taxes relating to on-reservation purchases by non-Indians. Although it differed from the 1988 regulatory scheme, Tax Law § 471-e also used a coupon system as the mechanism of enforcement. The Department was required to determine the “probable demand” for cigarettes by tribal members through various means (including potential agreements with the tribes) and periodically issue to the governing body of a tribe tax exemption coupons representing the amount of cigarettes likely to be consumed by tribal members each quarter. Cigarette wholesalers were to pay the sales taxes on all cigarettes in their possession, meaning all packages were to bear tax stamps, even those destined for on-reservation sales to tribe members. A tribe could purchase cigarettes for use by members without paying sales taxes by proffering tax exemption coupons provided by the Department. The wholesaler, in turn, would use the coupons to obtain a

3. Former Tax Law § 471-e provided:

“Where a non-native American person purchases, for such person’s own consumption, any cigarettes or other tobacco products on or originating from native American nation or tribe land recognized by the federal government and reservation land recognized as such by the state of New York, the commissioner shall promulgate rules and regulations necessary to implement the collection of sales, excise and use taxes on such cigarettes or other tobacco products” (L 2003, ch 63, part Z, § 4).

refund from the Department for its overpayment of cigarette taxes (the wholesaler would have already paid the sales taxes on the cigarettes it provided to the tribes in exchange for the coupons).⁴

The effective date provision applicable to Tax Law § 471-e (L 2005, ch 63, part A, § 4, amending L 2005, ch 61, part K, § 7) directed that the statute “shall take effect March 1, 2006, provided that any actions, rules and regulations necessary to implement the provisions of this act on its effective date are authorized and directed to be completed on or before such date.” But the Department did not meet this deadline. It did not make the “probable demand” calculations or issue the tax exemption coupons that were integral to the tax collection methodology. In a March 16, 2006 advisory opinion, the Department explained that it intended to continue its policy of forbearance, meaning that it would not actively attempt to collect from wholesalers, distributors or Indian retailers, cigarette sales taxes associated with on-reservation sales (see NY St Dept of Taxation & Fin Advisory Op No. TSB-A-O6[2]M, available at http://www.tax.state.ny.us/pdf/advisory_opinions/misc/a06_2m.pdf). The Department further advised that, if it “revise[d] its policy in the future, it [would] provide adequate notice to all affected stamping agents” (*id.*)

Soon after the proposed effective date passed, a cigarette wholesaler and a tribal retailer initiated a declaratory judgment action against the State and the Attorney General (who had threatened to enforce the statute, despite the Department’s forbearance policy) seeking a determination that the amended version of Tax Law § 471-e was not enforceable, together with a preliminary injunction precluding any enforcement efforts. Supreme Court granted the preliminary injunction, reasoning that the statute was not in effect because the conditions precedent in the effective date provision had not been fulfilled and, in May 2008, the Appellate Division agreed (see *Day Wholesale, Inc. v State of New York*, 51 AD3d 383 [4th Dept 2008]). The appellate court noted:

4. In this significant respect, the tax collection methodology codified in 2005 in Tax Law § 471-e differed from the system adopted in the 1988 regulations. The statute requires prepayment of taxes on cigarettes ultimately involved in tax-exempt sales, in contrast to the 1988 regulations which, as emphasized in *Milhelm*, did not require wholesalers to prepay taxes on cigarettes destined for consumption by tax-exempt Indian purchasers (see *Milhelm*, 512 US at 75, 76).

“there is no question that the Legislature intended to create a procedure that would permit the State to collect cigarette taxes on reservation sales to non-Indians and non-members of the nation or tribe while simultaneously exempting from such tax reservation sales to qualified Indian purchasers. Because both aspects of the procedure must function simultaneously, the Legislature provided for a system utilizing Indian tax exemption coupons to distinguish taxable sales from tax-exempt sales. Without the coupon system in place, cigarette wholesale dealers and reservation cigarette sellers have no means by which to verify sales to tax-exempt purchasers” (*id.* at 387).

The preliminary injunction issued in *Day* has not been disturbed and the parties in this case agree that Tax Law § 471-e is not “in effect” and therefore remains unenforceable.⁵ Thus, at present, there is no enforceable statutory or regulatory scheme specifically addressing the calculation or collection of taxes arising from the on-reservation retail sale of cigarettes. Moreover, the Department—the agency charged by the Legislature with the collection of the taxes—has not to date implemented a system that uses Indian retailers as an intermediary for collection of cigarettes sales taxes from consumers.⁶

Against this historical synopsis, we turn to the facts giving rise to this controversy.

5. The decision in *Day* is not before this Court for review and we express no view on the issue presented in that case. For purposes of this appeal, we merely assume, as do the parties and the dissent, that Tax Law § 471-e is not “in effect.”

6. While this appeal has been pending before us, the Department of Taxation and Finance has announced a change in policy. On February 23, 2010, it withdrew its March 16, 2006 Advisory Opinion and announced new proposed regulations that, when implemented, will impose a tax exemption coupon system for the collection of sales taxes. Notably, one of the proposed regulations assumes that the Cayuga Indian Nation has a reservation and is selling cigarettes on that property since it includes the Cayuga among the list of tribes for whom “the probable demand of the qualified Indians on the nation’s or tribe’s qualified reservation” must be calculated and makes a preliminary calculation of the Nation’s probable demand (*see* proposed 20 NYCRR 74.6 [f] [2] [i], available at <http://www.tax.state.ny.us/pdf/rulemaking/feb2310/agentcertification/text.pdf>). This development does not moot the issues presented in this case, however, since defendants’ enforcement efforts are predicated on alleged past violations of the Tax Law and the proposed regulations will not become effective until completion of the formal procedure required under the State Administrative Procedure Act.

II. This litigation

Plaintiff Cayuga Indian Nation operates two convenience stores in Cayuga and Seneca Counties on parcels of real property it purchased on the open market in 2003. The parcels are situated on what had been the Nation's approximately 65,000-acre aboriginal reservation but, by 1807, title to all of this reservation property had been transferred to the State and subsequently purchased by private successors in interest. The Nation acknowledges that it sells cigarettes on these properties both to its tribal members and non-Indian consumers and that the cigarettes do not bear tax stamps evidencing payment of New York cigarette sales taxes. For purposes of this litigation, it is also undisputed that Nation retailers at these two locations are involved in retail sales to consumers—not cigarette wholesaling activities.

In September 2008, the District Attorneys of Seneca and Cayuga Counties wrote to the Commissioner of Taxation and Finance requesting the Department's assistance in preventing the sale of untaxed cigarettes and other products by the Nation's retailers. In response, the Commissioner advised: "Governor Paterson is currently engaged in discussions with New York's Native American nations and tribes in an effort to resolve the many complex and important issues that have confounded multiple administrations for decades. Given these circumstances, we are constrained not to participate in your investigations." The Commissioner further expressed the "hope" that they would "exercise care to avoid taking actions that might disrupt or undermine the Governor's current global negotiations."

Dissatisfied with the Department's response, law enforcement authorities in both counties decided to pursue their own enforcement efforts. In November 2008, they obtained and executed search warrants in both stores operated by the Nation, confiscating the inventories of unstamped cigarettes, among other items. At that time, no criminal action had been commenced against the Nation, any of its members or any other individual in connection with the sale of cigarettes at the convenience stores.

The day after the warrants were executed, the Cayuga Indian Nation brought this declaratory judgment action against the Sheriffs and District Attorneys of Cayuga and Seneca Counties (hereinafter DAs). Because Tax Law § 471-e—the statute that

creates a specialized tax exemption coupon system for the collection of taxes associated with the on-reservation retail sale of cigarettes—is not in effect, the Nation sought a declaration that it is under no obligation to collect and transmit to the Department sales taxes on the cigarettes it sells to consumers in its stores because they are located on “qualified reservation” property within the meaning of Tax Law § 470 (16) (a). Contending that no laws were being violated, the Nation claimed that the law enforcement authorities lacked the power to obtain a search warrant or seize property and demanded the return of the confiscated items. The Nation also sought an injunction barring the authorities from alleging that the Nation, or any of its employees, was violating the Tax Law by possessing or selling unstamped cigarettes on reservation land, asserting that such injunctive relief should remain in effect until a system for calculating and collecting the taxes stemming from on-reservation retail sales is properly put in place by the Department of Taxation and Finance.

The Nation moved for a preliminary injunction and the DAs cross-moved to dismiss the action arguing that the Nation could not evade the application of criminal laws by commencing a declaratory judgment action. In the alternative, the DAs asserted that their motion should be converted to an application for summary judgment because the facts were undisputed and the issue distilled to whether the convenience stores were located on a reservation and, if so, whether District Attorneys could enforce the existing criminal laws governing the collection of cigarette sales taxes in that context. During oral argument on the cross motions, the Nation agreed that the pending applications should be treated as requests for summary judgment.

Because no criminal action was pending against the Nation or any other individual associated with the operation of the convenience stores, Supreme Court concluded that the Nation could pursue its declaratory judgment action insofar as it challenged the scope and enforceability of the relevant cigarette tax statutes, but it could not contest the validity of the search warrant or the propriety of its execution in a collateral civil action. It therefore dismissed the action to the extent it challenged the search warrant or sought return of the property that had been

seized (21 Misc 3d 1142[A], 2008 NY Slip Op 52478[U]).⁷ The court then rejected the Nation's remaining claims on the merits, concluding that Tax Law § 471—the general statute that imposes a tax on cigarettes sold in New York—precluded any retailer, including an Indian nation engaging in on-reservation sales to consumers, from possessing or selling unstamped cigarettes. The court reasoned that the DAs could use a criminal prosecution to enforce the general directive in Tax Law § 471, even though Tax Law § 471-e was not in effect. Supreme Court also concluded that the sales in question did not occur on a “qualified reservation” within the meaning of Tax Law § 470 (16) (a), nor could the Nation exercise sovereign power over the property based on the analysis of the United States Supreme Court in *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]).

In the days following Supreme Court's decision, the DAs indicated that sealed indictments had been handed up by grand juries in Cayuga and Seneca Counties. But the individuals or entities named in those indictments have not been disclosed, nor has the criminal prosecution progressed, because the Nation appealed Supreme Court's order to the Appellate Division, which reversed the order insofar as appealed from and granted declaratory relief to the Nation (66 AD3d 100 [2009]).

The Appellate Division agreed with Supreme Court that the declaratory judgment action could proceed because no criminal charge was pending at the time the civil action was initiated. But it unanimously rejected Supreme Court's analysis of the qualified reservation issue, concluding that the Nation was entitled to a declaration that the convenience stores were situated on property that qualified as a reservation within the meaning of Tax Law § 470 (16) (a). The Appellate Division split, however, regarding Supreme Court's interpretation of Tax Law § 471. The majority rejected the argument that the general statute provided an independent basis for enforcement action against the Nation or its employees, holding that a cigarette tax cannot be collected from an Indian nation (and, as a result, criminal penalties for noncompliance with the cigarette tax laws cannot be pursued) without a system in place that permits

7. It is not clear that the Nation appealed that part of Supreme Court's judgment to the Appellate Division, nor does the Nation argue in this Court that Supreme Court erred in dismissing the portions of its complaint challenging the execution of the search warrant. We therefore have no occasion to address that issue.

wholesale dealers and reservation sellers to lawfully distinguish between cigarettes destined to be sold to tax-exempt purchasers (members of the Cayuga Nation) and those earmarked for sale to other consumers. Given that sales by Indians to members of their tribe are tax-exempt under federal law, the majority viewed Tax Law § 471 as insufficient to establish the procedures for the lawful imposition and collection of such a tax. A single Justice dissented on the scope of Tax Law § 471, concluding that the provision unreservedly imposes a tax on all cigarettes sold in New York, including on-reservation retail sales to non-Indians, and the absence of a specialized collection mechanism did not preclude prosecution of Indian retailers for failing to collect the taxes. The Appellate Division granted the DAs leave to appeal to this Court, certifying the question: “Was the order of this Court . . . properly made?”

III. The propriety of the declaratory judgment action

[1] We first address an important procedural issue. Relying on our decision in *Kelly’s Rental v City of New York* (44 NY2d 700 [1978]), the DAs assert that this declaratory judgment action—which was commenced the day after the search warrants were executed—should have been dismissed on the ground that it would interfere with a pending criminal prosecution. Both lower courts rejected this argument as do we.

The general rule is that, once a criminal action has been initiated, a criminal defendant may not bring a declaratory judgment action to raise a statutory interpretation or other issue that can be adjudicated in the criminal prosecution (*see generally Reed v Littleton*, 275 NY 150 [1937]; *New York Foreign Trade Zone Operators, Inc. v State Liq. Auth.*, 285 NY 272 [1941]; *see e.g. Kelly’s Rental, supra*).⁸ The prohibition on declaratory judgment actions in this circumstance is comparable to the rule generally precluding a writ of prohibition by a criminal defendant—an adequate opportunity to raise legal arguments and receive appropriate relief will be available to the defendant in the criminal prosecution, particularly given a defendant’s right to appeal adverse rulings in the event of a

8. This rule does not foreclose a party, based solely on their status as a criminal defendant, from raising issues in a declaratory judgment action that cannot be resolved in the criminal action and that, even if sustained, will not supply a basis to prevent the prosecution or collaterally attack the conviction (*cf. Hurrell-Harring v State of New York*, 15 NY3d 8 [2010]).

conviction.⁹ Before a criminal action is commenced, however, a declaratory judgment action may be entertained in the discretion of the court if “the constitutionality or legality of a statute or regulation is in question and no question of fact is involved” (*Ulster Home Care v Vacco*, 255 AD2d 73, 77 [3d Dept 1999]; see *New York Foreign Trade Zone Operators*, *supra*).

The DAs point out that, in *Kelly’s Rental*, we stated that “[a] party against whom a criminal proceeding is pending may not seek declaratory relief” (44 NY2d at 702) and therefore referred to the commencement of a “criminal proceeding” as the point when a defendant is foreclosed from bringing such an action, rather than the commencement of a criminal action. As they correctly note, under the Criminal Procedure Law, the filing of a search warrant application commences a “criminal proceeding” (see CPL 1.20 [18]; see *Matter of B. T. Prods. v Barr*, 54 AD2d 315, 319-320 [1976], *affd* 44 NY2d 226 [1978]) while a “criminal action” is not initiated until an accusatory instrument is filed against a defendant (see CPL 1.20 [16]).

Our holding in *Kelly’s Rental* falls neatly within the general rule. In that case, a private car rental company initiated an action seeking a declaration that a New York City Administrative Code provision imposing a licensing requirement did not apply to private car rental companies. Noting that the company and its employees had received “numerous summonses to appear in Criminal Court for alleged violations” of the provision, we concluded that “[a] party against whom a criminal proceeding is pending may not seek declaratory relief” (*Kelly’s Rental*, 44 NY2d at 702). It was evident in that case that criminal prosecutions had been commenced against individual defendants, including the private car rental company, which barred the company’s pursuit of declaratory relief in a collateral, civil action.

[2] We did not cite the Criminal Procedure Law in *Kelly’s Rental*, nor did we mean to invoke the definition embodied therein when we used the phrase “criminal proceeding” informally instead of the more technically accurate “criminal action” to describe the procedural posture of the underlying prosecution. Our holding in *Kelly’s Rental* did not expand the

9. In contrast, because their right to appeal adverse rulings in criminal cases is severely circumscribed, the People can initiate a declaratory judgment action in certain limited circumstances to challenge an interlocutory ruling by a criminal court (see *Matter of Morgenthau v Erlbaum*, 59 NY2d 143 [1983], *cert denied* 464 US 993 [1983]).

rule precluding the use of declaratory judgment actions to encompass situations like this one where a search warrant application was executed but no party was named as the defendant and no accusatory instrument had been filed against any person or company at the time civil relief was sought. A search warrant often targets a place without identifying a defendant. As such, it is not accurate to say that, in every case where a search warrant application has been filed, a criminal prosecution has been commenced, particularly since a warrant may be requested long before a decision is made to file criminal charges. A party is not categorically precluded from initiating a declaratory judgment action based on nothing more than the execution of a search warrant when the issue to be raised involves a pure question of law—such as a query concerning the scope and interpretation of a statute or a challenge to its constitutional validity—and the facts relevant to that issue are undisputed, as they are here. Because no criminal action had been initiated against any identified party at the time this declaratory judgment action was commenced, the decision whether the action could be entertained fell soundly within the realm of discretion possessed by the lower courts and we discern no abuse of that discretion in the denial of the motion to dismiss.

IV. Whether the Nation’s convenience stores are located on a “qualified reservation” under Tax Law § 470 (16) (a)

Although it is undisputed that the reacquired land on which the convenience stores are situated falls within the Cayuga aboriginal reservation, the DAs maintain that the property does not meet the definition of a “qualified reservation” under Tax Law § 470 (16) (a). Hence, they contend that, even assuming that the general statutes criminalizing the possession and sale of unstamped cigarettes cannot be enforced against Indian retailers engaged in on-reservation sales as the Nation asserts, they can be enforced against the Nation and its employees because the convenience stores are not located on a reservation.

Whether the convenience stores sit on reservation land presents a critical threshold consideration. Federal law currently precludes a state from collecting cigarette sales taxes on sales by Indians to members of their own tribe or nation only if those sales occur on a reservation or other Indian lands (*see e.g. Moe, supra*, 425 US 463 [1976]). If the convenience stores are not on parcels entitled to recognition as reservation land, no federal exemption applies to any of the cigarette sales associated with

that location, regardless of the status of the customers who purchase the cigarettes. And if all of the transactions are taxable, the lack of a specific calculation or collection methodology that distinguishes between sales to members of the tribe and sales to other consumers is irrelevant and cannot be asserted as a basis to avoid compliance with the general cigarette sales tax statutes that govern the behavior of every other New York cigarette retailer.

The Nation contends that the two convenience stores stand on parcels that fall within the definition of a “qualified reservation” under Tax Law § 470 (16), which provides:

“16. ‘Qualified Reservation.’

“(a) Lands held by an Indian nation or tribe that is located within the reservation of that nation or tribe in the state;

“(b) Lands within the state over which an Indian nation or tribe exercises governmental power and that are either (i) held by the Indian nation or tribe subject to restrictions by the United States against alienation, or (ii) held in trust by the United States for the benefit of such Indian nation or tribe;

“(c) Lands held by the Shinnecock Tribe or the Poospatuck (Unkechaug) Nation within their respective reservations; or

“(d) Any land that falls within paragraph (a) or (b) of this subdivision, and which may be sold and replaced with other land in accordance with an Indian nation’s or tribe’s land claims settlement agreement with the state of New York, shall nevertheless be deemed to be subject to restriction by the United States against alienation.”

This provision was added to the cigarette sales tax article at the same time that Tax Law § 471-e was amended in 2005 and was intended to define the terms used in that statute (*see* L 2005, ch 61, part K). Despite the controversy over Tax Law § 471-e, neither party has argued that section 470 (16) is not “in effect.”

The Nation claims that the convenience store properties are covered by paragraph (a) because they are “[l]ands held by an Indian nation or tribe” since the Nation possesses title and they are located within the Nation’s aboriginal reservation, which has never been extinguished or disestablished by the federal

government—the only entity with the power to divest property of its reservation status. Thus, the Nation argues that the term “reservation” in paragraph (a) refers to property recognized as such by the federal government.

The DAs counter that the term encompasses only reservations that had previously been recognized by the State Department of Taxation and Finance. Relying on the fact that, in a general tax exemption regulation promulgated pursuant to Tax Law § 1116 in 1982 (*see* 20 NYCRR 529.9), the Cayuga Nation was not included on a list of tribes with reservations in New York, they assert that the term “reservation” cannot be deemed to include property owned by the Nation.

[3] We conclude that, when the Legislature used the term “reservation” in Tax Law § 470 (16) (a), it intended to refer to any reservation recognized by the United States government. Our analysis begins with the observation that paragraphs (a) and (b) of Tax Law § 470 (16) appear to have been modeled after the definition of “Indian lands” in the federal Indian Gaming Regulatory Act (IGRA) (*see* 25 USC § 2703 [4]). Under IGRA, “Indian lands” encompass

“(A) all lands within the limits of any Indian reservation; and

“(B) any lands title to which is either held in trust by the United States for the benefit of any Indian tribe or individual or held by any Indian tribe or individual subject to restriction by the United States against alienation and over which an Indian tribe exercises governmental power” (*id.*)

The Legislature’s decision to borrow the language from this federal statute relating to Indian affairs strongly indicates its intention to include within the definition of a “qualified reservation” property that has been recognized as a reservation by the federal government.

The structure of Tax Law § 470 (16) certainly supports this conclusion since paragraphs (c) and (d)—provisions that have no analogue in IGRA or any other federal statute—address uniquely state concerns. Rather than creating a general definition of reservation property, paragraph (c) identifies two tribes by name, bringing within the definition of “qualified reservation” lands held by the Shinnecock Tribe or the Poospatuck (Unkechauge) Nation within their respective reservations. Because those tribes have been recognized by New York State

but not the United States government, they have not attained the status of a federally recognized reservation.¹⁰ Paragraph (d) similarly covers lands that have received special recognition from New York as that paragraph includes property acquired as a result of the settlement of Indian land claims brought against the State.

Thus, if paragraph (a) had been intended to refer only to reservations recognized by the New York government as the DAs claim, paragraph (c) would have been unnecessary because the term “reservation” in paragraph (a) would already embrace the New York tribes separately named in paragraph (c). Clearly, paragraph (a) was intended to refer to reservations recognized by the federal government while paragraph (c) refers to reservations recognized only by New York State. It is evident from the language and structure of Tax Law § 470 (16) that the Legislature used IGRA as a template for paragraphs (a) and (b)—the provisions referencing Indian lands recognized by the federal government—and then added two additional paragraphs to address reservation property that presented unique state concerns. Thus, the term “reservation” appearing in paragraph (a) references reservation lands recognized by the federal government.

Viewed in this light, the “qualified reservation” question distills to whether the convenience store parcels are viewed as reservation property under federal law. This question cannot be answered without examination of the history of the Cayuga Indian Nation in New York. The Nation is one of the Six Nations of the Iroquois Confederacy that operated in Central New York before the United States was formed. Soon after the adoption of the Federal Constitution, Congress passed what has come to be known as the “Nonintercourse Act,” arrogating to itself the exclusive power to regulate commerce with Indian tribes and nations that it had recognized. This Act barred the sale of tribal land without the explicit permission of the federal government.

In the 1794 Treaty of Canandaigua, the United States recognized that the Cayuga Indian Nation possessed an

10. “Although the State of New York formally recognizes the Unkechaug Nation, the Tribe has no relationship with the federal government” (*City of New York v Golden Feather Smoke Shop, Inc.*, 2009 WL 705815, *12, 2009 US Dist LEXIS 20953, *37 [ED NY 2009]). The Shinnecock Tribe is also recognized by New York but has not yet succeeded in its long-standing efforts to obtain federal recognition, although formal recognition from the United States government may soon be forthcoming (see Hakim, *U.S. Eases Way to Recognition for Shinnecock*, New York Times, Dec. 16, 2009, at A1).

approximately 64,000-acre reservation in Central New York (prior to the ratification of the Federal Constitution, the New York government had similarly recognized this reservation). Despite the federal restriction on the alienability of Indian lands contained in the Nonintercourse Act, in 1795 and 1807, the State of New York entered into agreements with the Nation that resulted in the Nation surrendering fee title to all of its reservation lands. Some members of the Cayuga Nation then left New York while others took up residence on the Seneca Nation's New York reservation, where some descendants continue to reside.

Although the Nation no longer possessed fee title to any of its aboriginal reservation lands after 1807, under federal law, the absence of a fee interest is not determinative of the issue of reservation status. It is well settled that only Congress has the power to disestablish or diminish a reservation (*see City of Sherrill*, 544 US at 215 n 9). “Once a block of land is set aside for an Indian Reservation and no matter what happens to the title of individual plots within the area, the entire block retains its reservation status until Congress explicitly indicates otherwise” (*Solem v Bartlett*, 465 US 463, 470 [1984]). Thus, the fact that the Nation entered into transactions transferring title to its aboriginal reservation property—including the convenience store parcels that were later reacquired—does not resolve the issue of whether the property in question retained its reservation status under federal law.

In various federal lawsuits, New York has claimed that the 1838 Treaty of Buffalo Creek disestablished some of the reservations that had been recognized in 1794, including the Cayuga reservation. But to date that argument has not been credited by the federal courts. As the Second Circuit noted in *Cayuga Indian Nation of N.Y. v Pataki*, “the Treaty of Buffalo Creek neither mentions Cayuga land or Cayuga title in New York, nor refers to the 1795 or 1807 treaties” between New York and the Cayuga (413 F3d 266, 269 n 2 [2d Cir 2005], *cert denied* 547 US 1128 [2006]). It appears that every federal court that has examined whether the Cayuga reservation was disestablished or diminished by Congress has answered that question in the negative (*see Cayuga Indian Nation of N.Y. v Village of Union Springs*, 317 F Supp 2d 128 [ND NY 2004] [1795 and 1807 transfers of land to New York violated Nonintercourse Act and were void ab initio and Congress did not disestablish or diminish Cayuga reservation in Treaty of Buffalo Creek], *action dismissed on*

other grounds 390 F Supp 2d 203 [ND NY 2005]; *Cayuga Indian Nation of N.Y. v Cuomo*, 758 F Supp 107 [ND NY 1991] [lands reserved to Cayuga in 1794 Treaty of Canandaigua could only be divested by Congress] and 730 F Supp 485 [ND NY 1990] [1795 and 1807 conveyances of land to New York were invalid under Nonintercourse Act and were not approved by Congress in the Treaty of Buffalo Creek], *action dismissed on other grounds sub nom. Cayuga Indian Nation of N.Y. v Pataki*, *supra*, 413 F3d 266 [2005]). Moreover, when the Nation purchased the convenience store properties in 2003, it applied to the United States government to have the parcels taken in trust on behalf of the tribe pursuant to 25 USC § 465. The United States Department of Interior, Bureau of Indian Affairs, has identified the land in question as within the limits of the Cayuga reservation; the fee-for-trust application remains pending and is being processed as a request pertaining to “on reservation” land.

To be sure, the Supreme Court has not yet determined whether parcels of aboriginal lands that were later reacquired by the Nation constitute reservation property in accordance with federal law. Its answer to that question would settle the issue. But based on existing precedent and federal consideration of the fee-for-trust application, the United States government continues to recognize the existence of a Cayuga reservation in New York, as noted in the amicus brief submitted by the United States in support of the Nation’s position. In the absence of contrary federal authority, we necessarily must conclude that the convenience store properties in this case meet the definition of a “qualified reservation” under Tax Law § 470 (16) (a).

The DAs’ reliance on the United States Supreme Court’s decision in *City of Sherrill v Oneida Indian Nation of N.Y.* (*supra*, 544 US 197 [2005]) to the contrary is misplaced. In *City of Sherrill*, the Supreme Court applied the doctrines of laches, acquiescence and impossibility to bar a claim by the Oneida Indian Nation that its repurchase of aboriginal reservation lands resulted in the reassertion of that tribe’s sovereign authority relieving the tribe of the obligation to pay real property taxes on the reacquired parcels. Emphasizing the disruptive nature of the real property tax exemption claim, the Court noted that “[p]arcel-by-parcel revival of their sovereign status, given the extraordinary passage of time, would dishonor the historic wisdom in the value of repose” and lead to “[a] checkerboard of alternating state and tribal jurisdiction in New York State—created unilaterally at [the Oneida Nation’s] behest” (*id.* at

219-220 [internal quotation marks omitted]). It concluded that this would “seriously burden the administration of state and local governments and would adversely affect landowners neighboring the tribal patches” (*id.* at 220 [internal quotation marks and brackets omitted]).

Because the Oneida history in New York is similar to that of the Cayuga Nation, the DAs argue that the rejection of the Oneida real property tax exemption claim in *City of Sherrill* compels us to reject the Nation’s argument in this case that the land it reacquired constitutes “qualified reservation” land within the meaning of Tax Law § 470 (16) (a). They point out that, in the wake of *City of Sherrill*, claims by the Nation seeking possession of land sold to New York in the late eighteenth century have been dismissed by the federal courts under the doctrines of laches, acquiescence and impossibility (*see Cayuga Indian Nation of N.Y. v Pataki, supra*, 413 F3d 266 [2005]). And a claim by the Cayuga that they were exempt from zoning and land use laws on reacquired property in the tribe’s aboriginal reservation has similarly been dismissed based on the *City of Sherrill* analysis, under the rationale that avoidance of zoning and land use laws would be just as disruptive as avoidance of real property taxes (*see Cayuga Indian Nation of N.Y. v Village of Union Springs*, 390 F Supp 2d 203 [ND NY 2005]).

In *City of Sherrill* and its progeny, Indian nations and tribes relied on the doctrine of sovereign authority, claiming that their reacquisition of aboriginal reservation lands automatically and unilaterally allowed them to claim immunity from state real property tax and zoning laws. As the Supreme Court explained, the tribe asserted that reacquisition of the land allowed it to “rekindl[e] embers of sovereignty that long ago grew cold” (*City of Sherrill*, 544 US at 214). This is the argument that was rejected in *City of Sherrill* and the subsequent precedent.

In this case, however, the Nation does not suggest that its reacquisition of the convenience store parcels revives its ability to exert full sovereign authority over the property. Rather than seeking immunity from state tax laws, it is actually relying on state tax laws; the Nation contends that, under the plain language of Tax Law § 470 (16) (a), the property it reacquired constitutes “qualified reservation” property.

City of Sherrill dealt with whether a tribe could exercise sovereign power over reacquired land for purposes of avoiding real property taxes—not whether reacquired land is ascribed

reservation status under federal law. As to the latter, the lower courts in *City of Sherrill* had held that aboriginal reservation property sold by the Oneida Nation in the early 1800s that had been recently reacquired constituted “Indian country” under 18 USC § 1151 (a), defined as “all land within the limits of any Indian reservation under the jurisdiction of the United States Government.” They rejected the assertion by the municipal defendants in that case that the Oneida reservation had been lawfully disestablished by the federal government in the 1838 Treaty of Buffalo Creek. The Supreme Court reaffirmed the principle that “only Congress can divest a reservation of its land and diminish its boundaries” (544 US at 215 n 9 [internal quotation marks omitted]) and did not disturb the holding that the reacquired property constituted Indian country, noting that it did not need to decide whether the Treaty of Buffalo Creek disestablished the Oneida reservation (*City of Sherrill*, 544 US at 215 n 9; *see also id.* at 223 [Stevens, J., dissenting] [noting that the majority accepted the conclusion of the lower courts that the Oneida reservation had never been disestablished or diminished by Congress and that “all of the land owned by the Tribe within the boundaries of its reservation qualifies as Indian country”]). In other words, even assuming that the reservation was not disestablished and that the reacquired land was reservation property as the District Court and Second Circuit had held, the doctrines of laches, acquiescence and impossibility still precluded reassertion by the tribe of sovereign authority over the property for purposes of real property taxation. In decisions postdating *City of Sherrill*, federal courts have continued to hold that the parcels reacquired by the Oneida possess reservation status for various purposes, despite the Oneida’s inability to exercise full sovereign authority over those lands (*see e.g. Oneida Indian Nation of N.Y. v Madison County*, 401 F Supp 2d 219 [ND NY 2005], *affd* 605 F3d 149, 157 n 6 [2d Cir 2010] [Second Circuit noted that its prior holding in *City of Sherrill* concluding that the Oneida reservation was never disestablished was not disturbed by the Supreme Court and “therefore remains the controlling law of this circuit”]). Although *City of Sherrill* certainly would preclude the Cayuga Nation from attempting to assert sovereign power over its convenience store properties for

the purpose of avoiding real property taxes,¹¹ the decision simply does not establish that the convenience stores are not located on a reservation recognized by the United States government.

The DAs argue that realty cannot be ascribed reservation status if the Indian nation cannot fully exercise sovereign power over it. But *City of Sherrill* suggests exactly the opposite. The Supreme Court expressly declined to reach the issue of whether the Second Circuit erred in concluding that the Oneida reservation had not been disestablished; the Court assumed that the property reacquired by the tribe was reservation property but nonetheless held that the Oneida Nation could not unilaterally exert sovereign authority over it for purposes of avoiding real property taxes.

And Tax Law § 470 (16) itself makes a distinction between reservation property and property over which an Indian nation or tribe has sovereign authority. Paragraph (a) on which the Cayuga Nation relies refers to land held by an Indian nation within the “reservation” of that nation, without any reference to the tribe’s ability to exercise sovereign power over that land. In contrast, sovereign authority is addressed in paragraph (b), which defines “qualified reservation” as including “[l]ands within the state *over which an Indian nation or tribe exercises governmental power*” (Tax Law § 470 [16] [b] [emphasis added]). Thus, the Tax Law distinguishes between one type of “qualified reservation” land over which a tribe exercises governmental power (paragraph [b]) and another which has been ascribed “reservation” status under federal law (paragraph [a]). This is consistent with the federal statutes authorizing the United States to hold property in trust for an Indian tribe, a process that results in the tribe being able to exercise some measure of sovereign authority over recently acquired lands, whether they were or were not a part of its aboriginal reservation. If property is not a reservation unless the tribe can exercise governmental authority over it as the DAs maintain, then it would have been unnecessary to include paragraph (a) since all reservation property would fall within paragraph (b)’s “governmental power” provision.

Our conclusion that the Nation’s convenience store properties meet the definition of “qualified reservation” in Tax Law § 470

11. The Cayuga Indian Nation acknowledges its obligation to pay real property taxes and comply with local zoning and land use laws on these parcels and it is undisputed that the Nation has, to date, fulfilled those obligations.

(16) (a) is also consistent with the legislative history of that provision. As the DAs correctly point out, the Supreme Court issued its decision in *City of Sherrill* before Tax Law § 470 (16) (a) was approved. Thus, the fact that the Supreme Court had recognized that an Indian nation might possess reservation property over which it could not exercise aspects of its traditional sovereign power would have been known to the Legislature at the time the statute was enacted. Yet the Legislature nevertheless adopted a statute that distinguishes between reservation land and property over which Indian nations exercise governmental power—and crafted a definition of “qualified reservation” that encompassed both.

In addition, it is notable that the Legislature chose to include in Tax Law § 470 (16) (a) a general definition of qualified reservation that does not reference specific tribes. This was a departure from the approach that had been taken by the Department in a 1982 general tax exemption regulation, which contained a list of tribes with recognized Indian reservations that did not include the Cayuga Indian Nation (*see* 20 NYCRR 529.9 [a] [2]).¹² Although the DAs suggest that this omission is evidence that the Department does not recognize reacquired property as having reservation status,¹³ we do not find the omission to bear that significance given that, at the time the regulation was promulgated, the Nation did not possess fee title to any property in this state, having not yet reacquired any parcel of its aboriginal reservation.¹⁴

12. Since 1976, however, the Nation has been listed as a tax-exempt organization in Tax Law § 1116 (a) (6), the regulation’s enabling statute.

13. Based on the regulations proposed in February 2010, it appears that the Department of Taxation and Finance now recognizes that properties reacquired by the Nation in the past decade can have reservation status as the regulations include the Cayuga Indian Nation among the list of tribes for whom “the probable demand of the qualified Indians on the nation’s or tribe’s qualified reservation” must be calculated and makes a preliminary calculation of the Nation’s probable demand (20,100 packs of cigarettes per quarter) (*see* proposed 20 NYCRR 74.6 [f] [2] [i]). Since the Nation owned no property in New York prior to 2003, the inclusion of the Nation in this regulation can only be interpreted as an acknowledgment that recently acquired property can meet the definition of “qualified reservation” in Tax Law § 470 (16), as we have concluded.

14. The Legislature appears to have made a considered decision, when adopting the definition of “qualified reservation” for purposes of the 2005 legislation, not to follow the approach previously taken by the Department in the 1982 regulation; rather than listing all the tribes that had reservations in New York, it enacted a general definition that borrowed language from IGRA,

(n. cont’d)

The DAs further rely on the definition of “qualified Indian” in Tax Law § 470 (15) in support of their argument that the convenience stores are not located on a “qualified reservation.” This term, intended to identify Indians who can purchase cigarettes tax free under the collection mechanism in Tax Law § 471-e, defines “qualified Indian” to include: “A person duly enrolled on the tribal rolls of one of the Indian nations or tribes. In the case of the Cayuga Indian Nation of New York, such term shall include enrolled members of such nation when such enrolled members purchase cigarettes on any Seneca reservation” (Tax Law § 470 [15]). In their view, this provision represents an explicit recognition by the Legislature that the Cayuga have no reservation land of their own and therefore negates the argument that the reacquired parcels can constitute Cayuga reservation land under Tax Law § 470 (16) (a). We are unpersuaded.

Tax Law § 470 (15) accounts for the fact that, until 2003, the Cayuga Nation did not own any land in New York and many of the Cayuga live on the Seneca reservation. Thus, the statute is a narrow accommodation to those Cayuga members that allows them to buy cigarettes tax free on the reservation where they reside, even though the general rule is that Indians may purchase tax-free items only on the reservation of their own nation or tribe. Since Tax Law § 470 (15) neither defines nor addresses the term “reservation,” it does not support the DAs’ argument that the term does not embrace land that is recognized as such by the United States government.¹⁵

a federal statute, to identify the properties that would constitute a “qualified reservation” for purposes of the collection of cigarette sales taxes emanating from sales by Indian retailers. For this reason, we reject the DAs’ argument that the Cayuga Indian Nation cannot be viewed as having a reservation under Tax Law § 470 (16) under the definition adopted by the Legislature because a 1982 regulation drafted by the Department at a time when the Nation owned no property in New York did not recognize such a reservation.

15. The argument that reservation status is negated by Tax Law § 470 (15) is further undermined by section 470 (14), also adopted in the 2005 legislation. Section 470 (14) includes the Cayuga Indian Nation within the definition of an “Indian nation or tribe.” Since that definition, along with the others we have discussed, was intended to facilitate enforcement of Tax Law § 471-e—a statute that exclusively addresses the collection of sales taxes for retail cigarette purchases occurring on “qualified reservations”—the inclusion of the Cayuga Indian Nation among the tribes impacted by the 2005 legislation further supports our conclusion that the Legislature did not intend to exclude property owned by the Nation from the definition of “qualified reservation” adopted in Tax Law § 470 (16) (a).

In response to the argument that our interpretation of Tax Law § 470 (16) (a) will impact the meaning of the term “reservation” in other statutes, such as Indian Law § 6 or Real Property Tax Law § 454, we emphasize that—as is usually the case when we construe the language in a statute—our analysis applies only to the statute we are currently charged with interpreting. As explained above, Tax Law § 470 (16) was, in part, patterned after a federal statute and was adopted after the Supreme Court decided *City of Sherrill*, at a time when the Legislature was aware that reservation status and sovereign authority are not necessarily coextensive. And our interpretation of the term “reservation” in this case turns not only on the wording but on the structure of the statute—e.g., the inclusion of paragraph (b) distinctly addressing an Indian nation’s exercise of “governmental power” over a parcel—and the other historical and contextual factors we have discussed. The statutes cited by the DAs appear in other chapters of the consolidated laws, were adopted at different times and have their own distinct structures and legislative histories. We express no view on the meaning of provisions that are not before us for review, other than to note that terms found in Tax Law § 470 (16) (a) will not necessarily be accorded the same meaning when they appear in other statutory contexts.¹⁶

V. Reliance on Tax Law § 471 to enforce sales tax collection obligations against Indian retailers

The DAs do not dispute that, if the convenience store properties are located on a “qualified reservation,” Nation retailers may sell untaxed cigarettes to members of the Nation on those properties. But they contend that, even assuming the properties have “qualified reservation” status under New York law, Tax Law § 471 imposes a sales tax on cigarettes sold by Indian retailers to non-Indians and this can be enforced against the Nation, notwithstanding the fact that the tax exemption coupon system devised by the Legislature in Tax Law § 471-e is not in effect.

16. The dissent does not offer an alternate interpretation of Tax Law § 470 (16) but instead asserts that the statute is without “legal significance” because it defines terms found in Tax Law § 471-e, a statute that is not in effect (dissenting op at 655). The DAs did not propose this view of the statute. They argued that the term “qualified reservation” had an established meaning under state law based on Department regulations and publications issued before the statute was adopted, contending that the Department had excluded the Nation from the list of tribes with reservation property in New York. They further relied on Tax Law § 470 (15)—a subdivision enacted in the same legislation that also defines terms used in Tax Law § 471-e.

[4] The Nation responds that, regardless of whether Tax Law § 471 “imposes” a tax, there is currently no mechanism in New York law for determining how much sales tax is due in relation to retail sales that occur on an Indian reservation, how much non-taxed inventory can be maintained and what process will be used for collecting the taxes due from Indian retailers, while simultaneously respecting their federally protected right to make tax-free sales to tribal members. Since Tax Law § 471-e, which was designed for this purpose, is not enforceable and the Department has not formally adopted regulations or otherwise implemented such a system, the Nation maintains that Indian retailers cannot be criminally prosecuted for noncompliance with the laws governing sales taxes. We agree with the Nation.

There is no question that Tax Law § 471 generally imposes a sales tax on cigarettes sold in New York. The statute declares: “There is hereby imposed and shall be paid a tax on all cigarettes possessed in the state by any person for sale, except that no tax shall be imposed on cigarettes sold under such circumstances that this state is without power to impose such tax” (Tax Law § 471 [1].) The statute further discloses the amount of the tax, currently \$2.75 per 20-cigarette pack. The issue here is not whether Tax Law § 471 (1) “imposes” a sales tax—or, as the dissent might frame it, whether the State has the power to tax cigarette sales to non-Indians. Rather, the question is how the tax is to be assessed and collected in the unique retail context presented here and from whom.

The ultimate obligation to pay cigarette sales taxes rests on the consumer, although in most cases that duty is fulfilled, consistent with the tax stamping scheme, by payment of the tax to the retailer, who passes it up to the distributor and wholesaler, who remits it to the Department through the purchase of tax stamps. If, for any reason, a sales tax that is properly owed is not collected in this manner, the consumer remains under the obligation to remit it through other means (*see* Tax Law § 471; Tax Law § 471-a [imposing a “use tax” on cigarettes used in New York for which sales taxes were not paid]).¹⁷

Thus, the issue in this case is not whether sales taxes are due when non-Indian consumers purchase cigarettes from Indian

17. In fact, Tax Law § 1112 (1) specifically addresses the payment by consumers of taxes emanating from goods purchased on Indian reservations:

“Where property or services subject to sales or compensating use tax have been purchased on or from a qualified Indian reservation . . . , the purchaser shall not be relieved of his or her

(*n. cont’d*)

retailers—they are. The issue is whether Indian retailers can be criminally prosecuted for failing to collect the sales taxes from consumers and forward them to the Department. In the absence of a methodology developed by the State that respects the federally protected right to sell untaxed cigarettes to members of the Nation while at the same time providing for the calculation and collection of the tax relating to retail sales to non-Indian consumers, we answer this question in the negative.

We begin with the observation that the Legislature itself concluded that a system—either in statutory or regulatory form—must be adopted before Indian retailers are required to act as intermediaries for the collection of state cigarette sales taxes.¹⁸ This is not surprising since, in our decision in *Matter of New York Assn. of Convenience Stores*, we noted that the 1988 regulations—which had been repealed—“provided the only regulatory framework for enforcing the . . . cigarette taxes on Indian reservations” (92 NY2d at 214). In the absence of another collection mechanism tailored to on-reservation retail sales, the repeal of the regulations “signified that the Tax Department [had] committed itself to withholding active enforcement on a long-term basis” (*id.*). Quoting from the Department’s explanation for the repeal, we clarified that “the repeal . . . does not eliminate the statutory liability for taxes as they relate to sales on Indian reservations to nonexempt individuals” (*id.*)—a point that we reaffirm today. Although non-Indian consumers remained obligated to pay the taxes, the 1998 repeal of the regulations resulted in the annulment of an authorized method for calculating and collecting that tax from Indian retailers.

liability to pay the tax due. Such tax due and not collected shall be paid by the purchaser directly to the department.”

The statute not only declares that the tax is owed but directs how it may be paid, stating that consumers can account for the taxes on their personal income tax forms. Like Tax Law § 470 (16), Tax Law § 1112 was amended in the 2005 legislation amending Tax Law § 471-e. But no claim has been made that the statute is not “in effect,” nor—unlike section 471-e—would it have been necessary for the Department to take any actions prior to implementation of its provisions.

18. Likewise, after the Supreme Court decided *Moe* in 1976 announcing that it was permissible for states to collect sales taxes relating to purchases by non-Indian consumers on reservations, the Department did not immediately attempt enforcement efforts based on Tax Law § 471. Rather, it adopted regulations in 1988 tailored to specifically address the calculation and collection issues presented by such sales.

This was the void the Legislature intended to fill in 2003 when it passed the initial version of Tax Law § 471-e directing the Department to promulgate whatever “rules and regulations necessary to implement the collection of sales, excise and use taxes on . . . cigarettes or other tobacco products” purchased by non-Indian consumers on reservation property (former Tax Law § 471-e, added by L 2003, ch 62, part T3, § 4, as amended by L 2003, ch 63, part Z, § 4). When the Department failed to do so, the Legislature amended Tax Law § 471-e to incorporate a tax exemption coupon system for the calculation and collection of sales taxes. The Legislature attempted to accomplish the same result in 2004 but the bill amending Tax Law § 471-e was vetoed by the Governor. Although the Bill Jacket for the 2005 legislation does not contain a sponsor’s memorandum, the sponsor’s memorandum for the 2004 legislation emphasized that the purpose of the amendment was to “[p]rovide[] for the taxation of cigarettes . . . on qualified Indian reservations when sold to non-Indians” (Sponsor’s Mem, 2004 NY Senate Bill S6822-B, Veto Jacket, Veto 265 of 2004, at 8). Since the Department failed to heed the direction in the 2003 legislation “to put a system in place to collect non-Indian taxes,” the Legislature acted in 2005 by incorporating the Department’s draft regulations into the statute (*id.* at 9). The sponsor further explained that the Legislature understood and intended to respect Native American sovereignty and to “assure that Native Americans who purchase cigarettes . . . on reservations continue their tax exempt status” (*id.* at 10). To that end, the system had been designed so that the State could “collect these taxes at the distributor level before [the cigarettes] are transported onto the reservation” subject to a subsequent tax rebate that accounted for the right of Indians to make tax-free purchases (*id.* at 9-10).

Based on the 2003 and 2005 legislation, it is clear that the Legislature did not view Tax Law § 471 as a sufficient regulatory or statutory predicate for the collection of sales taxes from Indian retailers. Nor would a system of ad hoc enforcement by local District Attorneys, without implementation of an appropriate calculation and collection methodology, be consistent with legislative intent. The Legislature acknowledged that Indian nations and tribes, and their members, enjoy a federal tax exemption. It expressed a sensitivity to the enforcement issues presented in the context of on-reservation sales, even emphasizing that its system allowed the State to collect taxes “at the distributor level,” rather than pursuing enforcement directly from

Indian retailers. It is hard to imagine an approach more inconsistent with the tack taken by the Legislature than a system that depends on criminal prosecutions of individual Indian retailers or their employees as the primary enforcement mechanism.

Moreover, in *Milhelm*, the United States Supreme Court analyzed the tax collection scheme that had been implemented in some detail to assess whether it was “unduly burdensome” (512 US at 76).¹⁹ It discussed the “probable demand” approach embodied in the 1988 New York regulations, noting that the system was permissible on its face, while cautioning that it could be subject to challenge if the Department’s calculation of “probable demand” was inadequate and failed to account for legitimate tax-exempt sales. And it specifically approved one feature of the 1988 regulations—that the State was not permitted to precollect taxes on cigarettes that were ultimately the subject of tax-exempt sales. The careful analysis undertaken by the Supreme Court in *Milhelm* would have been unnecessary if no specialized mechanism is needed to apply a general tax stamping scheme to sales by Indian retailers.

To decide otherwise is to create a system of ad hoc enforcement of cigarette sales tax laws by county prosecutors. In the absence of an overarching methodology devised by the Legislature or the Department for adapting the tax scheme to the unique context of qualified reservation sales, a District Attorney would be in a position to decide—after the fact—what actions the Indian retailer should or could have taken to comply with the statute. Indeed, in the context of this case, the DAs have changed their position regarding what an Indian retailer might do to avoid criminal prosecution for noncompliance with Tax Law § 471’s general requirements. Initially, they proposed that the entire inventory of cigarettes held by Indian retailers would need to display tax stamps (a position consistent with Tax Law § 471, which precludes the possession of unstamped cigarettes), suggesting that a retailer might be able to seek refunds from the Department for tax-exempt sales made to tribal members.

19. The dissent suggests that *Milhelm* was decided based on principles of Indian sovereignty (dissenting op at 655-656). But this is not the case. In *Milhelm*, non-Indian wholesalers challenged the 1988 regulations as preempted by federal Indian trader statutes. The Court made clear that its decision did not address other concerns, such as how New York’s scheme “might affect tribal self-government or federal authority over Indian affairs” (*Milhelm*, 512 US at 69).

Yet, the DAs did not explain how the Department was to assess the validity of refund claims based on sales that had already occurred, absent a tax exemption coupon system or some other Department-sanctioned tracking method.

Later, the DAs contended that Indian retailers might be able to maintain an inventory of untaxed cigarettes to sell to tribe members. In their brief in this Court they state that “an Indian group or tribe can readily comply with the Tax Law by selling its allotment of unstamped cigarettes to its own members by using their existing identification cards” (Defendants’ Brief at 38). Of course, the crux of the problem is that there is no way for Indian retailers (or anyone else) to know what the State-sanctioned inventory “allotment” is (or how to acquire it)—and, therefore, how many unstamped cigarettes a retailer may lawfully possess—absent a method such as the “probable demand” system for making that determination. In this milieu of uncertainty, the Indian retailers would bear the burden of proving that their inventory of untaxed cigarettes was necessary to serve the needs of Indian purchasers. It appears that retailers would be allowed to raise this as an affirmative defense—to be offered at the election of a District Attorney since no such defense appears in Tax Law § 471 (or anywhere else in the Tax Law or Penal Law). Under this proposed methodology, in order to make tax-free sales to tribal members as permitted by federal law, Indian retailers would have to run the risk—and bear the costs (both monetary and otherwise)—of criminal prosecution in the hope that a jury would ultimately credit their view of the evidence.

Not only are these approaches impractical, but we doubt that they would comply with the United States Supreme Court’s requirement that a sales tax collection scheme involving Indian retailers be not “unduly burdensome.” Even outside the context of Indian relations, taxpayers are not ordinarily required to guess what they need to do to comply with the Tax Law. It is generally up to the Legislature and the Department to articulate—before a transaction occurs—in what circumstances a tax is owed, who is obligated to collect it, how it should be calculated and when and how it must be paid. Whatever methodology is ultimately used to calculate and collect sales taxes derived from on-reservation retail sales of cigarettes, we would expect that advance notice would be supplied to Indian retailers and that the system would be uniform throughout the state. The approaches suggested here do not meet these minimal requirements.

The DAs' reliance on *Snyder v Wetzler* (84 NY2d 941 [1994], *affg* 193 AD2d 329 [3d Dept 1993]) for the proposition that, standing alone, Tax Law § 471 provides an adequate method for the calculation and collection of sales taxes from Indian retailers is misplaced. In 1993, at a time when the 1988 regulations had not yet been repealed (although they had been stayed as a result of the ongoing *Milhelm* litigation), a member of the Seneca Nation initiated an action seeking a general declaration "that the State was without power to impose or collect taxes on [cigarette] sales made within the Indian reservation" (193 AD2d at 330). This Court rejected that argument, noting that the

"United States Supreme Court has clearly established that State tax statutes requiring Indian retailers to collect and remit taxes on sales to non-Indian purchasers, and to keep the records necessary to ensure compliance, violate neither the Commerce Clause nor the constitutional proscription against direct taxation of Indians absent explicit congressional consent" (84 NY2d at 942).

Contrary to the DAs' suggestion, Tax Law § 471 was not discussed in the *Snyder* decision nor, in any event, could the same issues relating to its enforcement have been resolved since, at that time, the Department had formally promulgated and was actively seeking to enforce regulations addressing the complicated calculation and collection issues arising from on-reservation sales. *Snyder* does nothing more than reaffirm the general principle articulated in *Moe* (which was subsequently reaffirmed in *Milhelm*) that states can collect sales taxes for goods sold to non-Indians on reservation properties if they devise and implement an appropriate mechanism for doing so.

The federal decisions on which the DAs depend are also inapposite as most do not involve on-reservation retail sales of cigarettes to consumers for their personal use but arose from large-scale cigarette bootlegging activities engaged in by Indian and non-Indian traders. For example, *United States v Kaid* (241 Fed Appx 747 [2d Cir 2007]) is a criminal case against a defendant charged with violating the federal crime of trafficking in contraband cigarettes. The defendant claimed that, since New York does not enforce its laws imposing taxes on retail sales to non-Indians on reservations, the cigarettes he possessed and resold were not contraband within the meaning of the federal statute. The Second Circuit disagreed, noting:

"While it appears that New York does not enforce

its taxes on small quantities of cigarettes purchased on reservations for personal use by non-native Americans, nothing in the record supports the conclusion that the state does not demand that taxes be paid when, as in this case, massive quantities of cigarettes were purchased on reservations by non-Native Americans for resale” (*id.* at 750).

As is evident from *Kaid*, the complex calculation and collection issues raised when a state attempts to collect sales taxes from Indian retailers (such as determining which cigarettes possessed for potential sale must contain tax stamps and which need not, and which sales are exempt from taxation because they involve Indian consumers and which are not) are not present when a wholesaler or distributor, whether Indian or otherwise, makes a bulk sale of cigarettes to a party that intends to resell them off the reservation. The federal tax exemption applies only to on-reservation sales to Indians for their personal use—there is no exemption allowing Indians to engage in the wholesale distribution of untaxed cigarettes destined for off-reservation sales. Thus, the exemption is not implicated when conduct of the type at issue in *Kaid* is alleged and no special calculation or collection mechanism like the system set forth in Tax Law § 471-e is necessary because not a single pack of cigarettes involved in such a transfer would be tax exempt. Thus *Kaid* and the other federal cigarette bootlegging cases cited by the DAs (*see e.g. City of New York v Golden Feather Smoke Shop, Inc.* [2009 WL 705815, 2009 US Dist LEXIS 20953 (ED NY 2009), *question certified to NY Ct App* 597 F3d 115 (2d Cir 2010); *United States v Morrison*, 596 F Supp 2d 661 (ED NY 2009)]) are distinguishable as they do not raise the same issues concerning collection of sales taxes from Indian retailers based on sales to individual consumers as presented in this case.

In sum, although Tax Law § 471 certainly “imposes” a cigarette sales tax, we conclude that the Cayuga Nation is entitled to a declaration that the absence of an appropriate legislative or regulatory scheme governing the calculation and collection of cigarette sales taxes that distinguishes between federally exempt retail sales to Indians occurring on a “qualified reservation” and non-exempt sales to other consumers precludes reliance on Tax Law § 471 as the sole basis to sanction Nation retailers for alleged noncompliance with the New York Tax Law.

Contrary to the dissent’s suggestion otherwise, we are not relying on Tax Law § 471-e as the basis for this conclusion. We

have assumed, for purposes of this appeal, that section 471-e is not in effect—if that statute was enforceable, there would be a statutory method for calculating and collecting the taxes generated by the Nation’s retail sales at its convenience stores. Nor do we claim that section 471-e has created a tax exemption. The restrictions that limit the State’s efforts to collect cigarette taxes from Indian nations or their members in this context are derived from federal law and this prompted the Legislature to address the need for a specialized tax collection scheme by adopting Tax Law § 471-e. Since section 471-e was never operative, and no other comparable statutory or regulatory scheme has filled that gap, the Nation is entitled to declaratory relief.

Accordingly, the order of the Appellate Division should be modified by granting judgment declaring in accordance with this opinion and, as so modified, affirmed, with costs to the plaintiff. The certified question should be answered in the negative.

PIGOTT, J. (dissenting). In my view, the State has validly imposed both a tax obligation on the cigarettes sold by the Cayuga Nation to the public and a mechanism by which those taxes are to be collected under Tax Law § 471. Because the Nation has admittedly refused to fulfill its collection and remittance obligations under the statute, the sale of unstamped cigarettes from the Nation’s two convenience stores is properly a subject for criminal prosecution. Accordingly, I respectfully dissent.

New York’s Tax Law § 471 imposes a cigarette excise tax. That provision applies to all cigarettes possessed in the state for sale, except that “no tax shall be imposed on cigarettes sold under such circumstances that this state is without power to impose such tax” (§ 471 [1]). Tax Law § 471 (2) sets forth the mechanism for the collection of the taxes imposed by the State on the cigarette sales. Specifically, a State-licensed stamping agent is required to advance the amount of the tax by purchasing stamps from the State and affixing them to each package of cigarettes. The stamp cost is built into the cost of the cigarettes and is passed along to the consumer (§ 471 [3]). The penalty for a violation of the taxing statute is found in Tax Law § 1814, which provides that any person who “willfully attempts in any manner to evade or defeat the taxes imposed [on cigarette sales] . . . shall be guilty of a class E felony” (§ 1814 [a]). Thus, pursuant to this section of New York’s Tax Law, all cigarettes that

the State has the power to tax are required by law to be stamped.

It is undisputed that the State has the power to tax a majority of the Nation's cigarette sales—those cigarettes sold to non-Indians (*see Department of Taxation & Finance of N.Y. v Milhelm Attea & Bros.*, 512 US 61, 64 [1994] [explaining that “(o)n-reservation cigarette sales to persons other than reservation Indians, however, are legitimately subject to state taxation”]). The Nation contends, however, that the State does not have the power to tax *any* of its cigarette sales because the Tax Department has not implemented the coupon system adopted in section 471-e of the Tax Law.

Section 471-e requires (as does section 471) that all cigarettes sold on an Indian reservation to non-Indians be taxed, and evidence of such tax will be by means of an affixed cigarette tax stamp (§ 471-e [1] [a]). The provision also includes a tax exemption: “qualified Indians may purchase cigarettes for such qualified Indians’ own use or consumption exempt from cigarette tax on their nations’ or tribes’ qualified reservations” (*id.*). It is acknowledged, however, that section 471-e of the Tax Law is not in effect.* Therefore, contrary to the belief of my colleagues in the majority, it provides no basis for immunity from New York’s cigarette tax laws.

The majority further argues that the Nation can rely on the plain language of Tax Law § 470 (16) as a basis for its statutory exemption. That provision, however, is under the definition section of the Tax Law, and defines the term “qualified reservation”: a term used only in section 471-e, which the parties concede is not in effect. Thus, section 470 (16) merely defines a term whose meaning, unless and until section 471-e becomes effective, has no legal significance.

Without section 471-e’s statutory tax exemption in effect, the Nation may not foreclose the State from imposing and collecting taxes on cigarettes sold at the stores. Although the Nation cites to a number of cases which have held that a state cannot tax on-reservation cigarette sales to members of the

* The Legislature provided that the amended version of Tax Law § 471-e “shall take effect March 1, 2006, provided that any actions, rules and regulations necessary to implement the provisions of [the statute] on its effective date are authorized and directed to be completed on or before such date” (L 2005, ch 63, part A, § 4). In *Day Wholesale, Inc. v State of New York* (51 AD3d 383 [4th Dept 2008]), the Appellate Division concluded that the amended version of Tax Law § 471-e was not “in effect” based on the failure of the Department of Taxation and Finance to take action to implement that statute by issuing necessary coupons. Because the parties do not challenge that holding on this appeal, I assume, for purposes of this appeal, the correctness of the decision.

reservation's governing tribe for their own use, those cases were decided under the principles of Indian sovereignty (see e.g. *Department of Taxation & Finance of N.Y. v Milhelm Attea & Bros.*, 512 US 61, 64 [1994]; *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463 [1976]), and in the wake of the United States Supreme Court's decision in *City of Sherrill*, are irrelevant to any claim by the Nation. In *City of Sherrill v Oneida Indian Nation of N. Y.* (544 US 197 [2005]), the Supreme Court concluded that an Indian Nation cannot unilaterally revive its ancient sovereignty, in whole or in part, over later-acquired parcels (544 US at 214). Thus, as even the majority recognizes, the Nation may not assert sovereign authority over its store properties for the purpose of avoiding taxes (see e.g. majority op at 642-643).

Even assuming that the statutory immunity provided for under section 471-e was in effect and was applicable to the Nation, the statute by its very language still requires that all cigarettes sold on an Indian reservation to non-Indians be taxed, and evidence of such tax will be by means of an affixed cigarette tax stamp (Tax Law § 471-e [1] [a]). Although section 471-e would alter the collection mechanism imposed on the Nation for cigarettes sold to its Indian members, it would in no way alter the tax obligation of the Nation for cigarettes sold to non-Indians (see *Matter of New York Assn. of Convenience Stores v Urbach*, 92 NY2d 204, 214 [1998] ["the repeal (of the regulations that preceded the enactment of section 471-e) does not eliminate the statutory liability for taxes as they relate to sales on Indian reservations to nonexempt individuals"]).

Simply put, the lack of implementing regulations under section 471-e, a statutory provision that is not in effect, does not affect the tax obligation of the Cayuga Nation to sell only tax-stamped cigarettes. Consequently, I would vote to reverse the order of the Appellate Division and answer the certified question in the negative.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge GRAFFEO; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judges READ and SMITH concur.

Order modified, etc.